Start here

A short route through the offering-plan amendment collection

You do not need to read every page

Most of the 777-page source collection consists of supporting exhibits, financial statements, budgets and forms. Use the topic finder on guide page 2, then the plain-language amendment descriptions on guide pages 3-6.

Choose the file that fits your task

This six-page guide is the quick overview. The full topic reading copy contains the same guide followed by all 777 source pages, corrected orientation, searchable text and descriptive bookmarks.

Find the actual document

Every reference gives a SOURCE page and a FULL COPY page. Full-copy page = source page + 6. Enter the FULL COPY number in your PDF viewer's page box. In the full copy, click a page reference or use a bookmark to jump there.

What the guide explains

Descriptions identify what each amendment covers and where to start reading. They are selective summaries, not a rewritten offering plan or a determination of current shareholder rights.

Check the date before relying on a detail

The collection reaches Amendment 33, dated November 16, 2021. Prices, maintenance charges, assessments, board rosters, policies and loan details describe their stated periods. Confirm current documents and any later amendments with management.

Original pages remain intact

The full copy retains misplaced covers (source 50 and 174), Amendment 19 before 18 (345-346), and the Amendment 32 draft (737-753). A distinct Amendment 20 heading was not located; confirm completeness. Smoking-policy dates differ between the narrative and attached policy.

Find by topic

Selected starting points | Full-copy references are clickable in the full edition

Board and by-law changes

Source 45 | Full copy 51

Amendment 4 changes by-law wording. Later board lists are dated rosters, not statements of current membership.

Smoking policy and house rules

Source 706 | Full copy 712

Amendment 31 explains the policy and refers to amended house rules. Smoking-policy copies appear at source pages 732 and 735.

Mortgage refinance and line of credit

Source 755 | Full copy 761

The dated Amendment 32 describes the 2019 refinance and a line of credit. Also see earlier refinancing disclosures in Amendments 15 and 26.

Apartment sale / transfer fees

Source 381 | Full copy 387

Start with Amendment 21, then compare Amendment 26 at source page 531. Ask management for the fee currently in effect.

Sponsor-owned apartments and shares

Source 775 | Full copy 781

The Amendment 33 schedule shows the sponsor holdings reported in October 2021. Earlier amendments show earlier snapshots.

Maintenance, assessments and budgets

Source 776 | Full copy 782

The 2021 budget is at source page 776. Amendments 22-25 contain earlier charge and assessment disclosures; these are not current bills.

Buying, deposits and closing costs

Source 773 | Full copy 779

Amendment 33 discusses closing costs. Amendment 26 contains escrow provisions; Amendment 25 includes a form of sale contract.

Existing tenants and historical purchase offers

Source 116 | Full copy 122

Amendment 9 covers lease-to-own. Amendments 2-4 and 11 contain older purchase offers; Amendments 26 and 29 discuss existing-tenant rights.

Amendments in plain language

Part 1 of 4 | Selective descriptions, not a complete legal summary

1. Original tenant purchase deadline

Extends the initial exclusive purchase period for existing tenants. This is a conversion-era deadline.

Source page 1 | Full copy page 7

2. Tenant prices, buyouts and repair commitments

Offers revised tenant purchase terms and buyouts; addresses mortgage support, working capital, financing, repairs and improvements.

Source page 3 | Full copy page 9

3. Purchase financing and closing costs

Waives a pre-sale condition and revises financing applications, closing costs and appliance/improvement selections.

Source page 36 | Full copy page 42

4. By-law changes, tenant prices and reserves

Changes language about resident shareholders' spouses and removal of directors; also covers tenant prices, transfer taxes and reserve-fund credits.

Source page 43 | Full copy page 49

5. Plan declared effective

Declares the conversion plan effective and waives specified conditions. Includes supporting conversion documents.

Source page 51 | Full copy page 57

6. Maintenance rebate and tax information

Describes a maintenance rebate, a revised tax opinion and financial statements. These are historical terms.

Source page 70 | Full copy page 76

7. Mortgage terms and rebate correction

Updates mortgage terms and corrects the maintenance rebate calculation described in Amendment 6.

Source page 99 | Full copy page 105

8. Conversion closing, reserves and first budget

Reports title closing, working-capital adjustments, reserve funding, mortgage and budget information, plus purchase-agreement and violation disclosures.

Source page 101 | Full copy page 107

Amendments in plain language

Part 2 of 4 | Selective descriptions, not a complete legal summary

9. Lease-to-own purchase program

Describes a historical lease-to-own program and related purchase and rental forms.

Source page 116 | Full copy page 122

10. Financial updates and sponsor financing

Updates sponsor disclosures, statements and budget; describes sponsor financing, negotiable terms and legal disclosures.

Source page 125 | Full copy page 131

11. Tenant payment options and mortgage restructuring

Describes tenant purchase-price reductions, an installment payment offer, board information, financial statements and restructuring of the underlying loan.

Source page 175 | Full copy page 181

12. Superintendent apartment and building updates

Includes relocation of the superintendent's apartment, sponsor holdings, financial statements and a historical board roster.

Source page 203 | Full copy page 209

13. Sponsor holdings, financials and board update

Updates sponsor-related disclosures, financial statements and the board roster. Use these as information from that filing period.

Source page 220 | Full copy page 226

14. Budget and maintenance update

Updates sponsor holdings, financial statements, board information, budget and maintenance charges for the period covered.

Source page 258 | Full copy page 264

15. Mortgage refinance and annual disclosures

Describes mortgage refinancing alongside sponsor holdings, financial statements and board information.

Source page 281 | Full copy page 287

16. Purchase prices, rent collection and lead paint

Updates maintenance and offering prices, sponsor attorneys and escrow; discusses rent collection when a non-occupying owner defaults and lead-paint disclosures.

Source page 298 | Full copy page 304

Amendments in plain language

Part 3 of 4 | Selective descriptions, not a complete legal summary

17. Managing agent and offering-price update

Identifies parties and a new managing agent; updates sponsor holdings, financial statements, budget, board and maintenance information.

Source page 326 | Full copy page 332

18. Second mortgage and financial update

Describes a new second mortgage and updates financial statements, budget, sponsor holdings and board information.

Source page 346 | Full copy page 352

19. Sponsor offering-price increase

Raises the sponsor's stated purchase price to $800 per share. This is a historical offering price, not a current valuation.

Source page 345 | Full copy page 351

21. Apartment sale fee and annual disclosures

Describes an apartment sale fee and updates sponsor holdings, financial statements, budget, board and maintenance information.

Source page 380 | Full copy page 386

22. Maintenance, assessment and price per share

Updates maintenance charges, assessment information and price per share, with sponsor, board and financial disclosures.

Source page 411 | Full copy page 417

23. Maintenance, assessment and financial update

Updates maintenance charges and assessment information alongside sponsor holdings, financial statements, budget and board disclosures.

Source page 431 | Full copy page 437

24. Maintenance, assessment and sponsor update

Continues financial, sponsor-holding, board, maintenance and assessment disclosures. This portion includes faxed pages.

Source page 451 | Full copy page 457

25. Managing agent and sale contract forms

Updates managing-agent information and the form of contract, alongside maintenance, assessment and financial disclosures.

Source page 469 | Full copy page 475

Amendments in plain language

Part 4 of 4 | Selective descriptions, not a complete legal summary

26. Mortgage refinance, transfer fee and escrow

Describes mortgage refinancing, an apartment transfer fee, existing-tenant rights, parties and procedures for holding purchase deposits.

Source page 529 | Full copy page 535

27. Sponsor holdings, financials and budget

Updates sponsor holdings, board information, financial statements and budget. Much of this section is supporting financial material.

Source page 600 | Full copy page 606

28. Escrow account and annual disclosures

Updates escrow-account information together with sponsor holdings, board information, financial statements and budget.

Source page 622 | Full copy page 628

29. Existing-tenant rights and transaction reporting

Discusses existing-tenant rights and reporting for certain real-estate purchases, with sponsor, financial and board updates.

Source page 645 | Full copy page 651

30. Tax-risk disclosure, parties and escrow

Discusses the 2017 federal tax legislation, changes in parties, escrow procedures and transaction reporting, with annual disclosures.

Source page 687 | Full copy page 693

31. Smoking policy and house-rule disclosure

Describes the smoking policy and states that house rules were amended. Includes policy pages and financial supporting documents; confirm current versions.

Source page 705 | Full copy page 711

32. 2019 refinancing and sponsor-principal change

Describes the 2019 mortgage refinance and line of credit, a sponsor-principal change, 2019 financial statements and 2020 budget. Use the dated version.

Source page 754 | Full copy page 760

33. 2021 update, closing costs and budget

Updates sponsor holdings and board information, discusses unit closing costs, and includes the 2021 budget and filing acceptance email.

Source page 772 | Full copy page 778

FIRST AMENDMENT

TO

OFFERING PLAN TO CONVERT TO
CONDOMINIUM OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: FEBRUARY 1, 1989

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

FIRST AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988 (the "Plan") and should be read in conjunction therewith.

1. EXCLUSIVE PERIOD EXTENSION

The initial ninety (90) day exclusive period under the Plan (which was to expire February 5, 1989) is hereby extended to March 6, 1989.

2. INCORPORATION OF PLAN

The Plan, as modified and supplemented hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

3. DEFINITIONS

All of the terms used in this First Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

SECOND AMENDMENT

TO

OFFERING PLAN TO CONVERT TO
COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: May 11, 1989

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

SECOND AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989 (the "Plan") and should be read in conjunction therewith.

1. RIGHT FOR TENANT OFFEREES TO PURCHASE THEIR APARTMENTS AT A NEW REDUCED PURCHASE PRICE OF $273 PER SHARE DURING THE 30 DAY PERIOD

Each Tenant Offeree is hereby given the exclusive right for thirty (30) days following the Presentation Date of this Amendment (the "30 Day Period") to purchase the shares allocated to his or her Apartment at a new reduced Purchase Price of $273 per share. Annexed hereto as Exhibit A is a revised Schedule A showing the new Purchase Price and other financial details for each Apartment.

After the 30 Day Period, the Purchase Price offered to Tenant Offerees will be increased automatically to the Purchase Price then being offered to Non-Tenant Purchasers, currently $565 per share.

2. BUY-OUT OFFER

For a period commencing on Presentation Date of this Amendment, and ending upon the expiration of the 30 Day Period, the Sponsor agrees to enter into an Agreement to purchase the leasehold interest of any Tenant Offeree who desires to sell same to the Sponsor. Any such tenant shall notify the Sponsor, in writing, of his or her desire to do so, and enter into a Buy-Out Agreement in the form set forth in Exhibit B of this Amendment within said 30 Day Period.

The terms of the Sponsor's Buy-Out Offer are as follows:

A. The Buy-Out amount is $40.00 per share. For example: A Tenant Offeree of an Apartment allocated 250 shares would, upon vacating and surrendering the Apartment, receive $10,000 (250 shares x $40.00 per share).

B. The Tenant Offeree shall, within thirty (30) days of signing the Buy-Out Agreement, surrender to the Sponsor the premises free of all tenancies and occupancies or claim of right to occupy, and the tenants and all occupants shall have released any and all rights to possess and/or to purchase the Apartment under any applicable laws or the Offering Plan.

C. The Sponsor reserves the right to vary the timing of payments and the scheduling of the Tenant Offeree's surrender of the Apartment based upon the individual tenant needs in accordance with such Tenant Offeree's requests. The price per share is not negotiable.

D. Simultaneously with the surrendering of the premises and turning over of the keys to the Sponsor, the Sponsor shall issue a check to the Tenant Offeree in the appropriate amount (less any amount by which the Tenant Offeree may be in arrears and less any amount reasonably necessary to repair any damage to the Apartment if the Tenant Offeree's security deposit, if any, is deemed inadequate).

E. Tenant Offerees who avail themselves of this Buy-Out Offer will not have to tender any monies to the Apartment Corporation for payment of any flip tax.

F. The Sponsor shall have the right to show the Apartment to third parties once it has received written notice of the Tenant's desire to accept the Buy-Out Offer. In no event shall the Tenant Offeree unreasonably refuse access to the Sponsor or its Agent to show the Apartment to third parties.

Tenants Offerees are advised to consult with their attorneys or financial consultants regarding the tax consequences of their receipt of a Buy-Out payment under this offer, as the receipt of such payment may constitute taxable income.

3. <u>PER SALE CONDITION</u>

All the provisions and improved terms contained in paragraphs 4 through 11 of this Amendment are expressly conditioned (hereinafter called the "Pre-Sale Condition") on not less than eighteen (18) Tenant Offerees subscribing to purchase their respective Apartments before the expiration of the 30 Day Period.

In the event the Pre-Sale Condition is not met, the Sponsor reserves the right to withdraw the provisions of said paragraphs. In the event the Sponsor exercises such right, then the Plan will be amended and the Tenant Offerees who subscribed to purchase after the Presentation Date of this Amendment will be notified and given a fifteen (15) day right to rescind their Subscription Agreement and receive back their downpayment checks. The Sponsor reserves the further right, in its sole discretion, to waive the Pre-Sale Condition.

4. SPONSOR'S GUARANTY OF BUDGET LINE ITEM FOR MORTGAGE PAYMENTS

For the period commencing on the Closing Date and terminating on the fifth (5th) anniversary of the Closing Date, the Sponsor shall guaranty the budget line item for mortgage payments in the amount of $139,590.00. Said sum represents a mortgage indebtedness of $45.00 per room per month. By reason of the foregoing, the estimated annual maintenance charge has been reduced by approximately twenty nine (29%) percent from $37.759 per share to $26.87 per share. See Schedule A which is annexed hereto as Exhibit A. After said period, maintenance charges may increase.

No bond or other security has been provided to secure the foregoing obligation of Sponsor.

The Apartment Corporation has been advised by its counsel, Blutrich, Falcone & Miller, that any payment received from Sponsor pursuant to the foregoing undertaking may be considered by the Internal Revenue Service not as post-closing adjustment to the consideration to be paid to Sponsor on the sale as reported, but may instead be treated as income received from non-qualified tenant-stockholders. In such event, if such payment and all other income received by the Apartment Corporation from sources other than qualified tenant-stockholders aggregates more than twenty (20%) percent of the gross income of the Apartment Corporation for any taxable year, then the Apartment Corporation will not qualify for such year as a cooperative housing corporation under Section 216 of the Internal Revenue Code. As a consequence, tenant-stockholders would not be entitled to any income tax deductions for their pro rata share of the mortgage interest and real estate taxes paid or incurred by the Apartment Corporation for such taxable year. In order to avoid such a result, in the event payment by Sponsor pursuant to the above undertaking would cause the Apartment Corporation to have non-qualified income in excess of 20% of its gross income in any taxable year, Sponsor will pay so much of Sponsor's obligation as to allow the Apartment Corporation to meet the 20% test and the balance, if any, will be placed in escrow and paid to the Apartment Corporation in the next succeeding tax year.

5. TERMS OF MORTGAGE

Notwithstanding anything contained in Paragraph 4 of this Amendment, the section of the Plan entitled "Terms of Mortgage" is amended so that the principal amount of the First Mortgage is hereby reduced from $2,750,000 to $2,000,000.

6. WORKING CAPITAL FUND

On the Closing Date, the Apartment Corporation will retain the sum of $15,000 (the "Working Capital Fund") from the amount of cash raised by this offering to be held or used for working capital.

If the net closing adjustments referred to in the Plan in the section entitled "Contract of Sale" are in favor of the Apartment Corporation, the amount thereof will be paid or credited to the Apartment Corporation at Closing. If the net closing adjustments are in favor of the Sponsor, same will be paid to the Sponsor in the manner set forth in the Plan in the section entitled "Working Capital and Reserve Fund" and not reduce the Working Capital Fund as set forth in the above paragraph.

No representation is made that the Working Capital Fund will be adequate to cover expenses for the first or any subsequent year of cooperative operation, including repairs or replacements, and if additional funds are required maintenance charges may increase. THE PROPERTY IS OFFERED IN ITS CURRENT CONDITION AS SET FORTH IN THIS OFFERING PLAN, WITHOUT ANY OBLIGATION BY SPONSOR TO MAKE ANY REPAIRS OR IMPROVEMENTS, EXCEPT AS OTHERWISE SET FORTH HEREIN. NO GOVERNMENT AGENCY HAS PASSED UPON THE ADEQUACY OF THE WORKING CAPITAL FUND OR ON THE PHYSICAL CONDITIONS OF THE BUILDING.

7. FINANCING CONTINGENCY

Each Tenant Offeree who subscribes to purchase his or her Apartment within the 30 Day Period shall have the right to condition his Subscription Agreement upon obtaining financing of up to eighty (80%) percent of the purchase price. The Financing Contingency Rider to the Subscription Agreement is annexed hereto as Exhibit C. In order to be effective, said Rider must be executed by the Tenant Offeree and submitted to the Selling Agent together with the Subscription Agreement. No representation is made as to the availability, amount, terms, or conditions upon which such financing may be granted or the cost of such financing.

8. ASSIGNMENT OF PURCHASE AGREEMENT

Each Tenant Offeree who purchases his Apartment within the 30 Day Period is hereby given the exclusive right to assign

his Subscription Agreement to a Purchaser who intends that he or one or more members of his immediate family intend to personally occupy the Apartment when it becomes vacant, on the following terms and conditions:

(a) the Tenant Offeree signs and returns four (4) copies of the Subscription Agreement to the Selling Agent, together with his good unendorsed personal check subject to collection in the amount equal to ten (10%) percent of the Total Cash Payment for that Apartment made payable to the order of "The Crestwood Special Account"; and

(b) the Tenant Offeree's existing lease is in good standing and not in default; and

(c) the Tenant Offeree delivers to the Selling Agent four (4) copies of the Assignment and Assumption of Subscription Agreement in the form annexed hereto as Exhibit D signed and sworn to by the Tenant-Offeree and the Assignee; and

(d) the Assignee delivers to the Selling Agent a signed and sworn to Statement of Purchase in the form annexed hereto as Exhibit E; and

(e) the Assignee delivers to the Selling Agent an executed Transferee Questionnaire in the form annexed hereto as Exhibit F.

If all of the terms and conditions set forth in subparagraphs (a) through (e) above have been complied with, Sponsor will consent to the Assignment.

9. NEW YORK CITY TRANSFER TAX

The Sponsor shall be responsible for the payment of the transfer tax due to the City of New York imposed upon only the initial transfer of shares of the Apartment Corporation to the Tenant Offeree. Such tax is presently calculated at one (1%) percent of the gross consideration.

10. SPONSOR WILL PERFORM REPAIRS

Sponsor will cause certain repairs and other work to be performed at the Property to the extent necessary in the sole discretion of Sponsor's Engineer in accordance with the letter annexed hereto as Exhibit G.

11. APPLIANCE AND IMPROVEMENT PACKAGE

Each Tenant Offeree is hereby given the exclusive right during the 30 Day Period of electing to purchase the Appliance and Improvement Package as set forth in the Plan at page 64 at the reduced purchase price set forth in Schedule A plus the additional sum of $71.21 per share for the number of shares allocated to his or her Apartment.

12. INCORPORATION OF PLAN

The Plan, as modified and supplemented hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

13. DEFINITIONS

All of the terms used in this Second Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

14. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in prior Amendments hereto and herein.

T.J.S. ASSOCIATES
SPONSOR

DATED: May 11, 1989
New York, New York

EXHIBIT A

SCHEDULE A

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK 11415

SHARE ALLOCATIONS, PURCHASE PRICES, MORTGAGE ALLOCATIONS,
ESTIMATED MAINTENANCE CHARGES AND ESTIMATED INCOME TAX DEDUCTION
FOR THE FIRST YEAR OF COOPERATIVE OPERATION
PROJECTED FOR 4/1/89

APT NO.	STATUS	NO. OF ROOMS	NO. OF BATHS	NO. OF SHARES	TOTAL CASH PAYMENT BY TENANT PURCHASER AT $273.00 PER SHARE	TOTAL CASH PAYMENT BY NON-TENANT PURCHASER AT $565.00 PER SHARE	AMT. OF MORTGAGE AT $133.75 PER SHARE	ESTIMATED MONTHLY MAINTENANCE AT $2.239 PER SHARE	ESTIMATED ANNUAL MAINTENANCE AT $26.87 PER SHARE	ESTIMATED ANNUAL INCOME TAX DEDUCTION AT $18.88 PER SHARE
5A	S	2.5	1	152	$41,496.00	$85,880.00	$20,330.00	$340.33	$4,084.24	$2,869.76
5B	V	4.0	1	244	$66,612.00	$137,860.00	$32,635.00	$546.32	$6,556.28	$4,606.72
5C	C	3.0	1	179	$48,867.00	$101,135.00	$23,941.25	$400.78	$4,809.73	$3,379.52
5D	S	4.0	1	230	$62,790.00	$129,950.00	$30,762.50	$514.97	$6,180.10	$4,342.40
5E	S	5.5	2	327	$89,271.00	$184,755.00	$43,736.25	$732.15	$8,786.49	$6,173.76
5F	S	2.5	1	152	$41,496.00	$85,880.00	$20,330.00	$340.33	$4,084.24	$2,869.76
5G	S	3.5	1	212	$57,876.00	$119,780.00	$28,355.00	$474.67	$5,696.44	$4,002.56
5H	S	3.5	1	212	$57,876.00	$119,780.00	$28,355.00	$474.67	$5,696.44	$4,002.56
5J	S	4.0	1	203	$55,419.00	$114,695.00	$27,151.25	$454.52	$5,454.61	$3,832.64
5K	S	4.0	1	230	$62,790.00	$129,950.00	$30,762.50	$514.97	$6,180.10	$4,342.40
5L	S	5.5	2	297	$81,081.00	$167,805.00	$39,723.75	$664.98	$7,980.39	$5,607.36
5M	V	2.5	1	152	$41,496.00	$85,880.00	$20,330.00	$340.33	$4,084.24	$2,869.76
6A	S	2.5	1	153	$41,769.00	$86,445.00	$20,463.75	$342.57	$4,111.11	$2,888.64
6B	S	4.0	1	245	$66,885.00	$138,425.00	$32,768.75	$548.56	$6,583.15	$4,625.60
6C	C	3.0	1	180	$49,140.00	$101,700.00	$24,075.00	$403.02	$4,836.60	$3,398.40
6D	C	4.0	1	231	$63,063.00	$130,515.00	$30,896.25	$517.21	$6,206.97	$4,361.28
6E	S	5.5	2	328	$89,544.00	$185,320.00	$43,870.00	$734.39	$8,813.36	$6,192.64
6F	C	2.5	1	153	$41,769.00	$86,445.00	$20,463.75	$342.57	$4,111.11	$2,888.64
6G	C	3.5	1	213	$58,149.00	$120,345.00	$28,488.75	$476.91	$5,723.31	$4,021.44
6H	S	3.5	1	213	$58,149.00	$120,345.00	$28,488.75	$476.91	$5,723.31	$4,021.44
6J	C	4.0	1	204	$55,692.00	$115,260.00	$27,285.00	$456.76	$5,481.48	$3,851.52
6K	S	4.0	1	231	$63,063.00	$130,515.00	$30,896.25	$517.21	$6,206.97	$4,361.28
6L	S	5.5	2	298	$81,354.00	$168,370.00	$39,857.50	$667.22	$8,007.26	$5,626.24
6M	S	2.5	1	153	$41,769.00	$86,445.00	$20,463.75	$342.57	$4,111.11	$2,888.64
GRAND TOTAL		258.5		14,955	$4,082,715.00	$8,449,575.00	$2,000,231.30	$33,484.25	$401,840.85	$282,350.40

SCHEDULE A

THE CRESTWOOD

124-16 84TH ROAD

KEW GARDENS, NEW YORK 11415

SHARE ALLOCATIONS, PURCHASE PRICES, MORTGAGE ALLOCATIONS,
ESTIMATED MAINTENANCE CHARGES AND ESTIMATED INCOME TAX DEDUCTION
FOR THE FIRST YEAR OF COOPERATIVE OPERATION
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APT NO.	STATUS	NO. OF ROOMS	NO. OF BATHS	NO. OF SHARES	TOTAL CASH PAYMENT BY TENANT PURCHASER AT $273.00 PER SHARE	TOTAL CASH PAYMENT BY NON-TENANT PURCHASER AT $565.00 PER SHARE	AMT. OF MORTGAGE AT $133.75 PER SHARE	ESTIMATED MONTHLY MAINTENANCE AT $2.239 PER SHARE	ESTIMATED ANNUAL MAINTENANCE AT $26.87 PER SHARE	ESTIMATED ANNUAL INCOME TAX DEDUCTION AT $18.88 PER SHARE
3A	C	2.5	1	150	$40,950.00	$84,750.00	$20,062.50	$335.85	$4,030.50	$2,832.00
3B	S	4.0	1	242	$66,066.00	$136,730.00	$32,367.50	$541.84	$6,502.54	$4,568.96
3C	S	3.0	1	177	$48,321.00	$100,005.00	$23,673.75	$396.30	$4,755.99	$3,341.76
3D	C	4.0	1	228	$62,244.00	$128,820.00	$30,495.00	$510.49	$6,126.36	$4,304.64
3E	S	5.5	2	325	$88,725.00	$183,625.00	$43,468.75	$727.68	$8,732.75	$6,136.00
3F	S	2.5	1	150	$40,950.00	$84,750.00	$20,062.50	$335.85	$4,030.50	$2,832.00
3G	S	3.5	1	210	$57,330.00	$118,650.00	$28,087.50	$470.19	$5,642.70	$3,964.80
3J	S	4.0	1	201	$54,873.00	$113,565.00	$26,883.75	$450.04	$5,400.87	$3,794.88
3K	C	4.0	1	228	$62,244.00	$128,820.00	$30,495.00	$510.49	$6,126.36	$4,304.64
3L	C	5.5	2	295	$80,535.00	$166,675.00	$39,456.25	$660.51	$7,926.65	$5,569.60
3M	S	2.5	1	150	$40,950.00	$84,750.00	$20,062.50	$335.85	$4,030.50	$2,832.00
4A	S	2.5	1	151	$41,223.00	$85,315.00	$20,196.25	$338.09	$4,057.37	$2,850.88
4B	S	4.0	1	243	$66,339.00	$137,295.00	$32,501.25	$544.08	$6,529.41	$4,587.84
4C	C	3.0	1	178	$48,594.00	$100,570.00	$23,807.50	$398.54	$4,782.86	$3,360.64
4D	C	4.0	1	229	$62,517.00	$129,385.00	$30,628.75	$512.73	$6,153.23	$4,323.52
4E	C	5.5	2	326	$88,998.00	$184,190.00	$43,602.50	$729.91	$8,759.62	$6,154.88
4F	S	2.5	1	151	$41,223.00	$85,315.00	$20,196.25	$338.09	$4,057.37	$2,850.88
4G	S	3.5	1	211	$57,603.00	$119,215.00	$28,221.25	$472.43	$5,669.57	$3,983.68
4H	C	3.5	1	211	$57,603.00	$119,215.00	$28,221.25	$472.43	$5,669.57	$3,983.68
4J	S	4.0	1	202	$55,146.00	$114,130.00	$27,017.50	$452.28	$5,427.74	$3,813.76
4K	C	4.0	1	229	$62,517.00	$129,385.00	$30,628.75	$512.73	$6,153.23	$4,323.52
4L	S	5.5	2	296	$80,808.00	$167,240.00	$39,590.00	$662.74	$7,953.52	$5,588.48
4M	S	2.5	1	151	$41,223.00	$85,315.00	$20,196.25	$338.09	$4,057.37	$2,850.88

SCHEDULE A

THE CRESTWOOD

124-16 84TH ROAD

KEW GARDENS, NEW YORK 11415

SHARE ALLOCATIONS, PURCHASE PRICES, MORTGAGE ALLOCATIONS,
ESTIMATED MAINTENANCE CHARGES AND ESTIMATED INCOME TAX DEDUCTION
FOR THE FIRST YEAR OF COOPERATIVE OPERATION
PROJECTED FOR 4/1/89

APT NO.	STATUS	NO. OF ROOMS	NO. OF BATHS	NO. OF SHARES	TOTAL CASH PAYMENT BY TENANT PURCHASER AT $273.00 PER SHARE	TOTAL CASH PAYMENT BY NON-TENANT PURCHASER AT $565.00 PER SHARE	AMT. OF MORTGAGE AT $133.75 PER SHARE	ESTIMATED MONTHLY MAINTENANCE AT $2.239 PER SHARE	ESTIMATED ANNUAL MAINTENANCE AT $26.87 PER SHARE	ESTIMATED ANNUAL INCOME TAX DEDUCTION AT $18.88 PER SHARE
1A	S	2.5	1	148	$40,404.00	$83,620.00	$19,795.00	$331.37	$3,976.76	$2,794.24
1B	C	4.0	1	240	$65,520.00	$135,600.00	$32,100.00	$537.36	$6,448.80	$4,531.20
1C	S	3.0	1	175	$47,775.00	$98,875.00	$23,406.25	$391.83	$4,702.25	$3,304.00
1D	C	3.0	1	150	$40,950.00	$84,750.00	$20,062.50	$335.85	$4,030.50	$2,832.00
1DD	S	1.0	1	102	$27,846.00	$57,630.00	$13,642.50	$228.38	$2,740.74	$1,925.76
1E	S	4.5	2	245	$66,885.00	$138,425.00	$32,768.75	$548.56	$6,583.15	$4,625.60
1F	S	2.5	1	148	$40,404.00	$83,620.00	$19,795.00	$331.37	$3,976.76	$2,794.24
1G	C	3.5	1	208	$56,784.00	$117,520.00	$27,820.00	$465.71	$5,588.96	$3,927.04
1H	V	3.5	1	208	$56,784.00	$117,520.00	$27,820.00	$465.71	$5,588.96	$3,927.04
1J	S	4.0	1	210	$57,330.00	$118,650.00	$28,087.50	$470.19	$5,642.70	$3,964.80
1L	C	5.5	2	293	$79,989.00	$165,545.00	$39,188.75	$656.03	$7,872.91	$5,531.84
1M	C	2.5	1	148	$40,404.00	$83,620.00	$19,795.00	$331.37	$3,976.76	$2,794.24
2A	S	2.5	1	149	$40,677.00	$84,185.00	$19,928.75	$333.61	$4,003.63	$2,813.12
2B	V	4.0	1	241	$65,793.00	$136,165.00	$32,233.75	$539.60	$6,475.67	$4,550.08
2C	C	3.0	1	176	$48,048.00	$99,440.00	$23,540.00	$394.06	$4,729.12	$3,322.88
2D	S	4.0	1	227	$61,971.00	$128,255.00	$30,361.25	$508.25	$6,099.49	$4,285.76
2E	S	5.5	2	324	$88,452.00	$183,060.00	$43,335.00	$725.44	$8,705.88	$6,117.12
2F	C	2.5	1	149	$40,677.00	$84,185.00	$19,928.75	$333.61	$4,003.63	$2,813.12
2G	S	3.5	1	209	$57,057.00	$118,085.00	$27,953.75	$467.95	$5,615.83	$3,945.92
2H	C	3.5	1	209	$57,057.00	$118,085.00	$27,953.75	$467.95	$5,615.83	$3,945.92
2J	S	4.0	1	200	$54,600.00	$113,000.00	$26,750.00	$447.80	$5,374.00	$3,776.00
2K	C	4.0	1	227	$61,971.00	$128,255.00	$30,361.25	$508.25	$6,099.49	$4,285.76
2L	S	5.5	2	294	$80,262.00	$166,110.00	$39,322.50	$658.27	$7,899.78	$5,550.72
2M	S	2.5	1	149	$40,677.00	$84,185.00	$19,928.75	$333.61	$4,003.63	$2,813.12

EXHIBIT B

BUY-OUT AGREEMENT

AGREEMENT made this _____ day of _____, 198__, by and between TJS Associates, having an office at 17 Bon Aire Circle, Suffern, New York ("Sponsor") and _____ residing at 124-16 84th Road, Kew Gardens, New York ("Tenant").

W I T N E S S E T H :

WHEREAS, Tenant occupies Apartment _____ (the "Apartment") at 124-16 84th Road, Kew Gardens, New York (the "Premises") pursuant to a lease subject to the Rent Stabilization Law and Code (the "Lease") or a tenancy subject to the Rent Control Law (the "Tenancy") with TJS Associates, the Owner (collectively referred to as "Landlord"); and

WHEREAS, Tenant is aware that Sponsor has promulgated an Offering Plan (as amended from time to time) for conversion of the Premises to Cooperative Ownership (the "Plan"); and

WHEREAS, Sponsor agrees to cause the Landlord to enter into any agreement regarding Tenant's Lease or Tenancy which may be required to effectuate this Buy-Out Agreement; and

WHEREAS, Tenant notified Sponsor of Tenant's desire to surrender possession of the Apartment to the Landlord and vacate the Apartment on or before a date which is not later than thirty (30) days after the execution of this Agreement; and

WHEREAS, Tenant is aware that execution of this Agreement will preclude Tenant from exercising any rights as a tenant-in-occupancy to purchase under the Plan; and

WHEREAS, Sponsor desires to accommodate Tenant;

NOW, THEREFORE, in consideration of the foregoing recitals and the covenants contained herein, the parties hereto agree as follows:

1. Tenant agrees to surrender possession of the Apartment to the Landlord and shall vacate the Apartment on or before a date which is no later than thirty (30) days after the execution of this Agreement by the parties (hereinafter "Vacate Date"). The Tenant shall give the Sponsor at least ten (10) days' notice of the intended Vacate Date.

2. Tenant understands that execution of this Agreement shall mean that Tenant and all other occupants and/or subtenants, legal or otherwise, of the Apartment shall have no further right to occupancy or possession of the Apartment and that all of the Tenant's rights occupy or possess the Apartment shall be terminated as of the Vacant Date.

3. Tenant and other occupants, legal and otherwise, shall vacate the Apartment on the Vacate Date. Upon such vacation, Tenant shall leave the Apartment broom-clean, in good order and in the same condition it was when Tenant first occupied it, reasonable wear and tear excepted, with all Tenant's possessions removed. It is expressly understood that anything remaining in the Apartment after the Vacate Date shall be deemed by the Sponsor to have been abandoned by the Tenant and same may be removed and disposed of by the Sponsor without any liability or responsibility therefore whatsoever. In addition, all rent owning for the period until the Apartment is vacated shall be paid in full as and when due and all other obligations, promises and covenants under the Lease or Tenancy shall be honored through and including the date Tenant vacates the Apartment.

4. For and in consideration of the above surrender and vacation, the Sponsor agrees to pay the Tenant the sum of $_____ (hereinafter "Buy-Out Payment") by check in accordance with the provisions of paragraph 6 of this Agreement.

5. If Tenant and all other occupants, legal or otherwise, fail to vacate the Apartment on or before the Vacate Date, Sponsor will have no obligation to make the payment called for in paragraph 4 hereof and Sponsor may immediately commence whatever action is required to recover possession of the Apartment including treating Tenant as a holdover Tenant in summary proceedings to obtain possession of the Apartment in any court of competent jurisdiction. It is also agreed that, to the extent permitted by law, this Agreement shall at such time be treated as a stipulation resolving such proceedings in favor of Sponsor or the owner of the Apartment, and that any remedies of Tenant under the Rent Stabilization Law and Code or the Rent Control Law shall not be available.

6. Upon the vacation of the Apartment and return of keys, all as confirmed by the Landlord, Sponsor shall pay Tenant the Buy-out Payment, as adjusted by deductions, if any, for rent arrears, and the cost of repairing any damages to the Apartment which the Tenant's security deposit, if any, will, in the opinion of the Landlord, be inadequate to cover. Sponsor reserves the right for itself and for the Landlord to inspect the Apartment within forty-eight (48) hours of the Vacate Date.

7. TIME SHALL BE OF THE ESSENCE with respect to Tenant's obligation to vacate the Apartment on or before the Vacate Date. Thus, if Tenant vacates the Apartment after the Vacate Date, Sponsor shall not be obligated to pay the Buy-Out Payment. However, if tenant vacates the Apartment after the Vacate date, the Sponsor will retain the right to make a Buy-Out Payment and will have the right to reduce the applicable Relocation Payment by $150.00 per day for each date after the Vacate Date that Tenant remains in possession of the Apartment.

8. Tenant represents that this Agreement has been executed by all Tenants of record of the Apartment and by all other individuals if any, with any rights to the Tenancy and/or the lease including subtenants.

9. The Tenant and the Sponsor hereby mutually release each other, their heirs, executors and assigns from any and all causes of action, suits, debts, claims, controversies, etc., arising out of the Tenant's leasehold interest in, and/or occupancy of the Apartment, which each can, may or shall have against the other, upon the sole conditions that Tenant vacate the Apartment in accordance with the terms herein and that Sponsor perform its duty of payment as hereinabove set forth.

10. This Agreement shall be binding upon and inure to the benefit of the parties named herein and their respective heirs, successors, personal representatives and assigns.

IN WITNESS WHEREOF, the parties have signed this Agreement.

TJS ASSOCIATES

By:_____ dated_____

_____ dated_____
Tenant

_____
Social Security Number

EXHIBIT C

FINANCING CONTINGENCY RIDER

THIS RIDER IS ANNEXED TO AND FORMS PART OF THE SUBSCRIPTION AGREEMENT DATED _____, BETWEEN TJS ASSOCIATES, AS SELLER, AND _____, AS PURCHASER, RELATIVE TO THE SALE OF _____ SHARES OF CRESTWOOD APARTMENT OWNERS CORP. ALLOCATED TO APARTMENT _____ AT 124-16 84TH ROAD, KEW GARDENS, NEW YORK

A. On condition that Purchaser complies with the provisions of paragraphs B and C below, the obligations of Purchaser under the Subscription Agreement to which this Rider is annexed are subject to the issuance of a commitment letter by a commercial bank, savings bank, savings and loan association, insurance company, pension fund or other institutional lender doing business in the State of New York (the "Lender") to Purchaser within 45 days from the date hereof, pursuant to which the Lender agrees to lend 80% of the Total Cash Payment stated on the front page of the Subscription Agreement (or such lesser amount as may be acceptable to Purchaser), at the prevailing rate of interest (fixed or adjustable) charged by the Lender for cooperative loans,which loan shall provide for monthly payments not in excess of those which would be required for a loan which self-liquidated over a term of at least 25 years (regardless of the actual term of the loan), have a term of not less than 5 years and shall be secured by a pledge, security interest or assignment of, and/or a mortgage on the Shares and Lease.

B. Purchaser shall apply for the loan and furnish to the Lender within five (5) days from the date hereof, truthful, accurate and complete information on Purchaser and members of Purchaser's family as required, and shall promptly thereafter advise Suehope Realty, Inc. ("Selling Agent") of the date upon which such application was made. In the event a commitment letter is issued, a copy thereof shall be furnished to Agent, on behalf of the Sponsor, promptly after receipt.

C. Purchaser shall accept a commitment letter from the Lender complying with the terms of paragraph A above, if issued, shall pay the application, appraisal, commitment, origination or other fees in respect to the loan, and shall comply with the requirements of the commitment letter in all respects.

D. Provided that Purchaser shall have fulfilled all Purchaser's obligations under paragraph B and C above:

(i) if the aforementioned commitment letter is not issued within the 45 day period provided in paragraph A hereof, Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given not more than ten (10) days thereafter, or

(ii) if the commitment letter issued does not comply with the other conditions provided in paragraph A hereof, then Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given ten (10) days after the issuance of such letter, or

(iii) if through no fault of Purchaser, the Lender fails to fund the loan at closing, then Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given not more than ten (10) days after the Closing Date.

In the event Purchaser timely elects to terminate this Agreement in accordance with the foregoing, all sums theretofore paid on account of the Total Cash Payment, with interest to the extent earned (if any), shall be returned within ten (10) days to Purchaser, whereupon the parties hereto, Sponsor and the Selling Agent, shall be relieved of and from any further liability hereunder or under the Plan. If Purchaser shall fail to exercise such right of termination within said ten (10) day period or if Purchaser fail to comply with the conditions set forth in paragraphs B and C above, then in either case this Subscription Agreement shall remain in full force and effect and Purchaser shall no longer have the right to terminate this Agreement in accordance with the provisions of this Rider. In such case Purchaser shall be obligated to complete payment of the entire Total Cash Payment in accordance with the terms of the Subscription Agreement, regardless of Purchaser's ability to arrange financing.

Purchaser:

_____
(signature)

_____
(signature)

AGREED TO:

TJS Associates
17 Bon Aire Circle
Suffern, New York

By: _____

Date Accepted:

_____, 198___

EXHIBIT D

EXHIBIT D

ASSIGNMENT AND ASSUMPTION OF SUBSCRIPTION AGREEMENT

THIS ASSIGNMENT AND ASSUMPTION OF SUBSCRIPTION AGREEMENT made as of the ____ day of _____, 198__ by and between _____ _____ (hereinafter referred to as the "Assignor), residing at 124-16 84th Road, Kew Gardens, New York and _____ _____ (hereinafter referred to as the "Assignee"), residing at _____ _____ _____.

W I T N E S S E T H:

WHEREAS, the Assignor was a bona fide tenant in occupancy on the Presentation Date of the Cooperative Offering Plan dated October 26, 1988 (the "Plan") for The Crestwood, 124-16 84th Road, Kew Gardens, New York (the "Premises"); and

WHEREAS, the Assignor executed a certain subscription agreement dated _____, 198__ (the "Subscription Agreement") to purchase residential apartment number _____ (the "Apartment") located in the Premises, from TJS Associates (the "Sponsor") in accordance with the terms of the Plan, as amended to date; and

WHEREAS, the Assignor paid a down payment of ten (10%) percent of the Total Cash Payment for that Apartment (the "Down Payment") pursuant to the Subscription Agreement; and

WHEREAS, the Assignor desires to assign to assign to the Assignee all of the Assignor's right, title and interest in and to the Subscription Agreement and the Down Payment; and

WHEREAS, the Assignee desires to assume all of the obligations and responsibilities of the Assignor in and to the Subscription Agreement and the Down Payment; and

WHEREAS, the parties hereto wish to set forth their agreements with respect to this Assignment.

NOW THEREFORE, in consideration of the mutual promises herein contained, and other good and valuable consideration, the parties hereto agree as follows:

1. ASSIGNMENT: The Assignor hereby assigns to the Assignee, from and after the date hereof, all of the Assignor's right, title and interest in and to the Subscription Agreement, a copy of which is attached hereto and made a copy of which is attached hereto and made a part hereof, including but not limited to the Assignor's rights in and to the Down Payment.

2. ASSUMPTION: The Assignee hereby assumes all of the obligations, promises, covenants, and responsibilities of the Assignor in and to the Subscription Agreement as if the Assignee had signed the Subscription Agreement originally as "Purchaser", including but not limited to, the obligation to pay the Purchase Price as set forth in the Subscription Agreement.

3. AUTHORIZATION AND DIRECTION: The Assignor and the Assignee hereby authorize and direct the Sponsor to issue, the stock certificate in the name of the Assignee on the closing date of the Apartment.

4. ASSIGNOR'S REPRESENTATIONS: The Assignor warrants and represents that he is a bona fide tenant in occupancy and his existing rental lease is in good standing and not in default.

5. ASSIGNEE'S REPRESENTATIONS: Simultaneously herewith, the Assignee has signed and sworn to a statement of purchase which is hereby incorporated into this Assignment with the same force and effect as if set forth at length.

6. OFFERING PLAN READ: The Assignee hereby states that the Assignee has received and read the Plan, as amended to date, and the documents made a part thereof at least three (3) full business days prior to the day and year first above written. The Assignee hereby adopts, accepts and approves the Plan. The Plan, as well as all amendments to the Plan duly filed by the Sponsor are hereby incorporated into this Assignment with the same force and effect as if set forth at length.

7. EFFECTIVE DATE: This Assignment shall not be deemed effective until consented to by the Sponsor.

IN WITNESS WHEREOF, the Assignor and the Assignee have duly executed this Assignment and Assumption of Subscription Agreement on the day and year first above written.

ASSIGNOR:

_____ L.S.

_____ L.S.

ASSIGNEE:

_____ L.S.

_____ L.S.

Social Security Number of Assignee(s):

_____

_____

CONSENT TO:

TJS Associates

By: _____
Authorized Signatory

STATE OF NEW YORK)
) ss.:
COUNTY OF NEW YORK)

On the _____ day of _____, 19___, before me personally came _____, to me known and known to me to be the individual(s) described in and who executed the foregoing instrument, and he/she/they duly acknowledged to me that he/she/they executed the same.

_____
Notary Public

STATE OF NEW YORK)
) ss.:
COUNTY OF)

On the ____ day of _____, 19___, before me personally came _____, to me known, and who, being duly sworn, did depose and say that he/she resides at _____; and that he/she is the _____ of _____, the corporation described in and which executed the foregoing instrument; that he/she knows the seal of said corporation; that the seal affixed to said instrument is such corporate seal; that it was so affixed by order of the Board of Directors of said corporation, and that he/she signed his/her name thereto by like order.

_____
Notary Public

28. NO WAIVER OF LEASE PROVISIONS

A. Even if Owner accepts your rent or fails once or more often to take action against You when You have not done what You have agreed to do in this Lease, the failure of Owner to take action or Owner's acceptance of rent does not prevent Owner from taking action at a later date if You again do not do what You have agreed to do.

B. Only a written agreement between You and Owner can waive any violation of this Lease.

C. If You pay and Owner accepts an amount less than all the rent due, the amount received shall be considered to be in payment of all or a part of the earliest rent due. It will not be considered an agreement by Owner to accept this lesser amount in full satisfaction of all of the rent due.

D. Any agreement to end this Lease and also to end the rights and obligations of You and Owner must be in writing, signed by You and Owner or Owner's agent. Even if You give keys to the Apartment and they are accepted by any employee, or agent, or Owner, this Lease is not ended.

29. CONDITION OF THE APARTMENT

When You signed this Lease, You did not rely on anything said by Owner, Owner's agent or superintendent about the physical condition of the Apartment, the Building or the land on which it is built. You did not rely on any promises as to what would be done, unless what was said or promised is written in this Lease and signed by both You and Owner or found in Owner's floor plans or brochure shown to You before You signed the Lease. Before signing this Lease, You have inspected the apartment and You accept it in its present condition "as is," except for any condition which You could not reasonably have seen during your inspection. You agree that Owner has not promised to do any work in the Apartment except as specified in attached "Work" rider.

30. Intentionally Omitted.

31. DEFINITIONS

A. Owner: The term "Owner" means the person or organization receiving or entitled to receive rent from You for the Apartment at any particular time other than a rent collector or managing agent of Owner. "Owner" includes the owner of the land or Building, a lessor, or successor of the land or Building and a mortgagee in possession. It does not include a former owner, even if the former owner signed this Lease.

B. You: The Term "You" means the person or persons signing this Lease as Tenant and the successors and assigns of the signer. This Lease has established a tenant-landlord relationship between You and Owner.

32. SUCCESSOR INTERESTS

Apartment

Premises

Tenant

Expires

STANDARD FORM OF APARTMENT

Lease

The Real Estate Board of New York, Inc.

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ATTACHED RULES WHICH ARE A PART OF THE LEASE AS PROVIDED BY ARTICLE 11

Public Access Ways

(a) Tenants shall not block or leave anything in or on fire escapes,the sidewalks, entrances, driveways, elevators, stairways, or halls. Public access ways shall be used only for entering and leaving the Apartment and the Building. Only those elevators and passageways designated by Owner can be used for deliveries.

(b) Baby carriages, bicycles or other property of Tenants shall not be allowed to stand in the halls, passageways, public areas or courts of the Building.

Bathroom and Plumbing Fixtures

2. The bathrooms, toilets and wash closets and plumbing fixtures shall only be used for the purposes for which they were designed or built; sweepings, rubbish bags, acids or other substances shall not be placed in them.

Refuse

3. Carpets, rugs or other articles shall not be hung or shaken out of any window of the Building. Tenants shall not sweep or throw or permit to be swept or thrown any dirt, garbage or other substances out of the windows or into any of the halls, elevators or elevator shafts. Tenants shall not place any articles outside of the Apartment or outside of the building except in safe containers and only at places chosen by Owner.

Elevators

4. All non-automatic passenger and service elevators shall be operated only by employees of Owner and must not in any event be interfered with by Tenants. The service elevators, if any, shall be used by servants, messengers and trades people for entering and leaving, and the passenger elevators, if any, shall not be used by them for any purpose. Nurses with children, however, may use the passenger elevators.

Laundry

5. Laundry and drying apparatus, if any, shall be used by Tenants in the manner and at the times that the superintendent or other

LEASE RIDER

(FOR APARTMENT NO. ____)

RIDER TO LEASE DATED _____, 19___, between _____, as landlord (the "Owner"), and _____, as tenant (the "Tenant") of Apartment No. _____ (the "Apartment") in the Building known as and by the street address _____ _____, New York.

33. Supplementing and modifying Paragraph 4:

A. Owner has informed Tenant and Tenant acknowledges that the rent payable hereunder is not subject to the New York City Rent Stabilization Law and Code and the Lease is not subject to either the Rent Stabilization Law of 1969, as amended, or the amended code of the Rent Stabilization Association of New York City, Inc.

B. Tenant has been informed that, and acknowledges that, Tenant shall not be entitled to any renewal of this Lease upon its expiration.

34. Supplementing and modifying Paragraph 6:

The provisions of Paragraph 6 are intended to constitute "an express provision to the contrary" within the meaning of Section 223-a of the New York Real Property Law.

35. Supplementing and modifying Paragraph 12:

Tenant will do nothing to interfere or make more difficult Owner's efforts to provide Tenant or any other occupant of the Building with any required facilities and services. Any condition caused by Tenant's misconduct or the misconduct of anyone under Tenant's direction or control shall not be a breach by Owner.

36. Supplementing and modifying Paragraph 15:

During reasonable hours and with reasonable notice, except in emergencies, Owner or the Apartment Corporation or their respective agents and servants, as the case may be, may enter the Apartment to erect, use and maintain pipes and conduits in and through the wall and ceilings of the Apartment; to inspect the Apartment and to make any necessary repairs or changes. Tenant's rent will not be reduced because of any of this work, unless required by law.

37. It will be a default under this Lease if any of the following occurs:

1. Tenant fails to carry out any agreement or provision of this Lease, the Cooperative Offering Plan for the Building, the Cooperative By-Laws of the Building, or the Proprietary Lease for the Apartment, including but not limited to the Rules and Regulations appurtenant thereto;

2. an execution or attachment is issued against Tenant or Tenant's property whereupon the Apartment is taken or occupied by other than Tenant.

38. Supplementing and modifying Paragraph 18:

The payment of rent on the date specified herein is essential to this Lease. Therefore, in the event Owner shall commence summary proceedings against Tenant for non-payment of rent, Tenant shall pay Owner's attorney's fees plus all costs and disbursements incurred as a result of said proceedings, which charges shall be additional rent due under this Lease.

39. Supplementing Paragraph 20:

In the event that any check submitted by the Tenant for payment of rent or additional rent is returned by the maker's bank for any reason, the Tenant shall pay, as additional rent, payable on demand, the sum of $15.00 for each check returned.

40. Supplementing and modifying Paragraph 24:

Owner has informed Tenant and Tenant acknowledges that Owner is the owner of the shares allocated to the Apartment in the Cooperative known as The Senate, 367-394 Avenue S, Brooklyn, New York. This Lease is "subject and subordinate to" the terms and conditions of the Cooperative Offering Plan, the Apartment Corporation By-Laws and the Proprietary Lease for the Apartment, including but not limited to the Rules and Regulations appurtenant thereto, as same have been amended from time to time. Tenant hereby acknowledges that he has seen or read such documents and will not violate them in any way. If there is any conflict between the terms of this Lease, on the one hand, and the terms of the Cooperative Offering Plan, the Apartment Corporation By-Laws or the Proprietary Lease for the Apartment, on the other hand, the terms of the Cooperative Offering Plan, Apartment Corporation By-Laws or Proprietary Lease for the Apartment, as the case may be, shall govern and control. This Lease shall be subject to the Cooperative Offering Plan, Apartment Corporation By-Laws and Proprietary Lease for the Apartment in all respects.

41. Anything in this Lease to the contrary notwithstanding, Tenant shall look solely to the interest and property of Owner in the Apartment, for the satisfaction of each and every one of Tenant's remedies in the event of any default or breach by Owner with respect to any of the terms, covenants and conditions of the Lease to be observed and/or performed by Owner, and no other property or assets of Owner shall be subject to levy, execution or other enforcement procedure for the satisfaction of Tenant's remedies.

42. Notwithstanding anything in this Lease to the contrary, this Lease may be cancelled by Owner by the sending of a written notice to Tenant within a reasonable time after the happening of any one or more of the following events: (1) the commencement of a case in bankruptcy or under the laws or any state naming Tenant as the debtor; or (2) the making by Tenant of an assignment or any other arrangement for the benefit of creditors under any state statute. Neither Tenant nor any person claiming through or under Tenant, or by reason of any statute or court order shall thereafter be entitled to access or occupancy to the Apartment.

43. Supplementing Paragraph 31:

For purposes of this Rider only:

A. Owner: The term "Owner" means the person or organization receiving or entitled to receive rent from Tenant for the Apartment at any particular time other than a rent collector or managing agent of Owner. "Owner" includes the Owner of the Shares allocated to the Apartment which is part of the Cooperative. It does not include a former landlord.

B. Tenant: The term "Tenant" means the person or persons signing this Lease as tenant and the successors and assigns of the signer.

C. Apartment Corporation: The term "Apartment Corporation" means Senate Apartments, Inc. which is the owner of The Senate, 367-394 Avenue S, Brooklyn, New York.

D. Cooperative: The term "Cooperative" means the land and buildings known as The Senate and located at 367-394 Avenue S, Brooklyn, New York, which land and buildings are owned by the Apartment Corporation.

E. Cooperative Offering Plan: The Offering Plan dated February 16, 1989 to convert the land and buildings at 367-394 Avenue S, Brooklyn, New York to cooperative ownership, as amended.

44. Notwithstanding any provision of this Lease to the contrary, it is understood and agreed that the terms and conditions of this Lease, and the effectiveness thereof, are subject to: (i) the approval and acceptance by Owner, and the execution by a duly

authorized partner, officer or agent of Owner, of this Lease, (ii) the re-delivery to Tenant of a duplicate original hereof duly executed by Owner, and (iii) the honoring and clearing of all notes, drafts and checks furnished by or on behalf of Tenant to Owner in conjunction with Tenant's execution of this Lease as payment of the rent. Neither any representation, oral or written, nor Tenant's execution or delivery to Owner of this Lease, shall constitute the acceptance by Owner of this Lease.

45. Notwithstanding anything contained in the printed portion of this Lease to the contrary, if there is any conflict between the terms of this Rider and the printed portion of this Lease, the terms of this Rider shall control.

46. This Lease shall be governed by, and construed and enforced in accordance with, the laws of the State of New York and without the aid of any canon, custom or rule of law requiring or suggesting construction against the party drafting or causing the drafting of the provision in question.

47. If any provision of this Lease should be held unenforceable or void, then such provision shall be deemed separable from the remaining provisions and shall in no way affect the validity of this Lease or the right of the Landlord to enforce the other terms thereof against the Tenant.

TENANT:

_____

_____

LANDLORD

By: _____
Authorized Signatory

WINDOW GUARDS REQUIRED

LEASE NOTICE TO TENANT

You are required by law to have window guards installed if a child 10 years of age or younger lives in your apartment.

Your Landlord is required by law to install window guards in your apartment:

- if you ask him to put in window guards at any time (you need not give a reason)

OR

- if a child 10 years of age or younger lives in your apartment.

It is a violation of law to refuse, interfere with installation, or remove window guards where required.

CHECK ONE

☐ CHILDREN 10 YEARS OF AGE OR YOUNGER LIVE IN MY APARTMENT

☐ NO CHILDREN 10 YEARS OF AGE OR YOUNGER LIVE IN MY APARTMENT

☐ I WANT WINDOW GUARDS EVEN THOUGH I HAVE NO CHILDREN 10 YEARS OF AGE OR YOUNGER

_____

TENANT (PRINT)

_____

TENANT SIGNATURE

FOR FURTHUR INFORMATION CALL:
Window Falls Prevention Program
New York City Department of Health
125 Worth Street, Room 222A
New York, New York 10013
(212) 566-3082

LEASE-TO-OWN
LEASE RIDER

(For Apartment No.____)

RIDER TO LEASE DATED _____, 19___, between _____, as landlord (the "Owner"), and _____, as tenant (the "Tenant") of Apartment _____ (the "Apartment") in the Building known as and by the street address _____ _____, New York.

48. Supplementing and modifying Paragraph 2:

Notwithstanding any expiration date which may be set forth in this Lease, this Lease shall terminate upon the sooner to occur of (i) the closing of title to the Apartment pursuant to the Purchase Agreement (if any) by and between Owner and Tenant, (ii) the date on which this Lease is terminated by Owner pursuant to the terms of this Lease, or (iii) the date on which the Purchase Agreement is cancelled because of a default thereunder.

49. Supplementing and modifying Paragraph 3:

A portion of the monthly rent hereunder shall be credited towards the purchase price of the Apartment as provided in the Purchase Agreement (the "Allowable Credit Amount").

50. If Tenant does not purchase the Apartment and does not return the Apartment to Owner in the same condition it was in when Tenant first occupied it, except for ordinary wear and tear or damage caused by fire or other casualty, Tenant is obligated to pay Owner and Owner reserves all right to collect sums or the cost of restoration due to the damage Tenant may have caused, within ten (10) days after notice therefor. Tenant is also obligated upon surrender of possession of the Apartment to pay the cost of repainting the

Apartment. Owner is entitled to use part or all of the Security Deposit under the Lease and/or the Contract Deposit under the Purchase Agreement for such repairs or repainting, and to apply such Security Deposit and/or Contract Deposit against any rent arrearages under the Lease, and to sue Purchaser in the event such Security Deposit and Contract Deposit are insufficient. Tenant's obligation to observe or perform these covenants shall survive the expiration or other termination of this Lease unless Tenant becomes the owner of the Apartment.

51. Supplementing and modifying Paragraph 9:

A. Notwithstanding anything to the contrary, Tenant's obligations to move out, repair or move property, installations or alterations pursuant to the Lease will not continue to be in effect if this Lease is terminated pursuant to subparagraph (i) Paragraph 48 of this Rider.

B. In the event Tenant does not purchase the Apartment pursuant to the Purchase Agreement, Tenant shall vacate and surrender the Apartment in broom clean condition as of the termination date

52. Supplementing and modifying Paragraph 17:

Tenant acknowledges and agrees that any uncured default under the Purchase Agreement will be deemed a default under this Lease upon which the Owner may cancel this Lease and require the Tenant to vacate the Apartment within five (5) days after delivery to the Tenant of notice of the cancellation. A default in the terms and conditions of this Lease is also a default under the terms of the Purchase Agreement which will permit the Sponsor to cancel the Purchase Agreement and retain the Contract Deposit as liquidated damages.

53. Supplementing Paragraph 22:

A. Tenant shall be solely responsible for any damage to, or loss or other condition in, the Apartment resulting from his use or occupancy, and neither the Owner nor the Selling Agent nor the Apartment Corporation shall be obligated to make any repairs to the Apartment or its appliances, fixtures and equipment. However, the Owner will remain responsible for those repairs otherwise required of it under this Lease.

B. If during Tenant's occupancy of the Apartment it is damaged by casualty or otherwise, the Tenant shall assume the risk of loss and the obligation to repair the damage, unless the cause thereof originated outside the Apartment and did not result from the acts of Tenant or other occupants of the Apartment or Tenant's guests, invitees or workmen.

TENANT:

_____

LANDLORD:

_____

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

THIRD AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989 (the "Plan") and should be read in conjunction therewith.

1. WAIVER OF PRE-SALE CONDITION

The Pre-Sale Condition set forth in Paragraph 3 of the Second Amendment is hereby waived. As such, Paragraphs 4 through 11 entitled Sponsor's Guaranty of Budget Line Item for Mortgage Payments, Terms of Mortgage, Working Capital Fund, Financing Contingency, Assignment of Purchase Agreement, New York City Transfer Tax, Sponsor Will Perform Repairs, and Appliance and Improvement Package are in effect regardless of whether Sponsor meets the Pre-Sale Condition.

2. APPLICATIONS FOR FINANCING CONTINGENCY

Purchasers who are making their purchase contingent upon the receipt of financing shall apply for the loan and shall furnish to the institution, within five (5) days after the Loan Notice Date (the date of presentation of a notice and/or amendment fixing the Closing Date) accurate and complete information on purchaser and members of Purchaser's family, as required, shall advise Seller of the name and address of the institution to which such application has been made and the date upon which it was made and shall cause to be furnished to the Corporation, for its consideration, as soon as practicable, the agreement proposed to be made by the institution with the Corporation. A new Financing Contingency Rider reflecting the foregoing is annexed hereto as Exhibit A.

3. CLOSING COSTS

Modifying the list of closing costs set forth in the Plan and contained in Paragraph 3 of the Subscription Agreement, a Purchaser shall pay:

(a) a fee of $100 to an attorney designated by the Apartment Corporation for each closing; or

(b) if and only if the purchaser elects to finance any portion of the Balance by obtaining a loan secured by a pledge of his shares and Proprietary Lease, the purchaser will be required to pay a fee of $300.00 to an attorney specified by the Apartment Corporation for his services in preparing and/or reviewing documents to be executed by the Apartment Corporation in connection with the loan and pledge and attendance and services at the closing of the loan. The purchaser may also be required by the lender to pay other fees and/or expenses, such as an appraisal fee, an origination fee, an attorney's fee, a title insurance fee and uniform commercial code financing statement search and filing fee.

4. SELECTIONS UNDER THE APPLIANCE AND IMPROVEMENT PACKAGE

Paragraph 8 of the Appliance and Improvement Rider is amended so that prior to the Sponsor being entitled to make selections binding the Purchaser, it shall be required to give to Purchaser fourteen (14) days prior written notice that it is doing so.

5. AMENDMENT TO APPLIANCE AND IMPROVEMENT PACKAGE

Paragraph 1 under the Bathroom specifications appearing at page 64 of the Plan is amended to correct an error in that Sponsor shall tile the wall and shower areas only. Said specification together with all others set forth in the Plan are on display at the Sales Office at the Building.

6. INCORPORATION OF PLAN

The Plan, as modified and supplemented hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

7. DEFINITIONS

All of the terms used in this Third Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

8. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in prior Amendments hereto and herein.

T.J.S. ASSOCIATES
SPONSOR

DATED: October 4, 1989
New York, New York

EXHIBIT A

FINANCING CONTINGENCY RIDER

THIS RIDER IS ANNEXED TO AND FORMS PART OF THE SUBSCRIPTION AGREEMENT DATED _____, BETWEEN TJS ASSOCIATES, AS SELLER, AND _____, AS PURCHASER, RELATIVE TO THE SALE OF _____ SHARES OF CRESTWOOD APARTMENT OWNERS CORP. ALLOCATED TO APARTMENT _____ AT 124-16 84TH ROAD, KEW GARDENS, NEW YORK

A. On condition that Purchaser complies with the provisions of paragraphs B and C below, the obligations of Purchaser under the Subscription Agreement to which this Rider is annexed are subject to the issuance of a commitment letter by a commercial bank, savings bank, savings and loan association, insurance company, pension fund or other institutional lender doing business in the State of New York (the "Lender") to Purchaser within 45 days from the Loan Notice Date, pursuant to which the Lender agrees to lend 80% of the Total Cash Payment stated on the front page of the Subscription Agreement (or such lesser amount as may be acceptable to Purchaser), at the prevailing rate of interest (fixed or adjustable) charged by the Lender for cooperative loans,which loan shall provide for monthly payments not in excess of those which would be required for a loan which self-liquidated over a term of at least 25 years (regardless of the actual term of the loan), have a term of not less than 5 years and shall be secured by a pledge, security interest or assignment of, and/or a mortgage on the Shares and Lease.

B. Purchaser shall apply for the loan and furnish to the Lender within five (5) days from the Loan Notice Date, truthful, accurate and complete information on Purchaser and members of Purchaser's family as required, and shall promptly thereafter advise Suehope Realty, Inc. ("Selling Agent") of the date upon which such application was made. In the event a commitment letter is issued, a copy thereof shall be furnished to Agent, on behalf of the Sponsor, promptly after receipt.

C. Purchaser shall accept a commitment letter from the Lender complying with the terms of paragraph A above, if issued, shall pay the application, appraisal, commitment, origination or other fees in respect to the loan, and shall comply with the requirements of the commitment letter in all respects.

D. Provided that Purchaser shall have fulfilled all Purchaser's obligations under paragraph B and C above:

(i) if the aforementioned commitment letter is not issued within the 45 day period provided in paragraph A hereof, Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given not more than ten (10) days thereafter, or

(ii) if the commitment letter issued does not comply with the other conditions provided in paragraph A hereof, then Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given ten (10) days after the issuance of such letter, or

(iii) if through no fault of Purchaser, the Lender fails to fund the loan at closing, then Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given not more than ten (10) days after the Closing Date.

In the event Purchaser timely elects to terminate this Agreement in accordance with the foregoing, all sums theretofore paid on account of the Total Cash Payment, with interest to the extent earned (if any), shall be returned within ten (10) days to Purchaser, whereupon the parties hereto, Sponsor and the Selling Agent, shall be relieved of and from any further liability hereunder or under the Plan. If Purchaser shall fail to exercise such right of termination within said ten (10) day period or if Purchaser fail to comply with the conditions set forth in paragraphs B and C above, then in either case this Subscription Agreement shall remain in full force and effect and Purchaser shall no longer have the right to terminate this Agreement in accordance with the provisions of this Rider. In such case Purchaser shall be obligated to complete payment of the entire Total Cash Payment in accordance with the terms of the Subscription Agreement, regardless of Purchaser's ability to arrange financing.

Purchaser:

_____
(signature)

_____
(signature)

AGREED TO:

TJS Associates
17 Bon Aire Circle
Suffern, New York

By:_____

Date Accepted:

_____, 198___

FOURTH AMENDMENT

TO

OFFERING PLAN TO CONVERT TO
COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: DECEMBER 22, 1989

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND THE THIRD AMENDMENT DATED OCTOBER 4, 1989 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

FOURTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989 and the Third Amendment dated October 4, 1989 (the "Plan") and should be read in conjunction therewith.

1. REDUCED PURCHASE PRICE FOR UP TO TEN (10) TENANT-OFFEREES

Each Tenant-Offeree is hereby given the exclusive right until January 15, 1990 (the "New Exclusive Period") to purchase the shares allocated to his or her Apartment at a new reduced Purchase Price of $225.00 per share; provided, however, that in the event that more than ten (10) Tenant-Offerees submit Subscription Agreements at the reduced Purchase Price of $225.00 per share, the Sponsor shall hold a random drawing to select ten (10) purchasers who will actually close at this reduced Purchase Price. The Subscription Agreements of purchasers who are not selected in this drawing shall, at the option of the purchaser, either (i) be revised to reflect a Purchase Price of $400.00 per share, or (ii) terminate in which case neither the Sponsor nor such purchaser shall have any further liability to the other under the cancelled Subscription Agreement. The Sponsor shall promptly return to purchasers any down payments received under cancelled Subscription Agreements. Under no circumstances shall the Sponsor be required to sell more than ten (10) Apartments at the reduced Purchase Price of $225 per share.

Upon the expiration of the New Exclusive Period, the Purchase Price offered to Tenant-Offerees will increase automatically to the Purchase Price then being offered to Non-Tenant Purchasers, currently $565 per share.

2. FINANCING CONTINGENCY

Each Tenant-Offeree who subscribes to purchase his or her Apartment within the New Exclusive Period shall have the right to condition his Subscription Agreement upon obtaining financing of up to eighty (80%) percent of the Purchase Price. The Financing Contingency Rider to the Subscription Agreement is annexed hereto as Exhibit A. In order to be effective, said Rider must be executed by the Tenant-Offeree and submitted to the Selling Agent together with the Subscription Agreement. No representation is made as to the availability, amount, terms, or conditions upon which such financing may be granted or the cost of such financing.

3. TRANSFER TAXES

The Sponsor shall be responsible for the payment of the New York City Real Property Transfer Tax and the New York State Real Estate Transfer Tax imposed upon the initial transfer of shares of the Apartment Corporation to any Tenant-Offeree who subscribes during the New Exclusive Period. The Sponsor shall also be entitled to receive any available credit for such taxes paid upon the transfer of title to the Apartment Corporation.

4. AMENDMENTS TO THE BY-LAWS OF THE APARTMENT CORPORATION

A. The fourth sentence of Article III, Section 1 is amended to add at the end thereof the words "or spouses of such resident stockholders."

B. The second paragraph of Article III, Section 6 is amended to read as follows:

> "Any director may be removed from office with or without cause by a majority of the shareholders of the Corporation at a meeting duly called for that purpose."

5. CREDIT AGAINST RESERVE FUND

The Sponsor plans to make the following capital replacements in the Building:

	Replacement	Estimated Cost
1.	Roof and parapet walls	$ 56,500
2.	Windows	100,000
3.	Elevator	45,000
4.	Pointing, bulkheads, chimneys, and rooftop door frames	18,800
		$220,300

In accordance with the provisions of Local Law 70 of 1982, the Sponsor will take a credit against its initial contribution the Reserve Fund for said work. In order to qualify for the credit against its initial contribution to the Reserve Fund, the Sponsor must commence work on the capital replacements subsequent to the date on which the Plan was first submitted to the Department of Law and prior to the date on which the Plan is declared effective.

The amount of the credit taken by the Sponsor against its initial contribution to the Reserve Fund cannot exceed the lesser of (i) one (1%) percent of the Total Price, or (ii) the actual cost of the capital replacement. The figures shown above are the Sponsor's best estimate of the cost of the work to be performed. The actual cost of the work listed above may be more or less than the estimated cost indicated. If the actual cost of the work is $220,300 as shown above, the Sponsor will be entitled to a maximum credit of approximately $33,650 (based on the Total Price to Tenant-Offerees of $225 per share set forth in this Amendment) and the Sponsor will make an initial contribution to the Reserve Fund under Local Law 70 of approximately $67,300 assuming the Sponsor elects the option set forth in paragraph (i) on page 87 of the Plan.

The Sponsor plans to make application to the Division of Housing and Community Renewal (DHCR) for major capital improvement (MCI) rent increases in respect to all eligible work performed or to be performed by the Sponsor at the Premises, including without limitation the above-referenced work. Non-purchasing tenants should note that their rents shall increase in accordance with DHCR's guidelines in the event of a successful MCI application.

6. SPONSOR TO REIMBURSE TENANTS ASSOCIATION FOR LEGAL FEES

The Sponsor has agreed to reimburse the Crestwood Tenants Association in an amount up to $20,000 for the fair and reasonable fees and disbursements actually incurred by it for legal and engineering counseling. The Tenants Association shall submit proof of the fees and disbursements incurred. The sum to be reimbursed shall be paid to the Crestwood Tenants Association or its designee.

7. CONDITIONS PRECEDENT

All of the provisions and improved terms contained in Paragraphs 1, 2, 3, and 6 of this Amendment are expressly conditioned upon (i) not less than six (6) Tenant-Offerees subscribing to purchase their respective Apartments before the expiration of the New Exclusive Period, and (ii) not less than six (6) of the Tenant-Offerees who subscribe during the New Exclusive Period being counted toward the effectiveness of the Plan by the Attorney General.

In the event these conditions are not satisfied, the Sponsor reserves the right to withdraw the provisions of said paragraphs. In

the event the Sponsor exercises such right, then the Plan will be amended and the Tenant-Offerees who subscribed to purchase after the Presentation Date of this Amendment will be notified, their Subscription Agreements will be cancelled and they will receive a prompt refund of their downpayments. The Sponsor reserves the further right, in its sole discretion, to waive the aforementioned conditions.

8. REVISED TAX OPINION

Annexed hereto as Exhibit B is the revised Attorney's Tax Opinion.

9. INCORPORATION OF PLAN

The Plan, as modified and supplemented hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

10. DEFINITIONS

All of the terms used in this Third Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

11. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in prior Amendments hereto and herein.

T.J.S. ASSOCIATES
SPONSOR

DATED: December 22, 1989
New York, New York

EXHIBIT A

FINANCING CONTINGENCY RIDER

THIS RIDER IS ANNEXED TO AND FORMS PART OF THE SUBSCRIPTION AGREEMENT DATED _____, BETWEEN TJS ASSOCIATES, AS SELLER, AND _____, AS PURCHASER, RELATIVE TO THE SALE OF _____ SHARES OF CRESTWOOD APARTMENT OWNERS CORP. ALLOCATED TO APARTMENT _____ AT 124-16 84TH ROAD, KEW GARDENS, NEW YORK

A. On condition that Purchaser complies with the provisions of paragraphs B and C below, the obligations of Purchaser under the Subscription Agreement to which this Rider is annexed are subject to the issuance of a commitment letter by a commercial bank, savings bank, savings and loan association, insurance company, pension fund or other institutional lender doing business in the State of New York (the "Lender") to Purchaser within 45 days from the Loan Notice Date, pursuant to which the Lender agrees to lend 80% of the Total Cash Payment stated on the front page of the Subscription Agreement (or such lesser amount as may be acceptable to Purchaser), at the prevailing rate of interest (fixed or adjustable) charged by the Lender for cooperative loans, which loan shall provide for monthly payments not in excess of those which would be required for a loan which self-liquidated over a term of at least 25 years (regardless of the actual term of the loan), have a term of not less than 5 years and shall be secured by a pledge, security interest or assignment of, and/or a mortgage on the Shares and Lease.

B. Purchaser shall apply for the loan and furnish to the Lender within five (5) days from the Loan Notice Date, truthful, accurate and complete information on Purchaser and members of Purchaser's family as required, and shall promptly thereafter advise Suehope Realty, Inc. ("Selling Agent") of the date upon which such application was made. In the event a commitment letter is issued, a copy thereof shall be furnished to Agent, on behalf of the Sponsor, promptly after receipt.

C. Purchaser shall accept a commitment letter from the Lender complying with the terms of paragraph A above, if issued, shall pay the application, appraisal, commitment, origination or other fees in respect to the loan, and shall comply with the requirements of the commitment letter in all respects.

D. Provided that Purchaser shall have fulfilled all Purchaser's obligations under paragraph B and C above:

(i) if the aforementioned commitment letter is not issued within the 45 day period provided in paragraph A hereof, Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given not more than ten (10) days thereafter, or

(ii) if the commitment letter issued does not comply with the other conditions provided in paragraph A hereof, then Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given ten (10) days after the issuance of such letter, or

(iii) if through no fault of Purchaser, the Lender fails to fund the loan at closing, then Purchaser shall have the right to terminate this Agreement on written notice to the Selling Agent given not more than ten (10) days after the Closing Date.

In the event Purchaser timely elects to terminate this Agreement in accordance with the foregoing, all sums theretofore paid on account of the Total Cash Payment, with interest to the extent earned (if any), shall be returned within ten (10) days to Purchaser, whereupon the parties hereto, Sponsor and the Selling Agent, shall be relieved of and from any further liability hereunder or under the Plan. If Purchaser shall fail to exercise such right of termination within said ten (10) day period or if Purchaser fail to comply with the conditions set forth in paragraphs B and C above, then in either case this Subscription Agreement shall remain in full force and effect and Purchaser shall no longer have the right to terminate this Agreement in accordance with the provisions of this Rider. In such case Purchaser shall be obligated to complete payment of the entire Total Cash Payment in accordance with the terms of the Subscription Agreement, regardless of Purchaser's ability to arrange financing.

Purchaser:

_____
(signature)

_____
(signature)

AGREED TO:

TJS Associates
17 Bon Aire Circle
Suffern, New York

By: _____

Date Accepted:

_____, 198___

THIRD AMENDMENT

TO

OFFERING PLAN TO CONVERT TO COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: October 4, 1989

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

FIFTH AMENDMENT

TO

OFFERING PLAN TO CONVERT TO COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: MARCH 13, 1990

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND THE THIRD AMENDMENT DATED OCTOBER 4, 1989 AND THE FOURTH AMENDMENT DATED DECEMBER 22, 1989 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

FIFTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989 and the Fourth Amendment dated December 22, 1989 (the "Plan") and should be read in conjunction therewith.

1. PLAN DECLARED EFFECTIVE

In accordance with the terms of the Plan (see "Effective Date" at pages 68 through 70), the Sponsor declared the Plan effective as a non-eviction plan by written notice to all Purchasers and Tenants on January 15, 1990. A copy of the Notice of the Sponsor advising that the Plan has been declared effective is annexed hereto as Exhibit "A". A copy of the affidavit of service of such Effectiveness Notice is attached hereto as Exhibit "B". The Sponsor's effectiveness affidavit is set forth as Exhibit "C". Such affidavit reflects that on January 15, 1990, the date the Plan was declared effective, executed Subscription Agreements had been received by the Sponsor for twelve (12) Apartments representing 16.9% of the 71 Apartments offered for sale pursuant to the terms of the Plan from either Tenant-Offerees (1 Subscription Agreement) with no discriminatory inducement or Non-Tenant Purchasers (11 Subscription Agreements) who represented that they or one or more of their immediate family will occupy the apartment.

2. WAIVER OF CONDITIONS

The conditions precedent set forth in Paragraph 7 of the Fourth Amendment are hereby waived with respect to the provisions of Paragraphs 1, 2 and 3 only of the Fourth Amendment.

3. INCORPORATION OF PLAN

The Plan, as modified and supplemented hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

4. DEFINITIONS

All of the terms used in this Fifth Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

5. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in prior Amendments hereto and herein.

T.J.S. ASSOCIATES
SPONSOR

DATED: March 13, 1990
New York, New York

EXHIBIT A

EXHIBIT A

TJS ASSOCIATES
17 BON AIRE CIRCLE
BUFFERN, NEW YORK 10901

January 15, 1990

RE: The Cooperative Offering Plan
THE CRESTWOOD
124-16 84th Road
Kew Gardens, New York 11415

Dear Tenant or Purchaser:

TJS Associates, the Sponsor of the Offering Plan to convert the referenced Premises to cooperative ownership, is pleased to announce that the Offering Plan is hereby declared effective as of January 15, 1990, as we have received the number of Subscription Agreements required for effectiveness under the Offering Plan and under applicable laws and regulations.

Within five (5) business days hereof, we will submit for filing to the Department of Law an Amendment to the Offering Plan confirming that the Offering Plan was declared effective as of the date hereof. Such Amendment will be presented to all Tenants and Purchasers after it is accepted for filing by the Department of Law. The Closing of Title with respect to any residential apartment will in no event take place prior to the acceptance for filing of such Amendment to the Offering Plan.

We will be sending to you a separate Notice to establish a date for the Closing under the Offering Plan.

Very truly yours,

TJS ASSOCIATES

By: _____
Sheldon S. Goldstein
General Partner

EXHIBIT B

EXHIBIT B

AFFIDAVIT OF MAILING
OF
THE LETTER DECLARING EFFECTIVE
THE COOPERATIVE OFFERING PLAN
FOR
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK 11415

STATE OF NEW YORK)
: ss.:
COUNTY OF ROCKLAND)

Annette B. Schwendimann, being duly sworn, deposes and says:

She is employed by Suenope Realty, Inc., the Selling Agent of the Sponsor of the Offering Plan to convert the Premises known as The Crestwood, 124-16 84th Road, Kew Gardens, New York to cooperative ownership; that on January 15, 1990, she caused the letter declaring the Plan effective for the Premises known as The Crestwood, 124-16 84th Road, Kew Gardens, New York to be distributed to the persons whose names appear on the attached list, by depositing a true copy of same enclosed in a post paid, properly addressed wrapper under the exclusive care and custody of the United States Postal Service within the State of New York.

Annette E. Schwendimann

Subscribed and sworn to before
me this 17th day of January, 1990

Mary E. Coyne
Notary Public

MARY E. COYNE
Notary Public, State of New York
Residing in Rockland County
Term Expires 1/31/91
#4713302

Tenant-Offerees

1. Majid Zerovabeli
   Mancucher Zerovabeli

Non-Tenant Purchasers

1. Robert Pagano
   Donald Tomasello
   6 Longbow Court
   Commack, New York 11725
   Re: Apt. 1DD

2. Elizabeth A. Weingart
   43-11 222 Street
   Bayside, New York 11361
   Re: Apt.5M

3. Linda Udell
   41-15 50th Avenue
   Sunnyside, New York 11104
   Re: Apt. 5J

4. Herman Danzis
   Rita Danzis
   58-51 Waldron Street
   Corona, New York 11368
   Re: Apt. 5L

5. Janusz Wojciechowski
   Jolanta Wojciechowski
   90-16 80th Street
   Woodhaven, New York 11421
   Re: Apt. 3J

6. Roger Rofe
   83-33 118th Street
   Kew Gardens, New York 11415
   Re: Apt. 3C

7. George Kovacs
   75-55 Utopia Parkway
   Flushing, New York 11366
   Re: Apt. 2K

8. Mary Murphy
   Matthew Carver
   80-38 138th Street
   Kew Gardens, New York 11435
   Re: Apt. 2B

9. Leon Paul
Irene Strapko
83-60 119th Street
Kew Gardens, New York 11415
Re: Apt. 2M

10. Ewa K. Marciniak
Emil Marciniak
67-29 78th Street
Middle Village, New York 11379
Re: Apt. 3L

11. Allen J. Kimerling
209-79 18th Avenue
Bayside, New York 11360
Re: Apt. 5B

EXHIBIT C

EXHIBIT C

AFFIDAVIT DECLARING PLAN OF
COOPERATIVE OWNERSHIP EFFECTIVE

The Crestwood
124-16 84th Road
Kew Gardens, New York 11415

STATE OF NEW YORK)
: ss.:
COUNTY OF ROCKLAND)

Sheldon S. Goldstein, being duly sworn, deposes and says:

1. I am a General Partner of T.J.S. Associates (the "Sponsor"), the Sponsor of the Offering Plan for the Premises: The Crestwood, 124-16 84th Road, Kew Gardens, New York (the "Plan"). I have personal knowledge of the facts and circumstances hereafter set forth and am authorized to make the following statements.

2. The Plan which was accepted for filing by the Department of Law on October 26, 1988, was presented to the tenants on November 7, 1989 (the "Presentation Date") and has been subsequently amended. Pursuant to the terms of the Plan, as amended, and Section 352-eeee of the General Business Law, the Plan was declared effective as a non-eviction Plan by notice to all Tenant-Offerees and other purchasers, by first class mail on January 15, 1990. Copies of the notice and affidavit of service are annexed hereto as Exhibit "a" and "b", respectively.

3. Pursuant to Section 352-eeee of the General Business Law, in order to declare the Plan effective as a non-eviction Plan, the Sponsor must receive executed Subscription Agreements for at least fifteen (15%) percent of all Apartments from either tenants in occupancy or bona fide purchasers who represent that they or one or

more members of their immediate family intend to occupy the Apartment when it becomes vacant. As of January 15, 1990, the date on which the Plan was declared effective, the Sponsor had received executed Subscription Agreements for 12 Apartments representing 16.9% of the 71 Apartments at the Property. Tenants in occupancy as of the Presentation Date of the Plan executed Subscription Agreements for one (1) Apartment representing 1.4% of the 71 Apartments and purchasers who represented that they or one or more members of their immediate family would occupy the Apartment when it became vacant executed Subscription Agreements for eleven (11) Apartments representing 15.5% of the Apartments. The foregoing percentage calculations were arrived at using a base of 71 Apartments, being all of the Apartments which were offered pursuant to the Plan. Attached hereto as part of Exhibit "b" is a list of purchasers and related information.

4. The purchasers listed on Exhibit "C" executed Subscription Agreements and have agreed to pay the required consideration for their respective Apartments, without fraud, duress, and in the case of Tenant-Offerees, without discriminatory repurchase agreement or other discriminatory inducement; and are all bona fide purchasers and includable pursuant to applicable law. All such purchasers paid the full downpayment as required in the Procedure to Purchase Section of the Offering Plan.

5. The following purchasers who have been counted in the foregoing calculations are related (by blood, marriage or adoption or as a business associate, an employee, a shareholder or a limited partner) to the Sponsor or Selling Agent, or Principals thereof: Linda Udell the purchaser of Apartment 5J is an employee of Suehope Realty Inc., the Selling Agent of the Crestwood Plan.

6. None of the aforementioned purchases were made as an accommodation to or for the account or benefit of the Sponsor, Selling Agent or any of the principals thereof.

7. Only Subscription Agreements assigned or transferred in compliance with Section 18.3(q) of Part 18 of Title 13 NYCRR have been counted for purposes of declaring the Plan effective.

8. I have no knowledge of the existence of any No-Buy Pledges that are presently in effect.

9. I hereby submit this affidavit to the Office of the Attorney General for the purposes of accepting the Amendment confirming the declaration of the Plan's effectiveness. I understand any false statement or omission may subject me to civil or criminal prosecution.

Sheldon S. Goldstein

Sworn to before me this
18 day of January, 1990.

Notary Public

JEANETTE CICCONE
NOTARY PUBLIC State of NY
No 4826299
Qualified in Rockland County
Commission Expires ~~March 30, 19~~ 2/28/90

EXHIBIT .a

TJS ASSOCIATES
17 BON ACRE CIRCLE
SUFFERN, NEW YORK 10901

January 15, 1990

RE: The Cooperative Offering Plan
THE CRESTWOOD
124-16 84th Road
Kew Gardens, New York 11415

Dear Tenant or Purchaser:

TJS Associates, the Sponsor of the Offering Plan to convert the referenced Premises to cooperative ownership, is pleased to announce that the Offering Plan is hereby declared effective as of January 15, 1990, as we have received the number of Subscription Agreements required for effectiveness under the Offering Plan and under applicable laws and regulations.

Within five (5) business days hereof, we will submit for filing to the Department of Law an Amendment to the Offering Plan confirming that the Offering Plan was declared effective as of the date hereof. Such Amendment will be presented to all Tenants and Purchasers after it is accepted for filing by the Department of Law. The Closing of Title with respect to any residential apartment will in no event take place prior to the acceptance for filing of such Amendment to the Offering Plan.

We will be sending to you a separate Notice to establish a date for the Closing under the Offering Plan.

Very truly yours,

TJS ASSOCIATES

By: _____
Sheldon S. Goldstein
General Partner

EXHIBIT b

AFFIDAVIT OF MAILING
OF
THE LETTER DECLARING EFFECTIVE
THE COOPERATIVE OFFERING PLAN
FOR
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK 11415

STATE OF NEW YORK)
: ss.:
COUNTY OF ROCKLAND)

Annette B. Schwendimann, being duly sworn, deposes and says:

She is employed by Stehope Realty, Inc., the Selling Agent of the Sponsor of the Offering Plan to convert the Premises known as The Crestwood, 124-16 84th Road, Kew Gardens, New York to cooperative ownership; that on January 15, 1990, she caused the letter declaring the Plan effective for the Premises known as The Crestwood, 124-16 84th Road, Kew Gardens, New York to be distributed to the persons whose names appear on the attached list, by depositing a true copy of same enclosed in a post paid, properly addressed wrapper under the exclusive care and custody of the United States Postal Service within the State of New York.

Annette E. Schwendimann

Subscribed and sworn to before
me this 16th day of January, 1990

William E. Crews
Notary Public

MARY L. SCOTTI
Notary Public, State of New York
Residing in Rockland County
Term Expires 11-30-91
04-7733067

Tenant-Offerees

1. Majid Zerovabeli
   Manoucher Zaroovabeli

Non-Tenant Purchasers

1. Robert Pagano
   Donald Tomasello
   6 Longbow Court
   Commack, New York 11725
   Re: Apt. 1DD

2. Elizabeth A. Weingart
   43-11 222 Street
   Bayside, New York 11361
   Re: Apt.5M

3. Linda Udell
   41-15 50th Avenue
   Sunnyside, New York 11104
   Re: Apt. 5J

4. Herman Danzis
   Rita Danzis
   58-51 Waldron Street
   Corona, New York 11368
   Re: Apt. 5L

5. Janusz Wojciecohwski
   Jolanta Wojciechowski
   90-16 80th Street
   Woodhaven, New York 11421
   Re: Apt. 3J

6. Roger Rofe
   83-33 118th Street
   Kew Gardens, New York 11415
   Re: Apt. 3C

7. George Kovacs
   75-55 Utopia Parkway
   Flushing, New York 11366
   Re: Apt. 2K

9. Mary Murphy
   Matthew Carver
   80-38 138th Street
   Kew Gardens, New York 11435
   Re: Apt. 2B

9. Leon Paul
Irene Strapko
83-60 118th Street
Kew Gardens, New York 11415
Re: Apt. 2M

10. Ewa K. Marciniak
Emil Marciniak
67-28 78th Street
Middle Village, New York 11379
Re: Apt. 3L

11. Allen J. Kimerling
209-79 18th Avenue
Bayside, New York 11360
Re: Apt. 5B

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

SIXTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, the Fourth Amendment dated December 22, 1989 and the Fifth Amendment dated March 13, 1990 (the "Plan") and should be read in conjunction therewith.

1. MAINTENANCE REBATE

In order to improve the position of the Apartment Corporation under Section 216 of the Internal Revenue Code, the mortgage guaranty described in Paragraph 4 of the Second Amendment will be paid by the Sponsor directly to shareholders who executed Subscription Agreements prior to the date of this Amendment ("Eligible Purchasers"). Each Eligible Purchaser shall receive an annual payment of $10.89 per share for a period of five (5) years after the Closing Date (the "Maintenance Rebate").

The initial installment of the Maintenance Rebate will be paid by Sponsor directly to the Eligible Purchaser in advance by a payment of $10.89 per share within thirty (30) days following the Closing Date. Thereafter, a Maintenance Rebate payment shall be made prior to or simultaneously with the first anniversary of the Closing Date. There shall be no further Maintenance Rebate payment after the fifth anniversary of the Closing Date. The initial Maintenance Rebate payment will be tendered to the Eligible Purchaser provided that he is the record holder of shares on the Closing Date. Should the Eligible Purchaser close title to the shares allocated to his Apartment after the Closing Date, the amount due to said Eligible Purchaser shall be prorated for the first year.

The Eligible Purchaser's right to receive the Maintenance Rebate is appurtenant to the shares of stock allocated to the

Apartment and cannot be pledged, assigned, hypothecated and/or transferred separate and apart from the shares. The Maintenance Rebate will be paid to the Owner of the shares on the particular anniversary of the Closing Date and any apportionments of payment of the Maintenance Rebate shall be made between the respective Assignor and Assignee. The Sponsor shall have no liability with respect thereto.

In order for Sponsor to pay the Maintenance Rebate to any party other than the initial Eligible Purchaser, Sponsor must be notified by the transfering Eligible Purchaser or his Assignee in writing, of the sale or transfer within seven (7) days after the closing of the shares of the Apartment.

The income tax consequences of the Maintenance Rebate payments to a tenant-shareholder are unclear, so that potential purchasers should consult their own attorneys or tax advisors as to whether such payments should be treated as income and/or as a reduction of the purchase price or otherwise.

The mortgage guaranty described in Paragraph 4 of the Second Amendment is deleted in its entirety and the Maintenance Rebate described herein is substituted in its place. Eligible Purchasers will receive the same cash benefits under both programs.

Purchasers who execute Subscription Agreements after the date of this Amendment will <u>not</u> be eligible to receive the Maintenance Rebates described above.

2. <u>REVISED TAX OPINION</u>

Annexed hereto as Exhibit A is the revised Attorney's Tax Opinion.

3. <u>BUDGET</u>

Annexed hereto as Exhibit B is the projected budget for the Apartment Corporation for the period from April 1, 1990 through March 31, 1991.

4. <u>FINANCIAL STATEMENTS</u>

Annexed hereto as Exhibit C are Certified Financial Statements for the Property for the years ending December 31, 1988 and December 31, 1989.

5. <u>INCORPORATION OF PLAN</u>

The Plan, as modified and supplemented hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules,

and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

6. DEFINITIONS

All of the terms used in this Sixth Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

7. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in prior Amendments hereto and herein.

T.J.S. ASSOCIATES
SPONSOR

DATED: July 23, 1990
New York, New York

BLUTRICH, FALCONE & MILLER
ATTORNEYS AT LAW
TWO PARK AVENUE
NEW YORK, N.Y. 10016
(212) 686-1000
TELECOPIER
(212) 685-2536

MICHAEL D. BLUTRICH
LUCILLE FALCONE*
ROBERT J. MILLER
NICHOLAS J. LEVIDY**
STEVEN C. BROWN

ANNETTE P. ALFANO***
NEIL A. FALCONE**
PETER M. NADLER**
EDWARD H. SPIEGEL
PAUL T. VINK**

* ALSO ADMITTED IN CONN.
**ALSO ADMITTED IN NJ
***ADMITTED IN NJ ONLY

NEW JERSEY OFFICE
ONE WORLDS FAIR DRIVE
SOMERSET, NEW JERSEY 08873
(201) 356-8663

ROBERT W. SEAVEY
PHYLLIS MEHLER
AVERY B. SEAVEY
OF COUNSEL

EXHIBIT A

Attorney's Income Tax Opinion

April 17, 1990

Crestwood Apartment Owners Corp.
c/o Blutrich, Falcone & Miller
Two Park Avenue
New York, New York 10016

Gentlemen:

Pursuant to your request, we have reviewed the proposed Offering Plan (the "Plan") pursuant to which you will acquire for cooperative ownership, the land ("Land") and the building ("Building") erected thereon known as 124-16 84th Road, Kew Gardens, New York. Such Land and Building are hereinafter sometimes collectively referred to as the "Property". We have further reviewed the schedules and documents set forth in the Plan as well as various other documents referred to herein.

You have asked our opinion based upon our review of the foregoing and assuming the Plan is declared effective and is consummated in accordance with its terms, as to whether under present tax laws and regulations (i) you will qualify as a cooperative housing corporation as defined in Section 216 of the Internal Revenue Code ("IRC") and corresponding provisions of the New York State and City income tax laws, and (ii) your shareholders will be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid or incurred by you.

CONCLUSION

Based solely on the Plan and the schedules and documents set forth therein, as well as the validity and correctness of the assumptions later set forth, if you acquire title to the Property and contemporaneously duly issue a sufficient number of our shares to "persons" who shall have signed Proprietary Leases covering the Apartments in the Building to which their respective shares are allocated so that at least eighty (80%) percent of your gross income will be derived from qualified "tenant-shareholders" within the meaning of IRC Section 216, all strictly in accordance with the terms of the Plan, it is our opinion that under existing law in any taxable year in which at least eighty (80%) percent of your gross income is derived from qualified tenant-shareholders:

1. You will qualify as a cooperative housing corporation as presently defined in Section 216 of the IRC; and

2. Each of the tenant-shareholders who is a person (including corporations, certain trusts and partnerships) and who uses his apartment as his residence will be entitled, under present tax laws and regulations, to deduct from his adjusted gross income for Federal, State and City income tax purposes, that portion of the maintenance charges paid by him to you that represents his proportionate share of (a) real estate taxes on the Property and (b) interest on the mortgage indebtedness encumbering the Property paid or incurred by you before the close of the taxable year of such tenant-shareholder. We note though that if such deductions for real estate taxes and mortgage interest, when added to other itemized deductions (subject to certain exceptions), exceed certain prescribed limitations of the tenant-shareholder's adjusted gross income, such excess constitutes a tax preference item that is subject to a minimum tax for Federal, State and City income tax purposes.

Tenant-shareholders who are not persons will not be entitled to the aforementioned deductions.

DISCUSSION

Pursuant to Section 216 of the IRC, a tenant-shareholder (as defined therein) of a qualified cooperative housing corporation is allowed to deduct that portion of the amount paid to the cooperative

housing corporation within his taxable year that represents his proportionate share of (a) real estate taxes paid or incurred by the corporation on its Property and (b) interest paid or incurred by the corporation on its mortgage indebtedness. To qualify as a cooperative housing corporation, the following four (4) fundamental requirements must be met:

First Requirement: The corporation may have only one class of stock outstanding.

As your Certificate of Incorporation provides that you are authorized to issue only one class of stock, this requirement is satisfied.

We note that the Plan provides that the tenant-stockholder as required to obtain your consent before he may sell or sublet his apartment. Exempted from his requirement are those who own the Unsold Shares (defined as those share not sold or fully paid for by the Closing Date, which the Sponsor-Seller has agreed to purchase or fund and designate purchasers for), which may be resold, and the apartments to which they are allocated may be sublet, without obtaining your consent. In addition, these apartments are also exempted from paying certain charges payable by others in connection with a sale or financing of an apartment. We further note that so long as the Unsold Shares constitute twenty-five (25%) percent or more of all shares outstanding, or for a period of five (5) years from the time of the closing, whichever first occurs, your Board of Directors is restricted from taking certain actions (such as hiring additional employees) unless the owners of at least seventy-five (75%) percent of all outstanding shares approve such actions.

We do not believe that these and similar provisions of the Plan will prevent you from meeting the "one class of stock" requirement. However, since there is no direct precedent on this point under IRC Section 216, the Internal Revenue Service ("IRS") is not precluded from contending that you do not meet the "one class of stock" test. If such contention is made by the IRS and is upheld, then you would not qualify as a cooperative housing corporation and, as a result, your shareholders would not be entitled to deduct, for income tax purposes, their pro rata share of mortgage interest or real estate taxes paid or incurred by you.

Second Requirement: Each stockholder must be entitled, solely by reason of his ownership of the corporation's shares, to occupy for dwelling purposes an apartment in the building owned or leased by the corporation.

Under the Plan as well as your Certificate of Incorporation, each stockholder will be entitled solely by virtue of his ownership of your shares, to a Proprietary Lease covering the apartment to which his block of shares is allocated. The Proprietary Lease will have an original term ending on or about May 31, 2050, commencing on the date title to the Property is transferred to you ("Closing Date"), and grants the tenant the right to occupy the apartment for dwelling purposes. Consequently, this requirement of the IRC appears to be satisfied, assuming such Proprietary Lease is in fact issued to each and every stockholder concurrently with the issuance of the certificate for his shares.

On this point, we have taken into consideration that the cooperative offering plan is a non-eviction plan as defined under the General Business Law of the State of New York and further, the likelihood that apartments will be purchased subject to certain possessory rights of existing tenants under the Rent Stabilization Law of 1969 ("RSL") as amended, the Code of the Rent Stabilization Association of New York City, Inc. (the "Code"), Rent Control under Rent Eviction and Rehabilitation Regulations of the City Department of Housing Development ("RCL"), and General Business Law of the State of New York, Section 352-eeee ("GBL"), [all such laws collectively being referred to as "Rent Laws"]. By virtue of these laws, each of these existing tenants will be entitled to occupy his apartment under a lease or pursuant to law and may obtain a renewal lease, or be entitled to renew his occupancy rights, at an increased rental (determined pursuant to these Rent Laws), upon expiration of his existing lease or the end of the prior occupancy period, (for a period of time as determined by the respective Rent Law). Accordingly, under existing law a non-resident purchaser of an occupied apartment will not be entitled to obtain possession so long as the tenant pays the requisite rent and otherwise complies with the terms of his lease for a given period of time. We do not believe this will affect your qualification as a cooperative housing corporation since Section 216 of the IRC does not by its terms require that tenant-stockholders actually reside in their apartments, but only that they be "entitled" to occupy their apartments for dwelling purposes.

In this regard, the Regulations issued by the IRS provide, in its pertinent part: "The stockholder is not required to occupy the premises. The right as against the corporation to occupy the premises is sufficient. Such right must be conferred on each stockholder solely by reason of his ownership of stock in the corporation, that is, the stock must entitle the owner thereof either

to occupy the premises or to a lease of the premises." Treasury Regulation Section 1.216-1(c)(2). Accordingly, it is not necessary that a stockholder physically occupy the apartment in order to meet this requirement. Rather "....the right as against the corporation to occupy the premises is sufficient. Rev. Rul. 80-299, 1980-45 Int. Rev. Bull. 5. In conformity with this dictate, your Proprietary Lease grants each tenant-stockholder the right as against you to occupy the apartment covered by such Proprietary Lease.

Third Requirement: No stockholder is entitled (either conditionally or unconditionally) to receive any distribution not out of earnings and profits of the corporation except on a complete or partial liquidation of the corporation.

This limitation has been embodied in your Certificate of Incorporation and accordingly, this statutory requirement is met.

Fourth Requirement: Eighty (80%) percent or more of the corporation's gross income for the taxable year in which real estate taxes and mortgage interest are paid or incurred by the corporation must be derived from tenant-stockholders.

The term "tenant-stockholder" is defined in Section 216 to mean a person "...whose stock is fully paid up in an amount not less than an amount ....as bearing a reasonable relationship to the portion of the value of the corporation's equity in the ....apartment building and the land on which it is situated which is attributable to the ....apartment which such individual is entitled to occupy."

This last statutory requirement contains three distinct, but interdependent, tests to be met as will be explained below.

A. The first test is commonly called the "eighty (80%) percent gross income" test.

In the plan under the projected first year's budget set forth in "Schedule B", you are projected to receive at least eighty (80%) percent of your gross income from the maintenance charges to be paid by your tenant-stockholders under their respective Proprietary Leases. Assuming this projecting proves to be accurate and further assuming the other two interdependent tests are satisfied, then in our opinion the eighty (80%) percent gross income test will be satisfied for said first year.

The Sponsor is obligated, under certain circumstances, to pay the maintenance charges for any person procured and designated by him to purchase Unsold Shares who fails to make such payment as required under his Proprietary Lease. It is likely that the IRS would contend that such payments (if any) received from the Sponsor-Seller constitute income derived from other than qualified tenant-stockholders for purposes of said eighty (80%) percent gross income test. Consequently, if the IRS takes such position and is upheld, and if the aggregate of such payments, when added to all other income received by you from sources other than tenant-stockholders, exceeds twenty (20%) percent of your gross income in any taxable year, you will not qualify for such year as a cooperative housing corporation under Section 216 of the IRC and, therefore, your tenant-stockholders would not be entitled to deduct their proportionate share of real estate taxes and mortgage interest that would otherwise be available to them for that year.

We express no opinion as to whether this contention of the IRS, if made, would in fact be sustained.

B. The second interdependent test pertains to the identity of the tenant-stockholders.

Apart from two narrow exceptions, the statute requires that a tenant-stockholder be a "person". A person is an individual(s), corporation, estate and certain qualified trusts and partnerships. Under the Revenue Act of 1978, as amended, one of the exceptions relates to an "original seller". The term "original seller" is defined in the Act as the person from whom the corporation has acquired title to the apartments or houses (or leaseholds therein). Such original seller in the event it was not a "person" will be treated as a tenant-stockholder for a period not to exceed three (3) years from the date it acquires the corporation's stock, provided the original seller has the right to occupy the apartment to which such shares are allocated.

In our opinion, Sponsor will be regarded as a "person" under the IRC Section 216, as amended, and all maintenance charges paid by Sponsor to you under the Proprietary Lease during said three (3) year period, but not thereafter, will qualify as income derived from qualified tenant-stockholders for purposes of meeting the 80% gross income test.

It is our opinion that all persons owning your shares who are not persons (other than Sponsor during the three (3) years it

may hold Unsold Shares as the "original seller" as stated above) would not be qualified "tenant-stockholder" as defined in IRC Section 216 and income from such non-qualified "tenant-stockholders" could not be counted towards the 80% gross income test.

C. The third independent test is customarily referred to as the "reasonable relationship" test.

The IRS has interpreted this provision to require that each block of shares be fully paid for in an amount at least equal to an amount as bears "...a reasonable relationship to the portion of the fair market value, as of the date of the original issuance of the stock, of the corporation's equity in the building and the land on which it is situated which is attributable to the apartment... which such individual is entitled to occupy". Treasury Regulation Section 1.216(d).

This is a twofold test: (i) the shares must be "fully paid for", and (ii) the amount paid must at least equal a price that bears a reasonable relationship to the fair market value of the corporation's property allocable to the pertinent apartment.

Regarding the first part of the test, your Certificate of Incorporation provides that the shares have a par value of One ($1.00) Dollar each. The cash purchase price (i.e., "Total Cash Payment") of each block of shares set forth in the Plan exceeds this amount. Assuming the full Total Cash Payment under each purchaser's Subscription Agreement is paid (including the par value of the shares), then in our opinion the shares will be deemed to have been fully paid and non-assessable under New York law.

With respect to the second part of the test, Tedpin Realty Management, Inc., in a letter to you that is reproduced in the Plan, has rendered its opinion that (i) the Total Cash Payment of each block of shares set forth in the Plan bears a reasonable relationship to the fair market value of the corporation's Property attributable to the apartment to which the block of shares is allocated; and (ii) such reasonable relationship exists even though tenants of the Property who purchase apartments may pay a lower Total Cash Payment than that paid by non-tenants who purchase comparable apartments having the same share allocation. You have pledged in the Plan not to change the Total Cash Payment of any block of shares prior to the Closing Date unless Tedpin Realty Management, Inc., also opines that the new Total Cash Payment preserves such reasonable relationship test. In addition, Tedpin Realty Management, Inc., has

also stated in such opinion letter that such reasonable relationship will continue until the Plan is consummated, at which time, if such be the case, it will issue to you a further opinion that the actual Cash Payment paid for each block of shares continues to bear a reasonable relationship to the fair market value of the Property attributable to the apartment to which the block of shares pertains.

Assuming the terms of the Plan are strictly observed and relying on such opinions of Tedpin Realty Management, Inc., in our opinion the second part of this reasonable relationship test appears to be met.

It is noted that the current provisions of the New York State Tax Law and the New York City Administrative Code do not contain any separate, independent requirements in order to be qualified to take the above-described tax deductions. Rather, these statutes permit tenant-stockholders to deduct for State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid or incurred by you to the same extent such deductions are allowed under IRC Section 216.

The issuance of shares of the Apartment Corporation to the Sponsor and others at the Closing may constitute an exchange of cash and property for stock of the Apartment Corporation, the tax consequences of which are governed by Sections 351, 357, 358, and 362 of the IRC, rather than a sale of the property to the Apartment Corporation. If such code provisions were to apply, the adjusted tax basis of the Property in the hands of the Apartment Corporation would equal the adjusted tax basis of the Property in the hands of the Sponsor before the transfer, increased by the amount of gain, if any, recognized by the Sponsor on the transfer of the Property to the Apartment Corporation. Such tax basis could be less than the amount of cash plus the fair market value of shares of the Apartment Corporation issued to the Sponsor at the closing, with the result that the Apartment Corporation's Federal and New York State income tax deductions for depreciation could be substantially less than its depreciation deduction if the transaction were treated as a sale of the Property to the Apartment Corporation for tax purposes.

EACH PURCHASER OF AN APARTMENT SHOULD CONSULT HIS OWN TAX ADVISOR WITH RESPECT TO THE TAX CONSEQUENCES OF PURCHASE OF AN APARTMENT TO SUCH PURCHASER.

This concludes the discussion of the sundry requirements of IRC Section 216 to be met by you in order to qualify

as a cooperative housing corporation. Aside from such Section, we note the following additional tax consequences of the plan, irrespective of qualifications as a cooperative housing corporation:

1. It is possible that additional income may be realized from investment of the Reserve Fund and/or Working Capital Fund to be retained by you on the Closing Date. If the total of the income from these sources exceeds the aggregate of your expense attributable to earning such income and, such excess income will be taxable to you. See IRC Section 277. In such event, if your Reserve Fund or any budgeted reserve for contingencies is insufficient to pay the resulting taxes, you may have to increase the maintenance charges payable by tenant-stockholders to cover such tax payment. Moreover, although we know of no such contention having been made, a taxing authority might also contend that any such excess income should be treated, for income tax purposes, as a dividend to tenant-stockholders to the extent such excess income is used for the operation, maintenance and improvement of the Property, even though such excess income is not distributed to the tenant-stockholders.

2. The proprietary rent (i.e., maintenance charges) paid by your tenant-stockholders will be used to pay your operating costs, including amortization of mortgage indebtedness. The Proprietary Lease provides that your directors may determine that such portion of the maintenance charges which is attributable to amortization shall be credited on your accounts to "paid-in surplus". If the directors make such determination, the IRS may concur in such attribution and treat said portion of the maintenance charges representing payment of amortization as a contribution to capital by each tenant-stockholder. On the other hand, the IRS may also treat same as additional income to you. In the latter case, if your income, including that portion received in payment of amortization of the mortgage, exceeds your expenses (including depreciation to the extent, if any, allowable against the residential portion of the Building), you would then have taxable income in addition to that referred to in the preceding paragraph. We express no opinion as to what position the IRS may take and if adverse to you whether they would be upheld.

3. With respect to the deduction provided by IRC Section 216 to each tenant-stockholder of the amount paid by him of his "proportionate share" of real estate taxes paid or incurred by the corporation on the land and building owned by it and interest paid or incurred by the corporation on its indebtedness contracted in the acquisition, alteration, rehabilitation, or maintenance of such

land and building, IRC Section 216(b)(3) provides that: "The term "tenant-shareholder's proportionate share" means that proportion which the stock of the cooperative housing corporation owned by the tenant-stockholder is of the total outstanding stock of the corporation (including any stock held by the corporation)".

4. It should be noted that with respect to taxpayers other than corporations, and for tax years starting after December 31, 1987, interest which is paid or accrued during the taxable year on indebtedness which is secured by any property may be deducted only if, at the time such interest is paid or accrued, such property is the principal or secondary residence of the taxpayer and only to the extent that such indebtedness, when added to the outstanding aggregate principal amounts of all other indebtedness previously incurred and secured by such residences for the purpose of acquiring, constructing or substantially rehabilitating such residences ("Acquisition Indebtedness"), does not exceed $1,000,000 ($500,000 for a married taxpayer filing a separate return). Although it is not entirely clear, this rule apparently will apply to a tenant-stockholder's allocable share of the interest allowed under section 216 of the Code. Thus, a tenant-stockholder who is not a corporation will be allowed to deduct his allocable share of the interest paid or accrued by the Apartment Corporation allowed under section 216 of the Code only if the apartment which such tenant-stockholder is entitled to occupy by virtue of his ownership of the shares of the Apartment Corporation is used by such tenant-stockholder as a primary or secondary residence and only to the extent the tenant stockholder's allocable share of the mortgage indebtedness to which the Property is subject, plus any other Acquisition Indebtedness secured by property (including shares in the Apartment Corporation) which is the principal or secondary residence of the taxpayer, does not exceed $1,000,000 ($500,000 for a married taxpayer filing a separate return). For purposes of our opinion, we are assuming that each tenant-stockholder, other than corporations, will use the apartment which he is entitled to occupy by virtue of his ownership of shares of the Apartment Corporation as a primary or secondary residence. Tenant-stockholders who do not intend to use their apartments as a primary or secondary residence or who plan to place home equity mortgages on their shares should consult with their own personal tax advisors as to the tax consequences relating thereto. No representation is made or opinion is given as to the deductibility of interest on home equity loans. Also, debt which was incurred prior to October 14, 1987 is subject to certain special rules and no representation is made or opinion given as to the effect of these rules.

5. We note that under the terms of the Plan, as amended, there will exist a Maintenance Rebate program whereby certain eligible purchasers shall receive a Maintenance Rebate for the first five (5) years after the closing of title to the property. The income tax consequences of the Maintenance Rebate payments to a tenant-shareholder are unclear, so that purchasers should consult their own attorneys or tax advisors as to whether such payments should be treated as income and/or as a reduction of the purchase price or otherwise.

The opinions expressed above are based on our interpretation of tax laws, the applicable Regulations and rules of the Treasury Department and court decisions construing same, as all of same exist on the date hereof. While we believe our opinions are well founded, they are not intended, and should not be construed, as warranties that you will satisfy the existing requirements of IRC Section 216 or that the Federal, State and City taxing authorities will allow your tenant-stockholders to take the aforementioned tax deductions or as to any other matter. You should also be aware of the possibility that the tax laws, regulations and rules or the judicial determinations upon which we have predicted our opinion may in the future be revised in a manner adverse to you and your stockholders. Finally, we have not passed upon the accuracy of any figures or estimates contained in the Plan and do not warrant the amount deductible for income tax purposes by your tenant-stockholders for any period, assuming such tax deductions are allowed, or the amount your stockholders may save in Federal, State and City income taxes, if any.

Except for those opinions expressly set forth in this letter, no other opinions are made and none shall be implied. You have advised us of your intention to reproduce this letter in the Plan and we hereby consent to such use.

THE PRECEDING IS AN OPINION, NOT A GUARANTEE, THAT THE APARTMENT CORPORATION WILL QUALIFY AS A COOPERATIVE HOUSING CORPORATION UNDER IRC SECTION 216 DURING THE FIRST YEAR OF COOPERATIVE OPERATION OF THE PROPERTY AND THAT TENANT-STOCKHOLDERS WHO ARE INDIVIDUALS AND WHO OCCUPY THEIR APARTMENTS AS THEIR RESIDENCE WILL BE ENTITLED TO THE AFOREMENTIONED INCOME TAX DEDUCTIONS. THIS OPINION IS BASED SOLELY ON THE FACTS AND DOCUMENTS AND EXPERT OPINIONS REFERRED TO ABOVE. NO WARRANTIES ARE MADE THAT THE TAX LAWS UPON WHICH COUNSEL BASES THIS OPINION WILL NOT CHANGE. IN NO EVENT WILL THE SPONSOR, THE SPONSOR'S COUNSEL, THE APARTMENT CORPORATION, COUNSEL TO THE APARTMENT CORPORATION, THE SELLING AGENT

OR ANY OTHER PERSON CONNECTED WITH THIS OFFERING BE LIABLE IF THE APARTMENT CORPORATION CEASES TO MEET THE REQUIREMENTS OF THE INTERNAL REVENUE CODE OF 1954, AS AMENDED, THE TAX REFORM ACT OF 1986, THE OMNIBUS BUDGET RECONCILIATION ACT OF 1987, OR THE NEW YORK STATE OR CITY TAX LAW, AS AMENDED, BY REASON OF CHANGES IN FACT OR IN APPLICABLE STATUTES, REGULATIONS, DECISIONAL LAW OR INTERNAL REVENUE SERVICE RULINGS. MOREOVER, NONE OF THE AFORESAID MADE ANY WARRANTIES WITH RESPECT TO THE TAX CONSEQUENCES OF THIS PLAN OR THE TAX CONSEQUENCES OR OWNERSHIP OF ANY SHARES OFFERED UNDER THE PLAN AND NO ONE ELSE HAS BEEN AUTHORIZED TO MAKE ANY STATEMENTS OR REPRESENTATIONS OTHER THAN THOSE CONTAINED HEREIN.

Very truly yours,

BLUTRICH, FALCONE & MILLER

EXHIBIT B

CRESTWOOD BUDGET FOR FIRST YEAR OF
COOPERATIVE OPERATION
BEGINNING APRIL 1, 1990 THROUGH MARCH 31, 1991

PROJECTED INCOME

Maintenance Charges (14,955 shares at $_____ per share)	$ 478,512
Laundry (2)	1,500.00
Parking Income (3)	7,200.00
Interest Income (4)	5,921.00
Total	$

PROJECTED EXPENSES

Labor (5)	$ 57,372.00
Heating (6)	35,000.00
Utilities (Electricity and Gas) (7)	14,255.00
Water Charges and Sewer Rents (8)	14,349.00
Repairs, Maintenance and Supplies (9)	25,000.00
Service Contracts (10)	8,837.00
Insurance (11)	12,900.00
Management Fees (12)	21,600.00
Legal Fees and Audit Fees (13)	4,000.00
Franchise and Corporate Taxes (14)	5,208.00
Real Estate Taxes (15)	76,612.00
Miscellaneous Expenses (16)	1,000.00
Contingency (17)	5,000.00
Mortgage Payments (18)	$220,000.00
Total	$501,133.00

FOOTNOTES TO SCHEDULE B

1. Basis of Projections

Projected for the period April 1, 1990 to March 31, 1991. However, no representation is made that the first year of operation will actually commence on April 1, 1990.

If the actual or anticipated date of commencement of cooperative operation is delayed from the budget year projected in the Plan, the Sponsor will amend the Plan to reflect budget projections for the later projected year. If the amended projections exceed those in this Schedule B by 25% or more, the Sponsor will offer all purchasers the right to rescind their Subscription Agreements by notifying the Sponsor, in writing, within fifteen (15) days after the presentation of the amendment and to have all of their payments thereunder promptly refunded to them.

2. Laundry Income (Budget - $1,500.00)

At closing, the Apartment Corporation will enter into a lease for laundry facilities at the building with H.R. Zucker Company, Two Park Avenue, New York, New York for a term of three (3) years, which term will expire three (3) years from the Closing Date. The Lease will provide for an annual rent of $1,500.00 payable in equal monthly installments on the first day of each month for the prior month. The laundry equipment, which will be owned and maintained by the concessionaire, will consist of a minimum of four (4) washers and four (4) dryers. The Apartment Corporation will be responsible for providing all necessary gas, electricity, hot and cold water and sewage disposal facilities, the expense of which has been included elsewhere in this budget.

3. Parking Income (Budget - $7,200.00)

The parking lot will be operated by the Apartment Corporation. There are ten (10) spaces rentable to tenants and non-tenants of the Building. After the Closing Date, the Apartment Corporation will charge Sixty ($60.00) Dollars per month for each of the ten (10) spaces, all of which are currently occupied. Said sum will be paid by all tenant-stockholders, including the Sponsor and holders of Unsold Shares.

No warranty is made that all spaces will be rented when cooperative operation begins or during the first year of operation or thereafter. The parking fee for the spaces is fixed by the Apartment Corporation and may be increased or decreased from time to time at the discretion of the Board of Directors. While the Board of Directors is controlled by non-resident directors elected by the holders of Unsold Shares, the parking fees will not exceed the maximum fees permitted under the RSL and Code, unless a majority of

the resident directors of the Board of Directors decide to increase the parking fees to tenant-shareholders. However, resident directors shall not have the right to increase the parking charge for rent stabilized tenants above that legally allowed under the RSL and Code. The holders of Unsold Shares shall not be responsible for payment of the parking fees incurred by their subtenants.

4. Interest Income (Budget - $5,921.00)

Interest income assumes investment at 5 1/4% per annum of an average balance for the first year of cooperative ownership of $225,556.00 approximately 50% of the anticipated Reserve Fund), although no representation can be made as to the actual rates available for investment or of the availability of funds from the Reserve Fund, part or all of which may be expended by the Board of Directors in its discretion in accordance with law.

5. Labor (Budget - $57,372.49)

This figure covers the current staff of the Building which includes one (1) resident, full-time, non-union superintendent and one (1) non-resident, full-time, non-union porter.

The labor charges include payroll taxes, unemployment insurance, disability insurance and workers' compensation for all employees and Blue Cross/Blue Shield contributions for the superintendent and his wife. The budget includes an approximate 10% increase for the superintendent and the porters over the present base wage.

The following is a breakdown of anticipated wages and benefits payable during the projected budget year:

Position	Weekly Wage	
Superintendent	$500.00	
Porter	$440.00	
Total Wages		$48,880.00
FICA (7.51% of gross wages)		3,670.89
State and Federal Unemployment Insurance (aggregate rate of 5.0% on wages up to $7,000 per annum)		700.00
Disability Benefits ($2.60 per month per full time employee and $2.20 per month per part-time employee)		62.40
Workers' Compensation (3.5% of gross wages)		1,710.80
Blue Cross/Blue Shield Contributions ($587.10 per quarter)		2,348.40
TOTAL LABOR CHARGES		$57,372.49

None of the wages set forth herein violate New York State minimum wage laws.

6. Heating (Budget - $35,000.00)

The Building uses #6 fuel oil for heating and hot water. The budgeted item is based upon an annual consumption of 44,872 gallons, representing the quantity of fuel oil consumed for the calendar year 1989 at an estimated cost of $.78 per gallon (as determined by the Department of Law as a pricing guideline for budgets). The consumption and cost of fuel oil used for heating and hot water for the Building for the three (3) years 1985-1987 was as follows:

Calendar Year	Fuel Oil Consumption (Gallons)	Unit Cost	Total Annual Cost
1985	50,247	$.8259	$ 41,497.15
1986	50,362	.5832	29,373.56
1987	51,243	.6072	31,115.22

Due to the uncertainty of fuel prices and variables in the weather, this item may increase above the projection.

7. Utilities (Electricity - $11,755.00; Gas - $2,500.00)

This item includes the cost of electricity supplied to all common areas, as well as gas and electricity for the superintendent's apartment and for the dryers in the laundry facilities. All apartments are separately metered for gas and electricity with each tenant responsible for paying his electric bill directly to Consolidated Edison Company and his gas bill directly to Brooklyn Union Gas Company. For the ree (3) years 1985-1987 electric consumption was approximately as follows:

Year	Total Kilowatt Hours of Electricity	Total Cost
1985	73,796	$ 9,445.03
1986	74,739	8,947.09
1987	72,797	8,279.80

The budgeted item is based on consumption during calendar year 1989 of 80,664 kilowatt hours at a cost of $0.1457 per kilowatt hour.

For the three (3) years 1985-1987, gas consumption was approximately as follows:

Year	Total Cubic Feet (CCF)	Total Cost
1985	2,239	$2,324.20
1986	2,296	2,243.00
1987	1,325	1,250.67

The budgeted item is based on consumption during calendar year 1989 of 2300 CCF at a cost of $1.0869 per CCF.

8. Water Charges and Sewer Rents (Budget - $14,349.00)

Water frontage and sewer charges for the period July 1, 1988 to June 30, 1989 are approximately $13,666.00. The projected amount is based on an estimated increase of approximately five (5%) percent.

9. Repairs, Maintenance and Supplies (Budget - $25,000.00)

The projected figure for these items is to provide for the cost of various repairs (including interior and exterior repairs, roofing, heating system, plumbing and electrical work), the cost of various supplies (such as cleaning supplies and materials, lubricants, bulbs, public fixtures, general and hardware supplies) and periodic painting of public halls and other areas to be maintained by the Apartment Corporation, but does not include the cost of repairs to or painting of the interior of individual apartments which are the responsibility of the respective tenant-shareholders.

10. Service Contracts (Budget - $8,836.80)

The budget reflects the following service contracts:

Contractor	Service	Annual Cost (Incl. Tax)	Termination Date
Guardsmen Elevator Co., Inc. 276 East 150th St. Bronx, New York 10451	Elevator Maintenance	$390/mth	March 31, 1991
Nationwise Exterminating 200 Ashford Avenue Dobbs Ferry, New York	Exterminating	$108.25/mth	month-to-month
Scientific Compactor Co. P.O. Box 194 Brooklyn, New York	Incinerator	$238.15/mth	month-to-month

The budgeted figure provides for inflationary increases for the first year of cooperative ownership.

The Sponsor has reserved the right to modify, renew, and replace existing service, maintenance, employment, concessionaire, and other agreements and insurance policies, and to enter into new

agreements and policies that will be binding on the Apartment Corporation on the Closing Date, provided any material increase in the first year's estimated maintenance charges resulting therefrom will be disclosed in a duly filed Amendment to the Plan.

11. Insurance (Budget - $12,900.00)

In the opinion of R.K. Hughes, Inc., 185 Kingsland Street, Nutley, New Jersey, this estimated premium should enable the Apartment Corporation to obtain the following recommended coverage, which will be in place as of the closing date:

Coverage	Amount	Annual Premium
Building "All Risk" - Replacement Cost ($5,000 Deductible).	$ 3,810,000	
Loss of Rental Income (1/12 monthly limitation)	408,000	
Comprehensive General Liability.	1,000,000	
Boiler and Machinery Insurance ($5,000 Deductible)	10,000,000	
Commercial Umbrella.	10,000,000	
Directors and Officers Liability ($1,000 self retention per loss). . .		
Employee Dishonesty Bond with Managing Agent Rider		
TOTAL ANNUAL PREMIUM FOR ABOVE		$12,900.00

The Building insurance policy will contain an agreed amount replacement endorsement, which will avoid coinsurance, and will be in the amount set forth above.

In recent years, premiums for insurance (especially fire and liability) have varied substantially. It is not possible to predict whether future premiums will continue to increase or decrease at the same rate or level. Although the projection is believed to be reasonable, no budgeted item is warranted.

Elevator collision coverage is not included in the policy set forth above, but may be available at an extra cost to the Apartment Corporation. Further, it is anticipated that the mortgagee will have the right to apply insurance proceeds to reduce the mortgage indebtedness rather than to restore the Property.

Tenant-stockholders will be responsible for purchasing insurance not carried by the Apartment Corporation which they may wish to carry with respect to their respective apartments and its contents. It is recommended that each tenant-stockholder consult an insurance broker as to the desirability of obtaining such additional insurance to cover risks such as fire, casualty for losses of

apartment contents, replacements, additions, upgraded fixtures and improvements, and liability coverage for occurrences within the apartment.

12. Management Fees (Budget - $21,600.00)

The building will be managed by Arco Management Corp., ("ARCO") at an annual rate for the first year of $21,600.00 which is approximately 3.8% of the annual maintenance charges. This fee is to be paid monthly at $1,800.00 per month. The agreement with ARCO was not negotiated at arms length as the President of ARCO is related to a general partner of the Sponsor. Management companies are presently charging 4% to 6% of maintenance charges as a management fee. Accordingly, if ARCO ceased to be the Managing Agent for the property, the Apartment Corporation may be required to pay a higher management fee. See section of the Plan entitled "Management Agreement, Contracts and Leases."

13. Legal and Audit Fees (Budget - $4,000.00)

The item is budgeted to provide for estimated auditing fees in connection with the preparation of the Apartment Corporation's first year's audited financial statement and its income tax returns.

A small allowance is provided for the retention of an attorney for minor items.

14. Franchise and Corporation Taxes (Budget - $5,208.00)

This estimate is based upon the aggregate of the New York State Franchise Tax, the Metropolitan Transportation Business Tax Surcharge, and the New York City Corporation Tax, each of which were calculated as follows:

a. New York State Franchise Tax

The average net assets of the Corporation multiplied by 0.0004.

b. Metropolitan Transportation Business Tax Surcharge.

Calculated as 17% of the New York State Franchise Tax payable for the tax year.

c. New York City Corporation Tax

The average net assets of the Corporation multiplied by 0.0004.

15. Real Estate Taxes (Budget - $76,612.00)

Set forth below are the assessed valuations for the Building for the current and preceding years as established by the Real Property Assessment Division, Department of Finance of the City of New York.

Year	Actual Valuation (Total Land	Transitional Valuation and Building)	Tax Rate	Taxes Paid
1989/90	$	$ 836,000	9.15%	$76,613.00
1988/89	895,000	770,000	9.15%	70,455.00
1987/88	820,000	694,000	9.15%	63,501.00
1986/87	720,000	620,000	9.15%	56,730.00
1985/86	715,000	560,000	9.15%	51,240.00
1984/85	670,000	507,000	9.15%	46,390.00

In December 1981, the New York State Legislature enacted a new Section 581 of the Real Property Tax Law, which provides that notwithstanding any other provision of law, real property owned or leased by a cooperative housing corporation shall be assessed for tax purposes at a sum not exceeding the assessment which would be placed upon such parcel were the parcel not owned or leased by a cooperative housing corporation. (Assessment is therefore based upon rental income/maintenance charges.) This Section has the effect of overruling previous case law which indicated that cooperative housing corporations would be taxed based upon the sales price of individual units. The legislative enactment also changed the basis upon which other classes of real property are to be assessed, and doubts have been raised concerning the constitutionality of the statute. Neither the Sponsor nor Sponsor's counsel can make any warranty with respect to real estate taxes in the future.

Under present law, if there is an increase in the assessed valuation over the previous year, the new assessed valuation is not billed all at once to the taxpayer. The increase is phased in over five (5) consecutive tax years; 20% of the increase is phased in each year, beginning with the first year of the increase. During the initial four (4) years, the partial assessed valuations are termed "transitional" assessed valuations.

Sponsor has filed an application to have the assessed valuation of the Property reduced. Any refund for the year in which the closing occurs, along with the cost of such proceedings, will be apportioned between the Apartment Corporation and Sponsor according to the respective portions of the tax year that each holds title to the Property. Any refund covering a period prior to the closing of title and all expenses incurred in connection with obtaining such refund shall belong to and be incurred by Sponsor alone.

16. Miscellaneous Expenses (Budget - $1,000.00).

The item is budgeted to provide for the superintendent's basic telephone service, postage, dues, permits and other expenses.

17. Contingency (Budget - $5,000.00).

This item is to provide a fund for unanticipated expenses not included in Schedule B or unanticipated increases in one or more items described in this Schedule B. Operating expenses and disbursements may be modified from time to time prior to the commencement of, or during, cooperative operation to add new items, or to increase one or more items presently provided by decreasing one or more items of expense, or both. The item for contingencies does not include, and is distinct from, any reserve for capital improvements. No representation is made that the projected amount of this item for contingencies will be adequate to cover all such expenses.

18. Mortgage Payments (Budget - $220,000.00)

At closing, the Property will be encumbered by a balloon mortgage held by a lender in the principal amount of $2,000,000.00. The maturity date of this obligation shall be five (5) years from the Closing Date, at which time the unpaid balance of principal and interest shall be due and payable.

The budgeted figure reflects payments of interest only at the rate of eleven (11%) percent per annum.

Tenant-shareholders will not be personally liable to the holder of the Mortgage to pay such monthly installments or the unpaid principal at maturity. TO PRESERVE ITS EQUITY IN THE PROPERTY, THE APARTMENT CORPORATION MAY REFINANCE OR EXTEND THE MORTGAGE AT ITS MATURITY. Cooperative ownership of real property does not preclude refinancing of a mortgage of the extension of the existing mortgage. The availability, terms and cost of such refinancing or extension will, however, vary from time to time depending upon then existing market conditions, the credit-worthiness of the borrower, the financial and physical condition of the Property and other factors.

THE FOREGOING SCHEDULE IS NOT INTENDED AND SHOULD NOT BE TAKEN AS A GUARANTEE BY ANYONE THAT THE ANNUAL RENT (MAINTENANCE CHARGES) OR EXPENSES FOR THE FIRST OR ANY SUBSEQUENT YEAR OF OPERATION OF THE BUILDING BY THE APARTMENT CORPORATION WILL BE AS SET FORTH IN SAID SCHEDULE, AND IT IS LIKELY THAT THE ACTUAL ANNUAL RENT (MAINTENANCE CHARGES) OR EXPENSES WILL VARY FROM THE AMOUNTS SHOWN IN THE SCHEDULE.

E&E

Elstein and Eller, P. A.
Certified Public Accountants

1115 CLIFTON AVENUE, CLIFTON, N.J. 07013 (201) 773-3600
4 PARK AVENUE, NEW YORK, N.Y. 10016 (212) 398-0324
FAX. 201-773-8089

INDEPENDENT AUDITORS' REPORT

To the Partners
TJS Associates
New York, New York

We have audited the accompanying statement of assets and liabilities-income tax basis of TJS Associates (A Partnership) 124-16 84th Road Property as of December 31, 1988 and 1987 and the related statements of revenues, expenses and partners' capital-income tax basis for the years then ended. The financial statements are the responsibility of the Partnership's management. Our responsibility is to express an opinion on the financial statement based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statement is free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of TJS Associates (A Partnership) 124-16 84th Road Property and the results of its operations for the years ended December 31, 1988 and 1987 in conformity with income tax regulations in effect during the respective reporting periods.

Elstein and Eller, P.A.
Certified Public Accountants

Clifton, New Jersey
February 11, 1989

MEMBERS: AMERICAN INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS
NEW JERSEY INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS
NEW YORK INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS

EXHIBIT C

Non-Tenant Purchasers

1. Robert Pagano
   Donald Tomasello
   6 Longbow Court
   Commack, New York 11725
   Re: Apt. 1DD

2. Elizabeth A. Weingart
   43-11 222 Street
   Bayside, New York 11361
   Re: Apt.5M

3. Linda Udell
   41-15 50th Avenue
   Sunnyside, New York 11104
   Re: Apt. 5J

4. Herman Danzis
   Rita Danzis
   58-51 Waldron Street
   Corona, New York 11368
   Re: Apt. 5L

5. Janusz Wojciecohwski
   Jolanta Wojciechowski
   90-16 80th Street
   Woodhaven, New York 11421
   Re: Apt. 3J

6. Roger Rofe
   83-33 118th Street
   Kew Gardens, New York 11415
   Re: Apt. 3C

7. George Kovacs
   75-55 Utopia Parkway
   Flushing, New York 11366
   Re: Apt. 2K

8. Mary Murphy
   Matthew Carver
   80-38 138th Street
   Kew Gardens, New York 11435
   Re: Apt. 2B

9. Leon Paul
Irene Strapko
83-60 118th Street
Kew Gardens, New York 11415
Re: Apt. 2M

10. Ewa K. Marciniak
Emil Marciniak
67-28 78th Street
Middle Village, New York 11379
Re: Apt. 3L

11. Allen J. Kimerling
209-79 18th Avenue
Bayside, New York 11360
Re: Apt. 5B

SEVENTH AMENDMENT

TO

OFFERING PLAN TO CONVERT TO COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: SEPTEMBER 12, 1990

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND THE THIRD AMENDMENT DATED OCTOBER 4, 1989 AND THE FOURTH AMENDMENT DATED DECEMBER 22, 1989, THE FIFTH AMENDMENT DATED MARCH 13, 1990 AND THE SIXTH AMENDMENT DATED JULY 23, 1990 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

SEVENTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, the Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 and the Sixth Amendment dated July 23, 1990 (the "Plan") and should be read in conjunction therewith.

1. TERMS OF MORTGAGE

The principal amount of the First Mortgage is hereby reduced to $1,800,000 from $2,000,000. Accordingly, interest-only mortgage payments are reduced to $16,500 per month and the balloon payment due on the fifth anniversary of the closing date is reduced to $1,800,000. All other terms of the First Mortgage remain unchanged.

2. MAINTENANCE REBATE

In the fourth paragraph of the Second Amendment, the Sponsor guaranteed that the debt service on the First Mortgage would not exceed $45.00 per room per month or $9.33 per share per year. Based on the original principal amount of the First Mortgage of $2,750,000, the Sponsor was required to pay $10.90 per share per year on its guarantee ($20.23 per share of debt service less the $9.33 per share debt service ceiling). However, the principal amount of the First Mortgage was subsequently reduced to $2,000,000 and then (pursuant to the first paragraph of this Amendment) to $1,800,000, requiring annual debt service of $13.24 per share. The reduction in principal amount of the First Mortgage was not taken into account in the [illegible] of the Maintenance Rebate program in the first paragraph of the Sixth Amendment.

In order to correct this error in calculation, the Maintenance Rebate program described in the first paragraph of the Sixth Amendment is hereby amended to provide for an annual payment to Eligible Purchasers in an amount per share equal to the difference between (i) the annual maintenance charges per share attributable to debt service on the First Mortgage, and (ii) $9.33. Given the terms of the First Mortgage disclosed in the Plan and this Amendment, the annual payment to Eligible Purchasers under the Maintenance Rebate program will be $3.91 per share ($13.24 per share of debt service less the $9.33 per share debt service ceiling). All other terms and provisions of the Maintenance Rebate program remain unchanged.

3. INCORPORATION OF PLAN

The Plan, as modified and supplemented by the prior Amendments and hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

4. DEFINITIONS

All of the terms used in this Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

5. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in prior Amendments hereto and herein.

T.J.S. ASSOCIATES
SPONSOR

DATED: September 12, 1990
New York, New York

EIGHTH AMENDMENT

TO

OFFERING PLAN TO CONVERT TO
COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: November 1, 1990

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND THE THIRD AMENDMENT DATED OCTOBER 4, 1989 AND THE FOURTH AMENDMENT DATED NOVEMBER 22, 1989, THE FIFTH AMENDMENT DATED MARCH 13, 1990, THE SIXTH AMENDMENT DATED JULY 23, 1990 AND THE SEVENTH AMENDMENT DATED SEPTEMBER 12, 1990 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

EIGHTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, the Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990, the Sixth Amendment dated July 23, 1990 and the Seventh Amendment dated September 12, 1990 (the "Plan") and should be read in conjunction therewith.

1. TITLE CLOSING

On September 13, 1990 at the offices of Blutrich, Falcone & Miller, Two Park Avenue, New York, New York, the Sponsor transferred title to the Property to Crestwood Apartment Owners Corp. (the "Apartment Corporation") for cash and 13,838 shares of capital stock of the Apartment Corporation.

1,117 shares of the Apartment Corporation's capital stock were transferred to 6 individual purchasers at a total cash price of $346,822. An additional 1,467 shares of the Apartment Corporation's capital stock allocated to 6 apartments were subscribed for but not closed. 13,838 shares (including the 1,467 shares subscribed for but not closed) of the Apartment Corporation's capital stock were retained by the Sponsor as holder of Unsold Shares. The rights and obligations of the Sponsor, as holder of Unsold Shares, are set forth in the Plan. A list of the Unsold Apartments as of October 16, 1990 with their respective share allocations is annexed hereto as Exhibit A.

2. ADJUSTMENTS/WORKING CAPITAL FUND

At closing, the Sponsor and the Apartment Corporation apportioned various items of income and expense in accordance with

the period of time that each owned the Property. The apportionments resulted in a net credit of $22,817.49 in favor of the Sponsor. The Apartment Corporation executed 24 non-interest bearing serial promissory notes, the first of which is payable on October 1, 1991, each in the amount of $950.73.

The sum of $15,000, representing the Working Capital Fund, was deposited into The Dime Savings Bank of New York, FSB operating account number 1711000339-0 at EAB Plaza, Uniondale, New York.

3. RESERVE FUND

Pursuant to the section of the Plan entitled "Reserve Fund and Working Capital Fund", the Sponsor elected to fund the Reserve Fund in accordance with the provisions of Section YYYY51-3.0(b)(ii) and Section YYYY51-3.0(c) of the New York City Administrative Code. These sections of the Reserve Fund Law require the Sponsor to establish the reserve fund in an amount equal to (i) three percent of the actual sales price of all cooperative shares sold by the offeror at the time the Plan was declared effective (but not less than one percent of the last insider price per share ($225) multiplied by the total number of shares of the Apartment Corporation), plus (ii) supplemental contributions of three percent of the actual sales price of shares sold to bona fide purchasers subsequent to the effective date of the Plan and within five years of the master closing which was held on September 13, 1990 (but not less than three percent of the last insider price per share ($225) multiplied by the total number of shares of the Apartment Corporation), less (iii) a credit equal to the actual cost of capital replacements begun after the Plan was first submitted to the Department of Law and before the Plan was declared effective (but not in excess of the lesser of the actual cost of the improvements or one percent of the last insider price per share ($225) multiplied by the total number of shares of the Apartment Corporation). The formula described above is subject in all respects to the actual statutory provisions set forth as an Exhibit in Part II of the Plan.

Applying the formula described above:

(i)	$	763,142	Actual sales
x		.03	
	$	22,894.26	

but not less than

		2,584	Shares sold by effective date
x	$	225	Last insider price per share
	$	581,400	
x		.01	
	$	5,814	

plus (ii) no supplemental contributions as of the master closing

less (iii) $ 750,000 Cost of improvements as set forth in Paragraph 3 of the Second Amendment

not to exceed

	14,955	Total shares in Apartment Corporation
x	$ 225	Last insider price per share
	$3,364,875	
x	.01	
	$ 33,649	Credit

As a result, the Sponsor was not required to contribute to the Reserve Fund at Closing.

4. MORTGAGE

Pursuant to the section of the Plan entitled "Terms of Mortgages", the Apartment Corporation executed at the closing a note in favor of The Dime Savings Bank of New York, FSB in the amount of $1,800,000. Such note accrues interest at the rate of 11% per annum and is secured by a first mortgage and requires monthly payments of interest only in the amount of $16,500.

5. BUDGET

The Board of Directors has resolved to extend the budget set forth in the Plan for four months through December 31, 1990.

6. PURCHASE AGREEMENT

Annexed hereto as Exhibit B is a sample form of Purchase Agreement which will be used by the Sponsor for the sale of Unsold Shares.

7. VIOLATIONS

At Closing, the Sponsor placed in escrow with its attorneys, Blutrich, Falcone & Miller, Two Park Avenue, New York, New York 10016, the sum of $4,216 as security for the Sponsor's obligation to cure violations of record under the terms of the Offering Plan.

8. FINANCIAL DISCLOSURE

The following disclosure is provided by the Sponsor in compliance with the regulations regarding financial disclosure

promulgated by the New York State Department of Law, effective August 15, 1990:

A. Attached hereto as Exhibit A is a complete list of the apartments at 124-16 84th Road, Kew Gardens, New York with respect to which the Sponsor owns the shares appurtenant as of September 13, 1990 (the "Apartments").

B. As of September 13, 1990 the aggregate monthly maintenance charges payable for all shares appurtenant to the Apartments, including vacant and occupied Apartments was $38,769.34.

C. As of September 13, 1990 the aggregate monthly rent payable by occupants of Apartments was $34,249.57.

D. The Sponsor's financial obligations to the Apartment Corporation which are scheduled to become due on or before September 13, 1991 are set forth below:

- Contributions to the Reserve Fund. The Sponsor has elected to fund the Reserve Fund in accordance with the provisions of Section YYYY51-3.0(b) (ii) of the New York City Administrative Code. Therefore, the Sponsor's contributions to the Reserve Fund over the next twelve-month period cannot be determined at this time.

E. The Sponsor is current on all financial obligations to the Apartment Corporation under the Offering Plan including, but not limited to, maintenance charges, reserve or working capital fund payments, assessments, and payments for repairs or improvements required by the Plan. Sponsor has been current on all such obligations (i.e. has satisfied such obligations by the expiration of any grace period) during the period from September 13, 1990 (the date on which title to the Property was transferred to the Apartment Corporation) to the date of this Amendment.

F. The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

G. Attached hereto as Exhibit C is a schedule of all offerings of cooperative or condominium interests which have been made by Sponsor or a principal of Sponsor, as an individual holder of unsold shares or units or as general partner of principal of sponsor or holder, in or from the State of New York, and in which said sponsor or holder continues to own more than ten (10%) percent of the shares or units. The Offering Plans for these buildings are on file with the Department of Law and are available for public inspection. For each of the other offerings listed in Exhibit C in which Sponsor is a principal of the sponsoring entity, Sponsor states that such sponsoring entity is current in its financial obligations to the respective cooperative, condominium or homeowners association created in connection with such other offering. For each of the other offerings listed in Exhibit C in which a principal of Sponsor is also a principal of the sponsoring entity of such other offering, such principal states that such sponsoring entity is current in its financial obligations to the respective cooperative, condominium or homeowners association created in connection with such other offering.

H. Sponsor is in control of the Board of Directors of the Apartment Corporation. Control of the Board will be relinquished by Sponsor in accordance with the terms of the Offering Plan on the earlier of (a) five years after the Closing Date (September 13, 1990), or (b) whenever Unsold Shares constitute less than fifty (50%) percent of the shares of the Apartment Corporation. As of October 16, 1990 the total percentage of the Unsold Shares which the Sponsor owns is approximately 84.7%.

The officers and directors of the Apartment Corporation as of September 13, 1990 were as follows:

Ilona R. Resnick	President/Secretary & Director
Nicholas J. Levidy	Vice President & Director
Linda Udell	Secretary & Director
Charles B. Storms	Treasurer & Director

I. Funding of any deficit between the amount of the rents received and the maintenance and other financial obligations of Sponsor to the Apartment Corporation will be by means of:

(i) Excess rents and charges received with respect to the Apartments;

(ii) Net proceeds from sales of Apartments; and,

(iii) Additional funds which may be raised or provided by Sponsor.

Sponsor makes no warranty, representation or guarantee that the sources listed in this paragraph will be available to fund deficits, if deficits exist.

9. INCORPORATION OF PLAN

The Plan, as modified and supplemented by the prior Amendments and hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

10. DEFINITIONS

All of the terms used in this Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

11. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in the prior Amendments and herein.

LYNMARK EQUITY PARTNERS
Sponsor

Dated: November 1, 1990
New York, New York

EXHIBIT A

THE CRESTWOOD
KEW GARDENS, N.Y.

Unsold Shares as of ~~9/15/91~~ 10/15/90

APT.NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
~~1E~~	~~1,113~~
1F	245
1G	148
1J	206
1K	208
1L	210
1M	293
1N	148
2A	149
~~2B~~	~~1,113~~
2C	175
2D	217
2E	324
2F	149
2G	209
2H	209
2J	200
~~2K~~	~~1,113~~
2L	294
~~2M~~	~~1,113~~
3A	150
3B	242
~~3C~~	~~1,113~~
3D	228
3E	325
3F	150
3G	210
~~3J~~	~~1,113~~
3K	228
~~3L~~	~~1,113~~
3M	150

10/15/90

	NO. OF SHARES
4A	131
4B	243
4C	178
4D	259
4E	366
4F	[illegible]
4G	[illegible]
4H	[illegible]
4I	[illegible]
4J	202
4K	229
4L	296
4M	151
5A	152
5B	[illegible]
5C	179
5D	230
5E	327
5F	[illegible]
5G	[illegible]
5H	212
5I	[illegible]
5J	230
5K	[illegible]
5L	[illegible]
5M	[illegible]
6A	153
6B	245
6C	180
6D	231
6E	328
6F	153
6G	213
6H	213
6I	204
6J	231
6K	298
6L	153
6M	[illegible]

12667

EXHIBIT B

Prepared by the Committee on Contemporary and Cooperative Forms of the New York State Bar Association

Distributed by Julius Blumberg, Inc.
NYC 10013

CONSULT YOUR LAWYER BEFORE SIGNING THIS AGREEMENT

Contract of Sale — Cooperative Apartment

This Contract is made as of between the "Seller" and the "Purchaser" identified below.

1. Certain Definitions and Information

1.1 The "Parties" are

Seller:

Address:

Print name used by Seller:

Soc. Sec. No.:

Purchaser:

Address:

Soc. Sec. No.:

1.2 The "Attorneys" are *(name, address and telephone)*

For Seller:

For Purchaser:

1.3 The "Escrowee" is *(name, address and telephone)*

1.4 The "Managing Agent" is *(name, address and telephone)*

1.5 The name of the cooperative housing corporation ("Corporation") is

1.6 The "Unit" number is

1.7 The Unit is located at "Premises" known as

1.8 The "Shares" are the shares of the Corporation allocated to the Unit.

1.9 The "Lease" is the proprietary lease for the Unit given by the Corporation.

1.10 The "Broker" (see Par. 12) is

1.11 The "Closing" is the transfer of ownership of the Shares and Lease, which is scheduled to occur on at M. (see Pars. 9 and 10).

1.12 The "Purchase Price" is $

1.12.1 the "Contract Deposit" is $

1.12.2 the "Balance" of the Purchase Price due at Closing is $ (see Par. 2).

1.13 The "Maintenance" charge is the rent payable under the Lease which as of the date of the Contract is in the monthly amount of $ (see Par. 6).

1.14 The "Assessment" is the additional rent payable under the Lease which as of the date of this Contract is $ payable as follows:

1.15 The Party upon whom the Corporation imposes a "Flip Tax" or similar transfer fee, if any, is

(see Par. 11.3).

1.16 If Par. 19 (Financing Contingency) applies

1.16.1 the "Loan Terms" are

Amount Financed: $ or as lower amount applied for or acceptable to Purchaser.

Payment Terms and Charges: The customary payment terms (including prevailing fixed or adjustable interest rate, prepayment provisions and maturity) and charges (including points, origination and other fees) then currently being offered to purchasers of cooperative apartments by the Institutional Lender (defined in Par. 19.5.1) to which Purchaser applies.

Security: Pledge of the Shares and Lease.

1.16.2 the period for Purchaser to obtain a Loan Commitment Letter is business days after a fully executed counterpart of this Contract is given to Purchaser.

1.17 The "Proposed Occupants" of the Unit are the following:

1.17.1 persons and relationship to Purchaser:

1.17.2 pets:

1.18 The Contract Deposit shall be held in a interest bearing escrow account. Interest shall be payable to the The escrow account shall be a type account held at

(See Par. 24).

2. Agreement to Sell and Purchase, Purchase Price, Escrow

2.1 Seller agrees to sell and assign to Purchaser, and Purchaser agrees to purchase and assume from Seller, the Seller's Shares and Lease for the Purchase Price and upon the other terms and conditions stated in this Contract.

2.2 The Purchase Price is payable to Seller by Purchaser as follows:

2.2.1 the Contract Deposit at the time of signing this Contract, by Purchaser's collectible check to the order of Escrowee.

2.2.2 the Balance at Closing, only by cashier's, officer's, bank or certified check of Purchaser made payable to the direct order of Seller. These checks shall be drawn on and payable by a branch of a commercial or savings bank, savings and loan association or trust company located in the same City or County as the Unit. Seller may direct, on not less than 3 business days' Notice (defined in Par. 17) prior to Closing, that all or a portion of the Balance shall be made payable to persons other than Seller.

3. Personal Property

3.1 Subject to any rights of the Corporation or any holder of a mortgage to which the Lease is subordinate, this sale includes all of Seller's ownership, if any, of the following "Property" to the extent existing in the Unit on the date hereof: the refrigerator, freezer, range, oven, microwave oven, dishwasher, cabinets and counters, lighting fixtures, chandeliers, wall-to-wall carpeting, plumbing fixtures, central air-conditioning and/or window or sleeve units, washing machine, dryer, screens and storm windows, window treatments, switch plates, door hardware, built-ins not excluded in Par. 3.2 and

3.2 Specifically excluded from this sale is all personality not included in Par. 3.1 and

take the Property "as is" on the date of this Contract, except for reasonable wear and tear, and except further, the appliances shall be in working order at Closing.

3.3 At or prior to the time of Closing, Seller shall remove from the Unit all the furniture, furnishings and other personalty not included in this sale, and repair any damage caused by such removal.

4. Representations and Covenants

4.1 Subject to any matter affecting title to the Premises (as to which Seller makes no representations or covenants), Seller represents and covenants that:

4.1.1 Seller is and shall at Closing be the sole owner of the Shares and Lease with the full right and power to sell and assign them.

4.1.2 the Shares and Lease will at Closing be free and clear of liens (other than the Corporation's general lien on the Shares, for which no monies shall be owed), encumbrances and adverse interests ("Liens"), or Seller will deliver to Purchaser at Closing all requisite terminations, releases and/or satisfactions executed in form suitable for filing and/or recording, so as to remove of record, at Seller's expense, any such Liens.

4.1.3 the Shares were duly issued, fully paid for and are non-assessable.

4.1.4 the Lease is, and will at Closing be, in full force and effect and no notice of default under the Lease will be in effect at Closing.

4.1.5 the Maintenance and Assessments payable as of the date hereof are as specified in Para. 1.13 and 1.14. All sums due to the Corporation will be fully paid by Seller to the end of the payment period immediately preceding the date of Closing.

4.1.6 as of this date, Seller neither has actual knowledge nor has received any written notice of (a) any increase in Maintenance or (b) any proposed Assessment which has been either adopted or is under consideration by the Board of Directors of the Corporation and not reflected in the amounts set forth in Para. 1.13 and 1.14,

4.1.7 Seller will not at Closing be indebted for labor or material which might result in the filing of a notice of mechanic's lien against the Unit or the Premises,

4.1.8 there are and at closing will be no violations of record which the owner of the Shares and Lease would be obligated to remedy under the terms of the Lease,

4.1.9 Seller has not made any alterations or additions to the Unit, without any required consent of the Corporation,

4.1.10 Seller has not entered and will not enter into, and has no actual knowledge of, any agreement (other than the Lease) affecting the use and/or occupancy of the Unit which would be binding on or adversely affect Purchaser, and

4.1.11 Seller has been known by no other name for the past 10 years except as set forth in Par. 1.1.

4.2 Purchaser represents and covenants that Purchaser is acquiring the Shares and Lease solely for residential occupancy of the Unit by the Proposed Occupants only and will so represent to the Corporation in connection with Purchaser's application to the Corporation for approval of this transaction by the Corporation.

4.3 The representations and covenants contained in Par. 4.1 shall survive Closing, but any action based thereon must be instituted within 1 year from Closing.

5. Corporate Documents

Purchaser has examined and is satisfied with or has waived the examination of the Lease, and the Corporation's certificate of incorporation, by-laws, house rules, most recent audited financial statement and most recent statement of tax deductions available to the Corporation's shareholders under Internal Revenue Code ("IRC") § 216 (or any successor statute).

6. Required Approval and References

6.1 This sale is subject to the approval of the Corporation.

6.2 Purchaser shall in good faith:

6.2.1 submit to the Corporation or its Managing Agent, within 10 business days after the receipt of a fully executed counterpart of this Contract, an application for approval of this sale on the form required by the Corporation containing such data and together with such documents as the Corporation reasonably requires except for the Loan Commitment Letter (defined in Par. 19.5.2), if applicable, which shall be submitted by Purchaser within 3 business days after it is obtained,

6.2.2 attend (and cause any person who will reside in the Unit to attend) one or more personal interviews, as requested by the Corporation; and

6.2.3 promptly submit to the Corporation such further references, data and documents reasonably requested by the Corporation.

6.3 Either Party, after learning of the approval or denial by the Corporation of the application, shall promptly send Notice to the other Party of the Corporation's decision. If approval or denial has not been issued on or before the date set for Closing, the Closing shall be adjourned for 30 business days for the purpose of obtaining such approval unless otherwise agreed to by the Parties. If the approval of this sale is not obtained by said adjourned date, either Party may cancel this Contract on Notice to the other provided that the Corporation's approval is not issued before Notice of cancellation is given. In the event of a denial other than for Purchaser's bad faith default and Par. 19.1 shall govern.

7. Condition of Unit and Possession

7.1 Seller makes no representation as to the condition of the Unit. Purchaser has inspected the Unit and shall take the same "as is", on the date of this Contract, reasonable wear and tear excepted.

7.2 Seller shall deliver possession of the Unit at the Closing, vacant, broom-clean and free of all occupants and rights of possession.

8. Risk of Loss

8.1 While Seller has legal title and is in possession of the Unit, Seller assumes all risk of loss or damage ("Loss") to the Unit and Property from fire or other cause not due to the fault of Purchaser or Purchaser's contractors, agents or servants. In the event of a Loss, Seller shall have the option (but not the obligation) to restore the Unit and Property to as near as reasonably possible to the condition immediately prior to the Loss.

8.2 Within 10 calendar days after the Loss occurs, Seller shall give Notice to Purchaser of the Loss and whether or not Seller elects to restore ("Election Notice").

8.3 If Seller elects to restore, Seller must do so within 60 calendar days after sending the Election Notice or by the Closing, whichever is later ("Restoration Period").

8.4 If the Closing is before such 60 calendar day period expires, then the Closing shall be adjourned to a date and time fixed by Seller on not less than 10 calendar days' prior Notice to Purchaser, but in no event shall the Closing be adjourned for more than 70 calendar days after giving of the Election Notice.

8.5 If Seller elects not to restore or fails, in a timely manner, to send the Election Notice or, having sent the Notice, Seller fails to complete the restoration within the Restoration Period, then Purchaser's sole remedy is either to:

8.5.1 cancel this Contract in accordance with Par. 16 and recover all sums theretofore paid on account of the Purchase Price; or

8.5.2 complete the purchase in accordance with this Contract, without reduction in the Purchase Price or claim against Seller, but with the right to receive any "Net Insurance Proceeds" as defined in Par. 8.6 together with an assignment to Purchaser, without recourse to Seller, of any uncollected proceeds, which assignment shall be delivered by Seller at Closing.

8.6 "Net Insurance Proceeds" are proceeds of Seller's insurance covering the Loss which is attributable to the Unit and Property after deducting legal and other collection expenses incurred by Seller and any sums paid or incurred by Seller for restoration.

8.7 If Purchaser fails to exercise one of Purchaser's options pursuant to Par. 8.5 by Notice to Seller within 7 business days after Seller gives the Election Notice or within 7 business days after the Restoration Period expires (in the event Seller fails to complete the restoration within the Restoration Period), then Purchaser will be deemed to have conclusively elected the option to complete the purchase pursuant to Par. 8.5.2.

8.8 If Purchaser is given possession of the Unit prior to Closing:

8.8.1 Purchaser assumes all risk of Loss to the Unit and Property prior to Closing from fire or other cause not the fault of Seller or Seller's contractors, agents, employees or servants; and

8.8.2 Purchaser shall be obligated to complete the purchase in accordance with this Contract, without reduction in the Purchase Price or claim against Seller and without delay.

8.9 Notwithstanding anything to the contrary in Par. 8.1, Purchaser shall have the right to cancel this Contract in accordance with Par. 16 if, prior to Closing and while Seller is in possession, through no fault of Purchaser or Purchaser's contractors, agents, employees and servants, either:

8.9.1 a Loss occurs to the Unit which would cost more than 10% of the Purchase Price to restore, or

8.9.2 more than 10% of the units in the Premises are damaged and rendered uninhabitable by fire or other cause, regardless of whether the Unit is damaged.

8.10 Purchaser shall be deemed to have waived Purchaser's right to cancel under Par. 8.9 if Purchaser fails to elect to cancel by Notice to Seller given within 7 business days after Seller gives Notice to Purchaser of the event which gives rise to Purchaser's right to cancel. In the event Purchaser waives or is deemed to have waived this right to cancel, the provisions of Par. 8.5.2 shall apply.

9. Closing Location

The Closing shall be held at the location designated by the Corporation, or (if none is designated), at the office of Seller's attorney.

10. Closing

10.1 At Closing, Seller shall deliver:

10.1.1 Seller's certificate for the Shares duly endorsed for transfer to Purchaser or accompanied by a separate duly executed stock power to Purchaser, and in either case, with any guarantee of Seller's signature required by the Corporation,

10.1.2 Seller's counterpart original of the Lease and a duly executed assignment thereof to Purchaser in the form required by the Corporation,

10.1.3 a written statement by an officer of the Corporation or its authorized agent consenting to the transfer of the Shares and Lease to Purchaser and setting forth the amounts and payment status of the Maintenance and any Assessments,

10.1.6 If requested, an assignment to Purchaser of Seller's interest in the Property,

10.1.7 Net Insurance Proceeds and/or assignment of any uncollected Net Insurance Proceeds, if applicable, and

10.1.8 Instruments or other documents required under Par. 4.1.2, if any.

10.2 At Closing, Purchaser shall:

10.2.1 pay the Balance in accordance with Par. 2.2.2,

10.2.2 execute and deliver to Seller and the Corporation an agreement assuming the Lease, in the form required by the Corporation, and

10.2.3 if requested by the Corporation, execute and deliver counterparts of a new lease substantially the same as the Lease, for the balance of the Lease term, in which case the Lease shall be cancelled and surrendered to the Corporation together with Seller's assignment thereof to Purchaser.

10.3 At Closing, the Parties shall provide the information necessary for Internal Revenue Service ("IRS") Form 1099-S or other similar form required.

10.4 At Closing, Seller shall provide, and the Parties shall execute, all documents necessary to comply with any applicable transfer and/or gains tax filings.

11. Closing Fees, Taxes and Apportionments

11.1 At Closing, Seller shall pay, if applicable:

11.1.1 the processing fee(s) of the Corporation, its attorneys, and/or agents, except as set forth in Par. 11.2.3,

11.1.2 the cost of stock transfer stamps, and

11.1.3 the transfer tax and transfer gains tax, except a transfer tax which by its terms imposes primary liability on the purchaser.

11.2 At Closing, Purchaser shall pay:

11.2.1 the sales taxes, if any, on this sale, other than the transfer stamps as provided for in Par. 11.1.2,

11.2.2 the cost of any title search,

11.2.3 any fee to the Corporation or its agents and/or attorneys relating to Purchaser's financing, and

11.2.4 a transfer tax which by law is primarily imposed on the purchaser.

11.3 At Closing, the Flip Tax, if any, shall be paid by the Party specified in Par. 1.15.

11.4 At Closing, the Parties shall apportion as of 11:59 P.M. of the day preceding the Closing, the Maintenance and any other periodic charges due the Corporation (other than Assessments).

11.5 Assessments, whether payable in a lump sum or installments, shall not be apportioned, but shall be paid by the Party who is the owner of the Shares on the date specified by the Corporation for payment. Purchaser shall pay any installments payable after Closing provided Seller had the right to and elected to pay the Assessment in installments.

11.6 Each party covenants to the other that it will timely pay any taxes for which it is primarily liable pursuant to law. This Par. 11.6 shall survive Closing.

12. Broker

12.1 Each Party represents to the other that such Party has not dealt with any other person acting as a broker, whether licensed or unlicensed, in connection with this transaction other than the Broker named in Par. 1.10.

12.2 Seller shall pay the Broker's commission pursuant to a separate agreement. The Broker shall not be deemed to be a third-party beneficiary of this provision.

12.3 This Par. 12 shall survive the Closing.

13. Defaults, Remedies and Indemnities

13.1 In the event of a default or misrepresentation by Purchaser, Seller's sole remedy shall be to terminate this Contract and retain the Contract Deposit as liquidated damages, except there shall be no limitation on Seller's remedies for a breach of Par. 12.1. In case of Purchaser's misrepresentation or default, Seller's damages would be impossible to ascertain and the Contract Deposit constitutes a fair and reasonable amount of compensation.

13.2 In the event of a default or misrepresentation by Seller, Purchaser shall have such remedies as Purchaser is entitled to at law or in equity, including specific performance, because the Unit and possession thereof cannot be duplicated.

13.3 Each Party indemnifies and holds harmless the other against and from any claim, judgment, loss, liability, cost or expense resulting from the indemnitor's breach of any of the representations or covenants stated to survive Closing. This indemnity includes, without limitation, reasonable attorneys' fees and disbursements, court costs and litigation expenses. This Par. 13.3 shall survive the Closing.

13.4 Purchaser indemnifies and holds harmless Seller against and from any claim, judgment, loss, cost or expense resulting from the Lease obligations assumed by Purchaser. This indemnity includes, without limitation, reasonable attorneys' fees and disbursements, court costs and litigation expenses. This indemnity does not include or excuse a breach of any representation or covenant by Seller in Par. 4.1. This Par. 13.4 shall survive the Closing.

13.5 In the event any instrument for the payment of the Contract Deposit fails of collection, Seller shall have the right to sue on the uncollected instrument. In addition, such failure of collection shall be a default under this Contract, provided Seller gives Purchaser [illegible] funds in the amount of the uncollected funds. Failure to cure such default shall entitle Seller to the remedy in Par. 13.1 and to retain all sums as may be collected and/or recovered.

14. Entire Agreement, Modification

14.1 All prior oral or written representations, understandings and agreements had between the Parties with respect to the subject matter of this Contract, and with the Escrowee as to Par. 2B, are merged in this Contract, which alone fully and completely expresses their agreement.

14.2 A provision of this Contract may be changed or waived only in writing signed by the Party (or Escrowee) to be charged.

14.3 The Attorneys may extend in writing any of the time limitations stated in the Contract.

15. No Assignment by Purchaser

15.1 Purchaser may not assign this Contract or any of Purchaser's rights hereunder and any purported assignment shall be null and void.

15.2 This Contract shall bind and inure to the benefit of the Parties hereto and their respective heirs, personal and legal representatives and successors in interest.

16. Cancellation for Other than Default or Misrepresentation

If Seller shall be unable to transfer the Lease and the Shares in accordance with this Contract for any reason not due to Seller's willful acts or omissions, then the sole obligation of Seller shall be to refund to Purchaser the Contract Deposit and reimburse Purchaser for the actual costs incurred for Purchaser's title or abstract search, except such reimbursement shall not be required if a cancellation is pursuant to Par. 6 or 19. Upon making such refund, this Contract shall be cancelled and neither Party shall have any further claim against the other hereunder.

17. Notices

17.1 Any notice or demand ("Notice") shall be in writing and either delivered by hand or overnight delivery or sent by certified or registered mail to the Party and simultaneously, in like manner, to such Party's Attorney, if any, and to Escrowee at the addresses set forth in Par. 1, or to such other address as shall hereafter be designated by Notice given pursuant to this Par. 17.

17.2 Each Notice shall be deemed given on the same day if delivered by hand or on the following business day if sent by overnight delivery, or the second business day following the date of mailing.

17.3 The Attorneys are authorized to give any Notice specified in this Contract on behalf of their respective clients.

17.4 Failure to accept a Notice does not invalidate the Notice.

18. Margin Headings

The margin headings do not constitute part of the text of this Contract.

19. Financing Contingency *(delete if inapplicable)*

19.1 Purchaser may cancel this Contract and recover the Contract Deposit by following the procedure in Par. 19.4 if after complying with Purchaser's "Financing Obligations" in Par. 19.2 below and Purchaser's other obligations under this Contract:

19.1.1 Purchaser fails through no fault of Purchaser to obtain from an "Institutional Lender" (defined in Par. 19.5.1) a "Loan Commitment Letter" (defined in Par. 19.5.2) for financing on the Loan Terms and within the time period stated in Par. 1.16 (the "Loan"); or

19.1.2 the Institutional Lender and the Corporation cannot agree on the terms of an agreement for the protection of the Institutional Lender (commonly called a recognition agreement), if required by the Institutional Lender.

19.2 Purchaser's right to cancel under Par. 19.1 and recover the Contract Deposit is conditioned upon Purchaser's diligent compliance with all of the following "Financing Obligations":

19.2.1 Purchaser must apply in good faith for the Loan from an Institutional Lender within 7 business days after a fully executed counterpart of this Contract is given to Purchaser;

19.2.2 the Loan application must contain truthful, accurate and complete information as required by the Institutional Lender; and

19.2.3 Purchaser must comply with all requirements of the Institutional Lender to obtain the Loan Commitment Letter and to close the Loan.

19.3 Purchaser may also cancel this Contract and recover the Contract Deposit in accordance with the procedure in Par. 19.4 if:

19.3.1 the Closing is adjourned by Seller or the Corporation for for more than 30 business days from the date set for Closing in Par. 1.11; and

19.3.2 the Loan Commitment Letter expires on a date more than 30 business days after the date set for Closing in Par. 1.11 and before the new date set for Closing pursuant to Par. 19.3.1; and

19.3.3 Purchaser is unable in good faith to obtain from the Institutional Lender an extension or a new Loan Commitment Letter for the Amount Financed stated in Par. 1.16 or the same principal amount stated in the expired Loan Commitment Letter, whichever is lower, without paying any additional fees to the Institutional Lender (unless Seller, within 5 business days after receipt of Notice of such fees, gives Notice that Seller will pay such fees and pays them when due). All other substantive Loan terms may be materially no less favorable than in the expired Loan Commitment Letter.

19.4 In order to cancel pursuant to Par. 19.1 or 19.3, Purchaser shall give Notice of cancellation to Seller within 7 business days after the right to cancel arises. Purchaser's failure to timely give such Notice of cancellation will be deemed a conclusive waiver of such right to cancel. In case of cancellation pursuant to Par. 19.1, a copy of any

to Par 19.3, a copy of all written communications between the Institutional Lender and Purchaser concerning the effirmative or zero loan commitment shall accompany the Notice of cancellation (or a copy of any letter refusing to extend the loan commitment or make a zero loan commitment received by Purchaser after making the cancellation Notice shall be sent to Seller promptly after receipt) Purchaser's obligations under this Par 19.4 shall survive the cancellation of the Contract

19.5 The definitions for certain terms used in this Par 19 are

19.5.1 an "Institutional Lender" is any bank, savings bank, savings and loan association, trust company, credit union of which Purchaser is a member, insurance company or governmental entity which is duly authorized to make a loan secured by the Shares and Lease in the state where the Unit is located and is then currently extending similarly secured loan commitments, and

19.5.2 a "Loan Commitment Letter" is a written offer to make the Loan with or without recourse, and whether or not conditional upon any factor other than an appraisal satisfactory to the Institutional Lender An offer to make the Loan which is conditional on obtaining a satisfactory appraisal shall only become a Loan Commitment Letter upon such condition being met.

20. Singular/Plural and Joint/Several

The use of the singular shall be deemed to include the plural, and vice versa, whenever the context so requires If more than one entity is selling or purchasing the Unit, their obligations shall be joint and several

21. No Survival

No representation and or covenant contained herein shall survive Closing except as expressly provided Computational errors shall survive and be corrected after Closing

22. Inspections

Purchaser shall have the right to inspect the Unit at reasonable times upon reasonable request to Seller, and within 48 hours prior to Closing

23. Governing Law

This Contract shall be governed by the laws of the State of New York Any action or proceeding arising out of this Contract shall be brought in the county where the Unit is located and the Parties hereby consent to said venue

24. Removal of Liens

24.1 Purchaser shall deliver or cause to be delivered to Seller or Seller's Attorney, not less than 10 calendar days prior to Closing, a list of Liens, if any, which may violate Par 4.1.

24.2 Seller shall have a reasonable period of time to remove any such Liens.

25. Cooperation of Parties

25.1 The Parties shall each cooperate with the other, the Corporation, Purchaser's Institutional Lender and title company, if any, and obtain, execute and deliver such documents as are reasonably necessary to close.

25.2 The Parties shall timely file or pre-file all required documents in connection with all governmental filings that are required by law. Each Party represents to the other that its statements in such filings will be true and complete. This Par 25.2 shall survive the Closing.

26. FIRPTA and Gains Tax

26.1 The Parties shall comply with IRC §§ 897, 1445 and related provisions, as amended, and any substitute provisions of any successor statute and the regulations thereunder ("FIRPTA"). The Seller shall furnish to the Purchaser at or prior to Closing a Certification of Nonforeign Status in accordance with FIRPTA. If the Seller fails to deliver such certification by Closing, the Purchaser shall deduct and withhold from the Purchase Price such sum required by law and remit such amount to the IRS In the event of such withholding by Purchaser, Seller's obligations hereunder, including (but not limited to) the transfer of ownership of the Shares and Lease, shall not be excused or otherwise affected In the event of any claimed over-withholding, Seller shall be limited solely to an

and if it is a Real Property Taxpayer Identification Number by law, Purchaser shall simultaneously herewith deliver to Seller a completed and executed Transferor Questionnaire or the equivalent thereof

27. Additional Conditions

27.1 Purchaser shall not be obligated to close unless at the time of the Closing

27.1.1 the Corporation is duly incorporated and in good standing, and

27.1.2 the Corporation has fee or leasehold title to the Premises, whether or not marketable or insurable, and

27.1.3 there is no pending in rem action or foreclosure action of any underlying mortgage affecting the Premises

27.2 Purchaser shall give Seller Notice of any failure of any of the conditions in Par 27.1 If any condition in Par 27.1 is not true and is not cured within a reasonable period of time after giving said Notice, then either Seller or Purchaser shall have the option to cancel this Contract pursuant to Par 16

28. Escrow Terms

28.1 Escrower acknowledges receipt of the check for the Contract Deposit, subject to collection.

28.2 The check for the Contract Deposit shall be deposited by Escrower in an escrow account as described in Par 1.18 and the proceeds held and disbursed in accordance with the terms of this Contract Upon Closing, Escrower shall deliver the Contract Deposit to Seller In all other cases, if either Party makes a demand upon Escrower for delivery of the Contract Deposit, Escrower shall give Notice to the other Party of such demand If a Notice of objection to the proposed payment is not received from the other Party within 7 business days after the giving of Notice by Escrower, time being of the essence, Escrower is hereby authorized to deliver the Contract Deposit to the Party who made the demand If Escrower receives a Notice of objection within said period, or if for any other reason Escrower in good faith elects not to deliver the Contract Deposit, then Escrower shall continue to hold the Contract Deposit and thereafter pay it to the Party entitled when Escrower receives (a) a Notice from the objecting Party withdrawing the objection, or (b) a Notice signed by both Parties directing disposition of the Contract Deposit or (c) a judgment or order of a court of competent jurisdiction.

28.3 In the event of any dispute or doubt as to the genuineness of any document or signature, or uncertainty as to Escrower's duties, then Escrower shall have the right either to continue to hold the Contract Deposit in escrow or to pay the Contract Deposit into court pursuant to relevant statute.

28.4 The parties agree jointly to defend (by attorneys selected by Escrower), indemnify and hold harmless Escrower against and from any claim, judgment, loss, liability, cost or expense resulting from any dispute or litigation arising out of or concerning Escrower's duties or services hereunder. This indemnity includes, without limitation, disbursements and reasonable attorneys' fees either paid to retain attorneys or representing the fair value of legal services rendered by Escrower to itself.

28.5 Escrower shall not be liable for any error in judgment or for any act done or step taken or omitted in good faith, or for any mistake of fact or law, except for Escrower's own gross negligence or willful misconduct.

28.6 The Parties acknowledge that Escrower is merely a stakeholder Upon payment of the Contract Deposit pursuant to Par 28.2 or 28.3, Escrower shall be fully released from all liability and obligations with respect to the Contract Deposit.

28.7 In the event Escrower is the attorney for either Party, Escrower shall be entitled to represent such Party in any lawsuit.

28.8 Escrower shall serve without compensation.

28.9 The signing of this Contract by Escrower is only to evidence Escrower's acceptance of the terms and conditions of this Par 28

29. Binding Effect

This Contract shall not be binding unless a fully executed counterpart thereof has been delivered to each of the Parties.

In Witness Whereof, the Parties hereto have duly executed this Contract as of the date first above written.

ESCROW TERMS AGREED TO:	SELLER:	PURCHASER:
Escrower		

EXHIBIT C

Sheldon S. Goldstein	Knolls East Condominium I Knolls East Condominium II Ramapo Cirque Homeowners Association Executive I Condominium The Senate Cooperative
Edwin Wachtel	Knolls East Condominium I Knolls East Condominium II Ramapo Cirque Homeowners Association The Senate Cooperative
Herbert Goldsmith	The Senate Cooperative
Herbert Zucker	None

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

NINTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, the Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990, the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990 and the Eighth Amendment dated November 1, 1990 (the "Plan") and should be read in conjunction therewith.

1. LEASE-TO-OWN

Sponsor hereby offers prospective purchasers the opportunity to lease vacant apartments under a Lease for a one-year period during which time a prospective purchaser will have the option to purchase the Apartment he rents.

In the event a prospective purchaser elects to purchase the Apartment within the one-year period following the date of the Lease, a portion of the rent paid under the Lease each month will be credited against the Purchase Price (the "Allowable Credit"). The Allowable Credit will be fifty (50%) percent of each month's rent timely paid in full if the purchaser closes on his Apartment within six months after the date of the Lease, and twenty five (25%) percent of each month's rent timely paid in full if the purchaser closes more than six months and within one year after the date of the Lease.

Prospective purchasers desiring to accept Sponsor's lease-to-own offer will be required to deliver, in triplicate, an executed Lease and Lease-to-Own Rider thereto for the Apartment.

A tenant under a Lease subject to the lease-to-own offer who desires to purchase the Apartment he occupies must notify the Sponsor in writing. Within ten (10) days thereafter, the tenant will be

required to execute and deliver to the Sponsor a Purchase Agreement at a Purchase Price to be agreed-upon by the Sponsor and the tenant. Simultaneously with the execution and delivery of the Purchase Agreement, the tenant must tender a Contract Deposit in an amount equal to ten (10%) percent of the Purchase Price.

The Lease executed by a prospective purchaser under the lease-to-own program confers no rent stabilization or rent controlled rights on the tenant. Accordingly, if a tenant does not elect to purchase his Apartment, he will be required to vacate the Apartment at the end of the one-year Lease term unless the Sponsor agrees to extend the term. In no event shall such a tenant be entitled to the return of, or any credit for, the Allowable Credit.

The Purchase Agreement executed by the tenant under the lease-to-own program may, at the option of the tenant, be made contingent on financing. However, it is the purchaser's responsibility to arrange for financing and to notify the Sponsor in time to permit closing on or before the first anniversary of the execution of the Lease. Time is of the essence for closing on or before the first anniversary of the execution of the Lease. Failure to close on or before such date will relieve the Sponsor (at its option) of the obligation to close under the lease-to-own program and will (subject to the financing contingency, if any) constitute a default under the Purchase Agreement entitling the Sponsor to retain the Contract Deposit as and for liquidated damages. If the tenant is unable to obtain financing in accordance with the terms of the financing contingency and is not otherwise in default under the Purchase Agreement, the Sponsor shall return the Contract Deposit to the tenant, with interest earned if any.

Vacant Apartments made available for rental and purchase under this Paragraph are being offered in their "as is" condition.

Notwithstanding the foregoing, the submission of a Lease and Lease-to-Own Rider thereto by a prospective purchaser under the lease-to-own program will not be binding on the Sponsor until same has been approved and executed by the Sponsor.

Sponsor reserves the right, in its sole discretion, unilaterally and without notice or further amendment of the Plan, to withdraw Apartments from this lease-to-own offer.

This offer is limited solely to purchasers who submit a Lease and Lease-to-Own Rider thereto after the Presentation Date of this Amendment and does not apply to Leases entered into prior to the Presentation Date of this Amendment.

The form of Lease-to-Own Rider to the Purchase Agreement is annexed hereto as Exhibit A. The form of the Lease and Lease-to-Own Rider are annexed hereto as Exhibit B.

2. **INCORPORATION OF PLAN**

The Plan, as modified and supplemented by the prior Amendments and hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

3. **DEFINITIONS**

All of the terms used in this Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

4. **NO OTHER MATERIAL CHANGES**

There have been no material changes in the Plan except as set forth in the prior Amendments and herein.

TJS ASSOCIATES
Sponsor

Dated: January 18, 1991
New York, New York

EXHIBIT A

LEASE-TO-OWN RIDER
TO PURCHASE AGREEMENT

SELLER: _____

PURCHASER(S): _____

BUILDING: _____

APARTMENT: _____

DATE: _____

1. A. Prior hereto, Purchaser has entered into a Lease for the Apartment dated as of the date of this Agreement. The rent under the Lease is $_____ per month (the "Interim Rent"), a portion of which shall be credited against the Purchase Price for each month that the Purchaser has timely paid the rent in full (the "Allowable Credit"). The Allowable Credit will be fifty (50%) percent of each month's rent timely paid in full if the Purchaser closes on the Apartment within six months of the date hereof and twenty five (25%) percent if the Purchaser closes more than six months and within one year after the date hereof.

B. Purchaser's failure to pay rent or to otherwise comply with his Lease or tenancy obligations shall constitute a default under this Agreement.

C. The parties shall apportion as of midnight of the day preceding the actual closing date, the rent and Allowable Credit for the Apartment.

2. Supplementing Paragraph 1.12 of the Purchase Agreement, the Balance due shall be the Purchase Price less the Contract Deposit (equal to ten (10%) percent of the Purchase Price) less the Allowable Credit (as defined in Paragraph 1 above).

3. Supplementing and modifying Paragraph 13 of the Purchase Agreement, it is hereby agreed that it shall be an "Event of Default" hereunder if Purchaser fails to pay the Balance on the Scheduled Closing Date (as such term is hereinafter defined) or the Anniversary Date (as such term is hereinafter defined).

4. Supplementing and modifying Paragraph 1.11 of the Purchase Agreement, the closing shall be held on the date scheduled in accordance with the terms of this Purchase Agreement (the

"Scheduled Closing Date"). If, through no fault of Seller, Purchaser, for any reason, fails to close on the Scheduled Closing Date, then time shall be of the essence for Purchaser to pay and perform his obligations hereunder within fifteen (15) days of the Scheduled Closing Date, or the Anniversary Date (as such term is hereinafter defined), whichever comes first.

5. In the event of any inconsistency between the provisions of this Rider and those contained in the Purchase Agreement to which this Rider is annexed, the provisions of this Rider shall govern and be binding.

Initials: Seller_____

Purchaser_____

EXHIBIT B

Lease

ATTACH RIDERS SETTING FORTH RIGHTS AND OBLIGATIONS OF TENANTS EACH
TENANT SHOULD RETAIN A COPY OF THE LEASE SIGNED BY ALL PARTIES
TENANTS SHOULD BE INCLUDED IN CASE IT IS LATER MISPLACED BY EITHER

STANDARD FORM OF APARTMENT LEASE
THE REAL ESTATE BOARD OF NEW YORK, INC.

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PREAMBLE: This lease contains the agreements between You and Owner concerning Your rights and obligations and the rights and obligations of Owner. You and Owner have other rights and obligations which are set forth in government laws and regulations.

You should read this Lease and all of its attached parts carefully. If You have any questions, or if You do not understand any words or statements, get clarification. Once You and Owner sign this Lease You and Owner will be presumed to have read it and understood it. You and Owner admit that all agreements between You and Owner have been written into this Lease. You understand that any agreements made before or after this Lease was signed and not written into it will not be enforceable.

THIS LEASE is made on _____ (month, day, year) between

Owner, _____

whose address is _____

and You, the Tenant, _____

whose address is _____

1. APARTMENT AND USE

☞ Owner agrees to lease to You Apartment _____ on the _____ floor in the Building at _____ Borough of _____, City and State of New York.

You shall use the Apartment for living purposes only. The Apartment may be occupied by the tenant or tenants named above and by the immediate family of the tenant or tenants and by occupants as defined in and only in accordance with Real Property Law §235-f.

2. LENGTH OF LEASE

☞ The term (that means the length) of this Lease is _____ years, _____ months _____ days, beginning on _____ and ending on _____. If you do not do everything You agree to do in this Lease, Owner may have the right to end it before the above date. If Owner does not do everything that owner agrees to do in this Lease, You may have the right to end the Lease before ending date.

3. RENT

or expenses, and this Lease will remain in effect. However, in such case, this Lease will start on the date when You can move in, and the ending date in Article 2 will be changed to a date reflecting the full term of years set forth in Article 2. You will not have to pay rent until the move-in date Owner gives You by written notice., or the date You move in, whichever is earlier. If Owner does not give You notice that the move-in date is within 30 days after the beginning date of the term of this Lease as stated in Article 2, You may tell Owner in writing, that Owner has 15 additional days to let You move in, or else the Lease will end. If Owner does not allow You to move in within those additional 15 days, then the Lease is ended. Any money paid by You on account of this Lease will then be refunded promptly by Owner.

7. CAPTIONS

In any dispute arising under this Lease, in the event of a conflict between the text and a caption, the text controls.

8. WARRANTY OF HABITABILITY

A. All of the sections of this Lease are subject to the provisions of the Warranty of Habitability Law in the form it may have from time to time during this Lease. Nothing in this Lease can be interpreted to mean that You have given up any of your rights under that law. Under that law, Owner agrees that the Apartment and the Building are fit for human habitation and that there will be no conditions which will be detrimental to life, health or safety.

B. You will do nothing to interfere or make more difficult Owner's efforts to provide You and all other occupants of the Building with the required facilities and services. Any condition caused by your misconduct or the misconduct of anyone under your direction or control shall not be a breach by Owner.

9. CARE OF YOUR APARTMENT-END OF LEASE-MOVING OUT

A. You will take good care of the apartment and will not permit or do any damage to it, except for damage which occurs through ordinary wear and tear. You will move out on or before the ending date of this lease and leave the Apartment in good order and in the same condition as it was when You first occupied it, except for ordinary wear and tear and damage caused by fire or other casualty.

B. When this Lease ends, You must remove all of your movable property. You must also remove at your own expense, any wall covering, bookcases, cabinets, mirrors, painted murals or any other installation or attachment You may have installed in the Apartment, even if it was done with Owner's consent. You must restore and repair to its original condition those portions of the Apartment affected by those installations and removals. You have not moved out until all persons, furniture and other property of yours is also out of the Apartment. If your property remains in the Apartment after the Lease ends, Owner may either treat You as still in occupancy and charge You for use, or may consider that You have given up the Apartment and any property remaining in the Apartment. In this event,Owner may either discard the property or store it at your expense. You agree to pay Owner for all costs and expenses incurred in removing such property. The provisions of this article will continue to be in effect after the end of this Lease.

10. CHANGES AND ALTERATIONS TO APARTMENT

You cannot build in, add to, change or alter, the Apartment in any way, including wallpapering, painting, repainting, or other decorating, without getting Owner's written consent before You do anything. Without Owner's prior written consent, You cannot install or use in the Apartment any of the following: dishwasher machines, clothes washing or drying machines, electric stoves, garbage disposal units, heating, ventilating or air conditioning units or any other electrical equipment which, in Owner's reasonable opinion, will overload the existing wiring installation in the Building or interfere with the use of such electrical wiring facilities by other tenants of the Building. Also, You cannot place in the Apartment water-filled furniture.

11. YOUR DUTY TO OBEY AND COMPLY WITH LAWS, REGULATIONS AND LEASE RULES

A. Government Laws and Orders. You will obey and comply (1) with all present and future city, state and federal laws and regulations, including the Rent Stabilization Code and Law, which affect the Building or the Apartment, and (2) with all orders and regulations of Insurance Rating Organizations which affect the Apartment and the Building. You will not allow any windows in the Apartment to be cleaned from the outside, unless the equipment and safety devices required by law are used.

B. Owner's Rules Affecting You. You will obey all Owner's rules listed in this Lease and all future reasonable rules of Owner or Owner's agent. Notice of all additional rules shall be delivered to You in writing or posted in the lobby or other public place in the building. Owner shall not be responsible to You for not enforcing any rules, regulations or provisions of another tenant's lease except to the extent required by law.

C. Your Responsibility. You are responsible for the behavior of yourself, of your immediate family, your servants and people who are visiting You. You will reimburse Owner as additional rent upon demand for the cost of all losses, damages, fines and reasonable legal expenses incurred by Owner because You, members of your immediate family, servants or people visiting You have not obeyed government laws and orders of the agreements or rules of this Lease.

12. OBJECTIONABLE CONDUCT

As a tenant in the Building, You will not engage in objectionable conduct. Objectionable conduct means behavior which makes or will make the Apartment or the Building less fit to live in for You or other occupants. It also means anything which interferes with the right of others to properly and peacefully enjoy their Apartments, or causes conditions that are dangerous, hazardous, insanitary and detrimental to other tenants in the Building. Objectionable conduct by You gives Owner the right to end this Lease.

13. SERVICES AND FACILITIES

A. Required Services. Owner will provide cold and hot water and heat as required by law, repairs to the Apartment as required by law, elevator service if the Building has elevator equipment, and the utilities, if any, included in the rent, as set forth in sub-paragraph B. You are not entitled to any rent reduction because of a stoppage or reduction of any of the above services unless it is provided by law.

☞ B. The following utilities are included in the rent _____

C. Electricity and Other Utilities. If Owner provides electricity or gas and the charge is included in the rent on ☞ Page 1, or if You buy electricity or gas from Owner for a separate (submetered) charge, your obligations are described in the Rider attached to this Lease. If electricity or gas is not included in the rent or is not charged separately by Owner, You must arrange for this service directly with the utility company. You must also pay directly for telephone service if it is not included in the rent.

D. Appliances. Appliances supplied by Owner in the Apartment are for your use. They will be maintained and repaired or replaced by Owner, but if repairs or replacement are made necessary because of your negligence or misuse, You will pay Owner for the cost of such repair or replacement as additional rent.

E. Elevator Service. If the elevator is the kind that requires an employee of Owner to operate it, Owner may end this service without reducing the rent if: (1) Owner gives You 10 days notice that this service will end; and (2) within a reasonable time after the end of this 10-day notice, Owner begins to substitute an automatic control type of elevator and proceeds diligently with its installation.

F. Storeroom Use. If Owner permits You to use any storeroom,laundry or any other facility located in the building but outside of the Apartment, the use of this storeroom or facility will be furnished to You free of charge and at your own risk, except for loss suffered by You due to Owner's negligence. You will operate at your expense any coin operated appliances located in such storerooms or laundries.

14. INABILITY TO PROVIDE SERVICES

In any of these events, any rights You may have against Owner are only those rights which are allowed by laws in effect when the reduction in service occurs.

15. ENTRY TO APARTMENT

During reasonable hours and with reasonable notice, except in emergencies, Owner may enter the Apartment for the following reasons:

(A) To erect, use and maintain pipes and conduits in and through the walls and ceilings of the Apartment; to inspect the Apartment and to make any necessary repairs or changes Owner decides are necessary. Your rent will not be reduced because of any of this work, unless required by Law.

(B) To show the Apartment to persons who may wish to become owners or lessees of the entire Building or may be interested in lending money to Owner;

(C) For four months before the end of the Lease, to show the Apartment to persons who wish to rent it;

(D) If during the last month of the Lease You have moved out and removed all or almost all of your property from the Apartment, Owner may enter to make changes, repairs, or redecorations. Your rent will not be reduced for this month and this Lease will not be ended by Owner's entry.

(E) If at any time You are not personally present to permit Owner or Owner's representative to enter the Apartment and entry is necessary or allowed by law or under this lease, Owner or Owner's representatives may nevertheless enter the Apartment. Owner may enter by force in an emergency. Owner will not be responsible to You, unless during this entry, Owner or Owner's representative is negligent or misuses your property.

16. ASSIGNING; SUBLETTING; ABANDONMENT

(a) Assigning and Subletting. You cannot assign this Lease or sublet the Apartment without Owner's advance written consent in each instance to a request made by You in the manner required by Real Property Law §226-b. [illegible] relating to subletting. Owner may refuse to consent to a lease assignment for any reason or no reason, but if Owner unreasonably refuses to consent to request for a Lease assignment properly made, at your request in writing, Owner will end this Lease effective as of thirty days after your request. The first and every other time you wish to sublet the Apartment, You must get the written consent of Owner unless Owner unreasonably withholds consent following your request to sublet in the manner provided by Real Property Law §226-b. Owner may impose a reasonable credit check fee on You in connection with an application to assign or sublet. If You fail to pay your rent Owner may collect rent from sublessee or occupant without releasing You from the Lease. Owner will credit the amount collected against the rent due from You. However, Owner's acceptance of such rent does not change the status of the sublessee or occupant to that of direct tenant of Owner and does not release You from this Lease.

(b) Abandonment. If You move out of the Apartment (abandonment) before the end of this Lease without the consent of Owner, this Lease will not be ended (except as provided by law following Owner's unreasonable refusal to consent to an assignment or subletting requested by You.) You will remain responsible for each monthly payment of rent as it becomes due until the end of this Lease. In case of abandonment, your responsibility for rent will end only if Owner chooses to end this Lease for default as provided in Article 17.

17. DEFAULT

(1) You default under the Lease if You act in any of the following ways:

(a) You fail to carry out any agreement or provision of this Lease

(b) You or another occupant of the Apartment behaves in an objectionable manner

(c) You do not take possession or move into the Apartment 15 days after the beginning of this Lease;

(d) You and other legal occupants of the Apartment move out permanently before this Lease ends;

If You do default in any one of these ways, other than a default in the agreement to pay rent, Owner may serve You with a written notice to stop or correct the specified default within 10 days. You must then either stop or correct the default within 10 days, or, if You need more than 10 days, You must begin to correct the default within 10 days and continue to do all that is necessary to correct the default as soon as possible.

(2) If You do not stop or begin to correct a default within 10 days, Owner may give You a second written notice that this Lease will end six days after the date the second written notice is sent to You. At the end of the 6-day period, this Lease will end. You then must move out of the Apartment. Even though this Lease ends, You will remain liable to Owner for unpaid rent up to the end of this Lease,the value of your occupancy, if any, after the Lease ends, and damages caused to Owner after that time as stated in Article 18.

(3) If You do not pay your rent when this Lease requires after a personal demand for rent has been made, or within three days after a statutory written demand for rent has been made, or if the Lease ends, Owner may do the following: (a) enter the apartment and retake possession of it if You have moved out or (b) go to court and ask that You and all other occupants in the Apartment be compelled to move out.

Once this Lease has been ended, whether because of default or otherwise, You give up any right You might otherwise have to reinstate or renew the Lease.

18. REMEDIES OF OWNER AND YOUR LIABILITY

If this Lease is ended by Owner because of your default,the following are the rights and obligations of You and Owner.

(a) You must pay your rent until this Lease has ended. Thereafter, You must pay an equal amount for what the law calls "use and occupancy" until You actually move out.

(b) Once You are out, Owner may re-rent the Apartment or any portion of it for a period of time which may end before or after the ending date of this Lease. Owner may re-rent to a new tenant at a lesser rent or may charge a higher rent than the rent in this Lease.

(c) Whether the Apartment is re-rented or not, You must pay to Owner as damages:

(1) the difference between the rent in this Lease and the amount, if any, of the rents collected in any later lease or leases of the Apartment for what would have been the remaining period of this Lease; and

(2) Owner's expenses for attorney's fees, advertisements, broker's fees and the cost of putting the Apartment in good condition for re-rental.

(d) You shall pay all damages due in monthly installments on the rent day established in this Lease. Any legal action brought to collect one or more monthly installments of damages shall not prejudice in any way Owner's right to collect the damages for a later month by a similar action. If the rent collected by Owner from a subsequent tenant of the Apartment is more than the unpaid rent and damages which You owe Owner, You cannot receive the difference. Owner's failure to re-rent to another tenant will not release or change your liability for damages, unless the failure is due to Owner's deliberate inaction.

19. ADDITIONAL OWNER REMEDIES

If You do not do everything You have agreed to do, or if You do anything which shows that You intend not to do what You have agreed to do, Owner has the right to ask a Court to make You carry out your agreement or to give the Owner such other relief as the Court can provide. This is in addition to the remedies in Article 17 and 18 of this lease.

20. FEES AND EXPENSES

A. Owner's Right. You must reimburse Owner for any of the following fees and expenses incurred by Owner:

(1) Making any repairs to the Apartment or the Building which result from misuse or negligence by You or persons who live with You, visit You, or work for You.

(3) Correcting any violations of city, state or federal laws or orders and regulations of insurance rating organizations concerning the Apartment or the Building which You or persons who live with You, visit You, or work for You have caused;

(4) Preparing the Apartment for the next tenant if You move out of your Apartment before the Lease ending date;

(5) Any legal fees and disbursements for legal actions or proceedings brought by Owner against You because of a Lease default by You or for defending lawsuits brought against Owner because of your actions;

(6) Removing all of your property after this Lease is ended;

(7) All other fees and expenses incurred by Owner because of your failure to obey any other provisions and agreements of this Lease;

These fees and expenses shall be paid by You to Owner as additional rent within 30 days after You receive Owner's bill or statement. If this Lease has ended when these fees and expenses are incurred, You will still be liable to Owner for the same amount as damages.

B. Tenant's Right. Owner agrees that unless sub-paragraph 5 of this Article 20 has been stricken out of this Lease You have the right to collect reasonable legal fees and expenses incurred in a successful defense by You of a lawsuit brought by Owner against You or brought by You against Owner to the extent provided by Real Property Law, section 234.

21. PROPERTY LOSS, DAMAGES OR INCONVENIENCE

Unless caused by the negligence or misconduct of Owner or Owner's agents or employees, Owner or Owner's agents and employees are not responsible to You for any of the following: (1) any loss of or damage to You or your property in the Apartment or the Building due to any accidental or intentional cause, even a theft or another crime committed in the Apartment or elsewhere in the Building; (2) any loss of or damage to your property delivered to any employee of the Building (i.e., doorman, superintendent, etc.); or (3) any damage or inconvenience caused to You by actions, negligence or violations of a Lease by any other tenant or person in the Building except to the extent required by law.

Owner will not be liable for any temporary interference with light, ventilation, or view caused by construction by or on behalf of Owner. Owner will not be liable for any such interference on a permanent basis caused by construction on any parcel of land not owned by Owner. Also, Owner will not be liable to You for such interference caused by the permanent closing, darkening or blocking up of windows, if such action is required by law. None of the foregoing events will cause a suspension or reduction of the rent or allow You to cancel the Lease.

22. FIRE OR CASUALTY

A. If the Apartment becomes unusable, in part or totally, because of fire, accident or other casualty, this Lease will continue unless ended by Owner under C below or by You under D below. But the rent will be reduced immediately. This reduction will be based upon the part of the Apartment which is unusable.

B. Owner will repair and restore the Apartment, unless Owner decides to take actions described in paragraph C below.

C. After a fire, accident or other casualty in the Building, Owner may decide to tear down the Building or to substantially rebuild it. In such case, Owner need not restore the Apartment but may end this Lease. Owner may do this even if the Apartment has not been damaged, by giving You written notice of this decision within 30 days after the date when the damage occurred. If the Apartment is usable when Owner gives You such notice, this Lease will end 60 days from the last day of the calendar month in which You were given the notice.

D. If the Apartment is completely unusable because of fire, accident or other casualty and it is not repaired in 30 days, You may give Owner written notice that You end the Lease. If You give that notice, this Lease is considered ended on the day that the fire, accident or casualty occurred. Owner will refund your security deposit and the pro-rata portion of rents paid for the month in which the casualty happened.

E. Unless prohibited by the applicable insurance policies, to the extent that such insurance is collected, You and Owner release and waive all right of recovery against the other or anyone claiming through or under each by way of subrogation.

23. PUBLIC TAKING

The entire building or a part of it can be acquired (condemned) by any government or government agency for a public or quasi-public use or purpose. If this happens, this Lease shall end on the date the government or agency take title. You shall have no claim against Owner for any damage resulting; You also agree that by signing this Lease, You assign to Owner any claim against the Government or Government agency for the value of the unexpired portion of this Lease.

24. SUBORDINATION CERTIFICATE AND ACKNOWLEDGEMENTS

All leases and mortgages of the Building or of the land on which the Building is located, now in effect or made after this Lease is signed, come ahead of this Lease. In other words, this Lease is "subject and subordinate to" any existing or future lease or mortgage on the Building or land, including any renewals, consolidations, modifications and replacements of these leases or mortgages. If certain provisions of any of these leases or mortgages come into effect, the holder of such lease or mortgage can end this Lease. If this happens, You agree that You have no claim against Owner or such lease or mortgage holder. If Owner requests, You will sign promptly an acknowledgement of the "subordination" in the form that Owner requires.

You also agree to sign (if accurate) a written acknowledgement to any third party designated by Owner that this Lease is in effect, that Owner is performing Owner's obligations under this Lease and that you have no present claim against Owner.

25. TENANT'S RIGHT TO LIVE IN AND USE THE APARTMENT

If You pay the rent and any required additional rent on time and You do everything You have agreed to do in this Lease, your tenancy cannot be cut off before the ending date, except as provided for in Articles 22, 23, and 24.

26. BILLS AND NOTICE

A. Notices to You. Any notice from Owner or Owner's agent or attorney will be considered properly given to You if it (1) is in writing; (2) is signed by or in the name of Owner or Owner's agent; and (3) is addressed to You at the Apartment and delivered to You personally or sent by registered or certified mail to You at the Apartment. The date of service of any written notice by Owner to you under this agreement is the date of delivery or mailing of such notice.

B. Notices to Owner. If You wish to give a notice to Owner, You must write it and deliver it or send it by registered or certified mail to Owner at the address noted on page 1 of this Lease or at another address of which Owner or Agent has given You written notice.

27. GIVING UP RIGHT TO TRIAL BY JURY AND COUNTERCLAIM

A. Both You and Owner agree to give up the right to a trial by jury in a court action, proceeding or counterclaim on any matters concerning this Lease, the relationship of You and Owner as Tenant and Landlord or your use or occupancy of the Apartment. This agreement to give up the right to a jury trial does not include claims for personal injury or property damage.

B. If Owner begins any court action or proceeding against You which asks that You be compelled to move out, You cannot make a counterclaim unless You are claiming that Owner has not done what Owner is supposed to do about the condition of the Apartment or the Building.

TENTH AMENDMENT

TO

OFFERING PLAN TO CONVERT TO
COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: MAY 6, 1992

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND THE THIRD AMENDMENT DATED OCTOBER 4, 1989 AND THE FOURTH AMENDMENT DATED DECEMBER 22, 1989, THE FIFTH AMENDMENT DATED MARCH 13, 1990, THE SIXTH AMENDMENT DATED JULY 23, 1990, THE SEVENTH AMENDMENT DATED SEPTEMBER 12, 1990, THE EIGHTH AMENDMENT DATED NOVEMBER 1, 1990 AND THE NINTH AMENDMENT DATED JANUARY 18, 1991 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR AND HOLDER
OF UNSOLD SHARES: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

TENTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990 and the Ninth Amendment dated January 18, 1991 (the "Plan") and should be read in conjunction therewith.

1. **FINANCIAL DISCLOSURE**

The following disclosure is provided by the Sponsor in compliance with the regulations regarding financial disclosure promulgated by the New York State Department of Law, effective August 15, 1990:

A. Attached hereto as Exhibit A is a complete list of the apartments at 124-16 84th Road, Kew Gardens, New York with respect to which the Sponsor owns the shares appurtenant as of November 1, 1991 (the "Apartments").

B. As of November 1, 1991 the aggregate monthly maintenance charges payable for all shares appurtenant to the Apartments, including vacant and occupied Apartments was $34,454.24.

C. As of November 1, 1991 the aggregate monthly rent payable by occupants of Apartments was $30,915.59.

D. The Sponsor's financial obligations to the Apartment Corporation which are scheduled to become due on or before November 1, 1992 are set forth below:

Contributions to the Reserve Fund. The Sponsor has elected to fund the Reserve Fund in accordance with the provisions of Section YYYY51-3.0(b)(ii) of the New York City Administrative Code. Therefore,

the Sponsors' contributions to the Reserve Fund over the next twelve-month period cannot be determined at this time.

E. The Sponsor is current on all financial obligations to the Apartment Corporation under the Offering Plan including, but not limited to, maintenance charges, reserve or working capital fund payments, assessments, and payments for repairs or improvements required by the Plan. Sponsor has been current on all such obligations (i.e. has satisfied such obligations by the expiration of any grace period) during the one-year period preceding the date of this Amendment.

F. The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

G. Attached hereto as Exhibit B is a schedule of all offerings of cooperative or condominium interests which have been made by the Sponsor or a principal of Sponsor, as an individual holder of unsold shares or units or as a general partner of principal of sponsor or holder, in or from the state of New York, and in which said sponsor or holder continues to own more than ten (10%) percent of the shares or units. The Offering Plans for these buildings are on file with the Department of Law and are available for public inspection. For each of the offerings listed in Exhibit B in which Sponsor is a principal of the sponsoring entity, Sponsor states that the sponsoring entity is current in its financial obligations to the respective cooperative, condominium or homeowners association created in connection with such other offering. For each of the other offerings listed in Exhibit B, with the exception of payments to the Ramapo Cirque Homeowners Association and to the Knolls East Homeowners Association, in which a principal of Sponsor is also a principal of the sponsoring entity of such other offering, such principal states that such sponsoring entity is current in its financial obligations to the respective cooperative, condominium or homeowners association created in connection with such other offering. The Sponsor of the Ramapo Cirque Offering Plan is in arrears for the months January, February, and March, 1992 with respect to it monthly payments of $10,000 per month pursuant to an agreement reached with that Homeowners Association for the payment of common charges for unsold homes and unconstructed lots. The Sponsor of the Knolls East Condominiums is in arrears to the Knolls East Homeowners Association for payments totaling approximately $15,300 under its deficiency budget for calendar years 1989 through 1991.

H. Sponsor is in control of the Board of Directors of the Apartment Corporation. Control of the Board will be relinquished by Sponsor in accordance with the terms of the Offering Plan on the earlier of (a) five years after the Closing Date (September 13, [illegible], or (b) whenever Unsold Shares constitute less than fifty (50%) percent of the shares of the Apartment Corporation. As of

November 1, 1991 the total percentage of the Unsold Shares which the Sponsor owns is approximately 84.5%.

The officers and directors of the Apartment Corporation as of November 1, 1991 were as follows:

Ilona R. Resnick*	Vice President and Director
Linda Udell*	Assistant Secretary and Director
Charles B. Storms*	Director
Arnold Pollack*	Director
James Little*	Director
Roger Rofe	President and Director
Allen Kimerling	Vice President and Director
Elizabeth Weingart	Secretary and Director
Vincent Amodei	Treasurer and Director

* Designee of the Sponsor and Holder of Unsold Shares

I. Funding of any deficit between the amount of the rents received and the maintenance and other financial obligations of Sponsor to the Apartment Corporation will be by means of:

(i) Excess rents and charges received with respect to the Apartments;

(ii) Net proceeds from the sales of Apartments; and

(iii) Additional funds which may be raised or provided by the Sponsor.

Sponsor makes no warranty, representation or guarantee that the sources listed in this paragraph will be available to fund deficits, if deficits exist.

2. **FINANCIAL STATEMENTS**

Attached hereto as Exhibit C are the Certified Financial Statements for the Apartment Corporation for the year ending December 31, 1991 as prepared by Marshall Granger & Company. Attached hereto as Exhibit D are the Certified Financial Statements for the Apartment Corporation for the period of September 13, 1990 (the closing date under the Plan) through December 31, 1990 as prepared by Gittleson and Associates, Certified Public Accountants. Attached hereto as Exhibit E are the Financial Statements for the

property for the complete calendar year 1990 as prepared by Elstein & Eller, P.A., Certified Public Accountants.

3. **BUDGET**

Attached hereto as Exhibit F is the budget for Crestwood Apartment Owners, Inc, adopted by the Board of Directors for the period from October 1, 1991 through September 30, 1992. Also attached hereto as Exhibit F is the Certification of said budget.

4. **SPONSOR FINANCING**

The Sponsor hereby offers financing of up to seventy (70%) of the Purchase Price to prospective purchasers, subject to the credit standards of the Sponsor which the Sponsor shall apply in its sole and absolute discretion. The financing offered by the Sponsor will be at an interest rate that is dependant upon the percent of the purchase price financed; monthly payments will be based on a twenty-five year amortization schedule; and the amount financed by the Sponsor will be repayable in five (5) years. At the end of the five-year period, the purchaser must either repay or refinance with another source the amount borrowed from the Sponsor. Sponsor makes no representation that such financing will be available from the Sponsor.

In the event that a purchaser is unable to repay or refinance the amount borrowed from the Sponsor after five (5) years, such failure might result in a foreclosure action and the loss of the purchaser's equity in and right to occupy, the apartment. The Sponsor's loan shall be secured by a perfected first security interest in the shares allocated to the subject apartment and the appurtenant proprietary lease. The maturity date of the loan may (at the option of the holder of the Note) be accelerated when and if the Purchaser resells such shares and assigns his Proprietary Lease or is in default under the terms thereof. The Lender will not be obligated to refinance or extend the loan at maturity nor will secondary financing be permitted. Borrowers are hereby advised that refinancing by another lender may not be available on the same or better terms.

The annual interest rate under the Sponsor Financing shall be as follows:

Percent of the Purchase Price to be financed	Interest Rate
61 to 70	9 1/2 percent
51 to 60	9 1/4 percent
41 to 50	9 percent
40 or less	8 3/4 percent

Closing Documents and Costs

At the Closing, any purchaser availing himself of the Sponsor Financing will be required to execute and deliver a Note, Security Agreement, Stock Power, Assignment of Lease, UCC-1 Financing Statement and Disclosure Statement of Credit Sale, pay a $350 legal fee to the Sponsor's counsel by unendorsed certified check or official bank check, and otherwise close title to the apartment including payment of the unfinanced balance of the Purchase Price and the execution of such other documentation as may be required.

All closing costs in connection with this Sponsor Financing, including without limitation, a credit search, lien search, recording costs and Sponsor's attorney's fees in the amount of $350.00 shall be paid by the Borrower.

Payments on the Note are due on the first day of each month. In the event any payment (on account of interest) on the Note shall become overdue for more that ten (10) days, the Borrower will be required to pay the Holder of the Note, a late charge of four (4%) percent of such overdue payment to reimburse the Holder of the Note for administrative expenses incurred in connection with such late payment.

Prepayment

The Note will provide that the loan may be prepaid in full at any time or in part from time to time, upon written notice thereof, without penalty, but with interest accrued to the date of pre-payment on the amount prepaid. This right of prepayment affords the Borrower the advantage of refinancing the loan in the event that prevailing interest rates decline.

Events of Default

The following is a summary of the events which shall constitute a material default under the Security Agreement: (1) payment required to be made under the Note not made within ten (10) days after due; (2) payments required by the Proprietary Lease are not made or other terms of the Proprietary Lease are violated; (3) cancellation of the Proprietary Lease by the Apartment Corporation or shareholder; (4) failure to pay or bond judgment or tax deficiency; (5) sublet or assignment; (6) failure to comply with any provisions of the Security Agreement; and (7) any misrepresentation under the Security Agreement. The Note and Security Agreement will also provide that no secondary financing will be permitted.

The terms of this Sponsor Financing are negotiable.

5. CHANGE IN NAME AND ADDRESS OF ATTORNEYS FOR THE SPONSOR AND HOLDER OF UNSOLD SHARES

The law firm of Cutler & Fish, 708 Third Avenue, 17th Floor,

New York, New York 10017 shall hereafter represent the Sponsor and Holder of Unsold Shares in connection with all matters pertaining to the Plan. Any notices, demands, consents, approvals or communications required or permitted under the Plan, which are to be mailed or personally delivered to the Attorneys for the Sponsor and Holder of Unsold Shares should be mailed or personally delivered to the law firm of Cutler & Fish, 708 Third Avenue, 17th Floor, New York, New York 10017.

6. **NEGOTIABLE TERMS**

The Sponsor and Holder of Unsold Shares reserve the right to negotiate with Purchasers of Unsold Shares the following aspects of the purchase price: 1) renovations or improvements to the apartments or the fixtures or equipment therein, 2) credits or allowances, 3) downpayments (not to be less than $1,000.00), 4) financing contingencies (as defined by a period of time in which the Purchaser is obligated to secure a mortgage or financing from a lender or cancel the Contract of Sale), 5) maintenance subsidies/rebates (the terms of which will be disclosed in a duly filed amendment, or, secured at closing), 6) application of rent towards purchase price, and 7) attorneys fees, points, appraisal fees, lien and judgment searches, credit checks and other expenses of a closing relating to the cost of acquiring title to an apartment. The Sponsor and Holder of Unsold Shares reserve the right to amend the plan from time to time to add or delete negotiable terms from the Offering Plan. The Purchaser has no obligation to negotiate and may purchase at the terms as set forth in the Offering Plan, as amended.

7. **AMENDMENT TO GENERAL BUSINESS LAW**

General Business Law ("GBL") Section 352-e(2-d), a copy of which is attached to this amendment as Exhibit G, became law on July 23, 1991. It applies to all cooperative and condominium conversion plans except those where all shares or units have been sold. The law is intended to provide financial protection for a cooperative corporation or condominium association if a sponsor or investor fails to make monthly payments for its units.

In compliance with this new statute, the Sponsor and Holder of Unsold Shares on behalf of all offerors represents that:

(a) In the event payment of maintenance, assessments or late fees by the Sponsor and Holder of Unsold Shares or other investor who does not occupy the unit is more than thirty (30) days late (i.e.: thirty days after the termination of any applicable grace period), rental payments from the tenant shall become directly payable to the Apartment Corporation. When the non-occupying owner resumes payment of maintenance on a current basis non-purchasing tenants will be notified within three (3) business days of such payments becoming current and their rental payments will once again

be payable to the non-occupying owner.

(b) The offeror will provide each non-purchasing tenant with irrevocable notice of the provisions contained in GBL Section 352-e(2-d).

(c) Any rights existing under any other laws are not limited by this statutory requirement.

(d) Payment by the non-purchasing tenant to the Apartment Corporation done pursuant to GBL Section 352-e(2-d) relieves the non-purchasing tenant from the obligation to pay that rent to the non-occupying owner.

(e) These requirements apply to the Sponsor, its successors or assigns and all purchasers who are owners of occupied units or shares allocated to occupied units.

8. **ESCROW TRUST FUND FOR CONTRACT DOWNPAYMENTS**

The disclosure contained in this Amendment replaces and supersedes the provisions of the Plan dealing with the placing of downpayments in escrow. Only downpayments taken on behalf of the Sponsor after April 26, 1992 will be placed in an account in conformity with the disclosure contained in this amendment.

The Sponsor will comply with the escrow and trust fund requirements of General Business Law Sections 352-e(2-b) and 352-h and the Attorney General's regulations promulgated pursuant thereto.

Any provision of any contract or agreement, whether oral or in writing, by which a purchaser purports to waive or indemnify any obligation of the escrow agent holding trust funds is absolutely void. The provisions of the Attorney General's regulations concerning escrow/trust funds shall prevail over any conflicting or inconsistent provision in the offering plan or in a Contract of Sale or Subscription Agreement entered into after April 26, 1992. Purchasers shall not be obligated to pay any legal or other expense of the Sponsor in connection with the establishment, maintenance or defense of obligations arising from the handling or disposition of trust funds.

After April 26, 1992, for all Contracts of Sale or Purchase Agreements entered into by the Sponsor, all deposits, downpayments, or advances made by purchasers prior to closing of each individual transaction, whether received before or after the date of consummation of the plan, will be placed, within five business days after the agreement is signed by all necessary parties, in a segregated special interest bearing type escrow account of Cutler & Fish, the Escrow Agent, whose address is 708 Third Avenue, 17th Floor, New York, New York 10017 and whose telephone number is

212.983.1199. The signatories on this account authorized to withdraw the funds are:

Name	Address
Andrew N. Cutler	c/o Cutler & Fish 708 Third Avenue New York, New York 10017
Stuart G. Fish	c/o Cutler & Fish 708 Third Avenue New York, New York 10017

The name of the account is "Cutler & Fish Crestwood Attorney Trust Account" located in Chemical Bank at 13B Knolls Crescent, Riverdale, New York 10471. This bank is covered by federal bank deposit insurance to a maximum of $100,000 per individual deposit.

The account will be interest bearing and unless the purchaser defaults, interest will be credited to the purchaser at closing. The interest rate to be earned will be the prevailing rate for these accounts which is presently 2.75%. Interest will begin to accrue within five business days of tender of the downpayment provided that the downpayment check is drawn on a New York bank. If the downpayment check is not drawn on a New York bank, interest will begin accruing when the check is paid by the depository bank.

All instruments shall be made payable to or endorsed to the order of Cutler & Fish, as Escrow Agent.

Within ten business days after tender of the deposit submitted with the Contract of Sale or Subscription Agreement (or within ten business days after the agreement is signed by all necessary parties, whichever is later), the escrow agent will notify the purchaser that such funds have been deposited into the escrow account and will provide the account number and the initial interest rate. If the purchaser does not receive notice of such deposit within fifteen business days after tender of the deposit, the purchaser may cancel the purchase and rescind so long as the right to rescind is exercised within ninety days after tender of the deposit. Rescission may not be afforded where proof satisfactory to the Attorney General is submitted establishing that the escrowed funds were timely deposited and requisite notice was timely mailed to the purchaser in conformity with the Attorney General's regulations.

The escrow agent will hold funds in escrow until otherwise directed in:

(i) a writing signed by both the Sponsor and purchaser; or

(ii) a determination of the Attorney General pursuant to the dispute resolution procedures contained in the Attorney General's regulations; or

(iii) a judgment or order of a court of competent jurisdiction; or

(iv) until released pursuant to the next paragraph.

If there is no written agreement between the parties to release the escrowed funds, the escrow agent will not pay the funds to the Sponsor until the escrow agent has given the purchaser written notice of not fewer than ten business days. Thereafter, the funds may be paid to the Sponsor unless the purchaser has already made application to the Department of Law pursuant to the dispute resolution provisions of the Attorney General regulations and has so notified the escrow agent in accordance with such provisions.

The Sponsor will not object to the release of the escrowed funds to a purchaser who timely rescinds in accordance with an offer of recision contained in the Plan or an amendment to the Plan.

For Contracts of Sale entered into after April 26, 1992, Purchasers and the escrow agent may apply to the Attorney General in the event of a dispute for a determination of the disposition of the downpayment, however the Sponsor must avail itself of this procedure if there is a dispute which needs to be resolved. A form for this purpose as prepared by the Attorney General is attached as an exhibit to this amendment as Exhibit H. The party applying for a determination must send all other parties a copy of the application.

Pending the determination of the Attorney General to grant or deny the application, the Sponsor, the purchaser, and the escrow agent shall abide by any interim directive issued by the Attorney General, subject to the orders and judgments of any court of competent jurisdiction.

The Escrow Agent will maintain all records concerning the escrow account for seven years after the release of funds.

9. INCORPORATION OF PLAN

The Plan, as modified and supplemented by the prior Amendments and hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

10. DEFINITIONS

All of the terms used in this Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

11. NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in the prior Amendments and herein.

TJS ASSOCIATES
Sponsor and Holder of
Unsold Shares

Dated: May 6, 1992
New York, New York

EXHIBIT A

THE CRESTWOOD
KEW GARDENS, N.Y.

Unsold Shares as of November 1, 1991

APT. NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
1E	245
1F	148
1G	208
1H	208
1J	210
1L	293
1M	148
2A	149
2C	176
2D	227
2E	324
2F	149
2G	209
2J	200
2L	294
3A	150
3B	242
3D	228
3E	325
3F	150
3G	210
3K	223
3M	150
4A	131
4B	243
4C	178
4D	229
4E	326
4F	131
4G	211
4H	211
4J	202
4K	229
4L	296
4M	151

APT. NO.	NO. OF SHARES
5A	152
5C	179
5D	230
5E	327
5F	132
5G	212
5H	212
5K	230
6A	153
6B	243
6C	180
6D	231
6E	328
6F	153
6G	213
6H	213
6J	204
6K	231
6L	298
6M	153
	12,667

EXHIBIT B

Sheldon S. Goldstein	Knolls East Condominium II Ramapo Cirque Homeowners Association Executive I Condominium The Senate Cooperative
Edwin Wachtel	Knolls East Condominium II Ramapo Cirque Homeowners Association The Senate Cooperative
Herbert Goldsmith	The Senate Cooperative
Herbert Zucker	None

EXHIBIT C

CRESTWOOD APARTMENT OWNERS, INC.

FINANCIAL STATEMENTS

Years Ended December 31, 1991 and 1990

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MARSHALL GRANGER & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS

1600 HARRISON AVENUE
MAMARONECK, NEW YORK 10543
914/381-2550 212/863-8365
FAX: 914/381-4762

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Inc.
New York, New York

We have audited the balance sheet of Crestwood Apartment Owners, Inc. as of December 31, 1991, and the related statements of income, retained earnings, and cash flows for the year then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit. The financial statements of Crestwood Apartment Owners, Inc. as of December 31, 1990, were audited by other auditors whose report dated March 6, 1991, on those statements included an explanatory paragraph describing conditions that raised substantial doubt about the Company's ability to continue as a going concern.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the 1991 financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Inc. as of December 31, 1991, and the results of its operations and its cash flows for the year then ended in conformity with generally accepted accounting principles.

Marshall Granger & Company

Mamaroneck, New York
January 30, 1992

This report is delivered to our clients with the specific reservation that any publication or reprint thereof, either in full or in part, shall first be approved by us

CRESTWOOD APARTMENT OWNERS, INC.

BALANCE SHEETS, December 31, 1991 and 1990

ASSETS

	1991	1990
CURRENT ASSETS:		
Cash	$ 14,006	$ 6,910
Tenants accounts receivable	-	9,003
Prepaid expenses	60,349	51,424
TOTAL CURRENT ASSETS	74,355	67,337
FIXED ASSETS:		
Land	588,936	588,936
Building	3,337,305	3,337,305
	3,926,241	3,926,241
Less accumulated depreciation	157,930	36,573
	3,768,311	3,889,668
OTHER ASSETS:		
Escrow account	4,387	18,625
Deposits	3,009	2,270
	7,396	20,895
	$ 3,850,062	$ 3,977,900

LIABILITIES AND SHAREHOLDERS' EQUITY

CURRENT LIABILITIES:		
Accounts payable	$ 13,019	$ 10,387
Accrued expenses	22,456	17,639
Accrued corporate taxes	981	1,020
Due to sponsor	50,778	50,778
TOTAL CURRENT LIABILITIES	87,234	79,824
LONG-TERM DEBT:		
Mortgage payable	1,800,000	1,800,000
OTHER LIABILITIES:		
Tenant security deposits	540	480
SHAREHOLDERS' EQUITY:		
Working capital fund	15,000	15,000
Capital stock at stated value, authorized, issued and outstanding 14,955 shares	2,126,241	2,126,241
Deficit	(178,953)	(43,645)
	1,962,288	2,097,596
	$ 3,850,062	$ 3,977,900

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS, INC.

STATEMENTS OF OPERATIONS AND DEFICIT
Year Ended December 31, 1991 and Period from
Inception (September 13, 1990) through December 31, 1990

	1991	1990
INCOME:		
Common charges	$ 470,957	$ 139,420
Laundry	1,500	75
Parking	6,480	1,148
Late fees	100	25
	479,037	140,668
EXPENSES:		
Wages, including fringe benefits	58,684	16,179
Payroll taxes	4,845	1,071
Real estate taxes	89,300	25,511
Water and sewer	19,554	7,593
Utilities	47,023	14,329
Repairs and maintenance	29,683	8,790
Management fees	20,520	6,480
Insurance	14,302	2,941
Legal and accounting	4,720	3,200
Office and administrative	4,715	1,297
Income taxes	2,087	1,020
	295,433	88,411
INCOME FROM OPERATIONS	183,604	52,257
OTHER INCOME AND (EXPENSE):		
Interest income	595	70
Interest expense	(198,150)	(59,399)
	(197,555)	(59,329)
LOSS BEFORE DEPRECIATION	13,951	7,072
DEPRECIATION	121,357	36,573
NET LOSS	135,308	43,645
DEFICIT, beginning of year	43,645	-
DEFICIT, end of year	$ 178,953	$ 43,645

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS, INC.

STATEMENTS OF CASH FLOWS
Year Ended December 31, 1991 and Period from
Inception (September 13, 1990) through December 31, 1990

	1991	1990
OPERATING ACTIVITIES:		
Net loss	$ (135,308)	$ (43,645)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation	121,357	36,573
Changes in operating assets and liabilities:		
Decrease (increase) in tenants' accounts receivable	9,003	(9,003)
Increase in prepaid expenses	(8,925)	(51,424)
(Increase) decrease in escrow account	14,238	(18,625)
Increase in deposits	(739)	(2,270)
Increase in accounts payable	2,632	10,387
Increase in accrued expenses	4,817	17,639
Increase (decrease) in accrued corporate taxes	(39)	1,020
Increase in other liabilities	60	480
NET CASH USED BY OPERATING ACTIVITIES	7,096	(58,868)
INVESTING ACTIVITIES:		
Payment for purchase of land and building	-	(3,926,241)
NET CASH USED BY INVESTING ACTIVITIES	-	(3,926,241)
FINANCING ACTIVITIES:		
Increase in mortgage payable	-	1,800,000
Increase in note payable Sponsor (net)	-	50,778
Increase in working capital fund	-	15,000
Issuance of capital stock	-	2,126,241
NET CASH PROVIDED BY FINANCING ACTIVITIES	-	3,992,019
INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	7,096	6,910
CASH AND CASH EQUIVALENTS, beginning of year	6,910	-
CASH AND CASH EQUIVALENTS, end of year	$ 14,006	$ 6,910
Supplemental disclosures of cash flow information:		
Cash paid for interest	$ 198,150	$ 42,899
Cash paid for income taxes	1,815	-

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS, INC.

NOTES TO FINANCIAL STATEMENTS
December 31, 1991 and 1990

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Crestwood Apartment Owners, Inc. ("The Corporation") was formed October 26, 1988, to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York, for $3,926,241.

These financial statements have been prepared on the accrual basis and in conformity with the standards promulgated by the American Institute of Certified Public Accountants. The significant accounting policies followed are described below to enhance the usefulness of these financial statements to the reader.

For purposes of the statement of cash flows, the Corporation considers all highly liquid debt instruments with a maturity of three months or less to be cash equivalents.

Land and buildings are stated at cost. The building is being depreciated on a straight-line basis over an estimated useful life of 27.5 years from September 13, 1990.

2. Due to Sponsor represents payments made by the plan sponsor on behalf of the Corporation for certain closing adjustments. The amount is non-interest bearing. Repayment has been deferred to 1992.

3. The mortgage payable bears interest at 11% and is due September 12, 1995. Payments are of interest only until maturity at which time a balloon payment in the amount of approximately $1,800,000 will be required. The mortgage is secured by the land and building.

4. The Corporation has authorized a payment of $15,000 in full satisfaction for certain plumbing repairs made in January 1991. This amount is not included in accounts payable at December 31, 1991, as there will be a special assessment for this amount in 1992.

5. The working capital fund represents an amount contributed by the sponsor to the Corporation to be used for working capital, to make repairs and improvements according to the prospectus.

6. Pursuant to the 8th amendment of the prospectus, there was no additional reserve fund requirements [illegible] required by the plan sponsor. In addition, the sponsor has a credit of $10,755 relating to the reserve fund. The sponsor must however, make supplemental contributions of three percent of the actual sales price (at least $225) of shares sold subsequent to the effective date of the plan and within five years of the closing date (September 13, 1990).

7. The Corporation's federal income tax return for the year ended December 31, 1990 is subject to review by the U. S. Treasury Department and other governmental agencies.

There were no other known contingent liabilities of material amount at the balance sheet date.

EXHIBIT D

CRESTWOOD APARTMENT OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1990

GITTLESON AND ASSOCIATES
CERTIFIED PUBLIC ACCOUNTANTS

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GITTLESON & ASSOCIATES
CERTIFIED PUBLIC ACCOUNTANTS
1234 WEST BROADWAY
HEWLETT, N.Y. 11557
516 [illegible]

The Board of Directors
Crestwood Apartment Owners, Inc.
Kew Gardens, New York

We have audited the accompanying balance sheet of Crestwood Apartment Owners, Inc. as of December 31, 1990 and the related statement of income and cash flows for the period of inception, (September 13, 1990) through December 31, 1990. these financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial stateaments are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As shown in the financial statements, the company incurred a net loss of $43,645 during the period ended December 31, 1990, including negative cash flows from operating activities. Additionally, subsequent events have indicated that the common charges which are currently being assessed are not sufficient to cover the operating costs of the Corporation. These conditions, as well as the poor economic climate indicate that there is substantial doubt as to whether the Company will be able to continue as a going concern. The accompanying financial statements do not include any adjustment to the financial statements that might be necessary should the Company be unable to continue as a going concern.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Inc. as of December 31, 1990 and the results of its operations and its cash flows for the period of inception (September 13, 1990) through December 31, 1990 in conformity with generally accepted accounting principles.

[illegible] CPA

Hewlett, New York
March 6, 1991

Crestwood Apartment Owners, Inc.
Balance Sheet
December 31, 1990

ASSETS

Current assets:	
Cash- operating	$ 6,910
Tenants accounts receivable	8,023
Prepaid real estate taxes	41,746
Prepaid insurance	2,084
Prepaid water and sewer	7,594
Parking income receivable	980
Total current assets	67,337
Land and building	3,926,241
Less: accumulated depreciation	(36,573)
Net fixed assets	3,889,668
Other assets:	
Cash- tenants security deposits	480
Deposits- utilities	1,790
Real estate tax escrow	18,625
	20,895
Total assets	$ 3,977,900

LIABILITIES AND STOCKHOLDERS' EQUITY

Current liabilities:	
Accounts payable	$ 10,387
Accrued liabilities	18,659
Due to TJS Associates (Notes 3 and 5)	50,778
Total current liabilities	79,824
Other liabilities:	
Long-term debt (Note 3)	1,800,000
Tenant security deposits	480
	1,800,480
Stockholders' equity:	
Working capital fund	15,000
Capital stock (authorized, issued and outstanding 14,955)	2,126,241
Retained earnings (deficit)	(43,645)
	2,097,596
Total liabilities and stockholders' equity	$3,977,900

See notes to financial statements.

CRESTWOOD APARTMENT OWNERS, INC.
STATEMENT OF INCOME
For the period of inception (September 13, 1990)
through December 31, 1990

Income:	
Common charges	$ 139,420
Interest	70
Laundry	75
Parking	1,148
Late fees	25
Total income	$ 140,738
Expenses:	
Real estate taxes	25,511
Water and sewer	7,593
Interest expense	59,399
Management fee	6,480
Payroll	14,610
Payroll taxes	1,018
Employee benefits	1,569
Insurance	2,941
Utilities	14,201
Office and administrative	1,297
Repairs and maintenance:	
Maintenance Contracts	2,494
General repairs/ contracts	6,296
Professional fees	3,200
Telephone	128
Taxes- Other	53
Total expenses	146,790
Income (loss) before depreciation and and provision for income taxes	(6,052)
Depreciation	(36,573)
Provision for income taxes	(1,020)
Net (loss)	$ (43,645)

See notes to financial statements.

CRESTWOOD APARTMENT OWNERS, INC.
STATEMENT OF CASH FLOWS
For the period of inception (September 13, 1990)
through December 31, 1990

	1990
Cash flow from operating activities:	
Net income (loss)	(43,645)
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation	36,573
Change in assets and liabilities:	
Increase in accounts receivable	(8,023)
Increase in parking income receivable	(980)
Increase in prepaid expenses	(51,424)
Increase in real estate tax escrow	(18,625)
Increase in other assets	(1,790)
Increase in accounts payable	10,387
Increase in accrued liabilities	18,659
Net cash provided by operating activities	(58,868)
Cash flow from investing activities:	
Payment for purchase of land and building	(3,926,241)
Cash flow from financing activities:	
Increase in mortgage payable	1,800,000
Increase in note payable sponsor (net)	50,778
Increase in working capital fund	15,000
Issuance of capital stock	2,126,241
Net cash used in financing activities	3,992,019
Increase in cash and cash equivalents	6,910
Cash and cash equivalents- beginning of period	-0-
Cash and cash equivalents- end of period	$ 6,910

See notes to financial statements.

CRESTWOOD APARTMENT OWNERS, INC.
Statement of Stockholders' Equity
For the period of inception (September 13, 1990)
through December 31, 1990

	Common Stock	Working Capital Fund	Retained earnings deficit)
Balance at beginning of year	$ -0-	$ -0-	$ -0-
Net (loss)	2,126,241	15,000	(43,645)
Balance at end of year-12/31/90	$2,126,241	$ 15,000	(43,645)

The accompanying notes should be read with this financial statement.

CRESTWOOD APARTMENT OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1990

NOTE 1: ORGANIZATION:

The Corporation was formed October 26, 1988 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990 when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York for $3,926,241.

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

DEPRECIATION:

Depreciation of the building is being provided on a straight-line basis over an estimated useful life of 27.5 years from September 13, 1990.

REPLACEMENT RESERVE:

Pursuant to the 8th amendment of the prospectus there was no additional reserve fund requirements at closing required by the plan sponsor. In addition, the sponsor has a credit of $10,755 relating to the reserve fund. The sponsor must however, make supplemental contributions of three percent of the actual sales price (at least $225) of shares sold subsequent to the effective date of the plan and within five years of the closing date (September 13, 1990).

WORKING CAPITAL FUND:

Amount contributed by the sponsor to the Apartment corporation to be used for working capital, to make repairs and improvements according to the prospectus.

NOTE 3: LONG-TERM DEBT:

Mortgage: The Dime Savings Bank Interest only until September 1995 at 11%; due September 12, 1995.	$1,800,000
Note payable to the plan sponsor; interest free payable in monthly installments.	50,778
Total debt	1,850,778
Less: current portion	50,778
	1,800,000

NOTE 4: COMMITTMENT AND CONTINGENCIES:

At December 31, 1990, the Company was obligated under the following contracts:

Management fees	$ 1,800

NOTE 5: RELATED PARTY TRANSACTIONS:

Amount represents payments by the plan sponsor on behalf of Crestwood for closing adjustments offset by certain credits received by Crestwood for amounts due from sponsor at closing.

NOTE 6: SUBSEQUENT EVENTS:

Per the Corporation's legal representative, as of January 1991 extensive emergency plumbing was performed on the building. The apartment corporation was billed approximately $38,000. Payment was authorized, however, for $15,000 in full satisfaction. Amount is not included in accounts payable at December 31, 1990.

EXHIBIT E

CRESTWOOD BUDGET OF COOPERATIVE OPERATION

BEGINNING 10/01/91 THROUGH 09/30/92

PROJECTED INCOME

Maintenance Charges (14,955 shares at $ 32.64 per share)	$ 488,070
Laundry	3,600
Parking Income	6,480
Interest Income	1,000
Total	499,150

PROJECTED EXPENSES

Labor	$ 69,450
Heating	36,000
Utilities (Electricity and Gas	11,000
Repairs, Maintenance and Supplies	25,000
Service Contracts	10,300
Insurance	13,000
Management Fees	21,600
Legal Fees and Audit Fees	5,000
Franchise and Corporate Taxes	2,000
Office and Miscellaneous Expenses	3,400
Mortgage Payments, Taxes, Water & Sewer	302,400
Total	499,150

TJS ASSOCIATES
(A Partnership)
SUPPLEMENTARY INFORMATION
INCOME TAX BASIS
FOR THE YEAR ENDED DECEMBER 31,1990

Expenses:

Carrying charges	$ 123,483
Computer expense	1,981
Insurance	2,900
Real estate taxes	12,795
Water and sewer	11,347
Salaries and wages	68,474
Utility costs,	33,996
Maintenance, decorating and repairs	42,049
Management fees	17,296
Professional fees	11,260
Auto expense	3,779
Elevator	6,298
Hospitalization and benefits	4,626
Payroll taxes	3,840
Permits, fees and other taxes	3,018
Office and telephone	3,437
Miscellaneous	2,623
Total Operating Expenses	$ 353,202

See accountants' report.

ELSTEIN AND ELLER, P.A.
E&E CERTIFIED PUBLIC ACCOUNTANTS

EXHIBIT F

Arco Management Corporation
113 Bon-Aire Circle West, Suffern, New York 10901 / 914-368-2400

February 27, 1992

**CERTIFICATION OF SPONSOR'S EXPERT
CONCERNING ADEQUACY OF BUDGET**

New York State Department of Law
Real Estate Financing Bureau
120 Broadway - 23rd Floor
New York, N. Y. 10271

RE: The Crestwood
124-16 84th Avenue
Kew Gardens, New York

Gentlemen:

The undersigned certifies as follows:

The Sponsor of the cooperative offering plan for the captioned property retained our firm to review Schedule B containing projections of income and expenses for the first year of cooperative operations. Our experience in this field includes the management of greater than one thousand residential units in the tri-state area.

We understand that we are responsible for complying with Article 23-A of the General Business Law and the regulations applicable to Schedule B.

We have reviewed the Schedule and investigated the facts set forth in the Schedule and the facts underlying them with due diligence in order to form a basis for this certification. We also relied on our experience in managing residential buildings.

We certify that the projections in Schedule B appear reasonable and adequate under existing circumstances, and the projected income appears to be sufficient to meet the anticipated operating expenses for the projected first year of cooperative operation.

member

We certify that the Schedule:

(i) sets forth in detail the projected income and expenses for the first year of cooperative operation;

(ii) affords potential investors, purchasers and participants an adequate basis upon which to found their judgment concerning the first year of cooperative operation;

(iii) does not omit any material fact;

(iv) does not contain any untrue statements of material fact;

(v) does not contain any fraud, deception, concealment or suppression;

(vi) does not contain any promise or representation as to the future which is beyond reasonable expectation or unwarranted by existing circumstances;

(vii) does not contain any representation or statement which is false, where we:

(a) knew the truth;
(b) with reasonable effort could have known the truth;
(c) made no reasonable effort to ascertain the truth; or
(d) did not have knowledge concerning the representation or statement made.

We further certify that we are not owned or controlled by the Sponsor. We understand that a copy of this certification is intended to be incorporated into the Offering Plan. This statement is not intended as a guarantee or warranty of the income and expenses for the first year of cooperative operation.

This certification is made under penalty of perjury for the benefit of all persons to whom this offer is made. We understand that violations are subject to the civil and criminal penalties of the General Business Laws and Penal Law.

Very truly yours,

ARCO MANAGEMENT CORP.

BC

Anthony J. Savarese
Senior Vice President

Subscribed and sworn to before me
this 27th day of February, 1992.

Notary Public

MARY E. COYNE
Notary Public, State of New York
[illegible] Rockland County
Term Expires 11-30-93
#4733307

EXHIBIT G

STATE OF NEW YORK

~~7503--A~~

Chapter 594, Laws 1991 Cal. No. 650

1991-1992 Regular Sessions

IN ASSEMBLY

~~March 26, 1991~~

effective July 23, 1991

Introduced by M. of A. KALEKI, GIANNIS, MAYERSOHN, CLARK, SILVER -- Multi-sponsored by -- M. of A. BOYLAND, CASAPAMO, COOK, CROWLEY, DANIELS, DAVIS, HARENBERG, HIKIND, HILLMAN, JOHN, KAUFMAN, MORELLE, NOLAN, RAMIREZ, SANDERS, WEISENBERG -- (at request of the Department of Law) -- read once and referred to the Committee on Housing -- reported from committee, advanced to a third reading, amended and ordered reprinted, retaining its place on the order of third reading

AN ACT to amend the general business law, in relation to real estate syndication offerings

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. Section 352-e of the general business law is amended by adding a new subdivision 2-d to read as follows:

2-d. (a) "Non-occupying owner" shall mean the owner of shares in a cooperative corporation who does not reside in the apartment assigned to its shares, when the apartment is occupied by a non-purchasing tenant; or the owner of a unit in a condominium who does not reside in the unit, when the unit is occupied by a non-purchasing tenant. "Non-purchasing tenant" shall have the same meaning as that term is defined in paragraph (e) of subdivision one of sections three hundred fifty-two-eee and three hundred fifty-two-eeee of this chapter.

(b) The attorney general shall also refuse to issue a letter stating that the offering has been filed, or in the case of a plan already accepted for filing, shall refuse to accept an amendment to the plan unless the offering statement, prospectus, plan or amendment provides that when a non-occupying owner fails to make all payments due on such shares or units, including but not limited to maintenance payments, common charges, assessments or late fees, within thirty days after they are

EXPLANATION--Matter in *italics* (underscored) is new; matter in brackets [ ] is old law to be omitted.

LBD01812-04-1

DOCUMENT NO. 6

due, upon notice in accordance with paragraph (c) of this subdivision, all rental payments from the non-purchasing tenant residing in such apartment or unit shall be directly payable to the apartment corporation or condominium association. The offeror shall provide each non-purchasing tenant with irrevocable notice of the provisions of this subdivision.

(c) If maintenance payments, common charges or other fees due from a non-occupying owner have not been paid in full, the cooperative corporation board of directors or condominium board of managers shall provide written notice within forty-five days after the earliest due date to the non-purchasing tenant and the non-occupying owner providing that, commencing immediately and until such time as payments are made current, all rental payments due are to be made payable to the cooperative corporation or condominium association at the address listed on the notice. Where a majority of the board of directors or managers has been elected by and from among the shareholders or unit owners who are in occupancy, the board may elect not to require that rental payments be made payable to the cooperative corporation or condominium association. At such time as payments from the non-occupying owner are once again current, notice of such fact shall be given within three business days to the non-purchasing tenant and non-occupying owner. Thereafter all rental payments shall be made payable to the non-occupying owner. A non-occupying owner who disputes the corporation's or association's right to receive rental payments pursuant to this section shall be entitled to present facts supporting its position at the next scheduled meeting of the board of directors or board of managers, which must be held within thirty days.

(d) Nothing in this subdivision shall limit any rights existing under any other law.

(e) Payment by a non-purchasing tenant to the cooperative corporation or condominium association made in accordance with this subdivision shall relieve that non-purchasing tenant from the obligation to pay that rent to the non-occupying owner.

§ 2. This act shall take effect immediately and shall apply to all offering plans not yet accepted for filing and to all plans already accepted for filing except those plans where all of the shares or units have been sold.

EXHIBIT H

APPLICATION TO THE ATTORNEY GENERAL FOR A DETERMINATION ON THE DISPOSITION OF DOWNPAYMENTS

[Send this application to the reviewing attorney assigned to the subject plan.]

Re: _____
Address of Building or
Name of Project

File Number: _____

Application is made to the Attorney General to consider and determine the disposition of down payments held pursuant to GBL Sections 352-e(2-b) and 352-h. The following information is submitted in support of this application:

1. Name of Applicant _____

2. Address of Applicant _____

3. Name, Address, and Telephone Number of Applicant's Attorney (if any) _____

_____

_____

4. This is an application for

[ ] return of downpayment.
[ ] forfeiture of downpayment.
[ ] other: _____

_____

5. The project is [ ] a conversion of occupied premises.
[ ] newly constructed or rehabilitated.
[ ] vacant (as is).

6. The project is structured as
   [ ] a cooperative.
   [ ] a condominium.
   [ ] a homeowners association.
   [ ] a timeshare.

   [ ] other: _____

7. Name and Address of Sponsor: _____

_____

8. Name and Address of Escrow Agent: _____

_____

9. If downpayments are maintained in an escrow account:

   (a) Name of account _____

   (b) Name and address of bank _____

   (c) Account number (if known) _____

   (d) Initial interest rate (if known) _____

10. If downpayments have been secured by bonds:

   (a) Name and address of bond issuer or surety: _____

   _____

   (b) Copy of bond included in this application. (DO NOT SEND ORIGINAL BOND.) If not included, explain:

   _____

   _____

   _____

   _____

11. If downpayments have been secured by a letter of credit:

(a) Name and address of bank which issued the letter of credit: _____

_____

_____

(b) Date of expiration of the letter of credit, if known:

_____

12. Plan information:

(a) Date of filing of plan: _____

(b) Plan

[ ] has been declared effective. Approximate date: _____

[ ] has not been declared effective.

(c) If effective, the plan

[ ] has closed or the first unit has closed. Approximate date: _____

[ ] has not closed.

[ ] don't know.

(d) Downpayments are secured by

[ ] escrow account.

[ ] bonds.

[ ] letter of credit.

13. Contract information:

(a) Copy of contract and of all riders or modification letters are attached. (DO NOT SEND ORIGINALS.)

(b) Date on which subscription or purchase agreement was signed: _____

(c) Date(s) of downpayment(s): _____

(d) Total amount of downpayment(s): _____

(e) Names and addresses of subscribers or purchasers affected by this application:

_____

_____

_____

_____

_____

14. State the basis for your claim. Please be as specific as possible. You may add additional sheets. Attach copies of any relevant documents.

_____

_____

_____

_____

_____

_____

_____

_____

_____

_____

15. I am contemporaneously sending a copy of this application to the following persons: _____

_____

_____

_____

Note: You are required to mail a copy of this Application to all other affected parties.

In filing this application, I understand that the Attorney General is not my private attorney, but represents the public in enforcing laws designed to protect the public from unlawful business practices. I also understand that if I have any questions concerning my legal rights or responsibilities I may contact a private attorney. The above application is true and accurate to the best of my knowledge. False statements made herein are punishable as a Class A Misdemeanor under Section 175.30 and/or Section 210.45 of the Penal Law.

Signature: _____ Date: _____

Name (Printed): _____

Telephone: (Home) _____ (Business) _____

Mailing Address: _____

_____

NINTH AMENDMENT

TO

OFFERING PLAN TO CONVERT TO COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: January 18, 1991

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND THE THIRD AMENDMENT DATED OCTOBER 4, 1989 AND THE FOURTH AMENDMENT DATED DECEMBER 22, 1989, THE FIFTH AMENDMENT DATED MARCH 13, 1990, THE SIXTH AMENDMENT DATED JULY 23, 1990, THE SEVENTH AMENDMENT DATED SEPTEMBER 12, 1990 AND THE EIGHTH AMENDMENT DATED NOVEMBER 1, 1990 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

ELEVENTH AMENDMENT

TO

OFFERING PLAN TO CONVERT TO
COOPERATIVE OWNERSHIP

PROPERTY AT

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATED: DECEMBER 16, 1993

THIS AMENDMENT MODIFIES AND SUPPLEMENTS THE TERMS OF THE ORIGINAL OFFERING PLAN DATED OCTOBER 26, 1988, THE FIRST AMENDMENT DATED FEBRUARY 9, 1989, THE SECOND AMENDMENT DATED MAY 11, 1989 AND THE THIRD AMENDMENT DATED OCTOBER 4, 1989 AND THE FOURTH AMENDMENT DATED DECEMBER 22, 1989, THE FIFTH AMENDMENT DATED MARCH 13, 1990, THE SIXTH AMENDMENT DATED JULY 23, 1990, THE SEVENTH AMENDMENT DATED SEPTEMBER 12, 1990, THE EIGHTH AMENDMENT DATED NOVEMBER 1, 1990, THE NINTH AMENDMENT DATED JANUARY 18, 1991, AND THE TENTH AMENDMENT DATED MAY 6, 1992 AND SHOULD BE READ IN CONJUNCTION THEREWITH.

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR AND HOLDER
OF UNSOLD SHARES: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

ELEVENTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, and the Tenth Amendment dated May 6, 1992 (the "Plan") and should be read in conjunction therewith.

FIRST: REDUCTION IN PURCHASE PRICE TO TENANTS

Each Tenant is hereby give the exclusive right for the ninety (90) days following the Presentation Date of this Amendment (the "90 Day Period") to purchase the shares allocated to his or her Apartment at the reduced price of $163.80 per share.

SECOND: SPONSOR'S OFFER OF AN INSTALLMENT SALE METHOD OF PAYMENT TO PURCHASERS

The Sponsor hereby offers an Installment Sale for Tenants to purchase their Apartments within the 90 Day Period at the price per share set forth in Paragraph FIRST above. In addition, the Sponsor hereby offers this Installment Sale for Non Tenant Purchasers who purchase an Apartment within the 90 Day Period.

Under this Installment Sale method, a Tenant may purchase their Apartment at the reduced price set forth above by paying directly to the Sponsor at least ten (10%) percent of the Purchase Price for the Apartment at the closing and at the closing, enter into a series of promissory notes (the "Notes") for the balance of the Purchase Price without interest.

The Notes will be in equal monthly installments necessary to pay the balance of the Purchase Price over the next consecutive sixty calendar months. Each monthly installment under the Note will be due on the first day of each calendar month commencing with the first day of the first calendar month after the closing. As collateral security for the payment of the Notes, the Purchaser will execute and deliver at the closing a security agreement and UCC-1 Financing Statement grant a security interest in the shares and proprietary lease for the Apartment to the Sponsor. At the closing, the Purchaser will become the legal owner of the Apartment as described in the Plan even though the Sponsor will retain possession of the collateral shares and proprietary lease for the Apartment. The Sponsor will deliver to the Purchaser the stock and proprietary lease upon the final payment due under the Notes.

The Notes will contain a provision accelerating the due dates of all subsequent Notes upon the default of the Purchaser. The events of default include but are not limited to the failure to pay any installment; the sale or sublease of the Apartment; failure to make payments required by the proprietary lease or other terms of the Proprietary Lease are violated; cancellation of the proprietary lease by the Apartment Corporation or shareholder; or failure to pay or bond judgment or tax deficiency. In addition, in the event of a default under the Notes, all further obligations of the Sponsor to transfer the stock and proprietary lease shall be terminated without affecting the Sponsor' right to foreclose on the stock and proprietary lease for the Apartment.

Payments on the Note are due on the first day of each month. In the event any payment on the Notes shall become overdue for more that ten (10) days, the Purchaser will be required to pay the Holder of the Notes, a late charge of two (2%) percent of such overdue payment to reimburse the Holder of the Note for administrative expenses incurred in connection with such late payment.

The Purchaser may prepay the Notes in full or in part without being charged a penalty or premium for such prepayment by the Holder of the Notes.

By way of example, if the Purchaser of Apartment 1Z (100 shares) were to purchase his apartment for the reduced purchase price of $16,380.00 and elect to avail himself of the Sponsor's offer of the Installment Sale method and further elects to pay ten percent of the Purchase Price at the closing, this Purchaser would be required to pay to the Sponsor the sum of $1,638.00 (10% of the $16,380.00 Purchase Price for the Apartment) at the closing and enter in into sixty Promissory Notes for monthly installments of $245.70 each to pay the balance of the Purchase Price without interest.

In addition, any Tenant who purchases his or her Apartment and elects this Installment Sale method to pay the balance of the Purchase Price who pays the Sponsor more than the minimum of ten percent at the closing will receive the following reductions in their purchase prices:

Amount paid at the closing by unendorsed bank, teller, or certified check	Purchase Price Per Share
less than 25%	$163.80
25% to 49.9%	$155.61
50% to 74.9%	$147.42
75% to 99.9%	$139.23
All Cash	$131.04

The Sponsor makes no representation as to the tax ramifications of such a transaction. Purchasers are thus advised to consult with their own attorney or tax expert before entering into such this type of transaction.

THIRD: UPDATED INFORMATION

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

FOURTH: SHARES OWNED BY THE SPONSOR

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $33,831. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $28,000. However, the Sponsor has filed an Article 78 proceeding to overturn the Division of Housing and Community Renewal's denial of Sponsor's maximum base rental increases for 1988. In the event that the Sponsor is successful in its Article 78 proceeding, the monthly rents payable by tenants residing in apartments owned by the Sponsor will be increased.

FIFTH: OBLIGATIONS OF DISCLOSING HOLDERS UNDER THE PLAN

During the year prior to the date of this Amendment, the Sponsor was in arrears for up to but never more than three months of maintenance charges. The precise dates of such arrears are difficult to ascertain as the Sponsor had made partial payments so as the operations of the Apartment Corporation would not be adversely effected. The Sponsor became current of all of its unpaid maintenance charges on July 15, 1993 (the date of the

Apartment Corporation closed on the restructuring of its underlying Note and Mortgage with the Dime Savings Bank of New York, FSB, see Paragraph TWELFTH) and has been current in its payment of maintenance charges to the Apartment Corporation since that time.

The Sponsor is also presently current on all financial obligations under the Offering Plan, including but not limited to, Reserve or Working Capital Fund payments, assessments, and payments for repairs or improvements required by the Plan and except as set forth above, has been current on all obligations under the Plan (i.e., has satisfied such obligations by the expiration of any grace period) during the twelve months period from the date of filing of this Amendment.

The Sponsor's financial obligations to the Apartment Corporation which are scheduled to become due on or before the one year anniversary of the filing of this Eleventh Amendment are as follows: The Sponsor has elected to fund the Reserve Fund in accordance with the provisions of Section YYYY51-3.0(b)(ii) of the New York City Administrative Code. Therefore, the Sponsors's contributions to the Reserve Fund over the next twelve-month period cannot be determined at this time.

SIXTH: OTHER NEW YORK STATE PROPERTIES

Set forth as Document No. 2 listing the offerings of cooperative or condominium interests which have been made by the Sponsor or a principal of Sponsor, as an individual holder of unsold shares or units or as a principal of a sponsor or holder, in or from the state of New York, and in which said sponsor or holder continues to own more than ten (10%) percent of the shares or units. Included in Document No. 2 is a discussion as to that Sponsor's current arrearages.

SEVENTH: FUNDING OF DEFICITS

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Disclosing Holders to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

EIGHTH: FINANCING OF UNSOLD SHARES

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

NINTH: BOARD OF DIRECTORS

Sponsor is in control of the Board of Directors of the Apartment Corporation. Control of the Board will be relinquished by Sponsor in accordance with the terms of the Offering Plan on the earlier of (a) five years after the Closing Date (September 13, 1990), or (b) whenever Unsold Shares constitute less than fifty (50%) percent of the shares of the Apartment Corporation.

The current directors and officers of the Apartment Corporation are as follows:

Ilona R. Resnick*	Vice President and Director
Jeanette Ciccone*	Assistant Secretary and Director
Charles B. Storms*	Director
Arnold Pollack*	Director
James Little*	Director
Roger Rofe	President and Director
Allen Kimerling	Vice President and Director
Elizabeth Weingart	Secretary and Director
Vincent Amodei	Treasurer and Director

* Designee of the Sponsor

TENTH: CERTIFIED FINANCIAL STATEMENTS

Attached hereto as Document No. 3 is the Certified Financial Statements for the Apartment Corporation for the years ending December 31, 1991 and December 31, 1992 as prepared by Marshall Granger & Company.

ELEVENTH: BUDGET

Attached hereto as Document No. 4 is the budget for Crestwood Apartment Owners, Inc, adopted by the Board of Directors for calendar year 1994. Also attached hereto as Document No. 4 is the Certification of said Budget.

TWELFTH: RESTRUCTURING OF THE APARTMENT CORPORATION'S UNDERLYING NOTE AND MORTGAGE

On July 15, 1993, the Apartment Corporation and The Dime Savings Bank of New York, FSB, (the "Dime") the holder of the underlying note and mortgage on the property, entered into a Modification of Note and Mortgage Agreement (the "Agreement") which further modified the modified promissory note of September 13, 1993 in the original principal amount of $1,800,000 and the mortgage modification agreement securing said note (collectively "the Loan"). This transaction was unanimously approved by the entire Board of Directors of the Apartment Corporation. Copies of the Agreement are available for inspection at the office of the Selling Agent.

The material terms of the Agreement are:

(i) The Apartment Corporation shall continue to make monthly payments on the Loan in the amount of $16,500.00. However, payments shall be applied first to the payment of interest on the then outstanding principal balance of the Loan at the rate of 9% per annum and thereafter to the reduction of the principal balance of the Loan.

(ii) The Apartment Corporation, provided that there is no default under the Loan, may at its option, extend the maturity date of the Loan from September 13, 1995 (the "Maturity Date") to September 12, 1998 (the "Extended Term") upon written notice given to the Dime not later than July 1, 1995. During the Extended Term, the Apartment Corporation's payments will be in an amount necessary to amortize fully over a 25 year period the principal balance of the Loan which is outstanding on the Maturity Date. In addition, during the Extended Term, payments shall bear interest at the rate that is three hundred basis points (3%) above the Treasury Index for 3-year Treasury Bills as of the date 45 days prior to the Maturity Date. Any prepayment made during the Extended Term will be subject to a prepayment penalty equal to the net present value formula set forth in the Agreement.

(iii) The Dime will defer certain fees, late charges and interest at the "Involuntary Rate" in the sum of approximately $66,000.00 until the Maturity Date and on the Maturity Date of September 13, 1995, to waive said sum if there have been no defaults under the Agreement.

THIRTEENTH: IDENTITY OF PARTIES

Effective May, 1993, Sheldon S. Goldstein, sold his general partnership interest in the Sponsor to Arlyne Goldstein. Ms. Goldstein maintains an address at 10479 Stonebridge Boulevard, Boca Raton, Florida and is a General Partner of Lynmark Associates, the Sponsor of Bon Aire Park Cooperative II and Bon Aire Park Cooperative III, located in Suffern, New York. Lynmark Associates owns less than ten (10%) percent of the shares in Bon Aire Park Cooperative II and Bon Aire Park Cooperative III. In addition, Herbert Zucker has transferred his general partnership interest in the Sponsor to Herbert Goldsmith.

FOURTEENTH: INCORPORATION OF PLAN

The Plan, as modified and supplemented by the prior Amendments and hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions

contained herein.

FIFTEENTH: DEFINITIONS

All of the terms used in this Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in the Plan.

SIXTEENTH: NO OTHER MATERIAL CHANGES

There have been no material changes in the Plan except as set forth in the prior Amendments and herein.

TJS ASSOCIATES
Sponsor and Holder of
Unsold Shares

Dated: December 16, 1993
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD
KEW GARDENS, N.Y.

List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
1E	245
1F	148
1G	208
1H	208
1J	210
1L	293
1M	148
2A	149
2C	176
2D	227
2E	324
2F	149
2G	209
2H	209
2J	200
2L	294
3A	150
3B	242
3D	228
3E	325
3F	150
3G	210
3K	228
3M	150
4A	131
4B	243
4C	178
4D	229
4E	326
4F	151
4G	211
4H	211
4J	202
4L	296
4M	151

APT. NO.	NO. OF SHARES
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6A	153
6B	245
6C	180
6D	231
6E	328
6F	153
6G	213
6H	213
6J	204
6K	231
6L	298
6M	153
	12,438

DOCUMENT NO. 2

Ramapo Cirque Homeowners Association, Inc. - Edwin Wachtel is a stockholder in Ramapo Cirque, Inc. (the "Sponsor").

In December, 1992, the Ramapo Cirque Homeowners Association Inc. (the "Association") agreed that the entire outstanding balance due to the Association from the Sponsor was $45,000 for past due maintenance assessments on the unsold Homes and lots which it owned under the terms of a certain agreement entered into on or about July 1, 1987 between the Sponsor and the then independently controlled Board of Directors of the Association. In this agreement, the Sponsor agreed to be assessed in the same manner as all other Homeowners, rather than on the basis of the deficiency budget described in the original Offering Plan, except with respect to certain expenses attributable to services not provided to Sponsor-owned Homes or lots.

As of January 1, 1993, the Sponsor and the independently controlled Board of Directors of the Association agreed that the Sponsor would be charged by the Association the sum of $100/month for each of its twenty vacant lots that it owns and $250/month for each of the six constructed Homes that it owns, for a total monthly payment of $3,500.00. The Sponsor has not made this monthly payment since April, 1993.

The Association and the Sponsor are presently negotiating a payment plan for the arrears set forth in the two previous paragraphs.

The Sponsor also owes approximately $8,000 to the Association for its portion of the cost incurred by the Association to dredge the pond located in the Ramapo Cirque development.

It is important to note that the Sponsor has always funded deficiencies in the operating budget of the Association in order to enable it to deliver the type and level of operations set forth in its annual budget without increasing the maintenance charges payable by Homeowners other than the Sponsor. In effect, therefore, the Association has operated under a deficiency budget formula with respect to Sponsor maintenance assessments. While the terms of the original agreement and the further agreement described above have not been strictly observed at all times, the delivery of services to the Homeowners and the operations of the Association have not been adversely affected.

DOCUMENT NO. 3

CRESTWOOD APARTMENT OWNERS, INC.

FINANCIAL STATEMENTS

Years Ended December 31, 1992 and 1991

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Notes to Financial Statements 5

MARSHALL GRANGER & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS
1600 HARRISON AVENUE
MAMARONECK, NEW YORK 10543
914/381-2550 212/863-8365
FAX: 914/381-4762

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Inc.
New York, New York

We have audited the accompanying balance sheets of Crestwood Apartment Owners, Inc. as of December 31, 1992 and 1991, and the related statements of operations and deficit, and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Inc. as of December 31, 1992 and 1991, and the results of its operations and its cash flows for the year then ended in conformity with generally accepted accounting principles.

The accompanying financial statements have been prepared assuming that the Company will continue as a going concern. As shown in the financial statements, the Company has sustained operating losses, working capital deficiencies and is four months in arrears on its mortgage payments. These conditions raise substantial doubt about its ability to continue as a going concern. The financial statements do not include any adjustments that might result from the outcome of this uncertainty.

Marshall Granger & Company, P.C.

Mamaroneck, New York
February 3, 1993

This report is furnished to our clients with the specific reservation that any publication or reproduction thereof, either in full or in part, shall first be approved by us

CRESTWOOD APARTMENT OWNERS, INC.

BALANCE SHEETS

December 31, 1992 and 1991

ASSETS

	1992	1991
CURRENT ASSETS:		
Cash and cash equivalents	$ 23,042	$ 14,006
Tenants accounts receivable	91,724	-
Prepaid expenses	45,478	60,349
TOTAL CURRENT ASSETS	160,244	74,355
FIXED ASSETS:		
Land	588,936	588,936
Building	3,337,305	3,337,305
	3,926,241	3,926,241
Less accumulated depreciation	279,287	157,930
	3,646,954	3,768,311
OTHER ASSETS:		
Escrow account	(31,661)	4,387
Other	3,910	3,009
	(27,751)	7,396
	$ 3,779,447	$ 3,850,062

LIABILITIES & SHAREHOLDERS' EQUITY

CURRENT LIABILITIES:		
Accounts payable	$ 10,907	$ 13,019
Accrued expenses	68,106	22,456
Accrued corporate taxes	1,507	981
Due to sponsor	50,778	50,778
Mortgage payable	1,800,000	-
TOTAL CURRENT LIABILITIES	1,931,298	87,234
LONG-TERM DEBT:		
Mortgage payable	-	1,800,000
OTHER LIABILITIES:		
Tenant security deposits	600	540
SHAREHOLDERS' EQUITY:		
Working capital fund	15,000	15,000
Capital stock at stated value, authorized, issued and outstanding 14,955 shares	2,126,241	2,126,241
Deficit	(293,692)	(178,953)
	1,847,549	1,962,288
	$ 3,779,447	$ 3,850,062

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS, INC.

STATEMENTS OF OPERATIONS AND DEFICIT

Years Ended December 31, 1992 and 1991

	1992	1991
INCOME:		
Common charges	$ 488,131	$ 470,957
Laundry	5,378	1,500
Parking	6,420	6,480
Late fees	325	100
	500,254	479,037
EXPENSES:		
Wages, including fringe benefits	58,073	58,684
Payroll taxes	4,444	4,845
Real estate taxes	92,654	89,300
Water and sewer	36,042	19,554
Utilities	47,447	47,023
Repairs and maintenance	27,805	29,683
Management fees	17,283	20,520
Insurance	4,985	14,302
Legal and accounting	3,072	4,720
Office and administrative	2,442	4,715
Income taxes	1,787	2,087
	296,034	295,433
INCOME FROM OPERATIONS	204,220	183,604
OTHER INCOME AND (EXPENSE):		
Interest income	398	595
Interest expense	(198,000)	(198,150)
	(197,602)	(197,555)
INCOME (LOSS) BEFORE DEPRECIATION	6,618	(13,951)
DEPRECIATION	121,357	121,357
NET LOSS	(114,739)	(135,308)
DEFICIT, beginning of year	(178,953)	(43,645)
DEFICIT, end of year	$(293,692)	$(178,953)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS, INC.

STATEMENTS OF CASH FLOWS

Years Ended December 31, 1992 and 1991

	1992	1991
OPERATING ACTIVITIES:		
Net loss	$ (114,739)	$ (135,308)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation	121,357	121,357
Increase/(decrease) in cash due to changes in operating assets and liabilities:		
Tenants' accounts receivable	(91,724)	9,003
Prepaid expenses	14,871	(8,925)
Escrow account	36,048	14,238
Other	(901)	(739)
Accounts payable	(2,112)	2,632
Accrued expenses	45,650	4,817
Accrued corporate taxes	526	(39)
Tenant security deposits	60	60
NET CASH USED BY OPERATING ACTIVITIES	9,036	7,096
NET INCREASE IN CASH AND CASH EQUIVALENTS	9,036	7,096
CASH AND CASH EQUIVALENTS, beginning of year	14,006	6,910
CASH AND CASH EQUIVALENTS, end of year	$ 23,042	$ 14,006
Supplemental disclosures of cash flow information:		
Cash paid for interest	$ 148,500	$ 198,150
Cash paid for income taxes	1,381	1,815

The accompanying notes are an integral part of these financial statements.

NOTES TO FINANCIAL STATEMENTS

December 31, 1992 and 1991

1. ENTITY DESCRIPTION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Crestwood Apartment Owners, Inc. ("The Corporation") was formed October 26, 1988, to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York, for $3,926,241.

These financial statements have been prepared on the accrual basis and in conformity with the standards promulgated by the American Institute of Certified Public Accountants. The significant accounting policies followed are described below to enhance the usefulness of these financial statements to the reader.

For purposes of the statement of cash flows, the Corporation considers all highly liquid debt instruments with a maturity of three months or less to be cash equivalents.

Land and buildings are stated at cost. The building is being depreciated on a straight-line basis over an estimated useful life of 27.5 years from September 13, 1990.

2. Included in tenants accounts receivable is approximately $90,900 which is due from the plan sponsor who is three months in arrears. Late fees are not being charged or accrued to the sponsor.

3. Due to Sponsor represents payments made by the plan sponsor on behalf of the Corporation for certain closing adjustments. The amount is non-interest bearing. Repayment has been deferred to 1993.

4. The mortgage payable bears interest at 11% and is due September 12, 1995. Payments are of interest only until maturity at which time a balloon payment in the amount of approximately $1,800,000 will be required. The mortgage is secured by the land and building. At December 31, 1992 the Company was four months in arrears on its interest payments. The mortgage payable has been classified as a current liability due to noncompliance with the agreement.

5. The Corporation has authorized a payment of $20,000 in full satisfaction for certain plumbing repairs made in January 1991. This amount is not included in accounts payable at December 31, 1992, as there will be a special assessment for this amount in 1993.

6. The working capital fund represents an amount contributed by the sponsor to the Corporation to be used for working capital, to make repairs and improvements according to the prospectus.

NOTES TO FINANCIAL STATEMENTS

December 31, 1992 and 1991

7. Pursuant to the 8th amendment of the prospectus, there was no additional reserve fund requirements at closing required by the plan sponsor. In addition, the sponsor has a credit of $10,755 relating to the reserve fund. The sponsor must, however, make supplemental contributions of three percent of the actual sales price (at least $225) of shares sold subsequent to the effective date of the plan and within five years of the closing date (September 13, 1990).

8. At December 31, 1992, the Corporation had net operating loss carryforwards available for income tax purposes in the amount of $279,000 expiring beginning December 31, 2005.

9. The Corporation's income tax returns for the years ended December 31, 1990 and subsequent are subject to review by the applicable governmental agencies.

There were no other known contingent liabilities of material amount at the balance sheet date.

DOCUMENT NO. 4

THE CREST WOOD APARTMENT OWNERS, INC.
~~1999~~ BUDGET 14,955 SHARES

INCOME

GROSS POTENTIAL	502,166	33.58 PER SHARE
LATE FEES	250	
INTEREST INCOME	250	
PARKING INCOME	7,000	
LAUNDRY INCOME	5,000	
TOAL INCOME	514,666	

EXPENSE

MORTGAGE & RE TAXES	333,972
CORPORATE/OTHER TAXES	2,000
OFFICE EXPENSE	100
MANAGEMENT FEE	16,800
SUPERINTENDENT PAYROLL	28,840
PORTER PAYROLL	25,750
EMPLOYEE BENEFITS	6,000
PAYROLL TAXES	4,250
LEGAL	3,250
AUDIT/ACCOUNTING	3,000
TELEPHONE	600
PAGERS	240
PETTY CASH	100
OIL	35,700
GAS	900
ELECTRICITY	13,800
JANITOR SUPPLIES	400
EXTERMINATOR	1,500
MISCELLANEUS OPERATING	1,500
COMPACTOR CONTRACTOR	3,600
REPAIRS MATERIAL	11,500
ELEVATOR MAINTENANCE	6,564
BOILER TREATMENT/INSPECTION	1,000
WORKERS COMPENSATION	2,800
PROP/LIAB INSURANCE	9,500
CONTIGENCY	1,000
TOTAL EXPENSES	514,666

NOTE: DOES NOT INCLUDE WEXLER PAYMENT, REPAYMENT OF SPONSOR LOANS, OR MAJOR CAPITAL IMPROVEMENTS

CERTIFICATION OF SPONSOR'S EXPERT
CONCERNING ADEQUACY OF BUDGET

New York State Department of Law
Real Estate Financing Bureau
120 Broadway - 23rd Floor
New York, N.Y. 10271

Re: The Crestwood
124-16 84th Avenue
Kew Gardens, New York

Gentlemen:

The undersigned certifies as follows:

The Sponsor of the cooperative offering plan for the captioned property retained our firm to review Schedule B containing projections of income and expenses for the first year of cooperative operations. Our experience in this field includes the management of greater than one thousand residential units in the tri-state area.

We understand that we are responsible for complying with Article 23-A of the General Business Law and the regulations applicable to Schedule B.

We have reviewed the Schedule and investigated the facts set forth in the Schedule and the facts underlying them with due diligence in order to form a basis for this certification. We also relied on our experience in managing residential buildings.

We certify that the projections in Schedule B appear reasonable and adequate under existing circumstances, and the projected income appears to be sufficient to meet the anticipated operating expenses for the projected first year of cooperative operation.

We certify that the Schedule:

(i) sets forth in detail the projected income and expenses for the year of Cooperative operation stated thereon;

(ii) affords potential investors, purchasers and participants an adequate basis upon which to found their judgment concerning that year of cooperative operation

(iii) does not omit any material fact;

(iv) does not contain any untrue statements of material fact;

(v) does not contain any fraud, deception, concealment or suppression;

(vi) does not contain any promise or representation as to the future which is beyond reasonable expectation or unwarranted by existing circumstances

(vii) does not contain any representation or statement which is false, where we:

(a) knew the truth;
(b) with reasonable effort could have known the truth;
(c) made no reasonable effort to ascertain the truth; or
(d) did not have knowledge conceding the representation or statement made.

We further certify that we are not owned or controlled by the Sponsor. We understand that a copy of this certification is intended to be incorporated into the Offering Plan. This statement is not intended as a guarantee or warranty of the income and expenses for the year of cooperative operation stated thereon.

This certification is made under penalty of perjury for the benefit of all persons to whom this offer is made. We understand that violations are subject to the civil and criminal penalties of the General Business Laws and Penal Law

Very truly yours,

ARCO MANAGEMENT CORP.

Jeffrey P. Goldstein
President

EXHIBIT E

EXHIBIT E

ASSIGNEE'S STATEMENT OF PURCHASE

STATE OF NEW YORK)
) ss.:
COUNTY OF QUEENS)

RE: Apartment ___
The Crestwood
124-16 84th Road
Kew Gardens, New York

I, the undersigned Assignee represent that I was not procured by TJS Associates, the Sponsor, nor Suehope Realty, Inc., the Selling Agent and that I intend that I or one or more members of my immediate family intend to personally occupy the above-referenced Apartment when it becomes vacant.

ASSIGNEE:

_____ L.S.

_____ L.S.

Subscribed and sworn to
before me this ____ day of
_____, 19__.

_____
Notary Public

EXHIBIT F

TP-581 (8/84)

New York State Department of TAXATION and FINANCE

New York State
REAL PROPERTY TRANSFER GAINS TAX
Questionnaire
TRANSFEREE

For Departmental Use Only

NOTE: See Instructions (TP-581-I), Section B before completing this form.

PLEASE PRINT	Name	Social Security Number
(Transferee)	Address / Zip Code	Federal Employer Identification Number
	Name	Social Security Number
(Transferor)	Address / Zip Code	Federal Employer Identification Number

* Type of Interest to be Acquired *(Check Applicable Box)*

☐ Fee ☐ Leasehold Grant ☐ Leasehold Assignment or Surrender ☐ Stock in Co-op

☐ Option Grant ☐ Option Assignment or Surrender ☐ Development Right

☐ Controlling Interest ☐ Contract Assignment ☐ Other *(attach explanation)*

* Date of Anticipated Transfer _____ (Day / Month / Year)

* Percentage of Interest to be Acquired _____ %

LOCATION OF PROPERTY TO BE TRANSFERRED (List each lot separately)

Address	County

COMPLETE LINES 1, 2 AND 3

1	Consideration to be Paid to Transferor By Transferee	1
2	Brokerage Fees to be Paid by Transferee to Transferor	2
3	Brokerage Fees to be Paid by Transferee to Broker	3

AFFIDAVIT OF TRANSFEREE

I swear (or affirm) under penalty of perjury that this questionnaire including the accompanying schedules or statements has been examined by me and is to the best of my knowledge and belief, a true and complete return, made in good faith, pursuant to Article 31-B of the New York State Tax Law.

Sworn to and subscribed to before me this _____ day of _____, 19 ____

_____
Name(s) of Transferee(s)

_____
Signature(s) of owner(s), partner, officer of corporation, etc.

_____
Signature of officer administering oath

_____
Title

PREMISES AT:
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR AND HOLDER
OF UNSOLD SHARES: T.J.S. ASSOCIATES

SELLING AGENT: SUEHOPE REALTY, INC.

TWELFTH AMENDMENT TO COOPERATIVE OFFERING PLAN

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, the Tenth Amendment dated May 6, 1992, and the Eleventh Amendment dated December 16, 1993 (the "Plan") and should be read in conjunction therewith.

FIRST: **UPDATED INFORMATION**

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: **SHARES OWNED BY THE SPONSOR**

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $30,180. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $26,992. However, the Sponsor has filed an Article 78 proceeding to overturn the Division of Housing and Community Renewal's denial of Sponsor's maximum base rental increases for 1988. In the event that the Sponsor is successful in its Article 78 proceeding, the monthly rents payable by tenants residing in apartments owned by the Sponsor will be increased.

THIRD: **OBLIGATIONS OF SPONSOR UNDER THE PLAN**

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Reserve or Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has

satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

The Sponsor's financial obligations to the Apartment Corporation which are scheduled to become due on or before the one year anniversary of the filing of this Amendment are as follows: The Sponsor has elected to fund the Reserve Fund in accordance with the provisions of Section YYYY51-3.0(b)(ii) of the New York City Administrative Code. Therefore, the Sponsors's contributions to the Reserve Fund over the next twelve-month period cannot be determined at this time.

FOURTH: **OTHER NEW YORK STATE PROPERTIES**

Set forth as Document No. 2 listing the offerings of cooperative or condominium interests which have been made by the Sponsor or a principal of Sponsor, as an individual holder of unsold shares or units or as a principal of a sponsor or holder, in or from the state of New York, and in which said sponsor or holder continues to own more than ten (10%) percent of the shares or units. Included in Document No. 2 is a discussion as to that Sponsor's arrearages.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: **FINANCIAL STATEMENTS**

Attached hereto as Document No. 3 is the Financial Statements for the Apartment Corporation for the year ending December 31, 1993 as prepared by Jeffrey Gittleson CPA, PC.

EIGHTH: **BOARD OF DIRECTORS**

Sponsor is in control of the Board of Directors of the Apartment Corporation. Control of the Board will be relinquished by Sponsor in accordance with the terms of the Offering Plan on the earlier of (a) five years after the Closing Date (September 13, 1990), or (b) whenever Unsold Shares constitute less than fifty (50%) percent of the shares of the Apartment Corporation.

The current directors and officers of the Apartment Corporation are as follows:

Ilona R. Resnick*	Vice President and Director
Jeanette Ciccone*	Assistant Secretary and Director
Avi Halperin*	Director
Arnold Pollack*	Director
James Little*	Director
Elizabeth Weingart	President and Director
Allen Kimerling	Vice President and Director
Lawrence Feinman	Treasurer and Director
Herman Danzig	Vice President and Director

* Designee of the Sponsor

NINTH: BUDGET

The 1995 budget for Crestwood Apartment Owners, Inc., has not yet been adopted by the Board of Directors as of the submission of this Amendment to the Department of Law. The 1994 budget is disclosed in the Eleventh Amendment

TENTH: RELOCATION OF SUPERINTENDENT'S APARTMENT

At the request and resolution of the resident members of the Board of Directors, the Superintendent has been relocated from Apartment 3H to Apartment 1H (previously used as a fully renovated sales office with 208 shares allocated thereto). The Apartment Corporation has retired the 208 shares of capital stock allocated to Apartment 1H and has issued the Sponsor a stock certificate for 210 shares of capital stock allocated to Apartment 3H.

The Apartment Corporation now owns Apartment 1H and as it did with Apartment 3H, will receive no rent or maintenance charges from this apartment and will pay utilities and expenses of maintaining it.

In addition, by reason of the foregoing the total number of shares has increased from 14,955 to 14,957.

ELEVENTH: INCORPORATION OF PLAN

The Plan, as modified and supplemented by the prior Amendments and hereby, is incorporated by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules, and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein.

TWELFTH: DEFINITIONS

All of the terms used in this Amendment, not otherwise defined herein, shall have the same meaning ascribed to them in

the Plan.

THIRTEENTH: **EFFECTIVE PERIOD FOR USING THE PLAN IS EXTENDED**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

FOURTEENTH: **NO OTHER MATERIAL CHANGES**

There have been no material changes in the Plan except as set forth in the prior Amendments and herein.

TJS ASSOCIATES
Sponsor and Holder of
Unsold Shares

Dated:
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD
KEW GARDENS, N.Y.

List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
1E	245
1F	148
1G	208
1M	148
2A	149
2C	176
2D	227
2E	324
2F	149
2G	209
2H	209
2J	200
2L	294
3A	150
3B	242
3D	228
3E	325
3H	210
3K	228
3M	150
4B	243
4C	178
4D	229
4E	326
4F	151
4G	211
4H	211
4J	202
4L	296
4M	151

APT. NO.	NO. OF SHARES
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6B	245
6C	180
6D	231
6E	328
6G	213
6H	213
6K	231
6L	298
6M	153
	10,916

DOCUMENT NO. 2

Ramapo Cirque Homeowners Association, Inc. - Edwin Wachtel is a stockholder in Ramapo Cirque, Inc. (the "Sponsor").

In December, 1992, the Ramapo Cirque Homeowner's Association (the "Association") agreed that the entire outstanding balance due to the Association from the Sponsor was $45,000 for past due maintenance assessments on the unsold Homes and lots which it owned under the terms of a certain agreement entered into on or about July 1, 1987 between the Sponsor and the then independently controlled Board of Directors of the Association. The Association and the Sponsor have agreed that the payment of the arrears set forth above will be from the sale of the next four Homes. The Sponsor has closed title on two homes and the balance of $22,500 will be paid from the sale of the remaining two homes.

As of January 1, 1993, the Sponsor and the independently controlled Board of Directors of the Association agreed that the Sponsor would be charged by the Association the sum of $100/month for each of the vacant lots that it owns and $250/month for each of the constructed Homes that it owns. These payments are not required to be made monthly, but rather in lump sums. The Sponsor is current with respect to these payments.

The Sponsor also owes approximately $8,000 to the Association for its portion of the cost incurred by the Association to dredge the pond located in the Ramapo Cirque development.

It is important to note that the Sponsor has always funded deficiencies in the operating budget of the Association in order to enable it to deliver the type and level of operations set forth in its annual budget without increasing the maintenance charges payable by Homeowners other than the Sponsor. In effect, therefore, the Association has operated under a deficiency budget formula with respect to Sponsor maintenance assessments.

DOCUMENT NO. 3

CRESTWOOD APARTMENT OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1993

JEFFREY GITTLESON, C.P.A., P.C.
CERTIFIED PUBLIC ACCOUNTANTS

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JEFFREY GITTLESON, C.P.A., P.C.
CERTIFIED PUBLIC ACCOUNTANTS
1234 WEST BROADWAY
NEWLETT, N.Y. 11557
516 [illegible]

The Board of Directors
Crestwood Apartment Owners, Inc.
Queens, New York

We have audited the accompanying balance sheet of Crestwood Apartment Owners, Inc. as of December 31, 1993 and the related statement of income, and cash flow for the year then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provides a reasonable basis for our opinion.

Crestwood Apartment Owners, Inc. has not estimated the remaining lives and replacement costs of the common property and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accounts has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Inc. as of December 31, 1993 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

Hewlett, New York
March 24, 1994

Jeffrey Gittleson CPA PC

CRESTWOOD APARTMENT OWNERS, INC.
BALANCE SHEET
December 31, 1993

ASSETS

Current assets:		
	Cash and cash equivalents	$14,192
	Tenant accounts receivable	13,922
	Prepaid expenses	942
	Prepaid real estate taxes	43,346
	Real estate tax escrow	22,752
	Total current assets	95,154
Fixed assets:		
	Land	588,936
	Building and building improvements	3,337,305
		3,926,241
	Less:accumulated depreciation	400,643
	Net fixed assets	3,525,598
Other assets:		
	Closing costs, net	5,129
	Other	2,060
Total assets		$3,627,941

LIABILITIES AND STOCKHOLDERS' EQUITY

Current liabilities:		
	Accounts payable and accrued expenses	$13,548
	Due to sponsor	50,778
	Accrued interest payable	13,339
	Current portion of long-term debt	39,538
	Total current liabilities	117,203
Long-term liabilities:		
	Mortgage payable	1,738,984
Stockholders' equity:		
	Common stock (14,955 shares authorized, issued and outstanding)	2,126,241
	Additional paid in capital	18,447
	Retained earnings (deficit)	(372,934)
	Total stockholders' equity	1,771,754
Total liabilities and stockholders' equity		$3,627,941

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, INC.
STATEMENT OF INCOME
For the year ended December 31, 1993

Operating income:	
Maintenance charges	$490,624
Special assessment	17,946
Parking income	7,240
Laundry income	2,976
Late fee income	250
Interest income	80
Other income	55
	519,171
Operating expenses:	
Mortgage interest	173,361
Real estate taxes	88,720
Wages, including fringe benefits	60,847
Payroll taxes	4,448
Water and sewer	24,761
Utilities	43,155
Repairs and maintenance	34,856
Management fees	17,280
Insurance	13,259
Professional fees	11,595
Office and miscellaneous expenses	645
Total operating expenses	472,927
Income (loss) before depreciation and income taxes	46,244
Depreciation and amortization	123,407
Provision for income taxes	2,079
Net income (loss)	($79,242)

See accompanying notes to financial statements

CRESTWOOD APARTMENT OWNERS, INC.
STATEMENT OF CASH FLOW
December 31, 1993

Cash flows from operating activities:	
Net income (loss)	($79,242)
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation and amortization	123,407
Change in assets and liabilities which affect net income:	
Change in accounts receivable and prepaid expenses	78,992
Change in real estate escrow	(54,413)
Change in other assets	1,850
Change in accounts payable and accrued expenses	(57,233)
Total adjustments	92,603
Net cash provided by operating activities	13,361
Cash flows from investing activities:	
Change in closing costs	(7,180)
Net cash used for (provided by) investing activities	(7,180)
Cash flows from financing activities:	
Change in paid-in capital	3,447
Change in mortgage payable	(21,478)
Net cash used for (provided by) financing activities	(18,031)
Increase (decrease) in cash and cash equivalents	(11,850)
Cash and cash equivalents -- beginning of year	23,042
Cash and cash equivalents -- end of year	$14,192
Supplemental information:	
Interest Expense	$173,361
Income taxes	2,079

The accompanying notes should be read with this financial statement

CRESTWOOD APARTMENT OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 1993

	Common Stock	Paid-In-Capital	Retained Earnings
Balance – January 1, 1993	$2,126,241	$15,000	($293,692)
Capital contributed	-	3,447	-
Net loss (1993)	-	-	(79,242)
Balance – December 31, 1993	$2,126,241	$18,447	($372,934)

See notes to financial statements

CRESTWOOD APARTMENT OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1993

Note 1: ORGANIZATION:

The corporation was formed October 26, 1988 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York for $3,926,241.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of 27.5 years from September 13, 1990.

Note 3: LONG-TERM DEBT:

Dime Savings Bank, 9% per annum, payable in monthly installments of $16,500 including principal and interest. Balloon payment due at maturity on September 15, 1995, with an option to extend to September 15, 1998, provided there is no default on loan	$1,778,521
Current portion	39,538
Long-term debt	$1,738,983

Annual maturities for each of the next 5 years are: 1994 - $39,538; 1995 - $43,247; 1996 - $47,303; 1997 - $51,741; 1998 - $56,594.

Note 4: FUTURE MAJOR REPAIRS AND REPLACEMENTS:

Crestwood Apartment Owners, Inc. has not conducted a study to determine the remaining useful lives of the building and improvement thereon and current estimated costs of major repairs and replacements that may be required in the future. The Board has also not developed a plan to fund those needs. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation has the right to increase regular assessments, pass special assessments, or delay major repairs and replacements until funds are available. Additionally, contributions may be made to the replacement reserve during the year, but not on a specific preset basis. The effect on future assessments has not been determined at this time.

Note 5: DUE TO SPONSOR:

Represents payments made by the plan sponsor on behalf of the Corporation for certain closing adjustments. The amount is non-interest bearing.

Note 6: WORKING CAPITAL FUND:

Represents an amount contributed by the sponsor to the Corporation to be used for working capital, for repairs and improvements.

Note 7: RESERVE FUND:

Pursuant to the 8th amendment of the prospectus, there was no additional reserve fund requirements at closing required by the plan sponsor. In addition, the sponsor has a credit of $10,755 relating to the reserve fund. The sponsor must, however, make supplemental contributions of three percent of the actual sales price (at least $225) of shares sold subsequent to the effective date of the plan and within five years of the closing date (September 13, 1990).

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATE: APRIL 26, 1996

SPONSOR: TJS ASSOCIATES

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

THIRTEENTH AMENDMENT TO OFFERING PLAN
OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, the Tenth Amendment dated May 6, 1992, the Eleventh Amendment dated December 16, 1993, and the Twelfth Amendment dated January 12, 1995 (the "Plan") and should be read in conjunction therewith.

FIRST: UPDATED INFORMATION

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: SHARES OWNED BY THE SPONSOR

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $29,594.80. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $28,729.62.

THIRD: OBLIGATIONS OF SPONSOR UNDER THE PLAN

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the

year prior to the date of filing of this Amendment. With respect to the final payment of the Sponsor's Reserve Fund contribution, the Sponsor was to pay the on the five year anniversary of the Closing Date of the Apartment Corporation the sum of $67,297.50 calculated as follows:

$225 (inside price per share) X 14,955 total shares = $3,364,875.00
$3,364,875.00 X 3% (statutory reserve fund) = $100,946.25 (total reserve fund)
less 1/3 credit at Closing = $33,648.75
Balance of Reserve Fund Payment Due = $67,297.50

However, as disclosed in the Certified Financial Statements of the Apartment Corporation, the Sponsor is owed by the Apartment Corporation the sum of $50,778.00, and as is also disclosed in the Certified Financial Statements of the Apartment Corporation, the Sponsor is entitled to an additional $10,755.00 credit against Reserve Fund payments. Thus, the sum of the foregoing ($61,533.00), plus the sum that the Sponsor has paid to the Apartment Corporation upon the sales of apartments at the Premises ($10,064.52), totals $71,597.52. Accordingly, the net sum owed by the Apartment Corporation to the Sponsor is $4,300.02.

FOURTH: **OTHER NEW YORK STATE PROPERTIES**

Arlyne Goldstein, Herbert Goldsmith and Edwin Wachtel continue to be the principals of Sponsor. Attached hereto as Document No. 2 is a schedule of all offerings of cooperative or condominium interests in New York State which have been made by the principals of the Sponsor, as individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares, and in which said sponsor or holder of unsold shares or units continues to own more than ten (10%) percent of the shares or units. The Offering Plans for these buildings are on file with the Department of Law and are available for public inspection. Except for Ramapo Cirque Homeowners Association, where that sponsor has paid monthly carrying charges for constructed homes but not for vacant lots and for dredging the pond ($8,000.00) at that development, the principals of the Sponsor are current in their financial obligations with respect to the buildings listed in Document No. 2.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: FINANCIAL STATEMENTS

Attached hereto as Document No. 3 are the Financial Statements for the Apartment Corporation for the year ending December 31, 1994 as prepared by Jeffrey Gittleson CPA, PC and the 1995 Financial Statements as prepared by Cavalcante & Company, Certified Public Accountants.

EIGHTH: BOARD OF DIRECTORS

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Lawrence Feinman	Treasurer and Director
Herman Danzig	Vice President and Director
Janusz Wojciechoski	Director
George Kovac	Director
Ilona R. Resnick*	Vice President and Director
Avi Halperin*	Director
Jeanette Ciccone*	Director
James Little*	Director

* Designee of the Sponsor

NINTH: BUDGET AND CURRENT MAINTENANCE CHARGES

The 1996 budget for Crestwood Apartment Owners, Inc. is annexed hereto as Document No. 4. The current maintenance charges are $2.8033 per share per month.

TENTH: DEFINITIONS

All terms used in this Thirteenth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

ELEVENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, and the twelve (12) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

TWELFTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

THIRTEENTH: NO MATERIAL CHANGES

There have been no material changes to the Plan except as set forth in this Thirteenth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES
Sponsor and Holder of Unsold Shares

Dated: New York, New York
April 26, 1996

DOCUMENT NO. 1

THE CRESTWOOD
KEW GARDENS, N.Y.

List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
1E	245
1F	148
1G	208
1M	148
2C	176
2D	227
2E	324
2F	149
2G	209
2H	209
2J	200
2L	294
3A	150
3B	242
3D	228
3E	325
3K	228
3M	150
4B	243
4C	178
4D	229
4E	326
4F	151
4G	211
4H	211
4J	202
4L	296
4M	151

APT. NO.	NO. OF SHARES
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6B	245
6C	180
6D	231
6E	328
6G	213
6H	213
6K	231
6L	298
6M	153
49	10,557

DOCUMENT NO. 2

OTHER NEW YORK STATE OFFERINGS

Edwin Wachtel

Knolls East Condominium IV
Nanuet, New York
File No.:CD95-0081

Ramapo Cirque Homeowner's Association
Ramapo, New York
File No.:H80-0003

DOCUMENT NO. 3

DOCUMENT NO. 4

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

DECEMBER 31, 1994

Crestwood Apartment Owners, Corp.

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JOSEPH A. CAVALCANTE
CERTIFIED PUBLIC ACCOUNTANT

MEMBER
AMERICAN INSTITUTE OF
CERTIFIED PUBLIC ACCOUNTANTS

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8307 FIFTH AVENUE
BROOKLYN, NEW YORK 11209

TEL: (718) 680-5306
FAX: (718) 833-7613

INDEPENDENT AUDITORS' REPORT

To The Board of Directors
and Stockholders of
Crestwood Apartment Owners, Corp.
Queens, New York

I have audited the balance sheet of Crestwood Apartment Owners, Corp. as of December 31, 1994 and the related statement of income, and cash flows for the year then ended. These financial statements are the responsibility of Crestwood Apartment Owners, Corp. management. My responsibility is to express an opinion on these financial statements based on my audit.

I conducted my audit in accordance with generally accepted auditing standards. Those standards require that I plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. I believe that my audit provides a reasonable basis for my opinion.

As discussed in Note 4, Crestwood Apartment Owners, Corp. has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In my opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Corp. as of December 31, 1994, and the results of its operations and cash flows for the year then ended in conformity with generally accepted accounting principles.

May 24, 1995
Brooklyn, New York

Crestwood Apartment Owners, Corp.
Balance Sheet
December 31, 1994

ASSETS

CURRENT ASSETS		
Cash - operating account		$ 6,551
Cash - reserve fund		14,944
Prepaid expenses		1,391
Prepaid real estate taxes		43,143
Stockholder maintenance receivable		26,073
Other stockholder receivables		399
Real estate tax escrow		25,088
TOTAL CURRENT ASSETS		117,589
PROPERTY AND IMPROVEMENTS - Note 2		
Land		588,936
Building		3,337,305
		3,926,241
Less: Accumulated Depreciation		521,987
TOTAL PROPERTY AND IMPROVEMENTS		3,404,254
OTHER ASSETS		
Mortgage modification costs - Net - Note 2		3,693
Utility deposits		1,970
TOTAL OTHER ASSETS		5,663
TOTAL ASSETS		$3,527,506

See auditors' report and accompanying notes.

Crestwood Apartment Owners, Corp.
Balance Sheet
December 31, 1994

LIABILITIES AND STOCKHOLDERS' EQUITY

CURRENT LIABILITIES	
Accounts payable and accrued expenses - Note 6	$ 11,632
Accrued mortgage interest payable	13,042
Due to Sponsor - Note 8	50,778
Security deposits payable	1,380
Mortgage note payable - Note 3	43,247
TOTAL CURRENT LIABILITIES	120,079
NON-CURRENT LIABILITIES	
Mortgage note payable (less current portion) - Note 3	1,695,737
TOTAL LIABILITIES	1,815,816
STOCKHOLDERS' EQUITY	
Common stock, 14,957 shares authorized, issued and outstanding - Note 7	2,126,241
Additional paid in capital	62,840
Accumulated deficit	(477,391)
TOTAL STOCKHOLDERS' EQUITY	1,711,690
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$3,527,506

See auditor's report and accompanying notes.

Crestwood Apartment Owners, Corp.
Statement of Revenues, Expenses and Accumulated Deficit
For the Year Ended December 31, 1994

REVENUES		
Maintenance assessments		$ 503,094
Less: Amount applied to Mortgage amortization		39,538
		463,556
Laundry income		3,461
Late fees		411
Interest income		336
Parking income		9,377
Miscellaneous income		443
	TOTAL REVENUES	477,584
EXPENSES		
Electricity and gas		14,250
Fuel		29,721
Insurance		13,132
Legal fees		11,697
Accounting fees		2,750
Management fees		15,120
Payroll and related costs		63,276
Real estate taxes		88,433
Water and sewer charges		24,761
Miscellaneous expenses		2,989
Repairs and maintenance		19,063
Elevator service contract		4,969
Supplies		6,269
Telephone		1,121
Bank charges		608
NYC parking tax		609
Mortgage interest		158,166
Corporate taxes		2,327
	TOTAL EXPENSES	459,261
Excess of Revenues Over Expenses Before Depreciation and Amortization		18,323
Less: Depreciation and Amortization		122,780
Excess of Expenses Over Revenues		(104,457)
Beginning Accumulated Deficit		(372,934)
Ending Accumulated Deficit		$ (477,391)

See auditors' report and accompanying notes.

Crestwood Apartment Owners, Corp.
Statement of Cash Flows
For The Year Ended December 31, 1994

CASH FLOWS FROM OPERATING ACTIVITIES	
Excess of expenses over revenues	$ (104,457)
Adjustment to reconcile excess of expenses over revenues to net cash provided by operating activities:	
Depreciation and amortization	122,780
(Increase) Decrease In:	
Real estate tax escrow	(2,336)
Prepaid expenses	(449)
Stockholder maintenance receivables	(12,550)
Utility deposits	90
Prepaid real estate taxes	203
Increase (Decrease) In:	
Accounts payable and accrued expenses	(2,213)
Security deposits payable	1,380
NET CASH USED IN OPERATING ACTIVITIES	2,448
CASH FLOWS FROM FINANCING ACTIVITIES	
Principal payments on mortgage	(39,538)
Contributions to capital	44,393
NET CASH PROVIDED BY FINANCING ACTIVITIES	4,855
NET INCREASE IN CASH	7,303
CASH AT BEGINNING OF YEAR	14,192
CASH AT END OF YEAR	$ 21,495
CASH - OPERATING ACCOUNT	$ 6,551
CASH - RESERVE FUND	14,944
	$ 21,495
SUPPLEMENTAL DISCLOSURE	
Income taxes paid	$ 1,321
Interest paid	$ 158,462

See auditors' report and accompanying notes.

Crestwood Apartment Owners, Corp.
Statement of Changes in Stockholders' Equity
December 31, 1994

	Common Stock	Paid-in-Capital	Retained Earnings
Balance - January 1, 1994	$2,126,241	$ 18,447	$(372,934)
Capital contributed	-	44,393	-
Net loss (1994)	-	-	(104,457)
Balance - December 31, 1994	$2,126,241	$ 62,840	$(477,391)

See auditors' report and accompanying notes.

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1994

Note 1 NATURE OF ORGANIZATION

The Corporation was formed October 26, 1988 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York for $3,926,241.

Note 2 SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting
The Corporation's policy is to prepare its financial statements on the accrual basis. Therefore, revenue and related assets are recognized when earned, rather than when received, and expenses are recognized when the obligation is incurred rather than when paid.

Depreciation
The building is being depreciated using the straight-line method over an estimated useful life of 27.5 years from September 13, 1990.

Maintenance Assessments
Stockholders are subject to monthly assessments to provide funds for the Corporation's operating expenses and repairs and replacements. As of December 31, 1994 annual maintenance charges were $33.64 per share. Any excess assessments at year-end are retained by the Corporation for use in future years.

Income Taxes
The Corporation files a U.S. Corporate Income Tax return. New York State franchise taxes are based on the special cooperative rate of .04% multiplied by the average fair market value of the property.

The Corporation had net operating loss carryforwards of approximately $477,250 in 1994 to apply against future taxable income, if any.

Mortgage Modification Costs
On July 15, 1993 the Corporation modified its mortgage and incurred modification costs amounting to $7,180 which are being amortized over an 8 year period.

Mortgage modification costs	$ 7,180
Less: Accumulated amortization	3,487
Net mortgage modification costs	$ 3,693

Note 3 MORTGAGE NOTE PAYABLE

Dime Savings Bank, 9% per annum, payable in monthly installments of $16,500 including principal and interest. A balloon payment is due at maturity on September 13, 1995, with an option to extend to September 12, 1998, at an interest rate of 3% above the 3 year treasury bill index provided there is no default on loan	$1,738,984
Current portion	43,247
Long-term debt	$1,695,737

Note 4 FUTURE MAJOR REPAIRS AND REPLACEMENTS

Effective September 1, 1991, the American Institute of Certified Public Accountants issued an audit and accounting guide which requires that a cooperative housing corporation, along with other common interest realty associations, include in their financial statements, as supplementary information, data about major repairs and replacements. The information should include:

Estimates of the remaining useful lives of the components (roofing, siding, pavements, major equipment, etc.).

Estimates of replacement costs, including methods used and assumptions, if any.

Amount of funds accumulated, if any, for each component.

The Corporation's governing documents do not require the accumulation of funds to finance estimated future repairs and replacements. The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future. When funds are required to meet future needs for major repairs and replacements, the Corporation plans to use the reserve fund, borrow, increase maintenance assessments or delay repairs and replacements until funds are available.

The AICPA's audit and accounting guide's requirement will be taken under advisement at each of the Corporation's annual meetings.

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1994

Note 8 DUE TO SPONSOR

Represents payments made by the plan sponsor on behalf of the Corporation for certain closing adjustments. The amount is non-interest bearing.

Note 9 RESERVE FUND

Pursuant to the 8th amendment of the prospectus, there was no additional reserve fund requirements at closing required by the plan sponsor. In addition, the Sponsor has a credit of $10,755 relating to the reserve fund. The Sponsor, must, however, make supplemental contributions of three percent of the actual sales price (at least $225) of shares sold subsequent to the effective date of the plan and within five years of the closing date (September 13, 1990).

CRESTWOOD APARTMENT OWNERS CORP.

1995 PRELIMINARY BUDGET

	Actual 01/01/94 to 10/31/94	Estimated 11/01/94 to 12/31/94	Total Expected Income Expense	Budget 1995
INCOME:				
Maintenance Fees	$405599.	$ 83448.	$489047.	$502555.
Late Fees	461.	---	461.	250.
Interest Income	---	---	---	250.
Parking Fees	7281.	1350.	8631.	8100.
Laundry Income	2711.	500.	3211.	3000.
Other Income	275.	---	275.	200.
Total Income:	$416327.	$ 85298.	$501625.	$514555.
EXPENSES:				
1. Mortgage	$260213.	$ 53114.	$313327.	$318684.
Mgmt Fees	12672.	2448.	15120.	14688.
Payroll & Taxes	47709.	7100.	54809.	58000.
Employee Benefits	4080.	380.	4460.	8650.
Work. Comp./DBL	2965.	---	2965.	3800.
Oil Heat	25274.	5000.	30274.	32100.
Gas Heat	765.	128.	893.	950.
Electricity	8979.	1496.	10475.	11100.
Repair & Maint.	14923.	1000.	15923.	14500.
Janitor Supplies	5865.	1000.	6865.	7300.
Elevator Contract	5006.	822.	5828.	4935.
Exterminator	920.	108.	1028.	650.
Administrative	1860.	200.	2060.	2000.
Licens. & Permits	1018.	150.	1068.	1200.
Legal	7132.	450.	8934.	6500.
Accounting	3405.	---	3405.	3000.
Insurance	13538.	---	13538.	14000.
Corporate Taxes	1379.	121.	1500.	1500.
Miscellaneous	648.	100.	748.	750.
Contingency	---	---	---	10047.
Total Expenses:	$418351.	$ 73617.	$493220.	$514555.
Net Income / Loss	<$ 2024.>	$ 11681.	$ 8405.	0.

1. Mortgage Payment includes escrow for taxes, water and sewer

BUDGET NOTES

INCOME:

1. Maintenance fees - based on $33.60 per share for 14,957 shares totaling $502,555.20

2. Late fees - although we have not collected $431. to date we feel $250. is a good estimate for 1995.

3. Interest Income - no need to adjust $250.

4. Parking Income - based on $675. per month billing (675 x 12 = $8100.)

5. Laundry Income - based on current $250. per month (250 x 12 - $3000.)

6. Other Income - includes but not limited to sublease income $250.

EXPENSES:

1. Mortgage - payment includes escrow for Real Estate Taxes and Water and Sewer. Monthly payment as of 11/01/94 is $26,557.

2. Management fees - based on $1224. per month for one full year (1224 x 12 = $14,688.)

3. Payroll services and taxes - includes payroll for superintendent $500. per week and porter $462. per week plus ADP (with tax filing) approximately $11. per week plus extras and payroll taxes as follows:

Superintendent	$26,000.
Porter	24,024.
Payroll Taxes	5,500.
Overtime	2,000.
ADP (with tax filing)	700.
Total Payroll & Expense	$58,224.

4. Employee benefits - Health Insurance paid by the coop for employees $150. per single employee and $490. per employee with family, monthly. We have assumed that the coop is covering John Engel and have assumed that rate will increase by approximately 6% (six percent):

Sam Brown	$ 2,280.
John Engel	5,880.
Total	$ 8,160 + $490. (6%) = $8,650.

5. Workers Compensation - in October 1994 the worker compensation board has raised the experience modification amounts across the board. We are however, investigating other ways of reducing workers compensation costs, including safety groups. We have budgeted with a $835. increase over actual or $3,800. We will adjust if needed.

6. Oil heat - based on 6% increase over 1994 estimated actual total $32,090.

7. Gas heat - based on 6% increase over 1994 estimated actual total $950.

8. Electricity - based on 6% increase over 1994 estimated actual total $11,100.

9. Repair and maintenance - superintendent now performs many repairs that used to require outside contractors. He should save the coop on repairs and maintenance - $14,500.

10. Janitor supplies - based on estimated actual ($6,865.) plus 6% ($412.) total $7,277.

11. Elevator service contracts - $411.20 per month total $4,935.

12. Exterminator - $54.00 per month total $648.

13. Administrative expenses - include faxes, special mailing, copies, telephone, beepers, supplies etc. total $1,500.

14. Licenses & permits - assumes 3% increase over estimated actual total $1,200.

15. Legal - assumes $450. per month retainer ($5,400. annual) plus contingency for unforeseen legal action ($1,100.) for total budget of $6,500.

16. Accounting - based on quotations from CPA's $3,000.

17. Insurance - at this time we are still shopping insurance policy to reduce cost. Until we receive quotations we must assume no decrease - $14,000.

18. Corporate taxes - based on 1993 tax of $1,500.

19. Miscellaneous - budget $750. for other expenses.

20. Contingency - we have set a contingency for unforeseen expenses in the amount of $10,047.00

CRESTWOOD APARTMENT OWNERS, CORP.
(A Cooperative Housing Corporation)

FINANCIAL STATEMENTS

DECEMBER 31, 1995

Crestwood Apartment Owners, Corp.

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CAVALCANTE & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS

6804 FOURTH AVENUE
BROOKLYN, NY 11209

Joseph A. Cavalcante CPA
Samuel A. Sherr CPA

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Telefax (718) 833-7610

INDEPENDENT AUDITORS' REPORT

To The Board of Directors
and Stockholders of
Crestwood Apartment Owners, Corp.
Queens, New York

We have audited the balance sheet of Crestwood Apartment Owners, Corp. as of December 31, 1995 and the related statement of income, cash flows and changes in stockholders' equity for the year then ended. These financial statements are the responsibility of Crestwood Apartment Owners, Corp. management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As discussed in Note 4, Crestwood Apartment Owners, Corp. has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Corp. as of December 31, 1995, and the results of its operations and cash flows for the year then ended in conformity with generally accepted accounting principles.

February 28, 1996
Brooklyn, New York

MEMBER
AMERICAN INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS • NEW YORK STATE SOCIETY OF CERTIFIED PUBLIC ACCOUNTANTS

Crestwood Apartment Owners, Corp.
Balance Sheet
December 31, 1995

ASSETS

CURRENT ASSETS		
Cash - operating account		$ 9,332
Cash - reserve fund		52,839
Prepaid expenses		3,102
Prepaid real estate taxes		20,121
Stockholder maintenance receivable - Note 2F		37,081
Other stockholder receivables		694
Real estate tax escrow		23,443
TOTAL CURRENT ASSETS		146,602
PROPERTY AND IMPROVEMENTS - Note 2B		
Land		588,936
Building		3,337,305
		3,926,241
Less: Accumulated Depreciation		643,331
TOTAL PROPERTY AND IMPROVEMENTS		3,282,910
OTHER ASSETS		
Mortgage modification costs - Net - Note 2E		2,257
Utility deposits		1,760
TOTAL OTHER ASSETS		4,017
TOTAL ASSETS		$3,433,529

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Balance Sheet
December 31, 1995

LIABILITIES AND STOCKHOLDERS' EQUITY

CURRENT LIABILITIES	
Accounts payable and accrued expenses - Note 6	$ 19,020
Accrued mortgage interest payable	13,082
Due to Sponsor - Note 7	50,778
Security deposits payable	1,380
Mortgage note payable - Note 3	43,012
TOTAL CURRENT LIABILITIES	127,272
NON-CURRENT LIABILITIES	
Mortgage note payable (less current portion) - Note 3	1,654,163
TOTAL LIABILITIES	1,781,435
STOCKHOLDERS' EQUITY	
Common stock, 14,957 shares authorized, issued and outstanding	2,126,241
Additional paid in capital	108,256
Accumulated deficit	(582,403)
TOTAL STOCKHOLDERS' EQUITY	1,652,094
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$3,433,529

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statement of Revenues, Expenses and Accumulated Deficit
For the Year Ended December 31, 1995

REVENUES	
Maintenance assessments	$ 503,154
Less: Amount applied to mortgage amortization	41,809
	461,345
Laundry income	3,000
Parking income	8,067
Interest income	539
Other income	390
TOTAL REVENUES	473,341
EXPENSES	
Electricity and gas	12,221
Fuel	26,444
Insurance	14,954
Legal fees	14,581
Accounting fees	2,750
Management fees	14,688
Payroll and related costs	71,110
Real estate taxes	83,384
Water and sewer charges	25,998
Miscellaneous expenses	216
Repairs and maintenance	15,855
Elevator service contract	5,029
Supplies	5,965
Office and administrative	4,179
Bank charges	198
Licenses, permits and violations	1,119
Mortgage interest	156,231
Corporate taxes	1,251
TOTAL EXPENSES	455,573
Excess of Revenues Over Expenses Before Depreciation and Amortization	17,768
Less: Depreciation and Amortization	122,780
Excess of Expenses Over Revenues	(105,012)
Beginning Accumulated Deficit	(477,391)
Ending Accumulated Deficit	$ (582,403)

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statement of Cash Flows
For The Year Ended December 31, 1995

CASH FLOWS FROM OPERATING ACTIVITIES	
Excess of expenses over revenues	$ (105,012)
Adjustment to reconcile excess of expenses over revenues to net cash provided by operating activities:	
Depreciation and amortization	122,780
(Increase) Decrease In:	
Real estate tax escrow	1,645
Prepaid expenses	(1,711)
Stockholder maintenance receivables	(11,008)
Utility deposits	210
Prepaid real estate taxes	23,022
Other receivables	(295)
Increase (Decrease) In:	
Accounts payable and accrued expenses	7,428
NET CASH PROVIDED BY OPERATING ACTIVITIES	37,059
CASH FLOWS FROM FINANCING ACTIVITIES	
Principal payments on mortgage	(41,809)
Contributions to capital	45,416
NET CASH PROVIDED BY FINANCING ACTIVITIES	3,607
NET INCREASE IN CASH	40,666
CASH AT BEGINNING OF YEAR	21,495
CASH AT END OF YEAR	$ 62,161
CASH - OPERATING ACCOUNT	$ 9,322
CASH - RESERVE FUND	52,839
	$ 62,161
SUPPLEMENTAL DISCLOSURE	
Income taxes paid	$ 2,568
Interest paid	$ 156,195

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statement of Changes in Stockholders' Equity
December 31, 1995

	Common Stock	Paid-in-Capital	Retained Earnings
Balance - January 1, 1995	$2,126,241	$ 62,840	$(477,391)
Capital contributed	-	45,416	-
Net loss (1995)	-	-	(105,012)
Balance - December 31, 1995	$2,126,241	$108,256	$(582,403)

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1995

Note 1 NATURE OF ORGANIZATION

The Corporation was formed October 26, 1988 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York for $3,926,241.

Note 2 SIGNIFICANT ACCOUNTING POLICIES

A) Basis of Accounting
The Corporation's policy is to prepare its financial statements on the accrual basis. Therefore, revenue and related assets are recognized when earned, rather than when received, and expenses are recognized when the obligation is incurred rather than when paid.

B) Depreciation
The building is being depreciated using the straight-line method over an estimated useful life of 27.5 years from September 13, 1990.

C) Maintenance Assessments
Stockholders are subject to monthly assessments to provide funds for the Corporation's operating expenses and repairs and replacements. As of December 31, 1994 annual maintenance charges were $33.64 per share. Any excess assessments at year-end are retained by the Corporation for use in future years.

D) Income Taxes
The Corporation files a U.S. Corporate Income Tax return. New York State franchise taxes and New York City general corporation taxes are based on the special cooperative rate of .04% multiplied by the average fair market value of the property, promulgated by the N.Y.C. Department of Finance Notice of Assessment and Fair Market Value.

The Corporation had net operating loss carryforwards of approximately $582,000 in 1995 to apply against future taxable income, if any.

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1995

Note 2 SIGNIFICANT ACCOUNTING POLICIES (con't.)

E) Mortgage Modification Costs
On July 15, 1993 the Corporation modified its mortgage and incurred modification costs amounting to $7,180 which are being amortized over a 5 year period.

Mortgage modification costs	$ 7,180
Less: Accumulated amortization	4,923
Net mortgage modification costs	$ 2,257

F) Sponsor Owned Shares
As of the date of these financial statements, the Sponsor owned 10,497 shares of the total 14,957 shares. In addition, the Sponsor owes the Corporation approximately $33,500 in maintenance assessments at December 31, 1995. However, as explained in Note 7, the Corporation owes the Sponsor $50,778 for initial plan closing adjustments.

Note 3 MORTGAGE NOTE PAYABLE

The Corporation elected to extend its current mortgage with Dime Savings Bank for an additional three years at an interest rate of 9.25% per annum. Monthly payments for principal and interest are $16,500 plus $9,317 escrowed for real estate taxes and water and sewer charges. The mortgage note comes due on September 12, 1998, at which time the then remaining principal balance is due. The Corporation may seek refinancing of the mortgage note prior to its maturity.

Balance due at December 31, 1995	$1,697,175
Current portion	43,012
Long-term portion	$1,654,163

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1995

Note 4 FUTURE MAJOR REPAIRS AND REPLACEMENTS

Effective September 1, 1991, the American Institute of Certified Public Accountants issued an audit and accounting guide which requires that a cooperative housing corporation, along with other common interest realty associations, include in their financial statements, as supplementary information, data about major repairs and replacements. The information should include:

Estimates of the remaining useful lives of the components (roofing, siding, pavements, major equipment, etc.).

Estimates of replacement costs, including methods used and assumptions, if any.

Amount of funds accumulated, if any, for each component.

The Corporation's governing documents do not require the accumulation of funds to finance estimated future repairs and replacements. The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future. When funds are required to meet future needs for major repairs and replacements, the Corporation plans to use the reserve fund, borrow, increase maintenance assessments or delay repairs and replacements until funds are available.

The AICPA's audit and accounting guide's requirement will be taken under advisement at each of the Corporation's annual meetings.

Note 5 COMMITMENTS AND CONTINGENCIES

The Internal Revenue Service has taken the position that real estate cooperatives are subject to Section 277 of the Internal Revenue Code.

Section 277 of the Code provides that a membership organization that is operated to provide services to members is permitted to deduct expenses attributable to the furnishing of services to the members only to the extent of the income derived during such year from its members. Section 277 permits a membership organization to reduce income from non-membership sources only by expenses incurred in generating this income. Accordingly, income from non-membership sources such as interest, commercial rental, professional apartment rental, etc., in excess of expenses properly attributable thereto, may be subject to

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1995

Note 5 COMMITMENTS AND CONTINGENCIES (con't.)

federal tax. New York State has taken a similar position on the aforementioned basis. Any income tax liability that may result from the aforementioned is not reflected in the financial statements. If the position of the Internal Revenue Service is sustained by the courts, such liability will be reflected in future financial statements.

Real Estate Taxes
In the current period, the Corporation was awarded a J-51 real estate tax abatement issued by the N.Y.C. Department of Housing Preservation Development. Real estate taxes will be reduced by approximately $13,500 per year until approximately the year 2006. Legal fees pertaining to the J-51 application were $7,705.97 and were paid in the current period.

Note 6 ACCOUNTS PAYABLE AND ACCRUED EXPENSES

Accounts payable and accrued expenses consist of the following:

Exterminator	$ 108
Fuel oil	5,731
Repairs	7,041
Legal and professional	1,100
Accounting	2,750
Taxes	516
Miscellaneous	38
Supplies	1,205
Elevator	422
Electric	109
	$ 19,020

Note 7 DUE TO SPONSOR

Represents payments made by the plan sponsor on behalf of the Corporation for certain closing adjustments. The amount owed to the Sponsor is $50,778 and is non-interest bearing.

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1995

Note 8 RESERVE FUND

Pursuant to the 8th amendment of the prospectus, there was no additional reserve fund requirements at closing required by the plan sponsor. In addition, the Sponsor has a credit of $10,755 relating to the reserve fund. The Sponsor, must, however, make supplemental contributions of three percent of the actual sales price (at least $225) of shares sold subsequent to the effective date of the plan and within five years of the closing date (September 13, 1990). In the current period, the Sponsor contributed $3,607 to the Corporation.

THE CRESTWOOD APARTMENT OWNERS CORP. BUDGET 1996

THE CRESTWOOD APT.	BUDGET 12 MONTHS	ACTUAL 11 MONTHS	PROJECTED 1 MONTHS	ACTUAL PLUS	BUDGET
	1995	1/1/95-11/30/95	12/1/95-12/31/95	TOTAL PROJECTED	1996
INCOME					
MAINTENANCE FEES	502,555.00	451,492.00	41,880.00	493,372.00	502,555.00
GARAGE FEES	8,100.00	7,200.00	675.00	7,875.00	8,100.00
INTEREST	250.00	410.00	35.00	445.00	500.00
LATE FEES	250.00	0.00	0.00	0.00	0.00
LAUNDRY	3,000.00	3,000.00	250.00	3,250.00	3,000.00
OTHER INCOME	200.00	310.00	0.00	310.00	300.00
TOTAL INCOME	514,355.00	462,412.00	42,840.00	505,252.00	514,455.00
EXPENSES					
MORTGAGE	318,684.00	290,647.00	25,817.00	316,464.00	309,804.00
MANAGEMENT FEES	14,688.00	13,464.00	1,224.00	14,688.00	14,688.00
PAYROLL & TAXES	58,000.00	54,545.00	5,000.00	59,545.00	60,000.00
EMPLOYEE BENEFITS	8,650.00	7,090.00	690.00	7,780.00	8,280.00
WORKERS COMPENS.	3,800.00	2,475.00	0.00	2,475.00	2,500.00
OIL HEAT	32,100.00	21,891.00	5,731.00	27,622.00	32,100.00
GAS	950.00	870.00	80.00	950.00	950.00
ELECTRICITY	11,100.00	10,400.00	945.00	11,345.00	11,500.00
REPAIR AND MAINTENANCE	14,500.00	7,795.00	750.00	8,545.00	15,000.00
LANDSCAPING	0.00	271.00	0.00	271.00	2,400.00
ELEVATOR CONTRACT	4,935.00	4,185.00	422.00	4,607.00	4,607.00
EXTERMINATOR	650.00	1,489.00	108.00	1,597.00	1,296.00
SUPPLIES	7,300.00	8,410.00	750.00	9,160.00	9,200.00
ADMINISTRATIVE	2,000.00	1,629.00	200.00	1,829.00	2,000.00
LICENSES AND PERMITS	1,200.00	1,956.00	0.00	1,956.00	1,900.00
LEGAL	6,500.00	13,981.00	950.00	14,931.00	6,500.00
ACCOUNTING	3,000.00	2,750.00	0.00	2,750.00	2,750.00
PROFESSIONAL - J51	0.00	1,119.00	0.00	1,119.00	0.00
INSURANCE	14,000.00	15,134.00	0.00	15,134.00	15,500.00
CORPORATE TAX	1,500.00	1,911.00	0.00	1,911.00	1,900.00
MISCELLANEOUS	750.00	0.00	0.00	0.00	0.00
CONTINGENCY	10,048.00	0.00	0.00	0.00	11,580.00
TOTAL EXPENSES	514,355.00	462,012.00	42,667.00	504,679.00	514,455.00
NET INCOME/LOSS	0.00	400.00	173.00	573.00	0.00

DOCUMENT NO. 4

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATE:	JUNE 6, 1997
SPONSOR:	TJS ASSOCIATES
APARTMENT CORPORATION:	CRESTWOOD APARTMENT OWNERS CORP.

FOURTEENTH AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, the Tenth Amendment dated May 6, 1992, the Eleventh Amendment dated December 16, 1993, the Twelfth Amendment dated January 12, 1995, and the Thirteenth Amendment dated April 26, 1996 (the "Plan") and should be read in conjunction therewith.

FIRST: UPDATED INFORMATION

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: SHARES OWNED BY THE SPONSOR

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $27,666.11. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $26,905.64 excluding vacancies.

THIRD: OBLIGATIONS OF SPONSOR UNDER THE PLAN

The Sponsor is current on all financial obligations under the Offering Plan, including, but

not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: OTHER NEW YORK STATE PROPERTIES

Arlyne Goldstein, Herbert Goldsmith and Edwin Wachtel continue to be the principals of Sponsor. Attached hereto as Document No. 2 is a schedule of all offerings of cooperative or condominium interests in New York State which have been made by the principals of the Sponsor, as individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares, and in which said sponsor or holder of unsold shares or units continues to own more than ten (10%) percent of the shares or units. The Offering Plans for these buildings are on file with the Department of Law and are available for public inspection. The principals of the Sponsor are current in their financial obligations with respect to the buildings listed in Document No. 2.

FIFTH: FUNDING OF DEFICITS

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: FINANCING OF UNSOLD SHARES

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: FINANCIAL STATEMENTS

Attached hereto as Document No. 3 is the Financial Statements for the Apartment Corporation for the year ending December 31, 1995 as prepared by Jeffrey Gittleson CPA, PC. The 1996 Financial Statements are not available as of the submission of this Amendment to the Department of Law.

EIGHTH: BOARD OF DIRECTORS

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Lawrence Feinman	Treasurer and Director
Herman Danzig	Vice President and Director
Janusz Wojciechoski	Director
George Kovac	Director
Ilona R. Resnick*	Vice President and Director
Avi Halperin*	Director
Jeanette Ciccone*	Director
James Little*	Director

* Designee of the Sponsor

NINTH: **BUDGET AND CURRENT MAINTENANCE CHARGES**

The 1996 budget for Crestwood Apartment Owners, Inc. is annexed hereto as Document No. 4. The current maintenance charges are $2.8033 per share per month.

TENTH: **DEFINITIONS**

All terms used in this Fourteenth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

ELEVENTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the thirteen (13) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

TWELFTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

THIRTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Thirteenth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES
Sponsor and Holder of Unsold Shares

Dated: New York, New York
June 6, 1997

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.

List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
1E	245
1F	148
1G	208
2D	227
2E	324
2F	149
2G	209
2H	209
2J	200
2L	294
3A	150
3B	242
3D	228
3E	325
3K	228
3M	150
4B	243
4C	178
4D	229
4E	326
4F	151
4G	211
4J	202
4L	296
4M	151
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6B	245
6C	180
6D	231
6E	328
6G	213
6H	213
6K	231
6L	298
45	9,869

DOCUMENT NO. 2

OTHER NEW YORK STATE OFFERINGS

Edwin Wachtel	Knolls East Condominium IV Nanuet, New York File No.:CD95-0081
	Ramapo Cirque Homeowner's Association Ramapo, New York File No.:H80-0003

DOCUMENT NO. 3

CRESTWOOD APARTMENT OWNERS, CORP.
(A Cooperative Housing Corporation)

FINANCIAL STATEMENTS

DECEMBER 31, 1995

Crestwood Apartment Owners, Corp.

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Balance Sheet: Liabilities and Stockholders' Equity 3

Statement of Revenues, Expenses and Accumulated Deficit 4

Statement of Cash Flows 5

Statement of Changes in Stockholders' Equity 6

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CAVALCANTE & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS

8804 FOURTH AVENUE
BROOKLYN, NY 11209

Joseph A. Cavalcante, CPA
Steven A. Shorr, CPA

Telephone: (718) 680-5300
Telefax: (718) 833-7613

INDEPENDENT AUDITORS' REPORT

To The Board of Directors
and Stockholders of
Crestwood Apartment Owners, Corp.
Queens, New York

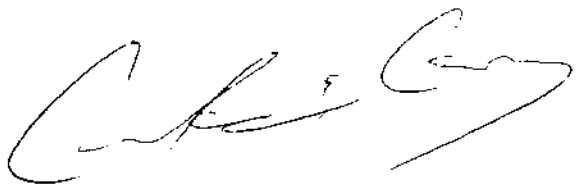
We have audited the balance sheet of Crestwood Apartment Owners, Corp. as of December 31, 1995 and the related statement of income, cash flows and changes in stockholders' equity for the year then ended. These financial statements are the responsibility of Crestwood Apartment Owners, Corp. management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As discussed in Note 4, Crestwood Apartment Owners, Corp. has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Corp. as of December 31, 1995, and the results of its operations and cash flows for the year then ended in conformity with generally accepted accounting principles.

February 28, 1996
Brooklyn, New York



MEMBER
AMERICAN INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS • NEW YORK STATE SOCIETY OF CERTIFIED PUBLIC ACCOUNTANTS

Crestwood Apartment Owners, Corp.
Balance Sheet
December 31, 1995

ASSETS

CURRENT ASSETS	
Cash - operating account	$ 9,322
Cash - reserve fund	52,839
Prepaid expenses	3,102
Prepaid real estate taxes	20,121
Stockholder maintenance receivable - Note 2F	37,081
Other stockholder receivables	694
Real estate tax escrow	23,443
TOTAL CURRENT ASSETS	146,602
PROPERTY AND IMPROVEMENTS - Note 2B	
Land	588,936
Building	3,337,305
	3,926,241
Less: Accumulated Depreciation	643,331
TOTAL PROPERTY AND IMPROVEMENTS	3,282,910
OTHER ASSETS	
Mortgage modification costs - Net - Note 2E	2,257
Utility deposits	1,760
TOTAL OTHER ASSETS	4,017
TOTAL ASSETS	$3,433,529

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Balance Sheet
December 31, 1995

LIABILITIES AND STOCKHOLDERS' EQUITY

CURRENT LIABILITIES	
Accounts payable and accrued expenses - Note 6	$ 19,020
Accrued mortgage interest payable	13,082
Due to Sponsor - Note 7	50,778
Security deposits payable	1,380
Mortgage note payable - Note 3	43,012
TOTAL CURRENT LIABILITIES	127,272
NON-CURRENT LIABILITIES	
Mortgage note payable (less current portion) - Note 3	1,654,163
TOTAL LIABILITIES	1,781,435
STOCKHOLDERS' EQUITY	
Common stock, 14,957 shares authorized, issued and outstanding	2,126,241
Additional paid in capital	108,256
Accumulated deficit	(582,403)
TOTAL STOCKHOLDERS' EQUITY	1,652,094
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$3,433,529

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statement of Revenues, Expenses and Accumulated Deficit
For the Year Ended December 31, 1995

REVENUES	
Maintenance assessments	$ 503,154
Less: Amount applied to mortgage amortization	41,809
	461,345
Laundry income	3,000
Parking income	8,067
Interest income	539
Other income	390
TOTAL REVENUES	473,341
EXPENSES	
Electricity and gas	12,221
Fuel	26,444
Insurance	14,354
Legal fees	14,581
Accounting fees	2,750
Management fees	14,688
Payroll and related costs	71,110
Real estate taxes	83,384
Water and sewer charges	25,998
Miscellaneous expenses	216
Repairs and maintenance	15,855
Elevator service contract	5,029
Supplies	5,965
Office and administrative	4,179
Bank charges	198
Licenses, permits and violations	1,119
Mortgage interest	156,231
Corporate taxes	1,251
TOTAL EXPENSES	455,573
Excess of Revenues Over Expenses Before Depreciation and Amortization	17,768
Less: Depreciation and Amortization	122,780
Excess of Expenses Over Revenues	(105,012)
Beginning Accumulated Deficit	(477,391)
Ending Accumulated Deficit	$ (582,403)

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statement of Cash Flows
For The Year Ended December 31, 1995

CASH FLOWS FROM OPERATING ACTIVITIES	
Excess of expenses over revenues	$ (105,012)
Adjustment to reconcile excess of expenses over revenues to net cash provided by operating activities:	
Depreciation and amortization	122,780
(Increase) Decrease In:	
Real estate tax escrow	1,645
Prepaid expenses	(1,711)
Stockholder maintenance receivables	(11,008)
Utility deposits	210
Prepaid real estate taxes	23,022
Other receivables	(295)
Increase (Decrease) In:	
Accounts payable and accrued expenses	7,428
NET CASH PROVIDED BY OPERATING ACTIVITIES	37,059
CASH FLOWS FROM FINANCING ACTIVITIES	
Principal payments on mortgage	(41,809)
Contributions to capital	45,416
NET CASH PROVIDED BY FINANCING ACTIVITIES	3,607
NET INCREASE IN CASH	40,666
CASH AT BEGINNING OF YEAR	21,495
CASH AT END OF YEAR	$ 62,161
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December 31, 1995

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December 31, 1995

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Current portion	43,012
Long-term portion	$1,654,163

Note 4 FUTURE MAJOR REPAIRS AND REPLACEMENTS

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Estimates of replacement costs, including methods used and assumptions, if any.

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The Corporation's governing documents do not require the accumulation of funds to finance estimated future repairs and replacements. The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future. When funds are required to meet future needs for major repairs and replacements, the Corporation plans to use the reserve fund, borrow, increase maintenance assessments or delay repairs and replacements until funds are available.

The AICPA's audit and accounting guide's requirement will be taken under advisement at each of the Corporation's annual meetings.

Note 5 COMMITMENTS AND CONTINGENCIES

The Internal Revenue Service has taken the position that real estate cooperatives are subject to Section 277 of the Internal Revenue Code.

Section 277 of the Code provides that a membership organization that is operated to provide services to members is permitted to deduct expenses attributable to the furnishing of services to the members only to the extent of the income derived during such year from its members. Section 277 permits a membership organization to reduce income from non-membership sources only by expenses incurred in generating this income. Accordingly, income from non-membership sources such as interest, commercial rental, professional apartment rental, etc., in excess of expenses properly attributable thereto, may be subject to

Note 5 COMMITMENTS AND CONTINGENCIES (con't.)

federal tax. New York State has taken a similar position on the aforementioned basis. Any income tax liability that may result from the aforementioned is not reflected in the financial statements. If the position of the Internal Revenue Service is sustained by the courts, such liability will be reflected in future financial statements.

Real Estate Taxes

In the current period, the Corporation was awarded a J-51 real estate tax abatement issued by the N.Y.C. Department of Housing Preservation Development. Real estate taxes will be reduced by approximately $13,500 per year until approximately the year 2006. Legal fees pertaining to the J-51 application were $7,705.97 and were paid in the current period.

Note 6 ACCOUNTS PAYABLE AND ACCRUED EXPENSES

Accounts payable and accrued expenses consist of the following:

Exterminator	$ 108
Fuel oil	5,731
Repairs	7,041
Legal and professional	1,100
Accounting	2,750
Taxes	516
Miscellaneous	38
Supplies	1,205
Elevator	422
Electric	109
	$ 19,020

Note 7 DUE TO SPONSOR

Represents payments made by the plan sponsor on behalf of the Corporation for certain closing adjustments. The amount owed to the Sponsor is $50,778 and is non-interest bearing.

Note 8 RESERVE FUND

Pursuant to the 8th amendment of the prospectus, there was no additional reserve fund requirements at closing required by the plan sponsor. In addition, the Sponsor has a credit of $10,755 relating to the reserve fund. The Sponsor, must, however, make supplemental contributions of three percent of the actual sales price (at least $225) of shares sold subsequent to the effective date of the plan and within five years of the closing date (September 13, 1990). In the current period, the Sponsor contributed $3,607 to the Corporation.

DOCUMENT NO. 4

THE CRESTWOOD APARTMENT OWNERS CORP. BUDGET 1996

CRESTWOOD APT.	BUDGET 1996	ACTUAL 1996	BUDGET 1997
INCOME			
MAINTENANCE FEES	502,555.00	502540.00	502555.00
GARAGE FEES	8,100.00	8326.00	8100.00
INTEREST	500.00	1402.00	1400.00
LATE FEES	0.00	375.00	400.00
LAUNDRY	3000.00	3250.00	3000.00
OTHER INCOME	300.00	440.00	500.00
TOTAL INCOME	514,455.00	516,333.00	515,955.00
EXPENSES			
MORTGAGE	309,864.00	309492.00	312072.00
MANAGEMENT FEES	14,688.00	14562.00	16152.00
PAYROLL & TAXES	70,000.00	70385.00	70000.00
PAYROLL ADMINISTRATION	0.00	657.00	700.00
EMPLOYEE BENEFITS	8,260.00	8515.00	8520.00
WORKERS COMPENS.	2,500.00	1441.00	2000.00
OIL HEAT	32,100.00	35395.00	42000.00
GAS	950.00	962.00	1050.00
ELECTRICITY	11,500.00	11860.00	12100.00
REPAIR AND MAINTENANCE	12,000.00	12546.00	11500.00
LANDSCAPING	2,400.00	500.00	0.00
ELEVATOR CONTRACT	4,607.00	5367.00	5211.00
EXTERMINATOR	1,256.00	1661.00	1513.00
SUPPLIES	5,200.00	5793.00	6000.00
ADMINISTRATIVE	2,000.00	1378.00	1500.00
LICENSES AND PERMITS	1,900.00	1014.00	1500.00
LEGAL	8,500.00	8729.00	3500.00
ARCHITECHT	0.00	600.00	0.00
ACCOUNTING	2,750.00	2750.00	2750.00
INSURANCE	15,500.00	5923.00	16000.00
CORPORATE TAX	1,960.00	0.00	1500.00
CONTINGENCY	11,540.00	0.00	387.00
TOTAL EXPENSES	514,455.00	499,530.00	515,955.00
NET INCOME/LOSS	0.00	16,803.00	0.00

11. Elevator service contract - $434.25 per month total $5,211.

12. Exterminator - $126.00 per month total $ 1,513.

13. Insurance - Actual amount does not include January 1997 payment of $ 10,527, which was due @ 12/31/96. budget amount based on renewal quotation of current carrier.

BUDGET NOTES

INCOME:

1. Maintenance fees - Based on $33.60 per share for 14,957 shares totaling $502,555.20

2. Garage Fees - based on $675. per month billing (675 x 12 = $8100.)

5. Laundry Income - based on current $250. per month (250 x 12 - $3000.)

6. Other Income - includes but not limited to sublease income $250.

EXPENSES:

1. Mortgage - payment includes escrow for Real Estate Taxes and Water and Sewer. Monthly payment as of 01/01/97 is $26,006 x 12 = 312,072.

2. Management fees - 1996 actual payments were short 1 payment in October 1996. This amount was reimbursed in March 1997. Budget based on $1346. per month for one full year (1346 x 12 = $16,152.)

3. Payroll and taxes - Actual amounts for 1996 were as follows:

Superintendent	$32,853.97
Porter	31,501.79
Payroll Taxes	6,029.00
Total Payroll & Taxes	$70,385.00

Salaries include bonuses at year end for each employee.
We have budgeted for no increase in salaries and taxes for 1997.

4. Employee benefits - Based on current monthly payment for 1 individual plan and 1 family plan in the amount of $ 710.00 x 12= $ 8,520.00

5. Workers Compensation - Management has enrolled the building in its ABO Safety Group Plan. This plan continues the current policy with The State Insurance Fund, but offers a year end dividend based on the group's experience rating for claims. The last two dividends issued by the group were 42% and 51% respectively. We have conservatively budgeted for a 30% dividend.

6. Oil heat - Based on 1996 actual plus increased oil heating rates of 15%-20%.

7. Gas - based on 1996 actual plus contingency for increasde.

8. Electricity - based on 1996 actual plus contingency for increase.

9. Repair and maintenance - Actual amount for 1996 includes $7,872.17 for boiler repairs. The board is currently making a decision regarding the boiler. Budget amount for 1997 assumes the boiler not being replaced and repairs to be needed.

10. Janitor supplies - Management was able to reduce the purchase of supplies by 30% in 1996. 1997 budget includes a slight contingecy for increase.

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATE:	AUGUST 18, 1998
SPONSOR:	TJS ASSOCIATES
APARTMENT CORPORATION:	CRESTWOOD APARTMENT OWNERS CORP.

FIFTEENTH AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, the Tenth Amendment dated May 6, 1992, the Eleventh Amendment dated December 16, 1993, the Twelfth Amendment dated January 12, 1995, the Thirteenth Amendment dated April 26, 1996 and the Fourteenth Amendment dated June 6, 1997 (the "Plan") and should be read in conjunction therewith.

FIRST: UPDATED INFORMATION

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: SHARES OWNED BY THE SPONSOR

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $22,849.98. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $22,730.40 excluding vacancies.

THIRD: OBLIGATIONS OF SPONSOR UNDER THE PLAN

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the

year prior to the date of filing of this Amendment.

FOURTH: **OTHER NEW YORK STATE PROPERTIES**

Arlyne Goldstein and Herbert Goldsmith are now the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: **FINANCIAL STATEMENTS**

Attached hereto as Document No. 2 is the Financial Statements for the Apartment Corporation for the year ending December 31, 1997 and 1996 as prepared by Cavalcante & Company, Certified Public Accountants. The 1998 Budget for the Apartment Corporation is annexed hereto as Document No. 3.

EIGHTH: **BOARD OF DIRECTORS**

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Lawrence Feinman	Treasurer and Director
Janusz Wojciechoski	Vice President and Director
George Kovac	Secretary and Director
William Dougherty	Director
Ilona R. Resnick*	Vice President and Director
Avi Halperin*	Director
Jeanette Ciccone*	Asst. Secretary Director
Arnold Pollack*	Director

* Designee of the Sponsor

NINTH: **MORTGAGE REFINANCE**

On June 23, 1998, the Apartment Corporation refinanced its underlying mortgage with Queens County Savings Bank, 38-25 Main Street, Flushing, New York. The material terms of the mortgage are as follows:

Amount:	$1,850,000.00
Maturity Date:	June 30, 2008
Annual Interest Rate:	6.875%
Amortization Schedule:	30 years
Monthly Payments:	Principal and interest of $12,153.10 per month; and real estate taxes and water and sewer escrows of $10,581.45 per month. Thus commencing August 1, 1998 monthly payments will be $22,734.64.
Prepayment:	The Mortgage may be prepaid in full only (upon 30 days prior written notice) during the first four years with a 5% penalty: during the fifth and sixth years with a 4% penalty; during the seventh and eighth years with a 3% penalty; during the ninth and tenth years with a 2% penalty.
Late Fees:	Four (4%) after fifteen (15) calendar days

TENTH: **DEFINITIONS**

All terms used in this Fifteenth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

ELEVENTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the fourteen (14) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

TWELFTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

THIRTEENTH: NO MATERIAL CHANGES

There have been no material changes to the Plan except as set forth in this Thirteenth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES
Sponsor and Holder of Unsold Shares

Dated: New York, New York
August 18, 1998

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.

List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
1E	245
1F	148
1G	208
2D	227
2E	324
2G	209
2H	209
2J	200
2L	294
3D	228
3E	325
3K	228
4B	243
4D	229
4E	326
4F	151
4J	202
4L	296
4M	151
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6C	180
6D	231
6E	328
6G	213
6H	213
6K	231
6L	298
36	8,364

DOCUMENT NO. 2

CAVALCANTE & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS

8804 FOURTH AVENUE
BROOKLYN, NY 11209

Joseph A. Cavalcante, CPA
Steven A. Shorr, CPA

Telephone: (718) 680-5300
Telefax: (718) 833-7613

INDEPENDENT AUDITORS' REPORT

To The Board of Directors
and Stockholders of
Crestwood Apartment Owners, Corp.
Queens, New York

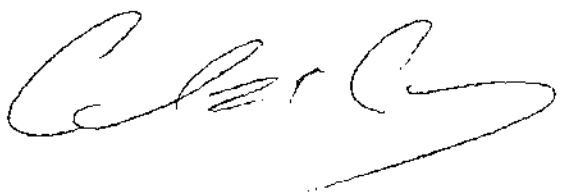
We have audited the balance sheet of Crestwood Apartment Owners, Corp. as of December 31, 1997 and 1996 and the related statements of operations and accumulated deficits, and cash flows for the years then ended. These financial statements are the responsibility of Crestwood Apartment Owners, Corp. management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As discussed in Note 4, Crestwood Apartment Owners, Corp. has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Corp. as of December 31, 1997 and 1996, and the results of its operations and cash flows for the year then ended in conformity with generally accepted accounting principles.

March 2, 1998
Brooklyn, New York



Crestwood Apartment Owners, Corp
Balance Sheets
December 31, 1997 and 1996

ASSETS

	1997	1996
CURRENT ASSETS		
Cash - operating	$ 35,941	$ 24,747
Cash - reserve fund	73,590	54,336
Prepaid real estate taxes	21,125	20,973
Prepaid insurance	4,551	-
Stockholder maintenance receivable - Note 2F	15,113	27,639
Other stockholder receivables	1,905	5,055
Mortgage escrow deposits	20,016	23,733
TOTAL CURRENT ASSETS	172,241	156,483
PROPERTY AND IMPROVEMENTS - Note 2B		
Land	486,000	486,000
Buildings	3,527,313	3,337,313
Improvements in Progress	17,250	-
	4,030,563	3,823,241
Less: Accumulated Depreciation	892,085	764,675
TOTAL PROPERTY AND IMPROVEMENTS	3,138,478	3,061,566
OTHER ASSETS		
Mortgage modification costs - Net - Note 2E	-	821
Utility deposits	1,760	1,760
TOTAL OTHER ASSETS	1,760	2,581
TOTAL ASSETS	$3,312,482	$3,220,630

See accompanying notes to financial statements

Crestwood Apartment Owners, Corp.
Balance Sheets
December 31, 1997 and 1996

LIABILITIES AND STOCKHOLDERS' EQUITY

	1997	1996
CURRENT LIABILITIES		
Accounts payable and accrued expenses - Note 6	$ 22,814	$ 22,778
Accrued mortgage interest payable	12,391	12,753
Security deposits payable	749	744
Mortgage note payable - Note 3	38,134	46,926
Deferred real estate tax credits	2,160	-
TOTAL CURRENT LIABILITIES	76,248	83,201
NON-CURRENT LIABILITIES		
Mortgage note payable (less current portion) - Note 3	1,569,319	1,607,453
TOTAL LIABILITIES	1,645,567	1,690,654
STOCKHOLDERS' EQUITY		
Common stock, 14,957 shares authorized, issued and outstanding at a stated value of:	2,126,241	2,126,241
Additional paid-in-capital - Note 9	252,755	201,829
Accumulated deficit	(792,081)	(684,294)
TOTAL STOCKHOLDERS' EQUITY	1,586,915	1,643,776
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$3,232,482	$3,334,430

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statement of Operations and Accumulated Deficits
For the Years Ended December 31, 1997 and 1996

	1997	1996
REVENUES		
Maintenance assessments - Note 2 C&H	$ 500,541	$ 503,154
Less: Amount applied to mortgage amortization	46,926	42,795
	453,615	460,359
Laundry income	3,250	3,000
Parking income	8,264	8,424
Interest income	1,431	1,497
Other income	2,091	1,636
TOTAL REVENUES	468,651	474,916
EXPENSES		
Electricity and gas	13,129	13,838
Fuel	31,964	34,758
Insurance	17,403	14,852
Legal fees	378	3,992
Accounting fees	2,800	2,800
Management fees	16,152	15,908
Payroll and related costs	85,653	81,823
Real estate taxes	77,595	78,862
Water and sewer charges	29,488	27,688
Repairs and maintenance	11,205	10,035
Elevator service contract	5,368	5,379
Supplies	7,370	5,193
Office and administrative	2,988	2,594
Licenses and permits	417	470
Mortgage interest	150,712	154,875
Corporate taxes	1,438	960
TOTAL EXPENSES	454,040	454,027
Excess of Revenues Over Expenses Before Depreciation and Amortization	14,611	20,889
Less: Depreciation and Amortization	122,398	122,780
Excess of Expenses Over Revenues	(107,787)	(101,891)
Beginning Accumulated Deficit	(684,294)	(582,403)
Ending Accumulated Deficit	$ (792,081)	$ (684,294)

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statements of Cash Flows
For The Years Ended December 31, 1997 and 1996

	1997	1996
CASH FLOWS FROM OPERATING ACTIVITIES		
Excess of expenses over revenues	$ (107,787)	$ (101,891)
Adjustment to reconcile excess of expenses over revenues to net cash provided by operating activities:		
Depreciation and amortization	122,398	122,780
(Increase) Decrease In:		
Mortgage escrow deposits	3,833	(4,290)
Prepaid expenses	(3,903)	2,450
Stockholder maintenance receivables	22,526	(559)
Other receivables	4,050	(4,361)
Increase (Decrease) In:		
Accounts payable and accrued expenses	36	3,758
Accrued mortgage interest	(362)	(329)
Security deposits payable	5	(636)
Deferred real estate tax credits	2,160	-
NET CASH PROVIDED BY OPERATING ACTIVITIES	42,956	16,922
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of improvements	(17,489)	-
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal payments on mortgage	(46,926)	(42,795)
Contributions to capital	46,926	42,795
Sponsor contribution	4,000	50,778
Due to Sponsor	-	(50,778)
NET CASH PROVIDED BY FINANCING ACTIVITIES	4,000	-
NET INCREASE IN CASH	29,467	16,922
CASH AT BEGINNING OF YEAR	79,083	62,161
CASH AT END OF YEAR	$ 108,550	$ 79,083
CASH - OPERATING ACCOUNT	$ 35,041	$ 24,747
CASH - RESERVE FUND	73,509	54,336
	$ 108,550	$ 79,083
SUPPLEMENTAL DISCLOSURE		
Income taxes paid	$ 1,656	$ 0
Interest paid	$ 151,074	$ 155,205

See accompanying notes to financial statements.

Note 1 NATURE OF ORGANIZATION

The Corporation was formed on October 26, 1988 pursuant to the Business Corporation Law of the State of New York, to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York for $3,926,241. The building is a six story with two elevators consisting of 71 residential units and one superintendent unit. The primary purpose of the Corporation is to manage the operations of Crestwood Apartment Owners, Corp., and maintain its common elements.

Note 2 SIGNIFICANT ACCOUNTING POLICIES

A) Basis of Accounting
The Corporation's policy is to prepare its financial statements on the accrual basis. Therefore, revenue and related assets are recognized when earned, rather than when received, and expenses are recognized when the obligation is incurred rather than when paid.

B) Depreciation
The building is being depreciated using the straight-line method over an estimated useful life of 27.5 years. Improvements are being depreciated using the straight-line method over estimated useful lives of 7 years.

C) Maintenance Assessments
Stockholders are subject to monthly assessments to provide funds for the Corporation's operating expenses and repairs and replacements. As of December 31, 1997 and 1996 monthly maintenance charges were $2.8033 per share. Any excess assessments at year-end are retained by the Corporation for use in future years.

D) Cash and Cash Equivalents
For purposes of the statement of cash flows, the Corporation considers all highly liquid debt instruments with a maturity of three months or less to be cash equivalents.

E) Mortgage Modification Costs
On July 15, 1993 the Corporation modified its mortgage and incurred modification costs amounting to $7,180 which are being amortized over a 5 year period.

	1997	1996
Mortgage modification costs	$ 7,180	$ 7,180
Less: Accumulated amortization	7,180	6,359
Net mortgage modification costs	$ -0-	$ 821

Note 2 SIGNIFICANT ACCOUNTING POLICIES (con't.)

F) Sponsor Owned Shares
As of December 31, 1997 and 1996 the Sponsor owned 10,193 shares of the total 14,957 shares, representing 68%. In addition, the Sponsor owed the Corporation approximately $10,750 in maintenance assessments at December 31, 1997 and $35,000 at December 31, 1996.

G) Use of Estimates
The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period.

H) Real Estate Tax Credits and Maintenance Charges
In 1997, certain tenant-stockholders qualify for special real estate tax credits. Such credits are applied directly against the corporation's real estate tax assessment and result in an overall reduction of real estate tax expense. Concurrently, maintenance charges are also reduced by the aggregate amount of real estate tax credits granted to such tenant-stockholders as of the date granted.

1997 Real estate taxes	$ 80,208
Less: Real estate tax credits granted	(2,613)
1997 Net real estate tax expense	$ 77,595
1997 Maintenance assessments	$503,154
Less: Real estate tax credits applied	(2,613)
1997 Net maintenance assessments	$500,541

Note 3 MORTGAGE NOTE PAYABLE

The mortgage note is with Dime Savings Bank at an interest rate of 9.25% per annum. Monthly payments for principal and interest are $16,500 plus an amount escrowed for real estate taxes and water and sewer charges. The mortgage note comes due on September 12, 1998, at which time the then remaining principal balance is due. The Corporation may seek refinancing of the mortgage note prior to its maturity.

Balance due at December 31, 1997	$1,607,453
Current portion	38,134
Due September 12, 1998	$1,569,319

Note 4 FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the building's systems and major components and estimates of the costs of major repairs and replacements that may be required in the future. Although the presentation of this information is required by the American Institute of Certified Public Accountants to supplement the basic financial statements, such presentation is not required by law of other governmental rules or regulations.

The Corporation's governing documents do not require the accumulation of funds to finance estimated future repairs and replacements. When funds are required to meet future needs for major repairs and replacements, the Corporation can borrow, increase maintenance charges, assess tenant shareholders, utilize existing reserves or delay repairs and maintenance until funds are available. The effect on future major maintenance charges and assessments has not been determined.

Note 5 REAL ESTATE TAXES

The Corporation was awarded a J-51 real estate tax abatement issued by the N.Y.C. Department of Housing Preservation Development. Real estate taxes will be reduced by approximately $15,800 per year until approximately the year 2006.

Note 6 ACCOUNTS PAYABLE AND ACCRUED EXPENSES

Accounts payable and accrued expenses consist of the following:

Exterminator	$ 173	$ 54
Fuel oil	5,134	5,093
Repairs	-	2,986
Miscellaneous	38	57
Accounting	2,800	2,800
Corporate taxes	479	362
Management fees	-	1,346
Supplies	-	605
Elevator	-	434
Electricity	1,201	1,126
Workers' compensation and disability		1,051
Insurance	-	6,864
Security camera system	12,989	-
	$ 22,814	$ 22,778

Note 7 COMMITMENTS AND CONTINGENCIES

The Internal Revenue Service, New York State Department of Taxation and Finance and New York City Department of Finance have been asserting claims against cooperative housing corporations that they are subject to tax, at corporate rates, pursuant to Section 277 of the Internal Revenue Code (IRC), on net income received from other than tenant-stockholders.

In 1996, the United States Tax Court ruled that cooperative housing corporations that qualify under Section 216 of the IRC are affected by Subchapter T of the IRC and, based on earlier decisions of the Tax Court and the U.S. Claims Court, precludes taxation of certain non-member net income under Section 277. The IRS has not acquiesced to the ruling of the tax court.

Income tax liability, if any, that may result from the application of Section 277, notwithstanding Subchapter T, as interpreted by the IRS, has not been reflected in the financial statements, nor has the Corporation been notified of a claim.

Note 8 CURRENT YEAR IMPROVEMENTS

The Corporation expended the following for improvements:

	1997	1996
Beginning balance	$ -	$ -
Painting	4,500	-
Security camera system	12,989	-
Ending balance	$ 17,489	$ -

Note 9 ADDITIONAL PAID-IN-CAPITAL

	1997	1996
Beginning balance	$ 201,829	$ 108,256
Sponsor contribution	4,000	50,778
Mortgage amortization	46,926	42,795
Ending balance	$ 252,755	$ 201,829

The Sponsor contributed $4,000 to the Corporation in 1997 to be used for concrete repairs.

DOCUMENT NO. 3

THE CRESTWOOD APARTMENT OWNERS CORP.

	BUDGET 1998
INCOME	
MAINTENANCE FEES	502,555.00
GARAGE FEES	8,200.00
INTEREST	1,500.00
LATE FEES	0.00
LAUNDRY	3,200.00
OTHER INCOME	1,500.00
TOTAL INCOME	516,955.00
EXPENSES	
MORTGAGE(INC.TAXES & WATER	309,804.00
MANAGEMENT FEES	14,688.00
PAYROLL & TAXES	75,000.00
EMPLOYEE BENEFITS	9,000.00
WORKERS COMPENS.	2,000.00
OIL HEAT	32,100.00
GAS	1,050.00
ELECTRICITY	11,800.00
REPAIR AND MAINTENANCE	15,000.00
LANDSCAPING	2,400.00
ELEVATOR CONTRACT	5,300.00
EXTERMINATOR	1,296.00
SUPPLIES	8,000.00
ADMINISTRATIVE	2,000.00
LICENSES AND PERMITS	1,900.00
LEGAL	500.00
ACCOUNTING	2,750.00
PROFESSIONAL - J51	0.00
INSURANCE	17,000.00
CORPORATE TAX	1,500.00
MISCELLANEOUS	0.00
CONTINGENCY	3,867.00
TOTAL EXPENSES	516,955.00
NET INCOME/LOSS	0.00

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATE:

SPONSOR: TJS ASSOCIATES

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

SIXTEENTH AMENDMENT TO OFFERING PLAN
OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, the Tenth Amendment dated May 6, 1992, the Eleventh Amendment dated December 16, 1993, the Twelfth Amendment dated January 12, 1995, the Thirteenth Amendment dated April 26, 1996, the Fourteenth Amendment dated June 6, 1997, and the Fifteenth Amendment dated August 18, 1998 (the "Plan") and should be read in conjunction therewith.

FIRST: **UPDATED INFORMATION**

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: **SHARES OWNED BY THE SPONSOR**

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $20,621.33. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $20,236.53 excluding the three current vacancies.

THIRD: **OBLIGATIONS OF SPONSOR UNDER THE PLAN**

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: **OTHER NEW YORK STATE PROPERTIES**

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units, except that Ms. Goldstein is a principal of the sponsor of the Commons at Bon Aire Condominium, Jamie Court, Suffern, New York which offering plan for 38 new construction condominium units is pending with the NYS Department of Law.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: **FINANCIAL STATEMENTS AND BUDGET**

Attached hereto as Document No. 2 is the Financial Statements for the Apartment Corporation for the year ending December 31, 1998 and 1997 as prepared by Cavalcante & Company, Certified Public Accountants. The 1999 Budget for the Apartment Corporation is annexed hereto as Document No. 3.

EIGHTH: **BOARD OF DIRECTORS**

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Janusz Wojciechoski	Vice President and Director
Lawrence Feinman	Treasurer and Director
George Kovac	Secretary and Director
William Dougherty	Director
Brian Benson	Director
Ilona R. Resnick*	Vice President and Director
Avi Halperin*	Director
Jeanette Ciccone*	Asst. Secretary Director

* Designee of the Sponsor

NINTH: **CURRENT MAINTENANCE CHARGES**

The current maintenance charges are approximately $2.8033 per share per month.

TENTH: **INCREASE IN PURCHASE PRICE**

The Sponsor hereby modifies the Purchase Price for all Apartments to $300.00 per share.

ELEVENTH: **CHANGE IN IDENTITY OF PARTIES**

The law firm of Cutler Minikes & Adelman LLP, 708 Third Avenue, 17th Floor, New York, NY 10017 prepared this amendment and shall hereafter represent the Sponsor in connection with the Plan.

The law firm of Cutler Minikes & Adelman LLP has also replaced the law firm of Cutler Minikes & Fish LLP as the closing attorneys for the Sponsor, and shall hereafter represent the Disclosing Holders in connection with the sale and closing of individual apartment units.

For all Contracts of Sale hereafter entered into by the Sponsor, all deposits, downpayments, or advances made by purchasers prior to closing of each individual transaction will be placed, within five business days after the agreement is signed by all necessary parties, in a segregated special escrow account, which is an "IOLA" account (as described below) of Cutler Minikes & Adelman LLP, the Escrow Agent, whose address is 708 Third Avenue, New York, NY 10017, and whose telephone number is (212) 983-1199. The signatories on this account authorized to withdraw funds are:

Andrew N. Cutler	708 Third Avenue
Jonathan Z. Minikes	New York, NY 10017
Richard B. Adelman	

The name of the account will be "Cutler Minikes & Adelman Crestwood Apartments

IOLA Escrow Account" or similar name and will be located in Chase Manhattan Bank, N.A., 13B Knolls Crescent, Riverdale, New York 10463. This bank is covered by federal bank deposit insurance to a maximum of $100,000 per individual deposit.

Under the IOLA program, interest on the account accrues to the benefit of the Client Security Fund administered by the State of New York. Since all interest earned on an IOLA account is payable to the IOLA Fund of the State of New York, no interest will be earned for or payable to either Metropolitan or a purchaser. All instruments shall be made payable to or endorsed to the order of Cutler Minikes & Adelman LLP as escrow agent.

TWELFTH: **NEW GENERAL BUSINESS LAW SECTION 352-L**

Attached to this Amendment as Document No. 4 is a copy of Chapter 422 of the Laws of New York, 1998, (the "New Law") which became effective on July 22, 1998. In part, the New Law established a new Section 339-l to the General Business Law, which provides certain rights to the Apartment Corporation with respect to rents payable by a subtenant in an apartment owned by a "non-occupying owner" (as defined in the New Law) who defaults in the payments of maintenance charges, assessments or late fees.

Prospective purchasers should review the full text of the New Law, including the following salient provisions:

- Subdivision 2-d of Section 352-e of the General Business Law, which addressed many similar issues, was repealed.

- If a non-occupying owner rents any dwelling unit to a rental tenant and then fails to make payments due for maintenance, assessments or late fees for such unit within sixty days of the expiration of any grace period after they are due, upon notice in accordance with the New Law, all rental payments from the tenant shall be directly payable to the Apartment Corporation. Where a majority of the board of directors has been elected by and from the owners who are in occupancy, the board may elect not to require that rental payments be made payable to the Apartment Corporation.

- At such time as payments for maintenance, assessments and late fees from the non-occupying owner are once again current, notice of such fact shall be given to the rental tenant and the non-occupying owner, and thereafter, all rental payments for such unit shall be payable to the non-occupying owner or a designated agent.

- A non-occupying owner who disputes the Apartment Corporation's claim to rental payments pursuant to the New Law shall be entitled to present facts supporting such owner's position at the next scheduled meeting of the board of managers, which must be held within thirty days of the date that such board receives notice that such owner seeks to dispute such claim.

. Nothing in the law shall limit any rights of shareholders or the board of directors existing under any other law or agreement.

. Payment by a rental tenant to the Apartment Corporation made in connection with the New Law shall relieve that rental tenant from the obligation to pay such rent to the non-occupying owner and shall be an absolute defense in any non-payment proceeding commenced by such non-occupying owner against such tenant for rent.

THIRTEENTH: NEW LEAD-BASED PAINT REGULATIONS

On March 6, 1996, HUD and EPA jointly promulgated a final rule concerning "lead-based paints" that applies to most sales and rentals of housing built before 1978. 61 Fed. Reg. 9,064 (1996) (codified at 24 C.F.R. Part 35 (HUD) and at 40 C.F.R. Part 745 (EPA).

A. For owners of more than four residential dwellings, the regulations became effective on September 6, 1996.

B. For owners of one to four residential dwellings, the regulations became effective on December 6, 1996.

a. A "residential dwelling" includes:

(1) A single-family dwelling and

(2) A single-family dwelling in a structure that contains more than one separate residential unit and in which each unit is used or intended to be used as a residence.

C. "Lead-based paint" means paint and other surface coatings that contain lead equal to at least 1.0 milligram per square centimeter or .5% by weight.

I. Disclosure Requirements

A. Before a purchaser or lessee is obligated under any contract to purchase or to lease a Unit the Sponsor shall:

1. Give the purchaser or lessee an EPA approved lead hazard information pamphlet;

2. Disclose to the purchaser or lessee the presence of any known lead-based paint and lead-based paint hazards in the Unit, including the location and condition of the lead-based paint and hazard;

3. Disclose to each sale or leasing agent the presence of any known lead-based paint and lead based paint hazard and the existence of any available records or reports; and

4. Provide the purchaser or lessee with any records or reports available to the Sponsor concerning lead-based paint and lead-based paint hazards in the Unit, including records and reports concerning

common areas and other Units if the information is part of an evaluation or reduction of lead-based paint or lead-based paint hazards in the Premises as a whole.

The disclosure of requirements do not create an obligation on the part of the Sponsor to conduct a Lead-Based paint evaluation of the Building or any Unit therein or to perform reduction activities.

II. Purchaser's Right to Inspect

A. A purchaser has a right to a 10-day period to inspect the property or to conduct a risk assessment. The purchaser can waive the right to inspect or to conduct an risk assessment, and the parties can agree in writing to a different time period. Document No. 5 hereto will therefore be added as a rider to each Contract of Sale and the Procedure to Purchase is hereby modified accordingly.

B. The regulations do not extend this right to a prospective tenant.

III. Required Certifications and Acknowledgments

A. Each Contract of Sale shall also include an attachment that contains:

1. The statutorily-specified lead warning statement;
2. The Sponsor's disclosure of the presence of any known lead-based paint and lead-based paint hazards or a statement that the Sponsor does not know of any;
3. A list of any records or reports available to the Sponsor and provided to the Purchaser concerning lead-based paint or lead-based paint hazards in the Unit or the Sponsor's statement that no such records or reports are available;
4. The Purchaser's acknowledgment that she/he received:
   a. The lead hazard information pamphlet;
   b. The Sponsor's disclosures and records concerning lead-based paint and lead-based paint hazards in the Unit; and
   c. The opportunity to inspect the Unit or to conduct a risk assessment.

B. Each lease of a Unit shall include as an attachment or within the lease:

1. The statutorily-specified lead warning statement;

2. The Sponsor's disclosure of the presence of any known lead-based paint and lead-based paint hazards or a statement that the Sponsor does not know of any;
3. A list of any records or reports available to the Sponsor and provided to the lessee concerning lead-based paint hazards in the Unit or the Sponsor's statement that none are available;
4. The lessee's acknowledgment that she/he received:
   a. The lead hazard information pamphlet and
   b. The Sponsor's disclosures and list of records or reports concerning lead-based paint and lead-based paint hazards in the Unit.
5. An acknowledgment by the Sponsor's leasing agent, if any, that the agent:
   a. Informed the Sponsor of the Sponsor's duties to disclose and otherwise to comply with the federal lead-based paint disclosure law; and
   b. Is aware of the agent's duty to ensure compliance with the requirements of the lead-based paint disclosure regulations.
6. The signatures of the Sponsor, Sponsor's agents, and lessees, certifying the accuracy of their statements to the best of their knowledge, and the dates of signature.

IV. The Contract of Sale shall be further amended by requiring the Purchaser to sign an acknowledgment in the form attached hereto as Document No. 5 prior to execution of the Contract of Sale. The Plan Section entitled "Procedure to Purchase" shall be amended to require Purchaser to submit an executed acknowledgment in the form as set forth as Document No. 5 hereto (previously executed by Seller) together with an executed copy of the Contract of Sale in accordance with the terms and conditions of the Plan as amended. No Contract of Sale will be accepted by the Sponsor unless simultaneously accompanied by a fully executed acknowledgment in the form set forth as Document No. 5

V. UNDER NO CIRCUMSTANCE SHALL THE SPONSOR BE LIABLE TO REMEDIATE OR REMOVE ANY LEAD-BASED PAINT OR LEAD-BASED PAINT HAZARDS, NOR SHALL THE SPONSOR BE LIABLE TO ANY PURCHASER, TENANT, GUEST, RESIDENT, OCCUPANT, OR ANY OTHER PERSON OR ANIMAL FOR ANY DAMAGE SUFFERED IN WHOLE OR IN

PART BY REASON OF THE PRESENCE OF ANY LEAD-BASED PAINT OR LEAD-BASED PAINT HAZARD DISCLOSED IN THE ACKNOWLEDGMENT ATTACHED TO THE CONTRACT OF SALE.

FOURTEENTH: DEFINITIONS

All terms used in this Sixteenth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

FIFTEENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, and the fifteen (15) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

SIXTEENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

SEVENTEENTH: NO MATERIAL CHANGES

There have been no material changes to the Plan except as set forth in this Sixteenth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES
Sponsor and Holder of Unsold Shares

Dated: New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1C	175
1D	150
1G	208
2D	227
2E	324
2G	209
2H	209
2L	294
3D	228
3E	325
3K	228
4B	243
4D	229
4E	326
4J	202
4L	296
4M	151
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6C	180
6E	328
6H	213
6K	231
6L	298
32	7,356

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS, CORP.
(A Cooperative Housing Corporation)

COMPARATIVE FINANCIAL STATEMENTS

YEARS ENDED DECEMBER 31, 1998 AND 1997

Crestwood Apartment Owners, Corp.

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INDEPENDENT AUDITORS' REPORT

To The Board of Directors
and Stockholders of
Crestwood Apartment Owners, Corp.
Queens, New York

We have audited the balance sheet of Crestwood Apartment Owners, Corp. as of December 31, 1998 and 1997 and the related statements of operations and accumulated deficits, and cash flows for the years then ended. These financial statements are the responsibility of Crestwood Apartment Owners, Corp. management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As discussed in Note 4, Crestwood Apartment Owners, Corp. has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Corp. as of December 31, 1998 and 1997, and the results of its operations and cash flows for the year then ended in conformity with generally accepted accounting principles.

February 17, 1999
Brooklyn, New York

Crestwood Apartment Owners, Corp.
Balance Sheets
December 31, 1998 and 1997

ASSETS

	1998	1997
CURRENT ASSETS		
Cash - operating	$ 6,075	$ 35,041
Cash - reserve fund	235,556	73,509
Prepaid real estate taxes	17,443	20,125
Prepaid insurance	2,723	4,551
Prepaid corporate taxes	-	-
Stockholder maintenance receivable - Note 2F	10,348	15,113
Other stockholder receivables	692	1,005
Mortgage escrow deposits	19,343	23,900
TOTAL CURRENT ASSETS	292,180	173,244
PROPERTY AND IMPROVEMENTS - Note 2B		
Land	588,936	588,936
Building	3,337,305	3,337,305
Improvements - Note 8	133,883	17,489
	4,060,124	3,943,730
Less: Accumulated Depreciation	1,011,448	886,252
TOTAL PROPERTY AND IMPROVEMENTS	3,048,676	3,057,478
OTHER ASSETS		
Mortgage refinance costs - Net - Note 2E	60,008	-
Utility deposits	1,760	1,760
Deposit - fence installation	8,200	-
TOTAL OTHER ASSETS	69,968	1,760
TOTAL ASSETS	$3,410,824	$3,232,482

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Balance Sheets
December 31, 1998 and 1997

LIABILITIES AND STOCKHOLDERS' EQUITY

	1998	1997
CURRENT LIABILITIES		
Accounts payable and accrued expenses - Note 6	$ 18,558	$ 23,563
Accrued mortgage interest payable	10,554	12,391
Prepaid maintenance	2,927	-
Mortgage note payable - Note 3	19,807	38,134
Deferred real estate tax credits	3,472	2,160
TOTAL CURRENT LIABILITIES	55,318	76,248
NON-CURRENT LIABILITIES		
Mortgage note payable (less current portion) - Note 3	1,822,332	1,569,319
TOTAL LIABILITIES	1,877,650	1,645,567
STOCKHOLDERS' EQUITY		
Common stock, 14,957 shares authorized, issued and outstanding at a stated value of:	2,126,241	2,126,241
Additional paid-in-capital - Note 9	285,751	252,755
Accumulated deficit	(878,818)	(792,081)
TOTAL STOCKHOLDERS' EQUITY	1,533,174	1,586,915
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$3,410,824	$3,232,482

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statements of Operations and Accumulated Deficits
For the Years Ended December 31, 1998 and 1997

	1998	1997
REVENUES		
Maintenance assessments - Note 2 C&H	$ 499,682	$ 500,541
Less: Amount applied to mortgage amortization	32,996	46,926
	466,686	453,615
Laundry income	3,000	3,250
Parking income	7,608	8,264
Interest income	3,629	1,431
Other income	2,996	2,091
TOTAL REVENUES	483,919	468,651
EXPENSES		
Electricity and gas	12,316	13,129
Fuel	26,847	31,964
Insurance	19,498	17,403
Legal fees	578	378
Accounting fees	3,375	2,800
Management fees	16,152	16,152
Payroll and related costs	83,004	85,633
Real estate taxes	77,479	77,595
Water and sewer charges	30,667	29,488
Repairs and maintenance	14,621	11,205
Elevator service contract	5,511	5,368
Supplies	10,720	7,370
Office and administrative	3,611	2,988
Licenses and permits	105	417
Mortgage interest	136,704	150,712
Corporate taxes	1,438	1,438
TOTAL EXPENSES	442,626	454,040
Excess of Revenues Over Expenses Before Depreciation and Amortization	41,293	14,611
Less: Depreciation and Amortization	128,030	122,398
Excess of Expenses Over Revenues	(86,737)	(107,787)
Beginning Accumulated Deficit	(792,081)	(684,294)
Ending Accumulated Deficit	$ (878,818)	$ (792,081)

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statements of Cash Flows
For The Years Ended December 31, 1998 and 1997

	1998	1997
CASH FLOWS FROM OPERATING ACTIVITIES		
Excess of expenses over revenues	$ (86,737)	$ (107,787)
Adjustment to reconcile excess of expenses over revenues to net cash provided by operating activities:		
Depreciation and amortization	128,030	122,398
(Increase) Decrease In:		
Mortgage escrow deposits	4,557	3,833
Prepaid expenses	4,510	(3,903)
Stockholder maintenance receivables	4,765	22,526
Other receivables	313	4,050
Increase (Decrease) In:		
Accounts payable and accrued expenses	(5,005)	36
Accrued mortgage interest	(1,837)	(362)
Security deposits payable	-	5
Deferred real estate tax credits	1,312	2,160
Prepaid maintenance	2,927	-
NET CASH PROVIDED BY OPERATING ACTIVITIES	52,835	42,956
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of improvements	(116,394)	(17,489)
Deposit - fence installation	(8,200)	-
NET CASH USED IN INVESTING ACTIVITIES	(124,594)	(17,489)
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal payments on mortgage	(32,996)	(46,926)
Contributions to capital	32,996	46,926
Sponsor contribution	-	4,000
Payoff old mortgage	(1,628,556)	-
Proceeds from new mortgage	1,850,000	-
Mortgage refinance costs	(62,842)	-
NET CASH PROVIDED BY FINANCING ACTIVITIES	158,602	4,000
NET INCREASE IN CASH	86,843	29,467
CASH AT BEGINNING OF YEAR	108,550	79,083
CASH AT END OF YEAR	$ 195,393	$ 108,550

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statements of Cash Flows (con't.)
For The Years Ended December 31, 1998 and 1997

	1998	1997
CASH - OPERATING ACCOUNT	$ 6,075	$ 35,041
CASH - RESERVE FUND	235,556	73,509
	$ 241,631	$ 108,550
SUPPLEMENTAL DISCLOSURE		
Income taxes paid	$ 1,340	$ 1,656
Interest paid	$ 138,531	$ 151,074

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1998 and 1997

Note 1 NATURE OF ORGANIZATION

The Corporation was formed on October 26, 1988 pursuant to the Business Corporation Law of the State of New York, to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York for $3,926,241. The building is a six story with two elevators consisting of 71 residential units and one superintendent unit. The primary purpose of the Corporation is to manage the operations of Crestwood Apartment Owners, Corp., and maintain its common elements.

Note 2 SIGNIFICANT ACCOUNTING POLICIES

A) Basis of Accounting
The Corporation's policy is to prepare its financial statements on the accrual basis. Therefore, revenue and related assets are recognized when earned, rather than when received, and expenses are recognized when the obligation is incurred rather than when paid.

B) Depreciation
The building is being depreciated using the straight-line method over an estimated useful life of 27.5 years. Improvements are being depreciated using the straight-line method over estimated useful lives of 7 years.

C) Maintenance Assessments
Stockholders are subject to monthly assessments to provide funds for the Corporation's operating expenses and repairs and replacements. As of December 31, 1998 and 1997 monthly maintenance charges were $2.8033 per share. Any excess assessments at year-end are retained by the Corporation for use in future years.

D) Cash and Cash Equivalents
For purposes of the statement of cash flows, the Corporation considers all highly liquid debt instruments with a maturity of three months or less to be cash equivalents.

E) Mortgage Refinance Costs
On June 23, 1998, the Corporation refinance its mortgage and incurred closing costs amounting to $62,842 which are being amortized over a ten year period.

	1998	1997
Mortgage refinance costs	$ 62,842	$ -
Less: Accumulated amortization	(2,834)	-
Net mortgage refinance costs	$ 60,008	$ -

Note 2 SIGNIFICANT ACCOUNTING POLICIES (con't.)

F) Sponsor Owned Shares
As of December 31, 1998 and 1997 the Sponsor owned 7,769 and 8,661 shares respectively, of the total 14,957 shares, representing 52% and 58%. In addition, the Sponsor owed the Corporation approximately $8,988 in maintenance assessments at December 31, 1998 and $10,750 at December 31, 1997.

G) Use of Estimates
The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period.

H) Real Estate Tax Credits and Maintenance Charges
In 1998 and 1997, certain tenant-stockholders qualify for special real estate tax credits. Such credits are applied directly against the corporation's real estate tax assessment and result in an overall reduction of real estate tax expense. Concurrently, maintenance charges are also reduced by the aggregate amount of real estate tax credits granted to such tenant-stockholders as of the date granted. Maintenance charges and real estate taxes were reduced by $3,472 in 1998 and $2,613 in 1997.

Note 3 MORTGAGE NOTE PAYABLE

Mortgagee: Queens County Savings Bank

Terms: Ten years, with the unpaid balance due, in full, June 30, 2008. Monthly payments of $12,153.18 for principal and interest at 6.875% are based on a 30 year amortization schedule.

The following is a schedule of the required future principal payments over the next five years and therafter:

1999	$ 19,807
2000	21,213
2001	22,718
2002	24,330
2003	26,057
thereafter	1,728,014

Note 4 FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the building's systems and major components and estimates of the costs of major repairs and replacements that may be required in the future. Although the presentation of this information is required by the American Institute of Certified Public Accountants to supplement the basic financial statements, such presentation is not required by law of other governmental rules or regulations.

The Corporation's governing documents do not require the accumulation of funds to finance estimated future repairs and replacements. When funds are required to meet future needs for major repairs and replacements, the Corporation can borrow, increase maintenance charges, assess tenant shareholders, utilize existing reserves or delay repairs and maintenance until funds are available. The effect on future major maintenance charges and assessments has not been determined.

Note 5 REAL ESTATE TAXES

The Corporation was awarded a J-51 real estate tax abatement issued by the N.Y.C. Department of Housing Preservation Development. Real estate taxes will be reduced by approximately $15,800 per year until approximately the year 2006.

Note 6 ACCOUNTS PAYABLE AND ACCRUED EXPENSES

Accounts payable and accrued expenses consist of the following:

Exterminator	$ -	$ 173
Fuel oil	6,341	5,134
Repairs	1,139	-
Miscellaneous	275	38
Accounting	3,100	2,800
Corporate taxes	98	479
Supplies	1,643	-
Elevator	465	-
Electricity	1,144	1,201
Improvements	4,353	12,989
	$ 18,558	$ 22,814

Note 7 CORPORATE TAXES

The Internal Revenue Service, New York State Department of Taxation and Finance and New York City Department of Finance have been asserting claims against cooperative housing corporations that they are subject to tax, at corporate rates, pursuant to Section 277 of the Internal Revenue Code (IRC), on net income received from other than tenant stockholders.

In 1996, the United States Tax Court ruled that cooperative housing corporations that qualify under Section 216 of the IRC are affected by Subchapter T of the IRC and, based on earlier decisions of the Tax Court and the U.S. Claims Court, precludes taxation of certain non-member net income under Section 277. The IRS has not acquiesced to the ruling of the tax court.

Income tax liability, if any, that may result from the application of Section 277, notwithstanding Subchapter T, as interpreted by the IRS, has not been reflected in the financial statements, nor has the Corporation been notified of a claim.

Note 8 CURRENT YEAR IMPROVEMENTS

The Corporation expended the following for improvements:

	1998	1997
Beginning balance	$ 17,489	$ -
Painting	-	4,500
Security camera system	3,966	12,989
Plumbing	5,500	-
Sidewalk replacement	106,928	-
Ending balance	$ 133,883	$ 17,489

Note 9 ADDITIONAL PAID-IN-CAPITAL

	1998	1997
Beginning balance	$ 252,755	$ 201,829
Sponsor contribution	-	4,000
Mortgage amortization	32,996	46,926
Ending balance	$ 285,751	$ 252,755

The Sponsor contributed $4,000 to the Corporation in 1997 to be used for concrete repairs.

DOCUMENT NO. 3

CRESTWOOD APARTMENT OWNERS CORP.
1999 BUDGET

	BUDGET
INCOME	1999
MAINTENANCE FEES	502,555.00
GARAGE FEES	8,200.00
LATE FEES	500.00
LAUNDRY	3,000.00
SUBLEASE FEES	1,800.00
OTHER INCOME	500.00
TOTAL INCOME	516,555.00
EXPENSES	
MORTGAGE(INC.TAXES & WATEF	272,816.00
SHAREHOLDER TAX ABATEMENT	7,870.00
SENIOR CITIZEN TAX ABATE	2,500.00
BOILER LOAN	16,975.00
MANAGEMENT FEES	16,152.00
PAYROLL & TAXES	75,000.00
EMPLOYEE BENEFITS	10,032.00
PAYCHEX FEES	550.00
WORKERS COMPENS.	2,000.00
OIL HEAT	25,000.00
GAS	1,150.00
ELECTRICITY	11,800.00
REPAIR AND MAINTENANCE	15,000.00
LANDSCAPING	2,400.00
ELEVATOR CONTRACT	5,583.00
EXTERMINATOR	900.00
BOILER SERVICE CONTRACT	974.00
SUPPLIES	8,000.00
ADMINISTRATIVE	1,200.00
LICENSES AND PERMITS	1,900.00
LEGAL	1,000.00
ACCOUNTING	2,800.00
INSURANCE	19,000.00
CORPORATE TAX	1,500.00
CONTINGENCY	14,453.00
TOTAL EXPENSES	516,555.00
NET INCOME/LOSS	0.00

24 CFR Part 35, 40 CFR Part 745, 9-6-96.

Bloomberg Excelsior, Publishers, NYC 10013

Disclosure of Information on Lead-Based Paint and/or Lead-Based Paint Hazards

SALES

Lead Warning Statement

Every purchaser of any interest in residential real property on which a residential dwelling was built prior to 1978 is notified that such property may present exposure to lead from lead-based paint that may place young children at risk of developing lead poisoning. Lead poisoning in young children may produce permanent neurological damage, including learning disabilities, reduced intelligence quotient, behavioral problems, and impaired memory. Lead poisoning also poses a particular risk to pregnant women. The seller of any interest in residential real property is required to provide the buyer with any information on lead-based paint hazards from risk assessments or inspections in the seller's possession and notify the buyer of any known lead-based paint hazards. A risk assessment or inspection for possible lead-based paint hazards is recommended prior to purchase.

Seller's Disclosure

(a) Presence of lead-based paint and/or lead-based paint hazards *(Check (i) or (ii) below):*

(i) ☐ Known lead-based paint and/or lead-based paint hazards are present in the housing *(explain).*

.....

.....

.....

.....

(ii) ☐ Seller has no knowledge of lead-based paint and/or lead-based paint hazards in the housing.

(b) Records and reports available to the seller *(Check (i) or (ii) below):*

(i) ☐ Seller has provided the purchaser with all available records and reports pertaining to lead-based paint and/or lead-based paint hazards in the housing *(list documents below).*

.....

.....

.....

(ii) ☐ Seller has no reports or records pertaining to lead-based paint and/or lead-based paint hazards in the housing.

Purchaser's Acknowledgment *(initial)*

(c) _____ Purchaser has received copies of all information listed above.

(d) _____ Purchaser has received the pamphlet *Protect Your Family from Lead in Your Home.*

(e) _____ Purchaser has *(check (i) or (ii) below):*

(i) ☐ received a 10-day opportunity (or mutually agreed upon period) to conduct a risk assessment or inspection for the presence of lead-based paint and/or lead-based paint hazards; or

(ii) ☐ waived the opportunity to conduct a risk assessment or inspection for the presence of lead-based paint and/or lead-based paint hazards.

Agent's Acknowledgment *(initial)*

(f) _____ Agent has informed the seller of the seller's obligations under 42 U.S.C. 4852d and is aware of his/her responsibility to ensure compliance.

Certification of Accuracy

The following parties have reviewed the information above and certify, to the best of their knowledge, that the information they have provided is true and accurate.

SELLER	DATE	SELLER	DATE
PURCHASER	DATE	PURCHASER	DATE
AGENT	DATE	AGENT	DATE

DOCUMENT NO. 4

SENATE BILL 4141-A Leibell Chapter 422

LAWS OF NEW YORK, 1998
CHAPTER 422

AN ACT to amend the general business law and the real property law, in relation to cooperatives and condominiums where non-occupying owners default on payments due; and to repeal subdivision 2-d of section 352-e of the general business law, relating thereto

Became a law July 22, 1998, with the approval of the Governor.
Passed by a majority vote, three-fifths being present.

THE PEOPLE OF THE STATE OF NEW YORK, REPRESENTED IN SENATE AND ASSEMBLY, DO ENACT AS FOLLOWS:

Section 1. Subdivision 2-d of section 352-e of the general business law is REPEALED.

SECTION 2. The general business law is amended by adding a new section 352-l to read as follows:

§ 352-L. COOPERATIVE CORPORATIONS.

1. FOR THE PURPOSES OF THIS SECTION, "NON-OCCUPYING OWNER" SHALL MEAN THE OWNER OF SHARES IN A COOPERATIVE CORPORATION WHO DOES NOT OCCUPY THE DWELLING UNITS TO WHICH HIS OR HER SHARES ARE ALLOCATED.

2. IF A NON-OCCUPYING OWNER RENTS ANY DWELLING UNIT TO A TENANT AND THEN FAILS TO MAKE PAYMENTS DUE FOR MAINTENANCE, ASSESSMENTS OR LATE FEES FOR SUCH UNIT WITHIN SIXTY DAYS OF THE EXPIRATION OF ANY GRACE PERIOD AFTER THEY ARE DUE, UPON NOTICE IN ACCORDANCE WITH SUBDIVISION THREE OF THIS SECTION, ALL RENTAL PAYMENTS FROM THE TENANT SHALL BE DIRECTLY PAYABLE TO THE COOPERATIVE CORPORATION.

3. IF THE MAINTENANCE, ASSESSMENTS OR LATE FEES DUE FOR ANY UNIT HAVE NOT BEEN PAID IN FULL WITHIN SIXTY DAYS AFTER THE EXPIRATION OF ANY GRACE PERIOD OF THE EARLIEST DUE DATE, THE BOARD OF DIRECTORS SHALL PROVIDE WRITTEN NOTICE TO THE RENTAL TENANT AND THE NON-OCCUPYING OWNER PROVIDING THAT, COMMENCING IMMEDIATELY AND UNTIL SUCH TIME AS ALL PAYMENTS FOR MAINTENANCE, ASSESSMENTS OR LATE FEES ARE MADE CURRENT, ALL RENTAL PAYMENTS DUE SUBSEQUENT TO THE ISSUANCE OF SUCH NOTICE ARE TO BE MADE PAYABLE TO THE COOPERATIVE CORPORATION AT THE ADDRESS LISTED ON THE NOTICE. WHERE A MAJORITY OF THE BOARD OF DIRECTORS HAS BEEN ELECTED BY AND FROM AMONG THE OWNERS WHO ARE IN OCCUPANCY, THE BOARD MAY ELECT NOT TO REQUIRE THAT RENTAL PAYMENTS BE MADE PAYABLE TO THE COOPERATIVE CORPORATION. AT SUCH TIME AS PAYMENTS FOR MAINTENANCE, ASSESSMENTS AND LATE FEES FROM THE NON-OCCUPYING OWNER ARE ONCE AGAIN CURRENT, NOTICE OF

SUCH FACT SHALL BE GIVEN WITHIN THREE BUSINESS DAYS TO THE RENTAL TENANT AND NON-OCCUPYING OWNER. THEREAFTER ALL RENTAL PAYMENTS FOR SUCH UNIT SHALL BE MADE PAYABLE TO THE NON-OCCUPYING OWNER OR TO A DESIGNATED AGENT. A NON-OCCUPYING OWNER WHO DISPUTES THE COOPERATIVE CORPORATION'S CLAIM TO RENTAL PAYMENTS PURSUANT TO THIS SECTION SHALL BE ENTITLED TO PRESENT FACTS SUPPORTING SUCH OWNER'S POSITION AT THE NEXT SCHEDULED MEETING OF THE BOARD OF DIRECTORS, WHICH MUST BE HELD WITHIN THIRTY DAYS OF THE DATE THAT SUCH BOARD RECEIVES NOTICE THAT SUCH OWNER SEEKS TO DISPUTE SUCH CLAIM.

4. NOTHING IN THIS SECTION SHALL LIMIT ANY RIGHTS OF SHAREHOLDERS OR OF THE BOARD OF DIRECTORS EXISTING UNDER ANY OTHER LAW OR AGREEMENT.

5. PAYMENT BY A RENTAL TENANT TO THE COOPERATIVE CORPORATION MADE IN CONNECTION WITH THIS SECTION SHALL RELIEVE THAT RENTAL TENANT FROM THE OBLIGATION TO PAY SUCH RENT TO THE NON-OCCUPYING OWNER AND SHALL BE AN ABSOLUTE DEFENSE IN ANY NON-PAYMENT PROCEEDING COMMENCED BY SUCH NON-OCCUPYING OWNER AGAINST SUCH TENANT FOR SUCH RENT.

SECTION 3. The real property law is amended by adding a new section 339-kk to read as follows:

§ 339-KK. RENTS.

(A) FOR THE PURPOSES OF THIS SECTION , "NON-OCCUPYING OWNER" SHALL MEAN A UNIT OWNER IN A CONDOMINIUM ASSOCIATION WHO DOES NOT OCCUPY THE DWELLING UNIT.

(B) IF A NON-OCCUPYING OWNER RENTS ANY DWELLING UNIT TO A RENTAL TENANT AND THEN FAILS TO MAKE PAYMENTS DUE FOR COMMON CHARGES, ASSESSMENTS OR LATE FEES FOR SUCH UNIT WITHIN SIXTY DAYS OF THE EXPIRATION OF ANY GRACE PERIOD AFTER THEY ARE DUE, UPON NOTICE IN ACCORDANCE WITH SUBDIVISION (C) OF THIS SECTION, ALL RENTAL PAYMENTS FROM THE TENANT SHALL BE DIRECTLY PAYABLE TO THE CONDOMINIUM ASSOCIATION.

(C) IF THE COMMON CHARGES, ASSESSMENTS OR LATE FEES DUE FOR ANY UNIT HAVE NOT BEEN PAID IN FULL, WITHIN SIXTY DAYS AFTER THE EXPIRATION OF ANY GRACE PERIOD OF THE EARLIEST DUE DATE, THE BOARD OF MANAGERS SHALL PROVIDE WRITTEN NOTICE TO THE TENANT AND THE NON-OCCUPYING OWNER PROVIDING THAT, COMMENCING IMMEDIATELY AND UNTIL SUCH TIME AS ALL PAYMENTS FOR COMMON CHARGES, ASSESSMENTS OR LATE FEES ARE MADE CURRENT, ALL RENTAL PAYMENTS DUE SUBSEQUENT TO THE ISSUANCE OF SUCH NOTICE ARE TO BE MADE PAYABLE TO THE CONDOMINIUM ASSOCIATION AT THE ADDRESS LISTED ON THE NOTICE. WHERE A MAJORITY OF THE BOARD OF MANAGERS HAS BEEN ELECTED BY AND FROM AMONG THE UNIT OWNERS WHO ARE IN OCCUPANCY, THE BOARD MAY ELECT NOT TO REQUIRE THAT RENTAL PAYMENTS BE MADE PAYABLE TO THE CONDOMINIUM ASSOCIATION. AT SUCH TIME AS PAYMENTS FOR COMMON CHARGES, ASSESSMENTS AND LATE FEES FROM THE NON-OCCUPYING OWNER ARE ONCE AGAIN CURRENT, NOTICE OF SUCH FACT SHALL BE GIVEN WITHIN THREE BUSINESS DAYS TO THE RENTAL TENANT AND NON-OCCUPYING OWNER. THEREAFTER ALL RENTAL PAYMENTS SHALL BE MADE PAYABLE TO THE NON-OCCUPYING OWNER OR A

DESIGNATED AGENT. A NON-OCCUPYING OWNER WHO DISPUTES THE ASSOCIATION'S CLAIM TO RENTAL PAYMENTS PURSUANT TO THIS SECTION SHALL BE ENTITLED TO PRESENT FACTS SUPPORTING SUCH OWNER'S POSITION AT THE NEXT SCHEDULED MEETING OF THE BOARD OF MANAGERS, WHICH MUST BE HELD WITHIN THIRTY DAYS OF THE DATE THAT SUCH BOARD RECEIVES NOTICE THAT SUCH OWNER SEEKS TO DISPUTE SUCH CLAIM.

(D) NOTHING IN THIS SECTION SHALL LIMIT ANY RIGHTS OF UNIT OWNERS OR OF THE BOARD OF MANAGERS EXISTING UNDER ANY OTHER LAW OR AGREEMENT.

(E) PAYMENT BY A RENTAL TENANT TO THE CONDOMINIUM ASSOCIATION MADE IN CONNECTION WITH THIS SECTION SHALL RELIEVE THAT RENTAL TENANT FROM THE OBLIGATION TO PAY SUCH RENT TO THE NON-OCCUPYING OWNER AND SHALL BE AN ABSOLUTE DEFENSE IN ANY NON-PAYMENT PROCEEDING COMMENCED BY SUCH NON-OCCUPYING OWNER AGAINST SUCH TENANT FOR SUCH RENT.

SECTION 4. This act may be enforced by any party by means of a special proceeding brought pursuant to article 4 of the civil practice law and rules.

SECTION 5. This act shall take effect immediately, and is applicable to all cooperative corporations and condominiums in existence on or after such date.

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATE:	JANUARY 25, 2001
SPONSOR:	TJS ASSOCIATES, LLC
APARTMENT CORPORATION:	CRESTWOOD APARTMENT OWNERS CORP.

SEVENTEENTH AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, the Tenth Amendment dated May 6, 1992, the Eleventh Amendment dated December 16, 1993, the Twelfth Amendment dated January 12, 1995, the Thirteenth Amendment dated April 26, 1996, the Fourteenth Amendment dated June 6, 1997, the Fifteenth Amendment dated August 18, 1998 and the Sixteenth Amendment dated October 16, 1999 (the "Plan") and should be read in conjunction therewith.

FIRST: **UPDATED INFORMATION**

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: **IDENTITIES OF PARTIES**

Pursuant to a Certificate of Conversion filed with the New York State Department of State, TJS Associates, a New York General Partnership, the sponsor of the Plan, was converted as a matter of law to TJS Associates, LLC a limited liability company in accordance with the provisions of the New York Limited Liability Company Law. TJS Associates, LLC which maintains an address at 2 Executive Boulevard, Suite 301, Suffern, New York 10901, shall hereinafter be referred to as the Sponsor. The principals of TJS Associates are identical in their identity and their interest to the principals of TJS Associates, LLC.

THIRD: SHARES OWNED BY THE SPONSOR

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $18,644.75. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $20,197.34.

FOURTH: OBLIGATIONS OF SPONSOR UNDER THE PLAN

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FIFTH: OTHER NEW YORK STATE PROPERTIES

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

SIXTH: FUNDING OF DEFICITS

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SEVENTH: FINANCING OF UNSOLD SHARES

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

EIGHTH: FINANCIAL STATEMENTS AND BUDGET

Attached hereto as Document No. 2 is the Financial Statements for the Apartment Corporation for the year ending December 31, 1999 and 1998 as prepared by Cavalcante & Company, Certified Public Accountants. The 2000 Budget for the Apartment Corporation is annexed hereto as Document No. 3.

NINTH: **BOARD OF DIRECTORS**

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Janusz Wojciechoski	Vice President and Director
Lawrence Feinman	Treasurer and Director
George Kovac	Secretary and Director
William Dougherty	Director
Joel Aronofsky	Director
Ilona R. Resnick*	Vice President and Director
Avi Halperin*	Director
Jeanette Ciccone*	Asst. Secretary Director

* Designee of the Sponsor

TENTH: **CURRENT MAINTENANCE CHARGES**

The current maintenance charges are approximately $2.8033 per share per month.

ELEVENTH: **CURRENT MAXIMUM OFFERING PRICE**

The current maximum Offering Price for the Apartments owned by the Sponsor is $400.00 per share.

TWELFTH: **NEW MANAGING AGENT**

Effective August 1, 2000, the Managing Agent for the Apartment Corporation is:

Goodman Management Co., Inc.
2736 Independence Avenue
Riverdale, New York 10463
Tel: (718) 796-5022
Fax: (718) 796-5026

THIRTEENTH: **DEFINITIONS**

All terms used in this Seventeenth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

FOURTEENTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the sixteen (16) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

FIFTEENTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

SIXTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Seventeenth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES, LLC
Sponsor and Holder of Unsold Shares

Dated: January 25, 2001
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1G	208
2D	227
2E	324
2G	209
2H	209
2L	294
3D	228
3E	325
3K	228
4B	243
4E	326
4J	202
4L	296
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6C	180
6E	328
6H	213
6K	231
6L	298
28	6,651

DOCUMENT NO. 2

CAVALCANTE & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS

8804 FOURTH AVENUE
BROOKLYN, NY 11209

Joseph A. Cavalcante, CPA
Steven A. Short, CPA

Telephone: (718) 680-5300
Telefax: (718) 833-7613

INDEPENDENT AUDITORS' REPORT

To The Board of Directors
and Stockholders of
Crestwood Apartment Owners, Corp.
Queens, New York

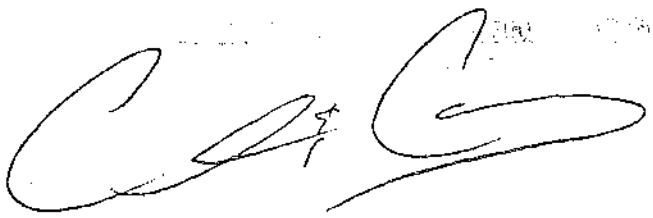
We have audited the balance sheet of Crestwood Apartment Owners, Corp. as of December 31, 1999 and 1998 and the related statements of operations and accumulated deficits, and cash flows for the years then ended. These financial statements are the responsibility of Crestwood Apartment Owners, Corp. management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As discussed in Note 4, Crestwood Apartment Owners, Corp. has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Corp. as of December 31, 1999 and 1998, and the results of its operations and cash flows for the year then ended in conformity with generally accepted accounting principles.

February 24, 2000
Brooklyn, New York



Crestwood Apartment Owners, Corp.
Balance Sheets
December 31, 1999 and 1998

ASSETS

	1999	1998
CURRENT ASSETS		
Cash - operating	$ 15,562	$ 6,075
Cash - reserve fund	188,561	235,556
Prepaid real estate taxes	21,417	17,443
Prepaid insurance	2,783	2,723
Stockholder maintenance receivable - Note 2F	1,506	10,348
Other stockholder receivables	1,413	692
Mortgage escrow deposits	10,809	19,343
NYC real estate tax credits receivable	8,329	-
TOTAL CURRENT ASSETS	250,380	292,180
PROPERTY AND IMPROVEMENTS - Note 2B		
Land	588,936	588,936
Building	3,337,305	3,337,305
Improvements - Note 8	304,551	133,883
	4,230,792	4,060,124
Less: Accumulated Depreciation	1,146,020	1,011,448
TOTAL PROPERTY AND IMPROVEMENTS	3,084,772	3,048,676
OTHER ASSETS		
Mortgage refinance costs - Net - Note 2E	53,724	60,008
Utility deposits	1,760	1,760
Deposit - fence installation	-	8,200
TOTAL OTHER ASSETS	55,484	69,968
TOTAL ASSETS	$3,390,636	$3,410,824

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Balance Sheets
December 31, 1999 and 1998

LIABILITIES AND STOCKHOLDERS' EQUITY

	1999	1998
CURRENT LIABILITIES		
Accounts payable and accrued expenses - Note 6	$ 15,359	$ 18,558
Accrued mortgage interest payable	10,440	10,554
Prepaid maintenance	4,751	2,927
Mortgage note payable - Note 3	21,213	19,807
Deferred real estate tax credits	6,080	3,472
Note payable - Boiler - Note 10	14,599	-
TOTAL CURRENT LIABILITIES	72,442	55,318
NON-CURRENT LIABILITIES		
Note payable - Boiler (less current portion) - Note 10	52,980	-
Mortgage note payable (less current portion) - Note 3	1,801,119	1,822,332
TOTAL NON-CURRENT LIABILITIES	1,854,099	1,822,332
TOTAL LIABILITIES	1,926,541	1,877,650
STOCKHOLDERS' EQUITY		
Common stock, 14,957 shares authorized, issued and outstanding at a stated value of:	2,126,241	2,126,241
Additional paid-in-capital - Note 9	305,559	285,751
Accumulated deficit	(967,705)	(878,818)
TOTAL STOCKHOLDERS' EQUITY	1,464,095	1,533,174
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$3,390,636	$3,410,824

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statements of Operations and Accumulated Deficits
For the Years Ended December 31, 1999 and 1998

	1999	1998
REVENUES		
Maintenance assessments - Note 2 C&H	$ 494,826	$ 499,682
Less: Amount applied to mortgage amortization	19,808	32,996
	475,018	466,686
Laundry income	3,000	3,000
Parking income	10,253	7,608
Interest income	8,650	3,629
Other income	2,200	2,996
TOTAL REVENUES	499,121	483,919
EXPENSES		
Electricity and gas	11,745	12,316
Heat	25,266	26,847
Insurance	19,189	19,498
Legal fees	1,425	578
Accounting fees	3,250	3,375
Management fees	16,152	16,152
Payroll and related costs	87,061	83,004
Real estate taxes	83,011	77,479
Water and sewer charges	31,897	30,667
Repairs and maintenance	17,976	14,621
Elevator service contract	5,731	5,511
Supplies	11,418	10,720
Office and administrative	2,964	3,611
Licenses and permits	528	105
Mortgage interest	125,917	136,704
Other interest	2,115	-
Corporate taxes	1,507	1,438
TOTAL EXPENSES	447,152	442,626
Excess of Revenues Over Expenses Before Depreciation and Amortization	51,969	41,293
Less: Depreciation and Amortization	140,856	128,030
Excess of Expenses Over Revenues	(88,887)	(86,737)
Beginning Accumulated Deficit	(878,818)	(792,081)
Ending Accumulated Deficit	$ (967,705)	$ (878,818)

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statements of Cash Flows
For The Years Ended December 31, 1999 and 1998

	1999	1998
CASH FLOWS FROM OPERATING ACTIVITIES		
Excess of expenses over revenues	$ (88,887)	$ (86,737)
Adjustment to reconcile excess of expenses over revenues to net cash provided by operating activities:		
Depreciation and amortization	140,856	128,030
(Increase) Decrease In:		
Mortgage escrow deposits	8,534	4,557
Prepaid expenses	(4,034)	4,510
Stockholder maintenance receivables	8,842	4,765
Other receivables	(721)	313
NYC real estate tax credits receivable	(8,329)	-
Increase (Decrease) In:		
Accounts payable and accrued expenses	(3,199)	(5,005)
Accrued mortgage interest	(114)	(1,837)
Deferred real estate tax credits	2,608	1,312
Prepaid maintenance	1,825	2,927
NET CASH PROVIDED BY OPERATING ACTIVITIES	57,381	52,835
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of improvements	(170,668)	(116,394)
Deposit - fence installation	8,200	(8,200)
NET CASH USED IN INVESTING ACTIVITIES	(162,468)	(124,594)
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal payments on mortgage	(19,808)	(32,996)
Contributions to capital	19,808	32,996
Payoff old mortgage	-	(1,582,318)
Proceeds from new mortgage	-	1,850,000
Mortgage refinance costs	-	(62,842)
Principal payments on boiler note	(9,421)	-
Financing to obtain boiler	77,000	-
NET CASH PROVIDED BY FINANCING ACTIVITIES	67,579	204,840
NET INCREASE (DECREASE) IN CASH	(37,508)	133,081
CASH AT BEGINNING OF YEAR	241,631	108,550
CASH AT END OF YEAR	$ 204,123	$ 241,631

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Statements of Cash Flows (con't.)
For The Years Ended December 31, 1999 and 1998

	1999	1998
CASH - OPERATING ACCOUNT	$ 15,562	$ 6,075
CASH - RESERVE FUND	188,561	235,556
	$ 204,123	$ 241,631
SUPPLEMENTAL DISCLOSURE		
Income taxes paid	$ 1,538	$ 1,340
Interest paid	$ 127,926	$ 138,531

See accompanying notes to financial statements.

Crestwood Apartment Owners, Corp.
Notes to Financial Statements
December 31, 1999 and 1998

Note 1 NATURE OF ORGANIZATION

The Corporation was formed on October 26, 1988 pursuant to the Business Corporation Law of the State of New York, to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the capital base provision of New York State. The Corporation commenced operations on September 13, 1990, when it acquired the land and building at 124-16 84th Road, Kew Gardens, New York for $3,926,241. The building is a six story with two elevators consisting of 71 residential units and one superintendent unit. The primary purpose of the Corporation is to manage the operations of Crestwood Apartment Owners, Corp., and maintain its common elements.

Note 2 SIGNIFICANT ACCOUNTING POLICIES

A) Basis of Accounting
The Corporation's policy is to prepare its financial statements on the accrual basis. Therefore, revenue and related assets are recognized when earned, rather than when received, and expenses are recognized when the obligation is incurred rather than when paid.

B) Depreciation
The building is being depreciated using the straight-line method over an estimated useful life of 27.5 years. Improvements are being depreciated using the straight-line method over estimated useful lives of 7 years.

C) Maintenance Assessments
Stockholders are subject to monthly assessments to provide funds for the Corporation's operating expenses and repairs and replacements. As of December 31, 1999 and 1998 monthly maintenance charges were $2.8033 per share. Any excess assessments at year-end are retained by the Corporation for use in future years.

D) Cash and Cash Equivalents
For purposes of the statement of cash flows, the Corporation considers all highly liquid debt instruments with a maturity of three months or less to be cash equivalents.

E) Mortgage Refinance Costs
On June 23, 1998, the Corporation refinanced its mortgage and incurred closing costs amounting to $62,842 which are being amortized over a ten year period.

	1999	1998
Mortgage refinance costs	$ 62,842	$ 62,842
Less: Accumulated amortization	(9,118)	(2,834)
Net mortgage refinance costs	$ 53,724	$ 60,008

Note 2 SIGNIFICANT ACCOUNTING POLICIES (con't.)

F) Sponsor Owned Shares

As of December 31, 1999 and 1998 the Sponsor owned 7,205 and 7,769 shares respectively, of the total 14,957 shares, representing 48% and 52%. In addition, the Sponsor owed the Corporation approximately $0 in maintenance assessments at December 31, 1999 and $8,988 at December 31, 1998.

G) Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period.

H) Real Estate Tax Credits and Maintenance Charges

In 1999 and 1998, certain tenant-stockholders qualify for special real estate tax credits. Such credits are applied directly against the corporation's real estate tax assessment and result in an overall reduction of real estate tax expense. Concurrently, maintenance charges are also reduced by the aggregate amount of real estate tax credits granted to such tenant-stockholders as of the date granted. Maintenance charges and real estate taxes were reduced by $8,789 in 1999 and $3,472 in 1998.

Note 3 MORTGAGE NOTE PAYABLE

Mortgagee: Queens County Savings Bank

Terms: Ten years, with the unpaid balance due, in full, June 30, 2008. Monthly payments of $12,153.18 for principal and interest at 6.875% are based on a 30 year amortization schedule.

The following is a schedule of the required future principal payments over the next five years and therafter:

2000	$ 21,213
2001	22,718
2002	24,330
2003	26,057
2004	27,906
thereafter	1,700,108

Note 4 FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the building's systems and major components and estimates of the costs of major repairs and replacements that may be required in the future. Although the presentation of this information is required by the American Institute of Certified Public Accountants to supplement the basic financial statements, such presentation is not required by law of other governmental rules or regulations.

The Corporation's governing documents do not require the accumulation of funds to finance estimated future repairs and replacements. When funds are required to meet future needs for major repairs and replacements, the Corporation can borrow, increase maintenance charges, assess tenant shareholders, utilize existing reserves or delay repairs and maintenance until funds are available. The effect on future major maintenance charges and assessments has not been determined.

Note 5 REAL ESTATE TAXES

The Corporation was awarded a J-51 real estate tax abatement issued by the N.Y.C. Department of Housing Preservation Development. Real estate taxes will be reduced by approximately $15,800 per year until approximately the year 2006.

Note 6 ACCOUNTS PAYABLE AND ACCRUED EXPENSES

Accounts payable and accrued expenses consist of the following:

Exterminator	$ 325	$ -
Heating	5,372	6,341
Repairs	-	1,139
Miscellaneous	-	275
Accounting	3,250	3,100
Corporate taxes	65	98
Supplies	-	1,643
Elevator	-	465
Electricity	972	1,144
Improvements	5,155	4,353
Other interest	220	-
	$ 15,359	$ 18,558

Note 7 CORPORATE TAXES

The Internal Revenue Service, New York State Department of Taxation and Finance and New York City Department of Finance have been asserting claims against cooperative housing corporations that they are subject to tax, at corporate rates, pursuant to Section 277 of the Internal Revenue Code (IRC), on net income received from other than tenant stockholders.

In 1996, the United States Tax Court ruled that cooperative housing corporations that qualify under Section 216 of the IRC are affected by Subchapter T of the IRC and, based on earlier decisions of the Tax Court and the U.S. Claims Court, precludes taxation of certain non-member net income under Section 277. The IRS has not acquiesced to the ruling of the tax court.

Income tax liability, if any, that may result from the application of Section 277, notwithstanding Subchapter T, as interpreted by the IRS, has not been reflected in the financial statements, nor has the Corporation been notified of a claim.

Note 8 CURRENT YEAR IMPROVEMENTS

The Corporation expended the following for improvements:

	1999	1998
Beginning balance	$ 285,751	$ 17,489
Boiler	92,200	-
Security camera system	-	3,966
Plumbing	6,882	5,500
Sidewalk replacement	-	106,928
Fence	28,675	-
Landscaping	32,568	-
Common area	3,956	-
Fire escapes	6,387	-
Ending balance	$ 456,419	$ 133,883

Note 9 ADDITIONAL PAID-IN-CAPITAL

	1999	1998
Beginning balance	$ 285,751	$ 252,755
Mortgage amortization	19,808	32,996
Ending balance	$ 305,559	$ 285,751

Note 10 NOTE PAYABLE - BOILER

The corporation financed its new boiler with Brooklyn Union Gas Company as follows:

Original amount of loan: $77,000.

Terms : Sixty (60) consecutive monthly payments of $1,114.60, representing principal and interest at an interest rate of 3.9% per annum.

Principal maturities over the next five years are as follows:

2000	14,599
2001	15,178
2002	15,781
2003	16,408
2004	5,613

DOCUMENT NO. 3

THE CRES . WOOD APARTMENT OWNERS CORP BUDGET 2000

	BUDGET	ACTUAL	BUDGET	BUDGET
INCOME	1999	1/1/99-12/31/99	% USED	2000
MAINTENANCE FEES	502,555.00	511485.00	101.78%	502555.00
GARAGE FEES	8,200.00	10235.00	124.82%	9000.00
LATE FEES	500.00	634.00	126.80%	500.00
LAUNDRY	3,000.00	3000.00	100.00%	3000.00
SUBLEASE FEES	1,800.00	1020.00	56.67%	1800.00
MORTGAGE ESCROW REFUND	0.00	14823.00		5000.00
OTHER INCOME	500.00	0.00		500.00
TOTAL INCOME	**516,555.00**	**541,197.00**	**104.77%**	**522,355.00**
EXPENSES				
MORTGAGE- P & I	145,838.00	145838.00	100.00%	145838.00
MORTGAGE-TAX ESCROW	94,978.00	96771.00	101.89%	97084.00
MORTGAGE ESCROW-WATER	32,000.00	31896.00	99.68%	0.00
WATER AND SEWER-METER	0.00	0.00		2667.00
SHAREHOLDER TAX ABATEMENT	7,870.00	7870.00	100.00%	9715.00
SENIOR CITIZEN TAX ABATE	2,500.00	761.00	30.44%	1000.00
MANAGEMENT FEES	16,152.00	16152.00	100.00%	16152.00
PAYROLL & TAXES	75,000.00	75027.00	100.04%	75000.00
EMPLOYEE BENEFITS	10,032.00	11727.00	116.90%	12943.00
PAYCHEX FEES	550.00	736.00	133.82%	750.00
WORKERS COMPENS.	2,000.00	1167.00	58.35%	2000.00
HEAT FUEL	26,150.00	24820.00	94.91%	30000.00
OIL HEAT	0.00	0.00	ERR	3500.00
ELECTRICITY	11,800.00	11918.00	101.00%	12000.00
REPAIR AND MAINTENANCE	15,000.00	10124.00	67.49%	10000.00
LANDSCAPING	2,400.00	0.00	0.00%	3000.00
ELEVATOR CONTRACT	5,583.00	6197.00	111.00%	5806.00
EXTERMINATOR	900.00	2374.00	263.78%	3888.00
BOILER SERVICE CONTRACT	974.00	0.00	0.00%	0.00
SUPPLIES	8,000.00	13061.00	163.26%	10000.00
ADMINISTRATIVE	1,200.00	1098.00	91.50%	1200.00
LICENSES AND PERMITS	1,900.00	1468.00	77.26%	1500.00
LEGAL	1,000.00	1425.00	142.50%	1500.00
ACCOUNTING	2,800.00	3375.00	120.54%	3375.00
INSURANCE	19,000.00	19249.00	101.31%	19000.00
CORPORATE TAX	1,500.00	1670.00	111.33%	1600.00
CONTINGENCY	14,453.00	0.00	0.00%	15000.00
TOTAL EXPENSES	**499,580.00**	**484,724.00**	**89.48%**	**484,518.00**
NET INCOME/LOSS	**16,975.00**	**56,473.00**		**37,837.00**
INTEREST INCOME	**6,000.00**	**8420.00**	**241.93%**	**10000.00**
BOILER LOAN EXPENSE	16,975.00	12732.00	75.00%	16975.00

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATE: February 27, 2003

SPONSOR: TJS ASSOCIATES, LLC

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

NINETEENTH AMENDMENT TO OFFERING PLAN
OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, the First Amendment dated February 9, 1989, the Second Amendment dated May 11, 1989, the Third Amendment dated October 4, 1989, The Fourth Amendment dated December 22, 1989, the Fifth Amendment dated March 13, 1990 the Sixth Amendment dated July 23, 1990, the Seventh Amendment dated September 12, 1990, the Eighth Amendment dated November 1, 1990, the Ninth Amendment dated January 18, 1991, the Tenth Amendment dated May 6, 1992, the Eleventh Amendment dated December 16, 1993, the Twelfth Amendment dated January 12, 1995, the Thirteenth Amendment dated April 26, 1996, the Fourteenth Amendment dated June 6, 1997, the Fifteenth Amendment dated August 18, 1998, the Sixteenth Amendment dated November 12, 1998, the Seventeenth Amendment dated January 25, 2001 and the Eighteenth Amendment dated January 21, 2003 (the "Plan") and should be read in conjunction therewith.

FIRST: **INCREASE IN PURCHASE PRICE**

The Sponsor hereby increases the Purchase Price for all Apartments to $800.00 per share.

SECOND: **INCORPORATION OF PLAN AND DEFINITION OF TERMS**

The Plan, as modified and supplemented hereby is incorporated herein by reference with the same effect as if set forth in this Amendment at length. Accordingly, all provisions, schedules and exhibits previously contained in the Plan shall be deemed amended to reflect the provisions contained herein. All of the terms used in this Amendment not otherwise defined shall have the same meaning ascribed to them in the Plan, as amended.

THIRD: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

This Amendment does not extend the term of the Plan.

TJS ASSOCIATES LLC
Sponsor and Holder of Unsold Shares

Dated: New York, New York
February 27, 2003

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

DATE: JANUARY 21, 2003

SPONSOR: TJS ASSOCIATES, LLC

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

EIGHTEENTH AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, as amended by seventeen (17) previous Amendments, and should be read in conjunction with said Offering Plan and Amendments (collectively the "Plan").

FIRST: **UPDATED INFORMATION**

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: **SHARES OWNED BY THE SPONSOR**

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $18,040.62. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $18,308.78.

THIRD: **OBLIGATIONS OF SPONSOR UNDER THE PLAN**

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: **OTHER NEW YORK STATE PROPERTIES**

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: **FINANCIAL STATEMENTS AND BUDGET**

Attached hereto as Document Nos. 2 and 3 respectively are the Financial Statements for the Apartment Corporation for the years ending December 31, 2001 and 2000 as prepared by Hoffberg Oberfest Burger & Berger, Certified Public Accountants, 711 Third Avenue, New York, New York 10017. The 2001 Budget for the Apartment Corporation are annexed hereto as Document No 3. The 2002 Budget for the Apartment Corporation was not available as of the submission of this Amendment to the Department of Law.

EIGHTH: **BOARD OF DIRECTORS**

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Janusz Wojciechoski	Vice President and Director
Lawrence Feinman	Treasurer and Director
George Kovac	Secretary and Director
William Dougherty	Director
Joel Aronofsky	Director
Ilona R. Resnick*	Vice President and Director
Avi Halperin*	Director
Jeanette Ciccone*	Asst. Secretary Director

* Designee of the Sponsor

NINTH: **CURRENT MAINTENANCE CHARGES**

The current maintenance charges were increased in July, 2001 to approximately $3.1033 per share per month.

TENTH: **NEW SECOND MORTGAGE**

On March 6, 2002, the Apartment Corporation closed on a $500,000.00 second mortgage Line Of Credit with National Consumer Cooperative Bank. This loan contains the following material terms as disclosed by the Attorneys for the Apartment Corporation:

Amount:	$500,000.00
Maturity Date:	the earlier of July 1, 2008 or the date of the refinance of the underlying first mortgage
Interest rate:	adjusts monthly at 3.75% per annum above the one month LIBOR rate
Prepayment:	without penalty in increments of $10,000.00
Late fees:	5% after 10 day grace period

ELEVENTH: **DEFINITIONS**

All terms used in this Eighteenth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TWELFTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the seventeen (17) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

THIRTEENTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

FOURTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Eighteenth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES, LLC
Sponsor and Holder of Unsold Shares

Dated: January 21, 2003
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
1A	148
1B	240
1G	208
2E	324
2H	209
2L	294
3E	325
3K	228
4B	243
4E	326
4J	202
4L	296
5A	152
5C	179
5D	230
5E	327
5F	152
5G	212
5H	212
5K	230
6C	180
6E	328
6H	213
6K	231
6L	298
25	5,987

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2001

CRESTWOOD APARTMENT OWNERS, CORP.

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Hoffberg
Oberfest
Burger &
Berger

Certified
Public
Accountants

711 Third Avenue
New York NY 10017
212 661 8640

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

e have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2001 and 2000, and the related statements of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than generally accepted accounting principles.

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2001 and 2000, and its revenues and expenses and deficit, and cash flows for the years then ended, on the basis of accounting described in Note 2.

As discussed in Note 6, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Hoffberg Oberfest Burger & Berger

New York, New York
February 26, 2002, except for Note 4,
as to which the date is March 6, 2002

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD

ASSETS

	December 31, 2001	December 31, 2000
Cash and cash equivalents	$ 58,931	$ 143,743
Escrow deposits (Note 3)	10,395	381
Accounts receivable - tenant-owners	4,716	2,232
Prepaid - insurance	3,613	3,827
- real estate taxes and other	19,611	26,850
	97,266	177,033
Property and equipment (Notes 2, 4 and 5)		
Building	3,337,305	3,337,305
Building improvements and equipment	411,431	319,554
	3,748,736	3,656,859
Less: Accumulated depreciation	1,406,399	1,283,976
	2,342,337	2,372,883
Land	588,936	588,936
	2,931,273	2,961,819
Deferred mortgage refinancing costs - net of accumulated amortization of $21,686 - 2001 and $15,402 - 2000 (Note 2)	49,656	47,440
Utility deposit	1,760	1,760
	51,416	49,200
	$3,079,955	$3,188,052

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities		
Accounts payable and accrued expenses	$ 26,147	$ 17,004
Accrued mortgage interest	10,189	10,319
Corporate taxes payable (Note 7)	202	31
Note payable - boiler (Note 5)	41,023	57,999
Mortgage payable (Note 4)	1,778,400	1,801,119
Total liabilities	1,855,961	1,886,472
Stockholders' equity (Notes 2 and 10)		
Capital stock - 14,957 shares authorized and issued	2,126,241	2,126,241
Capital in excess of par value	349,491	326,772
Deficit	(1,251,738)	(1,151,433)
Total stockholders' equity	1,223,994	1,301,580
	$3,079,955	$3,188,052

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2001	2000
Revenues		
Maintenance charges (Note 8)	$511,917	$494,938
Less: Contribution for mortgage amortization	(22,718)	(21,213)
	489,199	473,725
Parking income	8,100	8,100
Laundry income	3,000	3,000
Late fee and sublet fee income	2,125	2,337
Interest and dividend income	1,782	5,894
Sundry income	5,846	254
Total income - forwarded	510,052	493,310
Operating expenses		
Labor costs		
Salaries and labor	69,699	67,280
Payroll taxes	5,499	6,630
Workmen's compensation insurance	3,150	1,748
Health insurance	4,040	12,106
Total labor costs	82,388	87,764
Electricity and gas	26,685	24,778
Gas heat and heating oil	38,784	36,182
Telephone and miscellaneous expenses	1,724	3,175
Total operating expenses	149,581	151,899
Administrative expenses		
Management fees	20,000	17,755
Professional fees	14,900	10,422
Printing and miscellaneous expenses	1,515	1,458
Total administrative expenses	36,415	29,635
Repairs and maintenance		
Elevator	7,827	6,628
Supplies and tools	10,999	9,829
Plumbing and heating	9,254	10,625
Painting and decorating	7,350	336
Landscaping	6,434	8,714
Exterminating	4,317	3,452
Miscellaneous	9,113	8,857
Total repairs and maintenance	55,294	48,441
Expenses - forwarded	241,290	229,975

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2001	2000
Total revenues - forwarded	$ 510,052	$ 493,310
Total expenses - forwarded	241,290	229,975
General expenses		
Mortgage interest	122,990	124,504
Other interest		11,908
Real estate taxes - net of refund of $25,587 - 2001 (Note 8)	70,025	110,331
Water and sewer expense - net of refund of $18,809 - 2001	24,292	32,216
Insurance	20,531	20,495
Permits and fees	482	1,827
Corporation taxes (Note 7)	2,040	1,542
Amortization of deferred mortgage costs	6,284	6,284
Total general expenses	246,644	309,107
Total expenses before depreciation	487,984	539,082
Excess (deficiency) of revenues over expenses before depreciation	22,118	(45,772)
Depreciation	122,423	137,956
Net loss	(100,305)	(183,728)
Deficit - beginning of year	(1,151,433)	(967,705)
Deficit - end of year	$(1,251,738)	$(1,151,433)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31,	
	2001	2000
Cash flows from operating activities		
Net loss	$(100,305)	$(183,728)
Adjustments		
Depreciation and amortization	128,707	144,240
Accounts receivable - tenant-owners	(2,484)	687
Escrow deposits	(10,014)	10,428
Prepaid expenses	7,453	(4,230)
Accounts payable and accrued expenses	9,013	1,526
Corporate taxes payable	171	31
Prepaid maintenance	-	(4,751)
Net cash provided by (used for) operating activities	32,541	(35,797)
Cash flows from investing activities		
Real property acquisitions	(91,877)	(15,003)
Cash flows from financing activities		
Payment of mortgage note	(22,718)	(21,213)
Contribution by tenant cooperators	22,718	21,213
Mortgage refinancing costs	(8,500)	
Payment of note payable - boiler	(16,976)	(9,580)
Net cash used for financing activities	(25,476)	(9,580)
Net decrease in cash and cash equivalents	(84,812)	(60,380)
Cash and cash equivalents - beginning of year	143,743	204,123
Cash and cash equivalents - end of year	$ 58,931	$ 143,743
Supplemental cash flow data		
Cash paid during year for:		
Interest	$123,120	$136,533
Corporation taxes	$1,786	$1,577

See accompanying notes to financial statements.

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by generally accepted accounting principles. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance paid by tenant-cooperators under proprietary leases which is used for mortgage amortization is deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2001 and 2000, this amounted to $22,718 and $21,213 respectively.

The building is being depreciated using the straight-line method over a period of 35 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 5 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

NOTE 3 - ESCROW DEPOSITS

Under the terms of the mortgage, the Company is required to make monthly escrow deposits in an amount equal to 1/12th of the estimated annual real estate taxes. As of December 31, 2001, the Company was making monthly escrow payments of $7,942.

NOTE 4 - MORTGAGE PAYABLE

The property is encumbered by a mortgage with Queens County Savings Bank in the initial principal amount of $1,850,000. The mortgage provides for monthly payments of $12,153 applicable first to interest at the rate of 6.875% per annum and the balance to principal to June 30, 2008 when the balance of $1,585,898 is due.

Under the terms of the mortgage, a charge of 4% is imposed after 10 days for late payments. The Company has assigned a security interest in all equipment as well as its rights to collection of rents and all present and future leases as collateral.

Annual principal payments are as follows:

Year Ended December 31,	Amount
2002	$ 24,330
2003	26,057
2004	27,906
2005	29,886
2006	32,006
Thereafter	1,638,215
	$1,778,400

On March 6, 2002 the Company obtained a $500,000 secured line of credit (line) with National Cooperative Bank (NCB). In connection with this transaction the Company incurred mortgage costs of approximately $20,000 and purchased Class B-1 stock in NCB of 1% of the line amount ($5,000).

The Company is also required to maintain a certificate of deposit in the amount of $10,000 with NCB. The loan may be used only to fund capital expenditures or reserve funds in amounts of not less than $10,000. NCB has the right to review all contracts before approving funding. During the initial five year period of the draw, interest only payments at the rate of LIBOR plus 3.75% are due monthly. Thereafter, principal payments of a $100 monthly minimum and interest are due to June 1, 2008 when the outstanding balance is due.

Under the terms of the line a 5% late charge is imposed after 10 days. The line may be repaid in minimum amounts of $10,000 without penalty during the term of the loan.

NOTE 5 - NOTE PAYABLE - BOILER

The Company entered into an agreement with Keyspan Energy to convert the heating system from oil to gas. Keyspan Energy loaned the Company $77,000 to engage a contractor to purchase and install all required equipment. The note provides for monthly payments of $1,415 applicable first to interest at the rate of 3.9% per annum and the balance to principal for sixty months. Keyspan Energy also has a security interest in all equipment. Annual principal payments are as follows:

Year Ended December 31,	Amount
2002	$15,781
2003	16,408
2004	8,834
	$41,023

NOTE 6 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the board of directors developed a formal plan to fund those needs. When funds are required for major repairs and replacements, the Company plans to utilize available funds, borrow, increase maintenance assessments, or delay repairs and replacements until funds are available.

NOTE 7 - CORPORATION TAXES

The Company is subject to federal and state and city taxation pursuant to Subchapter T of the Internal Revenue Code.

NOTE 8 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. The Board of Directors approved a 7.5% increase in maintenance charges effective July 1, 2001. At December 31, 2001 and 2000 monthly maintenance charges were $3.0133 and $2.8033 per share respectively. Tenant-cooperators are billed monthly based on their respective stock holdings. The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $10,079 and $8,216 for 2001 and 2000, respectively.

NOTE 9 - FINANCIAL INSTRUMENTS

From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

NOTE 10 - UNSOLD SHARES

The sponsor held 6,651 shares in the Company, or approximately 45%, at December 31, 2001 and 2000.

DOCUMENT NO. 3

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2000

CRESTWOOD APARTMENT OWNERS, CORP.

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Hoffberg Oberfest Burger & Berger

Certified Public Accountants

711 Third Avenue
New York NY 10017
212 661 8640

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

We have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2000, and the related statement of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the year then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than generally accepted accounting principles.

In our opinion, the financial statement referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2000, and its revenues and expenses and deficit, and cash flows for the year then ended, on the basis of accounting described in Note 2.

As discussed in Note 6, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Hoffberg Oberfest Berger & Berger

New York, New York
September 25, 2001

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2000

ASSETS

Cash and cash equivalents	$ 143,743
Escrow deposits (Note 3)	381
Accounts receivable - tenant-owners	2,232
Prepaid - insurance	3,827
- real estate taxes and other	26,850
	177,033
Property and equipment (Notes 2, 4 and 5)	
Building	3,337,305
Building improvements and equipment	319,554
	3,656,859
Less: Accumulated depreciation	1,283,976
	2,372,883
Land	588,936
	2,961,819
Deferred mortgage refinancing costs - net of a amortization of $15,402 (Note 2)	47,440
Utility deposit	1,760
	49,200
	$3,188,052

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities	
Accounts payable and accrued expenses	$ 17,004
Accrued mortgage interest	10,319
Corporate taxes payable (Note 7)	31
Note payable - boiler (Note 5)	57,999
Mortgage payable (Note 4)	1,801,119
Total liabilities	1,886,472
Stockholders' equity (Notes 2 and 10)	
Capital stock - 14,957 shares authorized and issued at par value per share	2,126,241
Capital in excess of par value	326,772
Deficit	(1,151,433)
Total stockholders' equity	1,301,580
	$3,188,052

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD
YEAR ENDED DECEMBER 31, 2000

Revenues	
Maintenance charges (Note 8)	$494,938
Less: Contribution for mortgage amortization	(21,213)
	473,725
Parking income	8,100
Laundry income	3,000
Late fee and sublet fee income	2,337
Interest and dividend income	5,894
Sundry income	254
Total income - forwarded	493,310
Operating expenses	
Labor costs	
Salaries and labor	67,280
Payroll taxes	6,630
Workmen's compensation insurance	1,748
Health insurance	12,106
Total labor costs	87,764
Electricity and gas	24,778
Gas heat and heating oil	36,182
Telephone and miscellaneous expenses	3,175
Total operating expenses	151,899
Administrative expenses	
Management fees	17,755
Professional fees	10,422
Printing and miscellaneous expenses	1,458
Total administrative expenses	29,635
Repairs and maintenance	
Elevator	6,628
Supplies and tools	9,829
Plumbing and heating	10,625
Painting and decorating	336
Landscaping	8,714
Exterminating	3,452
Miscellaneous	8,857
Total repairs and maintenance	48,441
Expenses - forwarded	229,975

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD
YEAR ENDED DECEMBER 31, 2000

Total revenues - forwarded	$ 493,310
Total expenses - forwarded	229,975
General expenses	
Mortgage interest	124,504
Other interest	11,908
Real estate taxes (Note 8)	110,331
Water and sewer expense	32,216
Insurance	20,495
Permits and fees	1,827
Corporation taxes (Note 7)	1,542
Amortization of deferred mortgage costs	6,284
Total general expenses	309,107
Total expenses before depreciation	539,082
Deficiency of revenue over expenses before depreciation	(45,772)
Depreciation	137,956
Net loss	(183,728)
Deficit - beginning of year	(967,705)
Deficit - end of year	$(1,151,433)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD
YEAR ENDED DECEMBER 31, 2000

Cash flows from operating activities	
Net loss	$(183,728)
Adjustments	
Depreciation and amortization	144,240
Accounts receivable - tenant-owners	687
Escrow deposits	10,428
Prepaid expenses	(4,230)
Accounts payable and accrued expenses	1,526
Corporate taxes payable	31
Prepaid maintenance	(4,751)
Net cash used for operating activities	(35,797)
Cash flows from investing activities	
Real property acquisitions	(15,003)
Cash flows from financing activities	
Payment of mortgage note	(21,213)
Contribution by tenant cooperators	21,213
Payment of boiler note	(9,580)
Net cash used for financing activities	(9,580)
Net decrease in cash and cash equivalents	(60,380)
Cash and cash equivalents - beginning of year	204,123
Cash and cash equivalents - end of year	$ 143,743
Supplemental cash flow data	
Cash paid during year for:	
Interest	$136,533
Corporation taxes	$1,577

See accompanying notes to financial statements.

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by generally accepted accounting principles. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance paid by tenant-cooperators under proprietary leases which is used for mortgage amortization is deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2000, this amounted to $21,213.

The building is being depreciated using the straight-line method over a period of 27-1/2 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 7 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

NOTE 3 - ESCROW DEPOSITS

Under the terms of the mortgage, the Company is required to make monthly escrow deposits in an amount equal to 1/12th of the estimated annual real estate taxes. As of December 31, 2000, the Company was making monthly escrow payments of $8,338.

NOTE 4 - MORTGAGE PAYABLE

The property is encumbered by a mortgage with Queens County Savings Bank in the principal amount of $1,850,000. The mortgage provides for monthly payments of $12,153 applicable first to interest at the rate of 6.875% per annum and the balance to principal to June 30, 2008 when the balance of $1,585,898 is due.

Under the terms of the mortgage, a charge of 4% is imposed after 10 days for late payments. The Company has assigned a security interest in all equipment as well as its rights to collection of rents and all present and future leases as collateral.

Annual principal payments are as follows:

Year Ended December 31,	Amount
2001	$ 22,718
2002	24,330
2003	26,057
2004	27,906
2005	29,886
Thereafter	1,670,222
	$1,801,119

NOTE 5 - NOTE PAYABLE - BOILER

During 1999 the Company entered into an agreement with Keyspan Energy to convert the heating system from oil to gas. Keyspan Energy loaned the Company $77,000 to engage a contractor to purchase and install all required equipment. The note provides for monthly payments of $1,415 applicable first to interest at the rate of 3.9% per annum and the balance to principal for sixty months. Keyspan Energy also has a security agreement in all equipment. Annual principal payments are as follows:

Year Ended December 31,	Amount
2001	$15,178
2002	15,781
2003	16,408
2004	10,632
	$57,999

NOTE 6 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the board of directors developed a formal plan to fund those needs. When funds are required for major repairs and replacements, the Company plans to utilize available funds, borrow, increase maintenance assessments, or delay repairs and replacements until funds are available.

NOTE 7 - CORPORATION TAXES

The Company is subject to federal and state and city taxation on net income derived from transactions with non-patrons pursuant to Subchapter T of the Internal Revenue Code.

NOTE 8 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. At December 31, 2000 monthly maintenance charges were $2.8033 per share. Tenant-cooperators are billed monthly based on their respective stock holdings. The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $8,216 for 2000.

NOTE 9 - FINANCIAL INSTRUMENTS

From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

NOTE 10 - UNSOLD SHARES

The sponsor held 6,651 shares in the Company, or approximately 45% at December 31, 2000.

DOCUMENT NO. 4

CRESTWOOD APARTMENT OWNERS CORP.
PROPOSED 2001 BUDGET

4/23/2001

	1999 ACTUAL	2000 BUDGET	PROPOSED 2001 BUDGET	
INCOME:				
Maintenance	503,615	502,555	503,154	[1]
Less: Abatement	(8,789)	(10,715)	(7,639)	
Net Maintenance	494,826	491,840	495,515	
Laundry	3,000	3,000	3,000	
Parking	10,253	9,000	8,100	
Interest	8,650	10,000	6,000	[2]
Other	2,200	2,800	17,500	[2A]
Mortgage Escrow Refund	-	5,000	-	
TOTAL INCOME	518,929	521,640	530,115	
OPERATING EXPENSE:				
Electricity & Gas	11,745	12,000	15,000	
Heat	25,266	33,500	80,000	[7]
Insurance	19,189	19,000	20,000	
Legal Fees	1,425	1,500	2,500	
Accounting Fees	3,250	3,375	3,400	
Management Fees	16,152	16,152	20,000	
Payroll & Related Costs	87,061	89,943	70,734	[8]
Real Estate Taxes	83,011	97,084	101,152	[4]
Water & Sewer	31,897	33,529	33,827	[3]
Repairs & Maintenance	17,976	16,888	22,000	
Elevator Service	5,731	5,806	6,125	
Supplies	11,418	10,000	10,500	
Office & Administrative	2,964	1,950	2,000	
License & Permits	528	1,500	1,000	
Mortgage Interest & Principal	145,725	145,838	145,848	[5]
Other Interest	2,115	-	-	
Corporate Taxes	1,507	1,600	1,600	
Contingency	-	15,000	-	
Boiler Loan	-	16,975	13,375	[6]
TOTAL OPERATING EXPENSE	466,960	521,640	549,061	
PROJECTED INCOME (LOSS)	51,969	-	(18,946)	

* The above deficit will require a .21 per share increase effective July 1, 2001.

CRESTWOOD APARTMENT OWNERS CORP.
FOOTNOTES TO 2001 BUDGET

4/23/01

NOTE 1 MAINTENANCE

41,929.46	x	12	months	503,154

NOTE 2 INTEREST

Reserve Balance

120,000	@	5%	6,000

NOTE 2A INCLUDES J-51 UNCLAIMED MONIES 15,000

NOTE 3 HEALTH & WELFARE

7/1/2000			32,216
Increase	@	5%	33,827

NOTE 4 REAL ESTATE TAXES

7/1-7/30/01	108,791
Less: Coop Abatement	(7,639)
	101,152
1/1-6/30/01	50,091
7/1-12/31/01	51,061
	101,152

NOTE 5 MORTGAGE INTEREST AND PRINCIPAL

Queens County Savings

12,154	x	12=	145,848

NOTE 6 BOILER LOAN

Brooklyn Union Gas Company

1,114.60	x	12=	13,375

NOTE 7 HEAT

Actual (1/1-3/31/01)	30,796
Project Oct, Nov, Dec	30,796
Project April-Sept	18,408
	80,000

NOTE 8 PAYROLL AND RELATED COSTS

588.40	Superintendent @ 60 weeks		35,304
500.00	Porter @ 58 weeks		29,000
			64,304
	Payroll Taxes	10%	6,430
			70,734

Service To	Account Number	Next Meter Reading	Bill Date
CRESTWOOD APARTMENT OWNER 12416 84 RD HHWH JAMAICA, NY 11415	10425-66220	Jan 30 '01	Dec 28 '00
	Rate 6M2 TC Multifamily		*For Customer Assistance* *Please call (718) 643-4050*

CURRENT BILL ITEMIZED

In 30 days you used 10613 therms:

Dec 28 2000 reading ACTUAL	084629
Nov 28 2000 reading ACTUAL	074559
Difference for Meter # 009826627	10070
Fixed Factor Multiplier	x1.0167
	10238
Thermal Factor	x1.0366
Total therms used	10613

Your Cost is determined as follows:

Minimum Charge (First 10.0 therms or less)	$201.01
Next 10603.0 @ $.7842	8,314.87
SUB-TOTAL	$8,515.88
MTA & N.Y. State Surcharges	56.20
4.0000 % Sales Tax	342.88
TOTAL CURRENT CHARGES	**$8,914.96**

SUMMARY OF CHARGES

Total Current Charges	$8,914.96
Amount Due Last Bill	5,535.52
Your Total Payments Since Last Bill. Thank You!	-5,535.52
Please Pay Upon Receipt	**$8,914.96**

If payment received after 01/20/2001
a late payment charge of $133.72
(1.5% of outstanding charges) may be added.

VC 154
1/15/01
#211

IMPORTANT MESSAGES

The price we pay for natural gas supply changes regularly and right now this price is increasing. If gas supply prices remain where they currently are and we have "normal" winter temperatures, our customers' annual (July-June) gas costs will be higher by approximately 35% or more this year. So far the average temperature this winter has been colder than a "normal" winter. The price we pay for gas supply, set by the competitive marketplace, is what we charge you. We do not add any other costs or profit to this price. Our gas delivery charges, determined by rates, remain stable.

We sincerely appreciate the prompt way you pay your bills.

Your contribution to the Neighborhood Heating Fund will help keep some of your neighbors, who are facing hard times, warm this winter. Please see the enclosed envelope.

An electronic meter reading device provides us with your actual meter reading.

KEYSPAN
Energy Delivery

See back for definitions of terms used in this bill and more information.

@ 30,000 fuel surcharge

Service To	Account Number	Next Meter Reading	Bill Date
CRESTWOOD APARTMENT OWNER 12416 84 RD HHWH JAMAICA, NY 11415	10425-66220	Feb 28 '01	Jan 30 '01
	Rate 6M2 TC Multifamily	For Customer Assistance Please call (718) 643-4050	

CURRENT BILL ITEMIZED

In 33 days you used 12855 therms:

Jan 30 2001 reading ACTUAL	096796
Dec 28 2000 reading ACTUAL	084629
Difference for Meter # 009826627	12167
Fixed Factor Multiplier	x1.0167
	12370
Thermal Factor	x1.0392
Total therms used	12855

Your Cost is determined as follows:

Minimum Charge (First 11.0 therms or less)	$221.11
Next 12844.0 @ $.8665	11,129.33
SUB-TOTAL	$11,350.44
MTA & N.Y. State Surcharges	74.91
4.0000 % Sales Tax	457.01
TOTAL CURRENT CHARGES	$11,882.36

SUMMARY OF CHARGES

Total Current Charges	$11,882.36
Amount Due Last Bill	8,914.96
Your Total Payments Since Last Bill. Thank You!	-8,914.96
Please Pay Upon Receipt	$11,882.36

If payment received after 02/22/2001
a late payment charge of $178.24
(1.5% of outstanding charges) may be added.

O VC #190

3/6/01

#226

IMPORTANT MESSAGES

As a result of a national increase in energy prices and the colder than "normal" winter in the Northeast, your GAS SUPPLY CHARGES continue to increase. To help hold gas supply costs down, we purchased much of our winter supply last summer at lower prices, but must buy the balance at today's prices which are more than three times what they were a year ago. We do not profit from higher prices charged by Gas Producers. Our GAS DELIVERY CHARGES, which are regulated, remain stable.

We sincerely appreciate the prompt way you pay your bills.

Your contribution to the Neighborhood Heating Fund will help keep some of your neighbors, who are facing hard times, warm this winter. Please see the enclosed envelope.

An electronic meter reading device provides us with your actual meter reading.

KEYSPAN
Energy Delivery

See back for definitions of terms used in this bill and more information

HESS NATURAL GAS UPDATE 4/10/01

THE WALL STREET JOURNAL TUESDAY, APRIL 10, 2001

Fears of Tight Supply Boost Natural-Gas Prices

COMMODITIES

By PETER A. MCKAY
Staff Reporter of THE WALL STREET JOURNAL

NEW YORK—Natural-gas futures rose on fresh supply worries that may signal a return to surging prices.

Nearby May-contract futures increased 1.7%, or 8.9 cents, to $5.477 per million British thermal units. So far, natural gas is up 9% this month at the New York Mercantile Exchange on worries that U.S. reserves are dangerously low heading into the summer, when gas usage will shift from home heating to electricity generation, particularly for air conditioners.

Prices had risen to more than $9 at the end of 2000 before dropping through March as traders realized that reserves weren't likely to move below the psychologically important level of 500 billion cubic feet heading into spring. Even without that worst-case scenario panning out, however, the current level of 627 million cubic feet is still down 37% from year-ago storage—a fact that is beginning to sink in this week, analysts said.

Also supporting prices were cold weekend weather in the Northeast and warm temperatures in California, where drought conditions are developing that could crimp hydroelectric generation and increase demand for gas-generated power.

"The days of $2 to $2.50 gas are gone for some time, if not forever," said Jay Yanello, senior energy analyst for UBS Warburg. "There is a series of factors that will keep prices well above $4, which is effectively twice the historical level."

Indeed, Nymex gas futures have skyrocketed 84% since this time last year, when they closed at $2.971 per million BTUs. Analysts say the market has fundamentally changed now that urban heat waves have become almost routine, gas-powered electric generators have become politically popular as a "clean" power source and electricity use has ballooned in the computer age.

"It took many years to get into this situation. It will take many years to get out," Mr. Yanello said.

Guy Gleichmann, president of United Commodity Traders in Hollywood, Fla., estimated that electricity-related gas demand will rise by as much as 4% again this summer. "We are at a dangerously low inventory level going into the cooling season," he said. "Traders' memories are short, but keep in mind that our storage is actually worse than it was last year, when prices doubled."

Led by gasoline, other energy futures also jumped at Nymex yesterday. May gasoline futures rose 2.3%, or 2.2 cents, to 99.12 cents per gallon; crude-oil futures rose 0.8%, or 22 cents, to $27.28 per barrel; and heating-oil futures rose 1%, or 0.75 cent, to 73.58 cents per gallon.

Prompting gasoline's surge was a warning by the federal Energy Information Administration Friday that tight supply leaves fuel prices vulnerable to sharp increases if disruptions or bottlenecks occur. The EIA forecasts retail gasoline prices will average $1.49 a gallon this summer, slightly lower than last summer, when Midwestern refiners in particular struggled to produce reformulated fuel to meet revised federal environmental regulations.

Private analysts aren't so sure that the situation will improve this summer.

Retail gasoline prices shot up 7.1 cents to an average of $1.54 a gallon during the past two weeks, the first such rise since early January, according to the Lundberg Survey of 8,000 filling stations nationwide. That jump could be the foundation of another ugly price increase, said analyst John Kilduff of Fimat USA Inc.

"If you thought last year's crisis was bad, wait until you see this," he said.

	OPEN	HIGH	LOW	SETTLE	CHANGE	LIFETIME HIGH	LIFETIME LOW
Natural Gas, (NYM) 10,000 MMBtu.; $ per MMBtu's							
May	5.475	5.566	5.365	5.477	+ .069	8.220	2.119
June	5.490	5.630	5.437	5.536	+ .095	8.140	2.095
July	5.525	5.670	5.482	5.585	+ .101	8.140	2.095
Aug	5.502	5.705	5.502	5.620	+ .105	6.095	2.102
Sept	5.482	5.680	5.482	5.600	+ .105	8.040	2.137
Oct	5.508	5.690	5.508	5.610	+ .106	6.050	2.133
Nov	5.780	5.810	5.740	5.735	+ .111	6.140	2.275
Dec	5.850	5.920	5.810	5.848	+ .111	6.270	2.415
Ja02	5.900	5.960	5.900	5.885	+ .113	6.290	2.456
Feb	5.720	5.760	5.660	5.700	+ .113	6.030	2.440
Mar	5.370	5.410	5.370	5.355	+ .113	5.730	2.360
Apr	n.a.	4.840	4.800	4.790	+ .078	4.920	2.290
May	4.670	4.710	4.640	4.655	+ .076	4.775	2.355
June	4.720	4.720	4.665	4.660	+ .075	4.770	2.345
July	4.750	4.750	4.750	4.690	+ .078	4.750	2.365
Aug	4.760	4.760	4.699	4.697	+ .078	4.770	2.412
Sept	4.740	4.740	4.705	4.677	+ .078	4.770	2.423
	4.740	4.740	4.740	4.677	+ .078	4.785	2.465
	...	...	...	4.792	+ .078	4.890	2.630
	1.920	4.920	4.920	4.897	+ .078	5.010	2.720

OIL PRICES

Monday, April 9, 2001

CRUDE GRADES	Mon	Fri	Yr. Ago
Domestic			
Spot market			
W. Tex. Int Cush (2300-2525) (May)	27.28	27.06	23.85
W. Texas, Mid (1900-2100)	23.70	23.70	21.65
Louisiana Sweet (2300-2575)	27.10	27.00	23.00
AL No. Slope Posted Ofl	25.60	25.40	23.23

Open-Market crude oil values in Northwest Europe around 17:50 GMT in dirs per barrel, for main loading ports in country of origin for prompt loading, except as indicated.

REFINED PRODUCTS			
Fuel Oil, No. 2 NY gal	.7633	.7696	.6815
Diesel Fuel, 0.05 S, NY harbor low sulfur	.7633	.7647	.7118
Gasoline, unlead, premium NY gal. non-oxygenated	1.1350	1.1192	.7441
Gasoline, unlead, premium NY gal. oxygenated	1.2282	1.1942	.7815
Gasoline, unlead, reg. NY gal. non-oxygenated	.9287	.9042	.6979
Gasoline, unlead, reg. NY gal. oxygenated	1.0000	.9780	.7841
RAW PRODUCTS			
Natural gas Henry Hub, $ per mmbtu	5.450	5.330	2.990

The market is far from where it needs to be in order to reverse the volatility and price surges. Unless we have a very cool summer, next winter's pricing could be even higher than last winter.

If you are still have a floating price, or your fixed agreement is due to expire soon, it is important we talk as soon as possible.

Your options are:

1) Fix a price for gas & interstate transportation.
2) Fix a price for interstate transportation
3) If your have duel-fuel capabilities, you should switch to oil.

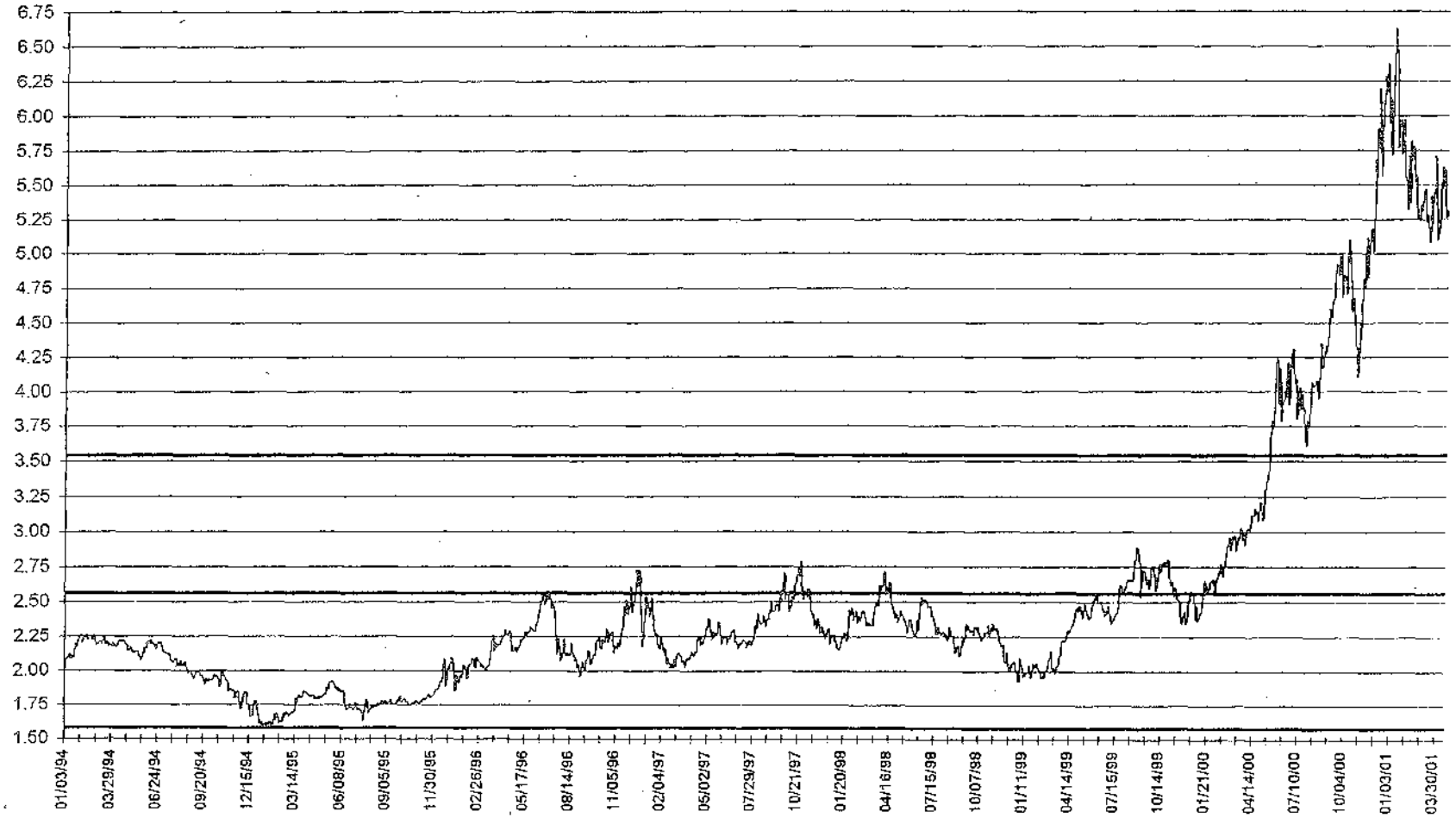
From: *Michael Haledjian*
Senior Account Manager
Hess Energy Marketing Dept.
(212) 964-7712 Ext. 6853

Date: 4/25/01 Time: 1:52:08 PM
From: Michael Haledjian 201-863-3426 To: Arthur Meltzer

I thought you might find this of interest.

From:
Michael Haledjian
Senior Account Manager
212-994-7712, Ext. 6853

Natural Gas NYMEX
12 Month Average Settlement Price Per Day
January 4, 1994 - April 24, 2001
Hess Energy Marketing Department



PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: TJS ASSOCIATES, LLC

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

TWENTY FIRST AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, as amended by twenty (20) previous Amendments, and should be read in conjunction with said Offering Plan and Amendments (collectively the "Plan").

FIRST: **UPDATED INFORMATION**

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: **SHARES OWNED BY THE SPONSOR**

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the shares owned by the Sponsor is approximately $11,573.02. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $12,852.19.

THIRD: **OBLIGATIONS OF SPONSOR UNDER THE PLAN**

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: **OTHER NEW YORK STATE PROPERTIES**

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: **FINANCIAL STATEMENTS AND BUDGET**

Attached hereto as Document No. 2 is the Financial Statement for the Apartment Corporation for the year ending December 31, 2004 as prepared by Hoffberg Oberfest Burger & Berger, Certified Public Accountants, 711 Third Avenue, New York, New York 10017. Attached hereto as Document No. 3 is the Financial Statement for the Apartment Corporation for the year ending December 31, 2003 as prepared by Hoffberg Oberfest Burger & Berger, Certified Public Accountants, 711 Third Avenue, New York, New York 10017. Attached hereto as Document No. 4 is the 2005 Budget for the Apartment Corporation.

EIGHTH: **BOARD OF DIRECTORS**

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Januz Wojciechoski	Vice President and Director
Julie Sisti	Treasurer and Director
George Kovacs	Secretary and Director
William Dougherty	Director
Joel Aronofsky	Director
Jeff Gold *	Director
Avi Halperin *	Director

* Designee of the Sponsor

NINTH: **CURRENT MAINTENANCE CHARGES**

The current maintenance charges are $3.1333 per share per month.

TENTH: **APARTMENT SALE FEE**

At the September 12, 2003 meeting of the Board of Directors of the Apartment Corporation, a $500.00 Apartment Sale Fee ("Flip Tax") payable by the seller of an apartment was approved.

ELEVENTH: **DEFINITIONS**

All terms used in this Twenty First Amendment not otherwise defined herein shall

have the same meanings ascribed to them as in the Plan.

TWELFTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the twenty (20) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

THIRTEENTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

FOURTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Twentieth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES, LLC
Sponsor and Holder of Unsold Shares

Dated: September 16, 2005
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
2L	294
3E	325
3K	228
4B	243
4E	326
4J	202
5A	152
5C	179
5D	230
5F	152
5G	212
5H	212
5K	230
6C	180
6K	231
6L	298
16	3,694

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2004

CRESTWOOD APARTMENT OWNERS, CORP.

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Hoffberg Oberfest Burger & Berger

Certified Public Accountants

711 Third Avenue
New York NY 10017
212 661 8640

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

We have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2004 and 2003, and the related statements of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America.

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2004 and 2003, and its revenues and expenses and deficit, and cash flows for the years then ended, on the basis of accounting described in Note 2.

As discussed in Note 6, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Hoffberg Oberfest Burger & Berger

New York, New York
May 25, 2005

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD

ASSETS

	December 31, 2004	December 31, 2003
Cash and cash equivalents (Note 9)	$ 241,297	$ 163,573
Accounts receivable - tenant - owners	4,682	15,490
Prepaid - insurance	7,139	7,339
- real estate taxes and other	6,595	22
	259,713	186,424
Property and equipment (Notes 2, 4 and 5)		
Building	3,337,305	3,337,305
Building improvements and equipment	481,023	460,867
	3,818,328	3,798,172
Less: Accumulated depreciation	1,773,957	1,654,595
	2,044,371	2,143,577
Land	588,936	588,936
	2,633,307	2,732,513
Deferred mortgage refinancing costs - net of accumulated amortization of $5,207 - 2004 and $744 - 2003 (Notes 2 and 4)	39,427	43,890
Investment in NCB Stock (Note 4)	20,000	25,000
Utility deposit	1,760	1,760
	61,187	70,650
	$ 2,954,207	$ 2,989,587

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities		
Accounts payable and accrued expenses	$ 35,210	$ 39,969
Accrued mortgage interest	9,033	9,157
Prepaid maintenance	8,880	-
Corporation taxes payable (Note 7)	742	322
Note payable - boiler (Note 5)	-	7,073
Financing (Note 4)	1,970,746	1,997,811
Total liabilities	2,024,611	2,054,332
Stockholders' equity (Notes 2, 3 and 8)		
Capital stock - 14,957 shares authorized and issued	2,126,241	2,126,241
Capital in excess of par value	471,529	397,599
Deficit	(1,668,174)	(1,588,585)
Total stockholders' equity	929,596	935,255
	$ 2,954,207	$ 2,989,587

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUE AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2004	2003
Revenue		
Maintenance and assessment charges (Note 8)	$ 567,217	$ 570,101
Less: Contributions for mortgage amortization (Note 2)	(27,065)	(23,778)
	540,152	546,323
Parking income	8,285	8,100
Laundry income	3,500	3,000
Late fee and sublet fee income	6,166	10,145
Interest and dividend income (Note 4)	17,535	775
Sundry income	6,546	6,666
Total revenue - forwarded	582,184	575,009
Operating expenses		
Labor costs		
Salaries and labor	66,714	72,273
Payroll taxes	5,419	6,648
Workmen's compensation insurance	2,045	3,821
Health insurance	7,480	4,078
Total labor costs	81,658	86,820
Electricity and gas	29,156	28,503
Gas heat and heating oil	55,449	40,423
Telephone and miscellaneous expenses	1,712	2,153
Total operating expenses	167,975	157,899
Administrative expenses		
Management fees	21,000	21,000
Professional fees	10,167	6,152
Printing and miscellaneous expenses	2,037	2,826
Total administrative expenses	33,204	29,978
Repairs and maintenance		
Elevator	11,962	9,258
Supplies and tools	7,749	6,582
Plumbing and heating	20,440	11,887
Painting and decorating	3,693	1,304
Landscaping	6,518	5,399
Exterminating	4,046	4,267
Miscellaneous	5,883	7,355
Total repairs and maintenance	60,291	46,052
Expenses - forwarded	261,470	233,929

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUE AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2004	2003
Total revenue - forwarded	$ 582,184	$ 575,009
Expenses - forwarded	261,470	233,929
General expenses		
Mortgage interest (Note 4)	109,080	118,919
Other interest (Note 5)	515	1,714
Real estate taxes (Note 8)	117,813	114,738
Water and sewer expense - net of credit of $23,344 - 2004	2,295	36,784
Insurance	44,145	37,634
Permits and fees	1,543	1,055
Corporation taxes (Note 7)	1,087	1,051
Total general expenses	276,478	311,895
Total expenses before prepayment penalty; depreciation and amortization	537,948	545,824
Balance	44,236	29,185
Prepayment penalty (Note 4)	-	(69,299)
Excess (deficiency) of revenues over expenses before depreciation and amortization	44,236	(40,114)
Depreciation and amortization (Note 2)	123,825	182,505
Net loss	(79,589)	(222,619)
Deficit - beginning of year	(1,588,585)	(1,365,966)
Deficit - end of year	$ (1,668,174)	$ (1,588,585)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2004	2003
Cash flows from operating activities		
Net loss	$ (79,589)	$ (222,619)
Adjustments		
Depreciation and amortization	123,825	182,505
Accounts receivable-tenant-owners	10,808	(9,734)
Escrow deposits	-	9,235
Prepaid expenses	(6,373)	26,246
Accounts payable and accrued expenses	(4,883)	9,950
Corporate taxes payable	420	(163)
Prepaid maintenance	8,880	-
Net cash provided by (used for) operating activities	53,088	(4,580)
Cash flows from investing activities		
Real property acquisitions	(20,156)	(25,383)
Investment in NCB stock	5,000	(20,000)
Net cash used for investing activities	(15,156)	(45,383)
Cash flows from financing activities		
Payment of mortgage note	(27,065)	(23,778)
Contributions by tenant cooperators	73,930	23,778
Mortgage refinancing costs	-	(44,634)
Proceeds from mortgage refinancing	-	2,000,000
Repayment of previous mortgage	-	(1,732,481)
Repayment of line of credit	-	(37,000)
Payment of note payable - boiler	(7,073)	(16,975)
Net cash provided by financing activities	39,792	168,910
Net increase in cash and cash equivalents	77,724	118,947
Cash and cash equivalents - beginning of year	163,573	44,626
Cash and cash equivalents - end of year	$ 241,297	$ 163,573
Supplemental cash flow data		
Cash paid during year for		
Interest	$ 109,204	$ 190,991
Corporation taxes	$ 645	$ 650

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2004

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by accounting principles generally accepted in the United States of America. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance paid by tenant-cooperators under proprietary leases which is used for mortgage amortization and capital assessments are deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2004 and 2003, this amounted to $73,930 and $23,778 respectively.

The building is being depreciated using the straight-line method over a period of 35 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 5 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

The preparation of financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

NOTE 3 - UNSOLD SHARES

The sponsor held 4,050 and 5,450 shares in the Company, or approximately 27% and 36%, respectively at December 31, 2004 and 2003.

NOTE 4 - FINANCING

The property was encumbered by a mortgage with New York Community Bank in the initial principal amount of $1,850,000. The mortgage provided for monthly payments of $12,153 applicable first to interest at the rate of 6.875% per annum and the balance to principal to June 30, 2008 when the balance of $1,585,898 was due.

On October 30, 2003, the Company refinanced the existing mortgage with National Cooperative Bank (NCB) in the amount of $2,000,000. At that time the first mortgage was satisfied in the amount of $1,732,481, and the prior year's line of credit with NCB was satisfied in amount of $37,000. In connection with the refinancing the Company incurred expenses of $175,231 consisting of a prepayment penalty of $69,299, a write-off in the amount of $61,298 of previously deferred mortgage costs and $44,634 of current refinancing costs. The new mortgage provides for monthly payments of $11,356 (based on a 30 year amortization), applicable first to interest at the rate of 5.5% per annum with the balance to reduction of principal to November 1, 2013 when the principal amount of $1,655,119 becomes due.

The loan may not be prepaid prior to April 2013, and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. There is no prepayment penalty for 90 days prior to maturity.

The Company also entered into an agreement for a $500,000 secured line of credit with National Cooperative Bank. The line of credit provides for interest only payments for the initial 5 years of the draw at a rate of prime plus 1%. Thereafter principal payments of a minimum of $100 per month are due with the balance of principal due November 1, 2013. The monies may be borrowed at any time in minimum advances of $50,000 and may be prepaid without penalty in monthly minimum amounts of $50,000. At December 31, 2004 and 2003, the Company had not borrowed any funds from the line.

The Company has assigned its rights to collection of rents and all present and future leases as collateral. Under the terms of the mortgage a late fee of 5% is assessed for payment received ten days after the due date .

In connection with the aggregate refinancing, the Company purchased Class B-1 stock in NCB of 1% of the loan and line of credit totaling $25,000. In 2004, NCB redeemed stock in the amount of $5,000. In 2004 and 2003, the Company received a patronage cash dividend of $16,293 and $233 as well as a stock dividend of the bank's Class B-2 stock in the amount of $30,259 and $349, respectively. Due to the fact these securities do not have a current value to the Company, they are not reflected in the attached financial statements. To the extent they are realized in future periods, they will be recognized.

Annual principal payments are as follows:

Year Ending December 31,	Amount
2005	$ 28,592
2006	30,205
2007	31,909
2008	33,708
2009	35,610
Thereafter	1,810,722
	$1,970,746

NOTE 5 - NOTE PAYABLE - BOILER

The Company entered into an agreement with Keyspan Energy to convert the heating system from oil to gas. Keyspan Energy loaned the Company $77,000 to engage a contractor to purchase and install all required equipment. The note provides for monthly payments of $1,415 applicable first to interest at the rate of 3.9% per annum and the balance to principal for sixty months. Keyspan Energy also has a security interest in all equipment. The note was satisfied in 2004.

NOTE 6 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the Board of Directors developed a formal plan to fund those needs. When funds are required for major repairs and replacements, the Company plans to utilize available funds, borrow, increase maintenance charges, or delay repairs and replacements until funds are available. The effect on future assessments has not been determined at this time.

NOTE 7 - CORPORATION TAXES

The Company is subject to federal, state and city taxation pursuant to Subchapter T of the Internal Revenue Code.

NOTE 8 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. The Board of Directors approved an increase in maintenance of $1.44 per share effective 2003. In May 2004 and June 2003 an operating assessment of $1.5801 and $1.344 per share, respectively was instituted. At December 31, 2004 and 2003 monthly maintenance charges were $3.1333. Tenant-cooperators are billed monthly based on their respective stock holdings.

Effective January 2004, the board of directors approved a one-month capital assessment payable over a 12 month period for elevator work, new carpeting and electrical work. The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $18,794 and $12,376 for 2004 and 2003, respectively.

NOTE 9 - FINANCIAL INSTRUMENTS

From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

DOCUMENT NO. 3

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2003

CRESTWOOD APARTMENT OWNERS, CORP.

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Hoffberg Oberfest Burger & Berger

Certified Public Accountants

711 Third Avenue
New York NY 10017
212 661 8640

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

We have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2003 and 2002, and the related statements of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America.

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2003and 2002, and its revenues and expenses and deficit, and cash flows for the years then ended, on the basis of accounting described in Note 2.

As discussed in Note 6, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Hoffberg Oberfest Burger & Berger

New York, New York
May 13, 2004

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD

ASSETS

	December 31, 2003	December 31, 2002
Cash and cash equivalents (Note 9)	$ 163,573	$ 44,626
Escrow deposits (Note 3)	-	9,235
Accounts receivable - tenant - owners	15,490	5,756
Prepaid - insurance	7,339	6,237
- real estate taxes and other	22	27,370
	186,424	93,224
Property and equipment (Notes 2, 4 and 5)		
Building	3,337,305	3,337,305
Building improvements and equipment	460,867	435,484
	3,798,172	3,772,789
Less: Accumulated depreciation	1,654,595	1,534,132
	2,143,577	2,238,657
Land	588,936	588,936
	2,732,513	2,827,593
Deferred mortgage refinancing costs - net of accumulated amortization of $744 - 2003 and $32,036 - 2002 (Notes 2 and 4)	43,890	61,298
Investment in NCB Stock (Note 4)	25,000	5,000
Utility deposit	1,760	1,760
	70,650	68,058
	$ 2,989,587	$ 2,988,875

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities		
Accounts payable and accrued expenses	$ 39,969	$ 28,960
Accrued mortgage interest	9,157	10,216
Corporation taxes payable (Note 7)	322	485
Note payable - boiler (Note 5)	7,073	24,048
Financing (Note 4)	1,997,811	1,791,070
Total liabilities	2,054,332	1,854,779
Stockholders' equity (Notes 2 and 10)		
Capital stock - 14,957 shares authorized and issued	2,126,241	2,126,241
Capital in excess of par value	397,599	373,821
Deficit	(1,588,585)	(1,365,966)
Total stockholders' equity	935,255	1,134,096
	$ 2,989,587	$ 2,988,875

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUE AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2003	2002
Revenues (Note 5)		
Maintenance and assessment charges (Note 8)	$ 570,101	$ 528,805
Less: Contributions for mortgage amortization (Note 2)	(23,778)	(24,330)
	546,323	504,475
Parking income	8,100	8,025
Laundry income	3,000	3,000
Late fee and sublet fee income	10,145	2,495
Interest and dividend income	775	454
Sundry income	6,666	7,047
Total income - forwarded	575,009	525,496
Operating expenses		
Labor costs		
Salaries and labor	72,273	66,756
Payroll taxes	6,648	5,933
Workmen's compensation insurance	3,821	5,763
Health insurance	4,078	6,391
Total labor costs	86,820	84,843
Electricity and gas	28,503	24,349
Gas heat and heating oil	40,423	33,638
Telephone and miscellaneous expenses	2,153	2,054
Total operating expenses	157,899	144,884
Administrative expenses		
Management fees	21,000	20,416
Professional fees	6,152	7,079
Printing and miscellaneous expenses	2,826	2,238
Total administrative expenses	29,978	29,733
Repairs and maintenance		
Elevator	9,258	8,182
Supplies and tools	6,582	9,952
Plumbing and heating	11,887	11,431
Painting and decorating	1,304	3,248
Landscaping	5,399	5,980
Exterminating	4,267	4,521
Miscellaneous	7,355	7,335
Total repairs and maintenance	46,052	50,649
Expenses - forwarded	233,929	225,266

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUE AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2003	2002
Total income - forwarded	$ 575,009	$ 525,496
Expenses - forwarded	233,929	225,266
General expenses		
Mortgage interest (Note 4)	118,919	122,758
Other interest (Note 5)	1,714	1,229
Real estate taxes (Note 8)	114,738	87,112
Water and sewer expense	36,784	32,090
Insurance	37,634	28,237
Permits and fees	1,055	4,100
Corporation taxes (Note 7)	1,051	849
Total general expenses	311,895	276,375
Total expenses before prepayment penalty; depreciation and amortization	545,824	501,641
Balance	29,185	23,855
Prepayment penalty (Note 4)	(69,299)	-
Excess (deficiency) of revenues over expenses before depreciation and amortization	(40,114)	23,855
Depreciation and amortization (Note 4)	182,505	138,083
Net loss	(222,619)	(114,228)
Deficit - beginning of year	(1,365,966)	(1,251,738)
Deficit - end of year	$ (1,588,585)	$ (1,365,966)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2003	2002
Cash flows from operating activities		
Net loss	$ (222,619)	$ (114,228)
Adjustments		
Depreciation and amortization	182,505	138,083
Accounts receivable-tenant-owners	(9,734)	(1,040)
Escrow deposits	9,235	1,160
Prepaid expenses	26,246	(10,383)
Accounts payable and accrued expenses	9,950	1,299
Corporate taxes payable	(163)	283
Prepaid maintenance	-	1,541
Net cash provided by (used for) operating activities	(4,580)	16,715
Cash flows from investing activities		
Real property acquisitions	(25,383)	(24,053)
Purchase of NCB stock	(20,000)	(5,000)
Net cash used for investing activities	(45,383)	(29,053)
Cash flows from financing activities		
Payment of mortgage note	(23,778)	(24,330)
Contributions by tenant cooperators	23,778	24,330
Mortgage refinancing costs	(44,634)	(21,992)
Proceeds from mortgage refinancing	2,000,000	-
Repayment of previous mortgage	(1,732,481)	-
Proceeds (repayment) from line of credit	(37,000)	37,000
Payment of note payable - boiler	(16,975)	(16,975)
Net cash provided by (used for) financing activities	168,910	(1,967)
Net increase (decrease) in cash and cash equivalents	118,947	(14,305)
Cash and cash equivalents - beginning of year	44,626	58,931
Cash and cash equivalents - end of year	$ 163,573	$ 44,626
Supplemental cash flow data		
Cash paid during year for		
Interest	$ 190,991	$ 123,960
Corporation taxes	$ 650	$ 505

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2003

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by accounting principles generally accepted in the United States of America. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance paid by tenant-cooperators under proprietary leases which is used for mortgage amortization is deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2003 and 2002, this amounted to $23,778 and $24,330 respectively.

The building is being depreciated using the straight-line method over a period of 35 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 5 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

Certain financial statement items for 2002 have been reclassified for comparative purposes.

The preparation of financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

NOTE 3 - ESCROW DEPOSITS

Under the terms of the prior mortgage, the Company was required to make monthly escrow deposits in an amount equal to 1/12th of the estimated annual real estate taxes. Commencing with the mortgage refinancing the Companies is now paying the real estate taxes directly on a quarterly basis.

NOTE 4 - FINANCING

The property was encumbered by a mortgage with New York Community Bank in the initial principal amount of $1,850,000. The mortgage provided for monthly payments of $12,153 applicable first to interest at the rate of 6.875% per annum and the balance to principal to June 30, 2008 when the balance of $1,585,898 was due.

In March 2002 the Company obtained a $500,000 secured line of credit (line) with National Cooperative Bank (NCB). In connection with this transaction the Company incurred mortgage costs of $30,492 and purchased Class B-1 stock in NCB of 1% of the line amount ($5,000). During 2002, the Company borrowed $37,000 from the line of credit.

On October 30, 2003, the Company refinanced the existing mortgage with National Cooperative Bank in the amount of $2,000,000. At that time the first mortgage was satisfied in the amount of $1,732,481, and the line of credit with NCB was satisfied in amount of $37,000. In connection with the refinancing the Company incurred expenses of $175,231 consisting of a prepayment penalty of $69,299, a write-off in the amount of $61,298 of previously deferred mortgage costs and $44,634 of current refinancing costs. The new mortgage provides for monthly payments of $11,356 (based on a 30 year amortization), applicable first to interest at the rate of 5.5% per annum with the balance to reduction of principal to November 1, 2013 when the principal amount of $1,655,119 becomes due.

The loan may not be prepaid prior to April 2013, and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. There is no prepayment penalty for 90 days prior to maturity.

The Company also entered into an agreement for a $500,000 secured line of credit with National Cooperative Bank. The line of credit provides for interest only payments for the initial 5 years of the draw at a rate of prime plus 1%. Thereafter principal payments of a minimum of $100 per month are due with the balance of principal due November 1, 2013. The monies may be borrowed at any time in minimum advances of $50,000 and may be prepaid without penalty in monthly minimum amounts of $50,000. At December 31, 2003, the Company had not borrowed any funds from the line.

The Company has assigned its rights to collection of rents and all present and future leases as collateral. Under the terms of the mortgage a late fee of 5% is assessed for payment received ten days after the due date .

In connection with the granting of the mortgage and line of credit, the Company was required to purchase the Bank's redeemable Class B-1 stock in the aggregate amount of $25,000.

Annual principal payments are as follows:

Year Ending December 31,	Amount
2004	$ 27,065
2005	28,592
2006	30,205
2007	31,909
2008	33,708
Thereafter	1,846,332
	$1,997,811

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2003

NOTE 5 - NOTE PAYABLE - BOILER

The Company entered into an agreement with Keyspan Energy to convert the heating system from oil to gas. Keyspan Energy loaned the Company $77,000 to engage a contractor to purchase and install all required equipment. The note provides for monthly payments of $1,415 applicable first to interest at the rate of 3.9% per annum and the balance to principal for sixty months. Keyspan Energy also has a security interest in all equipment.

Annual principal payments for the year ended December 31, 2004 are $7,073.

NOTE 6 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the Board of Directors developed a formal plan to fund those needs. When funds are required for major repairs and replacements, the Company plans to utilize available funds, borrow, increase maintenance charges, or delay repairs and replacements until funds are available. The effect on future assessments has not seen determined at this time.

NOTE 7 - CORPORATION TAXES

The Company is subject to federal, state and city taxation pursuant to Subchapter T of the Internal Revenue Code.

NOTE 8 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. The Board of Directors approved an increase in maintenance of $1.44 per share effective 2003. In June 2003 an operating assessment of $1.344 per share was instituted. At December 31, 2003 and 2002 monthly maintenance charges were $3.1333 and $3.0133 per share respectively. Tenant-cooperators are billed monthly based on their respective stock holdings. Effective January 2004, the board of directors approved a one-month assessment payable over a 12 month period for elevator work, new carpeting and electrical work. The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $12,376 and $11,205 for 2003 and 2002, respectively.

NOTE 9 - FINANCIAL INSTRUMENTS

From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

NOTE 10 - UNSOLD SHARES

The sponsor held 5,450 shares in the Company, or approximately 36%, at December 31, 2003 and 2002, respectively.

DOCUMENT NO. 4

GOODMAN MANAGEMENT CO., INC.
REAL ESTATE
2736 Independence Avenue, Suite A, Riverdale, NY 10463 (718) 796-5022 FAX (718) 796-5026

CRESTWOOD APARTMENT OWNERS CORPORATION
~~PROPOSED~~ 2005 BUDGET

2002 ACTUAL	2003 ACTUAL		2004 BUDGET	2004 FORECAST	2004 VARIANCE	2005 BUDGET	
		INCOME					
540,010	550,000	Maintenance	562,377	562,377	-	562,323	[1]
(11,205)	(12,376)	Coop Abatements/STAR	(12,063)	(18,794)	(6,731)	(20,700)	[2]
-	20,101	Assessment vs Abatement	20,000	23,164	3,164	25,200	[3]
3,000	3,000	Laundry	3,000	4,200	1,200	4,200	[4]
8,025	8,100	Parking	8,100	8,100	-	8,100	[5]
454	542	Interest	2,500	1,150	(1,350)	1,250	
-	-	Special Assessment	-	46,863	46,863	-	[6]
-	233	NCB Patronage Dividend	-	16,293	16,293	16,000	
9,542	16,811	Sublet Fees, Late Fees, Closing Fees, Misc.	8,500	7,000	(1,500)	7,500	
549,826	586,411	**TOTAL INCOME**	592,414	650,353	57,939	603,873	
		EXPENSES					
24,349	28,503	Electricity & Gas	26,000	29,935	(3,935)	32,031	[7]
33,638	40,423	Heat	40,500	47,612	(7,112)	63,635	[8]
34,000	41,455	Insurance	44,000	44,950	(950)	46,928	[9]
7,079	6,152	Professional Fees	5,700	5,842	(142)	5,715	[10]
20,416	21,000	Management Fees	21,000	21,000	-	21,417	[11]
66,756	72,273	Payroll	69,500	70,300	(800)	73,379	[12]
5,933	6,648	Payroll Taxes	6,500	7,030	(530)	10,788	[13]
6,391	4,078	Health Insurance	4,054	6,919	(2,865)	7,344	[14]
87,112	114,738	Real Estate Taxes	125,000	119,253	5,747	122,721	[15]
32,090	36,784	Water/Sewer	38,000	9,950	28,050	27,748	
26,535	24,813	Repairs/Maintenance	35,000	27,700	7,300	28,500	
8,182	9,258	Elevator Service	8,000	9,907	(1,907)	10,346	[16]
9,952	6,582	Supplies	9,000	4,500	4,500	4,950	
4,292	4,979	Office/Administrative/Phone	4,800	3,800	1,000	3,950	
4,100	1,055	License & Permits	2,500	1,000	1,500	1,251	
145,848	142,697	Mortgage - P & I	136,369	136,269	100	136,269	[17]
2,464	1,714	Other Interest	-	-	-	-	
-	69,299	Prepayment Penalty	-	-	-	-	
849	1,051	Corporate Taxes	1,000	1,100	(100)	1,150	
16,980	16,980	Boiler Loan	7,073	5,658	1,415	-	
5,980	5,399	Landscaping	4,500	5,677	(1,177)	5,750	
542,946	655,881	**TOTAL EXPENSES**	588,496	558,402	30,094	603,873	
6,880	(69,470)	**NET INCOME (LOSS) FROM OPERATIONS**	3,918	91,951	88,033	(0)	

J Lountzis

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO PROPOSED 2005 BUDGET

NOTE 1 **MAINTENANCE**

46,860	x	12	months	**562,323**

14,957 Shares @ 3.133/Share/Month = 46,860

NOTE 2 **COOP ABATEMENTS / STAR EXEMPTIONS**

	2004 Forecast	2005 Budget
Coop Abatements	(14,738)	(15,775)
STAR Exemptions	(3,843)	(3,797)
Senior Citizen Exemptions	-	(906)
Veterans Exemption	(214)	(221)
	(18,794)	**(20,700)**

NOTE 3 **ASSESSMENT vs. ABATEMENT**

14,957 Shares @ 1.6848/share **25,200**

NOTE 4 **LAUNDRY**

350 X 12 Months **4,200**

NOTE 5 **PARKING**

9 Parking Spots @ 75/spot X 12 Months **8,100**

NOTE 6 **2004 - SPECIAL ASSESSMENT**

One month assessment payable over 12-Months

14,957 Shares @ .2611/share/month	3,905	
Payable over number of months	12	**46,863**

NOTE 7 **GAS & ELECTRIC**

Based on 2004 consumption plus 7% **32,031**

NOTE 8 **HEAT**

	Price per Therm	% Increase	Volume	Total Paid Plus Taxes
09/01/02-08/31/03	**0.5765**	23.50%	63,490	38,767
09/01/03-08/31/04	**0.6581**	14.15%	59,385	50,411

Estimate for 2005 based on information above.

01/01/05 - 12/31/05	0.90/Therm	Estimated consumption of 61,500	55,350	
		Sales Tax 8.62%	4,771	
		#2 Heating Oil *(2,250 Gallons @ 1.50 plus sales tax)*	3,514	**63,635**

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO [redacted] 2005 BUDGET

NOTE 9	**INSURANCE**				
Property, Liability, Umbrella,					
Boiler&Machinery	01/01 - 02/15/05	*Actual Premium*	5,316		
" "	02/16 - 12/31/05	*2004 Premium Plus 3%*	38,331	43,647	
Directors & Officers	01/01 - 04/12/05	*Actual Premium*	658		
" "	04/13 - 12/31/05	*2004 Premium Plus 3%*	1,747	2,405	
Crime	01/01 - 12/31/05	*2004 Premium Plus 3%*		876	**46,928**

NOTE 10	**PROFESSIONAL FEES**				
Auditor	320.00 / Month			3,840	
Legal Fees				1,500	
Real Estate Tax Attorney - Filling/Processing				375	**5,715**

NOTE 11	**MANAGEMENT FEES**				
1,750.00	/ Month	Jan. - July 2005		12,250	
1,833.33	/ Month	Aug. - Dec. 2005		9,167	**21,417**

NOTE 12	**PAYROLL**				
Superintendent	*- 3% Increase 01/01/05*	52 Weeks	606	31,517	
Last raise on 02/02/00		3 Wks Vacation	606	1,818	
		1 Week Sick	606	606	
		8 Days Holiday	121	970	
		X-Mas Bonus		3,000	
		Over Time - *Based on 2003&2004 Overtime*		5,500	43,411
Porter		52 Weeks	480	24,960	
		2 Week Vacation	480	960	
		1 Week Sick	480	480	
		8 Days Holiday	96	768	
		X-Mas Bonus		1,500	
		Over Time - *Based on 2003&2004 Overtime*		1,300	29,968
				Grand Total	**73,379**

NOTE 13	**PAYROLL TAXES**		
Payroll Taxes - Estimated @ 10% of Payroll		7,338	
Workers' Compensation - *Estimate*		3,450	**10,788**

J Lountzis
12/3/2004

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO ~~PROPOSED~~ 2005 BUDGET

NOTE 14 **HEALTH INSURANCE**

Aetna	Jan. - March 2005	561.50/Month	1,685	
	April - Dec. 2005	628.88/Month	5,660	**7,344**

Anticipated 12% increase in premiums upon renewal in April-05.

NOTE 15 **REAL ESTATE TAXES**

Period	Billable Assessed Value	Rate		
01/01-06/30/05	1,268,100	12.62%	80,017	
07/01-12/31/05	1,306,143	12.72%	83,071	
		J-51 Abatement	(19,667)	
		Coop Abatements/STAR	(20,700)	**122,721**

NOTE 16 **ELEVATOR SERVICE**

616.60	/ Month --	Jan. - April 2005	2,466	
641.26	/ Month --	May - Dec. 2005	5,130	
Miscellaneous elevator repairs			2,750	**10,346**

NOTE 17 **MORTGAGE - P & I**

National Cooperative Bank		2,000,000 @ 5.5 %		
11,355.78	x	12 Months		**136,269**

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: TJS ASSOCIATES, LLC

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

TWENTY SECOND AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, as amended by twenty one (21) previous Amendments, and should be read in conjunction with said Offering Plan and Amendments (collectively the "Plan").

FIRST: **UPDATED INFORMATION**

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: **SHARES OWNED BY THE SPONSOR**

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges and assessments payable for the shares owned by the Sponsor is approximately $12,460.96. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $13,158.94.

THIRD: **OBLIGATIONS OF SPONSOR UNDER THE PLAN**

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: **OTHER NEW YORK STATE PROPERTIES**

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: **FINANCIAL STATEMENTS AND BUDGET**

Attached hereto as Document No. 2 is the Financial Statement for the Apartment Corporation for the year ending December 31, 2005 as prepared by Hoffberg Oberfest Burger & Berger, Certified Public Accountants, 711 Third Avenue, New York, New York 10017. Attached hereto as Document No. 3 is the 2007 Budget for the Apartment Corporation.

EIGHTH: **BOARD OF DIRECTORS**

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Januz Wojciechoski	Vice President and Director
Michael Scherer	Treasurer and Director
Julie Sisti	Assistant Treasurer and Director
Carol Frances	Secretary and Director
William Dougherty	Director
Darek Pyrzanowski	Director
Jeffrey Gold *	Director

* Designee of the Sponsor

NINTH: **CURRENT MAINTENANCE CHARGES AND ASSESSMENT**

The current maintenance charges are approximately $3.133 per share per month The current assessment is $.24 per share per month through February, 2012.

TENTH: **PRICE PER SHARE**

The current maximum Offering Price for the Apartments set forth in Document No. 1 is $1,000 per share.

ELEVENTH: **DEFINITIONS**

All terms used in this Twenty Second Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TWELFTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the twenty one (21) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

THIRTEENTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

FOURTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Twentieth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES, LLC
Sponsor and Holder of Unsold Shares

Dated: March 23, 2007
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
2L	294
3E	325
3K	228
4B	243
4E	326
4J	202
5A	152
5C	179
5D	230
5F	152
5G	212
5H	212
5K	230
6C	180
6K	231
6L	298
16	3,694

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2005

CRESTWOOD APARTMENT OWNERS, CORP.

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Hoffberg Oberfest Burger & Berger

Certified Public Accountants

711 Third Avenue
New York NY 10017
212 661 8640

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

We have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2005 and 2004, and the related statements of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America.

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2005 and 2004, and its revenues and expenses and deficit, and cash flows for the years then ended, on the basis of accounting described in Note 2.

As discussed in Note 6, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Hoffberg Oberfest Burger & Berger

New York, New York
June 30, 2006

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD

ASSETS

	December 31, 2005	December 31, 2004
Cash and cash equivalents (Note 9)	$ 165,349	$ 241,297
Accounts receivable - tenant - owners	3,308	4,682
Prepaid - insurance	7,874	7,139
- real estate taxes and other	39,483	6,595
	216,014	259,713
Property and equipment (Notes 2, 4 and 5)		
Building	3,337,305	3,337,305
Building improvements and equipment	506,728	481,023
	3,844,033	3,818,328
Less: Accumulated depreciation	1,891,248	1,773,957
	1,952,785	2,044,371
Land	588,936	588,936
	2,541,721	2,633,307
Deferred mortgage refinancing costs - net of accumulated amortization of $9,670 - 2005 and $5,207 - 2004 (Note 2)	34,964	39,427
Investment in NCB Stock (Note 4)	20,000	20,000
Utility deposit	1,760	1,760
	56,724	61,187
	$ 2,814,459	$ 2,954,207

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities		
Accounts payable and accrued expenses	$ 25,772	$ 35,210
Accrued mortgage interest	8,902	9,033
Prepaid maintenance	1,680	8,880
Corporation taxes payable (Note 7)	854	742
Financing (Note 4)	1,942,154	1,970,746
Total liabilities	1,979,362	2,024,611
Stockholders' equity (Notes 2, 3 and 8)		
Capital stock - 14,957 shares authorized and issued	2,126,241	2,126,241
Capital in excess of par value	500,121	471,529
Deficit	(1,791,265)	(1,668,174)
Total stockholders' equity	835,097	929,596
	$ 2,814,459	$ 2,954,207

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2005	2004
Revenues		
Maintenance and assessment charges (Note 8)	$ 567,564	$ 567,217
Less: Contributions for mortgage amortization (Note 2)	(28,592)	(27,065)
	538,972	540,152
Parking income	8,075	8,285
Laundry income	4,200	3,500
Late fee, transfer fee and sublet fee income	9,248	6,166
Interest and dividend income (Note 4)	3,785	17,535
Sundry income	8,579	6,546
Total revenues - forwarded	572,859	582,184
Operating expenses		
Labor costs		
Salaries and labor	72,892	66,714
Payroll taxes	5,970	5,419
Workmen's compensation insurance	3,520	2,045
Health insurance	7,749	7,480
Total labor costs	90,131	81,658
Electricity and gas	37,300	29,156
Gas heat and heating oil	53,273	55,449
Telephone and miscellaneous expenses	1,845	1,712
Total operating expenses	182,549	167,975
Administrative expenses		
Management fees	21,417	21,000
Professional fees	10,983	10,167
Printing and miscellaneous expenses	2,731	2,037
Total administrative expenses	35,131	33,204
Repairs and maintenance		
Elevator	8,713	11,962
Supplies and tools	7,665	7,749
Plumbing and heating	13,266	20,440
Painting and decorating	6,052	3,693
Landscaping	6,718	6,518
Exterminating	4,556	4,046
Miscellaneous	9,402	5,883
Total repairs and maintenance	56,372	60,291
Expenses - forwarded	274,052	261,470

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2005	2004
Total revenues - forwarded	$ 572,859	$ 582,184
Expenses - forwarded	274,052	261,470
General expenses		
Mortgage interest (Note 4)	107,546	109,080
Other interest (Note 5)	1,143	515
Real estate taxes (Note 8)	116,004	117,813
Water and sewer expense - net of credit of $23,344 - 2004	22,706	2,295
Insurance	49,589	44,145
Permits and fees	1,550	1,543
Corporation taxes (Note 7)	1,546	1,087
Total general expenses	300,084	276,478
Total expenses before depreciation and amortization	574,136	537,948
Excess (deficiency) of revenues over expenses before depreciation and amortization	(1,277)	44,236
Depreciation and amortization (Note 2)	121,814	123,825
Net loss	(123,091)	(79,589)
Deficit - beginning of year	(1,668,174)	(1,588,585)
Deficit - end of year	$ (1,791,265)	$ (1,668,174)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2005	2004
Cash flows from operating activities		
Net loss	$ (123,091)	$ (79,589)
Adjustments		
Depreciation and amortization	121,814	123,825
Accounts receivable-tenant-owners	1,374	10,808
Prepaid expenses	(33,683)	(6,373)
Accounts payable and accrued expenses	(9,569)	(4,883)
Corporate taxes payable	112	420
Prepaid maintenance	(7,200)	8,880
Net cash provided by (used for) operating activities	(50,243)	53,088
Cash flows from investing activities		
Real property acquisitions	(25,705)	(20,156)
Investment in NCB stock	-	5,000
Net cash used for investing activities	(25,705)	(15,156)
Cash flows from financing activities		
Payment of mortgage note	(28,592)	(27,065)
Contributions by tenant cooperators	28,592	73,930
Payment of note payable - boiler	-	(7,073)
Net cash provided by financing activities	-	39,792
Net increase (decrease) in cash and cash equivalents	(75,948)	77,724
Cash and cash equivalents - beginning of year	241,297	163,573
Cash and cash equivalents - end of year	$ 165,349	$ 241,297
Supplemental cash flow data		
Cash paid during year for		
Interest	$ 107,677	$ 109,204
Corporation taxes	$ 1,043	$ 645

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2005

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by accounting principles generally accepted in the United States of America. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance paid by tenant-cooperators under proprietary leases which is used for mortgage amortization and capital assessments are deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2005 and 2004, this amounted to $28,592 and $73,930, respectively.

The building is being depreciated using the straight-line method over a period of 35 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 5 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

The preparation of financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

NOTE 3 - UNSOLD SHARES

The sponsor held 3,694 and 4,050 shares in the Company, or approximately 25% and 27%, respectively at December 31, 2005 and 2004.

NOTE 4 - FINANCING

The property is encumbered by a mortgage with National Cooperative Bank (NCB) in the amount of $2,000,000. The mortgage provides for monthly payments of $11,356 (based on a 30 year amortization), applicable first to interest at the rate of 5.5% per annum with the balance to reduction of principal to November 1, 2013 when the principal amount of $1,655,119 becomes due.

The loan may not be prepaid prior to April 2013, and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. There is no prepayment penalty for 90 days prior to maturity.

The Company also entered into an agreement for a $500,000 secured line of credit with National Cooperative Bank. The line of credit provides for interest only payments for the initial 5 years of the draw at a rate of prime plus 1%. Thereafter principal payments of a minimum of $100 per month are due with the balance of principal due November 1, 2013. The monies may be borrowed at any time in minimum advances of $50,000 and may be prepaid without penalty in monthly minimum amounts of $50,000. At December 31, 2005 and 2004, the Company had not borrowed any funds from the line.

The Company has assigned its rights to collection of rents and all present and future leases as collateral. Under the terms of the mortgage a late fee of 5% is assessed for payment received ten days after the due date.

In connection with the mortgage refinancing, the Company purchased Class B-1 stock in NCB equal to 1% of the loan and line of credit balances, totaling $25,000. In 2004, NCB redeemed stock in the amount of $5,000. In 2005 and 2004, the Company received a patronage cash dividend of $593 and $16,293 as well as a stock dividend of the bank's Class B-2 stock in the amount of $1,101 and $30,259, respectively. Due to the fact these securities do not have a current value to the Company, they are not reflected in the attached financial statements. To the extent they are realized in future periods, they will be recognized.

Annual principal payments are as follows:

Year Ending December 31,	Amount
2006	$ 30,205
2007	31,909
2008	33,708
2009	35,610
2010	37,619
Thereafter	1,773,103
	$1,942,154

NOTE 5 - NOTE PAYABLE - BOILER

The Company entered into an agreement with Keyspan Energy to convert the heating system from oil to gas. Keyspan Energy loaned the Company $77,000 to engage a contractor to purchase and install all required equipment. The note provided for monthly payments of $1,415 applicable first to interest at the rate of 3.9% per annum and the balance to principal for sixty months. Keyspan Energy also had a security interest in all equipment. The note was satisfied in 2004.

NOTE 6 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the Board of Directors developed a formal plan to fund those needs. When funds are required for major repairs and replacements, the Company plans to utilize available funds, borrow, increase maintenance charges, or delay repairs and replacements until funds are available. The effect on future assessments has not been determined at this time.

NOTE 7 - CORPORATION TAXES

The Company is subject to federal, state and city taxation pursuant to Subchapter T of the Internal Revenue Code.

NOTE 8 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. In June 2005 and May 2004, an operating assessment of $1.583 and $1.5801 per share, respectively was instituted. At December 31, 2005 and 2004 monthly maintenance charges were $3.1333. Tenant-cooperators are billed monthly based on their respective stock holdings.

Effective January 2004, the board of directors approved a one-month capital assessment payable over a 12 month period for elevator work, new carpeting and electrical work. The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $18,500 and $18,794 for 2005 and 2004, respectively.

NOTE 9 - FINANCIAL INSTRUMENTS

From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

DOCUMENT NO. 3

GOODMAN MANAGEMENT CO., INC.
REAL ESTATE
2736 Independence Avenue, Suite A, Riverdale, NY 10463 (718) 796-5022 FAX (718) 796-5026

CRESTWOOD APARTMENT OWNERS CORPORATION
2007 BUDGET

2003 ACTUAL	2004 ACTUAL	2005 ACTUAL		2006 BUDGET	2006 FORECAST	2006 VARIANCE	2007 BUDGET	
			INCOME					
550,000	562,377	562,387	Maintenance	562,323	562,323	-	562,380	[1]
(12,376)	(18,794)	(18,500)	Coop Abatements/STAR	(25,613)	(23,868)	1,745	(25,829)	
20,101	23,634	23,677	Assessment	30,800	26,593	(4,207)	26,923	[2]
3,000	3,500	4,200	Laundry	4,200	4,200	-	4,200	[3]
8,100	8,285	8,075	Parking	9,720	9,720	-	9,720	[4]
542	1,242	3,192	Interest	3,000	4,100	1,100	4,100	
-	46,865	-	Special Assessment	-		-	-	[5]
			Fuel surcharge	24,105	24,378	273	-	[5A]
233	16,293	593	NCB Patronage Dividend	1,500	11,556	10,056	5,000	
16,811	12,712	17,827	Miscellaneous	13,500	11,000	(2,500)	18,750	[5B]
586,411	656,114	601,451	**TOTAL INCOME**	623,535	630,002	6,467	605,244	
			EXPENSES					
68,926	84,605	90,573	Electricity, Gas, Fuel Oil	103,880	101,360	2,520	94,550	[6]
41,455	44,145	49,589	Insurance	47,985	52,670	(4,685)	53,754	[7]
6,152	10,167	10,983	Professional Fees	7,335	6,000	1,335	6,955	[8]
21,000	21,000	21,417	Management Fees	22,000	22,000	-	22,000	[9]
72,273	66,714	72,892	Payroll	73,197	71,100	2,097	67,344	[10]
6,648	7,464	9,490	Payroll Taxes	10,788	11,710	(922)	11,434	[11]
4,078	7,480	7,749	Health Insurance	8,655	9,163	(508)	10,349	[12]
114,738	117,813	116,004	Real Estate Taxes	128,461	126,400	2,061	130,516	[13]
36,784	2,295	22,706	Water/Sewer	27,500	22,500	5,000	23,360	
24,813	34,062	33,276	Repairs/Maintenance	28,500	26,500	2,000	20,600	
9,258	11,962	8,713	Elevator Service	9,500	9,650	(150)	10,114	[14]
6,582	7,749	7,665	Supplies	5,500	12,000	(6,500)	5,500	
4,979	3,749	4,576	Office/Administrative/Phone	4,200	3,800	400	3,500	
1,055	1,543	1,550	License & Permits	1,250	1,683	(433)	1,500	
142,697	136,145	136,138	Mortgage - P & I	136,269	136,269	(0)	136,269	[15]
1,714	515	1,143	Other Interest	-	1,100	(1,100)	1,100	
69,299	-	-	Prepayment Penalty	-	-	-	-	
1,051	1,087	1,546	Corporate Taxes	1,400	1,400	-	1,400	
16,980	-	-	Boiler Loan	-	-	-	-	
5,399	6,518	6,718	Landscaping	6,250	5,000	1,250	5,000	
655,881	565,013	602,728	**TOTAL EXPENSES**	622,670	620,305	2,365	605,244	
(69,470)	91,101	(1,277)	**NET INCOME (LOSS) FROM OPERATIONS**	865	9,697	8,832	(0)	

2/28/2007

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2007 BUDGET

NOTE 1 **MAINTENANCE**

46,865	x	12	months	562,380	
14,957 Shares @ 3.133/Share/Month = 46,860					
INCREASE: .0/sh/mo (0%) in lieu of fuel assessment				-	**562,380**

NOTE 2 **ASSESSMENT vs. ABATEMENT**

14,957 Shares @ 1.80/share **26,923**

NOTE 3 **LAUNDRY**

350 X 12 Months **4,200**

NOTE 4 **PARKING**

9 Parking Spots @ 90/spot X 12 Months **9,720**

NOTE 5 **2004 - SPECIAL ASSESSMENT**

One month assessment payable over 12-Months

14,957 Shares @ .2611/share/month	3,905	
Payable over number of months	12	**46,863**

NOTE 5A **FUEL SURCHARGE - Effective 01/01/06**

.1343/Share/Month Duration 12 Months **-**

NOTE 5B **MISCELLANEOUS FEES**

Sublet Fees	3,500	
Late Fees	1,000	
Closing Fees	4,000	
Gym Membership	9,000	
Miscellaneous	1,250	**18,750**

NOTE 6 **GAS, ELECTRIC AND FUEL OIL # 2**

	Account #	2005	2006	2007		
Con Ed	25-5700-4652-0001-9	14,423	15,500	16,000		
Con Ed	25-5700-4617-0000-4	-	600	600		
	Total Electric	14,423	16,100	16,600		
Keyspan	10425-66220	-	3,100	3,100		
Keyspan	10425-69303	-	1,850	1,850		
Keyspan	10425-73101	-	145	145		
Amerada Hess		-	-	-		
	Total Gas	-	4,950	4,950		
	Fuel Oil # 2	3,000	65,000	73,000	**	
	Total Gas & Electric	14,423	21,050	21,550		
		17,423	86,050			**94,550**

** Fuel Oil # 2

36,000 Gallons @ 1.95/Gallon plus sales tax

2/28/2007

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2007 BUDGET

NOTE 7	**INSURANCE**				
Package/Liability	2/15/06-2/15/07	*2006 Premium Plus 2%*		39,552	
Umbrella	2/15/06-2/15/07	*2006 Premium Plus 2%*		10,699	
Crime	11/17/05-11/17/06	*2006 Premium Plus 2%*		954	
Directors & Officers	4/2/05-4/2/06	*2006 Premium Plus 2%*		2,550	**53,754**
NOTE 8	**PROFESSIONAL FEES**				
Auditor	340.00 / Month			4,080	
Legal Fees				2,500	
Real Estate Tax Attorney - Filling/Processing				375	**6,955**
NOTE 9	**MANAGEMENT FEES**				
1,833.33	X 12 Months				**22,000**
NOTE 10	**PAYROLL**				
Superintendent		52 Weeks	618	32,136	
		X-Mas Bonus (Net is 1,500)		1,750	
		Over Time		4,000	37,886
Porter		52 Weeks	504	26,208	
		X-Mas Bonus (Net is 1,500)		1,750	
		Over Time		1,500	29,458
				Grand Total	**67,344**
NOTE 11	**PAYROLL TAXES**				
Payroll Taxes - Estimated @ 10% of Payroll				6,734	
Workers' Compensation - *Estimate*				4,700	**11,434**
NOTE 12	**HEALTH INSURANCE**				
Aetna	Jan. - April 2007		808.50	3,234	
	April - Dec. 2007		889.35	7,115	**10,349**

NOTE 13 **REAL ESTATE TAXES**

Period	Billable Assessed Value	Rate		
01/01-06/30/07	1,260,000	12.600%	79,380	
07/01-12/31/07	1,291,500	12.600%	81,365	
		J-51 Abatement	(4,400)	
		Coop Abatements/STAR	(25,829)	**130,516**

Assumed a 2.5% increase in the assessed value for the second half of 2006.

2/28/2007

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2007 BUDGET

NOTE 14 **ELEVATOR SERVICE**

678.24	/ Month --	Jan. - April 2007	2,713	
712.15	/ Month --	May - Dec. 2007	5,701	
Miscellaneous elevator repairs			1,700	**10,114**

NOTE 15 **MORTGAGE - P & I**

National Cooperative Bank		2,000,000 @	5.5 %	
11,355.78	x	12 Months		**136,269**

The preparation of the 2007 budget and 2006 forecast requires us to make estimates and assumptions that affect the reported amounts of revenues and expenses. Furthermore, there will usually be differences between the forecasted and actual results, and budgeted and actual results, because events and circumstances frequently do not occur as expected and these differences may be material. Actual results could differ from those estimates.

There will be certain months during the year when cash requirements for certain expenses will exceed the budgeted amount of the expense and may result in the need to borrow or supplement the budget income with funds from available reserves. This condition, when it occurs, is due to the seasonality of certain disbursements such as:

1. Heating and/or cooling (Charges for fuel and electricity)
2. Insurance premiums
3. Extraordinary repairs and maintenance
4. Any other expense for which the major disbursements are limited to a certain specific time period and not paid out in reasonably equal monthly installments during the 12 months of the budget

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: TJS ASSOCIATES, LLC

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

TWENTY THIRD AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, as amended by twenty two (22) previous Amendments, and should be read in conjunction with said Offering Plan and Amendments (collectively the "Plan").

FIRST: UPDATED INFORMATION

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: SHARES OWNED BY THE SPONSOR

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges and assessments payable for the shares owned by the Sponsor is approximately $12,339.06. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $13,549.89.

THIRD: OBLIGATIONS OF SPONSOR UNDER THE PLAN

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: OTHER NEW YORK STATE PROPERTIES

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

FIFTH: **FUNDING OF DEFICITS**

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: **FINANCING OF UNSOLD SHARES**

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: **FINANCIAL STATEMENTS AND BUDGET**

Attached hereto as Document No. 2 is the Financial Statement for the Apartment Corporation for the year ending December 31, 2006 as prepared by Hoffberg Oberfest Burger & Berger, Certified Public Accountants, 711 Third Avenue, New York, New York 10017. Attached hereto as Document No. 3 is the 2008 Budget for the Apartment Corporation.

EIGHTH: **BOARD OF DIRECTORS**

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Januz Wojciechoski	Vice President and Director
Michael Scherer	Treasurer and Director
Julie Sisti	Assistant Treasurer and Director
Carol Frances	Secretary and Director
William Dougherty	Director
Darek Pyrzanowski	Director
Jeffrey Gold *	Director

* Designee of the Sponsor

NINTH: **CURRENT MAINTENANCE CHARGES AND ASSESSMENT**

The current maintenance charges are approximately $3.1919 per share per month. The current assessment is $.24 per share per month through February, 2012. In addition, there is a fuel surcharge of $.0795 per share with no established end date.

TENTH: **DEFINITIONS**

All terms used in this Twenty Third Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

ELEVENTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the twenty two (22) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

TWELFTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

THIRTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Twenty Third Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES, LLC
Sponsor and Holder of Unsold Shares

Dated: April 23, 2008
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
2L	294
3E	325
3K	228
4B	243
4E	326
4J	202
5A	152
5C	179
5D	230
5F	152
5G	212
5H	212
5K	230
6C	180
6K	231
6L	298
16	3,694

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2005

CRESTWOOD APARTMENT OWNERS, CORP.

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Hoffberg Oberfest Burger & Berger

Certified Public Accountants

711 Third Avenue
New York NY 10017
212 661 8640

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

We have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2005 and 2004, and the related statements of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America.

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2005 and 2004, and its revenues and expenses and deficit, and cash flows for the years then ended, on the basis of accounting described in Note 2.

As discussed in Note 6, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Hoffberg Oberfest Burger & Berger

New York, New York
June 30, 2006

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD

ASSETS

	December 31, 2005	December 31, 2004
Cash and cash equivalents (Note 9)	$ 165,349	$ 241,297
Accounts receivable - tenant - owners	3,308	4,682
Prepaid - insurance	7,874	7,139
- real estate taxes and other	39,483	6,595
	216,014	259,713
Property and equipment (Notes 2, 4 and 5)		
Building	3,337,305	3,337,305
Building improvements and equipment	506,728	481,023
	3,844,033	3,818,328
Less: Accumulated depreciation	1,891,248	1,773,957
	1,952,785	2,044,371
Land	588,936	588,936
	2,541,721	2,633,307
Deferred mortgage refinancing costs - net of accumulated amortization of $9,670 - 2005 and $5,207 - 2004 (Note 2)	34,964	39,427
Investment in NCB Stock (Note 4)	20,000	20,000
Utility deposit	1,760	1,760
	56,724	61,187
	$ 2,814,459	$ 2,954,207

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities		
Accounts payable and accrued expenses	$ 25,772	$ 35,210
Accrued mortgage interest	8,902	9,033
Prepaid maintenance	1,680	8,880
Corporation taxes payable (Note 7)	854	742
Financing (Note 4)	1,942,154	1,970,746
Total liabilities	1,979,362	2,024,611
Stockholders' equity (Notes 2, 3 and 8)		
Capital stock - 14,957 shares authorized and issued	2,126,241	2,126,241
Capital in excess of par value	500,121	471,529
Deficit	(1,791,265)	(1,668,174)
Total stockholders' equity	835,097	929,596
	$ 2,814,459	$ 2,954,207

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2005	2004
Revenues		
Maintenance and assessment charges (Note 8)	$ 567,564	$ 567,217
Less: Contributions for mortgage amortization (Note 2)	(28,592)	(27,065)
	538,972	540,152
Parking income	8,075	8,285
Laundry income	4,200	3,500
Late fee, transfer fee and sublet fee income	9,248	6,166
Interest and dividend income (Note 4)	3,785	17,535
Sundry income	8,579	6,546
Total revenues - forwarded	572,859	582,184
Operating expenses		
Labor costs		
Salaries and labor	72,892	66,714
Payroll taxes	5,970	5,419
Workmen's compensation insurance	3,520	2,045
Health insurance	7,749	7,480
Total labor costs	90,131	81,658
Electricity and gas	37,300	29,156
Gas heat and heating oil	53,273	55,449
Telephone and miscellaneous expenses	1,845	1,712
Total operating expenses	182,549	167,975
Administrative expenses		
Management fees	21,417	21,000
Professional fees	10,983	10,167
Printing and miscellaneous expenses	2,731	2,037
Total administrative expenses	35,131	33,204
Repairs and maintenance		
Elevator	8,713	11,962
Supplies and tools	7,665	7,749
Plumbing and heating	13,266	20,440
Painting and decorating	6,052	3,693
Landscaping	6,718	6,518
Exterminating	4,556	4,046
Miscellaneous	9,402	5,883
Total repairs and maintenance	56,372	60,291
Expenses - forwarded	274,052	261,470

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2005	2004
Total revenues - forwarded	$ 572,859	$ 582,184
Expenses - forwarded	274,052	261,470
General expenses		
Mortgage interest (Note 4)	107,546	109,080
Other interest (Note 5)	1,143	515
Real estate taxes (Note 8)	116,004	117,813
Water and sewer expense - net of credit of $23,344 - 2004	22,706	2,295
Insurance	49,589	44,145
Permits and fees	1,550	1,543
Corporation taxes (Note 7)	1,546	1,087
Total general expenses	300,084	276,478
Total expenses before depreciation and amortization	574,136	537,948
Excess (deficiency) of revenues over expenses before depreciation and amortization	(1,277)	44,236
Depreciation and amortization (Note 2)	121,814	123,825
Net loss	(123,091)	(79,589)
Deficit - beginning of year	(1,668,174)	(1,588,585)
Deficit - end of year	$ (1,791,265)	$ (1,668,174)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2005	2004
Cash flows from operating activities		
Net loss	$ (123,091)	$ (79,589)
Adjustments		
Depreciation and amortization	121,814	123,825
Accounts receivable-tenant-owners	1,374	10,808
Prepaid expenses	(33,683)	(6,373)
Accounts payable and accrued expenses	(9,569)	(4,883)
Corporate taxes payable	112	420
Prepaid maintenance	(7,200)	8,880
Net cash provided by (used for) operating activities	(50,243)	53,088
Cash flows from investing activities		
Real property acquisitions	(25,705)	(20,156)
Investment in NCB stock	-	5,000
Net cash used for investing activities	(25,705)	(15,156)
Cash flows from financing activities		
Payment of mortgage note	(28,592)	(27,065)
Contributions by tenant cooperators	28,592	73,930
Payment of note payable - boiler	-	(7,073)
Net cash provided by financing activities	-	39,792
Net increase (decrease) in cash and cash equivalents	(75,948)	77,724
Cash and cash equivalents - beginning of year	241,297	163,573
Cash and cash equivalents - end of year	$ 165,349	$ 241,297
Supplemental cash flow data		
Cash paid during year for		
Interest	$ 107,677	$ 109,204
Corporation taxes	$ 1,043	$ 645

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2005

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by accounting principles generally accepted in the United States of America. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance paid by tenant-cooperators under proprietary leases which is used for mortgage amortization and capital assessments are deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2005 and 2004, this amounted to $28,592 and $73,930, respectively.

The building is being depreciated using the straight-line method over a period of 35 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 5 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

The preparation of financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

NOTE 3 - UNSOLD SHARES

The sponsor held 3,694 and 4,050 shares in the Company, or approximately 25% and 27%, respectively at December 31, 2005 and 2004.

NOTE 4 - FINANCING

The property is encumbered by a mortgage with National Cooperative Bank (NCB) in the amount of $2,000,000. The mortgage provides for monthly payments of $11,356 (based on a 30 year amortization), applicable first to interest at the rate of 5.5% per annum with the balance to reduction of principal to November 1, 2013 when the principal amount of $1,655,119 becomes due.

The loan may not be prepaid prior to April 2013, and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. There is no prepayment penalty for 90 days prior to maturity.

The Company also entered into an agreement for a $500,000 secured line of credit with National Cooperative Bank. The line of credit provides for interest only payments for the initial 5 years of the draw at a rate of prime plus 1%. Thereafter principal payments of a minimum of $100 per month are due with the balance of principal due November 1, 2013. The monies may be borrowed at any time in minimum advances of $50,000 and may be prepaid without penalty in monthly minimum amounts of $50,000. At December 31, 2005 and 2004, the Company had not borrowed any funds from the line.

The Company has assigned its rights to collection of rents and all present and future leases as collateral. Under the terms of the mortgage a late fee of 5% is assessed for payment received ten days after the due date.

In connection with the mortgage refinancing, the Company purchased Class B-1 stock in NCB equal to 1% of the loan and line of credit balances, totaling $25,000. In 2004, NCB redeemed stock in the amount of $5,000. In 2005 and 2004, the Company received a patronage cash dividend of $593 and $16,293 as well as a stock dividend of the bank's Class B-2 stock in the amount of $1,101 and $30,259, respectively. Due to the fact these securities do not have a current value to the Company, they are not reflected in the attached financial statements. To the extent they are realized in future periods, they will be recognized.

Annual principal payments are as follows:

Year Ending December 31,	Amount
2006	$ 30,205
2007	31,909
2008	33,708
2009	35,610
2010	37,619
Thereafter	1,773,103
	$1,942,154

NOTE 5 - NOTE PAYABLE - BOILER

The Company entered into an agreement with Keyspan Energy to convert the heating system from oil to gas. Keyspan Energy loaned the Company $77,000 to engage a contractor to purchase and install all required equipment. The note provided for monthly payments of $1,415 applicable first to interest at the rate of 3.9% per annum and the balance to principal for sixty months. Keyspan Energy also had a security interest in all equipment. The note was satisfied in 2004.

NOTE 6 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the Board of Directors developed a formal plan to fund those needs. When funds are required for major repairs and replacements, the Company plans to utilize available funds, borrow, increase maintenance charges, or delay repairs and replacements until funds are available. The effect on future assessments has not been determined at this time.

NOTE 7 - CORPORATION TAXES

The Company is subject to federal, state and city taxation pursuant to Subchapter T of the Internal Revenue Code.

NOTE 8 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. In June 2005 and May 2004, an operating assessment of $1.583 and $1.5801 per share, respectively was instituted. At December 31, 2005 and 2004 monthly maintenance charges were $3.1333. Tenant-cooperators are billed monthly based on their respective stock holdings.

Effective January 2004, the board of directors approved a one-month capital assessment payable over a 12 month period for elevator work, new carpeting and electrical work. The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $18,500 and $18,794 for 2005 and 2004, respectively.

NOTE 9 - FINANCIAL INSTRUMENTS

From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

DOCUMENT NO. 3

GOODMAN MANAGEMENT CO., INC.
REAL ESTATE
2736 Independence Avenue, Suite A, Riverdale, NY 10463 (718) 796-5022 FAX (718) 796-5026

CRESTWOOD APARTMENT OWNERS CORPORATION
2007 BUDGET

2003 ACTUAL	2004 ACTUAL	2005 ACTUAL		2006 BUDGET	2006 FORECAST	2006 VARIANCE	2007 BUDGET	
			INCOME					
550,000	562,377	562,387	Maintenance	562,323	562,323	-	562,380	[1]
(12,376)	(18,794)	(18,500)	Coop Abatements/STAR	(25,613)	(23,868)	1,745	(25,829)	
20,101	23,634	23,677	Assessment	30,800	26,593	(4,207)	26,923	[2]
3,000	3,500	4,200	Laundry	4,200	4,200	-	4,200	[3]
8,100	8,285	8,075	Parking	9,720	9,720	-	9,720	[4]
542	1,742	3,192	Interest	3,000	4,100	1,100	4,100	
-	46,865	-	Special Assessment	-		-	-	[5]
			Fuel surcharge	24,105	24,378	273	-	[5A]
233	16,293	693	NCB Patronage Dividend	1,500	11,556	10,056	5,000	
16,811	12,712	17,827	Miscellaneous	13,500	11,000	(2,500)	18,750	[5B]
586,411	656,114	601,451	**TOTAL INCOME**	623,535	630,002	6,467	605,244	
			EXPENSES					
68,926	84,605	90,573	Electricity, Gas, Fuel Oil	103,880	101,360	2,520	94,550	[6]
41,455	44,145	49,589	Insurance	47,985	52,670	(4,685)	53,754	[7]
6,152	10,167	10,983	Professional Fees	7,335	6,000	1,335	6,955	[8]
21,000	21,000	21,417	Management Fees	22,000	22,000	-	22,000	[9]
72,273	66,714	72,892	Payroll	73,197	71,100	2,097	67,344	[10]
6,648	7,464	9,490	Payroll Taxes	10,788	11,710	(922)	11,434	[11]
4,078	7,480	7,749	Health Insurance	8,655	9,163	(508)	10,349	[12]
114,738	117,813	116,004	Real Estate Taxes	128,461	126,400	2,061	130,516	[13]
36,784	2,295	22,706	Water/Sewer	27,500	22,500	5,000	23,360	
24,813	34,062	33,276	Repairs/Maintenance	28,500	26,500	2,000	20,600	
9,258	11,962	8,713	Elevator Service	9,500	9,650	(150)	10,114	[14]
6,582	7,749	7,665	Supplies	5,500	12,000	(6,500)	5,500	
4,979	3,749	4,576	Office/Administrative/Phone	4,200	3,800	400	3,500	
1,055	1,543	1,550	License & Permits	1,250	1,683	(433)	1,500	
142,697	136,145	136,138	Mortgage - P & I	136,269	136,269	(0)	136,269	[15]
1,714	515	1,143	Other Interest	-	1,100	(1,100)	1,100	
69,299	-	-	Prepayment Penalty	-	-	-	-	
1,061	1,087	1,546	Corporate Taxes	1,400	1,400	-	1,400	
16,980	-	-	Boiler Loan	-	-	-	-	
5,399	6,518	6,718	Landscaping	6,250	5,000	1,250	5,000	
655,881	565,013	602,728	**TOTAL EXPENSES**	622,670	620,305	2,365	605,244	
(69,470)	91,101	(1,277)	**NET INCOME (LOSS) FROM OPERATIONS**	865	9,697	8,832	(0)	

4/17/2008

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2007 BUDGET

NOTE 1 **MAINTENANCE**

46,865	x	12	months	562,380	
14,957 Shares @ 3.133/Share/Month = 46,860					
INCREASE: .0/sh/mo (0%) in lieu of fuel assessment				-	**562,380**

NOTE 2 **ASSESSMENT vs. ABATEMENT**

14,957 Shares @ 1.80/share	**26,923**

NOTE 3 **LAUNDRY**

350 X 12 Months	**4,200**

NOTE 4 **PARKING**

9 Parking Spots @ 90/spot	X 12 Months	**9,720**

NOTE 5 **2004 - SPECIAL ASSESSMENT**

One month assessment payable over 12-Months

14,957 Shares @ .2611/share/month	3,905	
Payable over number of months	12	**46,863**

NOTE 5A **FUEL SURCHARGE - Effective 01/01/06**

.1343/Share/Month	Duration 12 Months	-

NOTE 5B **MISCELLANEOUS FEES**

Sublet Fees	3,500	
Late Fees	1,000	
Closing Fees	4,000	
Gym Membership	9,000	
Miscellaneous	1,250	**18,750**

NOTE 6 **GAS, ELECTRIC AND FUEL OIL # 2**

	Account #	2005	2006	2007		
Con Ed	25-5700-4652-0001-9	14,423	15,500	16,000		
Con Ed	25-5700-4617-0000-4	-	600	600		
	Total Electric	14,423	16,100	16,600		
Keyspan	10425-66220	-	3,100	3,100		
Keyspan	10425-69303	-	1,850	1,850		
Keyspan	10425-73101	-	145	145		
Amerada Hess		-	-	-		
	Total Gas	-	4,950	4,950		
	Fuel Oil # 2	3,000	65,000	73,000	**	
	Total Gas & Electric	14,423	21,050	21,550		
		17,423	86,050			**94,550**

** Fuel Oil # 2

36,000 Gallons @ 1.95/Gallon plus sales tax

4/17/2008

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2007 BUDGET

NOTE 7	**INSURANCE**				
Package/Liability	2/15/06-2/15/07	*2006 Premium Plus 2%*		39,552	
Umbrella	2/15/06-2/15/07	*2006 Premium Plus 2%*		10,699	
Crime	11/17/05-11/17/06	*2006 Premium Plus 2%*		954	
Directors & Officers	4/2/05-4/2/06	*2006 Premium Plus 2%*		2,550	**53,754**
NOTE 8	**PROFESSIONAL FEES**				
Auditor	340.00 / Month			4,080	
Legal Fees				2,500	
Real Estate Tax Attorney - Filling/Processing				375	6,955
NOTE 9	**MANAGEMENT FEES**				
1,833.33	X 12 Months				**22,000**
NOTE 10	**PAYROLL**				
Superintendent		52 Weeks	618	32,136	
		X-Mas Bonus (Net is 1,500)		1,750	
		Over Time		4,000	37,886
Porter		52 Weeks	504	26,208	
		X-Mas Bonus (Net is 1,500)		1,750	
		Over Time		1,500	29,458
				Grand Total	**67,344**
NOTE 11	**PAYROLL TAXES**				
Payroll Taxes - Estimated @ 10% of Payroll				6,734	
Workers' Compensation - *Estimate*				4,700	**11,434**
NOTE 12	**HEALTH INSURANCE**				
Aetna	Jan. - April 2007		808.50	3,234	
	April - Dec. 2007		889.35	7,115	**10,349**

NOTE 13 **REAL ESTATE TAXES**

Period	Billable Assessed Value	Rate		
01/01-06/30/07	1,260,000	12.600%	79,380	
07/01-12/31/07	1,291,500	12.600%	81,365	
		J-51 Abatement	(4,400)	
		Coop Abatements/STAR	(25,829)	**130,516**

Assumed a 2.5% increase in the assessed value for the second half of 2006.

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2007 BUDGET

NOTE 14 **ELEVATOR SERVICE**

678.24	/ Month --	Jan. - April 2007	2,713	
712.15	/ Month –	May - Dec. 2007	5,701	
Miscellaneous elevator repairs			1,700	**10,114**

NOTE 15 **MORTGAGE - P & I**

National Cooperative Bank		2,000,000 @	5.5 %	
11,355.78	x	12 Months		**136,269**

The preparation of the 2007 budget and 2006 forecast requires us to make estimates and assumptions that affect the reported amounts of revenues and expenses. Furthermore, there will usually be differences between the forecasted and actual results, and budgeted and actual results, because events and circumstances frequently do not occur as expected and these differences may be material. Actual results could differ from those estimates.

There will be certain months during the year when cash requirements for certain expenses will exceed the budgeted amount of the expense and may result in the need to borrow or supplement the budget income with funds from available reserves. This condition, when it occurs, is due to the seasonality of certain disbursements such as:

1. Heating and/or cooling (Charges for fuel and electricity)
2. Insurance premiums
3. Extraordinary repairs and maintenance
4. Any other expense for which the major disbursements are limited to a certain specific time period and not paid out in reasonably equal monthly installments during the 12 months of the budget

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: TJS ASSOCIATES, LLC

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

TWENTY FOURTH AMENDMENT TO OFFERING PLAN OF COOPERATIVE OWNERSHIP

This Amendment modifies and supplements the terms of the Offering Plan dated October 26, 1988, as amended by twenty three (23) previous Amendments, and should be read in conjunction with said Offering Plan and Amendments (collectively the "Plan").

FIRST: UPDATED INFORMATION

The following disclosure is hereby submitted by the Sponsor in compliance with Section 18.5(c) of the Regulations of the Real Estate Financing Bureau, Department of Law of New York.

SECOND: SHARES OWNED BY THE SPONSOR

Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges and assessments payable for the shares owned by the Sponsor is approximately $11,538. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $12,758.

THIRD: OBLIGATIONS OF SPONSOR UNDER THE PLAN

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: OTHER NEW YORK STATE PROPERTIES

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

FIFTH: FUNDING OF DEFICITS

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: FINANCING OF UNSOLD SHARES

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: FINANCIAL STATEMENTS AND BUDGET

Attached hereto as Document No. 2 is the Financial Statement for the Apartment Corporation for the year ending December 31, 2007 as prepared by Bollam Sheedy Torani & Co. LLP, Certified Public Accountants, 711 Third Avenue, New York, New York 10017. As of the submission of this Amendment, the 2008 Financial Statements were not approved by the Apartment Corporation. Attached hereto as Document No. 3 is the 2009 Budget for the Apartment Corporation.

EIGHTH: BOARD OF DIRECTORS

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Elizabeth Weingart	President and Director
Januz Wojciechoski	Vice President and Director
Michael Scherer	Treasurer and Director
Julie Sisti	Secretary and Director
William Dougherty	Director
Darek Pyrzanowski	Director
John Burlacu	Director
Jeffrey Gold	Sponsor Representative

NINTH: CURRENT MAINTENANCE CHARGES AND ASSESSMENT

The current maintenance charges are approximately $3.1919 per share per month. The current assessment is $.24 per share per month through February, 2012. In addition, there is a fuel surcharge of $.0795 per share with no established end date.

TENTH: DEFINITIONS

All terms used in this Twenty Fourth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

ELEVENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, and the twenty three (23) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

TWELFTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

THIRTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Twenty Fourth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES, LLC
Sponsor and Holder of Unsold Shares

Dated: July 23, 2009
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
2L	294
3E	325
4B	243
4E	326
4J	202
5A	152
5C	179
5D	230
5F	152
5G	212
5H	212
5K	230
6K	231
6L	298
14	3,286

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2007

CRESTWOOD APARTMENT OWNERS, CORP.

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BOLLAM, SHEEDY, TORANI & CO. LLP
Certified Public Accountants
New York, New York

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

We have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2007 and 2006, and the related statements of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America.

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2007 and 2006, and its revenues and expenses and deficit, and cash flows for the years then ended, on the basis of accounting described in Note 2.

As discussed in Note 5, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Bollam Sheedy Torani & Co LLP

New York, New York
November 1, 2008

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD

ASSETS

	December 31, 2007	December 31, 2006
Cash and cash equivalents (Note 8)	$ 73,923	$ 113,721
Accounts receivable - tenant - owners	6,625	870
Assessment receivable (Note 5)	179,484	-
Prepaid - insurance	8,284	9,437
- real estate taxes and other	37,255	36,147
	305,571	160,175
Property and equipment (Notes 2, 4 and 5)		
Building	3,337,305	3,337,305
Building improvements and equipment	631,058	567,786
	3,968,363	3,905,091
Less: Accumulated depreciation	2,127,936	2,009,347
	1,840,427	1,895,744
Land	588,936	588,936
	2,429,363	2,484,680
Deferred mortgage refinancing costs - net of accumulated amortization of $18,596 - 2007 and $14,133 - 2006 (Note 2)	26,038	30,501
Investment in NCB Stock (Note 4)	-	20,000
Utility deposit	1,760	1,760
	27,798	52,261
	$ 2,762,732	$ 2,697,116

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities		
Accounts payable and accrued expenses	$ 43,302	$ 20,128
Accrued mortgage interest	8,617	8,763
Prepaid maintenance	2,753	330
Corporation taxes payable (Note 6)	898	1,089
Financing (Note 4)	1,880,040	1,911,949
Total liabilities	1,935,610	1,942,259
Stockholders' equity (Notes 2 and 3)		
Capital stock - 14,957 shares authorized and issued	2,126,241	2,126,241
Capital in excess of par value	777,615	530,326
Deficit	(2,076,734)	(1,901,710)
Total stockholders' equity	827,122	754,857
	$ 2,762,732	$ 2,697,116

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2007	2006
Revenues		
Maintenance and assessment charges (Note 7)	$ 563,418	$ 587,136
Less: Contributions for mortgage amortization (Note 2)	(31,909)	(30,205)
	531,509	556,931
Parking income	9,720	9,720
Laundry income	3,850	4,200
Late fee, transfer fee and sublet fee income	4,802	2,053
Interest and dividend income (Note 4)	3,143	3,959
Sundry income	8,742	12,949
Total revenues - forwarded	561,766	589,812
Operating expenses		
Labor costs		
Salaries and labor	70,254	68,873
Payroll taxes	5,605	5,711
Workmen's compensation insurance	5,842	4,163
Health insurance	11,231	9,297
Total labor costs	92,932	88,044
Electricity and gas	28,662	28,582
Gas heat and heating oil	75,980	59,687
Telephone and miscellaneous expenses	1,565	1,490
Total operating expenses	199,139	177,803
Administrative expenses		
Management fees	22,000	22,000
Professional fees	5,961	5,551
Printing and miscellaneous expenses	3,518	2,929
Total administrative expenses	31,479	30,480
Repairs and maintenance		
Elevator	9,360	10,325
Supplies and tools	11,746	14,926
Plumbing and heating	14,677	14,849
Painting and decorating	5,721	2,774
Landscaping	5,284	6,296
Exterminating	4,834	4,734
Miscellaneous	5,634	2,493
Total repairs and maintenance	57,256	56,397
Expenses - forwarded	287,874	264,680

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2007	2006
Total revenues - forwarded	$ 561,766	$ 589,812
Expenses - forwarded	287,874	264,680
General expenses		
Mortgage interest (Note 4)	104,215	105,925
Real estate taxes (Note 7)	134,483	127,786
Water and sewer expense	26,131	22,296
Insurance	55,936	53,520
Permits and fees	3,847	2,215
Corporation taxes (Note 6)	1,252	1,272
Total general expenses	325,864	313,015
Total expenses before depreciation and amortization	613,738	577,695
Excess (deficiency) of revenues over expenses before depreciation and amortization	(51,972)	12,117
Depreciation and amortization (Note 2)	123,052	122,562
Net loss	(175,024)	(110,445)
Deficit - beginning of year	(1,901,710)	(1,791,265)
Deficit - end of year	$ (2,076,734)	$ (1,901,710)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2007	2006
Cash flows from operating activities		
Net loss	$ (175,024)	$ (110,445)
Adjustments		
Depreciation and amortization	123,052	122,562
Accounts receivable-tenant-owners	(5,755)	2,438
Prepaid expenses	45	1,773
Accounts payable and accrued expenses	23,028	(5,783)
Corporate taxes payable	(191)	235
Prepaid maintenance	2,423	(1,350)
Net cash provided by (used for) operating activities	(32,422)	9,430
Cash flows from investing activities		
Real property acquisitions	(63,272)	(61,058)
Cash flows from financing activities		
Investment in NCB Stock	20,000	-
Payment of mortgage note	(31,909)	(30,205)
Contributions by tenant cooperators	67,806	30,205
Net cash provided by financing activities	55,897	-
Net decrease in cash and cash equivalents	(39,797)	(51,628)
Cash and cash equivalents - beginning of year	113,721	165,349
Cash and cash equivalents - end of year	$ 73,924	$ 113,721
Supplemental cash flow data		
Non-cash financing activity		
Assessment receivable	$ 179,484	
Contributions by tenant corporations	$ 179,484	
Cash paid during year for		
Interest	$ 104,361	$ 106,065
Corporation taxes	$ 1,443	$ 1,037

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2007

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by accounting principles generally accepted in the United States of America. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance charged to tenant-cooperators under proprietary leases which is used for mortgage amortization and capital assessments is deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2007 and 2006, this amounted to $247,290 and $30,205 respectively (Note 5)

The building is being depreciated using the straight-line method over a period of 35 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 5 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

The preparation of financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

NOTE 3 - UNSOLD SHARES

The sponsor held 3,514 and 3,694 shares in the Company, or approximately 23% and 25%, respectively, at December 31, 2007 and 2006.

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2007

NOTE 4 - FINANCING

The property is encumbered by a mortgage with National Cooperative Bank (NCB) in the original principal amount of $2,000,000. The mortgage provides for monthly payments of $11,356 (based on a 30 year amortization), applicable first to interest at the rate of 5.5% per annum with the balance to reduction of principal to November 1, 2013 when the principal amount of $1,655,119 becomes due.

The loan may not be prepaid prior to April 2013, and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. There is no prepayment penalty for 90 days prior to maturity.

The Company also entered into an agreement for a $500,000 secured line of credit with National Cooperative Bank. The line of credit provides for interest only payments for the initial 5 years of the draw at a rate of prime plus 1%. Thereafter principal payments of a minimum of $100 per month are due with the balance of principal due November 1, 2013. The monies may be borrowed at any time in minimum advances of $50,000 and may be prepaid without penalty in monthly minimum amounts of $50,000. At December 31, 2007 and 2006, the Company had not borrowed any funds from the line.

The Company has assigned its rights to collection of rents and all present and future leases as collateral. Under the terms of the mortgage a late fee of 5% is assessed for payment received ten days after the due date.

In connection with the mortgage refinancing, the Company purchased Class B-1 stock in NCB equal to 1% of the loan and line of credit balances, totaling $25,000. In 2007, NCB redeemed stock in the amount of $20,000. In 2007 and 2006, the Company received a patronage cash dividend of $435 and $703 as well as a stock dividend of the bank's Class B-2 stock in the amount of $808 and $1,307, respectively (cumulatively $33,825). Due to the fact these securities do not have a current value to the Company, they are not reflected in the attached financial statements. To the extent they are realized in future periods, they will be recognized.

Annual principal payments are as follows:

Year Ending December 31,	Amount
2008	$ 33,708
2009	35,610
2010	37,619
2011	39,741
2012	41,982
Thereafter	1,691,380
	$1,880,040

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2007

NOTE 5 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the Board of Directors developed a formal plan to fund those needs. When funds are required, the Company plans to utilize available funds, borrow, increase maintenance charges, or delay repairs and replacements until funds are available.

The board of directors approved an assessment commencing March 2007 totaling $215,381 (payable $.24 per share per month over 60 months) to pay for the Local Law 11 improvements. At December 31, 2007 $179,484 remained to be collected.

NOTE 6 - CORPORATION TAXES

The Company is subject to federal, state and city taxation pursuant to Subchapter T of the Internal Revenue Code.

NOTE 7 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. In June 2007 and 2006, an operating assessment of $1.826 and $1.777 per share, respectively was instituted. At December 31, 2007 and 2006 monthly maintenance charges were $3.1333. Tenant-cooperators are billed monthly based on their respective stock holdings.

Effective January 2008 the Board of Directors approved a maintenance increase to $3.192 per share, (1.87% increase) and a fuel surcharge of $.95 per share payable monthly.

The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $26,807 and $23,868 for 2007 and 2006, respectively.

NOTE 8 - FINANCIAL INSTRUMENTS
From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

DOCUMENT NO. 3

GOODMAN MANAGEMENT CO., INC.
REAL ESTATE
2736 Independence Avenue, Suite A, Riverdale, NY 10463 (718) 796-5022 FAX (718) 796-5026

CRESTWOOD APARTMENT OWNERS CORPORATION
2009 BUDGET

2005 ACTUAL	2006 ACTUAL	2007 ACTUAL		2008 BUDGET	2008 FORECAST	2008 VARIANCE	2009 BUDGET	
			INCOME					
562,387	562,329	562,329	Maintenance	572,916	572,895	21	572,916	[1]
(18,500)	(23,868)	(26,807)	Coop Abatements/STAR	(27,161)	(27,841)	(680)	(28,056)	
23,677	26,579	27,311	Assessment	28,420	28,615	195	28,720	[2]
4,200	4,200	3,850	Laundry	4,200	4,200	-	4,200	[3]
8,075	9,720	9,720	Parking	12,420	12,420	-	12,420	[4]
3,192	3,256	2,708	Interest	4,100	700	(3,400)	700	
-	-	-	Special Assessment	43,076	43,076	-	43,076	[5]
	22,096	-	Fuel surcharge	14,269	14,269	-	-	
593	703	435	NCB Patronage Dividend	5,000	-	(5,000)	5,000	
17,827	15,002	13,544	Miscellaneous	13,250	10,050	(3,200)	10,050	
	-		Transfer from Reserve	-	23,960	23,960	-	
601,451	620,017	593,090	**TOTAL INCOME**	670,490	682,344	11,896	649,027	
			EXPENSES					
90,573	88,269	104,642	Electricity, Gas, Fuel Oil	93,921	90,080	3,861	91,150	[6]
49,589	53,520	55,936	Insurance	54,525	51,657	2,868	42,021	[7]
10,983	5,551	5,961	Professional Fees	7,123	6,600	523	6,875	[8]
21,417	22,000	22,000	Management Fees	23,000	23,000	-	23,000	[9]
72,892	68,873	70,254	Payroll	67,344	67,750	(406)	53,850	[10]
9,490	9,874	11,447	Payroll Taxes	11,735	10,700	1,035	7,693	[11]
7,749	9,297	11,231	Health Insurance	12,526	13,547	(1,021)	15,563	[12]
116,004	127,786	134,488	Real Estate Taxes	138,436	139,600	(1,164)	143,157	[13]
22,706	22,296	26,131	Water/Sewer	29,400	31,200	(1,800)	30,651	
33,276	24,850	30,866	Repairs/Maintenance	20,600	22,000	(1,400)	22,000	
8,713	10,325	9,360	Elevator Service	10,531	12,800	(2,269)	10,272	[14]
7,665	14,926	11,746	Supplies	8,000	9,000	(1,000)	9,000	
4,576	4,419	5,083	Office/Administrative/Phone	4,300	4,150	150	4,150	
1,550	2,215	3,847	License & Permits	2,200	3,100	(900)	3,000	
136,138	136,131	136,124	Mortgage - P & I	136,269	136,269	(0)	136,269	[15]
1,143	-	-	Other Interest	1,000	1,000	-	1,000	
1,546	1,272	1,252	Corporate Taxes	1,500	1,300	200	1,300	
6,718	6,296	5,284	Landscaping	5,000	5,000	-	5,000	
-	-	-	Transfer to Reserve	43,076	43,076	-	43,076	
602,728	607,900	645,647	**TOTAL EXPENSES**	670,486	671,809	(1,323)	649,027	
(1,277)	12,117	(52,557)	**NET INCOME (LOSS) FROM OPERATIONS**	4	10,536	10,573	(0)	

6/25/2009

STATE OF NEW YORK
OFFICE OF THE ATTORNEY GENERAL

ERIC T. SCHNEIDERMAN
ATTORNEY GENERAL

(212) 416-8171

DIVISION OF ECONOMIC JUSTICE
REAL ESTATE FINANCE BUREAU

Tjs Associates, LLC
c/o Cutler Minikes & Adelman LLP
Attention: Andrew Cutler
150 White Plains Road, Suite 106
Tarrytown, NY 10591

RE: 124-16 84th Road **CPS-9**
File Number: C 870398 Amendment No: 25
Date Amendment Filed: 04/18/2011 Filing Fee: $225.00
Receipt Number: 111885

Dear Sponsor:

The referenced amendment to the offering plan for the subject premises is hereby accepted and filed. Since this amendment is submitted after the post closing amendment has been filed, this filing is effective for twelve months from the date of filing of this amendment. However, any material change of fact or circumstance affecting the property or offering requires an immediate amendment.

Any misstatement or concealment of material fact in the material submitted as part of this amendment renders this filing void ab initio. This office has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or any waiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this letter is conditioned upon the collection of all fees imposed by law. This letter is your receipt for the filing fee.

Very truly yours,

Joseph Wilson /CS

Joseph Wilson
Assistant Attorney General

PREMISES AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

SPONSOR: TJS ASSOCIATES, LLC

APARTMENT CORPORATION: CRESTWOOD APARTMENT OWNERS CORP.

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Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges and assessments payable for the shares owned by the Sponsor is approximately $10,394.62. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is approximately $12,179.00.

THIRD: OBLIGATIONS OF SPONSOR UNDER THE PLAN

The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment.

FOURTH: OTHER NEW YORK STATE PROPERTIES

Arlyne Goldstein and Herbert Goldsmith continue to be the principals of the Sponsor, with each owning a fifty percent interest in the Sponsor. Ms. Goldstein and Mr. Goldsmith do not own more than ten (10%) percent of the shares or units in any other properties in New York State either as an individual holder of unsold shares or units or as general partner or principal of the sponsor or holder of unsold shares or units.

FIFTH: FUNDING OF DEFICITS

The funding of any deficit between the amount of the rents and maintenance received, of the financial obligations of the Sponsor to the Apartment Corporation, and of amounts owed in connection with financing of unsold shares will be from the net proceeds of the sale of unsold

shares, rental income from tenants, and other cash contributions and reserves which may be provided by the Sponsor.

SIXTH: FINANCING OF UNSOLD SHARES

The Unsold Shares appurtenant to the Apartments have not been pledged as collateral to secure any loans made to the Sponsor.

SEVENTH: FINANCIAL STATEMENTS AND BUDGET

Attached hereto as Document No. 2 is the Financial Statement for the Apartment Corporation for the year ending December 31, 2008 as prepared by Bollam Sheedy Torani & Co. LLP, Certified Public Accountants, 711 Third Avenue, New York, New York 10017. Attached hereto as Document No. 3 is the Financial Statement for the Apartment Corporation for the year ending December 31, 2009 as prepared by Marin & Montanye LLP, 1461 RXR Plaza, Uniondale, NY 11556. As of the submission of this Amendment, the 2010 Financial Statement was not approved by the Apartment Corporation. Attached hereto as Document Nos. 4 and 5 are the 2010 and 2011 Budgets for the Apartment Corporation.

EIGHTH: BOARD OF DIRECTORS

Sponsor relinquished control of the Board on the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Januz Wojciechoski	President
Claudia Gruen	Vice President
Michael Scherer	Treasurer
Susan Sendek	Secretary
Michael Anastasiou	
Julie Sisti	
Jeffrey Gold	Sponsor Representative

NINTH: CURRENT MAINTENANCE CHARGES AND ASSESSMENT

The current maintenance charges are approximately $3.27264 per share per month. The current assessment is $.24 per share per month.

TENTH: MANAGING AGENT

Effective January 1, 2010, the Managing Agent for the Apartment Corporation is Excel Bradshaw Management Group, 393 Old Country Road, Suite 204, Carle Place, New York 11514

ELEVENTH: FORM OF CONTRACT

The form of Contract of Sale used by the Sponsor is annexed hereto as Exhibit 6.

TWELFTH: DEFINITIONS

All terms used in this Twenty Fifth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

THIRTEENTH: **INCORPORATION OF THE AMENDED PLAN**

The Plan, and the twenty four (24) Amendments thereto, as modified and supplemented thereby, are incorporated herein by reference with the same effect as if set forth at length.

FOURTEENTH: **EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN**

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

FIFTEENTH: **NO MATERIAL CHANGES**

There have been no material changes to the Plan except as set forth in this Twenty Fifth Amendment. To the best of the Sponsor's knowledge, the Plan as hereby amended, does not omit any material fact or knowingly contain any untrue statement of any material fact with respect to the Sponsor.

TJS ASSOCIATES, LLC
Sponsor and Holder of Unsold Shares

Dated: April 18, 2011
New York, New York

DOCUMENT NO. 1

THE CRESTWOOD, KEW GARDENS, N.Y.
List of Unsold Shares

APT. NO.	NO. OF SHARES
2L	294
3E	325
4B	243
4J	202
5A	152
5C	179
5D	230
5F	152
5G	212
5H	212
5K	230
6K	231
6L	298
14	2,960

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS, CORP.

FINANCIAL STATEMENTS

INCOME TAX BASIS - ACCRUAL METHOD

DECEMBER 31, 2008

CRESTWOOD APARTMENT OWNERS, CORP.

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BOLLAM, SHEEDY, TORANI & CO. LLP
Certified Public Accountants
New York, New York

INDEPENDENT AUDITOR'S REPORT

The Board of Directors and Stockholders
Crestwood Apartment Owners, Corp.

We have audited the accompanying statements of assets, liabilities, and stockholders' equity - income tax basis - accrual method of Crestwood Apartment Owners, Corp. as of December 31, 2008 and 2007, and the related statements of revenues and expenses and deficit, and cash flows - income tax basis - accrual method for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As described in Note 2, these financial statements were prepared on the basis of accounting the Company uses for income tax purposes, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America.

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities and stockholders' equity of Crestwood Apartment Owners, Corp. as of December 31, 2008 and 2007, and its revenues and expenses and deficit, and cash flows for the years then ended, on the basis of accounting described in Note 2.

As discussed in Note 5, the Company has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Bollam Sheedy Torani & Co LLP

New York, New York
August 12, 2009

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF ASSETS, LIABILITIES AND STOCKHOLDERS' EQUITY
INCOME TAX BASIS - ACCRUAL METHOD

ASSETS

	December 31, 2008	December 31, 2007
Cash and cash equivalents (Notes 2 and 8	$ 41,035	$ 73,924
Accounts receivable - tenant-cooperators	6,327	6,625
Assessment receivable (Note 5)	136,408	179,484
Prepaid - insurance	7,093	8,284
- real estate taxes and other	42,497	37,255
	233,360	305,572
Property and equipment (Notes 2, 4 and 5)		
Building	3,337,305	3,337,305
Building improvements and equipment	853,753	631,058
	4,191,058	3,968,363
Less: Accumulated depreciation	2,253,212	2,127,936
	1,937,846	1,840,427
Land	588,936	588,936
	2,526,782	2,429,363
Deferred mortgage refinancing costs - net of accumulated amortization of $23,059 - 2008 and $18,596 - 2007 (Note 2)	21,575	26,038
Utility deposit	1,760	1,760
	23,335	27,798
	$ 2,783,477	$ 2,762,733

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities		
Accounts payable and accrued expenses	$ 40,515	$ 43,301
Accrued mortgage interest	9,323	8,617
Prepaid maintenance	1,648	2,753
Corporation taxes payable (Note 6)	877	898
Financing (Note 4)	2,046,232	1,880,040
Total liabilities	2,098,595	1,935,609
Commitments and contingencies (Note 8)		
Stockholders' equity (Notes 2 and 3)		
Capital stock - 14,957 shares authorized and issued	2,126,241	2,126,241
Capital in excess of par value	811,423	777,615
Deficit	(2,252,782)	(2,076,732)
Total stockholders' equity	684,882	827,124
	$ 2,783,477	$ 2,762,733

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31,	
	2008	2007
Revenues		
Maintenance and assessment charges (Note 7)	$ 585,575	$ 563,418
Less: Contributions for mortgage amortization (Note 2)	(33,808)	(31,909)
	551,767	531,509
Parking income	12,379	9,729
Laundry income	4,200	3,850
Late fee, transfer fee and sublet fee income	3,723	4,802
Interest and dividend income (Note 4)	1,386	3,143
Sundry income	7,685	8,742
Total revenues - forwarded	581,131	561,766
Operating expenses		
Labor costs		
Salaries and labor	67,645	70,254
Payroll taxes	5,650	5,605
Workmen's compensation insurance	1,802	5,842
Health insurance	13,547	11,231
Total labor costs	88,644	92,932
Electricity and gas	20,380	28,662
Gas heat and heating oil	82,434	75,980
Telephone and miscellaneous expenses	1,798	1,565
Total operating expenses	193,256	199,139
Administrative expenses		
Management fees	23,000	22,000
Professional fees	9,698	5,961
Printing and miscellaneous expenses	2,603	3,518
Total administrative expenses	35,301	31,479
Repairs and maintenance		
Elevator	11,015	9,360
Supplies and tools	6,472	11,746
Plumbing and heating	10,965	14,677
Painting and decorating	7,874	5,721
Landscaping	8,234	5,284
Exterminating	5,350	4,834
Miscellaneous	8,720	5,634
Total repairs and maintenance	58,630	57,256
Expenses - forwarded	287,187	287,874

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF REVENUES AND EXPENSES AND DEFICIT
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2008	2007
Total revenues - forwarded	$ 581,131	$ 561,766
Expenses - forwarded	287,187	287,874
General expenses		
Mortgage interest (Note 4)	113,431	104,215
Real estate taxes (Note 7)	136,696	134,483
Water and sewer expense	33,011	26,131
Insurance	51,841	55,936
Permits and fees	4,021	3,845
Corporation taxes (Note 6)	1,255	1,252
Total general expenses	340,255	325,862
Total expenses before depreciation and amortization	627,442	613,736
Deficiency of revenues over expenses before depreciation and amortization	(46,311)	(51,970)
Depreciation and amortization (Note 2)	129,739	123,052
Net loss	(176,050)	(175,022)
Deficit - beginning of year	(2,076,732)	(1,901,710)
Deficit - end of year	$ (2,252,782)	$ (2,076,732)

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
STATEMENT OF CASH FLOWS
INCOME TAX BASIS - ACCRUAL METHOD

	Year Ended December 31, 2008	2007
Cash flows from operating activities		
Net loss	$ (176,050)	$ (175,022)
Adjustments		
Depreciation and amortization	129,739	123,052
Accounts receivable-tenant-cooperators	298	(5,755)
Assessment receivable	43,076	
Prepaid expenses	(4,051)	43
Accounts payable and accrued expenses	(2,089)	23,026
Corporate taxes payable	(21)	(191)
Prepaid maintenance	(1,105)	2,423
Net cash used for operating activities	(10,194)	(32,422)
Cash flows from investing activities		
Real property acquisitions	(222,695)	(63,272)
Cash flows from financing activities		
Investment in NCB Stock	-	20,000
Proceeds from line of credit	200,000	-
Payment of mortgage note	(33,808)	(31,909)
Contributions by tenant-cooperators	33,808	67,806
Net cash provided by financing activities	200,000	55,897
Net decrease in cash and cash equivalents	(32,889)	(39,797)
Cash and cash equivalents - beginning of year	73,924	113,721
Cash and cash equivalents - end of year	$ 41,035	$ 73,924
Supplemental cash flow data		
Non-cash financing activities		
Assessment receivable		$ 179,484
Contributions by tenant-cooperators		$ 179,484
Cash paid during year for		
Interest	$ 112,725	$ 104,361
Corporation taxes	$ 1,276	$ 1,443

See accompanying notes to financial statements.

CRESTWOOD APARTMENT OWNERS, CORP.
NOTES TO FINANCIAL STATEMENTS
INCOME TAX BASIS - ACCRUAL METHOD
DECEMBER 31, 2008

NOTE 1 - ORGANIZATION

Crestwood Apartment Owners, Corp. (the Company) is a cooperative apartment corporation consisting of 71 residential apartments, and one superintendent unit, incorporated under the laws of New York State on October 26, 1988 and qualifies under Section 216 of the Internal Revenue Code. Pursuant thereto, its shareholders may be entitled to deduct for Federal, State and City income tax purposes their proportionate share of the real estate taxes and mortgage interest paid in connection with the property. The property was acquired and operations commenced on September 13, 1990.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared on the accrual method of accounting used for Federal income tax purposes. Consequently, the building and land are shown at the sponsor's adjusted cost basis at the time the property was transferred to the apartment corporation rather than at the fair value which would be required by accounting principles generally accepted in the United States of America. Depreciation is accordingly different than it would be if the property were reported at fair value. In addition, the amount of maintenance charged to tenant-cooperators under proprietary leases which is used for mortgage amortization and capital assessments is deemed to be paid-in surplus. This amount is credited to capital in excess of par value and does not constitute income to the Company. For the years ended December 31, 2008 and 2007, this amounted to $33,808 and $247,290 respectively (Note 5).

The building is being depreciated using the straight-line method over a period of 35 years. Improvements are depreciated using both straight-line and accelerated methods over periods ranging from 5 to 27.5 years.

Mortgage refinancing costs are being written off over the 10 year life of the mortgage.

Maintenance and repairs are charged to operations as incurred, whereas the cost of significant betterments are capitalized. Upon sale or retirement of property assets, the related costs and accumulated depreciation are eliminated from the accounts and gains or losses are reflected in operations.

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents.

The preparation of financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

NOTE 3 - UNSOLD SHARES

The sponsor held 3,514 shares in the Company, or approximately 23% , at December 31, 2008 and 2007.

NOTE 4 - FINANCING

The property is encumbered by a mortgage with National Cooperative Bank (NCB) in the original principal amount of $2,000,000. The mortgage provides for monthly payments of $11,356 (based on a 30 year amortization), applicable first to interest at the rate of 5.5% per annum with the balance to reduction of principal to November 1, 2013 when the principal amount of $1,655,119 becomes due.

The loan may not be prepaid prior to April 2013, and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. There is no prepayment penalty for 90 days prior to maturity.

The Company also entered into an agreement for a $500,000 secured line of credit with NCB. The line of credit provides for interest only payments for the initial 5 years of the draw at a rate of prime plus 1%(currently 4.25%). Thereafter principal payments of a minimum of $100 per month are due with the balance of principal due November 1, 2013. The monies may be borrowed at any time in minimum advances of $50,000 and may be prepaid without penalty in monthly minimum amounts of $50,000. At December 31, 2008 and 2007, the Company had borrowed $ 200,000 and 0 funds from the line respectively.

The Company has assigned its rights to collection of rents and all present and future leases as collateral. Under the terms of the mortgage, a late fee of 5% is assessed for payment received ten days after the due date.

In connection with the mortgage refinancing, the Company purchased Class B-1 stock in NCB equal to 1% of the loan and line of credit balances, totaling $25,000. In 2007, NCB redeemed stock in the amount of $20,000. In 2008 and 2007, the Company received a patronage cash dividend of $0 and $435 as well as a stock dividend of the bank's Class B-2 stock in the amount of $0 and $308, respectively (cumulatively $33,825). Due to the fact these securities do not have a current value to the Company, they are not reflected in the attached financial statements. To the extent they are realized in future periods, they will be recognized.

Annual principal payments are as follows:

Year Ending December 31,	Amount
2009	$ 36,810
2010	38,819
2011	40,941
2012	43,182
2013	1,886,480
	$2,046,232

NOTE 5 - FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Company's governing documents do not require that funds be accumulated for future major repairs and replacements.

The Company has elected not to promulgate information on the remaining useful lives of the components of common property and estimates of the costs of major repairs and replacements that may be required in the future, nor has the Board of Directors developed a formal plan to fund those needs. When funds are required, the Company plans to utilize available funds, borrow, increase maintenance charges, or delay repairs and replacements until funds are available.

The Board of Directors approved an assessment commencing March 2007 totaling $ 215,381 (payable $.24 per share per month over 60 months) to pay for the Local Law 11 improvements. At December 31, 2008 and 2007 $136,408 and $179,484, respectively, remained to be collected respectively.

NOTE 6 - CORPORATION TAXES

The Company is subject to federal, state and city taxation pursuant to Subchapter T of the Internal Revenue Code.

NOTE 7 - REVENUES

Maintenance charges are based on an annual budget determined by the Board of Directors. In June 2008 and 2007, an operating assessment of $1.913 and $1.826 per share, respectively was instituted. At December 31, 2008 and 2007 monthly maintenance charges were $3.1919 and $3.1333 respectively. Tenant-cooperators are billed monthly based on their respective stock holdings.

Effective January 2008 the Board of Directors approved a maintenance increase of 1.87% and a fuel surcharge of $.0795 per share payable monthly.

The Company retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are reflected net of the New York City real estate tax abatement credited to shareholders of $27,841 and $26,807 for 2008 and 2007, respectively.

NOTE 8 - COMMITMENTS AND CONTINGENCIES

From time to time, the Company maintains bank balances which are in excess of FDIC insurance limits.

DOCUMENT NO. 3

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS

and

SUPPLEMENTARY INFORMATION

FOR THE YEAR ENDED DECEMBER 31, 2009

CRESTWOOD APARTMENT OWNERS CORP.

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Marin & Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To The Board of Directors and Shareholders of
Crestwood Apartment Owners Corp.:

We have audited the accompanying balance sheet of CRESTWOOD APARTMENT OWNERS CORP. as of December 31, 2009, and the related statements of operations, accumulated deficit and cash flows for the year then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of CRESTWOOD APARTMENT OWNERS CORP. as of December 31, 2009, and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in the notes to financial statements, the Corporation has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of costs of major repairs and replacements that will be required in the future, that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

February 19, 2010

Marin & Montanye LLP

1461 RXR PLAZA, UNIONDALE, NY 11556-1461 • (516) 625-3700 • (718) 347-8600 • FAX (516) 625-3881
www.marinmontanye.com

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEET

As of December 31, 2009

ASSETS

CURRENT ASSETS	
Cash - Operating account	$ 6,746
- Money market account	9,186
	15,932
Working capital fund	26,462
Shareholders' arrears	13,310
Laundry arrears	350
Assessment receivable - (Note 5)	93,332
Prepaid Expenses:	
Insurance	6,825
Real estate taxes	33,500
TOTAL CURRENT ASSETS	189,711
PROPERTY AND EQUIPMENT	
Land	588,936
Building	3,337,305
Building improvements	863,416
Less: accumulated depreciation	(2,380,638)
NET PROPERTY AND EQUIPMENT	2,409,019
OTHER ASSETS	
Unamortized mortgage refinancing costs	17,112
TOTAL ASSETS	$ 2,615,842

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEET

As of December 31, 2009

LIABILITIES AND STOCKHOLDERS' EQUITY

CURRENT LIABILITIES	
Accounts payable and accrued expenses	$ 36,411
Accrued mortgage interest	8,299
Accrued credit line interest	727
Security deposits payable	2,000
Prepaid maintenance charges	868
Real estate tax abatements and exemptions payable	13,949
Current portion of mortgage payable	37,619
Current portion of credit line	1,200
TOTAL CURRENT LIABILITIES	101,073
LONG TERM LIABILITIES	
Mortgage payable - (Note 4)	1,810,722
Less: current portion	(37,619)
Credit line payable - (Note 4)	198,700
Less: current portion	(1,200)
TOTAL LIABILITIES	2,071,676
STOCKHOLDERS' EQUITY	
Capital Stock - Common - Authorized 25,000 shares, issued and outstanding 14,957 shares at $1 par value	14,957
Contributed capital	2,922,707
Accumulated Deficit	(2,393,498)
TOTAL STOCKHOLDERS' EQUITY	544,166
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 2,615,842

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Year Ended December 31, 2009

INCOME		
Income from Stockholders		
Maintenance charges		$ 572,895
Operating assessments - (Note 5)		30,557
Parking		12,470
Gym membership fees		5,646
Sublet and late fees		12,325
Apartment transfer fees - (Note 6)		2,172
Total Income from Stockholders		636,065
Other Income		
Laundry income		4,200
Interest income		225
Miscellaneous income		320
Workers' compensation dividend		1,741
Total Other Income		6,486
TOTAL INCOME		642,551
COST OF OPERATIONS		
Administrative expenses	Schedule 1	87,359
Operating expenses	Schedule 2	217,948
Maintenance expenses	Schedule 3	56,864
Taxes	Schedule 4	176,043
Financial expenses	Schedule 5	110,337
TOTAL COST OF OPERATIONS		648,551
LOSS FROM OPERATIONS BEFORE DEPRECIATION, AMORTIZATION AND CAPITAL ASSESSMENT		(6,000)
Depreciation and amortization	Schedule 6	(131,889)
Capital assessment - (Note 5)		13,080
NET LOSS		(124,809)
Beginning Accumulated Deficit		(2,252,782)
Prior period auditing adjustment - (Note 7)		(15,907)
Ending Accumulated Deficit		$(2,393,498)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. — EXHIBITS C & D

STATEMENT OF CASH FLOWS — EXHIBIT C

For The Year Ended December 31, 2009

CASH FLOWS FROM OPERATING ACTIVITIES	
Net loss	$ (124,809)
Adjustments to reconcile net loss to cash provided by operating activities:	
Depreciation and amortization expense	131,889
Decrease in receivables	37,503
Decrease in prepaid expenses	9,265
Increase in accounts payable and accrued expenses	9,891
Interest - net of bank fees	(140)
Prior period adjustment	(15,907)
Total Adjustments	172,501
CASH PROVIDED BY OPERATING ACTIVITIES	47,692
CASH FLOWS FROM INVESTING ACTIVITIES	
Purchase of property and equipment	(9,663)
Increase in Working Capital - net transfers	(18,526)
- apartment transfer fees	(1,254)
Decrease in Working Capital - building repairs and improvements	13,463
- insurance	10,408
CASH USED BY INVESTING ACTIVITIES	(5,572)
CASH FLOWS FROM FINANCING ACTIVITIES	
Payment of mortgage principal	(35,610)
Payment of credit line	(1,200)
CASH USED BY FINANCING ACTIVITIES	(36,810)
NET INCREASE IN CASH AND CASH EQUIVALENTS	5,310
Cash and cash equivalents at beginning of year	10,622
Cash and cash equivalents at end of year	$ 15,932

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION — EXHIBIT D

Cash paid during the year:	
Corporate taxes	$ 1,362
Interest	$ 110,633

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP.

NOTES TO FINANCIAL STATEMENTS

As of December 31, 2009

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and operations commenced on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code (the "IRC"). Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents
For purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation
Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Amortization
Mortgage refinancing costs are amortized over the term of the mortgage.

Shareholder Maintenance
Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2009 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates
The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(3) INVESTMENTS - NCB STOCK

The Corporation holds Class B2 Stock which is acquired through patronage refunds. Such stock is currently non-transferrable and non-redeemable. The Bank Act does not allow a dividend to be paid on this stock.

If a borrower accumulates over 12.5% of its loan amount in Class B Stock, the member owner may receive Class C Stock. Class C Stock can be held only by eligible borrowers of NCB. Class C Stock is non-redeemable by NCB but is transferrable among eligible borrowers of NCB. Class C Stock may be purchased directly from NCB or is received as part of NCB's patronage refund distribution. NCB may pay a cash dividend on its Class C Stock.

Under the NCB's Capitalization and Patronage Refund Policy, the total amount of patronage is based, in part, on the amount of fees and interest paid by each member in relation to the member's loan. Member's refunds are a combination of cash and stock; stock being a permanent capital investment in NCB. NCB's patronage refund is distributed in the form of cash and Class B2 and/or Class C Stock. The cash portion of the refund is a function of the total stock owned by that member, and ranges from 35 to 55 percent of the total amount received by the member.

(3) INVESTMENTS - NCB STOCK - continued

All Class B Stock may be used by the Cooperative to offset any future purchase requirements.

For the year ended December 31, 2009, the Corporation received patronage stock dividends as follows:

	2009
Class B2 Stock	$ 2,119

The patronage stock dividends do not have a current value to the Corporation, therefore, they are not reflected in the attached financial statements but are used for tax purposes only.

(4) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable:
In October 2003, the Corporation refinanced its existing mortgage held by National Cooperative Bank ("NCB"), with a $2,000,000 mortgage. The mortgage is collateralized by the land and building owned by the Corporation. The mortgage may be prepaid after April 2013 and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. However, during the last 90 days of the tenth year, there will be no prepayment penalty.

The terms of the current mortgage are as follows:

Principal	$ 2,000,000
Interest rate	5.5% per annum fixed
Term	10 years (amortized over 30 years)
Monthly payment	$ 11,356 (principal and interest)
Maturity date	November 1, 2013

Principal maturities of the mortgage note for each of the next four years are as follows:

Year Ending December 31:	
2010	$ 37,619
2011	39,741
2012	41,982
2013 - maturity	1,691,380

Interest expense was $100,496 for the year ended December 31, 2009.

Line of Credit:
In conjunction with the refinancing of the first mortgage, the Corporation obtained a secured line of credit with NCB in the amount of $500,000. The line of credit provides for interest payments for the initial 5 years of the draw at a rate of prime plus 1%. Thereafter, minimum principal payments of $100 per month are due until the date of maturity, November 1, 2013 (or the date of the prepayment or refinancing of the first mortgage, whichever is earlier). Advances may be borrowed at any time in minimum amounts of $50,000 and maybe repaid without penalty in monthly minimum amounts of $50,000. As of December 31, 2009, the Corporation has drawn $200,000 from the line of credit of which $198,700 remains outstanding.

Interest expense was $8,587 for the year ended December 31, 2009.

(4) MORTGAGE PAYABLE AND LINE OF CREDIT - continued

Principal maturities of the line of credit for each of the next four years are as follows:

Year Ending December 31:	
2010	$ 1,200
2011	1,200
2012	1,200
2013 - maturity	195,100

Aggregate maturities for the mortgage and line of credit for each of the next four years are as follows:

Year Ending December 31:	
2010	$ 38,819
2011	40,941
2012	43,182
2013 - maturity	1,886,480

(5) ASSESSMENTS

Operating:
In 2009, the Board of Directors approved a one month assessment in the amount of $2.043 per share effective June 2009. The assessment totaled $30,557 and was used to cover normal operating expenses. This assessment was intended to offset the co-op abatement credits issued to eligible shareholders in the same month.

Capital:
In 2009, the Board of Directors approved ongoing assessment in the amount of $.0795 per share, per month, effective February 2009. The assessment totaling $1,190 per month, is currently planned to continue through February 2012. Of the total assessment, $13,080 was recognized as income in 2009. This assessment was intended to replenish the Corporation's working capital fund due to cost overruns involving prior Local Law 11 improvements.

In 2007, the Board of Directors approved a five year (sixty month) assessment in the amount of $.24 per share, per month, effective March 2007 through February 2012. The assessment totaled $215,381 or approximately $3,590 per month. The total amount of the assessment was recognized as income in 2007. Subsequent monthly billings through February 2012 offset an assessment receivable account on the Corporation's balance sheet. The assessment receivable will be fully exhausted in February 2012. As of December 31, 2009, the assessment receivable remaining was $93,332. The assessment was used to cover Local Law 11 improvements.

(6) APARTMENT TRANSFER FEES

The Corporations current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. For the year ended December 31, 2009, the Corporation received transfer fees totaling $2,172 attributed to the sale of two apartments.

(7) PRIOR PERIOD AUDITING ADJUSTMENTS

The financial statements for the year ended December 31, 2009, reflect an auditing adjustment totaling $15,907 representing adjustments to the beginning balances of the following liabilities at January 1, 2009. The adjustments are as follows:

$ 14,407	To record beginning balance of real estate tax abatements and exemptions payable, previously unrecorded.
$ 1,500	To properly reflect shareholder security deposits payable.
$ 15,907	

(8) RELATED PARTY TRANSACTION

As of December 31, 2009, TJS Associates owns 2,960 shares which represents approximately 19.79% of the shares issued by the Corporation. As of December 31, 2009, TJS Associates monthly maintenance is $9,448. TJS Associates is current on its maintenance obligation.

(9) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. The abatement program has been extended through the 2011/2012 tax year.

For the year ended December 31, 2009, the Corporation received credits of $21,369 on its tax bills which represent the abatements for the last two quarters of the 2008/2009 tax year and the first two quarters of the 2009/2010 tax year. These amounts are being credited to eligible shareholders.

(10) CONTRIBUTIONS TO CAPITAL

The Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only.

For the year ended December 31, 2009, Paid-in Capital for tax purpose is:

	2009
Mortgage amortization	$ 35,610
Line of credit amortization	1,200

(11) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(12) REAL ESTATE TAXES

The Corporation's real estate taxes are reduced by J-51 abatements as follows:

Began Tax Year	Certified Cost	90% of Certified Cost	Amount Per Year	Expiration Year
2000/01	$ 52,800	$ 47,520	$ 4,400	2011/2012

(13) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $1,869,747. The patronage tax loss carryforwards, if not used against patronage taxable income, expire beginning in 2014 and continuing through 2028. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2009, the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $3,085.

(14) SUBSEQUENT EVENTS

Management has evaluated subsequent events through February 19, 2010, the date at which the financial statements became available for issuance. No event have occurred that would require adjustments to, or disclosure in, the financial statements.

Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To The Board of Directors and Shareholders of
Crestwood Apartment Owners Corp.:

Our report on our audit of the basic financial statements of CRESTWOOD APARTMENT OWNERS CORP. for 2009 appears on Page 1. The audit was made for the purpose of forming an opinion on the basic financial statements taken as a whole. The financial information contained in the accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Historical and Forecast is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

We also have compiled the accompanying budget forecast of CRESTWOOD APARTMENT OWNERS CORP. for the year ending December 31, 2010, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the presentation. We have not examined the presentation and, accordingly, do not express an opinion or any other form of assurance on the accompanying presentation or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

February 19, 2010 for Historical Statements

December 15, 2009 for Forecasted Statements

Marin & Montanye LLP

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Year Ended December 31, 2009

ADMINISTRATIVE EXPENSES	Schedule 1
Management fee	$ 23,000
Legal	1,875
Legal - real estate tax reduction	375
Auditing	7,000
Telephone	863
Stationery, printing, miscellaneous and administrative expenses	4,396
Insurance	48,190
Consulting	1,660
TOTAL ADMINISTRATIVE EXPENSES	$ 87,359

OPERATING EXPENSES	Schedule 2
Fuel and gas heat	$ 80,710
Electricity and gas - (cooking and dryers)	19,437
Water and sewer charges	31,063
Payroll	62,666
Payroll taxes	6,721
Payroll insurance	474
Employee benefits	15,513
Permits and miscellaneous operating	1,364
TOTAL OPERATING EXPENSES	$ 217,948

MAINTENANCE EXPENSES	Schedule 3
Exterminating	$ 5,382
Elevator contract and repair	11,690
Supplies and janitorial materials	10,358
Gym expense	652
Grounds	4,103
Plumbing and heating repairs	10,476
Miscellaneous repairs - materials and labor to contractors	14,203
TOTAL MAINTENANCE EXPENSES	$ 56,864

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Year Ended December 31, 2009

TAXES	Schedule 4
New York City real estate tax	$ 172,958
New York State franchise tax	1,989
New York City corporate tax	1,096
TOTAL TAXES	$ 176,043

FINANCIAL EXPENSES	Schedule 5
Interest on mortgage payable	$ 100,496
Interest on credit line	8,587
Other interest	1,254
TOTAL FINANCIAL EXPENSES	$ 110,337

DEPRECIATION AND AMORTIZATION	Schedule 6
Depreciation - building	$ 95,352
- improvements	32,074
Amortization of mortgage financing costs	4,463
TOTAL DEPRECIATION AND AMORTIZATION	$ 131,889

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - HISTORICAL AND FORECAST

Year Ended December 31, 2009 (Historical) and Year Ending December 31, 2010 (Forecasted)

	2009 Actual	2010 Forecast	
INCOME			
Maintenance charges	$ 572,895	$ 595,513	(1)
Operating assessment	30,557	30,662	
Parking	12,470	12,420	
Gym membership fees	5,646	5,100	
Sublet and late fees	12,325	11,051	
Apartment transfer fees	2,172	-0-	
Workers' compensation dividend	1,741	-0-	
Laundry income	4,200	4,200	
Interest income	225	700	
Miscellaneous income	320	2,250	
TOTAL INCOME	642,551	661,896	
EXPENDITURES			
Management fee	23,000	23,000	
Legal	2,250	1,875	
Auditing	7,000	7,000	
Telephone	863	1,000	
Stationery, printing and miscellaneous administrative expenses	4,396	3,000	
Insurance	48,190	44,768	
Consulting	1,660	-0-	
Fuel and gas heat	(80,710	(93,300	
Electricity and gas (cooking and dryers)	(19,437	(	
Water and sewer charges	31,063	31,500	
Payroll	62,666	61,150	
Payroll taxes	6,721	5,194	
Payroll insurance	474	5,000	
Employee benefits	15,513	7,200	
Permits and miscellaneous operating	1,364	3,000	
Exterminating	5,382	5,500	
Elevator contract and repairs	11,690	12,736	
Supplies and janitorial materials	10,358	9,500	
Gym expenses	652	750	
Grounds	4,103	6,000	
Plumbing and heating repairs	10,476	12,000	
Miscellaneous repairs	14,203	11,750	
New York City real estate taxes	172,958	170,004	
NYS and NYC corporate taxes	3,085	1,300	
Mortgage interest and amortization	136,106	136,269	
Line of credit interest and amortization	9,787	9,000	
Other interest	1,254	-0-	
TOTAL EXPENDITURES	685,361	661,896	
DEFICIT	$ (42,810)	$ -0-	

(1) Reflects a 3.9% maintenance increase effective January 1, 2010.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2010

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of December 15, 2009, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State Franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $49,626 per month reflecting an increase of 3.9% effective January 1, 2010.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the current tax rate of 13.241%. Fuel expense has been estimated at 18,300 gallons at $3 per gallon. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of $11,356 representing payments of principal and interest at a rate of 5.5% per annum.

2. Line of Credit Payable - Monthly payments of $750 representing principal payments of $100 per month and interest at a rate of 4.5% based on a principal balance of $200,000.

DOCUMENT NO. 4

GOODMAN MANAGEMENT CO., INC.
REAL ESTATE
2756 Independence Avenue, Suite A, Riverdale, NY 10463 (718) 796-5022 FAX (718) 796-5026

CRESTWOOD APARTMENT OWNERS CORPORATION
2010 BUDGET

2006 ACTUAL	2007 ACTUAL	2008 ACTUAL		2009 BUDGET	2009 FORECAST	2009 VARIANCE	2010 BUDGET	
			INCOME					
562,329	562,329	572,895	Maintenance	586,055	572,895	13,160	595,513	[1][A]
(23,868)	(26,807)	(27,841)	Coop Abatements/STAR	(28,056)	(29,989)	(1,933)	(27,768)	
26,579	27,311	28,612	Assessment	28,717	30,557	1,840	30,662	[2]
4,200	3,850	4,200	Laundry	4,200	4,200	-	4,200	[3]
9,720	9,720	12,370	Parking	12,420	12,420	-	12,420	[4]
3,256	2,708	1,366	Interest	700	175	(525)	700	
-	-	43,076	Special Assessment	43,076	43,076	-	43,076	[5]
22,096	-	14,270	Fuel Surcharge/Reserve Contingency	11,691	11,691	-	14,269	[5A]
703	435	-	NCB Patronage Dividend	-	-	-	-	*
15,002	13,544	11,408	Miscellaneous	17,750	14,000	(3,750)	18,401	[5B]
-	-	23,960	Transfer from Reserve	-	10,407	10,407	-	
620,017	593,090	684,336	**TOTAL INCOME**	676,753	669,632	19,199	691,473	
			EXPENSES					
88,269	104,642	102,814	Electricity, Gas, Fuel Oil	91,150	97,500	(6,350)	93,300	[6]
53,520	55,936	51,841	Insurance	47,136	44,768	2,368	44,768	[7]
5,551	5,961	9,698	Professional Fees	6,875	7,500	(625)	6,875	[8]
22,000	22,000	23,000	Management Fees	23,000	23,000	-	23,000	[9]
68,873	70,254	67,645	Payroll	56,508	60,500	(3,992)	61,150	[10]
9,874	11,447	7,452	Payroll Taxes	9,799	10,000	(201)	10,194	[11]
9,297	11,231	13,547	Health Insurance	6,288	13,200	(6,912)	7,300	[12]
127,786	134,483	136,696	Real Estate Taxes	156,105	138,000	18,105	142,237	[13]
22,296	26,131	33,011	Water/Sewer	34,320	30,000	4,320	31,500	**
24,850	30,866	32,909	Repairs/Maintenance	30,000	28,500	1,500	30,000	
10,325	9,360	11,015	Elevator Service	12,272	11,720	552	12,736	[14]
14,926	11,746	8,472	Supplies	9,500	8,500	1,000	9,500	
4,419	5,083	4,401	Office/Administrative/Phone	4,150	3,700	450	4,000	
2,215	3,847	4,021	License & Permits	3,000	2,700	300	3,000	
136,131	136,124	136,124	Mortgage - P & I	136,269	136,269	-	136,269	[15]
-	-	11,115	Other Interest	1,000	9,800	(8,800)	9,000	[16]
1,272	1,252	1,255	Corporate Taxes	1,300	1,260	40	1,300	
6,296	5,284	8,234	Landscaping	5,000	6,200	(1,200)	6,000	
-	-	43,076	Transfer to Reserve	43,076	43,076	-	57,345	***
607,900	645,647	704,326	**TOTAL EXPENSES**	676,748	676,193	555	691,473	
12,117	(52,557)	(19,990)	**NET INCOME (LOSS) FROM OPERATIONS**	5	(6,561)	19,754	0	

[A] The budget is drawn with a 3.9% maintenace increase, with the Fuel Surcharge/Reserve Contingency remaining. All excesses from the Reserve Contingency will be transferred to the reserve account.

*NCB is not expected to pay dividends in 2008, 2009 or 2010.

**water rates increased 11.5% 7/1/07, 14.5% 7/1/08, 12.9% 7/1/09 and are expected to increase 5% in 2010.

*** Includes amounts collected as "Special Assessment" and "Reserve Contingency"

12/1/2009

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2010 BUDGET

NOTE 1 **MAINTENANCE**

47,741.28	x	12	months	572,894	
14,957 Shares @ 3.192/Share/Month = 47,741.28					
INCREASE: .1260/sh/mo (3.9%)				22,619	595,513
LAST INCREASE: .0587/sh/mo (1.87%)		1/1/2008			

NOTE 2 **ASSESSMENT vs. ABATEMENT**

14,957 Shares @ 2.05/share — **30,662**

NOTE 3 **LAUNDRY**

350 X 12 Months — **4,200**

NOTE 4 **PARKING**

9 Parking Spots @ 115/spot — X 12 Months — **12,420**

NOTE 5 **SPECIAL ASSESSMENT (CAPITAL)**

One month assessment payable over 12-Months

14,957 Shares @ .24/share/month	3,590	
Payable over number of months	12	**43,075**

* currently running through 2/2012

NOTE 5A **FUEL SURCHARGE/RESERVE CONTINGENCY**

.0795/Share/Month — 12 MONTHS — **14,259**

LAST SURCHARGE: .0795/Share/Month 2009 (2.49%) Duration 10 Months begin 3/1/09
PRIOR LAST SURCHARGE: .0795/Share/Month 2009

NOTE 5B **MISCELLANEOUS FEES**

Sublet Fees	(1,089 shares x 59/share) *2009 billable shares	9,601	
Late Fees		1,250	
Closing Fees		1,000	
Gym Membership	(23 members x $225)	5,100	
Miscellaneous		1,250	**18,401**

NOTE 6 **GAS, ELECTRIC AND FUEL OIL # 2**

	Account #	2008	2009	2010	
Con Ed	25-5700-4652-0001-9	16,700	15,000	15,000	
Con Ed	25-5700-4617-0000-4	900	900	900	
	Total Electric	17,600	15,900	15,900	
Keyspan	10425-66220	72,000	77,000	73,000	
Keyspan	10425-69303	1,250	2,000	1,900	
Keyspan	10425-73101	150	148	150	
Amerada Hess		-	-	-	
	Total Gas	73,250	79,000	74,900	
	Fuel Oil # 2	-	2,558	2,500 **	
	Total Gas & Electric	90,850	97,458	93,300	
					93,300

** Fuel Oil # 2

1,250 Gallons scheduled for 2010

12/17/2009

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2010 BUDGET

NOTE 7	**INSURANCE**				
Package/Liability	2/15/09-2/16/10	*actual premium*		33,127	
Umbrella	2/15/09-2/15/10	*actual premium*		8,700	
Crime	11/17/08-11/17/09	*actual premium*		397	
Directors & Officers	4/2/09-4/2/10	*actual premium*		2,544	**44,768**
NOTE 8	**PROFESSIONAL FEES**				
Auditor				7,000	
Legal Fees				1,500	
Real Estate Tax Attorney - Filing/Processing				375	**8,875**
NOTE 9	**MANAGEMENT FEES**				
1,916.66	X 12 Months				**23,000**
NOTE 10	**PAYROLL**				
Superintendent		52 Weeks	600	31,200	
		X-Mas Bonus (Net is 500)		250	
*assumes Sam retiring by Dec. 31, 2009		Over Time		2,400	33,850
Porter		52 Weeks	500 *	26,000	
		X-Mas Bonus (Net is 500)		500	
		Over Time		800	27,300
* estimated with a $0.50 per hour increase				Grand Total	**61,150**
NOTE 11	**PAYROLL TAXES**				
Payroll Taxes - Estimated @ 8.5% of Payroll				5,194	
Workers' Compensation - *Estimate*				5,000	**10,194**
NOTE 12	**HEALTH INSURANCE**				
Aetna	Jan. - Oct.		600.00	6,000	
	Nov. - Dec.		650.00	1,300	**7,300**
* (new medical January 2010)					

NOTE 13 **REAL ESTATE TAXES**

Period	Billable Assessed Value	Rate		
01/01-06/30/10	1,278,000	13.445%	85,914	
07/01-12/31/10	1,316,340	13.445%	88,491	
		J-51 Abatement	(4,400)	
		Coop Abatements/STAR	(27,768)	**142,237**

Assumed a 3.0% rate increase in Jan.and a 3.0% assessment increase in July.

12/1/2009

CRESTWOOD APARTMENT OWNERS CORPORATION
FOOTNOTES TO 2010 BUDGET

NOTE 14 **ELEVATOR SERVICE**

785.14	/ Month --	Jan. - April	3,141	
824.40	/ Month --	May - Dec.	8,595	
Miscellaneous elevator repairs			3,000	**12,736**

NOTE 15 **MORTGAGE - P & I**

National Cooperative Bank			2,000,000 @	5.5 %	
11,355.78	x	12 Months			**136,269**

NOTE 16 **OTHER INTEREST (LINE)**

National Cooperative Bank			200,000 @	4.5 %	
750.00	x	12 Months			**9,000**

* $500,000 total available at prime plus 1%

The preparation of the current budget and prior year forecast requires us to make estimates and assumptions that affect the reported amounts of revenues and expenses. Furthermore, there will usually be differences between the forecasted and actual results, and budgeted and actual results, because events and circumstances frequently do not occur as expected and these differences may be material. Actual results could differ from those estimates.

There will be certain months during the year when cash requirements for certain expenses will exceed the budgeted amount of the expense and may result in the need to borrow or supplement the budget income with funds from available reserves. This condition, when it occurs, is due to the seasonality of certain disbursements such as:

1. Heating and/or cooling (Charges for fuel and electricity)
2. Insurance premiums
3. Extraordinary repairs and maintenance
4. Any other expense for which the major disbursements are limited to a certain specific time period and not paid out in reasonably equal monthly installments during the 12 months of the budget

DOCUMENT NO. 5

EXCEL BRADSHAW MANAGEMENT GROUP

138 CRESTWOOD APTS. OWNERS
BUDGET
FOR THE YEAR ENDED
DECEMBER 31, 2011

	AUDIT 2007	AUDIT 2008	ACTUAL 2009	Operations 09/30/10	12 Mos. ESTIMATE/ ACTUAL 2010	APPROVED 12/13/10 BUDGET 2011	
REVENUES:							
INCREASE		4.12%	6.52%				
PER SHARE 14,957	$34.536	$35.959	$38.303			$39.2604	
CARRYING CHARGES	516,553	537,834	572,695	429,672	572,895	587,200	
ASSESSMENT	46,665	47,741	30,557	10,685	14,288	26,000	@1.738 p/s
COOP TAX ABATEMENTS	(27,841)	(26,607)	(21,369)	(27,183)	(34,308)	(26,000)	
PARKING 9 SPACES @ $115 P/M	9,720	12,370	12,470	9,315	14,415	12,400	
TOTAL SHAREHOLDER INCOME	545,297	571,138	594,553	422,489	567,290	599,600	
OTHER INCOME							
PRIOR AGENT ADJ.				13,117	13,117	0	
LAUNDRY	3,850	4,200	4,200	3,108	5,385	4,200	
TRANSFER & SUBLET FEES	4,802	3,723	14,497	5,899	7,865	7,700	
INTEREST INCOME	3,143	1,386	225	18	24	0	
MISCELLANEOUS INCOME	8,742	7,685	7,707	707	943	1,000	
TOTAL OTHER INCOME	20,537	16,994	26,629	22,849	27,334	12,900	
TOTAL PROJECTED INCOME	565,834	588,132	621,182	445,338	594,624	612,500	
EXPENSES:							
ADMINISTRATIVE EXPENSES	36,889	41,120	40,533	35,945	47,535	40,000	
OPERATING EXPENSES	223,705	224,469	216,584	179,332	224,993	209,400	
MAINTENANCE EXPENSES (LIST)	57,256	58,630	56,864	54,434	68,283	57,000	
TAXES & INSURANCE	191,671	189,792	224,233	129,287	177,505	168,000	
INTEREST ON 1ST MTG	104,215	113,431	110,337	80,598	107,268	104,900	
TOTAL PROJECTED EXPENSES	613,736	627,442	648,551	480,596	625,584	579,300	
NET OPERATING INCOME (LOSS)	(47,902)	(39,310)	(27,369)	(35,258)	(30,960)	33,200	
OTHER EXPENSE:							
AMORTIZATION ON 1ST MTG	(31,909)	(33,808)	(35,610)	(28,020)	(37,619)	(39,700)	
AMORTIZATION ON CREDIT LINE			(1,200)	(900)	(1,200)	(1,200)	
NET OPERATING	(79,811)	(73,118)	(64,179)	(64,178)	(69,779)	(7,700)	-1.31%
							-0.5148
OTHER:							
CAPITAL ASSESSMENT			13,080	32,362	43,162	43,076	2.880
ENGINEER				(8,023)	(10,000)		
LOCAL LAW 11							
TRANSFER TO RESERVE						(43,076)	
TRANSFER FROM RESERVE						7,700	
NET BUDGET INCOME(DEFICIT)	(79,811)	(73,118)	(51,099)	(39,839)	(36,617)	0	
						0.00%	
NET INCOME (DEFICIT) PER SHARE						0.0000	

EXCEL BRADSHAW MANAGEMENT GROUP

138 CRESTWOOD APTS. OWNERS

BUDGET

FOR THE YEAR ENDED

DECEMBER 31, 2011

EXPENSES	AUDIT 2007	AUDIT 2008	AUDIT 2009	12 Mos. ESTIMATE/ ACTUAL 2010	APPROVED 12/13/10 BUDGET 2011
ADMINISTRATIVE EXPENSES:					
MANAGEMENT FEES	22,000	23,000	23,000	21,600	**21,600**
PROFESSIONAL FEES	5,961	9,698			
LEGAL FEES			2,250	8,571	**5,000**
CERTIORARI				375	**400**
ACCOUNTING			7,000	7,144	**7,000**
PRIOR YEAR AUDIT				4,666	**0**
CONSULTANT/ENGINEER			1,660	1,257	**1,000**
OFFICE	3,518	2,603	4,396	2,752	**3,000**
TELEPHONE	1,565	1,798	863	985	**1,000**
LICENSES/PERMITS/VIOL.	3,845	4,021	1,364	184	**1,000**
TOTAL ADMINISTRATIVE	**36,889**	**41,120**	**40,533**	**47,535**	**40,000**
OPERATING EXPENSES:					
PAYROLL	70,254	67,645	62,666	63,093	**64,300**
PAYROLL TAXES	5,605	5,650	7,195	7,973	**6,900**
EMPLOYEE BENEFITS/INS.	17,073	15,349	15,513	7,116	**4,300**
ELECTRIC & GAS	28,662	20,380	19,437	18,958	**19,900**
FUEL/HEATING	75,980	82,434	80,710	88,355	**69,600**
WATER/SEWER	26,131	33,011	31,063	39,499	**44,400**
TOTAL OPERATING	**223,705**	**224,469**	**216,584**	**224,993**	**209,400**
MAINTENANCE EXPENSES					
ELEVATOR	9,360	11,015	11,690	18,157	**12,200**
EXTERMINATING	4,834	5,350	5,382	6,514	**5,800**
BOILER				5,619	**4,500**
PLUMBING	14,677	10,965	10,476	9,309	**6,000**
PAINTING & DECORATING	5,721	7,874		0	**2,500**
OTHER MAINTENANCE & REPAIR	5,634	8,720	14,203	8,191	**8,000**
GROUNDS	5,284	8,234	4,103	7,860	**5,000**
SPRINKLER				979	**1,000**
MISCEL.			652	755	**1,000**
SUPPLIES	11,746	6,472	10,358	10,900	**11,000**
TOTAL MAINTENANCE	**57,256**	**58,630**	**56,864**	**68,283**	**57,000**
TAXES & INSURANCE					
REAL ESTATE TAXES	134,483	136,696	172,958	128,149	**118,100**
CORPORATION TAXES	1,252	1,255	3,085	5,525	**5,000**
INSURANCE	55,936	51,841	48,190	43,831	**44,900**
TOTAL TAXES & INS.	**191,671**	**189,792**	**224,233**	**177,505**	**168,000**
FINANCIAL EXPENSE					
MORTAGE INTEREST	104,215	113,431	100,496	98,651	**96,500**
LOAN INTEREST			8,587	8,617	**8,400**
OTHER INTEREST			1,254		
TOTAL FINANCIAL EXP.	**104,215**	**113,431**	**110,337**	**107,268**	**104,900**
TOTAL EXPENSES	**613,736**	**627,442**	**648,551**	**625,584**	**579,300**

EXCEL BRADSHAW MANAGEMENT GROUP

138 CRESTWOOD APTS. OWNERS
Operating Budget
For Year Ending 2011

PAYROLL BUDGET ESTIMATE
SCHEDULE A:
Schedule of Payroll & Related Costs

	Position # of Emp.		Hourly Rate	Super 1	Porter 1	Total 2	
Salaries & Wages :	Wk./	#Wks					
Super	618.00	52	15.4500	32,136		32,136	
Porter	480.00	52	12.0000		24,960	24,960	
Part Time Port.	0.00	0	0.0000			0	
Total Salaries & Wages				32,136	24,960	57,096	
Overtime @		2.50%		803	624	1,427	
Bonuses							
Super	1 week	618.00	1	618		618	
Porter	1 week	480.00	1		480	480	
Total Bonuses				618	480	1,098	
Holiday Pay / Vacation							
Super	Holiday	12.50	8hr	80	1,236	1,236	
Super	Vacation	12.50	11	80	1,375	1,375	
Porter		12.000	80		960	960	
Total Holiday & Time Pay				160	2,196	3,571	
Total Wages Before Taxes & Related Items				**37,265**	**27,024**	**64,289**	**64,300**
Payroll Taxes & Payroll Related Expenses:							
FICA/Med.- Gross Wages *			7.65%	2,851	2,067	4,918	
MTA - Gross Wages			0.34%	127	92	219	
SUI - @		$8,500	9.83%	835	835	1,670	
FUI - @		$7,500	0.80%	60	60	120	6,900
Health Plan mo. 0.00		$0	per year	0		0	
Dbl. Ins.- per Year # empl		$40	per man per yr	40	40	80	
Workers Comp Ins- % of P/R			6.50%	2,422	1,757	4179	4,300
Total P/R Taxes & Related Exps.				6,335	4,851	11,186	
Total Labor & Related Costs				**43,600**	**31,875**	**75,475**	75,500

BUDGET	75,500

EXCEL BRADSHAW MANAGEMENT GROUP

138 CRESTWOOD APTS. OWNERS
Operating Budget
For Year Ending 2011

Schedule B :
Electric & Gas

		CON EDISON 2557004 65200019	2557004 61700004			KEY SPAN 10425 73101	10425 73101			Total
Actual	2010		Super	Total				Total		Electric &
		Electric	Electric	Electric	%	Super		Gas	%	Gas
Actual	Jan	1,124	79	1,203	7.14%	14	186	200	9.53%	1,403
Actual	Feb	1,389	95	1,484	8.80%	13	154	167	7.96%	1,651
Actual	Mar	2,553	69	2,622	15.55%	13	153	166	7.91%	2,788
Actual	Apr	1,241	103	1,344	7.97%	13	154	167	7.96%	1,511
Actual	May	1,304	88	1,392	8.26%	13	153	166	7.91%	1,558
Actual	Jun	1,226	96	1,322	7.84%	13	150	163	7.77%	1,485
Actual	July	1,383	100	1,483	8.80%	15	172	187	8.91%	1,670
Actual	Aug	982	103	1,085	6.44%	13	158	171	8.15%	1,256
Actual	Sep	1,083	93	1,176	6.98%	13	165	178	8.48%	1,354
Actual	Oct	1,068	92	1,160	6.88%	14	154	168	8.00%	1,328
Estimated	Nov	1,100	86	1,186	7.04%	13	160	173	8.24%	1,359
Estimated	Dec	1,300	100	1,400	8.31%	13	180	193	9.19%	1,593
	Total	15,753	1,104	16,857	100.00%	160	1,939	2,099	100.00%	18,956

Budget 2011	Electric	%		%	
Jan	1,257	7.14%	220	9.53%	1,477
Feb	1,551	8.80%	184	7.96%	1,734
Mar	2,740	15.55%	183	7.91%	2,923
Apr	1,404	7.97%	184	7.96%	1,588
May	1,455	8.26%	183	7.91%	1,637
Jun	1,381	7.84%	179	7.77%	1,561
July	1,550	8.80%	206	8.91%	1,755
Aug	1,134	6.44%	188	8.15%	1,322
Sep	1,229	6.98%	196	8.48%	1,425
Oct	1,212	6.88%	185	8.00%	1,397
Nov	1,239	7.04%	190	8.24%	1,430
Dec	1,463	8.31%	212	9.19%	1,675
**Total	17,616	100.00%	2,309	100.00%	19,924

(estimate 4.5% increase)

(estimate 10% increase)

BUDGET	2011	19,900

EXCEL BRADSHAW MANAGEMENT GROUP

138 CRESTWOOD APTS. OWNERS

Operating Budget

For Year Ending 2011

Schedule C :

Fuel Heating

**Actual : 2009	Gallons	Amount	THERM USAGE	THERM RATE	Hudson Energy Gas	NATIONAL GRID 0694024190 Delivery	Gas	%	Total Fuel Cost
January			9,227	1.0397	9,593	5,361	14,954	16.92%	14,954
February			9,905	1.0398	10,299	5,665	15,964	18.07%	15,964
March			10,060	1.0398	10,460	5,744	16,204	18.34%	16,204
April			6,226	1.0397	6,473	3,622	10,095	11.43%	10,095
May			4,978	1.0398	5,176	2,962	8,138	9.21%	8,138
June			2,425	1.0396	2,521	1,528	4,049	4.58%	4,049
July			1,000	1.0400	1,040	774	1,814	2.05%	1,814
August			881	1.0397	916	667	1,583	1.79%	1,583
September			813	1.0394	845	621	1,466	1.66%	1,466
October			860	1.0395	894	640	1,534	1.74%	1,534
Estimate November			2,752	1.0395	2,861	1,637	4,498	5.09%	4,498
Estimate December			5,000	1.0395	5,198	2,859	8,056	9.12%	8,056
Total 200	0	0	54,127		56,275	32,080	88,355	100.00%	88,355
Average Cost	#DIV/0!			AVG. THERM					
Including Taxes				COST	1.0397	0.5927	1.6324		

Budget 2011		THERM USAGE	THERM RATE	Gas	%	
January	0	9,227	1.2855	11,861	16.92%	11,861
February	0	9,905	1.2855	12,733	18.07%	12,733
March	0	10,060	1.2855	12,932	18.34%	12,932
April	0	6,226	1.2855	8,004	11.43%	8,004
May	0	4,978	1.2855	6,399	9.21%	6,399
June	0	2,425	1.2855	3,117	4.58%	3,117
July	0	1,000	1.2855	1,286	2.05%	1,286
August	0	881	1.2855	1,133	1.79%	1,133
September	0	813	1.2855	1,045	1.66%	1,045
October	0	860	1.2855	1,106	1.74%	1,106
November	0	2,752	1.2855	3,538	5.09%	3,538
December	0	5,000	1.2855	6,428	9.12%	6,428
	0	0 54,127		69,581	100.00%	69,581
Average Cost			AVG. THERM			
Including Taxes			COST	0.6855	0.6000	1.2855

Budget 2011	69,600

EXCEL BRADSHAW MANAGEMENT GROUP

138 CRESTWOOD APTS. OWNERS

Operating Budget

For Year Ending 2011

Schedule D :

Meter # **Water & Sewer Tax**

40007--16503-001

*Actual	2007	26,131	
*Actual	2008	33,011	26.33%
*Actual	2009	31,063	-5.90%
Adj./Est.	2010	39,499	27.16%

12.5% Increase

Budget	**2011**	**44,400**

* As per Audited Financial Statements.

Real Estate Taxes

Block / Lot QUEENS	Assessed Value	Exemption	Tax Rate Amount	Tax	Less: Coop Abatements	J- 51	Tax Total Due
9246/305							
Actual	2008/2009		12.596% (Add Vet. 327)				
	1,421,100	66,238	1,354,862	170,985	21,670	4,400	144,915
Actual	2009/2010		13.241% (Add Vet. 280)				
	1,278,000	62,557	1,215,443	161,217	20,187	4,400	136,630
Actual	2010/2011		13.241% (Add Vet. 241)				
	1,098,000	72,241	1,025,759	136,062	16,834	4,400	114,828
*** Estimate**	**2011/2012**		**13.454% Add Vet. 250)**				
3.5% Increase	**1,136,430**	**70,000**	**1,066,430**	**143,804**	**18,000**	**4,400**	**121,404**

	Budget	**2011**	2010
Actual Due	Jan	**28,707**	34,653
Actual Due	Apr	**28,707**	36,975
Estimate Due	Jul	**30,351**	27,814
Estimate Due	Oct	**30,351**	28,707
Total Estimate		**118,116**	**128,149**
Auditor Adjustment			
	BUDGET	**118,100**	

Abatements	**2008**	**2009**	**2010**	**Estimated 2011**
STAR	5,857	7,306	8,579	**8,500**
Enhanced STAR	738	473	553	**600**
SCHE	1,215			
Veteran	207	224	192	**200**
COOP	21,670	20,187	16,834	**18,000**
	29,687	28,190	26,158	**27,300**
J-51	4,400	4,400	4,400	
Sponsor SCRIE	1,337	3,266	1,153	

EXCEL BRADSHAW MANAGEMENT GROUP

138 CRESTWOOD APTS. OWNERS

Operating Budget

For Year Ending 2011

Schedule E :

Insurance

Policy	Actual 2010	Term Expire	Estimated % Increase	Budget 2011	Term
Package: Property Liability	32,382	02/10-01/11	2.5%	33,192	02/11-01/12
Directors & Officiers	2,352	04/11-03/11	2.5%	2,411	04/11-03/12
Commercial Crime	397	12/10-11/11	0.0%	397	12/11-11/12
Boiler & Machinery	INCLUDED	02/10-01/11		INCLUDED	02/11-01/12
Umbrella Liability	8,700	02/10-01/11	2.5%	8,918	02/11-01/12
TOTAL PREMIUMS	43,831			44,917	

Budget	44,900

138 CRESTWOOD APTS OWNERS CORP.
FIRST MORTGAGE NCB
MORTGAGE AMORTIZATION SCHEDULE

LOAN @	1,810,722.01
RATE	5.5000%
MONTHLY PAYMENT	11,355.78
AMORTIZE	30

	YEAR	MONTH	OPEN BAL	PRINCIPAL	INTEREST	CONSTANT	END BALANCE	Prin	Int	
1	2010	JAN	1,810,722.01	3,056.64	8,299.14	11,355.78	1,807,665.37			
		FEB	1,807,665.37	3,070.65	8,285.13	11,355.78	1,804,594.73			
		MAR	1,804,594.73	3,084.72	8,271.06	11,355.78	1,801,510.00			
		APR	1,801,510.00	3,098.86	8,256.92	11,355.78	1,798,411.15			
		MAY	1,798,411.15	3,113.06	8,242.72	11,355.78	1,795,298.08			
		JUN	1,795,298.08	3,127.33	8,228.45	11,355.78	1,792,170.75			
		JLY	1,792,170.75	3,141.66	8,214.12	11,355.78	1,789,029.09			
		AUG	1,789,029.09	3,156.06	8,199.72	11,355.78	1,785,873.03			
		SEP	1,785,873.03	3,170.53	8,185.25	11,355.78	1,782,702.50			
		OCT	1,782,702.50	3,185.06	8,170.72	11,355.78	1,779,517.44			
		NOV	1,779,517.44	3,199.66	8,156.12	11,355.78	1,776,317.78			
		DEC	1,776,317.78	3,214.32	8,141.46	11,355.78	1,773,103.45	37,618.56	98,650.80	136,269.36
2	2011	JAN	1,773,103.45	3,229.06	8,126.72	11,355.78	1,769,874.40			
		FEB	1,769,874.40	3,243.86	8,111.92	11,355.78	1,766,630.54			
		MAR	1,766,630.54	3,258.72	8,097.06	11,355.78	1,763,371.82			
		APR	1,763,371.82	3,273.66	8,082.12	11,355.78	1,760,098.16			
		MAY	1,760,098.16	3,288.66	8,067.12	11,355.78	1,756,809.50			
		JUN	1,756,809.50	3,303.74	8,052.04	11,355.78	1,753,505.76			
		JLY	1,753,505.76	3,318.88	8,036.90	11,355.78	1,750,186.88			
		AUG	1,750,186.88	3,334.09	8,021.69	11,355.78	1,746,852.79			
		SEP	1,746,852.79	3,349.37	8,006.41	11,355.78	1,743,503.42			
		OCT	1,743,503.42	3,364.72	7,991.06	11,355.78	1,740,138.70			
		NOV	1,740,138.70	3,380.14	7,975.64	11,355.78	1,736,758.55			
		DEC	1,736,758.55	3,395.64	7,960.14	11,355.78	1,733,362.92	39,740.54	96,528.82	136,269.36
3	2012	JAN	1,733,362.92	3,411.20	7,944.58	11,355.78	1,729,951.72			
		FEB	1,729,951.72	3,426.83	7,928.95	11,355.78	1,726,524.88			
		MAR	1,726,524.88	3,442.54	7,913.24	11,355.78	1,723,082.34			
		APR	1,723,082.34	3,458.32	7,897.46	11,355.78	1,719,624.02			
		MAY	1,719,624.02	3,474.17	7,881.61	11,355.78	1,716,149.85			
		JUN	1,716,149.85	3,490.09	7,865.69	11,355.78	1,712,659.76			
		JLY	1,712,659.76	3,506.09	7,849.69	11,355.78	1,709,153.67			
		AUG	1,709,153.67	3,522.16	7,833.62	11,355.78	1,705,631.51			
		SEP	1,705,631.51	3,538.30	7,817.48	11,355.78	1,702,093.21			
		OCT	1,702,093.21	3,554.52	7,801.26	11,355.78	1,698,538.69			
		NOV	1,698,538.69	3,570.81	7,784.97	11,355.78	1,694,967.88			
		DEC	1,694,967.88	3,587.18	7,768.60	11,355.78	1,691,380.70	41,982.22	94,287.14	136,269.36

DOCUMENT NO. 6

Prepared by the Committee on Condominiums and Cooperatives of the Real Property Section of the New York State Bar Association
and approved by the Committee on Cooperatives and Condominiums of the Association of the Bar of the City of New York and the New York County Lawyers Association (NYC)

CONSULT YOUR LAWYER BEFORE SIGNING THIS AGREEMENT

Contract of Sale - Cooperative Apartment

This Contract is made as of
between the "Seller" and the "Purchaser" identified below.

1 **CERTAIN DEFINITIONS AND INFORMATION**

1.1 The "Parties" are:

1.1.1 "Seller": **TJS Associates, LLC**

Prior names used by Seller:
Address: **Four Executive Boulevard**
Suffern, New York 10901

S.S. No.:

1.1.2 "Purchaser":

Address:

S.S. No.:

1.2 The "Attorneys" are:

1.2.1 "Seller's Attorney"

Address:

Telephone:
Fax:

1.2.2 "Purchaser's Attorney"

Address:

Telephone:
Fax:

1.3 The "Escrowee" is the [Seller's] [Purchaser's] Attorney.

1.4 The Managing Agent is: **Excel Bradshaw Management Group**
Address: **393 Old Country Road, Suite 204**
Carle Place, New York 11514

Telephone:
Fax:

1.5 The real estate "Broker(s)" (see ¶12) is/are:
Company Name:

1.6 The name of the cooperative housing corporation ("Corporation") is: **Crestwood Apartment Owners Corp.**

1.7 The "Unit" number is:

1.8 The Unit is located in "Premises" known as:

1.9 The "Shares" are the shares of the Corporation allocated to the Unit.

1.10 The "Lease" is the Corporation's proprietary lease or occupancy agreement for the Unit, given by the Corporation which expires on .

1.11 "Personalty" is the following personal property, to the extent existing in the Unit on the date hereof: the refrigerators, freezers, ranges, ovens, built-in microwave ovens, dishwashers, garbage disposal units, cabinets and counters, lighting fixtures, chandeliers, wall-to-wall carpeting, plumbing and heating fixtures, central air-conditioning and/or window or sleeve units, washing machines, dryers, screens and storm windows, window treatments, switch plates, door hardware, mirrors, built-ins not excluded in ¶1.12 and

1.12 Specifically excluded from this sale is all personal property not included in ¶1.11 and:

1.13 The sale [does] [does not] include Seller's interest in [Storage]/[Servant's Rm]/[Parking Space] ("Included Interests")

1.14 The "Closing" is the transfer of ownership of the Shares and Lease.

1.15 The date scheduled for Closing is ("Scheduled Closing Date") at (See ¶¶ 9 and 10)

1.16 The "Purchase Price" is: $

1.16.1 The "Contract Deposit" is: $

1.16.2 The "Balance" of the Purchase Price due at Closing is: **$ 0.00** (See ¶2.2.2)

1.17 The monthly "Maintenance" charge is $ (See ¶4)

1.18 The "Assessment", if any, payable to the Corporation, at the date of this Contract is $, payable as follows:

1.19 [Seller] [Purchaser] shall pay the Corporation's flip tax, transfer fee (apart from the transfer agent fee) and/or waiver of option fee ("Flip Tax"), if any.

1.20 Financing Options *(Delete **two** of the following ¶¶1.20.1, 1.20.2 or 1.20.3*

1.20.1 Purchaser may apply for financing in connection with this sale and Purchaser's obligation to purchase under this Contract is contingent upon issuance of a Loan Commitment Letter by the Loan Commitment Date (¶18.1.2).

1.20.2 Purchaser may apply for financing in connection with this sale but Purchaser's obligation to purchase under this Contract is not contingent upon issuance of a Loan Commitment Letter.

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1.20.3 Purchaser shall not apply for financing in connection with this sale.

1.21 If ¶1.20.1 or 1.20.2 applies, the "Financing Terms" for ¶18 are: a loan of $ for a term of years or such lesser amount or shorter term as applied for or acceptable to Purchaser; and the "Loan Commitment Date" for ¶18 is calendar days after the Delivery Date.

1.22 The "Delivery Date" of this Contract is the date on which a fully executed counterpart of this Contract is deemed given to and received by Purchaser or Purchaser's Attorney as provided in ¶17.3.

1.23 All "Proposed Occupants" of the Unit are:

1.23.1 persons and relationship to Purchaser:

1.23.2 pets:

1.24 The Contract Deposit shall be held in: [a non-] [an] IOLA escrow account. If the account is a non-IOLA account then interest shall be paid to the Party entitled to the Contract Deposit. The Party receiving the interest shall pay any income taxes thereon. The escrow account shall be a segregated bank account at Depository:
Address:

(See ¶27)

1.25 This Contract is [not] continued on attached rider(s).

2 AGREEMENT TO SELL AND PURCHASE; PURCHASE PRICE; ESCROW

2.1 Seller agrees to sell to Purchaser, and Purchaser agrees to purchase from Seller, the Seller's Shares, Lease, Personalty and any Included Interests and all other items included in this sale, for the Purchase Price and upon the terms and conditions set forth in this Contract.

2.2 The Purchase Price is payable to Seller by Purchaser as follows:

2.2.1 the Contract Deposit at the time of signing this Contract, by Purchaser's good check to the order of Escrowee; and

2.2.2 the Balance at Closing, only by cashier's or official bank check or certified check of Purchaser payable to the direct order of Seller. The check(s) shall be drawn on and payable by a branch of a commercial or savings bank, savings and loan association or trust company located in the same City or County as the Unit. Seller may direct, on reasonable Notice (defined in ¶17) prior to Closing, that all or a portion of the Balance shall be made payable to persons other than Seller (see ¶17.7).

3 PERSONALTY

3.1 Subject to any rights of the Corporation or any holder of a mortgage to which the Lease is subordinate, this sale includes all of the Seller's interest, if any, in the Personalty and the Included Interests.

3.2 No consideration is being paid for the Personalty or for the Included Interests; nothing shall be sold to Purchaser if the Closing does not occur.

3.3 Prior to Closing, Seller shall remove from the Unit all the furniture, furnishings and other property not included in this sale, and repair any damage caused by such removal.

4 REPRESENTATIONS AND COVENANTS

4.1 Subject to any matter affecting title to the Premises (as to which Seller makes no representations or covenants), Seller represents and covenants that:

4.1.1 Seller is, and shall at Closing be, the sole owner of the Shares, Lease, Personalty and Included Interests, with the full right, power and authority to sell and assign them. Seller shall make timely provision to satisfy existing security interest(s) in the Shares and Lease and have the same delivered at Closing (See ¶10.1);

4.1.2 the Shares were duly issued, fully paid for and are non-assessable;

4.1.3 the Lease is, and will at Closing be, in full force and effect and no notice of default under the Lease is now or will at Closing be in effect;

4.1.4 the Maintenance and Assessments payable as of the date hereof are as specified in ¶1.17 and 1.18;

4.1.5 as of this date, Seller neither has actual knowledge nor has received any written notice of any increase in Maintenance or any Assessment which has been adopted by the Board of Directors of the Corporation and is not reflected in the amounts set forth in ¶1.17 and 1.18;

4.1.6 Seller has not made any material alterations or additions to the Unit without any required consent of the Corporation or, to Seller's actual knowledge, without compliance with all applicable law. This provision shall not survive Closing.

4.1.7 Seller has not entered into, shall not enter into, and has no actual knowledge of any agreement (other than the Lease) affecting title to the Unit or its use and/or occupancy after Closing, or which would be binding on or adversely affect Purchaser after Closing (e.g. a sublease or alteration agreement);

4.1.8 Seller has been known by no other name for the past 10 years except as set forth in ¶1.1.1.

4.1.9 at Closing in accordance with ¶15.2:

4.1.9.1 there shall be no judgments outstanding against Seller which have not been bonded against collection out of the Unit ("Judgments");

4.1.9.2 the Shares, Lease, Personalty and any Included Interests shall be free and clear of liens (other than the Corporation's general lien on the Shares for which no monies shall be owed), encumbrances and adverse interests ("Liens");

4.1.9.3 all sums due to the Corporation shall be fully paid by Seller to the end of the payment period immediately preceding the date of Closing;

4.1.9.4 Seller shall not be indebted for labor or material which might give rise to the filing of a notice of mechanic's lien against the Unit or the Premises; and

4.1.9.5 no violations shall be of record which the owner of the Shares and Lease would be obligated to remedy under the Lease.

4.2 Purchaser represents and covenants that:

4.2.1 Purchaser is acquiring the Shares and Lease for residential occupancy of the Unit solely by the Proposed Occupants identified in ¶1.23

4.2.2 Purchaser is not, and within the past 7 years has not been, the subject of a bankruptcy proceeding;

4.2.3 if ¶1.20.3 applies, Purchaser shall not apply for financing in connection with this purchase.

4.2.4 Each individual comprising Purchaser is over the age of 18 and is purchasing for Purchaser's own account (beneficial and of record);

4.2.5 Purchaser shall not make any representations to the

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Corporation contrary to the foregoing and shall provide all documents in support thereof required by the Corporation in connection with Purchaser's application for approval of this transaction; and

4.2.6 there are not now and shall not be at Closing any unpaid tax liens or monetary judgments against Purchaser.

4.3 Each Party covenants that its representations and covenants contained in ¶4 shall be true and complete at Closing and, except for ¶4.1.6, shall survive Closing but any action based thereon must be instituted within one year after Closing.

5 **CORPORATE DOCUMENTS**

Purchaser has examined and is satisfied with, or (except as to any matter represented in this Contract by Seller) accepts and assumes the risk of not having examined, the Lease, the Corporation's Certificate of Incorporation, By-laws, House Rules, minutes of shareholders' and directors' meetings, most recent audited financial statement and most recent statement of tax deductions available to the Corporation's shareholders under Internal Revenue Code ("IRC") §216 (or any successor statute).

6 **REQUIRED CONSENT AND REFERENCES**

6.1 This sale is subject to the unconditional consent of the Corporation.

6.2 Purchaser shall in good faith:

6.2.1 submit to the Corporation or the Managing Agent an application with respect to this sale on the form required by the Corporation, containing such data and together with such documents as the Corporation requires, and pay the applicable fees and charges that the Corporation imposes upon Purchaser. All of the foregoing shall be submitted within 10 business days after the Delivery Date, or, if ¶¶ 1.20.1 or 1.20.2 applies and the Loan Commitment Letter is required by the Corporation, within 3 business days after the earlier of (i) the Loan Commitment Date (defined in ¶1.21) or (ii) the date of receipt of the Loan Commitment Letter (defined in ¶18.1.2);

6.2.2 attend (and cause any Proposed Occupant to attend) one or more personal interviews, as requested by the Corporation; and

6.2.3 promptly submit to the Corporation such further references, data and documents reasonably requested by the Corporation.

6.3 Either Party, after learning of the Corporation's decision, shall promptly advise the other Party thereof. If the Corporation has not made a decision on or before the Scheduled Closing Date, the Closing shall be adjourned for 30 business days for the purpose of obtaining such consent. If such consent is not given by such adjourned date, either Party may cancel this Contract by Notice, provided that the Corporation's consent is not issued before such Notice of cancellation is given. If such consent is refused at any time, either Party may cancel this Contract by Notice. In the event of cancellation pursuant to this ¶6.3, the Escrowee shall refund the Contract Deposit to Purchaser.

6.4 If such consent is refused, or not given, due to Purchaser's bad faith conduct, Purchaser shall be in default and ¶13.1 shall govern.

7 **CONDITION OF UNIT AND PERSONALTY; POSSESSION**

7.1 Seller makes no representation as to the physical condition or state of repair of the Unit, the Personalty, the Included Interests or the Premises. Purchaser has inspected or waived inspection of the Unit, the Personalty and the Included Interests and shall take the same "as is", as of the date of this Contract, except for reasonable wear and tear. However, at the time of Closing, the appliances shall be in working order and required smoke detector(s) shall be installed and operable.

7.2 At Closing, Seller shall deliver possession of the Unit, Personalty and Included Interests in the condition required by ¶7.1, broom-clean, vacant and free of all occupants and rights of possession.

8 **RISK OF LOSS**

8.1 The provisions of General Obligations Law Section 5-1311, as modified herein, shall apply to this transaction as if it were a sale of realty. For purposes of this paragraph, the term "Unit" includes built-in Personalty.

8.2 Destruction shall be deemed "material" under GOL 5-1311, if the reasonably estimated cost to restore the Unit shall exceed 5% of the Purchase Price.

8.3 In the event of any destruction of the Unit or the Premises, when neither legal title nor the possession of the Unit has been transferred to Purchaser, Seller shall give Notice of the loss to Purchaser ("Loss Notice") by the earlier of the date of Closing or 7 business days after the date of the loss.

8.4 If there is material destruction of the Unit without fault of Purchaser, this Contract shall be deemed canceled in accordance with ¶16.3, unless Purchaser elects by Notice to Seller to complete the purchase with an abatement of the Purchase Price; or

8.5 Whether or not there is any destruction of the Unit, if, without fault of Purchaser, more than 10% of the units in the Premises are rendered uninhabitable, or reasonable access to the Unit is not available, then Purchaser shall have the right to cancel this Contract in accordance with ¶16.3 by Notice to Seller.

8.6 Purchaser's Notice pursuant to ¶8.4 or ¶8.5 shall be given within 7 business days following the giving of the Loss Notice except that if Seller does not give a Loss Notice, Purchaser's Notice may be given at any time at or prior to Closing.

8.7 In the event of any destruction of the Unit, Purchaser shall not be entitled to an abatement of the Purchase Price (i) that exceeds the reasonably estimated cost of repair and restoration or (ii) for any loss that the Corporation is obliged to repair or restore; but Seller shall assign to Purchaser, without recourse, Seller's claim, if any, against the Corporation with respect to such loss.

9 **CLOSING LOCATION**

The Closing shall be held at the location designated by the Corporation or, if no such designation is made, at the office of Seller's Attorney.

10 **CLOSING**

10.1 At Closing, Seller shall deliver or cause to be delivered:

10.1.1 Seller's certificate for the Shares duly endorsed for transfer to Purchaser or accompanied by a separate duly executed stock power to Purchaser, and in either case, with any guarantee of Seller's signature required by the Corporation;

10.1.2 Seller's counterpart original of the Lease, all assignments and assumptions in the chain of title and a

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duly executed assignment thereof to Purchaser in the form required by the Corporation;

10.1.3 FIRPTA documents required by ¶25;

10.1.4 keys to the Unit, building entrance(s), and, if applicable, garage, mailbox, storage unit and any locks in the Unit;

10.1.5 if requested, an assignment to Purchaser of Seller's interest in the Personalty and Included Interests;

10.1.6 any documents and payments to comply with ¶15.2

10.1.7 If Seller is unable to deliver the documents required in ¶¶10.1.1 or 10.1.2 then Seller shall deliver or cause to be delivered all documents and payments required by the Corporation for the issuance of a new certificate for the Shares or a new Lease.

10.2 At Closing, Purchaser shall:

10.2.1 pay the Balance in accordance with ¶2.2.2;

10.2.2 execute and deliver to Seller and the Corporation an agreement assuming the Lease, in the form required by the Corporation; and

10.2.3 if requested by the Corporation, execute and deliver counterparts of a new lease substantially the same as the Lease, for the balance of the Lease term, in which case the Lease shall be canceled and surrendered to the Corporation together with Seller's assignment thereof to Purchaser.

10.3 At Closing, the Parties shall complete and execute all documents necessary:

10.3.1 for Internal Revenue Service ("IRS") form 1099-S or other similar requirements;

10.3.2 to comply with smoke detector requirements and any applicable transfer tax filings; and

10.3.3 to transfer Seller's interest, if any, in and to the Personalty and Included Interests.

10.4 Purchaser shall not be obligated to close unless, at Closing, the Corporation delivers:

10.4.1 to Purchaser a new certificate for the Shares in the name of Purchaser; and

10.4.2 a written statement by an officer or authorized agent of the Corporation consenting to the transfer of the Shares and Lease to Purchaser and setting forth the amounts of and payment status of all sums owed by Seller to the Corporation, including Maintenance and any Assessments, and the dates to which each has been paid.

11 CLOSING FEES, TAXES AND APPORTIONMENTS

11.1 At or prior to Closing,

11.1.1 Seller shall pay, if applicable:

11.1.1.1 the cost of stock transfer stamps; and

11.1.1.2 transfer taxes, except as set forth in ¶11.1.2.2

11.1.2 Purchaser shall pay, if applicable:

11.1.2.1 any fee imposed by the Corporation relating to Purchaser's financing; and

11.1.2.2 transfer taxes imposed by statute primarily on Purchaser (e.g., the "mansion tax").

11.2 The Flip Tax, if any, shall be paid by the Party specified in ¶ 1.19.

11.3 Any fee imposed by the Corporation and not specified in this Contract shall be paid by the Party upon whom such fee is expressly imposed by the Corporation, and if no Party is specified by the Corporation, then such fee shall be paid by Seller.

11.4 The Parties shall apportion as of 11:59 P.M. of the day preceding the Closing, the Maintenance, any other periodic charges due the Corporation (other than Assessments) and STAR Tax Exemption (if the Unit is the beneficiary of same), based on the number of the days in the month of Closing.

11.5 Assessments, whether payable in a lump sum or installments, shall not be apportioned, but shall be paid by the Party who is the owner of the Shares on the date specified by the Corporation for payment. Purchaser shall pay any installments payable after Closing provided Seller had the right and elected to pay the Assessment in installments.

11.6 Each Party shall timely pay any transfer taxes for which it is primarily liable pursuant to law by cashier's, official bank, certified, or attorney's escrow check. This ¶11.6 shall survive Closing.

11.7 Any computational errors or omissions shall be corrected within 6 months after Closing. This ¶11.7 shall survive Closing.

12 BROKER

12.1 Each Party represents that such Party has not dealt with any person acting as a broker, whether licensed or unlicensed, in connection with this transaction other than the Broker(s) named in ¶1.5.

12.2 Seller shall pay the Broker's commission pursuant to a separate agreement. The Broker(s) shall not be deemed to be a third-party beneficiary of this Contract.

12.3 This ¶12 shall survive Closing, cancellation or termination of this Contract.

13 DEFAULTS, REMEDIES AND INDEMNITIES

13.1 In the event of a default or misrepresentation by Purchaser, Seller's sole and exclusive remedies shall be to cancel this Contract, retain the Contract Deposit as liquidated damages and, if applicable, Seller may enforce the indemnity in ¶13.3 as to brokerage commission or sue under ¶13.4. Purchaser prefers to limit Purchaser's exposure for actual damages to the amount of the Contract Deposit, which Purchaser agrees constitutes a fair and reasonable amount of compensation for Seller's damages under the circumstances and is not a penalty. The principles of real property law shall apply to this liquidated damages provision.

13.2 In the event of a default or misrepresentation by Seller, Purchaser shall have such remedies as Purchaser is entitled to at law or in equity, including specific performance, because the Unit and possession thereof cannot be duplicated.

13.3 Subject to the provisions of ¶4.3, each Party indemnifies and holds harmless the other against and from any claim, judgment, loss, liability, cost or expense resulting from the indemnitor's breach of any of its representations or covenants stated to survive Closing, cancellation or termination of this Contract. Purchaser indemnifies and holds harmless Seller against and from any claim, judgment, loss, liability, cost or expense resulting from the Lease obligations accruing from and after the Closing. Each indemnity includes, without limitation, reasonable attorneys' fees and disbursements, court costs and litigation expenses arising from the defense of any claim and enforcement or collection of a judgment under this indemnity, provided the indemnitee is given Notice and opportunity to defend the claim. This ¶13.3 shall survive Closing, cancellation or termination of this Contract.

13.4 In the event any instrument for the payment of the

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Contract Deposit fails of collection, Seller shall have the right to sue on the uncollected instrument. In addition, such failure of collection shall be a default under this Contract, provided Seller gives Purchaser Notice of such failure of collection and, within 3 business days after Notice is given, Escrowee does not receive from Purchaser an unendorsed good certified check, bank check or immediately available funds in the amount of the uncollected funds. Failure to cure such default shall entitle Seller to the remedies set forth in ¶13.1 and to retain all sums as may be collected and/or recovered.

14 **ENTIRE AGREEMENT; MODIFICATION**

14.1 All prior oral or written representations, understandings and agreements had between the Parties with respect to the subject matter of this Contract, and with the Escrowee as to ¶27, are merged in this Contract, which alone fully and completely expresses the Parties' and Escrowee's agreement.

14.2 The Attorneys may extend in writing any of the time limitations stated in this Contract. Any other provision of this Contract may be changed or waived only in writing signed by the Party or Escrowee to be charged.

15 **REMOVAL OF LIENS AND JUDGMENTS**

15.1 Purchaser shall deliver or cause to be delivered to Seller or Seller's Attorney, not less than 10 calendar days prior to the Scheduled Closing Date a Lien and Judgment search, except that Liens or Judgments first disclosed in a continuation search shall be reported to Seller within 2 business days after receipt thereof, but not later than the Closing. Seller shall have the right to adjourn the Closing pursuant to ¶16 to remove any such Liens and Judgments. Failure by Purchaser to timely deliver such search or continuation search shall not constitute a waiver of Seller's covenants in ¶ 4 as to Liens and Judgments. However, if the Closing is adjourned solely by reason of untimely delivery of the Lien and Judgment search, the apportionments under ¶1.3 shall be made as of 11:59 P.M. of the day preceding the Scheduled Closing Date in ¶1.15

15.2 Seller, at Seller's expense, shall obtain and deliver to the Purchaser the documents and payments necessary to secure the release, satisfaction, termination and discharge or removal of record of any Liens and Judgments. Seller may use any portion of the Purchase Price for such purposes.

15.3 This ¶15 shall survive Closing.

16 **SELLER'S INABILITY**

16.1 If Seller shall be unable to transfer the items set forth in ¶2.1 in accordance with this Contract for any reason other than Seller's failure to make a required payment or other willful act or omission, then Seller shall have the right to adjourn the Closing for periods not exceeding 60 calendar days in the aggregate, but not extending beyond the expiration of Purchaser's Loan Commitment Letter, if ¶¶1.20.1 or 1.20.2 applies.

16.2 If Seller does not elect to adjourn the Closing or (if adjourned) on the adjourned date of Closing Seller is still unable to perform, then unless Purchaser elects to proceed with the Closing without abatement of the Purchase Price, either Party may cancel this Contract on Notice to the other Party given at any time thereafter.

16.3 In the event of such cancellation, the sole liability of Seller shall be to cause the Contract Deposit to be refunded to Purchaser and to reimburse Purchaser for the actual costs incurred for Purchaser's lien and title search, if any.

17 **NOTICES AND CONTRACT DELIVERY**

17.1 Any notice or demand ("Notice") shall be in writing and delivered either by hand, overnight delivery or certified or registered mail, return receipt requested, to the Party and simultaneously, in like manner, to such Party's Attorney, if any, and to Escrowee at their respective addresses or to such other address as shall hereafter be designated by Notice given pursuant to this ¶17.

17.2 The Contract may be delivered as provided in ¶17.1 or by ordinary mail.

17.3 The Contract or each Notice shall be deemed given and received:

17.3.1 on the day delivered by hand;

17.3.2 on the business day following the date sent by overnight delivery;

17.3.3 on the 5th business day following the date sent by certified or registered mail; or

17.3.4 as to the Contract only, 3 business days following the date of ordinary mailing.

17.4 A Notice to Escrowee shall be deemed given only upon actual receipt by Escrowee.

17.5 The Attorneys are authorized to give and receive any Notice on behalf of their respective clients.

17.6 Failure or refusal to accept a Notice shall not invalidate the Notice.

17.7 Notice pursuant to ¶¶2.2.2 and 13.4 may be delivered by confirmed facsimile to the Party's Attorney and shall be deemed given when transmission is confirmed by sender's facsimile machine.

18 **FINANCING PROVISIONS**

18.1 The provisions of ¶¶18.1 and 18.2 are applicable only if ¶¶1.20.1 or 1.20.2 applies.

18.1.1 An "Institutional Lender" is any of the following that is authorized under Federal or New York State law to issue a loan secured by the Shares and Lease and is currently extending similarly secured loan commitments in the county in which the Unit is located: a bank, savings bank, savings and loan association, trust company, credit union of which Purchaser is a member, mortgage banker, insurance company or governmental entity.

18.1.2 A "Loan Commitment Letter" is a written offer from an Institutional Lender to make a loan on the Financing Terms (see ¶1.21) at prevailing fixed or adjustable interest rates and on other customary terms generally being offered by Institutional Lenders making cooperative share loans. An offer to make a loan conditional upon obtaining an appraisal satisfactory to the Institutional Lender shall not become a Loan Commitment Letter unless and until such condition is met. An offer conditional upon any factor concerning Purchaser (e.g. sale of current home, payment of outstanding debt, no material adverse change in Purchaser's financial condition, etc.) is a Loan Commitment Letter whether or not such condition is met. Purchaser accepts the risk that, and cannot cancel this Contract if, any condition concerning Purchaser is not met.

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18.2 Purchaser, directly or through a mortgage broker registered pursuant to Article 12-D of the Banking Law, shall diligently and in good faith:

18.2.1 apply only to an Institutional Lender for a loan on the Financing Terms (see ¶1.21) on the form required by the Institutional Lender containing truthful and complete information, and submit such application together with such documents as the Institutional Lender requires, and pay the applicable fees and charges of the Institutional Lender, all of which shall be performed within 5 business days after the Delivery Date;

18.2.2 promptly submit to the Institutional Lender such further references, data and documents requested by the Institutional Lender; and

18.2.3 accept a Loan Commitment Letter meeting the Financing Terms and comply with all requirements of such Loan Commitment Letter (or any other loan commitment letter accepted by Purchaser) and of the Institutional Lender in order to close the loan; and

18.2.4 furnish Seller with a copy of the Loan Commitment Letter promptly after Purchaser's receipt thereof.

18.2.5 Purchaser is not required to apply to more than one Institutional Lender.

18.3 If ¶1.20.1 applies, then

18.3.1 provided Purchaser has complied with all applicable provisions of ¶18.2 and this ¶18.3, Purchaser may cancel this Contract as set forth below, if:

18.3.1.1 any Institutional Lender denies Purchaser's application in writing prior to the Loan Commitment Date (see ¶1.21); or

18.3.1.2 a Loan Commitment Letter is not issued by the Institutional Lender on or before the Loan Commitment Date; or

18.3.1.3 any requirement of the Loan Commitment Letter other than one concerning Purchaser is not met (e.g. failure of the Corporation to execute and deliver the Institutional Lender's recognition agreement or other document, financial condition of the Corporation, owner occupancy quota, etc.); or

18.3.1.4 (i) the Closing is adjourned by Seller or the Corporation for more than 30 business days from the Scheduled Closing Date and (ii) the Loan Commitment Letter expires on a date more than 30 business days after the Scheduled Closing Date and before the new date set for Closing pursuant to this paragraph and (iii) Purchaser is unable in good faith to obtain from the Institutional Lender an extension of the Loan Commitment Letter or a new Loan Commitment Letter on the Financing Terms without paying additional fees to the Institutional Lender, unless Seller agrees, by Notice to Purchaser within 5 business days after receipt of Purchaser's Notice of cancellation on such ground, that Seller will pay such additional fees and Seller pays such fees when due. Purchaser may not object to an adjournment by Seller for up to 30 business days solely because the Loan Commitment Letter would expire before such adjourned Closing date.

18.3.2 Purchaser shall deliver Notice of cancellation to Seller within 5 business days after the Loan Commitment Date if cancellation is pursuant to ¶18.3.1.1 or 18.3.1.2 and on or prior to the Scheduled Closing Date if cancellation is pursuant to ¶18.3.1.3 or 18.3.1.4.

18.3.3 If cancellation is pursuant to ¶18.3.1.1, then Purchaser shall deliver to Seller, together with Purchaser's Notice, a copy of the Institutional Lender's written denial of Purchaser's loan application. If cancellation is pursuant to ¶18.3.1.3, then Purchaser shall deliver to Seller together with Purchaser's Notice evidence that a requirement of the Institutional Lender was not met.

18.3.4 Seller may cancel this Contract by Notice to Purchaser, sent within 5 days after the Loan Commitment Date, if Purchaser shall not have sent by then either (i) Purchaser's Notice of cancellation or (ii) a copy of the Loan Commitment Letter to Seller, which cancellation shall become effective if Purchaser does not deliver a copy of such Loan Commitment Letter to Seller within 10 business days after the Loan Commitment Date.

18.3.5 Failure by either Purchaser or Seller to deliver Notice of cancellation as required by this ¶18.3 shall constitute a waiver of the right to cancel under this ¶18.3.

18.3.6 If this Contract is canceled by Purchaser pursuant to this ¶18.3, then thereafter neither Party shall have any further rights against, or obligations or liabilities to, the other by reason of this Contract, except that the Contract Deposit shall be promptly refunded to Purchaser and except as set forth in ¶12. If this Contract is canceled by Purchaser pursuant to ¶18.3.1.4, then Seller shall reimburse Purchaser for any non-refundable financing and inspection expenses and other sums reimbursable pursuant to ¶16.

18.3.7 Purchaser cannot cancel this Contract pursuant to ¶18.3.1.4 and cannot obtain a refund of the Contract Deposit if the Institutional Lender fails to fund the loan:

18.3.7.1 because a requirement of the Loan Commitment Letter concerning Purchaser is not met (e.g., Purchaser's financial condition or employment status suffers an adverse change; Purchaser fails to satisfy a condition relating to the sale of an existing residence, etc.) or

18.3.7.2 due to the expiration of a Loan Commitment Letter issued with an expiration date that is not more than 30 business days after the Scheduled Closing Date.

19 **SINGULAR/PLURAL AND JOINT/SEVERAL.**

The use of the singular shall be deemed to include the plural and vice versa, whenever the context so requires. If more than one person constitutes Seller or Purchaser, their obligations as such Party shall be joint and several.

20 **NO SURVIVAL**

No representation and/or covenant contained herein shall survive Closing except as expressly provided. Payment of the Balance shall constitute a discharge and release by Purchaser of all of Seller's obligations hereunder except those expressly stated to survive Closing.

21 **INSPECTIONS**

Purchaser and Purchaser's representatives shall have the right to inspect the Unit within 48 hours prior to Closing, and at other reasonable times upon reasonable request to Seller.

22 **GOVERNING LAW AND VENUE**

This Contract shall be governed by the laws of the State of New York without regard to principles of conflict of laws. Any action or proceeding arising out of this Contract shall be

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brought in the county or Federal district where the Unit is located and the Parties hereby consent to said venue.

23 **NO ASSIGNMENT BY PURCHASER; DEATH OF PURCHASER**

23.1 Purchaser may not assign this Contract or any of Purchaser's rights hereunder. Any such purported assignment shall be null and void.

23.2 This Contract shall terminate upon the death of all persons comprising Purchaser and the Contract Deposit shall be refunded to the Purchaser. Upon making such refund and reimbursement, neither Party shall have any further liability or claim against the other hereunder, except as set forth in Par. 12.

24 **COOPERATION OF PARTIES**

24.1 The Parties shall each cooperate with the other, the Corporation and Purchaser's Institutional Lender and title company, if any, and obtain, execute and deliver such documents as are reasonably necessary to consummate this sale.

24.2 The Parties shall timely file all required documents in connection with all governmental filings that are required by law. Each Party represents to the other that its statements in such filings shall be true and complete. This ¶24.2 shall survive Closing.

25 **FIRPTA**

The parties shall comply with IRC §§ 897, 1445 and the regulations thereunder as same may be amended ("FIRPTA"). If applicable, Seller shall execute and deliver to Purchaser at Closing a Certification of Non-Foreign Status ("CNS") or deliver a Withholding Certificate from the IRS. If Seller fails to deliver a CNS or a Withholding Certificate, Purchaser shall withhold from the Balance, and remit to the IRS, such sum as may be required by law. Seller hereby waives any right of action against Purchaser on account of such withholding and remittance. This ¶25 shall survive Closing.

26 **ADDITIONAL REQUIREMENTS**

26.1 Purchaser shall not be obligated to close unless all of the following requirements are satisfied at the time of the Closing:

26.1.1 the Corporation is in good standing;

26.1.2 the Corporation has fee or leasehold title to the Premises, whether or not marketable or insurable; and

26.1.3 there is no pending *in rem* action, tax certificate/lien sale or foreclosure action of any underlying mortgage affecting the Premises.

26.2 If any requirement in ¶26.1 is not satisfied at the time of the Closing, Purchaser shall give Seller Notice and if the same is not satisfied within a reasonable period of time thereafter, then either Party may cancel this Contract (pursuant to ¶16.3) by Notice.

27 **ESCROW TERMS**

27.1 The Contract Deposit shall be deposited by Escrowee in an escrow account as set forth [in ¶] 1.24 and the proceeds held and disbursed in accordance with the terms of this Contract. At Closing, the Contract Deposit shall be paid by Escrowee to Seller. If the Closing does not occur and either Party gives Notice to Escrowee demanding payment of the Contract Deposit, Escrowee shall give prompt Notice to the other Party of such demand. If Escrowee does not receive a Notice of objection to the proposed payment from such other Party within 10 business days after the giving of Escrowee's Notice, Escrowee is hereby authorized and directed to make such payment to the demanding party. If Escrowee does receive such a Notice of objection within said period, or if for any reason Escrowee in good faith elects not to make such payment, Escrowee may continue to hold the Contract Deposit until otherwise directed by a joint Notice by the Parties or a final, non-appealable judgment, order or decree of a court of competent jurisdiction. However, Escrowee shall have the right at any time to deposit the Contract Deposit and the interest thereon, if any, with the clerk of a court in the county as set forth in ¶22 and shall give Notice of such deposit to each Party. Upon disposition of the Contract Deposit and interest thereon, if any, in accordance with this ¶27, Escrowee shall be released and discharged of all escrow obligations and liabilities.

27.2 The Party whose Attorney is Escrowee shall be liable for loss of the Contract Deposit. If the Escrowee is Seller's attorney, then Purchaser shall be credited with the amount of the contract Deposit at Closing.

27.3 Escrowee will serve without compensation. Escrowee is acting solely as a stakeholder at the Parties' request and for their convenience. Escrowee shall not be liable to either Party for any act or omission unless it involves bad faith, willful disregard of this Contract or gross negligence. In the event of any dispute, Seller and Purchaser shall jointly and severally (with right of contribution) defend (by attorneys selected by Escrowee), indemnify and hold harmless Escrowee from and against any claim, judgment, loss, liability, cost and expenses incurred in connection with the performance of Escrowee's acts or omissions not involving bad faith, willful disregard of this Contract or gross negligence. This indemnity includes, without limitation, reasonable attorneys' fees either paid to retain attorneys or representing the fair value of legal services rendered by Escrowee to itself and disbursements, court costs and litigation expenses.

27.4 Escrowee acknowledges receipt of the Contract Deposit, by check subject to collection.

27.5 Escrowee agrees to the provisions of this ¶27.

27.6 If Escrowee is the Attorney for a Party, Escrowee shall be permitted to represent such Party in any dispute or lawsuit.

27.7 This ¶27 shall survive Closing, cancellation or termination of this Contract.

28 **MARGIN HEADINGS**

The margin headings do not constitute part of the text of this Contract.

29 **MISCELLANEOUS**

This Contract shall not be binding unless and until Seller delivers a fully executed counterpart of this Contract to Purchaser (or Purchaser's Attorney) pursuant to ¶17.2 and 17.3. This Contract shall bind and inure to the benefit of the Parties hereto and their respective heirs, personal and legal representatives and successors in interest.

30 **LEAD PAINT**

If applicable, the complete and fully executed Disclosure of Information on Lead Based Paint and or Lead-Based Paint Hazards is attached hereto and made a part hereof.

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IN WITNESS WHEREOF, the Parties hereto have duly executed this Contract as of the date first above written.

SELLER:

PURCHASER:

ESCROW TERMS AGREED TO:

By: _____

ESCROWEE

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LEAD WARNING STATEMENT - CONTRACTS OF SALE

Every purchaser of any interest in residential real property on which a residential dwelling was built prior to 1978 is notified that such property may present exposure to lead from lead based paint that may place young children at risk of developing lead poisoning. Lead poisoning in young children may produce permanent neurological damage, including learning disabilities, reduced intelligence quotient, behavioral problems and impaired memory. Lead poisoning also poses a particular risk to pregnant women. The seller of any interest in residential real property is required to provide the buyer with any information on lead based paint hazards from risk assessments or inspections in the seller's possession and notify the buyer of any known lead based paint hazards. A risk assessment or inspection for possible lead based paint hazards is recommended prior to purchase.

Seller's Disclosure:

(a) Presence of lead based paint and or lead based paint hazards (initial (i) or (ii) below)

(i)_____ Known lead based paint or lead based paint hazards are present in the apartment (explain)

(ii) X Seller has no knowledge of lead based paint and or lead based paint hazards in the apartment **other than may be set forth in the Offering Plan.**

(b) Records and reports available to the Seller (initial (i) or (ii) below)

(i)_____ Seller has provided the Purchaser with all available records and reports pertaining to lead based paint and/or lead base paint hazards in the apartment (list documents below)

(ii) X Seller has no reports or records pertaining to lead based paint and/or lead based paint hazards in the apartment **other than may be set forth in the Offering Plan**.

Purchaser's Acknowledgement:

(c)_____ Purchaser has received copies of all information listed above

(d) X Purchaser has received with the pamphlet "Protect Your Family from Lead in Your Home".

(e)_____ Purchaser has (initial (i) or (ii) below)

(i)_____ Received a 10 day opportunity commencing from the date Purchaser receives this Exhibit (or other mutually agreed upon period) to conduct a risk assessment or inspection for the presence of lead based paint; or

(ii) X Waived the opportunity to conduct a risk assessment or inspection for the presence of lead based paint and/or lead based paint hazards.

SELLER: **PURCHASER**

By:_____ _____

_____

RIDER TO CONTRACT OF SALE
COVERING UNIT ____ AT
124-16 84TH ROAD, KEW GARDENS, NEW YORK

The following provisions of this Rider are attached to the Contract of Sale and made a part thereof.

R1. Purchaser acknowledges having received and read the Offering Plan to convert the Building to cooperative ownership, together with the Amendments thereto (collectively, the "Plan"), at least three (3) full business days prior to signing this Contract of Sale (the "Contract"). Purchaser acknowledges that he is purchasing the shares allocated to the Unit from Seller in Seller's capacity as the Sponsor and as a Holder of Unsold Shares (as defined in the Plan) in the Corporation. This Contract is subject to the terms and conditions of the Plan. In the event of any inconsistency between the provisions of this Contract and those contained in the Plan, the provisions of the Plan shall govern and be binding. All representations and obligations set forth in the Plan and as required by the New York State General Business Law shall survive the Closing.

R2. In the event of any inconsistency between the provisions of this Rider and those contained in the Contract to which this Rider is annexed, the provisions of this Rider shall govern and be binding.

R3. Purchaser acknowledges that the entire agreement between the parties hereto is set forth herein. The only representations made to the Purchaser are those contained herein. Purchaser has not relied upon any representations, statements or warranties, written or oral, whether expressed or implied, made by Seller or by any agent, employee or other representative of the Seller, or by any broker or any other person representing or purporting to represent Seller as to any matter or estimate, that are not set forth herein and, Purchaser acknowledges that he has had full opportunity to examine all documents and investigate all facts referred to and stated herein.

R4. Purchaser understands that, in the event the check being delivered herewith pursuant to Paragraph 1.12.1 fails of collection, this Contract will be deemed void ab initio (as if it had never been executed) at the option of the Seller, who reserves the right to exercise this option at its sole discretion.

R5. Purchaser shall pay at Closing the New York City Real Property Transfer Tax (currently 1.425% of the "Taxable Consideration" when the Taxable Consideration is in excess of $500,000.00 and 1% when the Taxable Consideration is less than $500,000.00) and shall execute the New York City Real Property Transfer Tax Return and all other documents in connection therewith. Such return will be in the form required by the City of New York. Said transfer tax must be paid by Purchaser at Closing by an unendorsed personal certified or official cashier's or bank check (or attorney escrow account) drawn on a member bank of the New York Clearing House Association to the order of the NYC Department of Finance. For purposes of this Contract of Sale, "Taxable Consideration" shall mean the sum of the Purchase Price, and the proportionate share of the underlying mortgage on the Premises, and the amount transfer taxes of the Seller which are being paid by the Purchaser.

R6. Purchaser shall pay at Closing, the New York State Real Estate Transfer Tax (currently .004 of the Taxable Consideration rounded up to the nearest full $500.00) and shall execute the Combined Real Estate Transfer Tax Return and Credit Line Mortgage Certificate (Form TP-584) and all other documents in connection therewith. Said transfer tax must be paid by the Purchaser at Closing by unendorsed personal certified check or official cashier's or bank check drawn on a member bank of the New York Clearing House Association to the order of the NYC Department of Finance.

R7. Purchaser shall be required to pay Seller's Attorney at the Closing, a fee of $1,700 for services rendered in connection with supervising, coordinating and attending the Closing. In addition, should the Closing not close at the office of Seller's Attorney, then the Closing may be held elsewhere on condition that Purchaser pay Seller's Attorney an additional travel and attendance fee of $200 if the Closing is held in Manhattan, or an additional $250 if the Closing is held in Bronx, Brooklyn, Queens, Richmond, Westchester, Nassau or Suffolk Counties. Such fees must be paid by unendorsed certified or bank check, payable directly to the order of Seller's Attorney.

R8. Supplementing Paragraph 21, except as otherwise may be set forth herein, the acceptance of the stock and the assumption of the Lease by the Purchaser shall be deemed to be a full performance and discharge of every agreement and obligation on the part of Seller to be performed under this Contract, it being agreed that Seller shall have no further obligation or liability to make any repairs, improvements or decorations in or to the Unit or any of the appliances, fixtures, equipment or installations contained therein.

R9. Purchaser represents and warrants to the Seller that Purchaser (a) is over the age of 18 years and (b) is purchasing the Unit for the Purchaser's own account (beneficial and of record) and the Unit shall be occupied by him/herself or by a member of their immediate family. This representation shall survive the Closing.

R10. Supplementing and modifying Paragraphs 4.1.2, 10.1.8, and 24.1, Seller shall not be obligated to discharge old judgment liens, tax liens or mechanics liens which do not affect the specific Unit. Rather, Seller agrees to deliver, if requested, an affidavit stating that the liens do not affect the specific Unit.

R11. Purchaser understands that the Corporation is not a party to this Contract or the sale contemplated hereby and that no representations, warranties or promises of any kind have been made to Purchaser by the Corporation. Further, Purchaser agrees that no claim will be made against the Corporation by Purchaser in respect of, or arising out of, the purchase of the shares and lease.

R12. Insert the following at the end of Paragraph 10.3: "Purchaser shall be responsible for fulfilling all the obligations and requirements of Section 6045(e) of the Internal Revenue Code of 1986 (the "Code"), including, without limitation, the completion and filing of Form 1099-S or such other similar form." This paragraph shall survive the Closing.

R13. The use of the masculine gender shall be deemed to refer to the feminine and vice versa, whenever the context so requires.

R14. Notwithstanding anything contained herein to the contrary, If through no fault of Seller, Purchaser for any reason, fails to close on or before the date scheduled for the Closing in Paragraph 1 (the "Scheduled Closing Date"), then the apportionments for maintenance shall be as of midnight of the day preceding the Scheduled Closing Date and not as of midnight of the day preceding the actual date of the Closing.

R15. Supplementing Paragraph 11, a letter from the Corporation or its managing agent as to the status of the maintenance due to the Corporation, utility charges and assessments shall be sufficient for determining the apportionments.

R16. All funds held pursuant to Paragraph 28 of this Contract shall be held in accordance with the provisions of the General Business Law Section 352e-2(b) and 352(h) and the provisions of the Offering Plan, as amended, relating to escrow trust fund for contract downpayments.

R17. Lead Paint Contingency. Except as my be set forth in the Plan, Selier has no knowledge of lead based-paint and or lead-based paint hazards in the Unit. Seller has no reports or records pertaining to lead based paint and/or lead based paint hazards in the Unit. Notwithstanding the foregoing, this Contract is contingent upon a risk

assessment or inspection of the property for the presence of lead based paint and or lead-based paint hazards at Purchaser's expense until the close of business on the tenth calendar day after delivery of an executed counterpart of this Contract to Purchaser or Purchaser's Attorney. (Intact lead based paint that is in good condition is not necessarily a hazard. (See the EPA pamphlet" Protect Your Family From Lead In Your Home" for more information.) This contingency will terminate at the above predetermined deadline unless Purchaser (or Purchaser's Agent) delivers to Seller or Seller's Agent) a written contract addendum listing the specific existing deficiencies and corrections needed together with a copy of the inspection and/or risk assessment report. If a lead-based paint hazardous situation exists in the Unit, then Seller's sole liability shall be to return the Contract Deposit to Purchaser, unless (i) Purchaser agrees in writing to accept the Unit with the lead based paint hazard; or (ii) Seller shall agree to correct the lead-based paint hazardous situation.

SELLER: **PURCHASER**

By:_____ _____

_____

STATE OF NEW YORK
OFFICE OF THE ATTORNEY GENERAL

ERIC T. SCHNEIDERMAN
Attorney General

DIVISION OF ECONOMIC JUSTICE
Real Estate Finance Bureau

(212)416-6040

March 27, 2014

Tjs Associates, LLC
c/o Cutler Minikes & Adelman LLP
Attention: Andrew Cutler
708 Third Avenue, 17th Floor
New York, NY 10017

RE: The Crestwood
File Number: C 870398 Amendment No: 26
Date Amendment Filed: 03/21/2014 Filing Fee: $225.00
Receipt Number: 119206

Dear Sponsor:

The referenced amendment to the offering plan for the subject premises is hereby accepted and filed. Since this amendment is submitted after the post closing amendment has been filed, this filing is effective for twelve months from the date of filing of this amendment. However, any material change of fact or circumstance affecting the property or offering requires an immediate amendment.

Any misstatement or concealment of material fact in the material submitted as part of this amendment renders this filing void ab initio. This office has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or anywaiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this letter is conditioned upon the collection of all fees imposed by law. This letter is your receipt for the filing fee.

Very truly yours,

Carol Stephens
Assistant Attorney General

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	March 21, 2014
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

TWENTY-SIXTH AMENDMENT TO THE PLAN

This Twenty-Sixth Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Twenty-Fifth Amendment (collectively the "Plan").

The terms of this Twenty-Sixth Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the Unsold Shares owned by the Sponsor is approximately $9,980.05. The current monthly assessment charges payable for the Unsold Shares is $787.08. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $12,032.25.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board on or about the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Janusz Wojciechowski	President
Claudia Gruen	Vice President
Michael Scherer	Treasurer
Susan Sendek	Secretary
Michael Anastasiou	
Bill Doherty	
Jeffrey Gold *	

* Sponsor Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Certified Financial Statements for the year ended December 31, 2010, 2011 and 2012, as prepared by the accountants for the Apartment Corporation, are annexed hereto as Document Nos. 2A, 2B and 2C. The 2014 Budget for the Apartment Corporation is annexed hereto as Document No. 2D.

SIXTH: MORTGAGE REFINANCING

On or about October 30, 2013, the Apartment Corporation refinanced the underlying mortgage with a new first mortgage with Astoria Federal Savings and Loan Association, One Jericho Plaza, Suite 304, Jericho, NY 11753 ("Lender"). The new mortgage has the following material terms:

Principal Amount:	$3,200,000.00
Term:	Ten (10) years, maturing November 1, 2023 ("Initial Term")
Option to Extend:	The Apartment Corporation has one option to extend the term of the mortgage for an additional five (5) year period maturing November 1, 2028 (the "Extended Term"); to exercise this option, the Apartment

	Corporation must give notice at least 90 but not more than 120 days prior to the end of the Initial Term and pay a non-refundable review and extension fee of one (1.0%) percent of the then outstanding principal balance.
Interest Rate:	4.25% per annum during the Initial Term During the Extended Term, the interest rate shall be the greater of (i) 300 basis points over the 5 Year Fixed Rate Advance of the Federal Home Loan Bank of New York as of the date which is 60 days prior to the commencement of the Extension Period ; or 4.25% per annum.
Monthly Payments:	Interest only payments shall be payable on the first day of each month based on a 360-day year and for the actual number of days elapsed during each month as follows: $10,577.78 shall be payable on the first day of each month which follows a 28-day month; $10,955.56 on the first day of each month which follows a 29-day month; $11,333.33 on the first day of each month which follows a 30-day a month; and $11,711.18 on the first day of each month which follows a 31-day month. During the Extension Period, monthly payments shall be due at the revised interest rate plus amortization payments based on a 30-year amortization period.
Approximated Principal Balance Due at Maturity:	$3,200,000.00 at the end of the Initial Term.
Prepayment:	Prepayments may be made only in full upon 60 days' prior written notice with payment of a prepayment charge or premium as follows: 5% of the principal sum prepaid during the first and second years of the Initial Term or the first year of the Extended Term; 4% for prepayment made in the third and fourth years of the Initial Term or the second year of the Extended Term; 3% for prepayment made in the fifth and sixth years of the Initial Term or the third year of the Extended Term; 2% for prepayment made in the seventh and eighth years of the Initial Term or the fourth year of the Extended Term; 1% for prepayment made in the ninth and tenth years of the Initial Term or the fifth year of the Extended Term. Notwithstanding the foregoing, full prepayment may be made without premium within 90 days prior to the scheduled Maturity Date of the Initial Term or the Extended Term..

The Apartment Corporation has also arranged a $500,000 Line of Credit with the Lender.

SEVENTH: APARTMENT TRANSFER FEE

The Apartment Corporation requires all shareholders of the Apartment Corporation, other than holders of unsold shares, to pay a transfer fee ("flip tax") of $6.00 per share on the transfer of apartments.

EIGHTH: RIGHTS OF EXISTING TENANTS

In October, 2009, the New York State Court of Appeals ruled in the case, *Roberts v. Tishman Speyer Properties*, that when a building is receiving J-51 real estate tax benefits, rent stabilized tenants, whether they were rent stabilized before the building's receipt of J-51 tax benefits, or became rent stabilized as a result of the building's receipt of J-51 tax benefits, are not subject to deregulation under the high-rent decontrol provisions of the rent laws ("High Rent Decontrol Provisions"). Sponsor notes that the court's decision in *Roberts v. Tishman Speyer Properties* dealt with a rental property and not a property that had been converted to condominium or cooperative ownership, and does not specify whether its decision should be given retroactive or only prospective effect.

The building has received J-51 real estate tax benefits since the July 1987-June 1988, July 1995-June 1996 and July 2000-June 2001 tax years. Based on the information provided on the NYC Department of Finance website, it is estimated that the J-51 benefits expired during the July 1998-June 1999, July 2005-June 2006 and July 2011-June 2012 tax years. During the period the building has received J-51 tax benefits, none of the Units were deregulated under the High Rent Decontrol Provisions. During any period a building is receiving J-51 real estate tax benefits, whether the present benefits or any future benefits, under the court's holding in *Roberts*, as presently interpreted, rent stabilized tenants, whether they were rent stabilized before the building's receipt of J-51 tax benefits, or became rent stabilized as a result of the building's receipt of J-51 tax benefits, are not subject to deregulation under the High Rent Decontrol Provisions. Sponsor and its counsel believe that such restriction pursuant to the *Roberts* decision on deregulation under the High Rent Decontrol Provisions applies only while the J-51 benefits are being received. Sponsor and its counsel further believe that tenants who, after the transfer of the building to the apartment corporation, became tenants of units which were never regulated or, if regulated, were legally deregulated are not entitled to protection from deregulation under the High Rent Decontrol Provisions or otherwise regardless of whether J-51 benefits are being received.

New York City Administrative Code Section 26-504 (c) contains provisions which, under certain circumstances, require that when a building has J-51 tax benefits, each lease and lease renewal includes a notice informing the tenant of the potential for deregulation upon the expiration of the tax benefit period. Sponsor and its counsel believe that the express provisions of that section preclude such required lease and renewal notices where, as here, the Units were already subject to rent stabilization before the building received J-51 tax benefits, but it could be argued that if no such notice was included in each lease and renewal, that protection from deregulation under the High Rent Decontrol Provisions might continue until the occurrence of the first vacancy of such unit after such benefits are no longer being received.

Potential purchasers of occupied apartments and non-purchasing tenants should consult with their respective counsels to determine their rights and obligations under the leases and applicable rent laws, including, but not limited to, their respective rights and obligations regarding deregulation under the High Rent Decontrol Provisions.

Sponsor will provide written authorization to any prospective purchaser to access the records of the Department of Housing and Community Renewal for any unit which may be affected by the *Roberts* decision.

Notwithstanding the foregoing, in the event the holding of *Roberts v. Tishman Speyer Properties* is modified, repealed or invalidated, in whole or in part, by future court ruling, legislation, administrative determination or ruling or otherwise, to provide for lesser rights for tenants or lesser obligations on the part of owners of occupied apartment units in buildings that are condominiums or cooperatives, the rights of non-purchasing tenants or other tenants and the obligations of the owners of such units shall comply only with the applicable legal requirements as modified by such future court ruling or legislation or other change in the law. In no event shall the disclosure in this amendment confer any rights on any tenants or create any obligations on Sponsor as landlord, beyond the rights conferred and obligations created by applicable statute, regulation and court decision from time to time.

NINTH: IDENTITY OF PARTIES

Halperin Real Estate LLC, having an address at 35 East 2nd Street, Brooklyn, NY 11218 serves as the Selling Agent for the Sponsor, and has more than two decades of New York marketplace experience. The Selling Agent has never been convicted of a felony nor are there any injunctions, judgments and/or convictions material to the Plan, or otherwise against the Selling Agent. Avi Halperin, principal of the Selling Agent, also acts as the Sponsor's representative in completing Contracts of Sale and closing documents, and in attending closings for the Sponsor. All deposits, down payments, or advances ("Deposits") received by the Sponsor or Selling Agent pursuant to the Plan shall be held and disbursed by the law firm of Cutler Minikes & Adelman LLP, as Escrow Agent as more fully set forth in the "Escrow Trust Fund for Contracts of Sale" section of this amendment.

TENTH: ESCROW TRUST FUND FOR CONTRACTS OF SALE

A. Revised Escrow Trust Fund Regulations. The Department of Law has revised its regulations to eliminate the Attorney General's authority to adjudicate disputes regarding the disposition of deposits, down payments, or advances ("Deposits") received by Sponsor/Holder (herein, "Seller") pursuant to New York General Business Law ("GBL") §§ 352-3(2-b) and 352-h. The changes only impact Purchasers who have not received a fully executed Purchase Agreement prior to the date of service of this Amendment. For all Purchasers who receive a fully executed Purchase Agreement on or after the date of services of this Amendment, the disclosures set forth in the Procedure to Purchase Section of the Plan are modified as set forth herein.

B. Purchase Agreement; Revised Procedure to Purchase Section of the Plan. The Procedure to Purchase Section of the Plan regarding escrow trust fund requirements, as previously modified, is hereby replaced with the following disclosures set forth herein. The Seller, Escrow Agent and Purchasers must enter into a trilateral Escrow Account Rider to Purchase Agreement at the time the Purchase Agreement is executed and delivered in the form attached hereto as Document No. 3A. Purchaser shall also deliver to the Seller and Escrow Agent, with the executed Purchase Agreement, either a completed and signed Form W-9 (Request for Taxpayer Identification Number) or a Form W-8 (Certificate of Foreign Status), as applicable, in the form annexed hereto as Document No. 3B. The Escrow Agreement set forth in the Plan is hereby replaced with the Escrow Agreement between the Seller and the Escrow Agent attached hereto as Document No. 3C.

C. The Escrow Agent. The law firm of Cutler Minikes & Adelman LLP, with an address at 150 White Plains Road, Tarrytown, NY 10591 telephone number (212) 983-0072, shall serve as escrow agent ("Escrow Agent") for Seller and Purchaser. Escrow Agent has designated the following attorneys to serve as signatories:

Richard B. Adelman	150 White Plains Road Tarrytown, NY 10591
Andrew N. Cutler Jonathan Z. Minikes	708 Third Avenue New York, NY 10017

All designated signatories are admitted to practice law in the State of New York. Neither the Escrow Agent nor any authorized signatories on the account are the Seller, Selling Agent, Managing Agent, or any principal thereof, or have any beneficial interest in any of the foregoing.

D. The Escrow Account. The Escrow Agent has established a master escrow account at Hudson Valley Bank, located at 60 East 42nd Street, Suite 1836, New York, NY 10165, in the State of New York ("Bank"), a bank authorized to do business in the State of New York. The escrow account is entitled Cutler

Minikes & Adelman IOLA Escrow Account. The Deposit shall be placed in a separate sub-account of the master escrow account. If Purchaser does not provide the Form W-8 or Form W-9 at the time the Purchase Agreement is fully executed, the Deposit may be deposited into the master escrow account or an IOLA sub-account, at the Escrow Agent's option, unless and until the form is provided. In addition, shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the master escrow account so that escrow checks may be drawn thereon. (The account in which the Deposit is deposited from time to time is referred to herein as the "Escrow Account".) The master escrow account and sub-accounts are federally insured by the FDIC at the maximum amount of $250,000 per deposit. Any deposit in excess of $250,000 will not be insured. No fees of any kind may be deducted from the Escrow Account, and the Seller shall bear all costs associated with the maintenance of the Escrow Account.

The master escrow account and the sub-account into which the Deposit shall be placed shall be Interest-On-Lawyer's-Accounts ("IOLA") established pursuant Judiciary Law Section 497. Shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the Escrow Account so that escrow checks may be drawn thereon. Under the IOLA program, interest on the account accrues to the benefit of the Client Security Fund administered by the State of New York. Since all interest earned on an IOLA account is payable to the IOLA Fund of the State of New York, no interest will be earned for or payable to either the Seller or Purchaser.

All Deposits received by Purchaser shall be in the form of checks, money orders, wire transfers, or other instruments, and shall be made payable to or endorsed by the Purchaser to the order of Cutler Minikes & Adelman LLP, as Escrow Agent.

The master escrow account and the sub-account into which the Deposit shall be placed shall be Interest-On-Lawyer's-Accounts ("IOLA") established pursuant Judiciary Law Section 497. Shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the Escrow Account so that escrow checks may be drawn thereon. Under the IOLA program, interest on the account accrues to the benefit of the Client Security Fund administered by the State of New York. Since all interest earned on an IOLA account is payable to the IOLA Fund of the State of New York, no interest will be earned for or payable to either the Seller or Purchaser.

All Deposits received by Purchaser shall be in the form of checks, money orders, wire transfers, or other instruments, and shall be made payable to or endorsed by the Purchaser to the order of Cutler Minikes & Adelman LLP, as Escrow Agent.

E. Notification to Purchaser. Within five (5) business days after the Purchase Agreement, including the Escrow Account Rider to Purchase Agreement, has been signed by all necessary parties and tendered to Escrow Agent along with the Deposit, the Escrow Agent shall sign the Escrow Account Rider to Purchase Agreement and place the Deposit into the Escrow Account. The deposit by the Escrow Agent of the Purchaser's Deposit into the Escrow Account shall not be deemed acceptance of the Purchase Agreement by Seller. With ten (10) business days of the placing the Deposit in the Escrow Account, Escrow Agent shall provide written notice to Purchaser and Seller, confirming the Deposit. The notice shall provide the account number. Any Deposits made for upgrades, extras, or custom work shall be initially deposited into the Escrow Account, and released in accordance to the terms of a written agreement between Purchaser and Seller.

The Escrow Agent is obligated to send notice to the Purchaser once the Deposit is placed in the Escrow Account. If the Purchaser does not receive notice of such deposit within fifteen (15) business days after tender of the Deposit together with the Purchase Agreement and all riders thereto fully signed by the Purchaser, he or she may cancel the Purchase Agreement within ninety (90) days after tender of the Purchase Agreement and Deposit to Escrow Agent. Complaints concerning the failure to honor such cancellation requests may be referred to the New York State Department of Law, Real Estate Finance Bureau, 120

Broadway, 23rd Floor, New York, NY 10271. Rescission shall not be afforded where proof satisfactory to the Attorney General is submitted establishing that the Deposit was timely placed in the Escrow Account in accordance with the New York State Department of Law's regulations concerning Deposits and requisite notice was timely mailed to the Purchaser, or if such Deposit was placed in the Escrow Account and notice was received by Purchaser (even if later than such time periods) prior to the time Purchaser mailed or delivered his or notice purporting to exercise such right of rescission.

F. Release of Funds. All Deposits, except for advances made for upgrades, extras, or custom work received in connection with the Purchase Agreement, are and shall continue to be the Purchaser's money, and may not be commingled with any other money (other than other Deposits while the Deposit is in the master escrow account) or pledged or hypothecated by Seller, as per GBL § 352-h.

The Escrow Agent shall release the Deposit if so directed:

(a) pursuant to the terms and conditions set forth in the Escrow Account Rider to Purchase Agreement upon closing of title to the Unit/Shares; or

(b) in a subsequent writing signed by both Seller and Purchaser; or

(c) by a final, non-appealable order or judgment of a court.

If the Escrow Agent is not directed to release the Deposit pursuant to paragraphs (a) through (c) above, and the Escrow Agent receives a request by either party to release the Deposit, then the Escrow Agent must give both the Purchaser and Seller prior written notice of not fewer than thirty (30) days before releasing the Deposit. If the Escrow Agent has not received notice of objection to the release of the Deposit prior to the expiration of the thirty (30) day period, the Deposit shall be released and the Escrow Agent shall provide further written notice to both parties informing them of said release. If the Escrow Agent receives a written notice from either party objecting to the release of the Deposit within said thirty (30) day period, the Escrow Agent shall continue to hold the Deposit until otherwise directed pursuant to paragraphs (a) through (c) above. Notwithstanding the foregoing, the Escrow Agent shall have the right at any time to deposit the Deposit contained in the Escrow Account with the clerk of the county where the premises is located and shall give written notice to both parties of such deposit.

The Seller shall not object to the release of the Deposit to a Purchaser who timely rescinds in accordance with an offer of rescission contained in the Plan or an Amendment to the Plan.

The Department of Law may perform random reviews and audits of any records involving the Escrow Account to determine compliance with all applicable statutes and regulations.

G. Waiver Void. Any provision of any Purchase Agreement or separate agreement, whether oral or in writing, by which a Purchaser purports to waive or indemnify any obligation of the Escrow Agent holding any Deposit in trust is absolutely void. The provisions of the Attorney General's regulations and GBL §§ 352-e(2-b) and 352-h concerning escrow trust funds shall prevail over any conflicting or inconsistent provisions in the Purchase Agreement, Plan, or any amendment thereto.

ELEVENTH: DEFINITIONS

All terms used in this Twenty-Sixth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TWELFTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Twenty-Fifth Amendments, is incorporated herein by reference with the same effect as if set forth at length.

THIRTEENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

FOURTEENTH: NO MATERIAL CHANGES

Except as set forth in this Twenty-Sixth Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
March 21, 2014

Crestwood Apartments
124-16 84th Road
Kew Gardens, NY 11415

TJS Associates LLC
26th Amendment

DOCUMENT NO. 1

Last Updated: 2/11/2014
Info as of: 2/11/2014

Apt. No.	Sta-tus	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $3.6732 per share	Monthly Assessment @ $0.2897 per share
2L	S	2	294	$294,000	$1,079.92	$85.17
3E	S	3	325	$325,000	$1,193.79	$94.15
4J	S	1	202	$202,000	$741.98	$58.52
5A	S	0	152	$152,000	$558.32	$44.03
5C	S	1	179	$179,000	$657.50	$51.85
5D	V	1	230	$230,000	$844.83	$66.63
5F	S	0	152	$152,000	$558.32	$44.03
5G	S	1	212	$212,000	$778.72	$61.41
5H	S	1	212	$212,000	$778.72	$61.41
5K	S	1	230	$230,000	$844.83	$66.63
6K	S	1	231	$231,000	$848.51	$66.92
6L	S	2	298	$298,000	$1,094.61	$86.33
TOTAL	12	14	2,717	$2,717,000	$9,980.05	$787.08

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

Total Monthly Coop Charges: $10,767.13

DOCUMENT NO. 2A

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS

and

SUPPLEMENTARY INFORMATION

FOR THE YEARS ENDED DECEMBER 31, 2010 and 2009

CRESTWOOD APARTMENT OWNERS CORP.

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Marin & Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To The Board of Directors and Shareholders of
Crestwood Apartment Owners Corp.:

We have audited the accompanying balance sheets of CRESTWOOD APARTMENT OWNERS CORP. as of December 31, 2010 and 2009, and the related statements of operations, accumulated deficit and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of CRESTWOOD APARTMENT OWNERS CORP. as of December 31, 2010 and 2009, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in the notes to financial statements, the Corporation has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of costs of major repairs and replacements that will be required in the future, that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

June 6, 2011

Marin & Montanye LLP

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www.marinmontanye.com

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2010 and 2009

ASSETS

	2010	2009
CURRENT ASSETS		
Cash - Operating account	$ 10,411	$ 6,746
- Money market account	9,788	9,186
	20,199	15,932
Working capital fund	12,004	26,462
Receivables:		
Shareholders' arrears	9,830	13,310
Laundry arrears	-0-	350
Assessment receivable - (Note 5)	50,256	93,332
Prepaid Expenses:		
Insurance	6,802	6,825
Corporate tax	707	-0-
Real estate taxes	29,023	33,500
TOTAL CURRENT ASSETS	128,821	189,711
PROPERTY AND EQUIPMENT		
Land	588,936	588,936
Building	3,337,305	3,337,305
Building improvements	876,066	863,416
Less: Accumulated depreciation	(2,506,801)	(2,380,638)
NET PROPERTY AND EQUIPMENT	2,295,506	2,409,019
OTHER ASSETS		
Unamortized mortgage refinancing costs	12,648	17,112
TOTAL ASSETS	$ 2,436,975	$ 2,615,842

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2010 and 2009

LIABILITIES AND STOCKHOLDERS' EQUITY

	2010	2009
CURRENT LIABILITIES		
Accounts payable and accrued expenses	$ 63,718	$ 36,411
Accrued mortgage interest	8,127	8,299
Accrued credit line interest	823	727
Security deposits payable	640	2,000
Prepaid maintenance charges	572	868
Real estate tax abatements and exemptions payable	13,111	13,949
Mortgage payable - current portion	39,741	37,619
Line of credit - current portion	1,200	1,200
TOTAL CURRENT LIABILITIES	127,932	101,073
LONG TERM LIABILITIES		
Mortgage payable - (Note 4)	1,773,103	1,810,722
Less: current portion	(39,741)	(37,619)
Line of credit payable - (Note 4)	197,500	198,700
Less: current portion	(1,200)	(1,200)
TOTAL LONG TERM LIABILITIES	1,929,662	1,970,603
TOTAL LIABILITIES	2,057,594	2,071,676
STOCKHOLDERS' EQUITY		
Capital Stock - Common - Authorized 25,000 shares Issued and Outstanding 14,957 shares at $1 par value	14,957	14,957
Contributed capital	2,922,707	2,922,707
Accumulated Deficit	(2,558,283)	(2,393,498)
TOTAL STOCKHOLDERS' EQUITY	379,381	544,166
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 2,436,975	$ 2,615,842

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Years Ended December 31, 2010 and 2009

		2010	2009
INCOME			
Income from Stockholders			
Maintenance charges		$ 572,895	$ 572,895
Operating assessment - (Note 5)		-0-	30,557
Parking		12,420	12,470
Gym membership fees		1,077	5,646
Sublet and late fees		5,089	12,325
Apartment transfer fees - (Note 6)		1,512	2,172
Total Income from Stockholders		592,993	636,065
Other Income			
Laundry income		3,864	4,200
Interest income		80	225
Miscellaneous income		-0-	320
Workers' compensation dividend		-0-	1,741
Total Other Income		3,944	6,486
TOTAL INCOME		596,937	642,551
COST OF OPERATIONS			
Administrative expenses	Schedule 1	99,277	87,359
Operating expenses	Schedule 2	210,739	217,948
Maintenance expenses	Schedule 3	71,010	56,864
Taxes	Schedule 4	156,382	176,043
Financial expenses	Schedule 5	107,961	110,337
TOTAL COST OF OPERATIONS		645,369	648,551
LOSS FROM OPERATIONS BEFORE DEPRECIATION, AMORTIZATION AND CAPITAL ASSESSMENT		(48,432)	(6,000)
Depreciation and amortization	Schedule 6	(130,627)	(131,889)
Capital assessment - (Note 5)		14,274	13,080
NET LOSS		(164,785)	(124,809)
Beginning Accumulated Deficit		(2,393,498)	(2,252,782)
Prior period auditing adjustment - (Note 7)		-0-	(15,907)
Ending Accumulated Deficit		$(2,558,283)	$(2,393,498)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBITS C & D

STATEMENTS OF CASH FLOWS EXHIBIT C

For The Years Ended December 31, 2010 and 2009

	2010	2009
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (164,785)	$ (124,809)
Adjustments to reconcile net loss to cash provided by operating activities:		
Depreciation and amortization expense	130,627	131,889
Decrease in receivables	46,906	37,503
Decrease in prepaid expenses	3,793	9,265
Increase in accounts payable and accrued expenses	15,087	9,891
Interest - net of bank fees	(64)	(140)
Prior period adjustment	-0-	(15,907)
Total Adjustments	196,349	172,501
CASH PROVIDED BY OPERATING ACTIVITIES	31,564	47,692
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(3,000)	(9,663)
(Increase) Decrease in Working Capital - net transfers	14,522	(18,526)
Increase in Working Capital - apartment transfer fees	-0-	(1,254)
Decrease in Working Capital - building repairs and improvements	-0-	13,463
- insurance	-0-	10,408
CASH PROVIDED (USED) BY INVESTING ACTIVITIES	11,522	(5,572)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of mortgage principal	(37,619)	(35,610)
Payment of line of credit	(1,200)	(1,200)
CASH USED BY FINANCING ACTIVITIES	(38,819)	(36,810)
NET INCREASE IN CASH AND CASH EQUIVALENTS	4,267	5,310
Cash and cash equivalents at beginning of year	15,932	10,622
Cash and cash equivalents at end of year	$ 20,199	$ 15,932

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION EXHIBIT D

	2010	2009
Cash paid during the year:		
Corporate taxes	$ 7,906	$ 1,362
Interest	$ 106,363	$ 110,633

Non-Cash Investing and Financing Activities:
Property and equipment accrued was $9,650 for the year ended December 31, 2010.

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP.

NOTES TO FINANCIAL STATEMENTS

As of December 31, 2010 and 2009

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and operations commenced on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code (the "IRC"). Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents
For purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation
Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Amortization
Mortgage refinancing costs are amortized over the term of the mortgage.

Shareholder Maintenance
Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2010 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates
The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Reclassification
Certain items in the 2009 financial statements have been reclassified to conform to current year classifications. Such reclassifications had no effect on previously reported net loss.

(3) INVESTMENTS - NCB STOCK

The Corporation holds Class B Stock of its mortgagee, the National Cooperative Bank ("NCB").

The Corporation holds Class B2 Stock which is acquired through patronage refunds. Such stock is currently non-transferrable and non-redeemable. The Bank Act does not allow a dividend to be paid on this stock.

If a borrower accumulates over 12.5% of its loan amount in Class B Stock, the member owner may receive Class C Stock. Class C Stock can be held only by eligible borrowers of NCB. Class C Stock is non-redeemable by NCB but is transferrable among eligible borrowers of NCB. Class C Stock may be purchased directly from NCB or is received as part of NCB's patronage refund distribution. NCB may pay a cash dividend on its Class C Stock.

Under the NCB's Capitalization and Patronage Refund Policy, the total amount of patronage is based, in part, on the amount of fees and interest paid by each member in relation to the member's loan. Member's refunds are a combination of cash and stock; stock being a permanent capital investment in NCB. NCB's patronage refund is distributed in the form of cash and Class B2 and/or Class C Stock. The cash portion of the refund is a function of the total stock owned by that member, and ranges from 35 to 55 percent of the total amount received by the member.

(3) INVESTMENTS - NCB STOCK - continued

All Class B Stock may be used by the Cooperative to offset any future purchase requirements.

For the year ended December 31, 2009, the Corporation received patronage stock dividends as follows:

	2009
Class B2 Stock	$ 2,119

The patronage stock dividends do not have a current value to the Corporation, therefore, they are not reflected in the attached financial statements but are used for tax purposes only.

(4) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable:
In October 2003, the Corporation refinanced its existing mortgage held by National Cooperative Bank ("NCB"), with a $2,000,000 mortgage. The mortgage is collateralized by the land and building owned by the Corporation. The mortgage may be prepaid after April 2013 and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. However, during the last 90 days of the tenth year, there will be no prepayment penalty.

The terms of the current mortgage are as follows:

Principal	$ 2,000,000
Interest rate	5.5% per annum fixed
Term	10 years (amortized over 30 years)
Monthly payment	$ 11,356 (principal and interest)
Maturity date	November 1, 2013

Principal maturities of the mortgage note for each of the next two years and maturity are as follows:

Year Ending December 31;	
2011	$ 39,741
2012	41,982
2013 - maturity	1,691,380

Interest expense was $98,478 and $100,496 for the years ended December 31, 2010 and 2009, respectively.

Line of Credit:
In conjunction with the refinancing of the first mortgage, the Corporation obtained a secured line of credit with NCB in the amount of $500,000. The line of credit provided for interest only payments on draws through the initial 5 years (until November 2008) at a rate of prime plus 1%. Thereafter, in addition to interest, minimum principal payments of $100 per month are due until the date of maturity, November 1, 2013 (or the date of the prepayment or refinancing of the first mortgage, whichever is earlier). Advances may be borrowed at any time in minimum amounts of $50,000 and maybe repaid without penalty in monthly minimum amounts of $50,000. As of December 31, 2009, the Corporation has drawn $200,000 from the line of credit of which $197,500 remains outstanding.

Interest expense was $8,635 and $8,587 for the years ended December 31, 2010 and 2009, respectively.

(4) MORTGAGE PAYABLE AND LINE OF CREDIT - continued

Principal maturities of the line of credit for each of the next two years and maturity are as follows:

Year Ending December 31:	
2011	$ 1,200
2012	1,200
2013 - maturity	195,100

Aggregate maturities for the mortgage and line of credit for each of the next two years and maturity are as follows:

Year Ending December 31:	
2011	$ 40,941
2012	43,182
2013 - maturity	1,886,480

(5) ASSESSMENTS

Operating:
In 2009, the Board of Directors approved a one month assessment in the amount of $2.043 per share effective June 2009. The assessment totaled $30,557 and was used to cover normal operating expenses. This assessment was intended to offset the co-op abatement credits issued to eligible shareholders in the same month.

Capital:
In 2009, the Board of Directors approved ongoing assessment in the amount of $.0795 per share, per month, effective February 2009. The assessment totaling $1,190 per month, is currently planned to continue through February 2012. Of the total assessment, $14,274 and $13,080 was recognized as income as of December 31, 2010 and 2009, respectively. This assessment was intended to replenish the Corporation's working capital fund due to cost overruns involving prior Local Law 11 improvements.

In 2007, the Board of Directors approved a five year (sixty month) assessment in the amount of $.24 per share, per month, effective March 2007 through February 2012. The assessment totaled $215,381 or approximately $3,590 per month. The total amount of the assessment was recognized as income in 2007. Subsequent monthly billings through February 2012 offset an assessment receivable account on the Corporation's balance sheet. The assessment receivable will be fully exhausted in February 2012. As of December 31, 2010, the assessment receivable remaining was $50,256. The assessment was used to cover Local Law 11 improvements.

(6) APARTMENT TRANSFER FEES

The Corporations current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. The Corporation received transfer fees totaling $1,512 and $2,172 attributed to the sale of two apartments each year for the years ended December 31, 2010 and 2009, respectively.

(7) PRIOR PERIOD AUDITING ADJUSTMENTS

The financial statements for the year ended December 31, 2009, reflect an auditing adjustment totaling $15,907 representing adjustments to the beginning balances of the following liabilities at January 1, 2009. The adjustments were as follows:

$ 14,407	To record beginning balance of real estate tax abatements and exemptions payable, previously unrecorded.
$ 1,500	To properly reflect shareholder security deposits payable.
$ 15,907	

(8) RELATED PARTY TRANSACTION

As of December 31, 2010 and 2009, TJS Associates owns 2,960 shares which represents approximately 19.79% of the shares issued by the Corporation. As of December 31, 2010, TJS Associates monthly maintenance is $9,448. TJS Associates is current on its maintenance obligation.

(9) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. The abatement program has been extended through the 2011/2012 tax year.

For the year ended December 31, 2010, the Corporation received credits of $18,656 on its tax bills which represent the abatements for the last two quarters of the 2009/2010 tax year and the first two quarters of the 2010/2011 tax year. For the year ended December 31, 2009, the Corporation received credits of $21,369 on its tax bills which represent the abatements for the last two quarters of the 2008/2009 tax year and the first two quarters of the 2009/2010 tax year. These amounts are being credited to eligible shareholders.

(10) CONTRIBUTIONS TO CAPITAL

The Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only.

For the years ended December 31, 2010 and 2009, Paid-in Capital for tax purpose is:

	2010	2009
Mortgage amortization	$ 37,619	$ 35,610
Line of credit amortization	1,200	1,200
Capital assessment	14,274	13,080

(11) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(12) REAL ESTATE TAXES

The Corporation's real estate taxes are reduced by J-51 abatements as follows:

Began Tax Year	Certified Cost	90% of Certified Cost	Amount Per Year	Expiration Year
2000/01	$ 52,800	$ 47,520	$ 4,400	2011/2012

(13) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation believes that all of its income is effectively patronage sourced. Accordingly, no provision for taxes, if any, that could result from the application of Subchapter T to the Corporation's income has been reflected in the accompanying financial statements.

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $1,953,827. The patronage tax loss carryforwards, if not used against patronage taxable income, expire beginning in 2015 and continuing through 2029. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2010, the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $2,864.

(14) SUBSEQUENT EVENTS

Management has evaluated subsequent events through June 6, 2011, the date at which the financial statements became available for issuance. No event have occurred that would require adjustments to, or disclosure in, the financial statements.

Marin & Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To The Board of Directors and Shareholders of
Crestwood Apartment Owners Corp.:

Our report on our audits of the basic financial statements of CRESTWOOD APARTMENT OWNERS CORP. for 2010 and 2009 appears on Page 1. The audits were made for the purpose of forming an opinion on the basic financial statements taken as a whole. The financial information contained in the accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Budget and Historical is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information, except for the portion marked "unaudited", on which we express no opinion, has been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

We also have compiled the accompanying budget forecast of CRESTWOOD APARTMENT OWNERS CORP. for the year ending December 31, 2011, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the presentation. We have not examined the presentation and, accordingly, do not express an opinion or any other form of assurance on the accompanying presentation or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

June 6, 2011 for Historical Statements

December 15, 2010 for Forecasted Statements

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2010 and 2009

	2010	2009
ADMINISTRATIVE EXPENSES	Schedule 1	
Management fee	$ 21,600	$ 23,000
Legal	7,030	1,875
Legal re: tax reduction	750	375
Auditing	7,000	7,000
Telephone	887	863
Stationery, printing and miscellaneous administrative expenses	5,462	4,396
Insurance	44,292	48,190
Consulting	12,256	1,660
TOTAL ADMINISTRATIVE EXPENSES	99,277	$ 87,359
OPERATING EXPENSES	Schedule 2	
Fuel and gas heat	$ 77,034	$ 80,710
Electricity and gas - (cooking and dryers)	17,997	19,437
Water and sewer charges	34,302	31,063
Payroll	67,681	62,666
Payroll taxes	7,400	6,721
Payroll insurance	3,752	474
Employee benefits	1,497	15,513
Permits and miscellaneous operating	1,076	1,364
TOTAL OPERATING EXPENSES	$ 210,739	$ 217,948
MAINTENANCE EXPENSES	Schedule 3	
Exterminating	$ 6,071	$ 5,382
Elevator contract and repair	16,581	11,690
Supplies and janitorial materials	6,949	10,358
Grounds	7,607	4,103
Plumbing and heating repairs	8,822	10,476
Miscellaneous repairs - materials and labor to contractors	7,070	14,855
Special repairs - excavation and replacement of water line to curb	11,704	-0-
- repairs to water booster system	6,206	-0-
TOTAL MAINTENANCE EXPENSES	$ 71,010	$ 56,864

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2010 and 2009

	2010	2009
TAXES	Schedule 4	
New York City real estate tax	$ 153,518	$ 172,958
New York State franchise tax	2,505	1,989
New York City corporate tax	359	1,096
TOTAL TAXES	$ 156,382	$ 176,043
FINANCIAL EXPENSES	Schedule 5	
Interest on mortgage payable	$ 98,478	$ 100,496
Interest on line of credit	8,635	8,587
Other interest	848	1,254
TOTAL FINANCIAL EXPENSES	$ 107,961	$ 110,337
DEPRECIATION AND AMORTIZATION	Schedule 6	
Depreciation - building	$ 95,352	$ 95,352
- improvements	30,812	32,074
Amortization of mortgage financing costs	4,463	4,463
TOTAL DEPRECIATION AND AMORTIZATION	$ 130,627	$ 131,889

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - BUDGET, HISTORICAL AND FORECAST

Years Ended December 31, 2010 and 2009 (Historical) and Year Ending December 31, 2011 (Forecasted)

	2010 Budget Unaudited	2010 Actual	2009 Forecast	2011 Forecast
INCOME				
Maintenance charges	$ 595,513	$ 572,895 (1)	$ 572,895	$ 587,200 (2)
Operating assessment	30,662	-0-	30,557	26,000
Parking	12,420	12,420	12,470	12,400
Gym membership fees	5,100	1,077	5,646	-0-
Sublet and late fees	11,051	5,089	12,325	7,700
Apartment transfer fees	-0-	1,512	2,172	-0-
Workers' compensation dividend	-0-	-0-	1,741	-0-
Laundry income	4,200	3,864	4,200	4,200
Interest income	700	80	225	-0-
Miscellaneous income	2,250	-0-	320	1,000
TOTAL INCOME	661,896	596,937	642,551	638,500
EXPENDITURES				
Management fee	23,000	21,600	23,000	21,600
Legal	1,875	7,780	1,250	5,400
Auditing	7,000	7,000	7,000	7,000
Telephone	1,000	887	863	1,000
Stationery, printing and miscellaneous administrative expenses	3,000	5,462	4,396	3,000
Insurance	44,768	44,292	48,190	44,900
Consulting	-0-	12,256	1,660	1,000
Fuel and gas heat	(93,300	(77,034	(80,710	(69,600
Electricity and gas - (cooking and dryers)	(	(17,997	(19,437	(19,900
Water and sewer charges	31,500	34,302	31,063	44,400
Payroll	61,150	67,681	62,666	64,300
Payroll taxes	5,194	7,400	6,721	6,900
Payroll insurance	5,000	3,752	474	4,300
Employee benefits	7,300	1,497	15,513	-0-
Permits and miscellaneous operating	3,000	1,076	1,364	1,000
Exterminating	5,500	6,071	5,382	5,800
Elevator contract and repairs	12,736	16,581	11,690	12,200
Supplies and janitorial materials	9,500	6,949	10,358	11,000
Grounds	6,000	7,607	4,103	6,000
Plumbing and heating repairs	12,000	8,822	10,476	10,500
Miscellaneous repairs	12,500	7,070	15,855	11,500
Special repairs	-0-	17,910	-0-	-0-
New York City real estate taxes	170,004	153,518	172,958	144,100
New York State and City corporate taxes	1,300	2,864	3,085	5,000
Mortgage interest and amortization	136,269	136,097	136,106	136,200
Line of credit interest and amortization	9,000	9,835	9,787	9,600
Other interest	-0-	848	1,254	-0-
TOTAL EXPENDITURES	661,896	684,188	685,361	646,200
DEFICIT FROM OPERATIONS	$ -0-	$ (87,251)	$ (42,810)	$ (7,700)

(1) Reflects a 3.9% maintenance increase effective January 1, 2010.
(2) Reflects a 2.5% maintenance increase effective January 1, 2011.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2011

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of December 15, 2010, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State Franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $48,933 per month reflecting an increase of 2.5% effective January 1, 2011.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the current tax rate of 13.241%. Fuel expense has been estimated on current market conditions. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of $11,356 representing payments of principal and interest at a rate of 5.5% per annum.

2. Line of Credit Payable - Monthly payments of $800 representing principal payments of $100 per month and interest at a rate of 4.25% based on a principal balance of $197,500.

DOCUMENT NO. 2B

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS

and

SUPPLEMENTARY INFORMATION

FOR THE YEARS ENDED DECEMBER 31, 2011 and 2010

CRESTWOOD APARTMENT OWNERS CORP.

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Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To The Board of Directors and Shareholders of
Crestwood Apartment Owners Corp.:

We have audited the accompanying balance sheets of CRESTWOOD APARTMENT OWNERS CORP. as of December 31, 2011 and 2010, and the related statements of operations, accumulated deficit and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of CRESTWOOD APARTMENT OWNERS CORP. as of December 31, 2011 and 2010, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in the notes to financial statements, the Corporation has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of costs of major repairs and replacements that will be required in the future, that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

July 9, 2012

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CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2011 and 2010

ASSETS

	2011	2010
CURRENT ASSETS		
Cash - Operating account	$ 13,902	$ 10,411
- Money market account	145,881	9,788
	159,783	20,199
Working capital fund	12,056	12,004
Receivables:		
Shareholders' arrears	14,013	9,830
Assessment receivable - (Note 5)	7,180	50,256
Miscellaneous	1,408	-0-
Prepaid Expenses:		
Insurance	7,367	6,802
Corporate tax	356	707
Real estate taxes	32,321	29,023
TOTAL CURRENT ASSETS	234,484	128,821
PROPERTY AND EQUIPMENT		
Land	588,936	588,936
Building	3,337,305	3,337,305
Building improvements	910,671	876,066
Less: Accumulated depreciation	(2,632,966)	(2,506,801)
NET PROPERTY AND EQUIPMENT	2,203,946	2,295,506
OTHER ASSETS		
Unamortized mortgage refinancing costs	8,185	12,648
Utility deposit	3,765	-0-
TOTAL OTHER ASSETS	11,950	12,648
TOTAL ASSETS	$ 2,450,380	$ 2,436,975

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2011 and 2010

LIABILITIES AND STOCKHOLDERS' EQUITY

	2011	2010
CURRENT LIABILITIES		
Accounts payable and accrued expenses	$ 24,761	$ 63,718
Accrued mortgage interest	7,945	8,127
Accrued credit line interest	1,458	823
Security deposits payable	1,000	640
Prepaid maintenance charges	2,957	572
Real estate tax abatements and exemptions payable	14,789	13,111
Mortgage payable - current portion	41,982	39,741
Line of credit - current portion	1,200	1,200
TOTAL CURRENT LIABILITIES	96,092	127,932
LONG TERM LIABILITIES		
Mortgage payable - (Note 4)	1,733,363	1,773,103
Less: current portion	(41,982)	(39,741)
Line of credit payable - (Note 4)	398,300	197,500
Less: current portion	(1,200)	(1,200)
TOTAL LONG TERM LIABILITIES	2,088,481	1,929,662
TOTAL LIABILITIES	2,184,573	2,057,594
STOCKHOLDERS' EQUITY		
Capital Stock - Common - Authorized 25,000 shares Issued and Outstanding 14,957 shares at $1 par value	14,957	14,957
Contributed capital	2,922,707	2,922,707
Accumulated Deficit	(2,671,857)	(2,558,283)
TOTAL STOCKHOLDERS' EQUITY	265,807	379,381
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 2,450,380	$ 2,436,975

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Years Ended December 31, 2011 and 2010

		2011	2010
INCOME			
Income from Stockholders			
Maintenance charges		$ 587,212	$ 572,895
Operating assessment - (Note 5)		25,999	-0-
Parking		12,420	12,420
Gym membership fees		5,694	1,077
Sublet and late fees		8,262	5,089
Apartment transfer fees - (Note 6)		2,346	1,512
Total Income from Stockholders		641,933	592,993
Other Income			
Laundry income		3,024	3,864
Interest income		182	80
Total Other Income		3,206	3,944
TOTAL INCOME		645,139	596,937
COST OF OPERATIONS			
Administrative expenses	Schedule 1	82,193	99,277
Operating expenses	Schedule 2	225,184	210,739
Maintenance expenses	Schedule 3	55,465	71,010
Taxes	Schedule 4	155,316	156,382
Financial expenses	Schedule 5	109,928	107,961
TOTAL COST OF OPERATIONS		628,086	645,369
INCOME (LOSS) FROM OPERATIONS BEFORE DEPRECIATION, AMORTIZATION AND CAPITAL ASSESSMENT		17,053	(48,432)
Depreciation and amortization	Schedule 6	(130,627)	(130,627)
Capital assessment - (Note 5)		-0-	14,274
NET LOSS		(113,574)	(164,785)
Beginning Accumulated Deficit		(2,558,283)	(2,393,498)
Ending Accumulated Deficit		$(2,671,857)	$(2,558,283)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBITS C & D

STATEMENTS OF CASH FLOWS EXHIBIT C

For The Years Ended December 31, 2011 and 2010

	2011	2010
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (113,574)	$ (164,785)
Adjustments to reconcile net loss to cash provided by operating activities:		
Depreciation and amortization expense	130,627	130,627
Decrease in receivables	37,485	46,906
(Increase) Decrease in prepaid expenses	(3,512)	3,793
Increase in other assets	(3,765)	-0-
Increase (Decrease) in accounts payable and accrued expenses	(27,130)	15,087
Interest - net of bank fees	(52)	(64)
Total Adjustments	133,653	196,349
CASH PROVIDED BY OPERATING ACTIVITIES	20,079	31,564
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(41,555)	(3,000)
Increase in Working Capital - net transfers	-0-	14,522
CASH PROVIDED (USED) BY INVESTING ACTIVITIES	(41,555)	11,522
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of mortgage principal	(39,740)	(37,619)
Payment of line of credit	(1,200)	(1,200)
Drawdown on line of credit	202,000	-0-
CASH PROVIDED (USED) BY FINANCING ACTIVITIES	161,060	(38,819)
NET INCREASE IN CASH AND CASH EQUIVALENTS	139,584	4,267
Cash and cash equivalents at beginning of year	20,199	15,932
Cash and cash equivalents at end of year	$ 159,783	$ 20,199

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION EXHIBIT D

	2011	2010
Cash paid during the year:		
Corporate taxes	$ 2,350	$ 7,906
Interest	$ 109,475	$ 106,363

Non-Cash Investing and Financing Activities:
Property and equipment accrued for the years ended December 31, 2011 and 2010 was $2,700 and $9,650, respectively.

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP.

NOTES TO FINANCIAL STATEMENTS

As of December 31, 2011 and 2010

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and operations commenced on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code (the "IRC"). Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents
For purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation
Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Amortization
Mortgage refinancing costs are amortized over the term of the mortgage.

Shareholder Maintenance
Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2011 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates
The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(3) INVESTMENTS - NCB STOCK

The Corporation holds Class B Stock of its mortgagee, the National Cooperative Bank ("NCB").

The Corporation holds Class B2 Stock which is acquired through patronage refunds. Such stock is currently non-transferrable and non-redeemable. The Bank Act does not allow a dividend to be paid on this stock.

If a borrower accumulates over 12.5% of its loan amount in Class B Stock, the member owner may receive Class C Stock. Class C Stock can be held only by eligible borrowers of NCB. Class C Stock is non-redeemable by NCB but is transferrable among eligible borrowers of NCB. Class C Stock may be purchased directly from NCB or is received as part of NCB's patronage refund distribution. NCB may pay a cash dividend on its Class C Stock.

Under the NCB's Capitalization and Patronage Refund Policy, the total amount of patronage is based, in part, on the amount of fees and interest paid by each member in relation to the member's loan. Member's refunds are a combination of cash and stock; stock being a permanent capital investment in NCB. NCB's patronage refund is distributed in the form of cash and Class B2 and/or Class C Stock. The cash portion of the refund is a function of the total stock owned by that member, and ranges from 35 to 55 percent of the total amount received by the member.

(3) INVESTMENTS - NCB STOCK - continued

All Class B Stock may be used by the Cooperative to offset any future purchase requirements.

The patronage stock dividends do not have a current value to the Corporation, therefore, they are not reflected in the attached financial statements but are used for tax purposes only.

(4) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable:
In October 2003, the Corporation refinanced its existing mortgage held by National Cooperative Bank, with a $2,000,000 mortgage. The mortgage is collateralized by the land and building owned by the Corporation. The mortgage may be prepaid after April 2013 and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. However, during the last 90 days of the tenth year, there will be no prepayment penalty.

The terms of the current mortgage are as follows:

Principal	$ 2,000,000
Interest rate	5.5% per annum fixed
Term	10 years (amortized over 30 years)
Monthly payment	$ 11,356 (principal and interest)
Maturity date	November 1, 2013

Principal maturities of the mortgage note for the next year and maturity are as follows:

Year Ending December 31:	
2012	$ 41,982
2013 - maturity	1,691,381

Interest expense was $96,347 and $98,478 for the years ended December 31, 2011 and 2010, respectively.

Line of Credit:
In conjunction with the refinancing of the first mortgage, the Corporation obtained a secured line of credit with NCB in the amount of $500,000. The line of credit provides for interest only payments on draws through the initial 5 years (until November 2008) at a rate of prime plus 1%. Thereafter, in addition to interest, minimum principal payments of $100 per month are due until the date of maturity, November 1, 2013 (or the date of the prepayment or refinancing of the first mortgage, whichever is earlier). Advances may be borrowed at any time in minimum amounts of $50,000 and maybe repaid without penalty in monthly minimum amounts of $50,000. As of December 31, 2011, the Corporation has drawn $402,000 from the line of credit of which $398,300 remains outstanding. As of December 31, 2011, the interest rate is 4.25%.

Interest expense was $12,540 and $8,635 for the years ended December 31, 2011 and 2010, respectively.

Principal maturities of the line of credit for the next year and maturity are as follows:

Year Ending December 31:	
2012	$ 1,200
2013 - maturity	397,100

(4) MORTGAGE PAYABLE AND LINE OF CREDIT - continued

Aggregate maturities for the mortgage and line of credit for the next year and maturity are as follows:

Year Ending December 31:	
2012	$ 43,182
2013 - maturity	2,088,481

(5) ASSESSMENTS

Operating:
In 2011, the Board of Directors approved a six month assessment in the amount of $.2897 per share, per month effective April through September 2011. The assessment totaled $25,999 and was used to cover normal operating expenses. This assessment was intended to offset the co-op abatement credits issued to eligible shareholders during 2011.

In 2009, the Board of Directors approved ongoing assessment in the amount of $.0795 per share, per month, effective February 2009. The assessment totaling $1,190 per month was planned to continue through February 2012. However, the Board of Directors opted to discontinue the assessment as of January 2011. Of the total assessment, $14,274 was recognized as income as of December 31, 2010. This assessment was intended to replenish the Corporation's working capital fund due to cost overruns involving prior Local Law 11 improvements.

In 2007, the Board of Directors approved a five year (sixty month) assessment in the amount of $.24 per share, per month, effective March 2007 through February 2012. The assessment totaled $215,381 or approximately $3,590 per month. The total amount of the assessment was recognized as income in 2007. Subsequent monthly billings through February 2012 offset an assessment receivable account on the Corporation's balance sheet. The assessment receivable will be fully exhausted in February 2012. As of December 31, 2011, the assessment receivable remaining was $7,180. The assessment was used to cover Local Law 11 improvements.

(6) APARTMENT TRANSFER FEES

The Corporation's current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. The Corporation received transfer fees totaling $2,346 and $1,512 attributed to the sale of two apartments each year for the years ended December 31, 2011 and 2010, respectively.

(7) RELATED PARTY TRANSACTION

As of December 31, 2011 and 2010, TJS Associates owned 2,717 and 2,960 shares which represents approximately 18.17% and 19.79% of the shares issued by the Corporation, respectively. As of December 31, 2011, TJS Associates monthly maintenance is $8,889. TJS Associates is current on its maintenance obligation.

(8) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. The abatement program has been extended through the 2011/2012 tax year.

For the year ended December 31, 2011, the Corporation received credits of $18,410 on its tax bills which represent the abatements for the last two quarters of the 2010/2011 tax year and the first two quarters of the 2011/2012 tax year. For the year ended December 31, 2010, the Corporation received credits of $18,656 on its tax bills which represent the abatements for the last two quarters of the 2009/2010 tax year and the first two quarters of the 2010/2011 tax year. These amounts are being credited to eligible shareholders.

(9) CONTRIBUTIONS TO CAPITAL

The Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only.

For the years ended December 31, 2011 and 2010, Paid-in Capital for tax purpose is:

	2011	2010
Mortgage amortization	$ 39,740	$ 37,619
Line of credit amortization	1,200	1,200
Capital assessment	-0-	14,274

(10) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(11) REAL ESTATE TAXES

The Corporation's real estate taxes are reduced by J-51 abatements as follows:

Began Tax Year	Certified Cost	90% of Certified Cost	Amount Per Year	Expiration Year
2000/01	$ 52,800	$ 47,520	$ 4,400	2011/2012

(12) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation believes that all of its income is effectively patronage sourced. Accordingly, no provision for taxes, if any, that could result from the application of Subchapter T to the Corporation's income has been reflected in the accompanying financial statements.

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $2,066,693. The patronage tax loss carryforwards, if not used against patronage taxable income, expire beginning in 2016 and continuing through 2030. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2011, the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $2,015.

(13) SUBSEQUENT EVENTS

Management has evaluated subsequent events through July 9, 2012, the date at which the financial statements became available for issuance. No events have occurred that would require adjustments to, or disclosure in, the financial statements.

Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To The Board of Directors and Shareholders of
Crestwood Apartment Owners Corp.:

Our report on our audits of the basic financial statements of CRESTWOOD APARTMENT OWNERS CORP. for 2011 and 2010 appears on Page 1. The audits were made for the purpose of forming an opinion on the basic financial statements taken as a whole. The financial information contained in the accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Budget and Historical is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information, except for the portion marked "unaudited" on which we express no opinion, has been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

We also have compiled the accompanying budget forecast of CRESTWOOD APARTMENT OWNERS CORP. for the year ending December 31, 2012, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the presentation. We have not examined the presentation and, accordingly, do not express an opinion or any other form of assurance on the accompanying presentation or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

July 9, 2012 for Historical Statements

November 10, 2011 for Forecasted Statements

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2011 and 2010

	2011	2010
ADMINISTRATIVE EXPENSES	Schedule 1	
Management fee	$ 21,600	$ 21,600
Legal	1,323	7,030
Legal fees - tax reduction	375	750
Auditing	7,000	7,000
Telephone	887	887
Stationery, printing and miscellaneous administrative expenses	4,858	5,462
Insurance	45,261	44,292
Consulting	889	12,256
TOTAL ADMINISTRATIVE EXPENSES	$ 82,193	$ 99,277
OPERATING EXPENSES	Schedule 2	
Fuel and gas heat	$ 76,115	$ 77,034
Electricity and gas - (cooking and dryers)	17,439	17,997
Water and sewer charges	47,794	34,302
Payroll	69,096	67,681
Payroll taxes - general	7,078	7,180
- MTA commuter tax	238	220
Payroll insurance	4,889	3,752
Employee benefits	-0-	1,497
Permits and miscellaneous operating	2,535	1,076
TOTAL OPERATING EXPENSES	$ 225,184	$ 210,739
MAINTENANCE EXPENSES	Schedule 3	
Exterminating	$ 4,221	$ 6,071
Elevator contract and repair	16,524	16,581
Supplies and janitorial materials	7,999	6,949
Grounds	4,882	7,607
Plumbing and heating repairs	15,698	8,822
Miscellaneous repairs - materials and labor to contractors	6,141	7,070
Special repairs - excavation and replacement of water line to curb	-0-	11,704
- repairs to water booster system	-0-	6,206
TOTAL MAINTENANCE EXPENSES	$ 55,465	$ 71,010

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2011 and 2010

	2011	2010
TAXES	Schedule 4	
New York City real estate tax	$ 153,301	$ 153,518
New York State franchise tax	1,515	2,505
New York City corporate tax	500	359
TOTAL TAXES	$ 155,316	$ 156,382
FINANCIAL EXPENSES	Schedule 5	
Interest on mortgage payable	$ 96,347	$ 98,478
Interest on line of credit	12,540	8,635
Other interest	1,041	848
TOTAL FINANCIAL EXPENSES	$ 109,928	$ 107,961
DEPRECIATION AND AMORTIZATION	Schedule 6	
Depreciation - building	$ 95,352	$ 95,352
- improvements	30,812	30,812
Amortization of mortgage financing costs	4,463	4,463
TOTAL DEPRECIATION AND AMORTIZATION	$ 130,627	$ 130,627

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - BUDGET, HISTORICAL AND FORECAST

Years Ended December 31, 2011 and 2010 (Historical) and Year Ending December 31, 2012 (Forecasted)

	2011 Budget Unaudited	2011 Actual	2010 Actual	2012 Forecast
INCOME				
Maintenance charges	$ 587,200	$ 587,212 (1)	$ 572,895 (2)	$ 640,048 (3)
Operating assessment	26,000	25,999	-0-	30,000
Parking	12,400	12,420	12,420	12,400
Gym membership fees	-0-	5,694	1,077	2,000
Sublet and late fees	7,700	8,262	5,089	7,000
Apartment transfer fees	-0-	2,346	1,512	-0-
Laundry income	4,200	3,024	3,864	6,200
Interest income	-0-	182	80	-0-
Miscellaneous income	1,000	-0-	-0-	1,000
TOTAL INCOME	638,500	645,139	596,937	698,648
EXPENDITURES				
Management fee	21,600	21,600	21,600	22,700
Legal	5,400	1,698	7,780	3,500
Auditing	7,000	7,000	7,000	7,000
Telephone	1,000	887	887	1,000
Stationery, printing and miscellaneous administrative expenses	3,000	4,858	5,462	6,000
Insurance	44,900	45,261	44,292	46,000
Consulting	1,000	889	12,256	2,500
Fuel and gas heat	69,600	76,115	77,034	85,000
Electricity and gas - (cooking and dryers)	19,900	17,439	17,997	20,000
Water and sewer charges	44,400	47,794	34,302	46,000
Payroll	64,300	69,096	67,681	69,000
Payroll taxes	6,900	7,316	7,400	6,500
Payroll insurance	4,300	4,889	3,752	4,600
Employee benefits	-0-	-0-	1,497	-0-
Permits and miscellaneous operating	1,000	2,535	1,076	2,000
Exterminating	5,800	4,221	6,071	5,000
Elevator contract and repairs	12,200	16,524	16,581	11,000
Supplies and janitorial materials	11,000	7,999	6,949	8,000
Grounds	6,000	4,882	7,607	6,000
Plumbing and heating repairs	10,500	15,698	8,822	15,000
Miscellaneous repairs, material and labor to contractors	11,500	6,141	7,070	15,000
Special repairs	-0-	-0-	17,910	-0-
New York City real estate taxes	144,100	153,301	153,518	165,000
New York State and City corporate taxes	5,000	2,015	2,864	4,000
Mortgage interest and amortization	136,200	136,087	136,097	136,300
Line of credit interest and amortization	9,600	13,740	9,835	23,700
Other interest	-0-	1,041	848	-0-
TOTAL EXPENDITURES	646,200	669,026	684,188	710,800
DEFICIT FROM OPERATIONS	$ (7,700)	$ (23,887)	$ (87,251)	$ (12,152)

(1) Reflects a 2.5% maintenance increase effective January 1, 2011.
(2) Reflects a 3.9% maintenance increase effective January 1, 2010.
(3) Reflects a 9.0% maintenance increase effective January 1, 2012.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2012

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of November 10, 2011, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State Franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $53,337 per month reflecting an increase of 9.0% effective January 1, 2012.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the current tax rate of 13.433%. Fuel expense has been estimated on current market conditions. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of $11,356 representing payments of principal and interest at a rate of 5.5% per annum.

2. Line of Credit Payable - Monthly payments of $1,975 representing principal payments of $100 per month and interest at a rate of 4.25% based on an approximate principal balance of $500,000.

DOCUMENT NO. 2C

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS

and

SUPPLEMENTARY INFORMATION

FOR THE YEARS ENDED DECEMBER 31, 2012 and 2011

CRESTWOOD APARTMENT OWNERS CORP.

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CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp. (the "Corporation"), which comprise the balance sheets as of December 31, 2012 and 2011, and the related statements of operations, accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2012 and 2011, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Supplementary Information

As discussed in the notes to the financial statements, the Corporation has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future, that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

Uniondale, New York
May 31, 2013

Marin & Montanye LLP

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CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2012 and 2011

ASSETS

	2012	2011
CURRENT ASSETS		
Operating account	$ 14,484	$ 13,902
Money market account	55,918	145,881
	70,402	159,783
Working capital fund	12,094	12,056
Receivables:		
Shareholders' arrears	6,343	14,013
Assessment - (Note 5)	-0-	7,180
Miscellaneous	-0-	1,408
Prepaid Expenses:		
Insurance	7,473	7,367
Corporate taxes	1,135	356
Real estate taxes	34,776	32,321
TOTAL CURRENT ASSETS	132,223	234,484
PROPERTY AND EQUIPMENT		
Land	588,936	588,936
Building	3,337,305	3,337,305
Building improvements	1,116,612	910,671
Less: Accumulated depreciation	(2,767,876)	(2,632,966)
NET PROPERTY AND EQUIPMENT	2,274,977	2,203,946
OTHER ASSETS		
Unamortized mortgage refinancing costs	3,721	8,185
Utility deposit	5,020	3,765
TOTAL OTHER ASSETS	8,741	11,950
TOTAL ASSETS	$ 2,415,941	$ 2,450,380

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2012 and 2011

LIABILITIES AND STOCKHOLDERS' EQUITY

	2012	2011
CURRENT LIABILITIES		
Accounts payable and accrued expenses	$ 37,476	$ 24,761
Accrued mortgage interest	7,752	7,945
Accrued credit line interest	1,775	1,458
Security deposits payable	750	1,000
Prepaid maintenance charges	850	2,957
Real estate tax abatements and exemptions payable	15,820	14,789
Senior citizen rent increase exemption payable	1,408	-0-
Mortgage payable - current portion	36,789	41,982
Line of credit - current portion	1,200	1,200
TOTAL CURRENT LIABILITIES	103,820	96,092
LONG TERM LIABILITIES		
Mortgage payable - (Note 4)	1,691,381	1,733,363
Less: Current portion	(36,789)	(41,982)
Line of credit payable - (Note 4)	485,100	398,300
Less: Current portion	(1,200)	(1,200)
TOTAL LONG TERM LIABILITIES	2,138,492	2,088,481
TOTAL LIABILITIES	2,242,312	2,184,573
STOCKHOLDERS' EQUITY		
Capital Stock - Common - Authorized 25,000 shares Issued and Outstanding 14,957 shares at $1 par value	14,957	14,957
Contributed capital	2,922,707	2,922,707
Accumulated Deficit	(2,764,035)	(2,671,857)
TOTAL STOCKHOLDERS' EQUITY	173,629	265,807
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 2,415,941	$ 2,450,380

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Years Ended December 31, 2012 and 2011

		2012	2011
INCOME			
Income from Stockholders			
Maintenance charges		$ 640,072	$ 587,212
Operating assessment - (Note 5)		27,495	25,999
Parking		12,099	12,420
Gym membership fees		5,381	5,694
Sublet and late fees		2,297	8,262
Apartment transfer fees - (Note 6)		2,154	2,346
Total Income from Stockholders		689,498	641,933
Other Income			
Laundry		1,008	3,024
Interest		183	182
Miscellaneous		2,190	-0-
Total Other Income		3,381	3,206
TOTAL INCOME		692,879	645,139
COST OF OPERATIONS			
Administrative expenses	Schedule 1	84,455	82,193
Operating expenses	Schedule 2	217,988	225,184
Maintenance expenses	Schedule 3	66,352	55,465
Taxes	Schedule 4	167,178	155,316
Financial expenses	Schedule 5	113,300	109,928
TOTAL COST OF OPERATIONS		649,273	628,086
INCOME FROM OPERATIONS BEFORE DEPRECIATION, AMORTIZATION AND CAPITAL ASSESSMENT		43,606	17,053
Depreciation and amortization	Schedule 6	(139,374)	(130,627)
Capital assessment - (Note 5)		3,590	-0-
NET LOSS		(92,178)	(113,574)
Beginning Accumulated Deficit		(2,671,857)	(2,558,283)
Ending Accumulated Deficit		$(2,764,035)	$(2,671,857)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBITS C & D

STATEMENTS OF CASH FLOWS EXHIBIT C

For The Years Ended December 31, 2012 and 2011

	2012	2011
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (92,178)	$ (113,574)
Adjustments to reconcile net loss to cash provided by operating activities:		
Depreciation and amortization	139,374	130,627
Decrease in receivables	16,258	37,485
Increase in prepaid expenses	(3,340)	(3,512)
Increase in other assets	(1,255)	(3,765)
Increase (Decrease) in accounts payable and accrued expenses	12,920	(27,130)
Interest - net of bank fees	(38)	(52)
Total Adjustments	163,919	133,653
CASH PROVIDED BY OPERATING ACTIVITIES	71,741	20,079
CASH FLOWS FROM INVESTING ACTIVITY		
Purchase of property and equipment	(205,940)	(41,555)
CASH USED BY INVESTING ACTIVITY	(205,940)	(41,555)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of mortgage principal	(41,982)	(39,740)
Payment of line of credit	(1,200)	(1,200)
Drawdown on line of credit	88,000	202,000
CASH PROVIDED BY FINANCING ACTIVITIES	44,818	161,060
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(89,381)	139,584
Cash and cash equivalents at beginning of year	159,783	20,199
Cash and cash equivalents at end of year	$ 70,402	$ 159,783

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION EXHIBIT D

	2012	2011
Cash paid during the year:		
Corporate taxes	$ 3,300	$ 2,350
Interest	$ 112,212	$ 109,475

Non-Cash Investing and Financing Activities:
Property and equipment accrued for the year ended 2011 was $2,700.

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP.

NOTES TO FINANCIAL STATEMENTS

As of December 31, 2012 and 2011

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and commenced operations on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code. Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents
For purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation
Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Amortization
Mortgage refinancing costs are amortized over the term of the mortgage.

Shareholder Maintenance
Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2012 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates
The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(3) INVESTMENTS - NCB STOCK

The Corporation holds Class B Stock of its mortgagee, the National Cooperative Bank ("NCB").

The Corporation holds Class B2 Stock which is acquired through patronage refunds. Such stock is currently non-transferrable and non-redeemable. The Bank Act does not allow a dividend to be paid on this stock.

If a borrower accumulates over 12.5% of its loan amount in Class B Stock, the member owner may receive Class C Stock. Class C Stock can be held only by eligible borrowers of NCB. Class C Stock is non-redeemable by NCB but is transferrable among eligible borrowers of NCB. Class C Stock may be purchased directly from NCB or is received as part of NCB's patronage refund distribution. NCB may pay a cash dividend on its Class C Stock.

Under the NCB's Capitalization and Patronage Refund Policy, the total amount of patronage is based, in part, on the amount of fees and interest paid by each member in relation to the member's loan. Member's refunds are a combination of cash and stock; stock being a permanent capital investment in NCB. NCB's patronage refund is distributed in the form of cash and Class B2 and/or Class C Stock. The cash portion of the refund is a function of the total stock owned by that member, and ranges from 35 to 55 percent of the total amount received by the member.

(3) INVESTMENTS - NCB STOCK - (continued)

All Class B Stock may be used by the Cooperative to offset any future purchase requirements.

The patronage stock dividends do not have a current value to the Corporation, therefore, they are not reflected in the attached financial statements but are used for tax purposes only.

(4) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable
In October 2003, the Corporation refinanced its existing mortgage held by National Cooperative Bank, with a $2,000,000 mortgage. The mortgage is collateralized by the land and building owned by the Corporation. The mortgage may be prepaid after April 2013 and thereafter may be prepaid at any time upon 30 days written notice with a 2% prepayment penalty. However, during the last 90 days of the tenth year, there will be no prepayment penalty.

The terms of the current mortgage are as follows:

Principal	$ 2,000,000
Interest rate	5.5% per annum fixed
Term	10 years (amortized over 30 years)
Monthly payment	$ 11,356 (principal and interest)
Maturity date	November 1, 2013

Principal maturity of the mortgage note is as follows:

Year Ending December 31:	
2013 - maturity	$ 1,691,381

Interest expense was $94,095 and $96,347 for the years ended December 31, 2012 and 2011, respectively.

Line of Credit
In conjunction with the refinancing of the first mortgage, the Corporation obtained a secured line of credit with NCB in the amount of $500,000. The line of credit provides for interest only payments on draws through the initial 5 years (until November 2008) at a rate of prime plus 1%. Thereafter, in addition to interest, minimum principal payments of $100 per month are due until the date of maturity, November 1, 2013 (or the date of the prepayment or refinancing of the first mortgage, whichever is earlier). Advances may be borrowed at any time in minimum amounts of $50,000 and maybe repaid without penalty in monthly minimum amounts of $50,000. As of December 31, 2012, the Corporation has drawn $490,000 from the line of credit of which $485,100 remains outstanding. As of December 31, 2012, the interest rate is 4.25%.

Interest expense was $18,242 and $12,540 for the years ended December 31, 2012 and 2011, respectively.

Principal maturity of the line of credit is as follows:

Year Ending December 31:	
2013 - maturity	$ 485,100

Aggregate maturities for the mortgage and line of credit are as follows:

Year Ending December 31:	
2013 - maturity	$ 2,176,481

(5) ASSESSMENTS

Operating Assessment
In 2012, the Board of Directors approved a six month assessment in the amount of $.3064 per share, per month effective March through August 2012. The assessment totaled $27,495 and was used to cover normal operating expenses.

In 2011, the Board of Directors approved a six month assessment in the amount of $.2897 per share, per month effective April through September 2011. The assessment totaled $25,999 and was used to cover normal operating expenses.

Capital Assessment
In 2007, the Board of Directors approved a five year (sixty month) assessment in the amount of $.24 per share, per month, effective March 2007 through February 2012. The assessment totaled $215,381 or approximately $3,590 per month. The total amount of the assessment was recognized as income in 2007. Subsequent monthly billings through February 2012, offset an assessment receivable account on the Corporation's balance sheet. The assessment receivable was fully exhausted in February 2012. However, the assessment, scheduled to conclude in February 2012, was in fact billed through March 2012. This portion of the capital assessment billed in March 2012 was recognized as income in 2012. As of December 31, 2011, the assessment receivable remaining was $7,180. This was collected in 2012. The assessment was used to cover Local Law 11 improvements.

(6) APARTMENT TRANSFER FEES

The Corporation's current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. The Corporation received transfer fees totaling $2,154 and $2,346 attributed to the sale of two apartments each year for the years ended December 31, 2012 and 2011.

(7) RELATED PARTY TRANSACTION

As of December 31, 2012 and 2011, TJS Associates owned 2,717 which represents approximately 18.17% of the shares issued by the Corporation. As of December 31, 2012, TJS Associates monthly maintenance was $9,689. TJS Associates owed $1,080 on its maintenance obligation as of December 2012.

(8) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. In January 2013, subsequent to the balance sheet date, the New York State Legislature passed a bill that amends the cooperative abatement beginning with the 2012/2013 tax year and extends it through June 30, 2015.

For the year ended December 31, 2012, the Corporation received credits of $21,037 on its tax bills which represent the abatements for the last two quarters of the 2011/2012 tax year and the first two quarters of the 2012/2013 tax year. For the year ended December 31, 2011, the Corporation received credits of $18,410 on its tax bills which represent the abatements for the last two quarters of the 2010/2011 tax year and the first two quarters of the 2011/2012 tax year. These amounts are being credited to eligible shareholders.

(9) CONTRIBUTIONS TO CAPITAL

The Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only.

For the years ended December 31, 2012 and 2011, Paid-in Capital for tax purpose is:

	2012	2011
Mortgage amortization	$ 41,982	$ 39,740
Line of credit amortization	1,200	1,200
Capital assessment	3,590	-0-

(10) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(11) REAL ESTATE TAXES

The Corporation's real estate taxes are reduced by a J-51 abatement as follows:

Began Tax Year	Certified Cost	90% of Certified Cost	Amount Per Year	Expiration Year
2000/01	$ 52,800	$ 47,520	$ 4,400	2011/2012

(12) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation believes that all of its income is effectively patronage sourced. Accordingly, no provision for taxes, if any, that could result from the application of Subchapter T to the Corporation's income has been reflected in the accompanying financial statements.

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $2,102,280. The patronage tax loss carryforwards, if not used against patronage taxable income, expire beginning in 2017 and continuing through 2031. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2012, the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $2,521.

The Corporation's Federal, State and City tax returns are subject to examination by the applicable taxing authority for a period of three years after filing the returns.

(13) COMMITMENT

In 2012, the Corporation entered into a contract with Mark Contracting NYC, Inc. in the amount of $91,500 for exterior repairs. Subsequent change orders increased the contract to $185,618. As of December 31, 2012, $182,215 has been paid to the vendor. The project was completed in 2013.

(14) SUBSEQUENT EVENTS

Management has evaluated subsequent events through May 31, 2013, the date at which the financial statements became available for issuance. No events have occurred, except as disclosed in Note 8, that would require adjustments to, or disclosure in, the financial statements.

Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the financial statements of Crestwood Apartment Owners Corp. as of and for the years ended December 31, 2012 and 2011, and our report thereon dated May 31, 2013, which expressed an unmodified opinion on those financial statements, appears on Page 1. Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Budget and Historical are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information, except for the portion marked "unaudited", on which we express no opinion, has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

We have also compiled the accompanying forecast of Crestwood Apartment Owners Corp. for the year ended December 31, 2013, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the information. We have not examined the forecasted information and, accordingly, do not express an opinion or any other form of assurance on the accompanying schedule or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

The accompanying forecasted information and this report are intended solely for the information and use of the Board of Directors and Shareholders of Crestwood Apartment Owners Corp. and are not intended to be and should not be used by anyone other than these specified parties.

Uniondale, New York

May 31, 2013 for Historical Statements
December 12, 2012 for Forecasted Statements

Marin & Montanye LLP

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2012 and 2011

	2012	2011
ADMINISTRATIVE EXPENSES	Schedule 1	
Management fee	$ 21,600	$ 21,600
Legal	2,113	1,323
Legal fees - tax reduction	375	375
Auditing	7,400	7,000
Telephone	1,807	887
Miscellaneous administrative	5,829	4,858
Insurance	44,671	45,261
Consulting	660	889
TOTAL ADMINISTRATIVE EXPENSES	$ 84,455	$ 82,193
OPERATING EXPENSES	Schedule 2	
Fuel and gas heat	$ 60,754	$ 76,115
Electricity and gas - (cooking and dryers)	17,031	17,439
Water and sewer charges	58,415	47,794
Payroll	67,966	69,096
Payroll taxes	7,246	7,316
Payroll insurance	5,549	4,889
Permits and miscellaneous operating	1,027	2,535
TOTAL OPERATING EXPENSES	$ 217,988	$ 225,184
MAINTENANCE EXPENSES	Schedule 3	
Exterminating	$ 4,778	$ 4,221
Elevator contract and repair	17,047	16,524
Supplies and janitorial materials	10,086	7,999
Grounds	3,469	4,882
Plumbing and heating repairs	13,434	15,698
Miscellaneous repairs - materials and labor to contractors	11,327	6,141
Special repairs - carpeting common area	6,211	-0-
TOTAL MAINTENANCE EXPENSES	$ 66,352	$ 55,465

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2012 and 2011

	2012	2011
TAXES	Schedule 4	
New York City real estate taxes	$ 164,657	$ 153,301
New York State franchise taxes	2,021	1,515
New York City corporate taxes	500	500
TOTAL TAXES	$ 167,178	$ 155,316
FINANCIAL EXPENSES	Schedule 5	
Interest on mortgage payable	$ 94,095	$ 96,347
Interest on line of credit	18,242	12,540
Other interest	963	1,041
TOTAL FINANCIAL EXPENSES	$ 113,300	$ 109,928
DEPRECIATION AND AMORTIZATION	Schedule 6	
Depreciation - building	$ 95,352	$ 95,352
- improvements	39,559	30,812
Amortization of mortgage financing costs	4,463	4,463
TOTAL DEPRECIATION AND AMORTIZATION	$ 139,374	$ 130,627

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - BUDGET, HISTORICAL AND FORECAST

Years Ended December 31, 2012 and 2011 (Historical) and Year Ending December 31, 2013 (Forecasted)

	2012 Budget Unaudited	2012 Actual	2011 Actual	2013 Forecast
INCOME				
Maintenance charges	$ 640,048	$ 640,072 (1)	$ 587,212 (2)	$ 657,700 (3)
Operating assessment	30,000	27,495	25,999	30,000
Parking	12,400	12,099	12,420	12,400
Gym membership fees	2,000	5,381	5,694	5,700
Sublet and late fees	7,000	2,297	8,262	5,000
Apartment transfer fees	-0-	2,154	2,346	-0-
Laundry	6,200	1,008	3,024	8,400
Interest	-0-	183	182	-0-
Miscellaneous	1,000	2,190	-0-	1,900
TOTAL INCOME	698,648	692,879	645,139	721,100
EXPENDITURES				
Management fee	22,700	21,600	21,600	22,700
Legal	3,500	2,488	1,698	1,900
Auditing	7,000	7,400	7,000	7,000
Telephone	1,000	1,807	887	1,000
Miscellaneous administrative	6,000	5,829	4,858	5,000
Insurance	46,000	44,671	45,261	46,700
Consulting	2,500	660	889	1,500
Fuel and gas heat	85,000	60,754	76,115	66,100
Electricity and gas - (cooking and dryers)	20,000	17,031	17,439	18,700
Water and sewer charges	46,000	58,415	47,794	63,000
Payroll	69,000	67,966	69,096	69,100
Payroll taxes	6,500	7,246	7,316	7,300
Payroll insurance	4,600	5,549	4,889	4,600
Permits and miscellaneous operating	2,000	1,027	2,535	1,000
Exterminating	5,000	4,778	4,221	6,000
Elevator contract and repairs	11,000	17,047	16,524	12,000
Supplies and janitorial materials	8,000	10,086	7,999	12,000
Grounds	6,000	3,469	4,882	6,000
Plumbing and heating repairs	15,000	13,434	15,698	13,000
Miscellaneous repairs, materials, labor to contractors	15,000	11,327	6,141	11,300
Special repairs	-0-	6,211	-0-	-0-
New York City real estate taxes	165,000	164,657	153,301	175,000
New York State and City corporate taxes	4,000	2,521	2,015	4,000
Mortgage interest and amortization	136,300	136,077	136,087	136,300
Line of credit interest and amortization	23,700	19,442	13,740	24,900
Other interest	-0-	963	1,041	-0-
TOTAL EXPENDITURES	710,800	692,455	669,026	716,100
SURPLUS (DEFICIT) FROM OPERATIONS	$ (12,152)	$ 424	$ (23,887)	$ 5,000

(1) Reflects a 9% maintenance increase effective January 1, 2012.
(2) Reflects a 2.5% maintenance increase effective January 1, 2011.
(3) Reflects a 3% maintenance increase effective February 1, 2013.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2013

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of December 12, 2012, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State Franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $53,339 for January 2013 and approximately $54,940 from February through December 2013, reflecting an increase of 3% effective February 1, 2013.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the current tax rate of 13.4%. Fuel and gas heat expense has been estimated on current market conditions. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of $11,356 representing payments of principal and interest at a rate of 5.5% per annum.

2. Line of Credit Payable - Monthly payments of $2,075 representing principal payments of $100 per month and interest at a rate of 4.25% .

DOCUMENT NO. 2D

2014 BUDGET

CRESTWOOD APTS. OWNERS
APPROVED BUDGET
FOR THE YEAR ENDED
DECEMBER 31, 2014

REVENUES:	
CARRYING CHARGES	**657,700**
ASSESSMENT	**31,600**
COOP TAX ABATEMENTS	**(41,300)**
GARAGES	**12,400**
OTHER INCOME	**14,200**
TOTAL PROJECTED INCOME	**674,600**
EXPENSES:	
PAYROLL & RELATED	**87,500**
ADMINISTRATIVE EXPENSES	**51,500**
OPERATING EXPENSES	**154,500**
MAINTENANCE EXPENSES	**61,000**
TAXES & INSURANCE	**174,100**
MORTGAGE	**136,000**
TOTAL PROJECTED EXPENSE	**664,600**
NET OPERATING INCOME	**10,000**
TRANSFER TO RESERVES	**(10,000)**
TOTAL	**0**

DOCUMENT NO. 3A

TRI-LATERAL ESCROW ACCOUNT RIDER TO CONTRACT OF SALE

UNIT ____ AT
124-16 84TH ROAD, KEW GARDENS, NEW YORK

The following provisions of this Rider are attached to the Contract of Sale and made a part thereof.

1. In the event of any inconsistency between the provisions of this Rider and those contained in the Contract to which this Rider is annexed, the provisions of this Rider shall govern and be binding.

2. The Escrow Agent. The law firm of Cutler Minikes & Adelman LLP, with an address at 150 White Plains Road, Suite 106, Tarrytown, NY 10591, telephone number (212) 983-0072, shall serve as escrow agent ("Escrow Agent") for Seller and Purchaser. Escrow Agent has designated the following attorneys to serve as signatories:

Richard B. Adelman	150 White Plains Road Tarrytown, NY 10591
Andrew N. Cutler Jonathan Z. Minikes	708 Third Avenue New York, NY 10017

All designated signatories are admitted to practice law in the State of New York. Neither the Escrow Agent nor any authorized signatories on the account are the Seller, Selling Agent, Managing Agent, or any principal thereof, or have any beneficial interest in any of the foregoing.

3. Submit to Jurisdiction. Escrow Agent and all authorized signatories hereby submit to the jurisdiction of the State of New York and its Courts for any cause of action arising out of the Contract of Sale or otherwise concerning the maintenance of release of the Deposit from escrow.

4. The Escrow Account. The Escrow Agent has established a master escrow account at Hudson Valley Bank, located at 60 East 42nd Street, Suite 1836, New York, NY 10165, in the State of New York ("Bank"), a bank authorized to do business in the State of New York. The escrow account is entitled Cutler Minikes & Adelman IOLA Escrow Account. The Deposit shall be placed in a separate sub-account of the master escrow account. If Purchaser does not provide a completed and signed Form W-9 (Request for Taxpayer Identification Number) or a Form W-8 (Certificate of Foreign Status), as applicable, the Deposit may be deposited in the master escrow account or an IOLA sub-account, at the Escrow Agent's option, unless and until the form is provided. In addition, shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the master escrow account so that escrow checks may be drawn thereon. (The account in which the Deposit is deposited from time to time is referred to herein as the "Escrow Account".) The master escrow account and sub-accounts are federally insured by the FDIC at the maximum amount of $250,000 per deposit. Any deposit in excess of $250,000 will not be insured. No fees of any kind may be deducted from the Escrow Account, and the Seller shall bear all costs associated with the maintenance of the Escrow Account.

5. The master escrow account is an Interest-On-Lawyer's-Account ("IOLA") established pursuant Judiciary Law Section 497. Under the IOLA program, interest on the account accrues to the benefit of the Client Security Fund administered by the State of New York. The sub-account into which the Deposit

shall be placed shall be an interest-bearing sub-account of the master escrow account. The interest rate for all Deposits made into sub-accounts of the master escrow account shall be the prevailing rate for such accounts, which is currently approximately 0.10% per annum. Interest shall begin to accrue upon placing the Deposit into the sub-account. Under the IOLA program, interest on an IOLA account accrues to the benefit of the Client Security Fund administered by the State of New York. Since all interest earned on an IOLA account is payable to the IOLA Fund of the State of New York, for the periods of time the Deposit is in the IOLA master escrow account, no interest will be earned for or payable to either the Seller or Purchaser. All interest earned on the Deposit shall be paid to or credited to the Purchaser at closing, but in the event Seller, at its option, credits the amount of interest earned to Purchaser against the Balance due to Seller, the interest earned in the Deposit escrow account shall be paid to Seller, and in the event Seller is entitled to retain the Deposit as liquidated damages on account of Purchaser's default as provided in the Contract of Sale, Seller shall also be entitled to retain all interest earned thereon.

6. All Deposits received by Purchaser shall be in the form of checks, money orders, wire transfers, or other instruments, and shall be made payable to or endorsed by the Purchaser to the order of Cutler Minikes & Adelman LLP, as Escrow Agent.

7. Notification to Purchaser.

a. Within five (5) business days after the Contract of Sale, including this Escrow Account Rider to Contract of Sale, has been signed by all necessary parties and tendered to Escrow Agent along with the Deposit, the Escrow Agent shall sign the Escrow Account Rider to Contract of Sale and place the Deposit into the Escrow Account. The deposit by the Escrow Agent of the Purchaser's Deposit into the Escrow Account shall not be deemed acceptance of the Contract of Sale by Seller. With ten (10) business days of the placing the Deposit in the Escrow Account, Escrow Agent shall provide written notice to Purchaser and Seller, confirming the Deposit. The notice shall provide the account number. Any Deposits made for upgrades, extras, or custom work shall be initially deposited into the Escrow Account, and released in accordance to the terms of a written agreement between Purchaser and Seller.

b. The Escrow Agent is obligated to send notice to the Purchaser once the Deposit is placed in the Escrow Account. If the Purchaser does not receive notice of such deposit within fifteen (15) business days after tender of the Deposit together with the Contract of Sale and all riders thereto fully signed by the Purchaser, he or she may cancel the Contract of Sale within ninety (90) days after tender of the Contract of Sale and Deposit to Escrow Agent. Complaints concerning the failure to honor such cancellation requests may be referred to the New York State Department of Law, Real Estate Finance Bureau, 120 Broadway, 23rd Floor, New York, NY 10271. Rescission shall not be afforded where proof satisfactory to the Attorney General is submitted establishing that the Deposit was timely placed in the Escrow Account in accordance with the New York State Department of Law's regulations concerning Deposits and requisite notice was timely mailed to the Purchaser, or if such Deposit was placed in the Escrow Account and notice was received by Purchaser (even if later than such time periods) prior to the time Purchaser mailed or delivered his or notice purporting to exercise such right of rescission.

8. No Commingling. All Deposits, except for advances made for upgrades, extras, or custom work received in connection with the Contract of Sale, are and shall continue to be the Purchaser's money, and may not be commingled with any other money (other than other Deposits while the Deposit is in the master escrow account) or pledged or hypothecated by Seller, as per GBL § 352-h.

9. Release of Funds. The Escrow Agent shall release the Deposit if so directed:

a. pursuant to the terms and conditions set forth in the Escrow Account Rider to Contract of Sale upon closing of title to the Unit; or

b. in a subsequent writing signed by both Seller and Purchaser; or

c. by a final, non-appealable order or judgment of a court.

If the Escrow Agent is not directed to release the Deposit pursuant to paragraphs (a) through (c) above, and the Escrow Agent receives a request by either party to release the Deposit, then the Escrow Agent must give both the Purchaser and Seller prior written notice of not fewer than thirty (30) days before releasing the Deposit. If the Escrow Agent has not received notice of objection to the release of the Deposit prior to the expiration of the thirty (30) day period, the Deposit shall be released and the Escrow Agent shall provide further written notice to both parties informing them of said release. If the Escrow Agent receives a written notice from either party objecting to the release of the Deposit within said thirty (30) day period, the Escrow Agent shall continue to hold the Deposit until otherwise directed pursuant to paragraphs (a) through (c) above. Notwithstanding the foregoing, the Escrow Agent shall have the right at any time to deposit the Deposit contained in the Escrow Account with the clerk of the county where the premises is located and shall give written notice to both parties of such deposit.

10. Release on Rescission. The Seller shall not object to the release of the Deposit to a Purchaser who timely rescinds in accordance with an offer of rescission contained in the Plan or an Amendment to the Plan.

11. Reviews and Audits. The Department of Law may perform random reviews and audits of any records involving the Escrow Account to determine compliance with all applicable statutes and regulations.

12. Waiver Void. Any provision of any Contract of Sale or separate agreement, whether oral or in writing, by which a Purchaser purports to waive or indemnify any obligation of the Escrow Agent holding any Deposit in trust is absolutely void. The provisions of the Attorney General's regulations and GBL §§ 352-e(2-b) and 352-h concerning escrow trust funds shall prevail over any conflicting or inconsistent provisions in the Contract of Sale, Plan, or any amendment thereto.

13. Supervision. Escrow Agent shall maintain the Escrow Account under its direct supervision and control.

14. Fiduciary Relationship. A fiduciary relationship shall exist between Escrow Agent, and Purchaser, and Escrow Agent acknowledges its fiduciary and statutory obligations pursuant to GBL §§ 352(e)(2-b) and 352(h).

15. Reliance. Escrow Agent may rely upon any paper or document which may be submitted to it in connection with its duties under this Contract of Sale and which is believed by Escrow Agent to be genuine and to have been signed or presented by the proper party or parties and shall have no liability or responsibility with respect to the form, execution or validity thereof.

16. Delivery of Deposit by Seller. Seller agrees that Seller and its agents, including any selling agents, shall deliver the Deposit received by them prior to closing of the unit to a designated attorney who is a member of or employed by Escrow Agent, within two (2) business days of tender of the Deposit by Purchaser.

17. No Interference. Seller agrees that it shall not interfere with Escrow Agent's performance of its fiduciary duties and statutory obligations as set forth in GBL §§ 352-(e)(2-b) and 352-(h) and the New York State Department of Law's regulations.

18. IRS Forms. Seller shall obtain or cause the selling agent under the Plan to obtain a

completed and signed Form W-9 or W-8, as applicable, from Purchaser and deliver such form to Escrow Agent together with the Deposit and this Contract of Sale.

19. No Payment of Fees From Deposit Prior to Release. Prior to release of the Deposit, Escrow Agent's fees and disbursements shall neither be paid by Seller from the Deposit nor deducted from the Deposit by any financial institution under any circumstance.

20. Indemnification. Seller agrees to defend, indemnify and hold Escrow Agent harmless from and against all costs, claims, expenses and damages incurred in connection with or arising out of Escrow Agent's responsibilities arising in connection with this Contract of Sale or the performance or non-performance of Escrow Agent's duties under this Contract of Sale, except with respect to actions or omissions taken or suffered by Escrow Agent in bad faith or in willful disregard of the obligations set forth in this Contract of Sale or involving gross negligence of Escrow Agent. This indemnity includes, without limitation, disbursements and attorneys' fees either paid to retain attorneys or representing the hourly billing rates with respect to legal services rendered by Escrow Agent to itself.

21. Counterparts and Facsimile. This Rider may be executed in any number of counterparts, each such counterpart shall be an original and all of which shall constitute one and the same Rider. This Rider may be executed by facsimile signatures of one or more of the parties hereto, which signatures shall be binding on such parties as if original signatures were obtained.

[SIGNATURES ON THE FOLLOWING PAGE]

SELLER:
TJS ASSOCIATES LLC

PURCHASER:

By:_____

_____

ESCROW AGENT:
Cutler Minikes & Adelman LLP

_____

By:_____
Partner

DOCUMENT NO. 3B

Form **W-9**
(Rev. August 2013)
Department of the Treasury
Internal Revenue Service

Request for Taxpayer Identification Number and Certification

Give Form to the requester. Do not send to the IRS.

Print or type
See Specific Instructions on page 3

Name (as shown on your income tax return)

Business name/disregarded entity name, if different from above

Check appropriate box for federal tax classification:
☐ Individual/sole proprietor ☐ C Corporation ☐ S Corporation ☐ Partnership ☐ Trust/estate

☐ Limited liability company. Enter the tax classification (C=C corporation, S=S corporation, P=partnership) ▶

☐ Other (see instructions) ▶

Exemptions (see instructions):
Exempt payee code (if any)
Exemption from FATCA reporting code (if any)

Address (number, street, and apt. or suite no.)

Requester's name and address (optional)

City, state, and ZIP code

List account number(s) here (optional)

Part I Taxpayer Identification Number (TIN)

Enter your TIN in the appropriate box. The TIN provided must match the name given on the "Name" line to avoid backup withholding. For individuals, this is your social security number (SSN). However, for a resident alien, sole proprietor, or disregarded entity, see the Part I instructions on page 3. For other entities, it is your employer identification number (EIN). If you do not have a number, see *How to get a TIN* on page 3.

Note. If the account is in more than one name, see the chart on page 4 for guidelines on whose number to enter.

Social security number
☐☐☐ - ☐☐ - ☐☐☐☐

Employer identification number
☐☐ - ☐☐☐☐☐☐☐

Part II Certification

Under penalties of perjury, I certify that:

1. The number shown on this form is my correct taxpayer identification number (or I am waiting for a number to be issued to me), and
2. I am not subject to backup withholding because: (a) I am exempt from backup withholding, or (b) I have not been notified by the Internal Revenue Service (IRS) that I am subject to backup withholding as a result of a failure to report all interest or dividends, or (c) the IRS has notified me that I am no longer subject to backup withholding, and
3. I am a U.S. citizen or other U.S. person (defined below), and
4. The FATCA code(s) entered on this form (if any) indicating that I am exempt from FATCA reporting is correct.

Certification instructions. You must cross out item 2 above if you have been notified by the IRS that you are currently subject to backup withholding because you have failed to report all interest and dividends on your tax return. For real estate transactions, item 2 does not apply. For mortgage interest paid, acquisition or abandonment of secured property, cancellation of debt, contributions to an individual retirement arrangement (IRA), and generally, payments other than interest and dividends, you are not required to sign the certification, but you must provide your correct TIN. See the instructions on page 3.

Sign Here Signature of U.S. person ▶ Date ▶

General Instructions

Section references are to the Internal Revenue Code unless otherwise noted.

Future developments. The IRS has created a page on IRS.gov for information about Form W-9, at www.irs.gov/w9. Information about any future developments affecting Form W-9 (such as legislation enacted after we release it) will be posted on that page.

Purpose of Form

A person who is required to file an information return with the IRS must obtain your correct taxpayer identification number (TIN) to report, for example, income paid to you, payments made to you in settlement of payment card and third party network transactions, real estate transactions, mortgage interest you paid, acquisition or abandonment of secured property, cancellation of debt, or contributions you made to an IRA.

Use Form W-9 only if you are a U.S. person (including a resident alien), to provide your correct TIN to the person requesting it (the requester) and, when applicable, to:

1. Certify that the TIN you are giving is correct (or you are waiting for a number to be issued),
2. Certify that you are not subject to backup withholding, or
3. Claim exemption from backup withholding if you are a U.S. exempt payee. If applicable, you are also certifying that as a U.S. person, your allocable share of any partnership income from a U.S. trade or business is not subject to the withholding tax on foreign partners' share of effectively connected income, and
4. Certify that FATCA code(s) entered on this form (if any) indicating that you are exempt from the FATCA reporting, is correct.

Note. If you are a U.S. person and a requester gives you a form other than Form W-9 to request your TIN, you must use the requester's form if it is substantially similar to this Form W-9.

Definition of a U.S. person. For federal tax purposes, you are considered a U.S. person if you are:

- An individual who is a U.S. citizen or U.S. resident alien,
- A partnership, corporation, company, or association created or organized in the United States or under the laws of the United States,
- An estate (other than a foreign estate), or
- A domestic trust (as defined in Regulations section 301.7701-7).

Special rules for partnerships. Partnerships that conduct a trade or business in the United States are generally required to pay a withholding tax under section 1446 on any foreign partners' share of effectively connected taxable income from such business. Further, in certain cases where a Form W-9 has not been received, the rules under section 1446 require a partnership to presume that a partner is a foreign person, and pay the section 1446 withholding tax. Therefore, if you are a U.S. person that is a partner in a partnership conducting a trade or business in the United States, provide Form W-9 to the partnership to establish your U.S. status and avoid section 1446 withholding on your share of partnership income.

Form **W-8BEN**
(Rev. February 2006)
Department of the Treasury
Internal Revenue Service

Certificate of Foreign Status of Beneficial Owner for United States Tax Withholding

▶ Section references are to the Internal Revenue Code. ▶ See separate instructions.
▶ Give this form to the withholding agent or payer. Do not send to the IRS.

OMB No. 1545-1621

Do not use this form for:	Instead, use Form:
• A U.S. citizen or other U.S. person, including a resident alien individual	W-9
• A person claiming that income is effectively connected with the conduct of a trade or business in the United States	W-8ECI
• A foreign partnership, a foreign simple trust, or a foreign grantor trust (see instructions for exceptions)	W-8ECI or W-8IMY
• A foreign government, international organization, foreign central bank of issue, foreign tax-exempt organization, foreign private foundation, or government of a U.S. possession that received effectively connected income or that is claiming the applicability of section(s) 115(2), 501(c), 892, 895, or 1443(b) (see instructions)	W-8ECI or W-8EXP
Note: *These entities should use Form W-8BEN if they are claiming treaty benefits or are providing the form only to claim they are a foreign person exempt from backup withholding.*	
• A person acting as an intermediary	W-8IMY

Note: See *Instructions for additional exceptions.*

Part I Identification of Beneficial Owner (See instructions.)

1 Name of individual or organization that is the beneficial owner

2 Country of incorporation or organization

3 Type of beneficial owner: ☐ Individual ☐ Corporation ☐ Disregarded entity ☐ Partnership ☐ Simple trust
☐ Grantor trust ☐ Complex trust ☐ Estate ☐ Government ☐ International organization
☐ Central bank of issue ☐ Tax-exempt organization ☐ Private foundation

4 Permanent residence address (street, apt. or suite no., or rural route). **Do not use a P.O. box or in-care-of address.**

City or town, state or province. Include postal code where appropriate.

Country (do not abbreviate)

5 Mailing address (if different from above)

City or town, state or province. Include postal code where appropriate.

Country (do not abbreviate)

6 U.S. taxpayer identification number, if required (see instructions) ☐ SSN or ITIN ☐ EIN

7 Foreign tax identifying number, if any (optional)

8 Reference number(s) (see instructions)

Part II Claim of Tax Treaty Benefits (if applicable)

9 **I certify that (check all that apply):**

a ☐ The beneficial owner is a resident of _____ within the meaning of the income tax treaty between the United States and that country.

b ☐ If required, the U.S. taxpayer identification number is stated on line 6 (see instructions).

c ☐ The beneficial owner is not an individual, derives the item (or items) of income for which the treaty benefits are claimed, and, if applicable, meets the requirements of the treaty provision dealing with limitation on benefits (see instructions).

d ☐ The beneficial owner is not an individual, is claiming treaty benefits for dividends received from a foreign corporation or interest from a U.S. trade or business of a foreign corporation, and meets qualified resident status (see instructions).

e ☐ The beneficial owner is related to the person obligated to pay the income within the meaning of section 267(b) or 707(b), and will file Form 8833 if the amount subject to withholding received during a calendar year exceeds, in the aggregate, $500,000.

10 **Special rates and conditions** (if applicable—see instructions): The beneficial owner is claiming the provisions of Article _____ of the treaty identified on line 9a above to claim a _____ % rate of withholding on (specify type of income): _____
Explain the reasons the beneficial owner meets the terms of the treaty article: _____

Part III Notional Principal Contracts

11 ☐ I have provided or will provide a statement that identifies those notional principal contracts from which the income is not effectively connected with the conduct of a trade or business in the United States. I agree to update this statement as required.

Part IV Certification

Under penalties of perjury, I declare that I have examined the information on this form and to the best of my knowledge and belief it is true, correct, and complete. I further certify under penalties of perjury that:

1 I am the beneficial owner (or am authorized to sign for the beneficial owner) of all the income to which this form relates,

2 The beneficial owner is not a U.S. person,

3 The income to which this form relates is (a) not effectively connected with the conduct of a trade or business in the United States, (b) effectively connected but is not subject to tax under an income tax treaty, or (c) the partner's share of a partnership's effectively connected income, and

4 For broker transactions or barter exchanges, the beneficial owner is an exempt foreign person as defined in the instructions.

Furthermore, I authorize this form to be provided to any withholding agent that has control, receipt, or custody of the income of which I am the beneficial owner or any withholding agent that can disburse or make payments of the income of which I am the beneficial owner.

Sign Here ▶ _____ _____ _____
Signature of beneficial owner (or individual authorized to sign for beneficial owner) Date (MM-DD-YYYY) Capacity in which acting

DOCUMENT NO. 3C
SPONSOR-ESCROW AGENT ESCROW AGREEMENT

AGREEMENT made this 1st day of February, 2014, by and between TJS Associates LLC("SPONSOR"), as sponsor of the Cooperative offering plan ("Plan") and Cutler Minikes & Adelman LLP ("ESCROW AGENT").

WHEREAS, SPONSOR has filed the Offering Plan with the Attorney General to offer for sale cooperative or condominium interests at the premises located at 124-16 84th Road, Kew Gardens, New York 11415, subject to the terms and conditions set forth in the Plan; and

WHEREAS, ESCROW AGENT is authorized to act as an escrow agent hereunder in accordance with New York General Business Law ("GBL") Sections 352-e(2-b), 352-(h) and the New York Department of Law's regulations promulgated thereunder; and

WHEREAS, SPONSOR desires that ESCROW AGENT act as escrow agent for deposits, down payments, and advances (referred to herein as "Deposit") pursuant to the terms of this Agreement.

NOW, THEREFORE, in consideration of the covenants and conditions contained herein and other good and valuable consideration, the parties hereby agree as follows:

1. ESTABLISHMENT OF THE ESCROW ACCOUNT.

1.1. ESCROW AGENT [shall/has] establish[ed] an escrow account for the purpose of holding the Deposit made by purchasers pursuant to that certain purchase agreement for the purchase and sale of shares or units (a "Purchase Agreement") at Hudson Valley Bank located at60 East 42nd Street, Suite 1836,New York, in the State of New York ("Bank"), a bank authorized to do business in the State of New York. The escrow account is entitled Cutler Minikes & Adelman IOLA Escrow Account. ("Escrow Account").

1.2 ESCROW AGENT The law firm of Cutler Minikes & Adelman LLP, with an address at 150 White Plains Road, Tarrytown, NY 10591 telephone number (212) 983-0072, shall serve as escrow agent ("Escrow Agent") for Seller and Purchaser. Escrow Agent has designated the following attorneys to serve as signatories:

Richard B. Adelman	150 White Plains Road Tarrytown, NY 10591
Andrew N. Cutler Jonathan Z. Minikes	708 Third Avenue New York, NY 10017

1.3 ESCROW AGENT and all authorized signatories hereby submit to the jurisdiction of the State of New York and its Courts for any cause of action arising out of this Agreement or otherwise concerning the maintenance of or release of the Deposit from escrow.

1.4 Neither ESCROW AGENT nor any authorized signatories on the Escrow Account are the Sponsor, Selling Agent, Managing Agent (as those terms are defined in the Plan), or any principal thereof, or have any beneficial interest in any of the foregoing .

1.5 The Escrow Account is an IOLA account established pursuant to Judiciary Law Section 497. The sub-accounts into which the deposit from purchasers shall be placed may be either an interest-bearing sub-account of the Escrow Account or an IOLA sub-account of the Escrow Account.

2. DEPOSITS INTO THE ESCROW ACCOUNT.

2.1 All Deposits received from purchasers prior to closing, whether in the form of checks, drafts, money orders, wire transfers, or other instruments which identify the payor, shall be placed into the Escrow Account. All instruments to be placed into the Escrow Account shall be made payable directly to the order of Cutler Minikes & Adelman LLP, as ESCROW AGENT, pursuant to the terms set forth in the Plan. Any instrument payable to, or endorsed other than as required hereby, and which cannot be deposited into such Escrow Account, shall be returned to the purchaser promptly, but in no event more than five (5) business days following receipt of such instrument by ESCROW AGENT. In the event of such return of the Deposit, the instrument shall be deemed not to have been delivered to ESCROW AGENT pursuant to the terms of this Agreement.

2.2 ESCROW AGENT is hereby obligated to send a notice of all Deposits received by ESCROW AGENT to the purchaser within ten (10) business days of receipt and deposit of same into the escrow account (following receipt by ESCROW AGENT of the Deposit together with the Purchase Agreement and all riders thereto fully signed by all necessary parties. Such notice shall set forth the Bank and the account number. If the purchaser does not receive notice of such deposit within fifteen (15) business days after tender of the Deposit together with the Purchase Agreement and all riders thereto fully signed by the Purchaser, the purchaser may cancel the Purchase Agreement within ninety (90) days after tender of the Purchase Agreement and Deposit to Escrow Agent. Complaints concerning the failure to honor such cancellation requests may be referred to the New York State Department of Law, Real Estate Finance Bureau, 120 Broadway, 23rd Floor, New York, NY 10271. Rescission shall not be afforded where proof satisfactory to the Attorney General is submitted establishing that the Deposit was timely placed in the Escrow Account in accordance with the New York State Department of Law's regulations concerning the Deposit and requisite notice was timely mailed to the purchaser, or if such Deposit was placed in the Escrow Account and notice was received by Purchaser (even if later than such time periods) prior to the time Purchaser mailed or delivered his or notice purporting to exercise such right of rescission.

3. RELEASE OF FUNDS

3.1 Under no circumstances shall SPONSOR seek or accept release of the Deposit of the purchaser to SPONSOR until after consummation of the Plan, as evidenced by the acceptance of an effectiveness amendment by the New York State Department of Law. Consummation of the Plan shall not relieve SPONSOR or ESCROW AGENT of any obligation to the purchaser as set forth in GBL §§ 352-3(2-b) and 352-h.

3.2 ESCROW AGENT shall release the Deposit to the purchaser or SPONSOR as directed:

3.2.1 pursuant to terms and conditions set forth in the Purchase Agreement and this Agreement, upon closing of title to the shares/unit;

3.2.2 in a subsequent writing signed by both SPONSOR and the purchaser; or

3.2.3 by a final, non-appealable order or judgment of a court.

3.3 If Escrow Agent is not directed to release the Deposit pursuant to paragraph 3.2 above, and Escrow Agent receives a request by either SPONSOR or the purchaser to release the Deposit, then Escrow Agent must give both the purchaser and Sponsor prior written notice of not fewer than thirty (30) days before releasing the Deposit. If Escrow Agent has not received notice of objection to the release of the Deposit prior to the expiration of the thirty (30) day period, the Deposit shall be released and Escrow Agent shall provide further written notice to both the purchaser and SPONSOR informing them of said release. If Escrow Agent receives a written notice from either the purchaser or SPONSOR objecting to the release of the Deposit within said thirty (30) day period, Escrow Agent shall continue to hold the Deposit until

otherwise directed pursuant to paragraph 3.2 above. Notwithstanding the foregoing, Escrow Agent shall have the right at any time to deposit the Deposit contained in the Escrow Account with the Clerk of the county where the premises is located and shall give written notice to both SPONSOR and the purchaser of such deposit.

3.4 Sponsor shall not object to the release of the Deposit to:

3.4.1 the purchaser, if the purchaser timely rescinds in accordance with an offer of rescission contained in the Plan or an Amendment to the Plan; or

3.4.2 the purchaser after an Amendment abandoning the Plan is accepted for filing by the New York State Department of Law.

4. RECORDKEEPING.

4.1 ESCROW AGENT shall maintain all records concerning the Escrow Account for seven years after release of the Deposit.

4.2 Upon the dissolution of the law firm which was ESCROW AGENT, the former partners or members of the firm shall make appropriate arrangements for the maintenance of these records by one of the partners or members of the firm or by the successor firm and shall notify the New York State Department of Law of such transfer.

4.3 ESCROW AGENT shall make available to the Attorney General, upon request, all books and records of ESCROW AGENT relating to the funds deposited and disbursed hereunder.

5. GENERAL OBLIGATIONS OF ESCROW AGENT.

5.1 ESCROW AGENT shall maintain the Escrow Account under its direct supervision and control.

5.2 A fiduciary relationship shall exist between ESCROW AGENT, and the purchaser, and ESCROW AGENT acknowledges its fiduciary and statutory obligations pursuant to GBL§§ 352(e)(2-b) and 352(h).

5.3 ESCROW AGENT may rely upon any paper or document which may be submitted to it in connection with its duties under this Agreement and which is believed by ESCROW AGENT to be genuine and to have been signed or presented by the proper party or parties and shall have no liability or responsibility with respect to the form, execution or validity thereof.

6. RESPONSIBILITIES OF SPONSOR.

6.1 SPONSOR agrees that SPONSOR and its agents, including any selling agents, shall deliver the Deposit received by them prior to closing of the [unit/shares/membership interest/fractional interest] to a designated attorney who is a member of or employed by ESCROW AGENT, within two (2) business days of tender of the Deposit by the purchaser, using such transmittal forms as required by ESCROW AGENT.

6.2 SPONSOR agrees that it shall not interfere with ESCROW AGENT'S performance of its fiduciary duties and statutory obligations as set forth in GBL §§ 352-(e)(2-b) and 352-(h) and the New York State Department of Law's regulations.

6.3 SPONSOR shall obtain or cause the selling agent under the Plan to obtain a completed and signed Form W-9 or W-8, as applicable, from the purchaser and deliver such form to ESCROW AGENT

together with the Deposit and Purchase Agreement.

7. TERMINATION OF AGREEMENT.

7.1 This Agreement shall remain in effect unless and until it is canceled by either:

7.1.1 Written notice given by SPONSOR to ESCROW AGENT of cancellation of designation of ESCROW AGENT to act in said capacity, which cancellation shall take effect only upon the filing of an amendment to the Plan with the Department of Law providing for a successor escrow agent that meets the requirements set forth in applicable regulations of the New York State Department of Law. the purchaser shall be deemed to have consented to such cancellation;

7.1.2 The resignation of ESCROW AGENT, which shall not take effect until ESCROW AGENT is replaced by a successor escrow agent that meets the requirements set forth in applicable regulations of the New York State Department of Law, and notice is given to the purchaser of the identity of the successor escrow agent, the Bank in the State of New York where the Deposit is being held, and the account number therefor.

7.2 Upon termination of the duties of ESCROW AGENT as described in paragraph 7.1.1 or 7.1.2 above, ESCROW AGENT shall deliver the Deposit held by ESCROW AGENT and the Purchase Agreement and any other documents maintained by ESCROW AGENT relating to the Deposit to the successor escrow agent.

8. SUCCESSORS AND ASSIGNS. This Agreement shall be binding upon SPONSOR, the purchaser, and ESCROW AGENT and their respective successors and assigns.

9. GOVERNING LAW. This Agreement shall be construed in accordance with and governed by the laws of the State of New York.

10. ESCROW AGENT'S COMPENSATION. Prior to release of the Deposit, ESCROW AGENT'S fees and disbursements shall neither be paid by SPONSOR from the Deposit nor deducted from the Deposit by any financial institution under any circumstance.

11. SEVERABILITY. If any provision of this Agreement or the application thereof to any person or circumstance is determined to be invalid or unenforceable, the remaining provisions of this Agreement or the application of such provision to other persons or to other circumstances shall not be affected thereby and shall be valid and enforceable to the fullest extent permitted by law.

12. INDEMNIFICATION. SPONSOR agrees to defend, indemnify and hold ESCROW AGENT harmless from and against all costs, claims, expenses and damages incurred in connection with or arising out of this Agreement or the performance or non-performance of ESCROW AGENT'S duties under this Agreement, except with respect to actions or omissions taken or suffered by ESCROW AGENT in bad faith or in willful disregard of this Agreement or involving gross negligence of ESCROW AGENT. This indemnity includes, without limitation, disbursements and attorneys' fees either paid to retain attorneys or representing the hourly billing rates with respect to legal services rendered by ESCROW AGENT to itself.

13. ENTIRE AGREEMENT. This Agreement, read together with GBL §§ 352-e(2-b) and 352-(h)and the New York State Department of Law's regulations, constitutes the entire agreement between the parties with respect to the subject matter hereof.

IN WITNESS WHEREOF, the undersigned have executed this Agreement as of the day and year first written above.

ESCROW AGENT: **CUTLER MINIKES & ADELMAN LLP**

By: /s/
Richard B. Adelman, Esq.

SPONSOR: **TJS ASSOCIATES LLC**

By: /s/
Jeffrey Goldstein

STATE OF NEW YORK
OFFICE OF THE ATTORNEY GENERAL

ERIC T. SCHNEIDERMAN
ATTORNEY GENERAL

(212)416-6550

DIVISION OF ECONOMIC JUSTICE
REAL ESTATE FINANCE BUREAU

April 10, 2015

Tjs Associates, Llc
c/o Cutler Minikes & Adelman Llp
Attention: Andrew Cutler
708 Third Avenue, 17th Floor
New York, NY 10017

RE: The Crestwood
File Number: C 870398 Amendment No: 27
Date Amendment Filed: 03/20/2015 Filing Fee: $225.00
Receipt Number: 130148

Dear Sponsor:

The referenced amendment to the offering plan for the subject premises is hereby accepted and filed. Since this amendment is submitted after the post closing amendment has been filed, this filing is effective for twelve months from the date of filing of this amendment. However, any material change of fact or circumstance affecting the property or offering requires an immediate amendment.

Any misstatement or concealment of material fact in the material submitted as part of this amendment renders this filing void ab initio. This office has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or anywaiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this letter is conditioned upon the collection of all fees imposed by law. This letter is your receipt for the filing fee.

Very truly yours,

JANG LEE
Assistant Attorney General

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	March 20, 2015
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

TWENTY-SEVENTH AMENDMENT TO THE PLAN

This Twenty-Seventh Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Twenty-Sixth Amendment (collectively the "Plan").

The terms of this Twenty-Seventh Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the Unsold Shares owned by the Sponsor is approximately $9,500.59. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $12,167.46.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board on or about the five year anniversary of the Closing Date of the Apartment Corporation. The current directors and officers of the Apartment Corporation are as follows:

Janusz Wojciechowski	President
Claudia Gruen	Vice President
Michael Scherer	Treasurer
Susan Sendek	Secretary
Michael Anastasiou	
Bill Doherty	
Jeffrey Gold *	

* Sponsor Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Certified Financial Statements for the year ended December 31, 2013, as prepared by the accountants for the Apartment Corporation, are annexed hereto as Document No. 2A. The 2015 Budget for the Apartment Corporation is annexed hereto as Document No. 2B.

SIXTH: DEFINITIONS

All terms used in this Twenty-Seventh Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

SEVENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Twenty-Sixth Amendments, is incorporated herein by reference with the same effect as if set forth at length.

EIGHTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the

Filing Date of this Amendment unless the Plan is further amended or extended.

NINTH: NO MATERIAL CHANGES

Except as set forth in this Twenty-Seventh Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
March 20, 2015

Crestwood Apartments
124-16 84th Road
Kew Gardens, NY 11415

TJS Associates LLC
27th Amendment

DOCUMENT NO. 1

Last Updated: 1/26/2015
Info as of: 1/23/2015

Apt. No.	Sta-tus	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $3.8201 per share
2L	S	2	294	$294,000	$1,123.11
3E	S	3	325	$325,000	$1,241.53
4J	S	1	202	$202,000	$771.66
5A	S	0	152	$152,000	$580.66
5C	S	1	179	$179,000	$683.80
5F	S	0	152	$152,000	$580.66
5G	S	1	212	$212,000	$809.86
5H	S	1	212	$212,000	$809.86
5K	S	1	230	$230,000	$878.62
6K	S	1	231	$231,000	$882.44
6L	S	2	298	$298,000	$1,138.39
TOTAL	11	13	2,487	$2,487,000	$9,500.59

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

DOCUMENT NO. 2A

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS

and

SUPPLEMENTARY INFORMATION

FOR THE YEARS ENDED DECEMBER 31, 2013 and 2012

CRESTWOOD APARTMENT OWNERS CORP.

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Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp. (the "Corporation"), which comprise the balance sheets as of December 31, 2013 and 2012, and the related statements of operations, accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2013 and 2012, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Supplementary Information

As discussed in the notes to the financial statements, the Corporation has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future, that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

May 12, 2014

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CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2013 and 2012

ASSETS

	2013	2012
CURRENT ASSETS		
Operating account	$ 980,966	$ 14,484
Money market account	18,050	55,918
	999,016	70,402
Working capital fund	12,131	12,094
Receivables:		
Shareholders' arrears	16,638	6,343
Prepaid Expenses:		
Insurance	11,358	7,473
Corporate taxes	3,250	1,135
Real estate taxes	33,398	34,776
TOTAL CURRENT ASSETS	1,075,791	132,223
RESERVE FUND		
Restricted Reserve - Note 3	25,010	-0-
PROPERTY AND EQUIPMENT		
Land	588,936	588,936
Building	3,337,305	3,337,305
Building improvements	1,168,216	1,116,612
Less: Accumulated depreciation	(2,903,537)	(2,767,876)
NET PROPERTY AND EQUIPMENT	2,190,920	2,274,977
OTHER ASSETS		
Unamortized mortgage refinancing costs	113,079	3,721
Utility deposit	5,020	5,020
TOTAL OTHER ASSETS	118,099	8,741
TOTAL ASSETS	$ 3,409,820	$ 2,415,941

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2013 and 2012

LIABILITIES AND STOCKHOLDERS' EQUITY

	2013	2012
CURRENT LIABILITIES		
Accounts payable and accrued expenses	$ 55,507	$ 37,476
Accrued mortgage interest	11,711	7,752
Accrued credit line interest	-0-	1,775
Security deposits payable	750	750
Prepaid maintenance charges	1,763	850
Real estate tax abatements and exemptions payable	30,664	15,820
Senior citizen rent increase exemption payable	1,643	1,408
Mortgage payable - current portion	-0-	36,789
Line of credit - current portion	-0-	1,200
TOTAL CURRENT LIABILITIES	102,038	103,820
LONG TERM LIABILITIES		
Mortgage payable - (Note 3)	3,200,000	1,691,381
Less: Current portion	-0-	(36,789)
Line of credit payable - (Note 3)	-0-	485,100
Less: Current portion	-0-	(1,200)
TOTAL LONG TERM LIABILITIES	3,200,000	2,138,492
TOTAL LIABILITIES	3,302,038	2,242,312
STOCKHOLDERS' EQUITY		
Capital Stock - Common - Authorized 25,000 shares Issued and Outstanding 14,957 shares at $1 par value	14,957	14,957
Contributed capital	2,922,707	2,922,707
Accumulated Deficit	(2,829,882)	(2,764,035)
TOTAL STOCKHOLDERS' EQUITY	107,782	173,629
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 3,409,820	$ 2,415,941

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Years Ended December 31, 2013 and 2012

		2013	2012
INCOME			
Income from Stockholders			
Maintenance charges		$ 657,668	$ 640,072
Operating assessment - (Note 4)		30,000	27,495
Parking		12,420	12,099
Gym membership fees		7,200	5,381
Sublet and late fees		3,030	2,297
Apartment transfer fees - (Note 5)		3,030	2,154
Total Income from Stockholders		713,348	689,498
Other Income			
Laundry		1,391	1,008
Interest		103	183
Miscellaneous		3,346	2,190
Verizon - sign on bonus		3,600	-0-
Total Other Income		8,440	3,381
TOTAL INCOME		721,788	692,879
COST OF OPERATIONS			
Administrative expenses	Schedule 2	78,563	84,455
Operating expenses	Schedule 3	217,423	217,988
Maintenance expenses	Schedule 4	63,843	66,352
Taxes	Schedule 5	168,830	167,178
Financial expenses	Schedule 6	117,677	113,300
TOTAL COST OF OPERATIONS		646,336	649,273
INCOME FROM OPERATIONS BEFORE DEPRECIATION, AMORTIZATION AND CAPITAL ASSESSMENT		75,452	43,606
Depreciation and amortization	Schedule 7	(141,299)	(139,374)
Capital assessment - (Note 4)		-0-	3,590
NET LOSS		(65,847)	(92,178)
Beginning Accumulated Deficit		(2,764,035)	(2,671,857)
Ending Accumulated Deficit		$(2,829,882)	$(2,764,035)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBITS C & D

STATEMENTS OF CASH FLOWS EXHIBIT C

For The Years Ended December 31, 2013 and 2012

	2013	2012
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (65,847)	$ (92,178)
Adjustments to reconcile net loss to cash provided by operating activities:		
Depreciation and amortization	141,299	139,374
(Increase) Decrease in receivables	(10,295)	16,258
Increase in prepaid expenses	(4,622)	(3,340)
Increase in other assets	-0-	(1,255)
Increase in accounts payable and accrued expenses	8,570	12,920
Interest - net of bank fees	(47)	(38)
Total Adjustments	134,905	163,919
CASH PROVIDED BY OPERATING ACTIVITIES	69,058	71,741
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(23,968)	(205,940)
Increase in Restricted Reserve	(25,000)	-0-
CASH USED BY INVESTING ACTIVITIES	(48,968)	(205,940)
CASH FLOWS FROM FINANCING ACTIVITIES		
Increase in mortgage refinancing costs	(114,995)	-0-
Retirement of long term debt	(1,654,592)	-0-
Pay off line of credit	(484,100)	-0-
Proceeds from mortgage refinancing	3,200,000	-0-
Payment of mortgage principal	(36,789)	(41,982)
Payment of line of credit principal	(1,000)	(1,200)
Drawdown on line of credit	-0-	88,000
CASH PROVIDED BY FINANCING ACTIVITIES	908,524	44,818
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	928,614	(89,381)
Cash and cash equivalents at beginning of year	70,402	159,783
Cash and cash equivalents at end of year	$ 999,016	$ 70,402

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION EXHIBIT D

	2013	2012
Cash paid during the year:		
Corporate taxes	$ 2,744	$ 3,300
Interest	$ 115,493	$ 112,212

Non-Cash Investing and Financing Activities:
Property and equipment accrued for the year ended 2013 was $27,636.

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP.

NOTES TO FINANCIAL STATEMENTS

As of December 31, 2013 and 2012

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and commenced operations on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code. Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents
For purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation
Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Amortization
Mortgage refinancing costs are amortized over the term of the mortgage.

Shareholder Maintenance
Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2013 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates
The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(3) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable
On October 30, 2013, the Corporation refinanced its existing mortgage with National Coopertive Bank ("NCB") with a $3,200,000 mortgage with Astoria Federal Bank. The mortgage is collateralized by the land and building owned by the Corporation. Costs associated with this refinancing totaled approximately $115,000. Mortgage proceeds of approximately $950,000 were deposited into the operating account. Subsequent to the balance sheet date, in 2014, the proceeds were transferred into an investment account with Merrill Lynch.

(3) MORTGAGE PAYABLE AND LINE OF CREDIT - (continued)

Mortgage Payable

The terms of the current mortgage are as follows:

Principal	$3,200,000
Interest rate	4.5% per annum fixed
Term	10 years
Monthly payment - Interest only	$11,771 (31 days) $11,333 (30 days) $10,956 (29 days) $10,578 (28 days)
Maturity date	November 1, 2023

Borrower must give Lender at least 30 days (if given via U.S. Postal Service) or 20 days (if given via facsimile, e-mail or overnight courier), but not more than 60 days, prior written notice of Borrower's intention to make a prepayment (the "Prepayment Notice"). The Prepayment Notice shall be given in writing. The prepayment premium shall be five percent (5%) for prepayment in the first and second years of the term; four percent (4%) for prepayment made in the third and fourth years of the term; three percent (3%) for the prepayment in the fifth and sixth years; two percent (2%) for prepayment made in the seventh and eighth years of the term; and one percent (1%) for prepayment made in the ninth and tenth years of the term.

At the time of the refinancing and as a condition of the loan, the Corporation opened a money market account with Astoria Federal Bank which is to be maintained with a minimum balance of $25,000. The money market account shall be maintained at Astoria Federal Bank until repayment of the loan.

The prior mortgage held with NCB in the original amount of $2,000,000 had an outstanding balance of $1,654,592 which was satisfied at the mortgage refinancing. The former NCB mortgage had an interest rate of 5.5% and a maturity date of November 1, 2013. The mortgage required a monthly payment of $11,356 applied first to interest and the balance to principal.

Interest expense was $100,401 and $94,095 for the years ended December 31, 2013 and 2012, respectively.

Line of Credit

On October 30, 2013, in conjunction with the refinancing of the Corporation's existing mortgage, the Corporation paid off its existing line of credit and established a new $500,000 secured line of credit with Astoria Federal Bank. The line of credit is coterminous with the mortgage. Under the terms of the note, interest on the unpaid principal balance will be due on the first day of the month following the initial draw down and continuing and including the maturity date on the outstanding balance. The interest will be calculated based on the sum of the index (LIBOR) and the margin rounded to the highest basis point but shall never be lower than the floor rate. The floor rate interest is equal to the interest rate in effect at the time of the initial advance. If the index rate ceases to be made available at any time during the term of the loan, the interest rate shall be computed by using a comparable index selected by the lender. As of December 31, 2013, the Corporation has not drawn on this line of credit.

The prior line of credit was established in October 2003, in the amount of $500,000 with NCB. The line of credit was scheduled to mature on November 1, 2013. The line of credit required payments of interest at a rate of prime plus 1%, and minimum principal payments of $100 per month. The outstanding balance of $484,100 was paid off during the refinancing of the mortgage on October 30, 2013.

Interest expense was $17,276 and $18,242 for the years ended December 31, 2013 and 2012, respectively.

(4) ASSESSMENTS

Operating Assessment
In 2013, the Board of Directors approved a six month assessment in the amount of $.3343 per share, per month effective May through October 2013. The assessment totaled $30,000 and was used to cover normal operating expenses.

In 2012, the Board of Directors approved a six month assessment in the amount of $.3064 per share, per month effective March through August 2012. The assessment totaled $27,495 and was used to cover normal operating expenses.

Capital Assessment
In 2007, the Board of Directors approved a five year (sixty month) assessment in the amount of $.24 per share, per month, effective March 2007 through February 2012. The assessment totaled $215,381 or approximately $3,590 per month. The total amount of the assessment was recognized as income in 2007. Subsequent monthly billings through February 2012, offset an assessment receivable account on the Corporation's balance sheet. The assessment receivable was fully exhausted in February 2012. However, the assessment, scheduled to conclude in February 2012, was in fact billed through March 2012. This portion of the capital assessment billed in March 2012 was recognized as income in 2012. The assessment was used to cover Local Law 11 improvements.

(5) APARTMENT TRANSFER FEES

The Corporation's current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. The Corporation received transfer fees totaling $3,030 and $2,154 attributed to the sale of three and two apartments for the years ended December 31, 2013 and 2012, respectively.

(6) RELATED PARTY TRANSACTION

As of December 31, 2013 and 2012, TJS Associates owned 2,717 shares which represents approximately 18.17% of the shares issued by the Corporation. As of December 31, 2013, TJS Associates monthly maintenance was $9,980. TJS Associates owed $1,060 on its maintenance obligation as of December 31, 2013.

(7) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. In January 2013, the New York State Legislature passed a bill that amends the cooperative abatement beginning with the 2012/2013 tax year and extends it through June 30, 2015.

For the year ended December 31, 2013, the Corporation received credits of $34,716 on its tax bills which represent the abatements for the last two quarters of the 2012/2013 tax year and the first two quarters of the 2013/2014 tax year. For the year ended December 31, 2012, the Corporation received credits of $21,037 on its tax bills which represent the abatements for the last two quarters of the 2011/2012 tax year and the first two quarters of the 2012/2013 tax year. These amounts are being credited to eligible shareholders.

(8) CONTRIBUTIONS TO CAPITAL

The Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only.

For the years ended December 31, 2013 and 2012, Paid-in Capital for tax purpose is:

	2013	2012
Mortgage amortization	$ 36,789	$ 41,982
Line of credit amortization	1,000	1,200
Capital assessment	-0-	3,590

(9) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(10) REAL ESTATE TAXES

The Corporation's real estate taxes were reduced by a J-51 abatement as follows:

Began Tax Year	Certified Cost	90% of Certified Cost	Amount Per Year	Expiration Year
2000/01	$ 52,800	$ 47,520	$ 4,400	2011/2012

(11) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation believes that all of its income is effectively patronage sourced. Accordingly, no provision for taxes, if any, that could result from the application of Subchapter T to the Corporation's income has been reflected in the accompanying financial statements.

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $2,150,482. The patronage tax loss carryforwards, if not used against patronage taxable income, expire beginning in 2018 and continuing through 2032. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2013, the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $679.

The Corporation's Federal, State and City tax returns are subject to examination by the applicable taxing authority for a period of three years after filing the returns.

(12) COMMITMENT

In 2012, the Corporation entered into a contract with Mark Contracting NYC, Inc. in the amount of $91,500 for exterior building repairs. Subsequent change orders increased the contract to $217,151. As of December 31, 2013, the project has been completed with $19,936 remaining payable to Mark Contracting NYC, Inc.

Subsequent to the balance sheet, in April 2014, the Corporation entered into a contract with BP Elevator Corp. in the amount of $262,500 for the modernization of two elevators. The architect retained to oversee the project is Vertical Systems Analysis, Inc. The project will commence in 2014.

In 2014, the Corporation has begun the process of interviewing vendors for the replacement of the roof and windows. Based on current vendor proposals, the Corporation estimates the cost of these projects to be approximately $562,000 excluding architect fees. As of the current date, no contracts have been signed.

(13) CONCENTRATION OF CREDIT RISK

The Corporation maintains its cash in bank deposit accounts of high credit quality financial institutions. The balances, at times, may exceed federally insured limits. At December 31, 2013, the Corporation's cash balances exceeded the insured limit. Subsequent to the balance sheet date, in March 2014, $940,000 was transferred from operations to a Merrill Lynch Investment account.

(14) SUBSEQUENT EVENTS

Management has evaluated subsequent events through May 12, 2014, the date at which the financial statements became available for issuance. No events have occurred, except as disclosed in Note 12 and 13, that would require adjustments to, or disclosure in, the financial statements.

Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the financial statements of Crestwood Apartment Owners Corp. as of and for the years ended December 31, 2013 and 2012, and our report thereon dated May 12, 2014, which expressed an unmodified opinion on those financial statements, appears on Page 1. Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Budget and Historical are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information, except for the portion marked "unaudited", on which we express no opinion, has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

We have also compiled the accompanying forecast of Crestwood Apartment Owners Corp. for the year ended December 31, 2014, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the information. We have not examined the forecasted information and, accordingly, do not express an opinion or any other form of assurance on the accompanying schedule or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

The accompanying forecasted information and this report are intended solely for the information and use of the Board of Directors and Shareholders of Crestwood Apartment Owners Corp. and are not intended to be and should not be used by anyone other than these specified parties.

May 12, 2014 for Historical Statements

December 11, 2013 for Forecasted Statements

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2013 and 2012

	2013	2012
ADMINISTRATIVE EXPENSES	Schedule 2	
Management fee	$ 21,600	$ 21,600
Legal	3,525	2,113
Legal fees - tax reduction	2,122	375
Auditing	7,400	7,400
Telephone	2,719	1,807
Miscellaneous administrative	3,631	5,829
Insurance	35,968	44,671
Consulting	1,598	660
TOTAL ADMINISTRATIVE EXPENSES	$ 78,563	$ 84,455
OPERATING EXPENSES	Schedule 3	
Fuel and gas heat	$ 71,312	$ 60,754
Electricity and gas - (cooking and dryers)	16,467	17,031
Water and sewer charges	48,165	58,415
Payroll	66,064	67,966
Payroll taxes	6,966	7,246
Payroll insurance	6,851	5,549
Permits and miscellaneous operating	1,598	1,027
TOTAL OPERATING EXPENSES	$ 217,423	$ 217,988
MAINTENANCE EXPENSES	Schedule 4	
Exterminating	$ 4,159	$ 4,778
Elevator contract and repair	15,215	17,047
Supplies and janitorial materials	9,260	10,086
Grounds	2,525	3,469
Plumbing and heating repairs	16,619	13,434
Miscellaneous repairs - materials and labor to contractors	5,178	11,327
Special repairs - carpeting common area	-0-	6,211
- elevator repairs to remove violations	7,087	-0-
- roof repairs	18,638	-0-
Less: Insurance proceeds	(14,838)	-0-
TOTAL MAINTENANCE EXPENSES	$ 63,843	$ 66,352

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2013 and 2012

	2013	2012
TAXES	Schedule 5	
New York City real estate taxes	$ 168,151	$ 164,657
New York State franchise taxes	129	2,021
New York City corporate tax	550	500
TOTAL TAXES	$ 168,830	$ 167,178
FINANCIAL EXPENSES	Schedule 6	
Interest on mortgage payable	$ 23,800	$ -0-
Interest on mortgage payable - prior	76,601	94,095
Interest on line of credit	17,276	18,242
Other interest	-0-	963
TOTAL FINANCIAL EXPENSES	$ 117,677	$ 113,300
DEPRECIATION AND AMORTIZATION	Schedule 7	
Depreciation - building	$ 95,352	$ 95,352
- improvements	40,309	39,559
Amortization of mortgage financing costs	5,638	4,463
TOTAL DEPRECIATION AND AMORTIZATION	$ 141,299	$ 139,374

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - BUDGET, HISTORICAL AND FORECAST

Years Ended December 31, 2013 and 2012 (Historical) and Year Ending December 31, 2014 (Forecasted)

	2013 Budget Unaudited	2013 Actual	2012 Actual	2014 Forecast
INCOME				
Maintenance charges	$ 657,700	$ 657,668 (1)	$ 640,072 (2)	$ 659,280
Operating assessment	30,000	30,000	27,495	31,600
Parking	12,400	12,420	12,099	12,400
Gym membership fees	5,700	7,200	5,381	5,700
Sublet and late fees	5,000	3,030	2,297	-0-
Apartment transfer fees	-0-	3,030	2,154	5,000
Laundry	8,400	1,391	1,008	1,000
Interest	-0-	103	183	-0-
Miscellaneous	1,900	3,346	2,190	2,500
	-0-	3,600	-0-	-0-
TOTAL INCOME	721,100	721,788	692,879	717,480
EXPENDITURES				
Management fee	22,700	21,600	21,600	21,600
Legal	1,900	5,647	2,488	10,400
Auditing	7,000	7,400	7,400	8,500
Telephone	1,000	2,719	1,807	1,500
Miscellaneous administrative	5,000	3,631	5,829	5,000
Insurance	46,700	35,968	44,671	36,900
Consulting	1,500	1,598	660	3,500
Fuel and gas heat	66,100	71,312	60,754	80,000
Electricity and gas - (cooking and dryers)	18,700	16,467	17,031	20,600
Water and sewer charges	63,000	48,165	58,415	53,900
Payroll	69,100	66,064	67,966	74,900
Payroll taxes	7,300	6,966	7,246	7,600
Payroll insurance	4,600	6,851	5,549	5,000
Permits and miscellaneous operating	1,000	1,598	1,027	1,000
Exterminating	6,000	4,159	4,778	6,000
Elevator contract and repairs	12,000	15,215	17,047	12,000
Supplies and janitorial materials	12,000	9,260	10,086	10,000
Grounds	6,000	2,525	3,469	6,000
Plumbing and heating repairs	13,000	16,619	13,434	13,000
Miscellaneous repairs, materials, labor to contractors	(11,300	(5,178	(11,327	(14,000
Special repairs	(	(25,725	(6,211	(
Less: insurance proceeds	-0-	(14,838)	-0-	-0-
New York City real estate taxes	175,000	168,151	164,657	175,500
New York State and City corporate taxes	4,000	679	2,521	3,000
Mortgage interest and amortization	136,300	137,190	136,077	136,000
Credit line interest and amortization	24,900	18,276	19,442	-0-
Other interest	-0-	-0-	963	-0-
Reserve contingency	-0-	-0-	-0-	10,000
TOTAL EXPENDITURES	716,100	684,125	692,455	715,900
SURPLUS FROM OPERATIONS	$ 5,000	$ 37,663	$ 424	$ 1,580

(1) Reflects a 3% maintenance increase effective February 1, 2013.
(2) Reflects a 9.0% maintenance increase effective January 1, 2012.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2014

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of December 11, 2013, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State Franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $54,940 for January through December 2014, remaining unchanged from the prior year.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the current tax rate of 13.25%. Fuel and gas heat expense has been estimated on current market conditions. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of interest only and a principal balance of $3,200,000 at a rate of 4.25% per annum.

DOCUMENT NO. 2B

2015 BUDGET

CRESTWOOD APTS. OWNERS

APPROVED BUDGET
FOR THE YEAR ENDED
DECEMBER 31, 2015

	REVENUES:	
(1)	CARRYING CHARGES	**685,700**
(2)	ASSESSMENT	**31,600**
	COOP TAX ABATEMENTS	**(41,300)**
	GARAGES	**12,400**
	OTHER INCOME	**14,200**
	TOTAL PROJECTED INCOME	**702,600**
	EXPENSES:	
	PAYROLL & RELATED	**82,700**
	ADMINISTRATIVE EXPENSES	**44,600**
	OPERATING EXPENSES	**155,500**
	MAINTENANCE EXPENSES	**59,000**
	TAXES & INSURANCE	**192,900**
	MORTGAGE	**137,900**
	TOTAL PROJECTED EXPENSE	**672,600**
	NET OPERATING INCOME	**30,000**
	TRANSFER TO RESERVES	**(30,000)**
	TOTAL	**0**

OTHER	
LAUNDRY	1,000
TRANSFER FE	5,000
GYM	5,700
PET CHARGE	1,000
MISCEL.	1,500
	14,200

(1) Maintenance increase of 4.0% to $45.841 per share annually effective 01/01/15.

(2) Assessment of $2.11 per share or $31,600 to be imposed at the same time the Abatement credits estimated to be $41,300 are distributed.

STATE OF NEW YORK
OFFICE OF THE ATTORNEY GENERAL

ERIC T. SCHNEIDERMAN
ATTORNEY GENERAL

(212) 416-6550

DIVISION OF ECONOMIC JUSTICE
REAL ESTATE FINANCE BUREAU

June 15, 2016

Tjs Associates, Llc
c/o Cutler Minikes & Adelman Llp
Attention: Richard Adelman, Esq.
708 Third Avenue, 17th Floor
New York, NY 10017

RE: The Crestwood
File Number: C 870398 Amendment No: 28
Date Amendment Filed: 06/14/2016 Filing Fee: $225.00
Receipt Number: 136429

Dear Sponsor:

The referenced amendment to the offering plan for the subject premises is hereby accepted and filed. Since this amendment is submitted after the post closing amendment has been filed, this filing is effective for twelve months from the date of filing of this amendment. However, any material change of fact or circumstance affecting the property or offering requires an immediate amendment.

Any misstatement or concealment of material fact in the material submitted as part of this amendment renders this filing void ab initio. This office has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or anywaiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this letter is conditioned upon the collection of all fees imposed by law. This letter is your receipt for the filing fee.

Very truly yours,

JANG LEE
Assistant Attorney General

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	June 14, 2016
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

TWENTY-EIGHTH AMENDMENT TO THE PLAN

This Twenty-Eighth Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Twenty-Seventh Amendment (collectively the "Plan").

The terms of this Twenty-Eighth Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the Unsold Shares owned by the Sponsor are $9,500.59. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $13,368.74.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board on or about the five year anniversary of the Closing Date of the Apartment Corporation. The following are the current Directors and Officers of the Apartment Corporation, none of whom have been designated by or are affiliated with the Sponsor, are:

Janusz Wojciechowski	President
Claudia Gruen	Vice President
Michael Scherer	Treasurer
Susan Sendek	Secretary
Michael Anastasiou	
Bill Doherty	

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Certified Financial Statements for the year ended December 31, 2014, as prepared by the accountants for the Apartment Corporation, are annexed hereto as Document No. 2. The financial statements for the year ended December 31, 2015 are not yet issued. The 2016 Budget for the Apartment Corporation is not yet available. Prospective purchasers are advised to inquire regarding the availability of the 2015 financial statements and the final 2016 budget, as adopted, from the Apartment Corporation, and if available, to request a copies of them for review.

SEVENTH: ESCROW ACCOUNT

Hudson Valley Bank, the bank at which the law firm of Cutler Minikes & Adelman LLP maintains its escrow account, has merged into Sterling National Bank, 622 Third Avenue, New York, NY 10017 effective July 1, 2015. The escrow account, including the account name, remains unchanged by the merger.

SIXTH: DEFINITIONS

All terms used in this Twenty-Eighth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

SEVENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Twenty-Seventh Amendments, is

incorporated herein by reference with the same effect as if set forth at length.

EIGHTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

NINTH: NO MATERIAL CHANGES

Except as set forth in this Twenty-Eighth Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
June 14, 2016

Crestwood Apartments
124-16 84th Road
Kew Gardens, NY 11415

TJS Associates LLC
28th Amendment

DOCUMENT NO. 1

Last Updated: 5/16/2016
Info as of: 5/16/2016

Apt. No.	Sta-tus	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $3.8201 per share
2L	S	2	294	$294,000	$1,123.11
3E	S	3	325	$325,000	$1,241.53
4J	S	1	202	$202,000	$771.66
5A	S	0	152	$152,000	$580.66
5C	S	1	179	$179,000	$683.80
5F	S	0	152	$152,000	$580.66
5G	S	1	212	$212,000	$809.86
5H	S	1	212	$212,000	$809.86
5K	S	1	230	$230,000	$878.62
6K	S	1	231	$231,000	$882.44
6L	S	2	298	$298,000	$1,138.39
TOTAL	11	13	2,487	$2,487,000	$9,500.59

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

DOCUMENT NO. 2

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS

and

SUPPLEMENTARY INFORMATION

FOR THE YEARS ENDED DECEMBER 31, 2014 and 2013

CRESTWOOD APARTMENT OWNERS CORP.

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Marin & Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp. (the "Corporation"), which comprise the balance sheets as of December 31, 2014 and 2013, and the related statements of operations, accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2014 and 2013, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Required Supplementary Information

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. Our opinion on the basic financial statements is not affected by the missing information.

May 7, 2015

Marin & Montanye LLP

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www.marinmontanye.com

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2014 and 2013

ASSETS

	2014	2013
CURRENT ASSETS		
Cash and Cash Equivalents:		
Operating account	$ 80,872	$ 980,966
Money market account	29,956	18,050
	110,828	999,016
Working capital fund - Schedule 1	780,519	12,131
Receivables:		
Shareholders' arrears	7,349	16,638
Prepaid Expenses:		
Insurance	10,983	11,358
Corporate taxes	3,784	3,250
Real estate taxes	34,364	33,398
TOTAL CURRENT ASSETS	947,827	1,075,791
RESERVE FUND		
Restricted Reserve - Note 3 - Schedule 2	25,073	25,010
PROPERTY AND EQUIPMENT		
Land	588,936	588,936
Building	3,337,305	3,337,305
Building improvements	1,411,545	1,168,216
Less: Accumulated depreciation	(3,040,565)	(2,903,537)
NET PROPERTY AND EQUIPMENT	2,297,221	2,190,920
OTHER ASSETS		
Unamortized mortgage refinancing costs	101,579	113,079
Utility deposit	5,020	5,020
TOTAL OTHER ASSETS	106,599	118,099
TOTAL ASSETS	$ 3,376,720	$ 3,409,820

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2014 and 2013

LIABILITIES AND STOCKHOLDERS' EQUITY

	2014	2013
CURRENT LIABILITIES		
Accounts payable and accrued expenses	$ 139,005	$ 55,507
Accrued mortgage interest	11,711	11,711
Security deposits payable	2,000	750
Prepaid maintenance charges	1,639	1,763
Real estate tax abatements and exemptions payable	22,126	30,664
Senior citizen rent increase exemption payable	-0-	1,643
TOTAL CURRENT LIABILITIES	176,481	102,038
LONG TERM LIABILITY		
Mortgage payable - (Note 3)	3,200,000	3,200,000
TOTAL LIABILITIES	3,376,481	3,302,038
STOCKHOLDERS' EQUITY		
Capital Stock - Common - Authorized 25,000 shares Issued and Outstanding 14,957 shares at $1 par value	14,957	14,957
Contributed Capital	2,922,707	2,922,707
Accumulated Deficit	(2,937,425)	(2,829,882)
TOTAL STOCKHOLDERS' EQUITY	239	107,782
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 3,376,720	$ 3,409,820

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Years Ended December 31, 2014 and 2013

		2014	2013
INCOME			
Income from Stockholders			
Maintenance charges		$ 659,273	$ 657,668
Operating assessment - (Note 4)		31,600	30,000
Parking		12,419	12,420
Gym membership fees		7,419	7,200
Sublet and late fees		2,384	3,030
Apartment transfer fees - (Note 5)		3,732	3,030
Total Income from Stockholders		716,827	713,348
Other Income			
Laundry		277	1,391
Interest		2,070	103
Miscellaneous		12,972	3,346
Verizon - sign on bonus		-0-	3,600
Total Other Income		15,319	8,440
TOTAL INCOME		732,146	721,788
COST OF OPERATIONS			
Administrative expenses	Schedule 3	85,485	78,563
Operating expenses	Schedule 4	233,110	217,423
Maintenance expenses	Schedule 5	56,236	63,843
Taxes	Schedule 6	178,440	168,830
Financial expenses	Schedule 7	137,889	117,677
TOTAL COST OF OPERATIONS		691,160	646,336
INCOME FROM OPERATIONS BEFORE DEPRECIATION AND AMORTIZATION		40,986	75,452
Depreciation and amortization	Schedule 8	(148,529)	(141,299)
NET LOSS		(107,543)	(65,847)
Beginning Accumulated Deficit		(2,829,882)	(2,764,035)
Ending Accumulated Deficit		$(2,937,425)	$(2,829,882)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBITS C & D

STATEMENTS OF CASH FLOWS EXHIBIT C

For The Years Ended December 31, 2014 and 2013

	2014	2013
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (107,543)	$ (65,847)
Adjustments to reconcile net loss to cash provided (used) by operating activities:		
Depreciation and amortization	148,529	141,299
(Increase) Decrease in receivables	9,289	(10,295)
Increase in working capital fund	(766,828)	-0-
Increase in prepaid expenses	(1,125)	(4,622)
Increase in accounts payable and accrued expenses	35,517	8,570
Interest - net of bank fees	(1,623)	(47)
Total Adjustments	(576,241)	134,905
CASH PROVIDED (USED) BY OPERATING ACTIVITIES	(683,784)	69,058
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(204,404)	(23,968)
Increase in Restricted Reserve	-0-	(25,000)
CASH USED BY INVESTING ACTIVITIES	(204,404)	(48,968)
CASH FLOWS FROM FINANCING ACTIVITIES		
Increase in mortgage refinancing costs	-0-	(114,995)
Retirement of long term debt	-0-	(1,654,592)
Pay off line of credit	-0-	(484,100)
Proceeds from mortgage refinancing	-0-	3,200,000
Payment of mortgage principal	-0-	(36,789)
Payment of line of credit principal	-0-	(1,000)
CASH PROVIDED BY FINANCING ACTIVITIES	-0-	908,524
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(888,188)	928,614
Cash and cash equivalents at beginning of year	999,016	70,402
Cash and cash equivalents at end of year	$ 110,828	$ 999,016

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION EXHIBIT D

	2014	2013
Cash paid during the year:		
Corporate taxes	$ 4,001	$ 2,744
Interest	$ 137,889	$ 115,493

Non-Cash Investing and Financing Activities:
Property and equipment accrued for the years ended 2014 and 2013 was $66,561 and $27,636, respectively.

See Notes to Financial Statements.

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and commenced operations on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code. Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents

For purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation

Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Amortization

Mortgage refinancing costs are amortized over the term of the mortgage.

Shareholder Maintenance

Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2014 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(3) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable

On October 30, 2013, the Corporation refinanced its existing mortgage with National Coopertive Bank ("NCB") with a $3,200,000 mortgage with Astoria Federal Bank. The mortgage is collateralized by the land and building owned by the Corporation. Costs associated with this refinancing totaled approximately $115,000. Mortgage proceeds of approximately $950,000 were deposited into the operating account in 2014. The proceeds were then transferred into an investment account with Merrill Lynch.

The terms of the current mortgage are as follows:

Principal	$3,200,000
Interest rate	4.5% per annum fixed
Term	10 years
Monthly payment - Interest only	$11,771 (31 days) $11,333 (30 days) $10,956 (29 days) $10,578 (28 days)
Maturity date	November 1, 2023

Borrower must give Lender at least 30 days (if given via U.S. Postal Service) or 20 days (if given via facsimile, e-mail or overnight courier), but not more than 60 days, prior written notice of Borrower's intention to make a prepayment (the "Prepayment Notice"). The Prepayment Notice shall be given in writing. The prepayment premium shall be five percent (5%) for prepayment in the first and second years of the term; four percent (4%) for prepayment made in the third and fourth years of the term; three percent (3%) for the prepayment in the fifth and sixth years; two percent (2%) for prepayment made in the seventh and eighth years of the term; and one percent (1%) for prepayment made in the ninth and tenth years of the term.

At the time of the refinancing, and as a condition of the loan, the Corporation opened a money market account with Astoria Federal Bank which is to be maintained with a minimum balance of $25,000. The money market account shall be maintained at Astoria Federal Bank until repayment of the loan.

Interest expense was $137,889 and $100,401 for the years ended December 31, 2014 and 2013, respectively.

Line of Credit

On October 30, 2013, in conjunction with the refinancing of the Corporation's existing mortgage, the Corporation paid off its existing line of credit and established a new $500,000 secured line of credit with Astoria Federal Bank. The line of credit is coterminous with the mortgage. Under the terms of the note, interest on the unpaid principal balance will be due on the first day of the month following the initial draw down and continuing and including the maturity date on the outstanding balance. The interest will be calculated based on the sum of the index (LIBOR) and the margin rounded to the highest basis point but shall never be lower than the floor rate. The floor rate interest is equal to the interest rate in effect at the time of the initial advance. If the index rate ceases to be made available at any time during the term of the loan, the interest rate shall be computed by using a comparable index selected by the lender. As of December 31, 2014, the Corporation has not drawn on this line of credit.

Interest expense was$17,276 on the prior line of credit for the year ended December 31, 2013.

(4) ASSESSMENTS

In 2014, the Board of Directors approved a six month assessment in the amount of $.3521 per share, per month effective March through August 2014. The assessment totaled $31,600 and was used to cover normal operating expenses.

In 2013, the Board of Directors approved a six month assessment in the amount of $.3343 per share, per month effective May through October 2013. The assessment totaled $30,000 and was used to cover normal operating expenses.

(5) APARTMENT TRANSFER FEES

The Corporation's current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. The Corporation received transfer fees totaling $3,732 and $3,030 attributed to the sale of three apartments for the years ended December 31, 2014 and 2013, respectively.

(6) RELATED PARTY TRANSACTION

As of December 31, 2014 and 2013, TJS Associates owned 2,487 and 2,717 shares which represents approximately 16.6% and 18.17% of the shares issued by the Corporation as of December 31, 2014 and 2013, respectively. As of December 31, 2014, TJS Associates monthly maintenance was $9,135. TJS Associates owed $1,060 on its maintenance obligation as of December 31, 2014.

(7) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. In January 2013, the New York State Legislature passed a bill that amends the cooperative abatement beginning with the 2012/2013 tax year and extends it through June 30, 2015.

For the year ended December 31, 2014, the Corporation received credits of $33,336 on its tax bills which represent the abatements for the last two quarters of the 2013/2014 tax year and the first two quarters of the 2014/2015 tax year. For the year ended December 31, 2013, the Corporation received credits of $34,716 on its tax bills which represent the abatements for the last two quarters of the 2012/2013 tax year and the first two quarters of the 2013/2014 tax year. These amounts are being credited to eligible shareholders.

(8) CONTRIBUTIONS TO CAPITAL

The Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only.

For the year ended December 31, 2013, Paid-in Capital for tax purpose was:

	2013
Mortgage amortization	$ 36,789
Line of credit amortization	1,000

(9) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(10) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation believes that all of its income is effectively patronage sourced. Accordingly, no provision for taxes, if any, that could result from the application of Subchapter T to the Corporation's income has been reflected in the accompanying financial statements.

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $2,236,067. The patronage tax loss carryforwards, if not used against patronage taxable income, expire beginning in 2019 and continuing through 2033. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2014, the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $2,531.

The Corporation's Federal, State and City tax returns are subject to examination by the applicable taxing authority for a period of three years after filing the returns.

(11) COMMITMENT

In 2012, the Corporation entered into a contract with Mark Contracting NYC, Inc. in the amount of $91,500 for exterior building repairs. Subsequent change orders increased the contract to $209,483. As of December 31, 2014, there is a balance due to the vendor in the amount of $12,268 pending completion of the project.

In April 2014, the Corporation entered into a contract with BP Elevator Corp. in the amount of $262,500 for the modernization of two elevators. A subsequent change order increased the project cost to $283,500. As of December 31, 2014, payments of $172,733 have been made to the vendor. The architect retained to oversee the project is Vertical Systems Analysis, Inc.

(11) COMMITMENT - (continued)

In 2014, the Corporation began the process of interviewing vendors for the replacement of the roof and windows. Based on current vendor proposals, the Corporation estimates the cost of these projects to be approximately $562,000 excluding architect fees. As of the balance sheet date, no contracts have been signed.

(12) CONCENTRATION OF CREDIT RISK

The Corporation maintains its cash in bank deposit accounts of high credit quality financial institutions. The balances, at times, may exceed federally insured limits. At December 31, 2014, the Corporation's cash balances exceeded the insured limit.

(13) SUBSEQUENT EVENTS

Management has evaluated subsequent events through May 7, 2015, the date at which the financial statements became available for issuance. No events have occurred that would require adjustments to, or disclosure in, the financial statements.

Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the financial statements of Crestwood Apartment Owners Corp. as of and for the years ended December 31, 2014 and 2013, and our report thereon dated May 7, 2015, which expressed an unmodified opinion on those financial statements, appears on Page 1. Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Budget and Historical are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information, except for the portion marked "unaudited", on which we express no opinion, has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

We have also compiled the accompanying forecast of Crestwood Apartment Owners Corp. for the year ended December 31, 2015, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the information. We have not examined the forecasted information and, accordingly, do not express an opinion or any other form of assurance on the accompanying schedule or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

The accompanying forecasted information and this report are intended solely for the information and use of the Board of Directors and Shareholders of Crestwood Apartment Owners Corp. and are not intended to be and should not be used by anyone other than these specified parties.

May 7, 2015 for Historical Statements
December 9, 2014 for Forecasted Statements

Marin & Montanye LLP

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - BALANCE SHEETS

As of December 31, 2014 and 2013

	2014	2013
WORKING CAPITAL FUND	Schedule 1	
Balance - January 1,	$ 12,131	$ 12,094
Add: Interest earned - net of bank fees	1,560	37
Transfer from operating - partial proceeds from mortgage refinancing	940,000	-0-
Less: Transfer to operating	(173,172)	-0-
Balance - December 31,	$ 780,519	$ 12,131
Consisting of:		
National Cooperative Bank - Money Market Plus	$ 12,167	$ 12,131
Merrill Lynch - cash/money accounts	267,272	-0-
- certificate of deposits	501,080	-0-
TOTAL WORKING CAPITAL FUND	$ 780,519	$ 12,131
RESERVE FUND	Schedule 2	
Balance - January 1,	$ 25,010	$ -0-
Add: Interest earned	63	10
Transfer from operating - partial proceeds from mortgage refinancing	-0-	25,000
Balance - December 31,	$ 25,073	$ 25,010
Consisting of:		
Astoria Federal Bank - Preferred Money Market	$ 25,073	$ 25,010
TOTAL RESERVE FUND	$ 25,073	$ 25,010

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2014 and 2013

	2014	2013
ADMINISTRATIVE EXPENSES	Schedule 3	
Management fee	$ 21,600	$ 21,600
Legal	7,685	3,525
Legal fees - tax reduction	395	2,122
Auditing	7,400	7,400
Telephone	3,759	2,719
Miscellaneous administrative	5,572	3,631
Insurance	37,304	35,968
Consulting	1,770	1,598
TOTAL ADMINISTRATIVE EXPENSES	$ 85,485	$ 78,563
OPERATING EXPENSES	Schedule 4	
Fuel and gas heat	$ 87,263	$ 71,312
Electricity and gas - (cooking and dryers)	17,731	16,467
Water and sewer charges	46,295	48,165
Payroll	70,477	66,064
Payroll taxes	7,811	6,966
Payroll insurance	4,993	6,851
Payroll insurance - prior year payroll audit refund	(6,602)	-0-
Permits and miscellaneous operating	5,142	1,598
TOTAL OPERATING EXPENSES	$ 233,110	$ 217,423
MAINTENANCE EXPENSES	Schedule 5	
Exterminating	$ 6,039	$ 4,159
Elevator contract and repair	10,959	15,215
Supplies and janitorial materials	11,448	9,260
Grounds	6,669	2,525
Plumbing and heating repairs	12,738	16,619
Miscellaneous repairs - materials and labor to contractors	6,633	5,178
Special repairs - outdoor LED lighting	1,750	-0-
- elevator repairs to remove violations	-0-	7,087
- roof repairs	-0-	18,638
Less: Insurance proceeds	-0-	(14,838)
TOTAL MAINTENANCE EXPENSES	$ 56,236	$ 63,843

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2014 and 2013

	2014	2013
TAXES	Schedule 6	
New York City real estate taxes	$ 175,909	$ 168,151
New York State franchise taxes	1,755	129
New York City corporate tax	776	550
TOTAL TAXES	$ 178,440	$ 168,830
FINANCIAL EXPENSES	Schedule 7	
Interest on mortgage payable	$ 137,889	$ 23,800
Interest on mortgage payable - prior	-0-	76,601
Interest on line of credit - prior	-0-	17,276
TOTAL FINANCIAL EXPENSES	$ 137,889	$ 117,677
DEPRECIATION AND AMORTIZATION	Schedule 8	
Depreciation - building	$ 95,352	$ 95,352
- improvements	41,677	40,309
Amortization of mortgage financing costs	11,500	5,638
TOTAL DEPRECIATION AND AMORTIZATION	$ 148,529	$ 141,299

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - BUDGET, HISTORICAL AND FORECAST

Years Ended December 31, 2014 and 2013 (Historical) and Year Ending December 31, 2015 (Forecasted)

	2014 Budget Unaudited	2014 Actual	2013 Actual	2015 Forecast
INCOME				
Maintenance charges	$ 659,280	$ 659,273	$ 657,668 (1)	$ 685,700 (2)
Operating assessment	31,600	31,600	30,000	31,600
Parking	12,400	12,419	12,420	12,400
Gym membership fees	5,700	7,419	7,200	5,700
Sublet and late fees	-0-	2,384	3,030	5,000
Apartment transfer fees	5,000	3,732	3,030	-0-
Laundry	1,000	277	1,391	1,000
Interest	-0-	2,070	103	-0-
Miscellaneous	2,500	12,972	3,346	2,500
Verizon - sign on bonus	-0-	-0-	3,600	-0-
TOTAL INCOME	717,480	732,146	721,788	743,900
EXPENDITURES				
Management fee	21,600	21,600	21,600	22,700
Legal	10,400	8,080	5,647	5,400
Auditing	8,500	7,400	7,400	8,000
Telephone	1,500	3,759	2,719	1,500
Miscellaneous administrative	5,000	5,572	3,631	5,000
Insurance	36,900	37,304	35,968	39,300
Consulting	3,500	1,770	1,598	1,000
Fuel and gas heat	80,000	87,263	71,312	86,300
Electricity and gas - (cooking and dryers)	20,600	17,731	16,467	19,200
Water and sewer charges	53,900	46,295	48,165	50,000
Payroll	74,900	70,477	66,064	71,200
Payroll taxes	7,600	7,811	6,966	7,000
Payroll insurance	5,000	4,993	6,851	4,500
Payroll insurance - prior year payroll audit refund	-0-	(6,602)	-0-	-0-
Permits and miscellaneous operating	1,000	5,142	1,598	1,000
Exterminating	6,000	6,039	4,159	6,000
Elevator contract and repairs	12,000	10,959	15,215	11,000
Supplies and janitorial materials	10,000	11,448	9,260	12,000
Grounds	6,000	6,669	2,525	6,000
Plumbing and heating repairs	13,000	12,738	16,619	14,000
Miscellaneous repairs, materials, labor to contractors	14,000	6,633	5,178	10,000
Special repairs	-0-	1,750	25,725	-0-
Less: insurance proceeds	-0-	-0-	(14,838)	-0-
New York City real estate taxes	175,500	175,909	168,151	191,400
New York State and City corporate taxes	3,000	2,531	679	3,500
Mortgage interest and amortization	136,000	137,889	137,190	137,900
Credit line interest and amortization	-0-	-0-	18,276	-0-
Reserve contingency	10,000	-0-	-0-	30,000
TOTAL EXPENDITURES	715,900	691,160	684,125	743,900
SURPLUS FROM OPERATIONS	$ 1,580	$ 40,986	$ 37,663	$ -0-

(1) Reflects a 3% maintenance increase effective February 1, 2013.
(2) Reflects a 4% maintenance increase effective January 1, 2015.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2015

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of December 9, 2014, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State Franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $57,142 for January through December 2015, reflecting a 4% increase effective January 1, 2015.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the estimated tax rate of 13%. Fuel and gas heat expense has been estimated on current market conditions. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of interest only and a principal balance of $3,200,000 at a rate of 4.5% per annum.

STATE OF NEW YORK
OFFICE OF THE ATTORNEY GENERAL

ERIC T. SCHNEIDERMAN
ATTORNEY GENERAL

(212) 416-8966

DIVISION OF ECONOMIC JUSTICE
REAL ESTATE FINANCE BUREAU

June 29, 2017

Tjs Associates, Llc
c/o Cutler Minikes & Adelman Llp
Attention: Richard Adelman, Esq.
708 Third Avenue, 17th Floor
New York, NY 10017

RE: The Crestwood
File Number: C 870398 Amendment No: 29
Date Amendment Filed: 06/23/2017 Filing Fee: $225.00
Receipt Number: 141799

Dear Sponsor:

The referenced amendment to the offering plan for the subject premises is hereby accepted and filed. Since this amendment is submitted after the post closing amendment has been filed, this filing is effective for twelve months from the date of filing of this amendment. However, any material change of fact or circumstance affecting the property or offering requires an immediate amendment.

Any misstatement or concealment of material fact in the material submitted as part of this amendment renders this filing void ab initio. This office has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or anywaiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this letter is conditioned upon the collection of all fees imposed by law. This letter is your receipt for the filing fee.

Very truly yours,

Constance Leperides

Constance Leperides
Assistant Attorney General

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	June 23, 2017
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

TWENTY-NINTH AMENDMENT TO THE PLAN

This Twenty-Ninth Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Twenty-Eighth Amendment (collectively the "Plan").

The terms of this Twenty-Ninth Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges and capital assessment charges payable for the Unsold Shares owned by the Sponsor are $9,785.62 and $422.79. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $12,082.21.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board in 1995 on or about the fifth anniversary of the September 1990 Closing Date of the Apartment Corporation. The following are the current Directors and Officers of the Apartment Corporation are:

Janusz Wojciechowski	President
Claudine Gruen	Vice President
Michael Asher	Treasurer
Susan Sendek	Secretary
Michael Anastasiou	
Linda Swearingen	
Laura Rogan *	

* Sponsor's Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Certified Financial Statements for the years ended December 31, 2015 and 2016, as prepared by the accountants for the Apartment Corporation, are annexed hereto as Document Nos. 2A and 2B. The 2017 Budget adopted by the Board of Directors is annexed hereto as Document No. 2C.

SIXTH: RIGHTS OF EXISTING TENANTS

As previously disclosed, in October, 2009, the New York State Court of Appeals ruling in the case, *Roberts v. Tishman Speyer Properties*, held that when a building is receiving J-51 real estate tax benefits, rent stabilized tenants, whether they were rent stabilized before the building's receipt of J-51 tax benefits, or became rent stabilized as a result of the building's receipt of J-51 tax benefits, are not subject to deregulation under the high-rent decontrol provisions of the rent laws ("High Rent Decontrol Provisions"). Sponsor notes that the court's decision in *Roberts v. Tishman Speyer Properties* dealt with a rental property and not a property that had been converted to condominium or cooperative ownership, and does not specify whether its decision should be given retroactive or only prospective effect.

In addition to the J-51 real estate tax benefits previously disclosed, the building received J-51 real estate tax benefits during the July 2016 - June 2017 tax year. Based on the information provided on the NYC

Department of Finance website, it is estimated that the J-51 benefits will expire during the July 2026 - June 2027 tax year. During the period the building has received J-51 tax benefits, none of the Units were deregulated under the High Rent Decontrol Provisions. The Sponsor's previous disclosure with respect to the effects of the building receiving J-51 real estate tax benefits under the court's holding in *Roberts*, as presently interpreted, continues to apply.

SEVENTH: FINCEN'S GEOGRAPHIC TARGETING ORDER

On January 13, 2016 the Director of the Financial Crimes Enforcement Network ("FinCEN"), U.S. Department of the Treasury, issued a Geographic Targeting Order ("Order") requiring title insurance companies to collect and report information about the persons involved in certain residential real estate transactions. FinCen modified and extended the Order on July 22, 2016 and on February 23, 2017. The current Order requires title insurance companies to collect and report information about the persons involved in certain residential real estate transactions in all boroughs of New York City in furtherance of the Bank Secrecy Act. Title companies are required by such order to collect and report information regarding purchasers in transactions where: (1) the purchaser is a legal entity as defined in the Order; (2) the purchaser purchases residential real property located in the Boroughs of Brooklyn, Queens, Bronx, Manhattan and Staten Island; (3) the total purchase price is in excess of $3,000,000 in the Borough of Manhattan or the total purchase price is in excess of $1,500,000 for the Boroughs of Brooklyn, Queens, Bronx or Staten Island; (4) such purchase is made without a bank loan or other similar form of external financing; and (5) the purchase is made at least in part, using currency or a cashier's check, a certified check, a traveler's check, a personal check, a business check, or a money order in any form. As used in the Order, "Legal Entity" means a corporation, limited liability company, partnership or other similar business entity, whether formed under the laws of a state or of the United States or a foreign jurisdiction. The Order affects all residential real property closings occurring on or after August 28, 2016 and until the expiration of the effective period of such Order (i.e., August 23, 2017, as of the date hereof, which date is subject to change by FinCEN).

EIGHTH: DEFINITIONS

All terms used in this Twenty-Ninth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

NINTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Twenty-Eighth Amendments, is incorporated herein by reference with the same effect as if set forth at length.

TENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

ELEVENTH: NO MATERIAL CHANGES

Except as set forth in this Twenty-Ninth Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
June 23, 2017

Crestwood Apartments
124-16 84th Road
Kew Gardens, NY 11415

TJS Associates LLC
29th Amendment

DOCUMENT NO. 1

Last Updated: 6/6/2017
Info as of: 6/6/2017

Apt. No.	Sta-tus	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $3.9347 per share	Monthly Capital Assessment Charges[1] @ $0.17 per share
2L	S	2	294	$294,000	$1,156.80	$49.98
3E	S	3	325	$325,000	$1,278.78	$55.25
4J	S	1	202	$202,000	$794.81	$34.34
5A	V	0	152	$152,000	$598.08	$25.84
5C	S	1	179	$179,000	$704.31	$30.43
5F	S	0	152	$152,000	$598.08	$25.84
5G	S	1	212	$212,000	$834.16	$36.04
5H	S	1	212	$212,000	$834.16	$36.04
5K	S	1	230	$230,000	$904.98	$39.10
6K	S	1	231	$231,000	$908.92	$39.27
6L	S	2	298	$298,000	$1,172.54	$50.66
TOTAL	11	13	2,487	$2,487,000	$9,785.62	$422.79

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

[1] The Board adpoted a capital assessment of $0.17 per share per month for 12 months commencing January 1, 2017

DOCUMENT NO. 2A

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS
and
SUPPLEMENTARY INFORMATION

FOR THE YEARS ENDED DECEMBER 31, 2015 and 2014

CRESTWOOD APARTMENT OWNERS CORP.

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Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp. (the "Corporation"), which comprise the balance sheets as of December 31, 2015 and 2014, and the related statements of operations, accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2015 and 2014, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Required Supplementary Information

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. Our opinion on the basic financial statements is not affected by the missing information.

June 27, 2016

Marin & Montanye LLP

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CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2015 and 2014

ASSETS

	2015	2014
CURRENT ASSETS		
Cash and Cash Equivalents:		
Operating account	$ 50,475	$ 80,872
Money market account	14,329	29,956
	64,804	110,828
Working capital fund - Schedule 1	680,845	780,519
Receivables:		
Shareholders' arrears	6,456	7,349
Prepaid Expenses:		
Insurance	11,174	10,983
Corporate taxes	4,531	3,784
Real estate taxes	37,798	34,364
TOTAL CURRENT ASSETS	805,608	947,827
RESERVE FUND		
Restricted Reserve - Note 4 - Schedule 2	55,132	25,073
PROPERTY AND EQUIPMENT		
Land	588,936	588,936
Building	3,337,305	3,337,305
Building improvements	1,483,606	1,411,545
Less: Accumulated depreciation	(3,188,123)	(3,040,565)
NET PROPERTY AND EQUIPMENT	2,221,724	2,297,221
OTHER ASSETS		
Unamortized mortgage refinancing costs	90,080	101,579
Utility deposit	-0-	5,020
TOTAL OTHER ASSETS	90,080	106,599
TOTAL ASSETS	$ 3,172,544	$ 3,376,720

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2015 and 2014

LIABILITIES AND STOCKHOLDERS' EQUITY (DEFICIT)

	2015	2014
CURRENT LIABILITIES		
Accounts payable and accrued expenses	$ 66,830	$ 139,005
Accrued mortgage interest	11,711	11,711
Security deposits payable	3,250	2,000
Prepaid maintenance charges	2,274	1,639
Real estate tax abatements and exemptions payable	24,904	22,126
TOTAL CURRENT LIABILITIES	108,969	176,481
LONG TERM LIABILITY		
Mortgage payable - (Note 4)	3,200,000	3,200,000
TOTAL LIABILITIES	3,308,969	3,376,481
STOCKHOLDERS' EQUITY (DEFICIT)		
Capital Stock - Common - Authorized 25,000 shares Issued and Outstanding 14,957 shares at $1 par value	14,957	14,957
Contributed Capital	2,922,707	2,922,707
Accumulated Deficit	(3,074,089)	(2,937,425)
TOTAL STOCKHOLDERS' EQUITY (DEFICIT)	(136,425)	239
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY (DEFICIT)	$ 3,172,544	$ 3,376,720

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Years Ended December 31, 2015 and 2014

		2015	2014
INCOME			
Income from Stockholders			
Maintenance charges		$ 685,646	$ 659,273
Operating assessment - (Note 5)		50,704	31,600
Parking		12,420	12,419
Gym membership fees		6,253	7,419
Sublet and late fees		3,124	2,384
Apartment transfer fees - (Note 6)		4,776	3,732
Total Income from Stockholders		762,923	716,827
Other Income			
Laundry		1,394	277
Interest		2,803	2,070
Miscellaneous		5,139	12,972
Total Other Income		9,336	15,319
TOTAL INCOME		772,259	732,146
COST OF OPERATIONS			
Administrative expenses	Schedule 3	92,019	85,485
Operating expenses	Schedule 4	235,079	233,110
Maintenance expenses	Schedule 5	85,718	56,236
Taxes	Schedule 6	199,160	178,440
Financial expenses	Schedule 7	137,889	137,889
TOTAL COST OF OPERATIONS		749,865	691,160
INCOME FROM OPERATIONS BEFORE DEPRECIATION AND AMORTIZATION		22,394	40,986
Depreciation and amortization	Schedule 8	(159,058)	(148,529)
NET LOSS		(136,664)	(107,543)
Beginning Accumulated Deficit		(2,937,425)	(2,829,882)
Ending Accumulated Deficit		$(3,074,089)	$(2,937,425)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBITS C & D

STATEMENTS OF CASH FLOWS EXHIBIT C

For The Years Ended December 31, 2015 and 2014

	2015	2014
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (136,664)	$ (107,543)
Adjustments to reconcile net loss to cash provided (used) by operating activities:		
Depreciation and amortization	159,058	148,529
Decrease in receivables	893	9,289
(Increase) Decrease in working capital fund	101,934	(766,828)
Increase in prepaid expenses	(4,372)	(1,125)
Decrease in utility deposits	5,020	-0-
Increase (Decrease) in accounts payable and accrued expenses	(29,252)	35,517
Interest - net of bank fees	(2,319)	(1,623)
Total Adjustments	230,962	(576,241)
CASH PROVIDED (USED) BY OPERATING ACTIVITIES	94,298	(683,784)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(110,322)	(204,404)
Increase in Restricted Reserve	(30,000)	-0-
CASH USED BY INVESTING ACTIVITIES	(140,322)	(204,404)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(46,024)	(888,188)
Cash and cash equivalents at beginning of year	110,828	999,016
Cash and cash equivalents at end of year	$ 64,804	$ 110,828

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION EXHIBIT D

	2015	2014
Cash paid during the year:		
Corporate taxes	$ 2,623	$ 4,001
Interest	$ 137,889	$ 137,889

Non-Cash Investing and Financing Activities:
Property and equipment accrued for the years ended 2015 and 2014 was $28,300 and $66,561, respectively.

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP.

NOTES TO FINANCIAL STATEMENTS

As of December 31, 2015 and 2014

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and commenced operations on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code. Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents

For purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation

Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Amortization

Mortgage refinancing costs are amortized over the term of the mortgage.

Shareholder Maintenance

Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2015 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Fair Value Measurement

FASB ASC 820-10, Fair Value Measurement, defines fair value, establishes a framework for measuring fair value, establishes a three-level valuation hierarchy for disclosure of fair value measurement and enhances disclosure requirements for fair value measurements. The valuation hierarchy is based upon the transparency of inputs to the valuation of the fair value of an asset or liability as of the measurement date.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - (continued)

Fair Value Measurement
The three levels are defined as follows:

Level 1 - Represented by quoted prices that are available in an active market. Level 1 securities include highly liquid government bonds, treasury securities, mortgage products and exchange traded equities.

Level 2 - Represented by assets and liabilities similar to Level 1 where quoted prices are not available, but are observable, either directly or indirectly through corroboration with observable market data and estimated using pricing models or discounted cash flows. Level 2 securities would include U.S. agency securities, mortgage-backed agency securities, obligations of states and political subdivisions, and certain corporate asset backed securities, and swap agreements.

Level 3 - Represented by financial instruments where there is limited activity or unobservable market prices and pricing models significant to determining the fair value measurement include the reporting entity's own assumptions about the market risk. Level 3 securities would include hedge funds, private equity securities, and private investments in public entities.

(3) INVESTMENTS - FAIR VALUE MEASUREMENT

The Corporation's certificates of deposit are recorded at fair value and have been categorized based upon a fair value hierarchy (Note 2).

As of December 31, 2015, the investments are as follows:

Assets at Fair Value

Certificates of Deposit - Merrill Lynch:	Cost	Accrued Interest	Level 2
Discover Bank	$ 200,000	$ 863	$ 200,863
Goldman Sachs Bank	200,000	299	200,299

As of December 31, 2014, the investments were as follows:

Assets at Fair Value

Certificates of Deposit - Merrill Lynch:	Cost	Accrued Interest	Level 2
Mizuho Bank	$ 200,000	$ 449	$ 200,449
Bank of China	200,000	603	200,603
Comenity Bank	100,000	28	100,028

(4) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable
On October 30, 2013, the Corporation refinanced its existing mortgage with National Coopertive Bank ("NCB") with a $3,200,000 mortgage with Astoria Federal Bank. The mortgage is collateralized by the land and building owned by the Corporation. Costs associated with this refinancing totaled approximately $115,000.

(4) MORTGAGE PAYABLE AND LINE OF CREDIT - (continued)

Mortgage Payable
The terms of the current mortgage are as follows:

Principal	$3,200,000
Interest rate	4.5% per annum fixed
Term	10 years
Monthly payment - Interest only	$11,771 (31 days) $11,333 (30 days) $10,956 (29 days) $10,578 (28 days)
Maturity date	November 1, 2023

Borrower must give Lender at least 30 days (if given via U.S. Postal Service) or 20 days (if given via facsimile, e-mail or overnight courier), but not more than 60 days, prior written notice of Borrower's intention to make a prepayment (the "Prepayment Notice"). The Prepayment Notice shall be given in writing. The prepayment premium shall be five percent (5%) for prepayment in the first and second years of the term; four percent (4%) for prepayment made in the third and fourth years of the term; three percent (3%) for the prepayment in the fifth and sixth years; two percent (2%) for prepayment made in the seventh and eighth years of the term; and one percent (1%) for prepayment made in the ninth and tenth years of the term.

At the time of the refinancing, and as a condition of the loan, the Corporation opened a money market account with Astoria Federal Bank which is to be maintained with a minimum balance of $25,000. The money market account shall be maintained at Astoria Federal Bank until repayment of the loan.

Interest expense was $137,889 for each of the years ended December 31, 2015 and 2014.

Line of Credit
On October 30, 2013, in conjunction with the refinancing of the Corporation's existing mortgage, the Corporation paid off its existing line of credit and established a new $500,000 secured line of credit with Astoria Federal Bank. The line of credit is coterminous with the mortgage. Under the terms of the note, interest on the unpaid principal balance will be due on the first day of the month following the initial draw down and continuing and including the maturity date on the outstanding balance. The interest will be calculated based on the sum of the index (LIBOR) and the margin rounded to the highest basis point but shall never be lower than the floor rate. The floor rate interest is equal to the interest rate in effect at the time of the initial advance. If the index rate ceases to be made available at any time during the term of the loan, the interest rate shall be computed by using a comparable index selected by the lender. As of December 31, 2015, the Corporation has not drawn on this line of credit.

(5) ASSESSMENT

In 2015, the Board of Directors approved an assessment in the amount of $3.39 per share. The assessment totaled $50,704 and was used to cover normal operating expenses.

In 2014, the Board of Directors approved a six month assessment in the amount of $.3521 per share, per month effective March through August 2014. The assessment totaled $31,600 and was used to cover normal operating expenses.

(6) APARTMENT TRANSFER FEES

The Corporation's current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. The Corporation received transfer fees totaling $4,776 and $3,732 attributed to the sale of four and three apartments for the years ended December 31, 2015 and 2014, respectively.

(7) RELATED PARTY TRANSACTION

As of December 31, 2015 and 2014, TJS Associates owned 2,487 shares which represents approximately 16.6% of the shares issued by the Corporation as of December 31, 2015 and 2014. As of December 31, 2015, TJS Associates monthly maintenance was $9,501. TJS Associates owed $3,398 on its maintenance obligation as of December 31, 2015.

(8) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. In June 2015, the New York State Legislature passed a bill that amends the cooperative abatement beginning with the 2015/2016 tax year and extends it through June 30, 2019.

For the year ended December 31, 2015, the Corporation received credits of $41,282 on its tax bills which represent the abatements for the last two quarters of the 2014/2015 tax year and the first two quarters of the 2015/2016 tax year. For the year ended December 31, 2014, the Corporation received credits of $33,336 on its tax bills which represent the abatements for the last two quarters of the 2013/2014 tax year and the first two quarters of the 2014/2015 tax year. These amounts are being credited to eligible shareholders.

(9) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(10) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation believes that all of its income is effectively patronage sourced. Accordingly, no provision for taxes, if any, that could result from the application of Subchapter T to the Corporation's income has been reflected in the accompanying financial statements.

(11) INCOME TAXES - (continued)

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $2,361,661. The patronage tax loss carryforwards, if not used against patronage taxable income, expire beginning in 2019 and continuing through 2034. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2015, the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $3,617.

The Corporation's Federal, State and City tax returns are subject to examination by the applicable taxing authority for a period of three years after filing the returns.

(12) COMMITMENT

In 2012, the Corporation entered into a contract with Mark Contracting NYC, Inc. in the amount of $91,500 for exterior building repairs. Subsequent change orders increased the contract to $209,483. As of December 31, 2015, the balance has been paid.

In April 2014, the Corporation entered into a contract with BP Elevator Corp. in the amount of $262,500 for the modernization of two elevators. A subsequent change order increased the project cost to $283,500. As of December 31, 2015, payments of $255,200 have been made to the vendor. There is a balance due of $28,300. The architect retained to oversee the project is Vertical Systems Analysis, Inc.

In 2014, the Corporation began the process of interviewing vendors for the replacement of the roof and windows. Based on current vendor proposals, the Corporation estimates the cost of these projects to be approximately $562,000 excluding architect fees. As of the balance sheet date, no contracts have been signed.

(13) CONCENTRATION OF CREDIT RISK

The Corporation maintains its cash in bank deposit accounts of high credit quality financial institutions. The balances, at times, may exceed federally insured limits. At December 31, 2015, the Corporation's cash balances exceeded the insured limit.

(14) SUBSEQUENT EVENTS

Management has evaluated subsequent events through June 27, 2016, the date at which the financial statements became available for issuance. No events have occurred that would require adjustments to, or disclosure in, the financial statements.

Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the financial statements of Crestwood Apartment Owners Corp. as of and for the years ended December 31, 2015 and 2014, and our report thereon dated June 27, 2016, which expressed an unmodified opinion on those financial statements, appears on Page 1. Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Budget and Historical are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information, except for the portion marked "unaudited", on which we express no opinion, has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

We have also compiled the accompanying forecast of Crestwood Apartment Owners Corp. for the year ending December 31, 2016, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the information. We have not examined the forecasted information and, accordingly, do not express an opinion or any other form of assurance on the accompanying schedule or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

The accompanying forecasted information and this report are intended solely for the information and use of the Board of Directors and Shareholders of Crestwood Apartment Owners Corp. and are not intended to be and should not be used by anyone other than these specified parties.

June 27, 2016 for Historical Statements
October 8, 2015 for Forecasted Statements

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - BALANCE SHEETS

As of December 31, 2015 and 2014

	2015	2014
WORKING CAPITAL FUND	Schedule 1	
Balance - January 1,	$ 780,519	$ 12,131
Add: Interest earned - net of bank fees	2,260	1,560
Transfer from operating - partial proceeds from mortgage refinancing	-0-	940,000
Less: Transfer to operating	(101,934)	(173,172)
Balance - December 31,	$ 680,845	$ 780,519
Consisting of:		
National Cooperative Bank - Money Market Plus	$ 12,167	$ 12,167
Merrill Lynch - cash/money accounts	267,516	267,272
- certificates of deposit	401,162	501,080
TOTAL WORKING CAPITAL FUND	$ 680,845	$ 780,519
RESERVE FUND	Schedule 2	
Balance - January 1,	$ 25,073	$ 25,010
Add: Interest earned	59	63
Transfer from operating - partial proceeds from mortgage refinancing	30,000	-0-
Balance - December 31,	$ 55,132	$ 25,073
Consisting of:		
Astoria Federal Bank - Preferred Money Market	$ 55,132	$ 25,073
TOTAL RESERVE FUND	$ 55,132	$ 25,073

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2015 and 2014

	2015	2014
ADMINISTRATIVE EXPENSES	Schedule 3	
Management fee	$ 23,800	$ 21,600
Legal	7,395	7,685
Legal fees - tax reduction	-0-	395
Auditing	7,800	7,400
Telephone	4,098	3,759
Miscellaneous administrative	6,124	5,572
Insurance	39,576	37,304
Consulting	3,226	1,770
TOTAL ADMINISTRATIVE EXPENSES	$ 92,019	$ 85,485
OPERATING EXPENSES	Schedule 4	
Fuel and gas heat	$ 75,768	$ 87,263
Electricity and gas - (cooking and dryers)	16,863	17,731
Water and sewer charges	62,424	46,295
Payroll	67,770	70,477
Payroll taxes	6,272	7,811
Payroll insurance	3,871	4,993
Payroll insurance - prior year payroll audit refund	-0-	(6,602)
Permits and miscellaneous operating	2,111	5,142
TOTAL OPERATING EXPENSES	$ 235,079	$ 233,110
MAINTENANCE EXPENSES	Schedule 5	
Exterminating	$ 7,863	$ 6,039
Elevator contract and repair	6,493	10,959
Supplies and janitorial materials	10,180	11,448
Grounds	10,052	6,669
Plumbing and heating repairs	38,884	12,738
Miscellaneous repairs - materials and labor to contractors	12,246	6,633
Special repairs - outdoor LED lighting	-0-	1,750
TOTAL MAINTENANCE EXPENSES	$ 85,718	$ 56,236

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2015 and 2014

	2015	2014
TAXES	Schedule 6	
New York City real estate taxes	$ 195,543	$ 175,909
New York State franchise taxes	2,588	1,755
New York City corporate tax	1,029	776
TOTAL TAXES	$ 199,160	$ 178,440
FINANCIAL EXPENSE	Schedule 7	
Interest on mortgage payable	$ 137,889	$ 137,889
TOTAL FINANCIAL EXPENSE	$ 137,889	$ 137,889
DEPRECIATION AND AMORTIZATION	Schedule 8	
Depreciation - building	$ 95,352	$ 95,352
- improvements	52,206	41,677
Amortization of mortgage financing costs	11,500	11,500
TOTAL DEPRECIATION AND AMORTIZATION	$ 159,058	$ 148,529

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - BUDGET, HISTORICAL AND FORECAST

Years Ended December 31, 2015 and 2014 (Historical) and Year Ending December 31, 2016 (Forecasted)

	2015 Budget Unaudited		2015 Actual	2014 Actual	2016 Forecast
INCOME					
Maintenance charges	$ 685,700	(1)	$ 685,646	$ 659,273	$ 685,700
Operating assessment	31,600		50,704	31,600	50,500
Parking	12,400		12,420	12,419	12,400
Gym membership fees	5,700		6,253	7,419	5,700
Sublet and late fees	5,000		3,124	2,384	5,000
Apartment transfer fees	-0-		4,776	3,732	-0-
Laundry	1,000		1,394	277	1,000
Interest	-0-		2,803	2,070	500
Miscellaneous	2,500		5,139	12,972	1,500
TOTAL INCOME	743,900		772,259	732,146	762,300
EXPENDITURES					
Management fee	22,700		23,800	21,600	24,000
Legal	5,400		7,395	8,080	5,400
Auditing	8,000		7,800	7,400	8,000
Telephone	1,500		4,098	3,759	3,000
Miscellaneous administrative	5,000		6,124	5,572	5,000
Insurance	39,300		39,576	37,304	41,400
Consulting	1,000		3,226	1,770	2,000
Fuel and gas heat	86,300		75,768	87,263	86,000
Electricity and gas - (cooking and dryers)	19,200		16,863	17,731	19,000
Water and sewer charges	50,000		62,424	46,295	55,000
Payroll	71,200		67,770	70,477	70,000
Payroll taxes	7,000		6,272	7,811	6,900
Payroll insurance	4,500		3,871	4,993	4,500
Payroll insurance - prior year payroll audit refund	-0-		-0-	(6,602)	-0-
Permits and miscellaneous operating	1,000		2,111	5,142	1,000
Exterminating	6,000		7,863	6,039	6,500
Elevator contract and repairs	11,000		6,493	10,959	10,000
Supplies and janitorial materials	12,000		10,180	11,448	12,000
Grounds	6,000		10,052	6,669	6,000
Plumbing and heating repairs	14,000		38,884	12,738	17,000
Miscellaneous repairs, materials, labor to contractors	10,000		12,246	6,633	10,000
Special repairs	-0-		-0-	1,750	-0-
New York City real estate taxes	191,400		195,543	175,909	217,400
New York State and City corporate taxes	3,500		3,617	2,531	3,000
Mortgage interest	137,900		137,889	137,889	148,900
Reserve contingency	30,000		-0-	-0-	-0-
TOTAL EXPENDITURES	743,900		749,865	691,160	762,000
SURPLUS FROM OPERATIONS	$ -0-		$ 22,394	$ 40,986	$ 300

(1) Reflects a 4% maintenance increase effective January 1, 2015.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2016

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of October 8, 2015, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State Franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $57,142 per month.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the estimated tax rate of 13%. Fuel and gas heat expense has been estimated on current market conditions. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of interest only and a principal balance of $3,200,000 at a rate of 4.5% per annum.

DOCUMENT NO. 2B

CRESTWOOD APARTMENT OWNERS CORP.

FINANCIAL STATEMENTS
and
SUPPLEMENTARY INFORMATION

FOR THE YEARS ENDED DECEMBER 31, 2016 and 2015

CRESTWOOD APARTMENT OWNERS CORP.

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Marin
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CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Auditor's Report

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp. (the "Corporation"), which comprise the balance sheets as of December 31, 2016 and 2015, and the related statements of operations, accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2016 and 2015, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Change in Accounting Principle

As described in Note 2 to the financial statements, the Corporation has changed its method of accounting for debt issuance costs. Our opinion is not modified with respect to that matter.

Required Supplementary Information

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. Our opinion on the basic financial statements is not affected by the missing information.

May 19, 2017

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CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2016 and 2015

ASSETS

	2016	2015
CURRENT ASSETS		
Cash and Cash Equivalents:		
Operating account	$ 15,620	$ 50,475
Money market account	4,305	14,329
	19,925	64,804
Working capital fund - Schedule 1	605,927	680,845
Receivables:		
Shareholders' arrears	7,480	6,456
Prepaid Expenses:		
Insurance	11,022	11,174
Corporate taxes	5,638	4,531
Real estate taxes	42,237	37,798
TOTAL CURRENT ASSETS	692,229	805,608
RESERVE FUND		
Restricted Reserve - (Note 4) - Schedule 2	85,279	55,132
PROPERTY AND EQUIPMENT		
Land	588,936	588,936
Building	3,337,305	3,337,305
Building improvements	1,553,065	1,483,606
Less: Accumulated depreciation	(3,338,254)	(3,188,123)
NET PROPERTY AND EQUIPMENT	2,141,052	2,221,724
TOTAL ASSETS	$ 2,918,560	$ 3,082,464

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT A

BALANCE SHEETS

As of December 31, 2016 and 2015

LIABILITIES AND STOCKHOLDERS' DEFICIT

	2016	2015
CURRENT LIABILITIES		
Accounts payable and accrued expenses	$ 39,436	$ 66,830
Accrued mortgage interest	11,711	11,711
Security deposits payable	4,200	3,250
Prepaid maintenance charges	5,778	2,274
Real estate tax abatements and exemptions payable	29,654	24,904
TOTAL CURRENT LIABILITIES	90,779	108,969
LONG TERM LIABILITY		
Mortgage payable - (Note 4)	3,200,000	3,200,000
Less: Unamortized debt issuance costs - (Note 2)	(78,580)	(90,080)
TOTAL LONG TERM LIABILITY	3,121,420	3,109,920
TOTAL LIABILITIES	3,212,199	3,218,889
STOCKHOLDERS' DEFICIT		
Capital Stock - Common - Authorized 25,000 shares Issued and Outstanding 14,957 shares at $1 par value	14,957	14,957
Contributed Capital	2,922,707	2,922,707
Accumulated Deficit	(3,231,303)	(3,074,089)
TOTAL STOCKHOLDERS' DEFICIT	(293,639)	(136,425)
TOTAL LIABILITIES AND STOCKHOLDERS' DEFICIT	$ 2,918,560	$ 3,082,464

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT B

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

For The Years Ended December 31, 2016 and 2015

		2016	2015
INCOME			
Income from Shareholders			
Maintenance charges		$ 685,646	$ 685,646
Operating assessment - (Note 5)		58,806	50,704
Parking		13,680	12,420
Gym membership fees		7,013	6,253
Sublet and late fees		450	3,124
Apartment transfer fees - (Note 6)		3,936	4,776
Total Income from Shareholders		769,531	762,923
Other Income			
Laundry		1,940	1,394
Interest		1,646	2,803
Miscellaneous		5,350	5,139
Total Other Income		8,936	9,336
TOTAL INCOME		778,467	772,259
COST OF OPERATIONS			
Administrative expenses	Schedule 3	106,217	92,019
Operating expenses	Schedule 4	227,524	235,079
Maintenance expenses	Schedule 5	79,246	85,718
Taxes	Schedule 6	222,796	199,160
Financial expenses	Schedule 7	138,267	137,889
TOTAL COST OF OPERATIONS		774,050	749,865
INCOME FROM OPERATIONS BEFORE DEPRECIATION AND AMORTIZATION		4,417	22,394
Depreciation and amortization	Schedule 8	(161,631)	(159,058)
NET LOSS		(157,214)	(136,664)
Beginning Accumulated Deficit		(3,074,089)	(2,937,425)
Ending Accumulated Deficit		$(3,231,303)	$(3,074,089)

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBITS C & D

STATEMENTS OF CASH FLOWS EXHIBIT C

For The Years Ended December 31, 2016 and 2015

	2016	2015
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (157,214)	$ (136,664)
Adjustments to reconcile net loss to cash provided by operating activities:		
Depreciation and amortization	161,631	159,058
(Increase) Decrease in receivables	(1,024)	893
Decrease in working capital fund	76,200	101,934
Increase in prepaid expenses	(5,394)	(4,372)
Decrease in utility deposits	-0-	5,020
Increase (Decrease) in accounts payable and accrued expenses	10,110	(29,252)
Interest - net of bank fees	(1,429)	(2,319)
Total Adjustments	240,094	230,962
CASH PROVIDED BY OPERATING ACTIVITIES	82,880	94,298
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(97,759)	(110,322)
Increase in Restricted Reserve	(30,000)	(30,000)
CASH USED BY INVESTING ACTIVITIES	(127,759)	(140,322)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(44,879)	(46,024)
Cash and cash equivalents at beginning of year	64,804	110,828
Cash and cash equivalents at end of year	$ 19,925	$ 64,804

SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION EXHIBIT D

	2016	2015
Cash paid during the year:		
Corporate taxes	$ 6,967	$ 2,623
Interest	$ 138,267	$ 137,889

Non-Cash Investing and Financing Activities:
Property and equipment accrued for the years ended 2016 and 2015 was $-0- and $28,300, respectively.

See Notes to Financial Statements.

CRESTWOOD APARTMENT OWNERS CORP.

NOTES TO FINANCIAL STATEMENTS

As of December 31, 2016 and 2015

(1) ORGANIZATION

Crestwood Apartment Owners Corp. (the "Corporation") was acquired and commenced operations on September 19, 1990 under the Business Corporation Law of New York State. It is a qualified cooperative housing corporation under Section 216 (b) (1) of the Internal Revenue Code. Accordingly, the tenant-shareholders may deduct their proportionate share of the real estate taxes and mortgage interest.

The Corporation was organized for the purpose of acquiring, managing and providing homes for stockholders in a residential apartment building situated at 124-16 84th Road, Kew Gardens, New York. On the date of conversion, the Corporation issued 14,957 shares of common stock, which are allocated to 71 residential apartments and one superintendent apartment.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash and Cash Equivalents

For the purpose of the statement of cash flows, the Corporation considers all highly liquid debt instruments purchased with maturity of three months or less to be cash equivalents.

Depreciation

Property and equipment are stated at cost. The building is being depreciated using the straight-line method over a period of 35 years. Building improvements and equipment are being depreciated using the straight-line method over the estimated life of the related asset.

Change In Accounting Principle

In April 2015, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update 2015-03 (ASU 2015-03) which requires that debt issuance costs related to a recognized debt liability be presented on the balance sheet as a deduction from the carrying amount of that debt liability.

Amortization of Debt Issuance Costs

Costs incurred in obtaining long-term financing, included under mortgage payable on the balance sheets, are amortized on a straight-line basis, which approximates the effective interest method, over the terms of the related debt agreement, as applicable.

Shareholder Maintenance

Tenant-shareholders are subject to monthly maintenance charges to provide funds for the Corporation's operating expenses, future capital acquisitions, and repairs and replacements. Tenant-shareholder receivables at the balance sheet date represent maintenance fees due from tenant-shareholders. The Corporation's policy is to retain legal counsel and place liens on the shares of stock of tenant-shareholders whose maintenance charges are delinquent. The Corporation considers all tenant-shareholder receivables at December 31, 2016 to be collectible. Accordingly, no allowance for doubtful accounts is required. If any receivables become uncollectible, they will be charged to operations when that determination is made. Any excess maintenance charges at year end are retained by the Corporation for use in future years.

Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(2) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - (continued)

Reclassification of Debt Issuance Costs
Certain reclassification has been made to the 2015 balance sheet to reflect a change in the presentation of the unamortized debt issuance costs from deferred charges to a deduction from the carrying amount of that debt liability to conform to the 2016 presentation of the financial statements. Such reclassification had no effect on net loss as previously reported.

Fair Value Measurement
FASB ASC 820-10, Fair Value Measurement, defines fair value, establishes a framework for measuring fair value, establishes a three-level valuation hierarchy for disclosure of fair value measurement and enhances disclosure requirements for fair value measurements. The valuation hierarchy is based upon the transparency of inputs to the valuation of the fair value of an asset or liability as of the measurement date.

The three levels are defined as follows:

Level 1 - Represented by quoted prices that are available in an active market. Level 1 securities include highly liquid government bonds, treasury securities, mortgage products and exchange traded equities.

Level 2 - Represented by assets and liabilities similar to Level 1 where quoted prices are not available, but are observable, either directly or indirectly through corroboration with observable market data and estimated using pricing models or discounted cash flows. Level 2 securities would include U.S. agency securities, mortgage-backed agency securities, obligations of states and political subdivisions, and certain corporate asset backed securities, and swap agreements.

Level 3 - Represented by financial instruments where there is limited activity or unobservable market prices and pricing models significant to determining the fair value measurement include the reporting entity's own assumptions about the market risk. Level 3 securities would include hedge funds, private equity securities, and private investments in public entities.

(3) INVESTMENTS - FAIR VALUE MEASUREMENT

The Corporation's certificates of deposit are recorded at fair value and have been categorized based upon a fair value hierarchy (Note 2).

As of December 31, 2016, the investments are as follows:

Assets at Fair Value

Certificates of Deposit - Merrill Lynch:	Cost	Accrued Interest	Level 1
Luthern Burbank Bank	$ 106,000	$ 96	$ 106,096
Capital One Bank	106,000	123	106,123
Bank of China	106,000	132	106,132

As of December 31, 2015, the investments were as follows:

Assets at Fair Value

Certificates of Deposit - Merrill Lynch:	Cost	Accrued Interest	Level 1
Discover Bank	$ 200,000	$ 863	$ 200,863
Goldman Sachs Bank	200,000	299	200,299

(4) MORTGAGE PAYABLE AND LINE OF CREDIT

Mortgage Payable

On October 30, 2013, the Corporation refinanced its existing mortgage with National Coopertive Bank ("NCB") with a $3,200,000 mortgage with Astoria Federal Bank. The mortgage is collateralized by the land and building owned by the Corporation. Costs associated with this refinancing totaled approximately $115,000.

The terms of the current mortgage are as follows:

Principal	$3,200,000
Interest rate	4.25% per annum fixed
Term	10 years
Monthly payment - Interest only	$11,771 (31 days)
	$11,333 (30 days)
	$10,956 (29 days)
	$10,578 (28 days)
Maturity date	November 1, 2023

Borrower must give Lender at least 30 days (if given via U.S. Postal Service) or 20 days (if given via facsimile, e-mail or overnight courier), but not more than 60 days, prior written notice of Borrower's intention to make a prepayment (the "Prepayment Notice"). The Prepayment Notice shall be given in writing. The prepayment premium shall be five percent (5%) for prepayment in the first and second years of the term; four percent (4%) for prepayment made in the third and fourth years of the term; three percent (3%) for the prepayment in the fifth and sixth years; two percent (2%) for prepayment made in the seventh and eighth years of the term; and one percent (1%) for prepayment made in the ninth and tenth years of the term.

At the time of the refinancing, and as a condition of the loan, the Corporation opened a money market account with Astoria Federal Bank which is to be maintained with a minimum balance of $25,000. The money market account shall be maintained at Astoria Federal Bank until repayment of the loan.

Interest expense was $138,267 and $137,889 for the years ended December 31, 2016 and 2015, respectively.

Line of Credit

On October 30, 2013, in conjunction with the refinancing of the Corporation's existing mortgage, the Corporation paid off its existing line of credit and established a new $500,000 secured line of credit with Astoria Federal Bank. The line of credit is coterminous with the mortgage. Under the terms of the note, interest on the unpaid principal balance will be due on the first day of the month following the initial draw down and continuing and including the maturity date on the outstanding balance. The interest will be calculated based on the sum of the index (LIBOR) and the margin rounded to the highest basis point but shall never be lower than the floor rate. The floor rate interest is equal to the interest rate in effect at the time of the initial advance. If the index rate ceases to be made available at any time during the term of the loan, the interest rate shall be computed by using a comparable index selected by the lender. As of December 31, 2016, the Corporation has not drawn on this line of credit.

(5) ASSESSMENT

In 2016, the Board of Directors approved an assessment in the amount of $3.93 per share. The assessment totaled $58,806 and was used to cover normal operating expenses.

In 2015, the Board of Directors approved a six month assessment in the amount of $3.39 per share. The assessment totaled $50,704 and was used to cover normal operating expenses.

(6) APARTMENT TRANSFER FEES

The Corporation's current transfer fee policy requires sellers to pay the Corporation $6 per share upon the transfer of their stock. The Corporation received transfer fees totaling $3,936 and $4,776 attributed to the sale of four and three apartments for the years ended December 31, 2016 and 2015, respectively.

(7) RELATED PARTY TRANSACTION

As of December 31, 2016 and 2015, TJS Associates owned 2,487 shares which represents approximately 16.6% of the shares issued by the Corporation as of December 31, 2016 and 2015. As of December 31, 2016, TJS Associates monthly maintenance was $114,007. TJS Associates was current on its maintenance obligation as of December 31, 2016.

(8) REAL ESTATE TAX ABATEMENTS

As a result of revisions to Section 467(a) of the New York Real Property Tax Law, certain shareholders of the Cooperative units are eligible for partial abatements of their real estate taxes commencing with the 1996/1997 tax year. In June 2015, the New York State Legislature passed a bill that amends the cooperative abatement beginning with the 2015/2016 tax year and extends it through June 30, 2019.

For the year ended December 31, 2016, the Corporation received credits of $47,850 on its tax bills which represent the abatements for the last two quarters of the 2015/2016 tax year and the first two quarters of the 2016/2017 tax year. For the year ended December 31, 2015, the Corporation received credits of $41,282 on its tax bills which represent the abatements for the last two quarters of the 2014/2015 tax year and the first two quarters of the 2015/2016 tax year. These amounts are being credited to eligible shareholders.

(9) FUTURE MAJOR REPAIRS AND REPLACEMENTS

The Corporation has not conducted a study to determine the remaining useful lives of the components of common property and current estimates of costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation may have the right to borrow, utilize available cash, increase maintenance charges, pass special assessments or delay repairs and replacements until the funds are available. The effect on future assessments has not been determined at this time.

(10) INCOME TAXES

The U.S. Tax Court has ruled that housing cooperatives are subject to Subchapter T of the Internal Revenue Code (IRC). Subchapter T limits the use of patronage losses as deductions to the extent of patronage income. Income is patronage sourced if it derived from an activity that is so closely intertwined with the main cooperative effort that it may be characterized as directly related to, and inseparable from, the cooperative's principal business activity, and this facilitates the accomplishment of the cooperative's business purpose. However, if the transaction or account which produces the income merely enhances the overall profitability of the cooperative, then the income is from non-patronage sources.

The Corporation believes that all of its income is effectively patronage sourced. Accordingly, no provision for taxes, if any, that could result from the application of Subchapter T to the Corporation's income has been reflected in the accompanying financial statements.

(11) INCOME TAXES - (continued)

The Corporation has patronage net operating loss carryforwards from prior years for tax purposes totaling $2,498,325. The patronage tax loss carryforwards, if not used against patronage taxable income, expire in various years through 2035. Because the future utilization of these tax carryforwards losses is uncertain, no related deferred tax asset account has been reflected in the accompanying financial statements.

For the year ended December 31, 2016 the Corporation has a net patronage loss and is not liable for Federal tax. The Corporation is also subject to New York State and City tax based on the higher of net income or capital. Current tax expense is $4,455.

The Corporation's Federal, State and City tax returns are subject to examination by the applicable taxing authority for a period of three years after filing the returns.

(12) COMMITMENT

In April 2014, the Corporation entered into a contract with BP Elevator Corp. in the amount of $262,500 for the modernization of two elevators. A subsequent change order increased the project cost to $283,500. As of December 31, 2016, the contract has been paid in full.

In 2014, the Corporation began the process of interviewing vendors for the replacement of the roof and windows. Based on current vendor proposals, the Corporation estimates the cost of these projects to be approximately $562,000 excluding architect fees. As of the balance sheet date, no contracts have been signed.

(13) J-51 ABATEMENT

In 2016, the Corporation was granted a J-51 abatement in the amount of $60,048, the abatement will continue until the 2026/2027 tax year. The real estate taxes are being reduced by $5,560 per year.

(14) CONCENTRATION OF CREDIT RISK

The Corporation maintains its cash in bank deposit accounts in financial institutions whose balances, at times, may exceed federally insured limits. At December 31, 2016, the Corporation's cash balances exceeded insured limit.

(15) SUBSEQUENT EVENTS

Management has evaluated subsequent events through May 19, 2017, the date at which the financial statements became available for issuance. No events have occurred that would require adjustments to, or disclosure in, the financial statements.

Marin
& Montanye LLP

CERTIFIED PUBLIC ACCOUNTANTS

RICHARD B. MONTANYE, CPA
PATRICIA A. PRUSINSKI, CPA

Independent Accountant's Report
On Supplementary and Prospective Information

To: The Board of Directors and Shareholders of Crestwood Apartment Owners Corp.

We have audited the financial statements of Crestwood Apartment Owners Corp. as of and for the years ended December 31, 2016 and 2015, and our report thereon dated May 19, 2017, which expressed an unmodified opinion on those financial statements, appears on Page 1. Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying Supporting Schedules and Comparative Schedule of Income and Expenditures - Budget and Historical are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information, except for the portion marked "unaudited", on which we express no opinion, has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

We have also compiled the accompanying forecast of Crestwood Apartment Owners Corp. for the year ending December 31, 2017, in accordance with attestation standards established by the American Institute of Certified Public Accountants.

A compilation is limited to presenting in the form of forecasted data information that is the representation of management and does not include evaluation of the support for the assumptions underlying the information. We have not examined the forecasted information and, accordingly, do not express an opinion or any other form of assurance on the accompanying schedule or assumptions. Furthermore, there will usually be differences between the forecast and actual results, because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

The accompanying forecasted information and this report are intended solely for the information and use of the Board of Directors and Shareholders of Crestwood Apartment Owners Corp. and are not intended to be and should not be used by anyone other than these specified parties.

May 19, 2017 for Historical Statements

January 24, 2017 for Forecasted Statements

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CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - BALANCE SHEETS

As of December 31, 2016 and 2015

	2016	2015
WORKING CAPITAL FUND	Schedule 1	
Balance - January 1,	$ 680,845	$ 780,519
Add: Interest earned - net of bank fees	1,282	2,260
Less: Transfer to operating	(76,200)	(101,934)
Balance - December 31,	$ 605,927	$ 680,845
Consisting of:		
National Cooperative Bank - Money Market Plus	$ 12,210	$ 12,167
Merrill Lynch - cash/money accounts	275,366	267,516
- certificates of deposit	318,351	401,162
TOTAL WORKING CAPITAL FUND	$ 605,927	$ 680,845
RESERVE FUND	Schedule 2	
Balance - January 1,	$ 55,132	$ 25,073
Add: Interest earned	147	59
Transfer from operating	30,000	30,000
Balance - December 31,	$ 85,279	$ 55,132
Consisting of:		
Astoria Federal Bank - Preferred Money Market	$ 85,279	$ 55,132
TOTAL RESERVE FUND	$ 85,279	$ 55,132

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2016 and 2015

	2016	2015
ADMINISTRATIVE EXPENSES	Schedule 3	
Management fee	$ 24,000	$ 23,800
Legal	7,925	7,395
Auditing	7,800	7,800
Telephone	3,987	4,098
Miscellaneous administrative	11,786	6,124
Insurance	40,797	39,576
Consulting	9,922	3,226
TOTAL ADMINISTRATIVE EXPENSES	$ 106,217	$ 92,019
OPERATING EXPENSES	Schedule 4	
Fuel and gas heat	$ 35,962	$ 75,768
Electricity and gas - (cooking and dryers)	35,039	16,863
Water and sewer charges	63,429	62,424
Payroll	77,207	67,770
Payroll taxes	8,851	6,272
Payroll insurance	4,149	3,871
Permits and miscellaneous operating	2,887	2,111
TOTAL OPERATING EXPENSES	$ 227,524	$ 235,079
MAINTENANCE EXPENSES	Schedule 5	
Exterminating	$ 5,797	$ 7,863
Elevator contract and repair	9,524	6,493
Supplies and janitorial materials	7,616	10,180
Grounds	6,473	10,052
Plumbing and heating repairs	34,398	38,884
Miscellaneous repairs - materials and labor to contractors	15,438	12,246
TOTAL MAINTENANCE EXPENSES	$ 79,246	$ 85,718

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP.

SUPPORTING SCHEDULES - OPERATING EXPENSES

For The Years Ended December 31, 2016 and 2015

	2016	2015
TAXES	Schedule 6	
New York City real estate taxes	$ 218,341	$ 195,543
New York State franchise taxes	3,755	2,588
New York City corporate tax	700	1,029
TOTAL TAXES	$ 222,796	$ 199,160
FINANCIAL EXPENSE	Schedule 7	
Interest on mortgage payable	$ 138,267	$ 137,889
TOTAL FINANCIAL EXPENSE	$ 138,267	$ 137,889
DEPRECIATION AND AMORTIZATION	Schedule 8	
Depreciation - building	$ 95,352	$ 95,352
- improvements	54,779	52,206
Amortization of debt issuance costs	11,500	11,500
TOTAL DEPRECIATION AND AMORTIZATION	$ 161,631	$ 159,058

See Accountant's Report.

CRESTWOOD APARTMENT OWNERS CORP. EXHIBIT E

COMPARATIVE SCHEDULE OF INCOME AND EXPENDITURES - BUDGET, HISTORICAL AND FORECAST

Years Ended December 31, 2016 and 2015 (Historical) and Year Ending December 31, 2017 (Forecasted)

	2016 Budget Unaudited	2016 Actual	2015 Actual	2017 Forecast
INCOME				
Maintenance charges	$ 685,700	$ 685,646	$ 685,646 (1)	$ 706,200 (2)
Operating assessment	50,500	58,806	50,704	64,100
Parking	12,400	13,680	12,420	14,600
Gym membership fees	5,700	7,013	6,253	5,700
Sublet and late fees	5,000	450	3,124	-0-
Apartment transfer fees	-0-	3,936	4,776	5,000
Laundry	1,000	1,940	1,394	1,000
Interest	500	1,646	2,803	2,500
Miscellaneous	1,500	5,350	5,139	4,500
TOTAL INCOME	762,300	778,467	772,259	803,600
EXPENDITURES				
Management fee	24,000	24,000	23,800	24,000
Legal	5,400	7,925	7,395	6,400
Auditing	8,000	7,800	7,800	8,000
Telephone	3,000	3,987	4,098	3,500
Miscellaneous administrative	5,000	11,786	6,124	6,000
Insurance	41,400	40,797	39,576	41,600
Consulting	2,000	9,922	3,226	1,000
Fuel and gas heat	86,000	35,962	75,768	70,000
Electricity and gas - (cooking and dryers)	19,000	35,039	16,863	16,000
Water and sewer charges	55,000	63,429	62,424	77,200
Payroll	70,000	77,207	67,770	75,900
Payroll taxes	6,900	8,851	6,272	7,500
Payroll insurance	4,500	4,149	3,891	5,000
Permits and miscellaneous operating	1,000	2,887	2,111	1,500
Exterminating	6,500	5,797	7,863	6,500
Elevator contract and repairs	10,000	9,524	6,493	10,000
Supplies and janitorial materials	12,000	7,616	10,180	7,000
Grounds	6,000	6,473	10,052	5,000
Plumbing and heating repairs	17,000	34,398	38,884	20,000
Miscellaneous repairs, materials, labor to contractors	10,000	15,438	12,246	10,000
New York City real estate taxes	217,400	218,341	195,543	241,500
New York State and City corporate taxes	3,000	4,455	3,617	4,000
Mortgage interest	148,900	138,267	137,889	138,300
TOTAL EXPENDITURES	762,000	774,050	749,865	785,900
SURPLUS FROM OPERATIONS	$ 300	$ 4,417	$ 22,394	$ 17,700

(1) Reflects a 4% maintenance increase effective January 1, 2015.
(2) Reflects a 3% maintenance increase effective January 1, 2017.

See Accountant's Compilation Report and Summary of Significant Accounting Policies and Assumptions.

CRESTWOOD APARTMENT OWNERS CORP.

YEAR ENDING DECEMBER 31, 2017

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND FORECAST ASSUMPTIONS

NOTE A: The financial forecast presents, to the best of management's knowledge and belief, the company's expected results of operations for the forecast period. Accordingly, the forecast reflects its judgement, as of January 24, 2017, date of this forecast, of the expected conditions and its expected course of action. The assumptions disclosed herein are those that management believes are significant to the forecast. There will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

NOTE B: Basis of Accounting - The accompanying forecast is presented using the accrual basis of accounting. Income is recorded when earned and expenses are recorded when incurred.

NOTE C: Income Tax - The Corporation is subject to Federal income tax based on net income. The Corporation is also subject to New York State franchise tax and New York City corporation tax based on the higher of net income or capital.

NOTE D: Revenue - Maintenance charges have been computed based on approximately $58,850 per month.

NOTE E: Expenses - Real estate taxes are computed based on the assessed valuation times the estimated tax rate of 13%. Fuel and gas heat expense has been estimated on current market conditions. Insurance expense is based on current policies.

NOTE F: Debt - The accompanying forecast assumes the following debt:

1. Mortgage Payable - Monthly payments of interest only and a principal balance of $3,200,000 at a rate of 4.25% per annum.

DOCUMENT NO. 2C

CRESTWOOD APTS. OWNERS
APPROVED BUDGET
FOR THE YEAR ENDED
DECEMBER 31, 2017

	REVENUES:	
(1)	CARRYING CHARGES	**706,200**
(2)	ASSESSMENT	**64,100**
(3)	MCI ASSESSMENT	**30,000**
	COOP TAX ABATEMENTS	**(59,600)**
	GARAGES	**14,600**
	OTHER INCOME	**18,700**
	TOTAL PROJECTED INCOME	**774,000**
	EXPENSES:	
	PAYROLL & RELATED	**88,400**
	ADMINISTRATIVE EXPENSES	**15,000**
	PROFESSIONAL FEES	**39,400**
	OPERATING EXPENSES	**163,200**
	MAINTENANCE EXPENSES	**58,500**
	TAXES & INSURANCE	**223,500**
	MORTGAGE	**138,300**
	TOTAL PROJECTED EXPENSE	**726,300**
	NET OPERATING INCOME	**47,700**
	TRANSFER TO RESERVES	**(30,000)**
	TOTAL	**17,700**

OTHER	
LAUNDRY	1,000
TRANSFER FEES	5,000
GYM	5,700
INTEREST	2,500
MISCEL.	4,500
	18,700

(1) Maintenance increase of 3.0% to $47.2164 per share annually or $3.9347 per share per month effective 01/01/17.

(2) Assessment of $4.2872 per share or $64,100 to be imposed at the same time the Abatement credits estimated to be $59,600 are distributed.

(3) The Board approved a $30,000 Capital Assessment at a rate of $0.17 per share per month from January 1, 2017 through December 1, 2017.

STATE OF NEW YORK
OFFICE OF THE ATTORNEY GENERAL

BARBARA D. UNDERWOOD
ATTORNEY GENERAL

(212) 416-8966

DIVISION OF ECONOMIC JUSTICE
REAL ESTATE FINANCE BUREAU

August 29, 2018

Tjs Associates, Llc
c/o Cutler Minikes & Adelman, Llp
Attention: Richard Adelman, Esq.
150 White Plains Road, Suite 106
Tarrytown, NY 10591

RE: The Crestwood
File Number: C 870398 Amendment No: 30
Date Amendment Filed: 08/06/2018 Filing Fee: $225.00
Receipt Number: 146766

Dear Sponsor:

The referenced amendment to the offering plan for the subject premises is hereby accepted and filed. Since this amendment is submitted after the post closing amendment has been filed, this filing is effective for twelve months from the date of filing of this amendment. However, any material change of fact or circumstance affecting the property or offering requires an immediate amendment.

Any misstatement or concealment of material fact in the material submitted as part of this amendment renders this filing void ab initio. This office has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or anywaiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this letter is conditioned upon the collection of all fees imposed by law. This letter is your receipt for the filing fee.

Very truly yours,

Constance Leperides

Constance Leperides
Assistant Attorney General

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	August 6, 2018
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

THIRTIETH AMENDMENT TO THE PLAN

This Thirtieth Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Twenty-Ninth Amendment (collectively the "Plan").

The terms of this Thirtieth Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges and monthly capital assessment payable for the Unsold Shares owned by the Sponsor are $8,278.62 and $357.68. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $10,857.32.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board in 1995 on or about the fifth anniversary of the September 1990 Closing Date of the Apartment Corporation. The following are the current Directors and Officers of the Apartment Corporation are:

Janusz Wojciechowski	President
Claudine Gruen	Vice President
Michael Asher	Treasurer
Susan Sendek	Secretary
Michael Anastasiou	
Linda Swearingen	
[Vacant] *	

* Sponsor's Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Managing Agent for the Apartment Corporation has advised that the December 31, 2017 financial statements and the 2018 Budget are not available as of the submission date of this amendment. Prospective purchasers are advised to inquire regarding the availability of the 2017 financial statements and the final 2018 budget, as adopted, from the Apartment Corporation, and if available, to request a copies of them for review.

SIXTH: SPECIAL RISK: TAX CUTS AND JOBS ACT OF 2017

On January 1, 2018, the Tax Cuts and Jobs Act of 2017 went into effect. This federal law significantly changed the previously existing Internal Revenue Code, including the taxes and deductions related to home ownership. Accordingly, the tax information and projections disclosed in this offering plan may be inaccurate because such are based on federal tax law as it existed prior to 2018. Purchasers are advised to consult with a tax expert regarding whether the new law will affect the purchaser's taxes. Purchasers should not rely on any representations in this offering plan addressing taxes without first consulting a tax expert.

SEVENTH: CHANGE IN IDENTITY OF PARTIES

A. Managing Agent. The Sponsor has been advised that the Board of Directors of the Apartment Corporation has engaged Metro Management Development, Inc., 42-25 21st Street, Long Island City, NY 11101, Tel: (718) 706-7755, as the Managing Agent for the Apartment Corporation effective December 2017. The new managing agent is not affiliated with the Sponsor. Prospective purchasers may inquire with the board or the managing agent for further information about this management company.

B. Attorneys for Holder. The law firm of Cutler Minikes & Adelman LLP, 150 White Plains Road, Suite 106, Tarrytown, NY 10591, Attention: Richard B. Adelman, Esq. prepared this amendment and continues to represent the Sponsor in connection with this offering plan. The law firm Silverstein Law, P.C., 254 South Main Street, Suite 210, New City, NY 10956, Attn: Steven M. Silverstein, Esq. shall hereafter serve as attorney for the Sponsor in connection with the sale and closing of individual apartments and as escrow agent for the Sponsor and purchasers.

EIGHTH: ESCROW TRUST FUND FOR CONTRACTS OF SALE

A. Revised Escrow Trust Fund Regulations. The Department of Law has revised its regulations to eliminate the Attorney General's authority to adjudicate disputes regarding the disposition of deposits, down payments, or advances ("Deposits") received by Sponsor/Holder (herein, "Seller") pursuant to New York General Business Law ("GBL") §§ 352-e(2-b) and 352-h. The changes only impact Purchasers who have not received a fully executed Purchase Agreement prior to the date of service of this Amendment. For all Purchasers who receive a fully executed Purchase Agreement on or after the date of services of this Amendment, the disclosures set forth in the Procedure to Purchase Section of the Plan are modified as set forth herein.

B. Purchase Agreement; Revised Procedure to Purchase Section of the Plan. The Procedure to Purchase Section of the Plan regarding escrow trust fund requirements, as previously modified, is hereby replaced with the following disclosures set forth herein. The Seller, Escrow Agent and Purchasers must enter into a trilateral Escrow Account Rider to Purchase Agreement at the time the Purchase Agreement is executed and delivered in the form attached hereto as Document No. 2A. The Escrow Agreement set forth in the Plan is hereby replaced with the Escrow Agreement between the Seller and the Escrow Agent attached hereto as Document No. 2B.

C. The Escrow Agent. The law firm of Silverstein Law P.C., 254 South Main Street, Suite 210, New City, NY 10956, telephone number (845) 638-9400, shall serve as escrow agent ("Escrow Agent") for Seller and Purchaser. Escrow Agent has designated the following attorney to serve as signatory: Steven M. Silverstein.

The designated signatory is admitted to practice law in the State of New York. Neither the Escrow Agent nor the authorized signatory on the account are the Seller, Selling Agent, Managing Agent, or any principal thereof, or have any beneficial interest in any of the foregoing.

D. The Escrow Account. The Escrow Agent has established a master escrow account at Orange Bank & Trust Company, located at 254 South Main Street, New City, NY 10956, in the State of New York ("Bank"), a bank authorized to do business in the State of New York. The escrow account is entitled Silverstein Law PC, Attorney Trust Account/IOLA. The Deposit shall be placed in a separate sub-account of the master escrow account. In addition, shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the master escrow account so that escrow checks may be drawn thereon. (The account in which the Deposit is deposited from time to time is referred to herein as the "Escrow Account".) The master escrow account and sub-accounts are federally insured by the FDIC at the maximum amount of $250,000 per deposit. Any deposit in excess of $250,000 will not be insured. No fees of any kind may be deducted from the Escrow Account, and the Seller shall bear all costs

associated with the maintenance of the Escrow Account.

The master escrow account and the sub-account into which the Deposit shall be placed shall be Interest-On-Lawyer's-Accounts ("IOLA") established pursuant Judiciary Law Section 497. Shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the Escrow Account so that escrow checks may be drawn thereon. Under the IOLA program, interest on the account accrues to the benefit of the Client Security Fund administered by the State of New York. Since all interest earned on an IOLA account is payable to the IOLA Fund of the State of New York, no interest will be earned for or payable to either the Seller or Purchaser.

All Deposits received by Purchaser shall be in the form of checks, money orders, wire transfers, or other instruments, and shall be made payable to or endorsed by the Purchaser to the order of Silverstein Law P.C., as Escrow Agent.

E. Notification to Purchaser. Within five (5) business days after the Purchase Agreement, including the Escrow Account Rider to Purchase Agreement, has been signed by all necessary parties and tendered to Escrow Agent along with the Deposit, the Escrow Agent shall sign the Escrow Account Rider to Purchase Agreement and place the Deposit into the Escrow Account. The deposit by the Escrow Agent of the Purchaser's Deposit into the Escrow Account shall not be deemed acceptance of the Purchase Agreement by Seller. With ten (10) business days of the placing the Deposit in the Escrow Account, Escrow Agent shall provide written notice to Purchaser and Seller, confirming the Deposit. The notice shall provide the account number. Any Deposits made for upgrades, extras, or custom work shall be initially deposited into the Escrow Account, and released in accordance to the terms of a written agreement between Purchaser and Seller.

The Escrow Agent is obligated to send notice to the Purchaser once the Deposit is placed in the Escrow Account. If the Purchaser does not receive notice of such deposit within fifteen (15) business days after tender of the Deposit together with the Purchase Agreement and all riders thereto fully signed by the Purchaser, he or she may cancel the Purchase Agreement within ninety (90) days after tender of the Purchase Agreement and Deposit to Escrow Agent. Complaints concerning the failure to honor such cancellation requests may be referred to the Office of the Attorney General, Real Estate Finance Bureau, 28 Liberty Street, 21st Floor, New York, NY 10005-1413. Rescission shall not be afforded where proof satisfactory to the Attorney General is submitted establishing that the Deposit was timely placed in the Escrow Account in accordance with the New York State Department of Law's regulations concerning Deposits and requisite notice was timely mailed to the Purchaser, or if such Deposit was placed in the Escrow Account and notice was received by Purchaser (even if later than such time periods) prior to the time Purchaser mailed or delivered his or notice purporting to exercise such right of rescission.

F. Release of Funds. All Deposits, except for advances made for upgrades, extras, or custom work received in connection with the Purchase Agreement, are and shall continue to be the Purchaser's money, and may not be commingled with any other money (other than other Deposits while the Deposit is in the master escrow account) or pledged or hypothecated by Seller, as per GBL § 352-h.

The Escrow Agent shall release the Deposit if so directed:

(a) pursuant to the terms and conditions set forth in the Escrow Account Rider to Purchase Agreement upon closing of title to the [Unit/Shares]; or

(b) in a subsequent writing signed by both Seller and Purchaser; or

(c) by a final, non-appealable order or judgment of a court.

If the Escrow Agent is not directed to release the Deposit pursuant to paragraphs (a) through (c) above, and the Escrow Agent receives a request by either party to release the Deposit, then the Escrow Agent must give both the Purchaser and Seller prior written notice of not fewer than thirty (30) days before releasing the Deposit. If the Escrow Agent has not received notice of objection to the release of the Deposit prior to the expiration of the thirty (30) day period, the Deposit shall be released and the Escrow Agent shall provide further written notice to both parties informing them of said release. If the Escrow Agent receives a written notice from either party objecting to the release of the Deposit within said thirty (30) day period, the Escrow Agent shall continue to hold the Deposit until otherwise directed pursuant to paragraphs (a) through (c) above. Notwithstanding the foregoing, the Escrow Agent shall have the right at any time to deposit the Deposit contained in the Escrow Account with the clerk of the county where the premises is located and shall give written notice to both parties of such deposit.

The Seller shall not object to the release of the Deposit to a Purchaser who timely rescinds in accordance with an offer of rescission contained in the Plan or an Amendment to the Plan.

The Department of Law may perform random reviews and audits of any records involving the Escrow Account to determine compliance with all applicable statutes and regulations.

G. Waiver Void. Any provision of any Purchase Agreement or separate agreement, whether oral or in writing, by which a Purchaser purports to waive or indemnify any obligation of the Escrow Agent holding any Deposit in trust is absolutely void. The provisions of the Attorney General's regulations and GBL §§ 352-e(2-b) and 352-h concerning escrow trust funds shall prevail over any conflicting or inconsistent provisions in the Purchase Agreement, Plan, or any amendment thereto.

NINTH: FINCEN'S GEOGRAPHIC TARGETING ORDER

On January 13, 2016 the Director of the Financial Crimes Enforcement Network ("FinCEN"), U.S. Department of the Treasury, issued a Geographic Targeting Order ("Order") requiring title insurance companies to collect and report information about the persons involved in certain residential real estate transactions. FinCen modified and extended the Order on July 22, 2016, on February 23, 2017, August 22, 2017 and on March 19, 2018. The current Order requires title insurance companies to collect and report information about the persons involved in certain residential real estate transactions in all boroughs of New York City in furtherance of the Bank Secrecy Act. Title companies are required by such order to collect and report information regarding purchasers in transactions where: (1) the purchaser is a legal entity as defined in the Order; (2) the purchaser purchases residential real property located in the Boroughs of Brooklyn, Queens, Bronx, Manhattan and Staten Island; (3) the total purchase price is in excess of $3,000,000 in the Borough of Manhattan or the total purchase price is in excess of $1,500,000 for the Boroughs of Brooklyn, Queens, Bronx or Staten Island; (4) such purchase is made without a bank loan or other similar form of external financing; and (5) the purchase is made at least in part, using currency or a cashier's check, a certified check, a traveler's check, a personal check, a business check, or a money order in any form, or a funds transfer. As used in the Order, "Legal Entity" means a corporation, limited liability company, partnership or other similar business entity, whether formed under the laws of a state or of the United States or a foreign jurisdiction. The Order affects all residential real property closings occurring on or after March 21, 2018 and until the expiration of the effective period of such Order (i.e., September 16, 2018, as of the date hereof, which date is subject to change by FinCEN).

TENTH: CHANGE OF ADDRESS FOR REAL ESTATE FINANCE BUREAU

Beginning April 9, 2018, the Real Estate Finance Bureau (REF) of the New York State Office of the Attorney General is no longer be located at 120 Broadway. REF's new address is:

Office of the Attorney General
Real Estate Finance Bureau
28 Liberty Street, 21st Floor
New York, NY 10005-1413

ELEVENTH: DEFINITIONS

All terms used in this Thirtieth Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TWELFTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Twenty-Ninth Amendments, is incorporated herein by reference with the same effect as if set forth at length.

THIRTEENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

FOURTEENTH: NO MATERIAL CHANGES

Except as set forth in this Thirtieth Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
August 6, 2018

Crestwood Apartments
124-16 84th Road
Kew Gardens, NY 11415

TJS Associates LLC
29th Amendment

DOCUMENT NO. 1

Last Updated: 5/18/2018
Info as of: 5/18/2018

Apt. No.	Sta-tus	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $3.9347 per share	Monthly Capital Assessment Charges[1] @ $0.17 per share
2L	S	2	294	$294,000	$1,156.80	$49.98
3E	S	3	325	$325,000	$1,278.78	$55.25
4J	S	1	202	$202,000	$794.81	$34.34
5C	S	1	179	$179,000	$704.31	$30.43
5F	S	0	152	$152,000	$598.08	$25.84
5G	S	1	212	$212,000	$834.16	$36.04
5H	S	1	212	$212,000	$834.16	$36.04
5K	S	1	230	$230,000	$904.98	$39.10
6L	S	2	298	$298,000	$1,172.54	$50.66
TOTAL	9	12	2,104	$2,104,000	$8,278.62	$357.68

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

[1] The Board adpoted a capital assessment of $0.17 per share per month for 12 months commencing January 1, 2018

DOCUMENT NO. 2A

ESCROW ACCOUNT RIDER TO CONTRACT OF SALE

UNIT ____ AT
THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NY

The following provisions of this Rider are attached to the Contract of Sale and made a part thereof.

1. In the event of any inconsistency between the provisions of this Rider and those contained in the Contract to which this Rider is annexed, the provisions of this Rider shall govern and be binding.

2. The Escrow Agent. The law firm of Silverstein Law P.C., 254 South Main Street, Suite 210, New City, NY 10956, telephone number (845) 638-9400, shall serve as escrow agent ("Escrow Agent") for Seller and Purchaser. Escrow Agent has designated the following attorney to serve as signatory: Steven M. Silverstein.

The designated signatory is admitted to practice law in the State of New York. Neither the Escrow Agent nor the authorized signatory on the account are the Seller, Selling Agent, Managing Agent, or any principal thereof, or have any beneficial interest in any of the foregoing.

3. Submit to Jurisdiction. Escrow Agent and all authorized signatories hereby submit to the jurisdiction of the State of New York and its Courts for any cause of action arising out of the Purchase Agreement or otherwise concerning the maintenance of release of the Deposit from escrow.

4. The Escrow Account. The Escrow Agent has established a master escrow account at Orange Bank & Trust Company, located at 254 South Main Street, New City, NY 10956, in the State of New York ("Bank"), a bank authorized to do business in the State of New York. The escrow account is entitled Silverstein Law PC, Attorney Trust Account/IOLA. The Deposit shall be placed in a separate sub-account of the master escrow account. In addition, shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the master escrow account so that escrow checks may be drawn thereon. (The account in which the Deposit is deposited from time to time is referred to herein as the "Escrow Account".) The master escrow account and sub-accounts are federally insured by the FDIC at the maximum amount of $250,000 per deposit. Any deposit in excess of $250,000 will not be insured. No fees of any kind may be deducted from the Escrow Account, and the Seller shall bear all costs associated with the maintenance of the Escrow Account.

5. The master escrow account and the sub-account into which the Deposit shall be placed shall be Interest-On-Lawyer's-Accounts ("IOLA") established pursuant Judiciary Law Section 497. Shortly prior to the time the Deposit is scheduled to be released, the Deposit will be transferred from the sub-account into the Escrow Account so that escrow checks may be drawn thereon. Under the IOLA program, interest on the account accrues to the benefit of the Client Security Fund administered by the State of New York. Since all interest earned on an IOLA account is payable to the IOLA Fund of the State of New York, no interest will be earned for or payable to either the Seller or Purchaser.

6. All Deposits received by Purchaser shall be in the form of checks, money orders, wire transfers, or other instruments, and shall be made payable to or endorsed by the Purchaser to the order of Silverstein Law P.C., as Escrow Agent.

7. Notification to Purchaser.

a. Within five (5) business days after the Purchase Agreement, including this Escrow Account Rider to Purchase Agreement, has been signed by all necessary parties and tendered to Escrow Agent along with the Deposit, the Escrow Agent shall sign the Escrow Account Rider to Purchase Agreement and place the Deposit into the Escrow Account. The deposit by the Escrow Agent of the Purchaser's Deposit into the Escrow Account shall not be deemed acceptance of the Purchase Agreement by Seller. With ten (10) business days of the placing the Deposit in the Escrow Account, Escrow Agent shall provide written notice to Purchaser and Seller, confirming the Deposit. The notice shall provide the account number. Any Deposits made for upgrades, extras, or custom work shall be initially deposited into the Escrow Account, and released in accordance to the terms of a written agreement between Purchaser and Seller.

b. The Escrow Agent is obligated to send notice to the Purchaser once the Deposit is placed in the Escrow Account. If the Purchaser does not receive notice of such deposit within fifteen (15) business days after tender of the Deposit together with the Purchase Agreement and all riders thereto fully signed by the Purchaser, he or she may cancel the Purchase Agreement within ninety (90) days after tender of the Purchase Agreement and Deposit to Escrow Agent. Complaints concerning the failure to honor such cancellation requests may be referred to the Office of the Attorney General, Real Estate Finance Bureau, 28 Liberty Street, 21st Floor, New York, NY 10271. Rescission shall not be afforded where proof satisfactory to the Attorney General is submitted establishing that the Deposit was timely placed in the Escrow Account in accordance with the New York State Department of Law's regulations concerning Deposits and requisite notice was timely mailed to the Purchaser, or if such Deposit was placed in the Escrow Account and notice was received by Purchaser (even if later than such time periods) prior to the time Purchaser mailed or delivered his or notice purporting to exercise such right of rescission.

8. No Commingling. All Deposits, except for advances made for upgrades, extras, or custom work received in connection with the Purchase Agreement, are and shall continue to be the Purchaser's money, and may not be commingled with any other money (other than other Deposits while the Deposit is in the master escrow account) or pledged or hypothecated by Seller, as per GBL § 352-h.

9. Release of Funds. The Escrow Agent shall release the Deposit if so directed:

a. pursuant to the terms and conditions set forth in the Escrow Account Rider to Purchase Agreement upon closing of title to the [Unit/Shares]; or

b. in a subsequent writing signed by both Seller and Purchaser; or

c. by a final, non-appealable order or judgment of a court.

If the Escrow Agent is not directed to release the Deposit pursuant to paragraphs (a) through (c) above, and the Escrow Agent receives a request by either party to release the Deposit, then the Escrow Agent must give both the Purchaser and Seller prior written notice of not fewer than thirty (30) days before releasing the Deposit. If the Escrow Agent has not received notice of objection to the release of the Deposit prior to the expiration of the thirty (30) day period, the Deposit shall be released and the Escrow Agent shall provide further written notice to both parties informing them of said release. If the Escrow Agent receives a written notice from either party objecting to the release of the Deposit within said thirty (30) day period, the Escrow Agent shall continue to hold the Deposit until otherwise directed pursuant to paragraphs (a) through (c) above. Notwithstanding the foregoing, the Escrow Agent shall have the right at any time to deposit the Deposit contained in the Escrow Account with the clerk of the county where the premises is located and shall give written notice to both parties of such deposit.

10. Release on Rescission. The Seller shall not object to the release of the Deposit to a Purchaser who timely rescinds in accordance with an offer of rescission contained in the Plan or an Amendment to the Plan.

11. Reviews and Audits. The Department of Law may perform random reviews and audits of any records involving the Escrow Account to determine compliance with all applicable statutes and regulations.

12. Waiver Void. Any provision of any Purchase Agreement or separate agreement, whether oral or in writing, by which a Purchaser purports to waive or indemnify any obligation of the Escrow Agent holding any Deposit in trust is absolutely void. The provisions of the Attorney General's regulations and GBL §§ 352-e(2-b) and 352-h concerning escrow trust funds shall prevail over any conflicting or inconsistent provisions in the Purchase Agreement, Plan, or any amendment thereto.

13. Supervision. Escrow Agent shall maintain the Escrow Account under its direct supervision and control.

14. Fiduciary Relationship. A fiduciary relationship shall exist between Escrow Agent, and Purchaser, and Escrow Agent acknowledges its fiduciary and statutory obligations pursuant to GBL §§ 352(e)(2-b) and 352(h).

15. Reliance. Escrow Agent may rely upon any paper or document which may be submitted to it in connection with its duties under this Purchase Agreement and which is believed by Escrow Agent to be genuine and to have been signed or presented by the proper party or parties and shall have no liability or responsibility with respect to the form, execution or validity thereof.

16. Delivery of Deposit by Seller. Seller agrees that Seller and its agents, including any selling agents, shall deliver the Deposit received by them prior to closing of the [unit/shares] to a designated attorney who is a member of or employed by Escrow Agent, within two (2) business days of tender of the Deposit by Purchaser.

17. No Interference. Seller agrees that it shall not interfere with Escrow Agent's performance of its fiduciary duties and statutory obligations as set forth in GBL §§ 352-(e)(2-b) and 352-(h) and the New York State Department of Law's regulations.

18. IRS Forms. Seller shall obtain or cause the selling agent under the Plan to obtain a completed and signed Form W-9 or W-8, as applicable, from Purchaser and deliver such form to Escrow Agent together with the Deposit and this Purchase Agreement.

19. No Payment of Fees From Deposit Prior to Release. Prior to release of the Deposit, Escrow Agent's fees and disbursements shall neither be paid by Seller from the Deposit nor deducted from the Deposit by any financial institution under any circumstance.

20. Indemnification. Seller agrees to defend, indemnify and hold Escrow Agent harmless from and against all costs, claims, expenses and damages incurred in connection with or arising out of Escrow Agent's responsibilities arising in connection with this Purchase Agreement or the performance or non-performance of Escrow Agent's duties under this Purchase Agreement, except with respect to actions or omissions taken or suffered by Escrow Agent in bad faith or in willful disregard of the obligations set forth in this Purchase Agreement or involving gross negligence of Escrow Agent. This indemnity includes, without limitation, disbursements and attorneys' fees either paid to retain attorneys or representing the hourly billing rates with respect to legal services rendered by Escrow Agent to itself.

21. Counterparts and Facsimile. This Rider may be executed in any number of counterparts, each such

counterpart shall be an original and all of which shall constitute one and the same Rider. This Rider may be executed by facsimile signatures of one or more of the parties hereto, which signatures shall be binding on such parties as if original signatures were obtained.

[SIGNATURES ON TIIE FOLLOWING PAGE]

SELLER:

By:_____

PURCHASER:

_____

ESCROW AGENT:

Silverstein Law P.C.

By: _____

_____

DOCUMENT NO. 2B

SPONSOR-ESCROW AGENT ESCROW AGREEMENT

AGREEMENT made as of this 22nd day of May, 2018, by and between TJS Associates, LLC ("SPONSOR"), as sponsor of the Cooperative offering plan ("Plan") and Silverstein Law P.C. ("ESCROW AGENT").

WHEREAS, SPONSOR has filed the Offering Plan with the Attorney General to offer for sale cooperative or condominium interests at the premises located at 124-16 84th Road, Kew Gardens, NY 11415, subject to the terms and conditions set forth in the Plan; and

WHEREAS, ESCROW AGENT is authorized to act as an escrow agent hereunder in accordance with New York General Business Law ("GBL") Sections 352-e(2-b), 352-(h) and the New York Department of Law's regulations promulgated thereunder; and

WHEREAS, SPONSOR desires that ESCROW AGENT act as escrow agent for deposits, down payments, and advances (referred to herein as "Deposit") pursuant to the terms of this Agreement.

NOW, THEREFORE, in consideration of the covenants and conditions contained herein and other good and valuable consideration, the parties hereby agree as follows:

1. ESTABLISHMENT OF THE ESCROW ACCOUNT.

1.1. ESCROW AGENT [shall/has] establish[ed] an escrow account for the purpose of holding the Deposit made by purchasers pursuant to that certain purchase agreement for the purchase and sale of shares or units (a "Purchase Agreement") at Orange Bank & Trust Company, located at 254 South Main Street, New City, NY10956, in the State of New York ("Bank"), a bank authorized to do business in the State of New York. The escrow account is entitled Silverstein Law PC, Attorney Trust Account/IOLA ("Escrow Account").

1.2 ESCROW AGENT has designated the following attorney to serve as signatory: Steven M. Silverstein. The designated signatory is admitted to practice law in the State of New York. The signatory on the Escrow Account has an address of 254 South Main Street, Suite 210, New City, NY 10956, and a telephone number of (845) 638-9400.

1.3 ESCROW AGENT and all authorized signatories hereby submit to the jurisdiction of the State of New York and its Courts for any cause of action arising out of this Agreement or otherwise concerning the maintenance of or release of the Deposit from escrow.

1.4 Neither ESCROW AGENT nor any authorized signatories on the Escrow Account are the Sponsor, Selling Agent, Managing Agent (as those terms are defined in the Plan), or any principal thereof, or have any beneficial interest in any of the foregoing .

1.5 The Escrow Account is an IOLA account established pursuant to Judiciary Law Section 497. The sub-accounts into which the deposit from purchasers shall be placed may be either an interest-bearing sub-account of the Escrow Account or an IOLA sub-account of the Escrow Account.

2. DEPOSITS INTO THE ESCROW ACCOUNT.

2.1 All Deposits received from purchasers prior to closing, whether in the form of checks, drafts, money orders, wire transfers, or other instruments which identify the payor, shall be placed into the Escrow

Account. All instruments to be placed into the Escrow Account shall be made payable directly to the order of Silverstein Law, P.C., as ESCROW AGENT, pursuant to the terms set forth in the Plan. Any instrument payable to, or endorsed other than as required hereby, and which cannot be deposited into such Escrow Account, shall be returned to the purchaser promptly, but in no event more than five (5) business days following receipt of such instrument by ESCROW AGENT. In the event of such return of the Deposit, the instrument shall be deemed not to have been delivered to ESCROW AGENT pursuant to the terms of this Agreement.

2.2 ESCROW AGENT is hereby obligated to send a notice of all Deposits received by ESCROW AGENT to the purchaser within ten (10) business days of receipt and deposit of same into the escrow account (following receipt by ESCROW AGENT of the Deposit together with the Purchase Agreement and all riders thereto fully signed by all necessary parties. Such notice shall set forth the Bank and the account number. If the purchaser does not receive notice of such deposit within fifteen (15) business days after tender of the Deposit together with the Purchase Agreement and all riders thereto fully signed by the Purchaser, the purchaser may cancel the Purchase Agreement within ninety (90) days after tender of the Purchase Agreement and Deposit to Escrow Agent. Complaints concerning the failure to honor such cancellation requests may be referred to the Office of the Attorney General, Real Estate Finance Bureau, 28 Liberty Street, 21st Floor, New York, NY 10005-1413. Rescission shall not be afforded where proof satisfactory to the Attorney General is submitted establishing that the Deposit was timely placed in the Escrow Account in accordance with the New York State Department of Law's regulations concerning the Deposit and requisite notice was timely mailed to the purchaser, or if such Deposit was placed in the Escrow Account and notice was received by Purchaser (even if later than such time periods) prior to the time Purchaser mailed or delivered his or notice purporting to exercise such right of rescission.

3. RELEASE OF FUNDS

3.1 Under no circumstances shall SPONSOR seek or accept release of the Deposit of the purchaser to SPONSOR until after consummation of the Plan, as evidenced by the acceptance of an effectiveness amendment by the New York State Department of Law. Consummation of the Plan shall not relieve SPONSOR or ESCROW AGENT of any obligation to the purchaser as set forth in GBL §§ 352-3(2-b) and 352-h.

3.2 ESCROW AGENT shall release the Deposit to the purchaser or SPONSOR as directed:

3.2.1 pursuant to terms and conditions set forth in the Purchase Agreement and this Agreement, upon closing of title to the shares/unit;

3.2.2 in a subsequent writing signed by both SPONSOR and the purchaser; or

3.2.3 by a final, non-appealable order or judgment of a court.

3.3 If Escrow Agent is not directed to release the Deposit pursuant to paragraph 3.2 above, and Escrow Agent receives a request by either SPONSOR or the purchaser to release the Deposit, then Escrow Agent must give both the purchaser and Sponsor prior written notice of not fewer than thirty (30) days before releasing the Deposit. If Escrow Agent has not received notice of objection to the release of the Deposit prior to the expiration of the thirty (30) day period, the Deposit shall be released and Escrow Agent shall provide further written notice to both the purchaser and SPONSOR informing them of said release. If Escrow Agent receives a written notice from either the purchaser or SPONSOR objecting to the release of the Deposit within said thirty (30) day period, Escrow Agent shall continue to hold the Deposit until otherwise directed pursuant to paragraph 3.2 above. Notwithstanding the foregoing, Escrow Agent shall have the right at any time to deposit the Deposit contained in the Escrow Account with the Clerk of the county where the premises is located and shall give written notice to both SPONSOR and the purchaser of

such deposit.

3.4 Sponsor shall not object to the release of the Deposit to:

3.4.1 the purchaser, if the purchaser timely rescinds in accordance with an offer of rescission contained in the Plan or an Amendment to the Plan; or

3.4.2 the purchaser after an Amendment abandoning the Plan is accepted for filing by the New York State Department of Law.

4. RECORDKEEPING.

4.1 ESCROW AGENT shall maintain all records concerning the Escrow Account for seven years after release of the Deposit.

4.2 Upon the dissolution of the law firm which was ESCROW AGENT, the former partners or members of the firm shall make appropriate arrangements for the maintenance of these records by one of the partners or members of the firm or by the successor firm and shall notify the New York State Department of Law of such transfer.

4.3 ESCROW AGENT shall make available to the Attorney General, upon request, all books and records of ESCROW AGENT relating to the funds deposited and disbursed hereunder.

5. GENERAL OBLIGATIONS OF ESCROW AGENT.

5.1 ESCROW AGENT shall maintain the Escrow Account under its direct supervision and control.

5.2 A fiduciary relationship shall exist between ESCROW AGENT, and the purchaser, and ESCROW AGENT acknowledges its fiduciary and statutory obligations pursuant to GBL §§ 352(e)(2-b) and 352(h).

5.3 ESCROW AGENT may rely upon any paper or document which may be submitted to it in connection with its duties under this Agreement and which is believed by ESCROW AGENT to be genuine and to have been signed or presented by the proper party or parties and shall have no liability or responsibility with respect to the form, execution or validity thereof.

6. RESPONSIBILITIES OF SPONSOR.

6.1 SPONSOR agrees that SPONSOR and its agents, including any selling agents, shall deliver the Deposit received by them prior to closing of the [unit/shares/membership interest/fractional interest] to a designated attorney who is a member of or employed by ESCROW AGENT, within two (2) business days of tender of the Deposit by the purchaser, using such transmittal forms as required by ESCROW AGENT.

6.2 SPONSOR agrees that it shall not interfere with ESCROW AGENT'S performance of its fiduciary duties and statutory obligations as set forth in GBL §§ 352-(e)(2-b) and 352-(h) and the New York State Department of Law's regulations.

6.3 SPONSOR shall obtain or cause the selling agent under the Plan to obtain a completed and signed Form W-9 or W-8, as applicable, from the purchaser and deliver such form to ESCROW AGENT together with the Deposit and Purchase Agreement.

7. TERMINATION OF AGREEMENT.

7.1 This Agreement shall remain in effect unless and until it is canceled by either:

7.1.1 Written notice given by SPONSOR to ESCROW AGENT of cancellation of designation of ESCROW AGENT to act in said capacity, which cancellation shall take effect only upon the filing of an amendment to the Plan with the Department of Law providing for a successor escrow agent that meets the requirements set forth in applicable regulations of the New York State Department of Law. the purchaser shall be deemed to have consented to such cancellation;

7.1.2 The resignation of ESCROW AGENT, which shall not take effect until ESCROW AGENT is replaced by a successor escrow agent that meets the requirements set forth in applicable regulations of the New York State Department of Law, and notice is given to the purchaser of the identity of the successor escrow agent, the Bank in the State of New York where the Deposit is being held, and the account number therefor.

7.2 Upon termination of the duties of ESCROW AGENT as described in paragraph 7.1.1 or 7.1.2 above, ESCROW AGENT shall deliver the Deposit held by ESCROW AGENT and the Purchase Agreement and any other documents maintained by ESCROW AGENT relating to the Deposit to the successor escrow agent.

8. SUCCESSORS AND ASSIGNS. This Agreement shall be binding upon SPONSOR, the purchaser, and ESCROW AGENT and their respective successors and assigns.

9. GOVERNING LAW. This Agreement shall be construed in accordance with and governed by the laws of the State of New York.

10. ESCROW AGENT'S COMPENSATION. Prior to release of the Deposit, ESCROW AGENT'S fees and disbursements shall neither be paid by SPONSOR from the Deposit nor deducted from the Deposit by any financial institution under any circumstance.

11. SEVERABILITY. If any provision of this Agreement or the application thereof to any person or circumstance is determined to be invalid or unenforceable, the remaining provisions of this Agreement or the application of such provision to other persons or to other circumstances shall not be affected thereby and shall be valid and enforceable to the fullest extent permitted by law.

12. INDEMNIFICATION. SPONSOR agrees to defend, indemnify and hold ESCROW AGENT harmless from and against all costs, claims, expenses and damages incurred in connection with or arising out of this Agreement or the performance or non-performance of ESCROW AGENT'S duties under this Agreement, except with respect to actions or omissions taken or suffered by ESCROW AGENT in bad faith or in willful disregard of this Agreement or involving gross negligence of ESCROW AGENT. This indemnity includes, without limitation, disbursements and attorneys' fees either paid to retain attorneys or representing the hourly billing rates with respect to legal services rendered by ESCROW AGENT to itself.

13. ENTIRE AGREEMENT. This Agreement, read together with GBL §§ 352-e(2-b) and 352-(h)and the New York State Department of Law's regulations, constitutes the entire agreement between the parties with respect to the subject matter hereof.

IN WITNESS WHEREOF, the undersigned have executed this Agreement as of the day and year first written above.

ESCROW AGENT: **SILVERSTEIN LAW P.C.**

By:_____
Name: Steven M. Silverstein
Title: _____

SPONSOR: **TJS ASSOCIATES, LLC**

By: _____
Arlyne Goldstein, Member

IN WITNESS WHEREOF, the undersigned have executed this Agreement as of the day and year first written above.

ESCROW AGENT: **SILVERSTEIN LAW P.C.**

By: _____
Name: Steven M. Silverstein
Title: PRESIDENT

SPONSOR: **TJS ASSOCIATES, LLC**

By: _____
Arlyne Goldstein, Member

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	October 31, 2019
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

THIRTY-FIRST AMENDMENT TO THE PLAN

This Thirty-First Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Thirtieth Amendment (collectively the "Plan").

The terms of this Thirty-First Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges and monthly capital assessment payable for the Unsold Shares owned by the Sponsor are $8,278.62 and $357.68. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $11,086.73.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board in 1995 on or about the fifth anniversary of the September 1990 Closing Date of the Apartment Corporation. The following are the current Directors and Officers of the Apartment Corporation are:

Claudine Gruen	President
Michael Anastasiou	Vice President
Susan Sendek	Secretary
Linda Severinson	Treasurer
Michael Asher	
Paul Fabizzi	
[Vacant] *	

* Sponsor's Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Certified Financial Statements for the years ended December 31, 2017 and 2018, as prepared by the accountants for the Apartment Corporation, are annexed hereto as Document Nos. 2A and 2B. The 2019 Budget adopted by the Board of Directors is annexed hereto as Document No. 2C.

SIXTH: SMOKING POLICY PURSUANT TO LOCAL LAW 147

Local Law147, which went into effect on August 28, 2018, amends the Administrative Code of the City of New York ("NYC Administrative Code") to require that all class A multiple dwellings (i.e., buildings with three or more residential dwelling units) adopt a written smoking policy for the building that is disclosed to all residents and incorporated into all leases, purchase agreements, and building governing documents. Local Law 147 does not dictate the contents of a building's smoking policy. This section discloses the building's smoking policy, as provided to Sponsor by the Board of Directors and/or Managing Agent of the Apartment Corporation and amends the Special Risks and Summary of Proprietary Lease sections of the Plan.

New York City's Smoke-Free Air Act of 2002 ("SFAA") prohibits smoking or using electronic cigarettes in common indoor areas of buildings with three or more residential dwelling units. SFAA does

not prohibit smoking in private units or apartments or other private residences (except in areas where child day care centers or health care facilities operate and are open or employees are working). Owners of residential buildings are responsible for all violations reported concerning the SFAA and may incur penalties if they fail to comply with SFAA. In the context of condominiums or cooperatives, Local Law 147 defines "owner" as the board of managers of a condominium or board of directors of a cooperative corporation. Local Law 147 does not change the requirements of SFAA.

Sponsor has been advised that the Board of Directors has adopted a written smoking policy effective August 1, 2019 (the "Smoking Policy".) Sponsor has not been advised of the manner in which the smoking policy has been incorporated into the governing documents of the Apartment Corporation. A copy of the Smoking Policy is annexed hereto as Document No. 4A.

The Smoking Policy prohibits smoking or using electronic cigarettes in common indoor areas of the building, as required by SFAA. In addition, smoking is prohibited in the hallway(s), lobbies, elevator(s), courtyard(s), parking lot(s) (indoor and/or outdoor), rooftop(s) and within fifty (50) feet of the front and year entrance(s) to the building. The Smoking Policy does not prohibit smoking or using electronic cigarettes within apartments, so long as reasonable measures are taken to prevent the emanation of second hand smoke into the common hallways and other apartments located in the building.

The description of the Smoking Policy in this section is a summary description. Reference is made to the full provisions of the Smoking Policy as attached hereto for the complete terms. Sponsor has been advised that the Smoking Policy has been posted in a prominent location and/or has been provided to all residents. The Smoking Policy must be incorporated into any agreement to rent or purchase a dwelling unit, including a dwelling unit in a condominium or shares in a cooperative. For Sponsor, a Smoking Policy Disclosure Rider to purchase agreement in the form annexed hereto as Document No. 4B will be included in all future purchase agreements.

Sponsor is obligated to timely inform all persons who were contract vendees as of August 28, 2018 of the building's smoking policy prior to closing on the unit or apartment. But Sponsor had no contract vendees as of August 28, 2018, continues to have no outstanding contracts and will not market, enter into contracts and/or close title to any units until this amendment is accepted for filing.

SEVENTH: FINCEN'S GEOGRAPHIC TARGETING ORDER

On January 13, 2016 the Director of the Financial Crimes Enforcement Network ("FinCEN"), U.S. Department of the Treasury, issued a Geographic Targeting Order ("Order") requiring title insurance companies to collect and report information about the persons involved in certain residential real estate transactions. FinCen modified and extended the Order on July 22, 2016, on February 23, 2017, August 22, 2017, March 19, 2018, November 15, 2018 and on May 14, 2019. The current Order requires title insurance companies to collect and report information about the persons involved in certain residential real estate transactions in all boroughs of New York City in furtherance of the Bank Secrecy Act. Title companies are required by such order to collect and report information regarding purchasers in transactions where: (1) the purchaser is a legal entity as defined in the Order; (2) the purchaser purchases residential real property located in the Boroughs of Brooklyn, Queens, Bronx, Manhattan and Staten Island; (3) the total purchase price is $300,000 or more; (4) such purchase is made without a bank loan or other similar form of external financing; and (5) the purchase is made at least in part, using currency or a cashiers's check, a certified check, a traveler's check, a personal check, a business check, a money order in any form, a funds transfer or virtual currency. As used in the Order, "Legal Entity" means a corporation, limited liability company, partnership or other similar business entity, whether formed under the laws of a state or of the United States or a foreign jurisdiction. The Order affects all residential real property closings occurring on or after May 16, 2019 and until the expiration of the effective period of such Order (i.e., November 11, 2019, as of the

date hereof, which date is subject to change by FinCEN).

EIGHTH: AMENDED HOUSE RULES

Sponsor has been advised that the House Rules of the Apartment Corporation have been amended as of April 24, 2018. A copy of the Amended House Rules is annexed hereto as Document No. 4.

NINTH: DEFINITIONS

All terms used in this Thirty-First Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Thirtieth Amendments, is incorporated herein by reference with the same effect as if set forth at length.

ELEVENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

TWELFTH: NO MATERIAL CHANGES

Except as set forth in this Thirty-First Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
October 31, 2019

Crestwood Apartments
124-16 84th Road
Kew Gardens, NY 11415

TJS Associates LLC
31st Amendment

DOCUMENT NO. 1

Last Updated: 9/24/2019
Info as of: 9/24/2019

Apt. No.	Status	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $3.9347 per share	Monthly Capital Assessment Charges @ $0.17 per share
2L	S	2	294	$294,000	$1,156.80	$49.98
3E	S	3	325	$325,000	$1,278.78	$55.25
4J	S	1	202	$202,000	$794.81	$34.34
5C	S	1	179	$179,000	$704.31	$30.43
5F	S	0	152	$152,000	$598.08	$25.84
5G	S	1	212	$212,000	$834.16	$36.04
5H	S	1	212	$212,000	$834.16	$36.04
5K	S	1	230	$230,000	$904.98	$39.10
6L	S	2	298	$298,000	$1,172.54	$50.66
TOTAL	9	12	2,104	$2,104,000	$8,278.62	$357.68

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

DOCUMENT NO. 2A

CRESTWOOD APARTMENT OWNERS CORP.

Financial Statements
for the years ended
December 31, 2017 and 2016

Cesarano & Khan, PC
Certified Public Accountants

Cesarano & Khan, PC
Certified Public Accountants

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Unit Owners of
Crestwood Apartment Owners, Corp.:

Report on the Financial Statements

We have audited the accompanying financial statements of Crestwood Apartment Owners, Corp., which comprise the balance sheet as of December 31, 2017, and the related statements of operations, members' equity (deficit) and cash flows for the year then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners, Corp. as of December 31, 2017, and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

Other Matters

The financial statements of Crestwood Apartment Owners, Corp. as of December 31, 2016, were audited by other auditors whose report, dated May 19, 2017, expressed an unqualified opinion on those statements.

The Corporation has not conducted a study to estimate the remaining lives and future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Cesarano & Khan, CPAs, PC

Floral Park, New York
May 31, 2018

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

BALANCE SHEETS

December 31, 2017 and 2016

	2017	2016
ASSETS		
Cash: and cash equivalents:		
Operating - JP Morgan Chase Bank, N.A. - checking account	$ 59,921	$ -0-
Operating - Signature Bank - checking accounts	11,564	19,925
Operating - JP Morgan Chase Bank, N.A. - money market accounts	62,784	-0-
Reserve - Sterling Bank - money market account	62,942	85,279
Reserve - Merrill Lynch - money market account	296,274	-0-
Reserve - National Cooperative Bank, N.A. - money market account	-0-	12,210
Investments - certificates of deposit	-0-	593,717
Shareholder and other receivables	11,613	7,480
Prepaid expenses	45,320	58,897
Land, building and improvements, net of accumulated depreciation of $3,507,252 and $3,338,254, respectively	2,392,906	2,141,052
Total assets	$2,943,324	$2,918,560
LIABILITIES AND STOCKHOLDERS' EQUITY (DEFICIT)		
Accounts payable and accrued expenses	$ 78,389	$ 51,147
Wages and related costs payable	1,641	-0-
Maintenance charges received in advance	5,647	5,778
Real estate tax abatement and exemptions payable	34,334	29,654
Security deposits payable	4,200	4,200
Mortgage note payable, net of unamortized debt issuance cost of $67,080 and $78,580, respectively	3,132,920	3,121,420
Total liabilities	3,257,131	3,212,199
Stockholders' equity (deficit):		
Common stock, par value $1.00; authorized 25,000 shares; issued and outstanding 14,957 shares	14,957	14,957
Additional paid-in capital	2,922,707	2,922,707
Accumulated deficit	(3,251,471)	(3,231,303)
Total stockholders' equity (deficit)	(313,807)	(293,639)
Total liabilities and stockholders' equity (deficit)	$2,943,324	$2,918,560

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF OPERATIONS

for the years ended December 31, 2017 and 2016

	2017	2016
REVENUES:		
Maintenance charges	$ 706,209	$ 685,646
Less: tax abatement and exemptions	(63,286)	(55,550)
Operating assessments	64,124	58,806
Capital assessment	30,512	-0-
Parking	14,580	13,680
Laundry	3,688	1,940
Transfer fees	6,042	3,936
Interest	3,795	1,646
Late fees	4,239	450
Gym membership fee	2,500	7,013
Other	8,952	5,350
Total revenues	781,355	722,917
EXPENSES:		
Wages and related costs	79,651	86,058
Real estate taxes, net of abatements	154,256	162,791
Interest	137,889	138,267
Utilities	57,963	71,001
Water and sewer	43,061	63,429
Repairs, maintenance and supplies	43,919	79,246
Insurance	43,414	44,946
Management fees	22,000	24,000
Professional fees	23,836	25,647
Telecommunications	4,575	3,987
Other	6,959	14,673
Income taxes	3,502	4,455
Total expenses before depreciation and amortization	621,025	718,500
Excess of revenues over expenses before depreciation and amortization	160,330	4,417
Depreciation and amortization	(180,498)	(161,631)
Deficiency of revenues over expenses	$ (20,168)	$ (157,214)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corperation)

STATEMENTS OF STOCKHOLDERS' EQUITY (DEFICIT)

for the years ended December 31, 2017 and 2016

	Common Stock	Additional Paid-in Capital	Accumulated Deficit	Total Stockholders' Equity (Deficit)
Balance as of December 31, 2015	$ 14,957	$ 2,922,707	$(3,074,089)	$ (136,425)
Deficiency of revenues over expenses	-0-	-0-	(157,214)	(157,214)
Balance as of December 31, 2016	14,957	2,922,707	(3,231,303)	(293,639)
Deficiency of revenues over expenses	-0-	-0-	(20,168)	(20,168)
Balance as of December 31, 2017	$ 14,957	$ 2,922,707	$(3,251,471)	$ (313,807)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF CASH FLOWS

for the years ended December 31, 2017 and 2016

	2017	2016
CASH FLOWS FROM OPERATING ACTIVITIES:		
Deficiency of revenues over expenses	$ (20,168)	$ (157,214)
Adjustments for noncash and operating items:		
Depreciation and amortization	180,498	161,631
Changes in operating assets and liabilities:		
Shareholder and other receivables	(4,133)	(1,024)
Prepaid expenses	13,577	(5,394)
Accounts payable and accrued expenses	27,242	(27,394)
Wages and related costs payable	1,641	-0-
Maintenance charges received in advance	(131)	3,504
Real estate tax abatement and exemptions payable	4,680	4,750
Net cash provided by (used in) operating activities	203,206	(21,141)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Change in investments	593,717	74,961
Additional building improvements and equipment	(420,852)	(69,459)
Net cash provided by investing activities	172,865	5,502
CASH FLOWS FROM FINANCING ACTIVITIES:		
Security deposits payable	-0-	950
Net cash provided by financing activities	-0-	950
Net increase (decrease) in cash	376,071	(14,689)
Cash, beginning of year	117,414	132,103
Cash, end of year	$ 493,485	$ 117,414
SUMMARY OF CASH:		
Operating - checking accounts	$ 71,485	$ 19,925
Reserve - checking accounts	62,784	-0-
Reserve - money market accounts	359,216	97,489
Total cash	$ 493,485	$ 117,414
SUPPLEMENTARY INFORMATION:		
Interest paid	$ 137,889	$ 138,267
Income taxes paid	$ 2,900	$ 6,967

The accompanying notes are an integral part of these financial statements.

1. Organization:

Crestwood Apartment Owners Corp. (the "Corporation"), a cooperative housing corporation, was incorporated in the State of New York on September 19, 1990. The Corporation owns the building located at 124-16 84th Road, Kew Gardens, New York, consisting of 71 residential apartments and one superintendent apartment.

A Board of Directors governs the affairs of the Corporation. Directors, as such, receive no compensation for their services. The Board of Directors retains a management company, to provide certain administrative and bookkeeping services. On-site property management is performed by employees of the Corporation.

2. Date of Management Review:

In preparing the financial statements, the Corporation has evaluated events and transactions for potential recognition or disclosure through May 31, 2018, the date the financial statements were available to be issued.

3. Summary of Significant Accounting Policies:

Basis of Presentation:

The accompanying financial statements are prepared on the accrual basis of accounting, in accordance with accounting principles generally accepted in the United States of America.

Pervasiveness of Estimates:

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expense during the report period. Accordingly, actual results could differ from those estimates.

Cash and Cash Equivalents:

The Corporation considers all highly liquid investments with little to no exposure to credit, market and liquidity risks, with original maturities of three months or less to be classified as cash equivalents.

Concentration of Credit Risk:

The Corporation maintains its cash and cash equivalents with major financial institutions. Balances, at times, may exceed Federal Deposit Insurance Corporation ("FDIC") limits currently $250,000 per financial institution. The Corporation performs periodic evaluations of the relative credit standing of these financial institutions and also evaluates its balance with each institution in order to limit the amount of credit exposure.

Investments:

Investments purchased by the Corporation are classified as either held-to-maturity or available-for-sale. Held-to-maturity investments are carried at cost, which approximates fair value. Available-for-sale investments are stated at fair value as determined by the most recently traded price of each investment at the balance sheet date. The net unrealized gains or losses on available-for-sale securities are reported as a component of comprehensive income (loss). The specific identification method is used to compute the realized gains and losses on debt and equity investments.

The Corporation adopted Accounting Standards Update No. 2013-03, Financial Instruments (Topic 825) Clarifying the Scope and Applicability of a Particular Disclosure to Nonpublic Entities. As a result the Corporation is no longer required to disclose "the level of the fair value hierarchy within which the fair value measurements are categorized in their entirety (Level 1, 2 or 3)."

The Corporation's investment in certificates of deposit totaling $593,717, for the year ended 2016, was classified as held-to-maturity. The fair value of the certificates of deposit is based on original cost plus accrued interest.

Continued

Shareholder and Other Receivables:

The Corporation's policy is to initiate summary non payment proceedings against the individual or entity whose assessments are 60 days in arrears. The Corporation has a first lien upon the shares owned by shareholders for indebtedness arising under the provisions of the proprietary lease. The Corporation believes that the fair market value of delinquent shares is sufficient to cover most charges in arrears. Accordingly, no allowance for uncollectible charges is deemed necessary.

Land, Building and Improvements:

Land, building and improvements are stated at cost. Capitalized amounts include expenditures, which materially extend the useful life of the existing property. Costs associated with repair and maintenance of property is expensed as incurred. Depreciation is provided using the straight-line method over the estimated useful life of the asset.

Long-Lived Assets:

The Corporation reviews real estate assets for possible impairment whenever events or circumstances indicate the carrying amount of an asset may not be recoverable. If there is an indication of impairment, management prepares an estimate of future cash flows (undiscounted and without interest charges) expected to result from the use of the asset and its eventual disposition. If these cash flows are less than the carrying amount of the asset, an impairment loss is recognized to write down the asset to its estimated fair value. Preparation of estimated future cash flows is inherently subjective and is based on management's best estimate of assumptions concerning expected future conditions. Through December 31, 2017 and December 31, 2016, management believes no indicators of impairment exist.

Intangible Assets:

Intangible assets are amortized using the straight-line method over their estimated period of benefit. The Corporation periodically evaluates the recoverability of intangible assets and takes into account events or circumstances that warrant revised estimates of useful lives or that indicate that impairments exist. All of our intangible assets are subject to amortization.

Maintenance Charges:

Maintenance charges are based on an annual budget determined by the Board of Directors. Shareholders are billed monthly based on their respective share holdings. The Corporation retains excess operating funds, if any, at the end of the operating year, for use in future operating periods.

Transfer Fees:

The Corporation has an apartment transfer fee policy that charges the seller of shares of stock $6 per share.

Reclassifications:

Certain prior year amounts have been reclassified for consistency with the current period presentation. These reclassifications had no effect on the reported results of operations or stockholders' equity.

4. Land, Building and Improvements:

Land, building and improvements were comprised of the following:

	2017	2016
Land	$588,936	$588,936
Building	3,337,305	3,337,305
Improvements	1,973,917	1,553,065
	5,900,158	5,479,306
Less: accumulated depreciation	(3,507,252)	(3,338,254)
	$2,392,906	$2,141,052

Continued

5. Accounts Payable and Accrued Expenses:

Accounts payable and accrued expenses were comprised of the following:

	2017	2016
Capital improvements	$37,829	$0
Interest expense	11,711	11,711
Utilities	11,313	16,316
Professional fees	6,800	5,409
Water and sewer	3,683	3,567
Repairs, maintenance, and supplies	2,318	9,800
Other	4,735	4,344
	$78,389	$51,147

6. Mortgage Note Payable:

On October 30, 2013, the Corporation entered into a mortgage note, secured by the land and building, with Astoria Federal Bank ("Astoria"). The mortgage, in the initial principal amount of $3,200,000, is for a ten-year term and provides for monthly payments of interest only, at a fixed rate of 4.25% per annum. The mortgage matures on November 1, 2023.

The Corporation also secured a $500,000 credit line mortgage. The interest will be calculated based on the sum of the index (LIBOR) and the margin rounded to the highest basis point but shall never be lower than the floor rate. The floor rate interest is equal to the interest rate in effect at the time of the initial advance. If the index rate ceases to be made available at any time during the term of the loan, the interest rate shall be computed by using a comparable index selected by the lender. The Corporation had no outstanding balances for the years ended December 31, 2017 and 2016.

7. Special Assessments:

The Corporation implemented operating assessments of $64,124 and $58,806 in 2017 and 2016, respectively. The Corporation also implanted a capital assessment of approximately $30,000 for 2017.

8. Repairs, Maintenance and Supplies:

Repairs, maintenance and supplies were comprised of the following:

	2017	2016
Elevator	$10,572	$9,524
Landscaping	7,891	6,473
Exterminating	7,151	5,797
Plumbing and heating	6,911	34,398
General repairs	6,325	15,438
Building supplies	5,069	7,616
	$43,919	$79,246

9. Management Agreement:

During 2017 and 2016, the Corporation retained EBMG, LLC ("EBMG") to act as managing agent of the property. The agreement was terminated November 30, 2017. The management fees paid to EBMG for the years ended December 31, 2017 and 2016 were $24,000 and $22,000, respectively.

Continued

Management Agreement (continued):

Effective December 1, 2017, the Corporation entered into an agreement with Metro Management Development, Inc. ("Metro") to act as managing agent of the property for a term of two years, at a rate of $27,000, per annum. The agreement may be terminated by either party with a least 60 days prior written notice. The management fees paid to Metro for the year ended December 31, 2017 was $0. The payment for the first month of service was waived.

10. Other Expenses:

Other expenses were as follows:

	2017	2016
Administrative	$6,092	$11,786
Licenses and permits	867	2,887
	$6,959	$14,673

11. Income Taxes:

Pursuant to a 1996 United States Tax Court decision, the Corporation prepares its tax returns under the provisions of Subchapter T of the Internal Revenue Code. Subchapter T requires the allocation of patronage and non-patronage source income. In addition, Subchapter T provides that expenses attributable to the generation of patronage income, i.e., income from business done with or for patrons (tenant cooperators), are deductible only to the extent of patronage income. The Corporation believes that all of its income is patronage income within the meaning of Subchapter T. Additionally, the Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only. The Corporation also qualified under Section 216 of the Internal Revenue Code. This section permits tenant-shareholders to deduct, on their own tax returns, their proportionate share of real estate taxes and mortgage interest that is deductible by the Corporation.

The Corporation had net operating losses for income tax purposes, for the years ended December 31, 2017 and 2016, and as a result was not subject to federal income tax. The Corporation was however subject to certain state and local minimum franchise taxes based upon the Corporation's capital base. The rate of tax is .04% for each taxing authority. Additionally, the Corporation's net operating loss carryforwards were approximately $2,496,170, which expire, if not utilized, between 2018 and 2037.

Generally accepted accounting principles (GAAP) requires evaluation of the tax positions taken or expected to be taken in the course of preparing the Corporation's tax returns to determine whether the tax positions are more likely than not sustainable upon examination by the applicable taxing authorities, based on the technical merits of the tax position, and then recognizing the tax benefit that is more likely than not realizable. Tax positions not deemed to meet the more likely than not threshold would be recorded as a tax expense in the current reporting period. Management believes any such positions, would be immaterial to the overall financial statements.

On December 22, 2017, the Tax Cuts and Jobs Act (the "Tax Act") was signed into law. The Tax Act, among other things, includes changes to U.S. federal tax rates, immediate deductions for certain new investments instead of deductions for depreciation expense over time, limits for the deduction for net operating losses to 80% of current year taxable income and the elimination of net operating loss carrybacks, as well as modifying or repealing certain business deductions and credits. We do not expect tax reform to have a material impact to our tax projection or to our net operating losses. We continue to examine the impact this tax reform legislation may have on our Corporation.

With few exceptions, the Corporation is no longer subject to U.S. federal, state and local income tax examinations by tax authorities for years before 2013.

Continued

12. Holder of Unsold Shares:

At December 31, 2017 and 2016, the holder of unsold shares, TJS Associates, owned 2,487 shares of the Corporation, which is approximately 17% of the outstanding shares.

13. Commitment:

The Corporation entered into an agreement with AWR Group, Inc., for the replacement of the roof and windows at an initial base bid of $383,200, and change order of $57,415. As of December 31, 2017, the Corporation was billed $378,285 and paid $340,456.

14. Future Major Repairs and Replacements:

The Corporation has not conducted a study to determine the remaining useful lives of the components of the property and current estimates of the costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation has the right to increase regular maintenance, pass special assessments, or delay major repairs and replacements until funds are available. The effect on future assessments has not been determined at this time.

DOCUMENT NO. 2B

CRESTWOOD APARTMENT OWNERS CORP.

Financial Statements
for the years ended
December 31, 2018 and 2017

Cesarano & Khan, PC
Certified Public Accountants

Cesarano & Khan, PC
Certified Public Accountants

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Unit Owners of
Crestwood Apartment Owners Corp.:

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp., which comprise the balance sheets as of December 31, 2018 and 2017, and the related statements of operations, members' equity (deficit) and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2018 and 2017, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Omission of Required Supplementary Information about Future Major Repairs and Replacements

The Corporation has not conducted a study to estimate the remaining lives and future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Cesarano & Khan, CPAs, PC

Floral Park, New York
June 5, 2019

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

BALANCE SHEETS

December 31, 2018 and 2017

	2018	2017
ASSETS		
Cash and cash equivalents:		
Operating - JP Morgan Chase Bank, N.A. - checking account	$ 59,978	$ 59,921
Operating - Signature Bank - checking account	-0-	11,564
Reserve - JP Morgan Chase Bank, N.A. - checking accounts	76,474	62,784
Reserve - Sterling Bank - money market account	50,033	62,942
Reserve - Merrill Lynch - money market account	41,211	296,274
Reserve - JP Morgan Chase Bank, N.A. - money market accounts	82,987	-0-
Investments - reserve - certificates of deposit	199,894	-0-
Shareholder and other receivables	11,884	11,613
Prepaid expenses	67,069	45,320
Land, building, improvements and equipment, net of accumulated depreciation of $3,692,834 and $3,507,252, respectively	2,322,245	2,392,906
Deposits	10,495	-0-
Total assets	$2,922,270	$2,943,324
LIABILITIES AND STOCKHOLDERS' EQUITY (DEFICIT)		
Accounts payable and accrued expenses	$ 97,769	$ 78,389
Wages and related costs payable	1,626	1,641
Maintenance charges received in advance	10,057	5,647
Real estate tax abatements and exemptions payable	39,893	34,334
Security deposits payable	4,200	4,200
Mortgage note payable, net of unamortized debt issuance cost of $55,580 and $67,080, respectively	3,144,420	3,132,920
Total liabilities	3,297,965	3,257,131
Stockholders' equity (deficit):		
Common stock, par value $1.00; authorized 25,000 shares; issued and outstanding 14,957 shares	14,957	14,957
Additional paid-in capital	2,922,707	2,922,707
Accumulated deficit	(3,313,359)	(3,251,471)
Total stockholders' equity (deficit)	(375,695)	(313,807)
Total liabilities and stockholders' equity (deficit)	$2,922,270	$2,943,324

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF OPERATIONS

for the years ended December 31, 2018 and 2017

	2018	2017
REVENUES:		
Maintenance charges	$ 706,216	$ 706,216
Less: tax abatements and exemptions	(70,107)	(63,286)
Operating assessments	69,655	64,124
Capital assessments	30,512	30,512
Parking	14,580	14,580
Laundry	5,150	3,688
Transfer fees	4,566	6,042
Interest	4,438	3,795
Late fees	1,475	4,239
Fitness center membership fee	6,300	2,500
Other	23,442	8,945
Total revenues	796,227	781,355
EXPENSES:		
Wages and related costs	89,535	79,651
Real estate taxes, net of abatements	165,848	154,256
Interest	137,889	137,889
Utilities	43,945	57,963
Water and sewer	42,154	43,061
Repairs, maintenance and supplies	72,221	43,919
Insurance	40,423	43,414
Management fees	27,000	22,000
Professional fees	28,419	23,836
Telecommunications	4,632	4,575
Other	6,917	6,959
Income taxes	2,050	3,502
Total expenses before depreciation and amortization	661,033	621,025
Excess of revenues over expenses before depreciation and amortization	135,194	160,330
Depreciation and amortization	(197,082)	(180,498)
Deficiency of revenues over expenses	$ (61,888)	$ (20,168)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF STOCKHOLDERS' EQUITY (DEFICIT)

for the years ended December 31, 2018 and 2017

	Common Stock	Additional Paid-in Capital	Accumulated Deficit	Total Stockholders' Equity (Deficit)
Balance as of December 31, 2016	$ 14,957	$ 2,922,707	$(3,231,303)	$ (293,639)
Deficiency of revenues over expenses	-0-	-0-	(20,168)	(20,168)
Balance as of December 31, 2017	14,957	2,922,707	(3,251,471)	(313,807)
Deficiency of revenues over expenses	-0-	-0-	(61,888)	(61,888)
Balance as of December 31, 2018	$ 14,957	$ 2,922,707	$(3,313,359)	$ (375,695)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF CASH FLOWS

for the years ended December 31, 2018 and 2017

	2018	2017
CASH FLOWS FROM OPERATING ACTIVITIES:		
Deficiency of revenues over expenses	$ (61,888)	$ (20,168)
Adjustments for noncash and operating items:		
Depreciation and amortization	197,082	180,498
Changes in operating assets and liabilities:		
Shareholder and other receivables	(271)	(4,133)
Prepaid expenses	(21,749)	13,577
Accounts payable and accrued expenses	19,380	27,242
Wages and related costs payable	(15)	1,641
Maintenance charges received in advance	4,410	(131)
Real estate tax abatements and exemptions payable	5,559	4,680
Net cash provided by operating activities	142,508	203,206
CASH FLOWS FROM INVESTING ACTIVITIES:		
Change in investments	(199,894)	593,717
Additional building improvements and equipment	(114,921)	(420,852)
Deposits	(10,495)	-0-
Net cash (used in) provided by investing activities	(325,310)	172,865
Net (decrease) increase in cash	(182,802)	376,071
Cash, beginning of year	493,485	117,414
Cash, end of year	$ 310,683	$ 493,485
SUMMARY OF CASH:		
Operating - checking accounts	$ 59,978	$ 71,485
Reserve - checking accounts	76,474	62,784
Reserve - money market accounts	174,231	359,216
Total cash	$ 310,683	$ 493,485
SUPPLEMENTARY INFORMATION:		
Interest paid	$ 137,889	$ 137,889
Income taxes paid	$ 60	$ 2,900

The accompanying notes are an integral part of these financial statements.

1. Organization:

Crestwood Apartment Owners Corp. (the "Corporation"), a cooperative housing corporation, was incorporated in the State of New York on September 19, 1990. The Corporation owns the building located at 124-16 84th Road, Kew Gardens, New York, consisting of 71 residential apartments and one superintendent apartment.

A Board of Directors governs the affairs of the Corporation. Directors, as such, receive no compensation for their services. The Board of Directors retains a management company, to provide certain administrative and bookkeeping services. On-site property management is performed by employees of the Corporation.

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Cash and Cash Equivalents:

The Corporation considers all highly liquid investments with little to no exposure to credit, market and liquidity risks, with original maturities of three months or less to be classified as cash equivalents.

Concentration of Credit Risk:

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Investments:

Investments purchased by the Corporation are classified as either held-to-maturity or available-for-sale. Held-to-maturity investments are carried at cost, which approximates fair value. Available-for-sale investments are stated at fair value as determined by the most recently traded price of each investment at the balance sheet date. The net unrealized gains or losses on available-for-sale securities are reported as a component of comprehensive income (loss). The specific identification method is used to compute the realized gains and losses on debt and equity investments.

The Corporation's investment in certificates of deposit totaling $199,894, for the year ended 2018, was classified as held-to-maturity. The fair value of the certificates of deposit is based on original cost plus accrued interest.

Shareholder and Other Receivables:

The Corporation's policy is to initiate summary non payment proceedings against the individual or entity whose assessments are 60 days in arrears. The Corporation has a first lien upon the shares owned by shareholders for indebtedness arising under the provisions of the proprietary lease. The Corporation believes that the fair market value of delinquent shares is sufficient to cover most charges in arrears. Accordingly, no allowance for uncollectible charges is deemed necessary.

Land, Building, Improvements and Equipment:

Land, building, improvements and equipment are stated at cost. Capitalized amounts include expenditures, which materially extend the useful life of the existing property. Costs associated with repair and maintenance of property is expensed as incurred. Depreciation is provided using the straight-line method over the estimated useful life of the asset.

Continued

Long-Lived Assets:

The Corporation reviews real estate assets for possible impairment whenever events or circumstances indicate the carrying amount of an asset may not be recoverable. If there is an indication of impairment, management prepares an estimate of future cash flows (undiscounted and without interest charges) expected to result from the use of the asset and its eventual disposition. If these cash flows are less than the carrying amount of the asset, an impairment loss is recognized to write down the asset to its estimated fair value. Preparation of estimated future cash flows is inherently subjective and is based on management's best estimate of assumptions concerning expected future conditions. Through December 31, 2018 and 2017, management believes no indicators of impairment exist.

Debt Issuance Costs:

Debt issuance costs are amortized on the straight-line method over the term of the loan. Amortization on the interest method would not be materially different. Deferred costs of $114,995 were incurred in connection with the mortgage note as discussed in Note 6.

Maintenance Charges:

Maintenance charges are based on an annual budget determined by the Board of Directors. Shareholders are billed monthly based on their respective share holdings. The Corporation retains excess operating funds, if any, at the end of the operating year, for use in future operating periods. Maintenance charges are recognized as revenue in the year to which it applies. Maintenance charges received in advance are reported as a liability.

Transfer Fees:

The Corporation has an apartment transfer fee policy that charges the seller of shares of stock $6 per share.

Reclassifications:

Certain prior year amounts have been reclassified for consistency with the current period presentation. These reclassifications had no effect on the reported results of operations or stockholders' equity.

4. Land, Building, Improvements and Equipment:

Land, building, improvements and equipment were comprised of the following:

	2018	2017
Land	$588,936	$588,936
Building	3,337,305	3,337,305
Improvements	2,056,886	1,943,428
Equipment	31,952	30,489
	6,015,079	5,900,158
Less: accumulated depreciation	(3,692,834)	(3,507,252)
	$2,322,245	$2,392,906

5. Accounts Payable and Accrued Expenses:

Accounts payable and accrued expenses were comprised of the following:

	2018	2017
Capital improvements	$50,593	$37,829
Interest	11,711	11,711
Repairs, maintenance and supplies	11,556	2,318
Utilities	9,330	11,313
Professional fees	9,272	6,800
Water and sewer	4,066	3,683
Other	1,241	4,735
	$97,769	$78,389

Continued

6. Mortgage Note Payable:

On October 30, 2013, the Corporation entered into a mortgage note, secured by the land and building, with Astoria Federal Bank ("Astoria"). The mortgage, in the initial principal amount of $3,200,000, is for a ten-year term and provides for monthly payments of interest only, at a fixed rate of 4.25% per annum. The mortgage matures on November 1, 2023.

The Corporation also secured a $500,000 credit line mortgage. The interest will be calculated based on the sum of the index (LIBOR) and the margin rounded to the highest basis point but shall never be lower than the floor rate. The floor rate interest is equal to the interest rate in effect at the time of the initial advance. If the index rate ceases to be made available at any time during the term of the loan, the interest rate shall be computed by using a comparable index selected by the lender. The Corporation had no outstanding balances for the years ended December 31, 2018 and 2017.

7. Special Assessments:

The Corporation implemented operating assessments of $69,655 and $64,124 in 2018 and 2017, respectively. The Corporation also implemented a capital assessment of approximately $30,512 in both 2018 and 2017.

8. Repairs, Maintenance and Supplies:

Repairs, maintenance and supplies were comprised of the following:

	2018	2017
Plumbing and heating	$30,958	$6,911
Elevator	16,322	10,572
Building supplies	9,833	5,069
Exterminating	6,369	7,151
Landscaping	5,978	7,891
General repairs	2,761	6,325
	$72,221	$43,919

9. Management Agreement:

During 2017, the Corporation retained EBMG, LLC ("EBMG") to act as managing agent of the property. The agreement was terminated November 30, 2017. The management fees paid to EBMG for the year ended December 31, 2017 was $22,000.

Effective December 1, 2017, the Corporation entered into an agreement with Metro Management Development, Inc. ("Metro") to act as managing agent of the property for a term of two years, at a rate of $27,000, per annum. The agreement may be terminated by either party with a least 60 days prior written notice. The management fees paid to Metro for the years ended December 31, 2018 and 2017 were $27,000 and $0, respectively. The payment for the first month of service was waived.

10. Other Expenses:

Other expenses were as follows:

	2018	2017
Administrative	$4,329	$5,086
Credit check	893	0
Licenses	498	867
Bank fees	450	540
Fitness center	410	0
Postage and printing	337	466
	$6,917	$6,959

Continued

11. Income Taxes:

Pursuant to a 1996 United States Tax Court decision, the Corporation prepares its tax returns under the provisions of Subchapter T of the Internal Revenue Code. Subchapter T requires the allocation of patronage and non-patronage source income. In addition, Subchapter T provides that expenses attributable to the generation of patronage income, i.e., income from business done with or for patrons (tenant cooperators), are deductible only to the extent of patronage income. The Corporation believes that all of its income is patronage income within the meaning of Subchapter T. Additionally, the Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only. The Corporation also qualified under Section 216 of the Internal Revenue Code. This section permits tenant-shareholders to deduct, on their own tax returns, their proportionate share of real estate taxes and mortgage interest that is deductible by the Corporation.

The Corporation had net operating losses in 2018 and 2017, and as a result was not subject to Federal income tax. The Corporation was however subject to certain state and local franchise taxes based upon the Corporation's capital base, at a tax rate of .04%. The Corporation has net operating loss carryforwards of approximately $2,722,000, which expire, if not utilized, between 2019 and 2038.

Generally accepted accounting principles (GAAP) requires evaluation of the tax positions taken or expected to be taken in the course of preparing the Corporation's tax returns to determine whether the tax positions are more likely than not sustainable upon examination by the applicable taxing authorities, based on the technical merits of the tax position, and then recognizing the tax benefit that is more likely than not realizable. Tax positions not deemed to meet the more likely than not threshold would be recorded as a tax expense in the current reporting period. Management believes any such positions, would be immaterial to the overall financial statements.

On December 22, 2017, the Tax Cuts and Jobs Act (the "Tax Act") was signed into law. The Tax Act, among other things, includes changes to U.S. federal tax rates, immediate deductions for certain new investments instead of deductions for depreciation expense over time, limits for the deduction for net operating losses to 80% of current year taxable income for tax losses occurring in years after December 31, 2017, and the elimination of net operating loss carrybacks, as well as modifying or repealing certain business deductions and credits. We do not expect tax reform to have a material impact to our tax projection or to net operating losses. We continue to examine the impact this tax reform legislation may have on the Corporation.

With few exceptions, the Corporation is no longer subject to U.S. federal, state and local income tax examinations by tax authorities for years before 2014.

12. Holder of Unsold Shares:

At December 31, 2018 and 2017, the holder of unsold shares, TJS Associates, owned 2,104 and 2,487 shares of the Corporation, which is approximately 14% and 17% of the outstanding shares, respectively.

13. Commitment:

The Corporation entered into an agreement with AWR Group, Inc., for the replacement of the roof and windows at an initial base bid of $383,200. In addition, change orders of $75,095 were made. As of December 31, 2018 and 2017, the Corporation was billed $80,010 and $378,285, respectively and paid $72,009 and $340,456, respectively.

14. Future Major Repairs and Replacements:

The Corporation has not conducted a study to determine the remaining useful lives of the components of the property and current estimates of the costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation has the right to increase regular maintenance, pass special assessments, or delay major repairs and replacements until funds are available. The effect on future assessments has not been determined at this time.

DOCUMENT NO. 2C

CRESTWOOD APT OWNERS CORP	
	2019
	Budget
Income	
MAINTENANCE	706,212
PARKING	14,580
LAUNDRY	4,800
COOP TAX CREDITS	(60,649)
STAR CR	(17,454)
VETERANS CR	(850)
SCRIE/DRIE	(1,717)
RETURN CHECK CHG	850
PET REGISTR FEE	1,500
ASSESSMENT	30,000
R/E TAX ASMT	60,646
PATIO/BIKE/BARN	1,260
POOL/GYM SURCHARGE	5,600
REPAIRS	1,000
APPLICATION FEE	1,700
LEGAL CHARGE	500
CREDIT CHECK & OTHER	1,500
Total Income	832,248
Expenses	
Administrative Expenses	59,183
Payroll Taxes & Benefits	115,874
Utilities	120,067
Operating Expenses	7,295
Maintenance Expenses	51,628
Insurance	38,653
Financial Expenses & Corp. Taxes	140,533
Real Estate Taxes	228,018
Other Disbursements	35,600
Total Expenses	796,852
Net Surplus Deficit	35,396

DOCUMENT NO. 3A

CRESTWOOD APARTMENT OWNERS CORP.
124-16 84th Road
Kew Gardens, New York 11414

TO: SHAREHOLDER(S)/RESIDENT(S)/TENANT(S)/
GUESTS/INVITEE(S)/VENDORS

FROM: BOARD OF DIRECTORS

RE: SMOKING POLICY

DATE: August 1, 2018

PLEASE BE ADVISED, that pursuant to NYC Local Law Section 17-506.1, effective January 1, 2018 the Board of Directors have established the following Smoking Policy covering the common areas of the buildings and grounds of the Cooperative Corporation:

1. Smoking is permitted within apartments, so long as, reasonable measures are taken to prevent the emanation of second hand smoke into the common hallways and other apartments located in the building.

2. No smoking shall be permitted in the hallway(s), lobbies, elevator(s), courtyard(s), parking lot(s)(indoor and/or outdoor), roof top(s) and, within 50 feet of the front and rear entrance(s) to the building.

3. Shareholders who have received or intend to request approval to sublet their apartment in the future, must comply with all the rules and regulations of the corporation and incorporate the terms of this smoking policy in said agreement as a condition to approval.

4. Violations of this Smoking Policy shall carry a civil penalty or fine for the first violation in the sum of $200.00; for a second violation which occurs within 12 months the sum of $500.00, and for a third violation also to have occurred within 12 months the sum of $1,000.00.

5. This smoking policy shall not apply to those tenant(s) protected under the Emergency Tenant Protection Act i.e., Rent Controlled or rent stabilized.

BOARD OF DIRECTORS
CRESTWOOD APARTMENT OWNERS CORP.

DOCUMENT NO. 3B

RIDER TO PURCHASE AGREEMENT
SMOKING POLICY DISCLOSURE

SELLER: _____

PURCHASER(S): _____

APARTMENT: _____

DATE: _____

R1. In the event of any inconsistency between the provisions of this Rider and those contained in the Purchase Agreement to which this Rider is annexed, the provisions of this Rider shall govern and control.

R2. Purchaser has been advised that a written Smoking Policy has been adopted by the Apartment Corporation (the "Adopted Smoking Policy") as disclosed in Paragraph Sixth of the 31st Amendment to the Plan.

R3. Attached hereto as Exhibit A is the Adopted Smoking Policy.

SELLER:

By:_____
Name:
Title:

PURCHASER(S):

_____

_____

DOCUMENT NO. 3B

RIDER TO PURCHASE AGREEMENT
SMOKING POLICY DISCLOSURE

SELLER: _____

PURCHASER(S): _____

APARTMENT: _____

DATE: _____

R1. In the event of any inconsistency between the provisions of this Rider and those contained in the Purchase Agreement to which this Rider is annexed, the provisions of this Rider shall govern and control.

R2. Purchaser has been advised that a written Smoking Policy has been adopted by the Apartment Corporation (the "Adopted Smoking Policy") as disclosed in Paragraph Sixth of the 31st Amendment to the Plan.

R3. Attached hereto as Exhibit A is the Adopted Smoking Policy.

SELLER: **PURCHASER(S):**

By:_____ _____
Name:
Title:

_____

EXHIBIT A

CRESTWOOD APARTMENT OWNERS CORP.
124-16 84th Road
Kew Gardens, New York 11414

TO: SHAREHOLDER(S)/RESIDENT(S)/TENANT(S)/
GUESTS/INVITEE(S)/VENDORS

FROM: BOARD OF DIRECTORS

RE: SMOKING POLICY

DATE: August 1, 2018

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5. This smoking policy shall not apply to those tenant(s) protected under the Emergency Tenant Protection Act i.e., Rent Controlled or rent stabilized.

BOARD OF DIRECTORS
CRESTWOOD APARTMENT OWNERS CORP.

CUTLER MINIKES & ADELMAN LLP
ATTORNEYS AT LAW

150 WHITE PLAINS ROAD
SUITE 106
TARRYTOWN, NY 10591

RICHARD B. ADELMAN
ANDREW N. CUTLER
JONATHAN Z. MINIKES

JAMES HIVNOR
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COREY B. ALLEN

DIRECT TEL: (212) 983-0072
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E-MAIL: R.ADELMAN@CMALAWFIRM.COM

NYC OFFICE:
10 GRAND CENTRAL
155 EAST 44TH STREET
5TH FLOOR
NEW YORK, NY 10017

October 31, 2019

BY: MAIL & EMAIL

TJS Associates, LLC
Attn: Jeffrey Goldstein
4 Executive Blvd. Suite
Suffern, NY 10901

Re: Crestwood Apartments; 124-16 84th Road
31st Amendment
Your File No. C870398

Dear Jeffrey:

Enclosed is a clean original of this Update amendment to the Offering Plan which was accepted for filing on October 31, 2019. I will forward a copy of the acceptance letter when it is received. The amendment extends the plan for twelve (12) months.

You should arrange to have copies of the amendment reproduced so that you can distribute them to tenants and shareholders. Please provide me with an affidavit of service for my files after the amendment has been distributed.

Sincerely,

Richard B. Adelman

Enclosure

cc: Joshua Goldstein (By Email)
Lauren L. Schreiber, Esq. (By Email)
Diane Barton (By Email)

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	, 2020
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

THIRTY-SECOND AMENDMENT TO THE PLAN

This Thirty-Second Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Thirty-First Amendment (collectively the "Plan").

The terms of this Thirty-Second Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the Unsold Shares owned by the Sponsor are $9,050.21. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $10,371.26.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board in 1995 on or about the fifth anniversary of the September 1990 Closing Date of the Apartment Corporation. The following are the current Directors and Officers of the Apartment Corporation are:

Claudine Gruen	President
Michael Anastasiou	Vice President
Susan Sendek	Secretary
Linda Severinson	Treasurer
Michael Asher	
Paul Fabizzi	
[Vacant] *	

* Sponsor's Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Certified Financial Statements for the years ended December 31, 2019, as prepared by the accountants for the Apartment Corporation, are annexed hereto as Document Nos. 2A. The 2020 Budget adopted by the Board of Directors is annexed hereto as Document No. 2B.

SIXTH: MORTGAGE REFINANCING

On or about November 20, 2019, the Apartment Corporation refinanced the underlying mortgage with a new first mortgage with National Consumerr Cooperative Bank, 2011 Crystal Drive, Suite 800, Arlington, VA 22022 ("Lender"). The new mortgage has the following material terms:

Principal Amount:	$4,250,000.00
Term:	Ten (10) years, maturing December 1, 2029
Interest Rate:	3.24% per annum
Monthly Payments:	$11,475 (interest only)

Prepayment:	Prepayment is permitted with the payment of a "Prepayment Fee" which is based on a yield maintenance calculation computed as provided in the mortgage note.

The Apartment Corporation has also arranged a $1,000,000 Line of Credit with the Lender.

SEVENTH: CHANGE IN PRINCIPALS OF SPONSOR

Herbert Goldsmith, is deceased, and therefore is no longer a member of the Sponsor and no longer a "principal" of the Sponsor. Accordingly, Arlyne Goldstein is the sole "principal" of the Sponsor as such term is defined in the Rules of the Attorney General's Office.

EIGHTH: FINCEN'S GEOGRAPHIC TARGETING ORDER

On January 13, 2016 the Director of the Financial Crimes Enforcement Network ("FinCEN"), U.S. Department of the Treasury, issued a Geographic Targeting Order ("Order") requiring title insurance companies to collect and report information about the persons involved in certain residential real estate transactions. FinCen modified and extended the Order on July 22, 2016, on February 23, 2017, August 22, 2017, March 19, 2018, November 15, 2018, May 14, 2019, November 8, 2019 and on May 8, 2020. The current Order requires title insurance companies to collect and report information about the persons involved in certain residential real estate transactions in all boroughs of New York City in furtherance of the Bank Secrecy Act. Title companies are required by such order to collect and report information regarding purchasers in transactions where: (1) the purchaser is a legal entity as defined in the Order; (2) the purchaser purchases residential real property located in the Boroughs of Brooklyn, Queens, Bronx, Manhattan and Staten Island; (3) the total purchase price is $300,000 or more; (4) such purchase is made without a bank loan or other similar form of external financing; and (5) the purchase is made at least in part, using currency or a cashiers's check, a certified check, a traveler's check, a personal check, a business check, a money order in any form, a funds transfer or virtual currency. As used in the Order, "Legal Entity" means a corporation, limited liability company, partnership or other similar business entity, whether formed under the laws of a state or of the United States or a foreign jurisdiction but excludes entities that are U.S. publicly-traded companies. The Order affects all residential real property closings occurring on or after May 10, 2020 and until the expiration of the effective period of such Order (i.e., November 5, 2020, as of the date hereof, which date is subject to change by FinCEN).

NINTH: DEFINITIONS

All terms used in this Thirty-Second Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Thirty-First Amendments, is incorporated herein by reference with the same effect as if set forth at length.

ELEVENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

TWELFTH: NO MATERIAL CHANGES

Except as set forth in this Thirty-Second Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
, 2020

Crestwood Apartments
124-16 84th Road

Kew Gardens, NY 11415

TJS Associates LLC
32nd Amendment

DOCUMENT NO. 1

Last Updated: 10/14/2020
Info as of: 10/14/2020

Apt. No.	Status	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $4.3014 per share
2L	S	2	294	$294,000	$1,264.62
3E	S	3	325	$325,000	$1,397.96
4J	S	1	202	$202,000	$868.89
5C	S	1	179	$179,000	$769.96
5F	V*	0	152	$152,000	$653.82
5G	S	1	212	$212,000	$911.90
5H	S	1	212	$212,000	$911.90
5K	S	1	230	$230,000	$989.33
6L	S	2	298	$298,000	$1,281.83
TOTAL	9	12	2,104	$2,104,000	$9,050.21

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

* Lease terminated; legal proceedings pending to obtain possession.

Total Shares: 14,957
% Owned by Sponsor: 14.067%

DOCUMENT NO. 2A

CRESTWOOD APARTMENT OWNERS CORP.

Financial Statements
for the years ended
December 31, 2019 and 2018

Cesarano & Khan, PC
Certified Public Accountants

Cesarano & Khan, PC
Certified Public Accountants

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Unit Owners of
Crestwood Apartment Owners Corp.:

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp., which comprise the balance sheets as of December 31, 2019 and 2018, and the related statements of operations, members' equity (deficit) and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2019 and 2018, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Omission of Required Supplementary Information about Future Major Repairs and Replacements

The Corporation has not conducted a study to estimate the remaining lives and future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Cesarano & Khan, CPAs, PC

Floral Park, New York
February 17, 2020

199 Jericho Turnpike, Suite 400, Floral Park, NY 11001 • Telephone: (516) 437-8200 • Facsimile: (516) 437-8225

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

BALANCE SHEETS

December 31, 2019 and 2018

ASSETS

	2019	2018
Cash:		
Operating - JP Morgan Chase Bank, N.A. - checking account	$ 43,238	S 59,978
Reserve - JP Morgan Chase Bank, N.A. - checking accounts	128,577	76,474
Reserve - Sterling Bank - money market	50,157	50,033
Reserve - Merrill Lynch - money market	967,394	41,211
Reserve - JP Morgan Chase Bank, N.A. - money market accounts	78,334	82,987
Reserve - National Cooperative Bank, N.A. - money market	100,127	-0-
Investments	9,066	199,894
Shareholder and receivables	17,793	11,884
Prepaid expenses	66,641	67,069
Land, buildings, improvements and equipment, net of accumulated depreciation of $3,884,739 and $3,692,834, respectively	2,205,869	2,322,245
Deposits	-0-	10,495
Total assets	$3,667,196	$2,922,270

LIABILITIES AND STOCKHOLDERS' EQUITY (DEFICIT)

Accounts payable and accrued expenses	$ 46,990	S 97,769
Wages and related costs payable	2,236	1,626
Maintenance charges received in advance	18,061	10,057
Real estate tax abatements and exemptions payable	44,476	39,893
Security deposits payable	4,200	4,200
Mortgage note payable	4,250,000	3,200,000
Less: unamortized debt issuance cost	(84,861)	(55,580)
Total liabilities	4,281,102	3,297,965
Stockholders' equity (deficit):		
Common stock, par value $1.00; authorized 25,000 shares; issued and outstanding 14,957 shares	14,957	14,957
Additional paid-in capital	2,922,707	2,922,707
Accumulated deficit	(3,551,570)	(3,313,359)
Total stockholders' equity (deficit)	(613,906)	(375,695)
Total liabilities and stockholders' equity (deficit)	$3,667,196	$2,922,270

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF OPERATIONS

for the years ended December 31, 2019 and 2018

	2019	2018
REVENUES:		
Maintenance charges	S 706,216	$ 706,216
Less: tax abatements and exemptions	(74,240)	(70,107)
Operating assessments	77,926	69,655
Capital assessments	30,512	30,512
Parking	14,513	14,580
Laundry	4,537	5,150
Transfer fees	2,682	4,566
Interest	4,617	4,438
Late fees	1,200	1,475
Fitness center membership fee	8,008	6,300
Other	16,817	23,442
Total revenues	792,788	796,227
EXPENSES:		
Wages and related costs	105,677	89,535
Real estate taxes, net of abatements	214,760	165,848
Interest	137,705	137,889
Prepayment premium	64,000	-0-
Utilities	52,364	43,945
Water and sewer	41,513	42,154
Repairs, maintenance and supplies	63,060	72,221
Insurance	40,563	40,423
Management fees	27,000	27,000
Professional fees	19,731	28,419
Telecommunications	4,550	4,632
Other	9,665	6,917
Income taxes	2,213	2,050
Total expenses before depreciation and amortization	782,801	661,033
Excess of revenues over expenses before depreciation and amortization	9,987	135,194
Depreciation and amortization	(248,198)	(197,082)
Deficiency of revenues over expenses	S(238,211)	$ (61,888)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF STOCKHOLDERS' EQUITY (DEFICIT)

for the years ended December 31, 2019 and 2018

	Common Stock	Additional Paid-in Capital	Accumulated Deficit	Total Stockholders' Equity (Deficit)
Balance as of December 31, 2017	$ 14,957	$2,922,707	$ (3,251,471)	$ (313,807)
Deficiency of revenues over expenses	-0-	-0-	(61,888)	(61,888)
Balance as of December 31, 2018	14,957	2,922,707	(3,313,359)	(375,695)
Deficiency of revenues over expenses	-0-	-0-	(238,211)	(238,211)
Balance as of December 31, 2019	$ 14,957	$2,922,707	$ (3,551,570)	$ (613,906)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF CASH FLOWS

for the years ended December 31, 2019 and 2018

	2019	2018
CASH FLOWS FROM OPERATING ACTIVITIES:		
Deficiency of revenues over expenses	$ (238,211)	$ (61,888)
Adjustments for noncash and operating items:		
Depreciation and amortization	248,198	197,082
Changes in operating assets and liabilities:		
Shareholder and other receivables	(5,909)	(271)
Prepaid expenses	428	(21,749)
Accounts payable and accrued expenses	(50,779)	19,380
Wages and related costs payable	610	(15)
Maintenance charges received in advance	8,004	4,410
Real estate tax abatements and exemptions payable	4,583	5,559
Net cash (used in) provided by operating activities	(33,076)	142,508
CASH FLOWS FROM INVESTING ACTIVITIES:		
Change in investments	190,828	(199,894)
Additional building improvements and equipment	(75,529)	(114,921)
Deposits	10,495	(10,495)
Net cash provided by (used in) investing activities	125,794	(325,310)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Mortgage refinance cost	(85,574)	-0-
Additonal borrowing, net	1,050,000	-0-
Net cash provided by financing activities	964,426	-0-
Net increase (decrease) in cash	1,057,144	(182,802)
Cash, beginning of year	310,683	493,485
Cash, end of year	$ 1,367,827	$ 310,683
SUMMARY OF CASH:		
Operating - checking account	$ 43,238	$ 59,978
Reserve - checking account	128,577	76,474
Reserve - money market accounts	1,196,012	174,231
Total cash	$ 1,367,827	$ 310,683
SUPPLEMENTARY INFORMATION:		
Interest paid	$ 201,941	$ 137,889
Income taxes paid	$ 2,213	$ 60

The accompanying notes are an integral
part of these financial statements.

1. Organization:

Crestwood Apartment Owners Corp. (the "Corporation"), a cooperative housing corporation, was incorporated in the State of New York on September 19, 1990. The Corporation owns the building located at 124-16 84th Road, Kew Gardens, New York, consisting of 71 residential apartments and one superintendent apartment.

A Board of Directors governs the affairs of the Corporation. Directors, as such, receive no compensation for their services. The Board of Directors retains a management company, to provide certain administrative and bookkeeping services. On-site property management is performed by employees of the Corporation.

2. Date of Management Review:

In preparing the financial statements, the Corporation has evaluated events and transactions for potential recognition or disclosure through February 17, 2020, the date the financial statements were available to be issued.

3. Summary of Significant Accounting Policies:

Basis of Presentation:

The accompanying financial statements are prepared on the accrual basis of accounting, in accordance with accounting principles generally accepted in the United States of America.

Pervasiveness of Estimates:

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expense during the report period. Accordingly, actual results could differ from those estimates.

Cash and Cash Equivalents:

The Corporation considers all highly liquid investments with little to no exposure to credit, market and liquidity risks, with original maturities of three months or less to be classified as cash equivalents.

Concentration of Credit Risk:

The Corporation maintains its cash and cash equivalents with major financial institutions. Balances, at times, may exceed Federal Deposit Insurance Corporation ("FDIC") limits currently $250,000 per financial institution. The Corporation performs periodic evaluations of the relative credit standing of these financial institutions and also evaluates its balance with each institution in order to limit the amount of credit exposure.

Investments:

Investments purchased by the Corporation are classified as either held-to-maturity or available-for-sale. Held-to-maturity investments are carried at cost, which approximates fair value. Available-for-sale investments are stated at fair value as determined by the most recently traded price of each investment at the balance sheet date. The net unrealized gains or losses on available-for-sale securities are reported as a component of comprehensive income (loss). The specific identification method is used to compute the realized gains and losses on debt and equity investments.

Shareholder and Other Receivables:

The Corporation's policy is to initiate summary non-payment proceedings against the individual or entity whose assessments are 60 days in arrears. Shareholder receivables at the balance sheet date represent maintenance and other charges due from shareholders. The Corporation has a first lien upon the shares owned by shareholders' for indebtedness arising under the provisions of the proprietary lease. The Corporation believes that the fair market value of delinquent shares is sufficient to cover charges in arrears. All shareholder receivables have been deemed collectible at both December 31, 2019 and 2018.

Land, Building, Improvements and Equipment:

Land, building, improvements and equipment are stated at cost. Capitalized amounts include expenditures, which materially extend the useful life of the existing property. Costs associated with repair and maintenance of property is expensed as incurred. Depreciation is provided using the straight-line method over the estimated useful life of the asset.

Continued

Long-Lived Assets:

The Corporation reviews real estate assets for possible impairment whenever events or circumstances indicate the carrying amount of an asset may not be recoverable. If there is an indication of impairment, management prepares an estimate of future cash flows (undiscounted and without interest charges) expected to result from the use of the asset and its eventual disposition. If these cash flows are less than the carrying amount of the asset, an impairment loss is recognized to write down the asset to its estimated fair value. Preparation of estimated future cash flows is inherently subjective and is based on management's best estimate of assumptions concerning expected future conditions. Through December 31, 2019 and 2018, management believes no indicators of impairment exist.

Debt Issuance Costs:

Debt issuance costs are amortized on the straight-line method over the term of the loan, Amortization on the interest method would not be materially different. Deferred costs of $85,574 were incurred in connection with the mortgage note as discussed in Note 7.

Revenue Recognition:

The Financial Accounting Standards Board (FASB) issued new guidance that created Topic 606, Revenue from Contracts with Customers, in the Accounting Standards Codification (ASC). Topic 606 supersedes the revenue recognition requirements in FASB ASC 972-605, Real Estate-Common Interest Realty Associations, ("CIRA"), Revenue Recognition, and requires the recognition of revenue when promised goods or services are transferred to customers in an amount that reflects the consideration to which a CIRA expects to be entitled in exchange for those goods or services.

The Corporation adopted the new revenue standard as of January 1, 2019, using the modified retrospective method of transition. The Corporation applied the new standard only to contracts that were not completed prior to January 1, 2019. The adoption of the new revenue standard had no effect to the opening balance of Stockholders' Equity. The comparative prior period information continues to be reported under the accounting standards in effect during those periods. We expect the impact of the adoption to be immaterial to our financial position, results of operations, and cash flows on an ongoing basis.

Monthly maintenance charges represent multiple performance obligations, which, on a standalone basis are not considered separate and distinct and therefore have been deemed to be a single performance obligation. Revenue is recognized as the performance obligation is satisfied at transaction amounts expected to be collected. The performance obligation for maintenance charges are satisfied over time on a daily pro-rata basis using the input method.

Deferred Revenue:

Revenue is recognized as the performance obligation is satisfied at transaction amounts expected to be collected. Deferred revenue consists of prepaid monthly maintenance charges and other shareholder fees and has been recorded as the Corporation has the right to receive payment in advance for the satisfaction of performance obligations.

Transfer Fees:

It is the Corporation's policy to charge transfer fees to shareholders upon the sale of shares applicable to their apartment equal to $6 per share. Transfer fees are recognized as revenue as the performance obligation is satisfied at transaction amounts expected to be collected. The performance obligation for transfer fees are satisfied on the closing date of the apartment where the shares are legally transferred.

Reclassifications:

Certain prior year amounts have been reclassified for consistency with the current period presentation. These reclassifications had no effect on the reported results of operations or stockholders' equity.

Continued

4. Investments:

Investments were comprised of the following:

	2019	2018
National Cooperative Bank - Class B1 Stock	$9,066	$0
Merrill Lynch - Certificates of deposit	0	199,894
	$9,066	$199,894

5. Land, Building, Improvements and Equipment:

Land, building, improvements and equipment were comprised of the following:

	2019	2018
Land	$588,936	$588,936
Building	3,337,305	3,337,305
Improvements	2,096,247	2,056,886
Equipment	68,120	31,952
	6,090,608	6,015,079
Less: accumulated depreciation	(3,884,739)	(3,692,834)
	$2,205,869	$2,322,245

6. Accounts Payable and Accrued Expenses:

Accounts payable and accrued expenses were comprised of the following:

	2019	2018
Repairs, maintenance and supplies	$15,065	$11,556
Interest	11,475	11,711
Professional fees	9,300	9,272
Utilities	6,056	9,330
Water and sewer	3,784	4,066
Other	1,310	1,241
Capital improvements	0	50,593
	$46,990	$97,769

7. Mortgage Note Payable:

The Corporation had a mortgage note payable, secured by the land and building, with Astoria Federal Bank ("Astoria"). The mortgage, in the initial principal amount of $3,200,000, was for a ten-year term and provided for monthly payments of interest only, at a fixed rate of 4.25% per annum.

On November 20, 2019 the Corporation refinanced its mortgage note payable with National Cooperative Bank, secured by the land and buildings. The new mortgage, in the principal amount of $4,250,000, provides constant monthly payments of $11,475, consisting of interest only at the rate of 3.24% per annum. The mortgage matures on December 1, 2029.

The Corporation also secured a $1,000,000 credit line mortgage that is co-terminus with the first mortgage, for a maximum term of ten years. The interest shall be equal to the prime rate as published in The Wall Street Journal. There was no balance due on the credit line mortgage at December 31, 2019.

Continued

8. Special Assessments:

The Corporation implemented operating assessments of $77,926 and $69,655 in 2019 and 2018, to fund operating expenses.

9. Capital Assessments:

Revenue is recognized as the performance obligation is satisfied at transaction amounts expected to be collected. The performance obligation for this capital assessment is satisfied when the funds are expended. The capital assessments of approximately $30,512 in the years 2019 and 2018, were implemented to replenish the reserve fund which was already expended.

10. Repairs, Maintenance and Supplies:

Repairs, maintenance and supplies were comprised of the following:

	2019	2018
Plumbing and heating	$17,666	$30,958
Building supplies	16,562	9,833
Elevator	8,519	16,322
General repairs	7,970	2,761
Landscaping	6,758	5,978
Exterminating	5,585	6,369
	$63,060	$72,221

11. Management Agreement:

Effective December 1, 2017, the Corporation entered into an agreement with Metro Management Development, Inc. ("Metro") to act as managing agent of the property for a term of two years, at a rate of $27,000 per annum. The agreement may be terminated by either party with at least 60 days prior written notice. The management fees paid to Metro for the years ended December 31, 2019 and 2018 were $27,000 in each year.

12. Other Expenses:

Other expenses were as follows:

	2019	2018
Administrative	$6,774	$4,329
Licenses and violations	1,326	498
Postage and printing	616	337
Credit check	521	893
Bank fees	428	450
Fitness center	0	410
	$9,665	$6,917

13. Income Taxes:

Pursuant to a 1996 United States Tax Court decision, the Corporation prepares its tax returns under the provisions of Subchapter T of the Internal Revenue Code. Subchapter T requires the allocation of patronage and non-patronage source income. In addition, Subchapter T provides that expenses attributable to the generation of patronage income, i.e., income from business done with or for patrons (tenant cooperators), are deductible only to the extent of patronage income. The Corporation believes that all of its income is patronage income within the meaning of Subchapter T. Additionally, the Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only. The Corporation also qualified under Section 216 of the Internal Revenue Code. This section permits tenant-shareholders to deduct, on their own tax returns, their proportionate share of real estate taxes and mortgage interest that is deductible by the Corporation.

Continued

Income Taxes (continued):

The Corporation had net operating losses in 2019 and 2018, and as a result was not subject to Federal income tax. The Corporation was however subject to certain state and local franchise taxes based upon the Corporation's capital base, at a tax rate of .04%. The Corporation has net operating loss carryforward of approximately $2,902,000, which expire, if not utilized, between 2020 and 2039.

Generally accepted accounting principles (GAAP) requires evaluation of the tax positions taken or expected to be taken in the course of preparing the Corporation's tax returns to determine whether the tax positions are more likely than not sustainable upon examination by the applicable taxing authorities, based on the technical merits of the tax position, and then recognizing the tax benefit that is more likely than not realizable. Tax positions not deemed to meet the more likely than not threshold would be recorded as a tax expense in the current reporting period. As of December 31, 2019 and 2018 management believes any such positions, would be immaterial to the overall financial statements.

With few exceptions, the Corporation is no longer subject to U.S. federal, state and local income tax examinations by tax authorities for years before 2015.

14. Holder of Unsold Shares:

At December 31, 2019 and 2018, the holder of unsold shares, TJS Associates, owned 2,104 shares of the Corporation, which is approximately 14% of the outstanding shares, respectively.

15. Commitment:

The Corporation entered into an agreement with AWR Group, Inc., for the replacement of the roof and windows at an initial base bid of $383,200. In addition, change orders of S93,880 were made. The work was completed on July 3, 2019 and final payment was made.

16. Future Major Repairs and Replacements:

The Corporation has not conducted a study to determine the remaining useful lives of the components of the property and current estimates of the costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation has the right to increase regular maintenance, pass special assessments, or delay major repairs and replacements until funds are available. The effect on future assessments has not been determined at this time.

17. Subsequent Event COVID-19:

In late 2019, a novel strain of coronavirus, COVID-19, emerged globally. As the impact of the spread of the COVID-19 coronavirus continues to spread in the United States and around the world, the Corporation may experience disruptions that could impact its ability to carry out its activities. As of the date of the auditors' report, the Board cannot reasonably estimate the impact to the Corporation's future activities, revenues, financial condition or results of operations; however, such impact could be significantly negative.

DOCUMENT NO. 2B

CRESTWOOD APT OWNERS CORP	
2020 Budget	
Income	**2020**
MAINTENANCE	$ 777,165
PARKING	$ 15,660
LAUNDRY	$ 4,800
COOP TAX CREDITS	$ (64,409)
STAR CR	$ (7,112)
SCRIE/DRIE	$ (1,800)
R/E TAX ASMT	$ 64,409
RETURN CHECK CHG	$ 250
PET FEES	$ 2,100
BICYCLE STORAGE	$ 1,260
POOL/GYM SURCHARGE	$ 6,000
REPAIRS	$ 1,500
APPLICATION FEE	$ 1,000
LEGAL CHARGE	$ 1,000
CREDIT CHECK & OTHER	$ 2,000
Total Income	**$ 803,823**
Expenses	
Administrative Expenses	$ 54,400
Payroll Taxes & Benefits	$ 100,818
Utilities	$ 110,002
Operating Expenses	$ 6,295
Maintenance Expenses	$ 53,637
Insurance	$ 46,299
Debt Service Expenses	$ 189,696
Real Estate Taxes	$ 234,326
Other Disbursements	$ 8,350
Total Expenses	**$ 803,823**
Total Surplus/Deficit	**$ 0**

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	December 1, 2020
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

THIRTY-SECOND AMENDMENT TO THE PLAN

This Thirty-Second Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Thirty-First Amendment (collectively the "Plan").

The terms of this Thirty-Second Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the Unsold Shares owned by the Sponsor are $9,050.21. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $10,371.26.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board in 1995 on or about the fifth anniversary of the September 1990 Closing Date of the Apartment Corporation. The following are the current Directors and Officers of the Apartment Corporation are:

Claudine Gruen	President
Michael Anastasiou	Vice President
Susan Sendek	Secretary
Linda Severinson	Treasurer
Michael Asher	
Paul Fabizzi	
[Vacant] *	

* Sponsor's Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Certified Financial Statements for the years ended December 31, 2019, as prepared by the accountants for the Apartment Corporation, are annexed hereto as Document Nos. 2A. The 2020 Budget adopted by the Board of Directors is annexed hereto as Document No. 2B.

SIXTH: MORTGAGE REFINANCING

On or about November 20, 2019, the Apartment Corporation refinanced the underlying mortgage with a new first mortgage with National Consumerr Cooperative Bank, 2011 Crystal Drive, Suite 800, Arlington, VA 22022 ("Lender"). The new mortgage has the following material terms:

Principal Amount:	$4,250,000.00
Term:	Ten (10) years, maturing December 1, 2029
Interest Rate:	3.24% per annum
Monthly Payments:	$11,475 (interest only)

Prepayment:	Prepayment is permitted with the payment of a "Prepayment Fee" which is based on a yield maintenance calculation computed as provided in the mortgage note.

The Apartment Corporation has also arranged a $1,000,000 Line of Credit with the Lender.

SEVENTH: CHANGE IN PRINCIPALS OF SPONSOR

Herbert Goldsmith, is deceased, and therefore is no longer a member of the Sponsor and no longer a "principal" of the Sponsor. Accordingly, Arlyne Goldstein is the sole "principal" of the Sponsor as such term is defined in the Rules of the Attorney General's Office.

EIGHTH: FINCEN'S GEOGRAPHIC TARGETING ORDER

On January 13, 2016 the Director of the Financial Crimes Enforcement Network ("FinCEN"), U.S. Department of the Treasury, issued a Geographic Targeting Order ("Order") requiring title insurance companies to collect and report information about the persons involved in certain residential real estate transactions. FinCen modified and extended the Order on July 22, 2016, on February 23, 2017, August 22, 2017, March 19, 2018, November 15, 2018, May 14, 2019, November 8, 2019 and on May 8, 2020. The current Order requires title insurance companies to collect and report information about the persons involved in certain residential real estate transactions in all boroughs of New York City in furtherance of the Bank Secrecy Act. Title companies are required by such order to collect and report information regarding purchasers in transactions where: (1) the purchaser is a legal entity as defined in the Order; (2) the purchaser purchases residential real property located in the Boroughs of Brooklyn, Queens, Bronx, Manhattan and Staten Island; (3) the total purchase price is $300,000 or more; (4) such purchase is made without a bank loan or other similar form of external financing; and (5) the purchase is made at least in part, using currency or a cashiers's check, a certified check, a traveler's check, a personal check, a business check, a money order in any form, a funds transfer or virtual currency. As used in the Order, "Legal Entity" means a corporation, limited liability company, partnership or other similar business entity, whether formed under the laws of a state or of the United States or a foreign jurisdiction but excludes entities that are U.S. publicly-traded companies. The Order affects all residential real property closings occurring on or after May 10, 2020 and until the expiration of the effective period of such Order (i.e., November 5, 2020, as of the date hereof, which date is subject to change by FinCEN).

NINTH: DEFINITIONS

All terms used in this Thirty-Second Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Thirty-First Amendments, is incorporated herein by reference with the same effect as if set forth at length.

ELEVENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

TWELFTH: NO MATERIAL CHANGES

Except as set forth in this Thirty-Second Amendment, there have been no material changes to the Offering Plan.

TJS ASSOCIATES, LLC
SPONSOR

Dated: Suffern, NY
December 1, 2020

Crestwood Apartments
124-16 84th Road

Kew Gardens, NY 11415

TJS Associates LLC
32nd Amendment

DOCUMENT NO. 1

Last Updated: 10/14/2020
Info as of: 10/14/2020

Apt. No.	Status	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $4.3014 per share
2L	S	2	294	$294,000	$1,264.62
3E	S	3	325	$325,000	$1,397.96
4J	S	1	202	$202,000	$868.89
5C	S	1	179	$179,000	$769.96
5F	V*	0	152	$152,000	$653.82
5G	S	1	212	$212,000	$911.90
5H	S	1	212	$212,000	$911.90
5K	S	1	230	$230,000	$989.33
6L	S	2	298	$298,000	$1,281.83
TOTAL	9	12	2,104	$2,104,000	$9,050.21

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

* Lease terminated; legal proceedings pending to obtain possession.

Total Shares: 14,957
% Owned by Sponsor: 14.067%

DOCUMENT NO. 2A

CRESTWOOD APARTMENT OWNERS CORP.

Financial Statements
for the years ended
December 31, 2019 and 2018

Cesarano & Khan, PC
Certified Public Accountants

Cesarano & Khan, PC
Certified Public Accountants

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Unit Owners of
Crestwood Apartment Owners Corp.:

We have audited the accompanying financial statements of Crestwood Apartment Owners Corp., which comprise the balance sheets as of December 31, 2019 and 2018, and the related statements of operations, members' equity (deficit) and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Crestwood Apartment Owners Corp. as of December 31, 2019 and 2018, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Omission of Required Supplementary Information about Future Major Repairs and Replacements

The Corporation has not conducted a study to estimate the remaining lives and future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Cesarano & Khan, PC

Floral Park, New York
February 17, 2020

199 Jericho Turnpike, Suite 400, Floral Park, NY 11001 • Telephone: (516) 437-8200 • Facsimile: (516) 437-8325

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

BALANCE SHEETS

December 31, 2019 and 2018

ASSETS

	2019	2018
Cash:		
Operating - JP Morgan Chase Bank, N.A. - checking account	$ 43,238	$ 59,978
Reserve - JP Morgan Chase Bank, N.A. - checking accounts	128,577	76,474
Reserve - Sterling Bank - money market	50,157	50,033
Reserve - Merrill Lynch - money market	967,394	41,211
Reserve - JP Morgan Chase Bank, N.A. - money market accounts	78,334	82,987
Reserve - National Cooperative Bank, N.A. - money market	100,127	-0-
Investments	9,066	199,894
Shareholder and receivables	17,793	11,884
Prepaid expenses	66,641	67,069
Land, buildings, improvements and equipment, net of accumulated depreciation of $3,884,739 and $3,692,834, respectively	2,205,869	2,322,245
Deposits	-0-	10,495
Total assets	$3,667,196	$2,922,270

LIABILITIES AND STOCKHOLDERS' EQUITY (DEFICIT)

Accounts payable and accrued expenses	$ 46,990	$ 97,769
Wages and related costs payable	2,236	1,626
Maintenance charges received in advance	18,061	10,057
Real estate tax abatements and exemptions payable	44,476	39,893
Security deposits payable	4,200	4,200
Mortgage note payable	4,250,000	3,200,000
Less: unamortized debt issuance cost	(84,861)	(55,580)
Total liabilities	4,281,102	3,297,965
Stockholders' equity (deficit):		
Common stock, par value $1.00; authorized 25,000 shares; issued and outstanding 14,957 shares	14,957	14,957
Additional paid-in capital	2,922,707	2,922,707
Accumulated deficit	(3,551,570)	(3,313,359)
Total stockholders' equity (deficit)	(613,906)	(375,695)
Total liabilities and stockholders' equity (deficit)	$3,667,196	$2,922,270

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF OPERATIONS

for the years ended December 31, 2019 and 2018

	2019	2018
REVENUES:		
Maintenance charges	$ 706,216	$ 706,216
Less: tax abatements and exemptions	(74,240)	(70,107)
Operating assessments	77,926	69,655
Capital assessments	30,512	30,512
Parking	14,513	14,580
Laundry	4,537	5,150
Transfer fees	2,682	4,566
Interest	4,617	4,438
Late fees	1,200	1,475
Fitness center membership fee	8,008	6,300
Other	16,817	23,442
Total revenues	792,788	796,227
EXPENSES:		
Wages and related costs	105,677	89,535
Real estate taxes, net of abatements	214,760	165,848
Interest	137,705	137,889
Prepayment premium	64,000	-0-
Utilities	52,364	43,945
Water and sewer	41,513	42,154
Repairs, maintenance and supplies	63,060	72,221
Insurance	40,563	40,423
Management fees	27,000	27,000
Professional fees	19,731	28,419
Telecommunications	4,550	4,632
Other	9,665	6,917
Income taxes	2,213	2,050
Total expenses before depreciation and amortization	782,801	661,033
Excess of revenues over expenses before depreciation and amortization	9,987	135,194
Depreciation and amortization	(248,198)	(197,082)
Deficiency of revenues over expenses	$(238,211)	$ (61,888)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF STOCKHOLDERS' EQUITY (DEFICIT)

for the years ended December 31, 2019 and 2018

	Common Stock	Additional Paid-in Capital	Accumulated Deficit	Total Stockholders' Equity (Deficit)
Balance as of December 31, 2017	$ 14,957	$2,922,707	$ (3,251,471)	$ (313,807)
Deficiency of revenues over expenses	-0-	-0-	(61,888)	(61,888)
Balance as of December 31, 2018	14,957	2,922,707	(3,313,359)	(375,695)
Deficiency of revenues over expenses	-0-	-0-	(238,211)	(238,211)
Balance as of December 31, 2019	$ 14,957	$2,922,707	$ (3,551,570)	$ (613,906)

The accompanying notes are an integral part of these financial statements.

CRESTWOOD APARTMENT OWNERS CORP.

(A Cooperative Housing Corporation)

STATEMENTS OF CASH FLOWS

for the years ended December 31, 2019 and 2018

	2019	2018
CASH FLOWS FROM OPERATING ACTIVITIES:		
Deficiency of revenues over expenses	$ (238,211)	$ (61,888)
Adjustments for noncash and operating items:		
Depreciation and amortization	248,198	197,082
Changes in operating assets and liabilities:		
Shareholder and other receivables	(5,909)	(271)
Prepaid expenses	428	(21,749)
Accounts payable and accrued expenses	(50,779)	19,380
Wages and related costs payable	610	(15)
Maintenance charges received in advance	8,004	4,410
Real estate tax abatements and exemptions payable	4,583	5,559
Net cash (used in) provided by operating activities	(33,076)	142,508
CASH FLOWS FROM INVESTING ACTIVITIES:		
Change in investments	190,828	(199,894)
Additional building improvements and equipment	(75,529)	(114,921)
Deposits	10,495	(10,495)
Net cash provided by (used in) investing activities	125,794	(325,310)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Mortgage refinance cost	(85,574)	-0-
Additonal borrowing, net	1,050,000	-0-
Net cash provided by financing activities	964,426	-0-
Net increase (decrease) in cash	1,057,144	(182,802)
Cash, beginning of year	310,683	493,485
Cash, end of year	$ 1,367,827	$ 310,683
SUMMARY OF CASH:		
Operating - checking account	$ 43,238	$ 59,978
Reserve - checking account	128,577	76,474
Reserve - money market accounts	1,196,012	174,231
Total cash	$ 1,367,827	$ 310,683
SUPPLEMENTARY INFORMATION:		
Interest paid	$ 201,941	$ 137,889
Income taxes paid	$ 2,213	$ 60

The accompanying notes are an integral part of these financial statements.

1. Organization:

Crestwood Apartment Owners Corp. (the "Corporation"), a cooperative housing corporation, was incorporated in the State of New York on September 19, 1990. The Corporation owns the building located at 124-16 84th Road, Kew Gardens, New York, consisting of 71 residential apartments and one superintendent apartment.

A Board of Directors governs the affairs of the Corporation. Directors, as such, receive no compensation for their services. The Board of Directors retains a management company, to provide certain administrative and bookkeeping services. On-site property management is performed by employees of the Corporation.

2. Date of Management Review:

In preparing the financial statements, the Corporation has evaluated events and transactions for potential recognition or disclosure through February 17, 2020, the date the financial statements were available to be issued.

3. Summary of Significant Accounting Policies:

Basis of Presentation:

The accompanying financial statements are prepared on the accrual basis of accounting, in accordance with accounting principles generally accepted in the United States of America.

Pervasiveness of Estimates:

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expense during the report period. Accordingly, actual results could differ from those estimates.

Cash and Cash Equivalents:

The Corporation considers all highly liquid investments with little to no exposure to credit, market and liquidity risks, with original maturities of three months or less to be classified as cash equivalents.

Concentration of Credit Risk:

The Corporation maintains its cash and cash equivalents with major financial institutions. Balances, at times, may exceed Federal Deposit Insurance Corporation ("FDIC") limits currently $250,000 per financial institution. The Corporation performs periodic evaluations of the relative credit standing of these financial institutions and also evaluates its balance with each institution in order to limit the amount of credit exposure.

Investments:

Investments purchased by the Corporation are classified as either held-to-maturity or available-for-sale. Held-to-maturity investments are carried at cost, which approximates fair value. Available-for-sale investments are stated at fair value as determined by the most recently traded price of each investment at the balance sheet date. The net unrealized gains or losses on available-for-sale securities are reported as a component of comprehensive income (loss). The specific identification method is used to compute the realized gains and losses on debt and equity investments.

Shareholder and Other Receivables:

The Corporation's policy is to initiate summary non-payment proceedings against the individual or entity whose assessments are 60 days in arrears. Shareholder receivables at the balance sheet date represent maintenance and other charges due from shareholders. The Corporation has a first lien upon the shares owned by shareholders' for indebtedness arising under the provisions of the proprietary lease. The Corporation believes that the fair market value of delinquent shares is sufficient to cover charges in arrears. All shareholder receivables have been deemed collectible at both December 31, 2019 and 2018.

Land, Building, Improvements and Equipment:

Land, building, improvements and equipment are stated at cost. Capitalized amounts include expenditures, which materially extend the useful life of the existing property. Costs associated with repair and maintenance of property is expensed as incurred. Depreciation is provided using the straight-line method over the estimated useful life of the asset.

Continued

Long-Lived Assets:

The Corporation reviews real estate assets for possible impairment whenever events or circumstances indicate the carrying amount of an asset may not be recoverable. If there is an indication of impairment, management prepares an estimate of future cash flows (undiscounted and without interest charges) expected to result from the use of the asset and its eventual disposition. If these cash flows are less than the carrying amount of the asset, an impairment loss is recognized to write down the asset to its estimated fair value. Preparation of estimated future cash flows is inherently subjective and is based on management's best estimate of assumptions concerning expected future conditions. Through December 31, 2019 and 2018, management believes no indicators of impairment exist.

Debt Issuance Costs:

Debt issuance costs are amortized on the straight-line method over the term of the loan, Amortization on the interest method would not be materially different. Deferred costs of $85,574 were incurred in connection with the mortgage note as discussed in Note 7.

Revenue Recognition:

The Financial Accounting Standards Board (FASB) issued new guidance that created Topic 606, Revenue from Contracts with Customers, in the Accounting Standards Codification (ASC). Topic 606 supersedes the revenue recognition requirements in FASB ASC 972-605, Real Estate-Common Interest Realty Associations, ("CIRA"), Revenue Recognition, and requires the recognition of revenue when promised goods or services are transferred to customers in an amount that reflects the consideration to which a CIRA expects to be entitled in exchange for those goods or services.

The Corporation adopted the new revenue standard as of January 1, 2019, using the modified retrospective method of transition. The Corporation applied the new standard only to contracts that were not completed prior to January 1, 2019. The adoption of the new revenue standard had no effect to the opening balance of Stockholders' Equity. The comparative prior period information continues to be reported under the accounting standards in effect during those periods. We expect the impact of the adoption to be immaterial to our financial position, results of operations, and cash flows on an ongoing basis.

Monthly maintenance charges represent multiple performance obligations, which, on a standalone basis are not considered separate and distinct and therefore have been deemed to be a single performance obligation. Revenue is recognized as the performance obligation is satisfied at transaction amounts expected to be collected. The performance obligation for maintenance charges are satisfied over time on a daily pro-rata basis using the input method.

Deferred Revenue:

Revenue is recognized as the performance obligation is satisfied at transaction amounts expected to be collected. Deferred revenue consists of prepaid monthly maintenance charges and other shareholder fees and has been recorded as the Corporation has the right to receive payment in advance for the satisfaction of performance obligations.

Transfer Fees:

It is the Corporation's policy to charge transfer fees to shareholders upon the sale of shares applicable to their apartment equal to $6 per share. Transfer fees are recognized as revenue as the performance obligation is satisfied at transaction amounts expected to be collected. The performance obligation for transfer fees are satisfied on the closing date of the apartment where the shares are legally transferred.

Reclassifications:

Certain prior year amounts have been reclassified for consistency with the current period presentation. These reclassifications had no effect on the reported results of operations or stockholders' equity.

Continued

4. Investments:

Investments were comprised of the following:

	2019	2018
National Cooperative Bank - Class B1 Stock	$9,066	$0
Merrill Lynch - Certificates of deposit	0	199,894
	$9,066	$199,894

5. Land, Building, Improvements and Equipment:

Land, building, improvements and equipment were comprised of the following:

	2019	2018
Land	$588,936	$588,936
Building	3,337,305	3,337,305
Improvements	2,096,247	2,056,886
Equipment	68,120	31,952
	6,090,608	6,015,079
Less: accumulated depreciation	(3,884,739)	(3,692,834)
	$2,205,869	$2,322,245

6. Accounts Payable and Accrued Expenses:

Accounts payable and accrued expenses were comprised of the following:

	2019	2018
Repairs, maintenance and supplies	$15,065	$11,556
Interest	11,475	11,711
Professional fees	9,300	9,272
Utilities	6,056	9,330
Water and sewer	3,784	4,066
Other	1,310	1,241
Capital improvements	0	50,593
	$46,990	$97,769

7. Mortgage Note Payable:

The Corporation had a mortgage note payable, secured by the land and building, with Astoria Federal Bank ("Astoria"). The mortgage, in the initial principal amount of $3,200,000, was for a ten-year term and provided for monthly payments of interest only, at a fixed rate of 4.25% per annum.

On November 20, 2019 the Corporation refinanced its mortgage note payable with National Cooperative Bank, secured by the land and buildings. The new mortgage, in the principal amount of $4,250,000, provides constant monthly payments of $11,475, consisting of interest only at the rate of 3.24% per annum. The mortgage matures on December 1, 2029.

The Corporation also secured a $1,000,000 credit line mortgage that is co-terminus with the first mortgage, for a maximum term of ten years. The interest shall be equal to the prime rate as published in The Wall Street Journal. There was no balance due on the credit line mortgage at December 31, 2019.

Continued

8. Special Assessments:

The Corporation implemented operating assessments of $77,926 and $69,655 in 2019 and 2018, to fund operating expenses.

9. Capital Assessments:

Revenue is recognized as the performance obligation is satisfied at transaction amounts expected to be collected. The performance obligation for this capital assessment is satisfied when the funds are expended. The capital assessments of approximately $30,512 in the years 2019 and 2018, were implemented to replenish the reserve fund which was already expended.

10. Repairs, Maintenance and Supplies:

Repairs, maintenance and supplies were comprised of the following:

	2019	2018
Plumbing and heating	$17,666	$30,958
Building supplies	16,562	9,833
Elevator	8,519	16,322
General repairs	7,970	2,761
Landscaping	6,758	5,978
Exterminating	5,585	6,369
	$63,060	$72,221

11. Management Agreement:

Effective December 1, 2017, the Corporation entered into an agreement with Metro Management Development, Inc. ("Metro") to act as managing agent of the property for a term of two years, at a rate of $27,000 per annum. The agreement may be terminated by either party with at least 60 days prior written notice. The management fees paid to Metro for the years ended December 31, 2019 and 2018 were $27,000 in each year.

12. Other Expenses:

Other expenses were as follows:

	2019	2018
Administrative	$6,774	$4,329
Licenses and violations	1,326	498
Postage and printing	616	337
Credit check	521	893
Bank fees	428	450
Fitness center	0	410
	$9,665	$6,917

13. Income Taxes:

Pursuant to a 1996 United States Tax Court decision, the Corporation prepares its tax returns under the provisions of Subchapter T of the Internal Revenue Code. Subchapter T requires the allocation of patronage and non-patronage source income. In addition, Subchapter T provides that expenses attributable to the generation of patronage income, i.e., income from business done with or for patrons (tenant cooperators), are deductible only to the extent of patronage income. The Corporation believes that all of its income is patronage income within the meaning of Subchapter T. Additionally, the Corporation treats special assessments used for the acquisition of capital improvements and maintenance charges used for amortization of mortgage principal as contributions to capital for tax purposes only. The Corporation also qualified under Section 216 of the Internal Revenue Code. This section permits tenant-shareholders to deduct, on their own tax returns, their proportionate share of real estate taxes and mortgage interest that is deductible by the Corporation.

Continued

Income Taxes (continued):

The Corporation had net operating losses in 2019 and 2018, and as a result was not subject to Federal income tax. The Corporation was however subject to certain state and local franchise taxes based upon the Corporation's capital base, at a tax rate of .04%. The Corporation has net operating loss carryforward of approximately $2,902,000, which expire, if not utilized, between 2020 and 2039.

Generally accepted accounting principles (GAAP) requires evaluation of the tax positions taken or expected to be taken in the course of preparing the Corporation's tax returns to determine whether the tax positions are more likely than not sustainable upon examination by the applicable taxing authorities, based on the technical merits of the tax position, and then recognizing the tax benefit that is more likely than not realizable. Tax positions not deemed to meet the more likely than not threshold would be recorded as a tax expense in the current reporting period. As of December 31, 2019 and 2018 management believes any such positions, would be immaterial to the overall financial statements.

With few exceptions, the Corporation is no longer subject to U.S. federal, state and local income tax examinations by tax authorities for years before 2015.

14. Holder of Unsold Shares:

At December 31, 2019 and 2018, the holder of unsold shares, TJS Associates, owned 2,104 shares of the Corporation, which is approximately 14% of the outstanding shares, respectively.

15. Commitment:

The Corporation entered into an agreement with AWR Group, Inc., for the replacement of the roof and windows at an initial base bid of $383,200. In addition, change orders of S93,880 were made. The work was completed on July 3, 2019 and final payment was made.

16. Future Major Repairs and Replacements:

The Corporation has not conducted a study to determine the remaining useful lives of the components of the property and current estimates of the costs of major repairs and replacements that may be required in the future. When replacement funds are needed to meet future needs for major repairs and replacements, the Corporation has the right to increase regular maintenance, pass special assessments, or delay major repairs and replacements until funds are available. The effect on future assessments has not been determined at this time.

17. Subsequent Event COVID-19:

In late 2019, a novel strain of coronavirus, COVID-19, emerged globally. As the impact of the spread of the COVID-19 coronavirus continues to spread in the United States and around the world, the Corporation may experience disruptions that could impact its ability to carry out its activities. As of the date of the auditors' report, the Board cannot reasonably estimate the impact to the Corporation's future activities, revenues, financial condition or results of operations; however, such impact could be significantly negative.

DOCUMENT NO. 2B

CRESTWOOD APT OWNERS CORP	
2020 Budget	
Income	**2020**
MAINTENANCE	$ 777,165
PARKING	$ 15,660
LAUNDRY	$ 4,800
COOP TAX CREDITS	$ (64,409)
STAR CR	$ (7,112)
SCRIE/DRIE	$ (1,800)
R/E TAX ASMT	$ 64,409
RETURN CHECK CHG	$ 250
PET FEES	$ 2,100
BICYCLE STORAGE	$ 1,260
POOL/GYM SURCHARGE	$ 6,000
REPAIRS	$ 1,500
APPLICATION FEE	$ 1,000
LEGAL CHARGE	$ 1,000
CREDIT CHECK & OTHER	$ 2,000
Total Income	**$ 803,823**
Expenses	
Administrative Expenses	$ 54,400
Payroll Taxes & Benefits	$ 100,818
Utilities	$ 110,002
Operating Expenses	$ 6,295
Maintenance Expenses	$ 53,637
Insurance	$ 46,299
Debt Service Expenses	$ 189,696
Real Estate Taxes	$ 234,326
Other Disbursements	$ 8,350
Total Expenses	**$ 803,823**
Total Surplus/Deficit	**$ 0**

From: Roswick, John <John.Roswick@ag.ny.gov>
Sent: Tuesday, December 1, 2020 6:10 PM
To: Richard Adelman
Cc: Sheila Gesullo
Subject: C 87-0398 The Crestwood A32

Dear Mr. Adelman:

The Department of Law ("DOL") has accepted and filed the above-referenced amendment as of **12/1/20**. This amendment extends the term of the offering plan for **12 months** from the date of filing of this amendment.

This email shall serve as the DOL's official acceptance for filing letter for the above-referenced amendment; no other acceptance for filing letter will be issued by the DOL for this amendment. This email constitutes a public record and any alteration to this email may constitute a criminal offense.

Any material change of fact or circumstance affecting the property or offering requires an immediate amendment to the offering plan. Any misstatement or concealment of material fact in the materials submitted as part of this amendment renders this filing void ab initio. The DOL has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or any waiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this acceptance letter is conditioned upon the collection of all fees imposed by law. It is the responsibility of the sponsor to ensure that correct fee amounts have been paid.

Please note that the DOL may issue administrative deficiencies while processing this amendment's acceptance for filing. It is the sponsor's responsibility to cure all such deficiencies in an expeditious manner. If there are any outstanding deficiencies at the time of submission of the next amendment to this offering plan, the DOL reserves the right to reject the submission of such amendment until all outstanding deficiencies are cured. **Notwithstanding, this will not impact this amendment's date of acceptance for filing**.

If you have any questions or comments, please feel free to contact me.

Very truly yours,
John Roswick

***Please be advised that effective November 15, 2019, a Certified Public Copy and updated Form RS-2 must be included with most offering plan and amendment submissions to the Real Estate Finance Bureau. For more information about these requirements, please refer to the following guidance document:
https://ag.ny.gov/sites/default/files/standards_for_submission_of_certified_public_copies_of_offering_plans_and_amendments_10-15-2019.pdf

_____

John B. Roswick | Assistant Attorney General
Real Estate Finance Bureau
Office of the New York State Attorney General
28 Liberty Street, New York, NY 10005
212-416-8144 | 212-416-8179
John.Roswick@ag.ny.gov
http://www.ag.ny.gov/bureau/real-estate-finance-bureau
To receive updates from the Bureau, click **HERE**.

PREMISES:

THE CRESTWOOD
124-16 84TH ROAD
KEW GARDENS, NEW YORK

Date:	November 16, 2021
Sponsor:	TJS ASSOCIATES, LLC
Selling Agent:	HALPERIN REAL ESTATE LLC
Apartment Corporation:	CRESTWOOD APARTMENT OWNERS CORP.

THIRTY-THIRD AMENDMENT TO THE PLAN

This Thirty-Third Amendment modifies and supplements the terms of the "Offering Plan"- a Plan to Convert to Cooperative Ownership the premises known as 124-16 84th Road, Kew Gardens, NY 11415 dated October 26, 1988, as amended by the terms of the First Amendment through the Thirty-Second Amendment (collectively the "Plan").

The terms of this Thirty-Third Amendment are as follows:

FIRST: UPDATED INFORMATION

The following information is presented pursuant to the requirements of the Department of Law and contains the following information regarding the building and the Offering Plan. This amendment is presented on behalf of the Sponsor and owner of unsold shares, TJS Associates, LLC.

1. Shares Owned by the Sponsor. Attached hereto as Document No. 1 is a listing of the apartments at the premises as to which the Sponsor holds the shares. The current aggregate monthly maintenance charges payable for the Unsold Shares owned by the Sponsor are $9,412.24. The current aggregate monthly rents payable by tenants residing in apartments owned by the Sponsor is $9,450.11.

2. Obligations of Sponsor under the Plan. The Sponsor is current on all financial obligations under the Offering Plan, including, but not limited to, maintenance charges, Working Capital Fund payments, and payments for repairs or improvements required by the Offering Plan. The Sponsor has been current on all such obligations (i.e., has satisfied such obligations by the expiration of any grace period) during the year prior to the date of filing of this Amendment. Other than the obligations under the proprietary leases for the Unsold Shares, including the obligation to pay maintenance charges, special assessments (if any) and other charges (if any), the Sponsor has no obligations to the Apartment Corporation, or to any previous purchaser which will become due after the date of the Amendment. Prospective purchaser of Unsold Shares will be furnished the Plan.

3. Purchase Prices. The Purchase Prices for the Unsold Shares, which are not revised in this amendment, are listed on Document No.1 annexed hereto. The Sponsor is under no obligation to offer the Unsold Shares to non-purchasing tenants or any other prospective purchaser, or to accept offers to purchaser the Unsold Shares, whether at the price listed on Document No. 1 or at any other price.

SECOND: OTHER NEW YORK STATE OFFERINGS

The Sponsor has not made offerings of cooperative or condominium interest in or from New York State. Neither of the Sponsor's principals has made offerings of cooperative or condominium interests in or from New York State in which such principals, or any entity in which either is a principal, is a sponsor or holder of unsold shares or units.

THIRD: FUNDING OF DEFICITS; NO PLEDGE OF THE UNSOLD SHARES

Funding of any deficit between the amount of the rents received and maintenance charges payable and of the financial obligations of the Sponsors to the Apartment Corporation will be from excess proceeds from sales of apartments, if any, and from other cash flow generated from the property. If such sales proceeds and cash flow are insufficient to meet such financial obligations, funding will be from other cash contributions which may be provided by the Sponsor. The Unsold Shares are not pledged to secure any loans to the Sponsor which are outstanding.

FOURTH: APARTMENT CORPORATION DIRECTORS

Sponsor relinquished control of the Board in 1995 on or about the fifth anniversary of the September 1990 Closing Date of the Apartment Corporation. The following are the current Directors and Officers of the Apartment Corporation are:

Claudine Gruen	President
Michael Anastasiou	Vice President
Linda Severinson	Treasurer
Anatolie Zqherea	
Michael Asher	
Geraldine Canal	
[Vacant] *	

* Sponsor's Representative

FIFTH: FINANCIAL STATEMENTS; BUDGET

The Managing Agent for the Apartment Corporation has advised that the December 31, 2020 financial statements are not finalized as of the submission date of this amendment. Prospective purchasers are advised to inquire regarding the availability of the 2020 financial statements from the Apartment Corporation, and if available, to request a copy for review. The 2021 Budget adopted by the Board of Directors is annexed hereto as Document No. 2.

SIXTH: UNIT CLOSING COSTS AND ADJUSTMENTS

The 2021/2022 New York State Budget Bill which was passed in April 2021 includes amendments to Section 1404 of the Tax Law. Under amended Tax Law §1404 (a), the grantee may only be required to pay the RETT when so provided in a contract between grantor or grantee, as is provided in this Plan and form of Contract of Sale. In addition, effective July 1, 2021, the amendment to §1404 eliminates the requirement that the consideration when computing the NYS Real Estate Transfer Tax and the NYS Mansion Tax be increased ("grossed up") when the NYS RETT is paid by the grantee pursuant to a contract between the grantor and the grantee. It is noted the increase in consideration ("grossing up") for purposes of calculating New York City Real Property Transfer Taxes are not subject to this legislation, and presumably shall continue.

SEVENTH: ATTORNEYS FOR SPONSORS

The law firm of Cutler Minikes & Adelman LLP, Attention: Richard B. Adelman, Esq., 11 Algonquin Drive, Irvington, NY 10533 prepared this amendment and continues to represent the Sponsor in the connection with this offering plan. The law firm Silverstein Law, P.C., 254 South Main Street, Suite 210, New City, NY 10956, Attn: Steven M. Silverstein, Esq. shall continue to serve as attorney for the Sponsor in connection with the sale and closing of individual apartments and as escrow agent for the Sponsor and purchasers.

EIGHTH: FINCEN'S GEOGRAPHIC TARGETING ORDER

On January 13, 2016 the Director of the Financial Crimes Enforcement Network ("FinCEN"), U.S. Department of the Treasury, issued a Geographic Targeting Order ("Order") requiring title insurance companies to collect and report information about the persons involved in certain residential real estate transactions. FinCen modified and extended the Order on July 22, 2016, February 23, 2017, August 22, 2017, March 19, 2018, November 15, 2018, May 14, 2019, November 8, 2019, May 8, 2020, November 4, 2020, April 29, 2021 and October 29, 2021. The current Order requires title insurance companies to collect and report information about the persons involved in certain residential real estate transactions in all boroughs of New York City in furtherance of the Bank Secrecy Act. Title companies are required by such order to collect and report information regarding purchasers in transactions where: (1) the purchaser is a legal entity as defined in the Order; (2) the purchaser purchases residential real property located in the Boroughs of Brooklyn, Queens, Bronx, Manhattan and Staten Island; (3) the total purchase price is $300,000 or more; (4) such purchase is made without a bank loan or other similar form of external financing; and (5) the purchase is made at least in part, using currency or a cashiers's check, a certified check, a traveler's check, a personal check, a business check, a money order in any form, a funds transfer or virtual currency. As used in the Order, "Legal Entity" means a corporation, limited liability company, partnership or other similar business entity, whether formed under the laws of a state or of the United States or a foreign jurisdiction but excludes entities that are U.S. publicly-traded companies. The Order affects all residential real property closings occurring on or after November 1, 2021 and until the expiration of the effective period of such Order (i.e., April 29, 2022, as of the date hereof, which date is subject to change by FinCEN).

NINTH: DEFINITIONS

All terms used in this Thirty-Third Amendment not otherwise defined herein shall have the same meanings ascribed to them as in the Plan.

TENTH: INCORPORATION OF THE AMENDED PLAN

The Plan, as modified and supplemented by the First through Thirty-Second Amendments, is incorporated herein by reference with the same effect as if set forth at length.

ELEVENTH: EXTENSION OF EFFECTIVE PERIOD FOR USE OF PLAN

The Plan, as modified and supplemented hereby, may not be used after twelve months following the Filing Date of this Amendment unless the Plan is further amended or extended.

TWELFTH: NO MATERIAL CHANGES

Except as set forth in this Thirty-Third Amendment, there have been no material changes to the Offering Plan.

Dated: Suffern, NY
November 16, 2021

TJS ASSOCIATES, LLC
SPONSOR

Crestwood Apartments
124-16 84th Road

Kew Gardens, NY 11415

TJS Associates LLC
33rd Amendment

DOCUMENT NO. 1

Last Updated: 10/27/2021
Info as of: 10/27/2021

Apt. No.	Status	No. of Bed-rooms	No. of Shares	Purchase Price	Monthly Maintenance Charges @ $4.4735 per share
2L	S	2	294	$294,000	$1,315.21
3E	S	3	325	$325,000	$1,453.89
4J	S	1	202	$202,000	$903.65
5C	V	1	179	$179,000	$800.76
5F	V	0	152	$152,000	$679.97
5G	S	1	212	$212,000	$948.38
5H	S	1	212	$212,000	$948.38
5K	S	1	230	$230,000	$1,028.90
6L	S	2	298	$298,000	$1,333.10
TOTAL	9	12	2,104	$2,104,000	$9,412.24

S = Rent Stabilized
NS = Non-Stabilized
V = Vacant

Total Shares: 14,957
% Owned by Sponsor: 14.067%

DOCUMENT NO. 2
2021 BUDGET

		CRESTWOOD APT OWNERS CORP			Final Approved
		2021 Budget			
			October-19		
		2020	September-20	2021	
		Budget	Actual	Budget	Comments
G/L #	Income				
5100	MAINTENANCE	777,165	755,583	802,921	$64,337/month (4% Increase 1/2021)
5550	PARKING	15,660	15,100	15,660	$1,305/month
5160	LAUNDRY	4,800	2,675	3,600	
5582	COOP TAX CREDITS	(64,410)	(63,683)	(68,299)	
5568	STAR CR	(7,112)	(7,041)	(6,176)	
5520	SCHE/DHE CREDITS	(1,800)	(5,559)	(5,560)	
5300	LATE FEES	0	450	450	
5305	RETURN CHECK CHG	250	75	250	
5523	PET REGISTR FEE	2,100	1,980	2,100	
5525	ASSESSMENT	0	7,628	0	
5575	R/E TAX ASMT	64,410	83,370	74,475	Abatement & STAR
5541	PATIO/BIKE/BARN	1,260	1,215	1,260	
5542	POOL/GYM SURCHARGE	6,000	5,875	6,000	
5545	REPAIRS	1,500	60	1,200	
5401	FLIP TAX	0	2,532	0	
5404	MOVE-IN/OUT FEE	0	1,000	0	
5408	APPLICATION FEE	1,000	500	1,000	
5345	LEGAL CHARGE	1,000	0	1,000	
5420	CREDIT CHECK & OTHER	2,000	1,109	2,000	
5825	LOAN PROCEEDS	0	826,614	0	
5955	MMA TRANSFER FOR OPER EXP	0	144,224	0	
5700-5740	NET ARREARS / PREPAIDS	0	2,960	0	
	Total Income	803,823	1,776,667	831,881	
	Expenses				
Schd. A	Administrative Expenses	54,402	46,163	56,368	
Schd. B	Payroll Taxes & Benefits	100,818	107,840	116,833	
Schd. C	Utilities	110,000	91,814	109,855	
Schd. D	Operating Expenses	6,295	6,784	7,050	
Schd. E	Maintenance Expenses	53,637	74,501	53,862	
Schd. F	Insurance	46,299	47,124	53,559	
Schd. G	Financial Expenses & Corp. Taxes	191,696	262,163	191,746	
Schd. H	Real Estate Taxes	233,576	166,557	235,232	
Schd. I	Net Escrow For Taxes	0	11,565	0	
Schd. J	Other Disbursements	7,100	952,458	7,375	
	Total Expenses	803,823	1,766,971	831,881	
	Net Surplus Deficit	0	9,696	0	
	Total Surplus Deficit	**0**	**9,696**	0	

From: Pierre-Louis, Jamie <Jamie.Pierre-Louis@ag.ny.gov>
Sent: Tuesday, November 16, 2021 3:57 PM
To: Richard Adelman <r.adelman@cmalawfirm.com>
Subject: C87-0398 - CRESTWOOD (THE) - A33

Mr. Adelman:

The Department of Law ("DOL") has accepted and filed the above-referenced amendment as of **11/16/2021**. This amendment extends the term of the offering plan for twelve months from the date of filing of this amendment.

However, any material change of fact or circumstance affecting the property or offering requires an immediate amendment. Any misstatement or concealment of material fact in the materials submitted as part of this amendment renders this filing void ab initio. The DOL has relied on the truth of the certifications of sponsor, sponsor's principals, and sponsor's experts, as well as the transmittal letter of sponsor's attorney.

Filing this amendment shall not be construed as approval of the contents or terms thereof by the Attorney General of the State of New York, or any waiver of or limitation on the Attorney General's authority to take enforcement action for violation of Article 23-A of the General Business Law or other applicable law. The issuance of this acceptance email is conditioned upon the collection of all fees imposed by law. This email is your receipt for the filing fee.

This email shall serve as the DOL's official acceptance for filing letter for the above-referenced amendment; the DOL's Records Management Section will **not** issue an official acceptance for filing letter for the above-referenced amendment. However, the DOL's Records Management Section may issue additional deficiencies while processing this amendment's acceptance for filing. It is the sponsor's responsibility to cure all such deficiencies in an expeditious manner. **Notwithstanding, this will not impact the amendment's date of acceptance for filing.**

Please note that due to the COVID-19 state of emergency, the DOL temporarily is suspending its requirement for a paper copy and a digital copy (on a CD-ROM, DVD, USB flash drive, or external hard drive) of the final amendment until further notice. Therefore, please do **not** send such documents to the DOL.

Sincerely,

Jamie Pierre-Louis

Jamie Pierre-Louis | Assistant Attorney General
Real Estate Finance Bureau
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